CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[109 NE3d 542, 84 NYS3d 393]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v THEODORE WILSON, Appellant.

Argued May 1, 2018; decided June 14, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 1, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Joel L. Blumenfeld, J.), which had convicted defendant, upon a jury verdict, of assault in the first degree and assault in the second degree.

People v Wilson, 147 AD3d 793, affirmed.

HEADNOTES

Crimes — Assault — Depraved Indifference

1. In defendant's prosecution for depraved indifference assault arising from injuries he inflicted on his girlfriend over a two-month period that included broken bones, a brain injury, and lifelong cognitive impairments, the People adduced legally sufficient evidence to support a finding of depraved indifference notwithstanding that defendant may have also intended to inflict the injuries. To prove the requisite mens rea for depraved indifference assault in the first degree, the People must show both recklessness creating a grave risk of death and a depraved indifference to human life reflecting wanton cruelty, brutality, or callousness, combined with an utter indifference as to whether the victim lives or dies. The People offered expert testimony that the victim suffered a protracted continuous injury pattern over months, suggesting a prolonged period of domestic abuse. Defendant's sustained violence in the face of the victim's worsening condition demonstrated that he

consciously disregarded a grave risk that she would die. Additionally, given the duration and severity of the injuries, the jury had a valid line of reasoning to infer that defendant tortured the victim in a manner that demonstrated a depraved indifference to her life. Moreover, proof of an intent to inflict serious physical injury does not necessarily preclude a finding of depraved indifference in assault cases. Here, the jury found that defendant intended to cause serious physical injury, convicting him of intentional assault in the second degree, while simultaneously finding that his abuse had recklessly created a grave risk of death. Defendant acted with separate mental states regarding separate outcomes, and the separate mental states of intent and recklessness are not mutually exclusive when applied to different outcomes.

Crimes — Assault — Depraved Indifference in One-on-One Assault

2. Depraved indifference assault should not be constrained to the narrow exceptions to the rule against charging depraved indifference murder in one-on-one killings. A one-on-one killing might suffice to establish the mental state of depraved indifference when the defendant intends neither to seriously injure, nor kill, but nevertheless abandons a helpless and vulnerable victim in circumstances where the victim is highly likely to die, or when a defendant, acting with a conscious objective not to kill but to harm, engaged in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable individual. Absent circumstances in which bystanders might be endangered by defendant's conduct, a one-on-one killing can almost never qualify as depraved indifference murder because a manifest intent to kill necessarily negates a reckless indifference to the victim's life. But a one-on-one assault, particularly where no deadly weapon is involved, can qualify as a depraved indifference assault in more than such rare circumstances because there is no inconsistency in finding an intent to cause serious physical injury and a reckless indifference as to whether the victim lives or dies. Thus, depraved indifference assault differs from depraved indifference murder insofar as guilt of intent to cause serious physical injury does not necessarily negate guilt of depraved indifference to human life. Moreover, the categories of first-degree assault do not create any risk of a misperception that depraved indifference assault is a less serious crime than intentional assault.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Assault and Battery §§ 15, 16, 59.
NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 376, 397, 404, 407.

ANNOTATION REFERENCE

See ALR Index under Assault and Battery.

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POINTS OF COUNSEL

Paul Skip Laisure, *Appellate Advocates*, New York City (*Mark W. Vorkink* and *Lynn W.L. Fahey* of counsel), for appellant. I. The evidence was insufficient to prove the depraved indifference mens rea for first-degree assault because this incident involved a single adult victim whose injuries were solely the result of intentional conduct. (*Jackson v Virginia*, 443 US 307; *People v Valencia*, 14 NY3d 927; *People v Feingold*, 7 NY3d 288; *People v Barboni*, 21 NY3d 393; *People v Lewie*, 17 NY3d 348; *People v Suarez*, 6 NY3d 202; *People v Register*, 60 NY2d 270; *People v Sanchez*, 98 NY2d 373; *People v Roe*, 74 NY2d 20; *People v Bussey*, 19 NY3d 231.) II. Appellant was denied his due process right to a fair trial by the court's failure to respond meaningfully to a jury note asking why the grand jury prosecutor had been "dismissed" from the case, when the court inaccurately told the jurors that there was no evidence of that, and, believing incorrectly that both parties had to consent to any response, refused to inform them of the circumstances of that dismissal because the prosecutor objected. (*People v Taylor*, 26 NY3d 217; *People v Alcide*, 21 NY3d 687; *People v Santi*, 3 NY3d 234; *People v Malloy*, 55 NY2d 296; *People v Lourido*, 70 NY2d 428; *People v Cronin*, 60 NY2d 430; *People v Extale*, 18 NY3d 690.)

Richard A. Brown, District Attorney, Kew Gardens (*Eric C. Washer, John M. Castellano* and *Joseph N. Ferdenzi* of counsel), for respondent. I. Defendant's claim that his guilt of depraved indifference assault was not proved beyond a reasonable doubt is unpreserved and, in any event, meritless. (*People v Gray*, 86 NY2d 10; *People v Hawkins*, 11 NY3d 484; *People v Finch*, 23 NY3d 408; *People v Gonzalez*, 1 NY3d 464; *People v Vivenzio*, 62 NY2d 775; *People v Suarez*, 6 NY3d 202; *People v Walters*, 127 AD3d 889; *People v Taylor*, 15 NY3d 518; *People v Jackson*, 29 NY3d 18; *People v Contes*, 60 NY2d 620.) II. The court meaningfully responded to the jury's inquiry about why the prosecutor who presented this case to the grand jury was dismissed. (*People v Steinberg*, 79 NY2d 673; *People v Almodovar*, 62 NY2d 126; *People v Lourido*, 70 NY2d 428; *People v Taylor*, 26 NY3d 217; *People v Berger*, 188 AD2d 1073; *People v Davis*, 223 AD2d 376; *People v Arreaga*, 17 AD3d 604; *People v Cronin*, 60 NY2d 430; *People v Crimmins*, 36 NY2d 230.)

OPINION OF THE COURT

Garcia, J.

Defendant Theodore Wilson assaulted his girlfriend on multiple occasions over a period of two months, causing numerous broken bones, a brain injury, and lifelong cognitive impairments. The question for this Court is whether that proof provided sufficient evidence to support his conviction for depraved indifference assault (Penal Law § 120.10 [3]). We conclude that there was and therefore affirm.

I.

The victim met defendant after relocating from Utah to New York in January 2010 and he moved in with her not long after. In August 2011, the victim suffered a burst blood clot on her ear. When the doctor at a local hospital examined her, however, he noticed "evidence of previous trauma," including signs of bruising that had healed abnormally. She claimed that she had been hit by a baseball a few weeks earlier.

In September 2011, defendant spoke with the victim's mother, complaining that the victim was behaving strangely and "banging her head against the wall." He suggested that she might be possessed by an evil spirit. The victim's mother proposed that her daughter receive a spiritual blessing, intending to use this ceremony as a way for others to get into the apartment and check on her daughter. Defendant also called a friend who was a nurse and told him that the victim had fallen and was acting "possessed." The friend heard moaning in the background and advised defendant to take the victim to the hospital.

On October 1, 2011, two clergymen arrived at the apartment to perform the blessing. They found the victim lying on a mattress, rocking back-and-forth and moaning incoherently. She was visibly injured. Defendant claimed the injuries were self-inflicted—the result of her possession by an evil spirit. In response to the suggestion that defendant seek medical attention for the victim, defendant replied, "they will blame it on me," but later agreed that the clergymen should call an ambulance. When first responders arrived, they discovered that the victim had suffered severe injuries. An emergency medical technician (EMT) asked the victim several times whether she was afraid, and, at one point, she nodded affirmatively. The EMTs eventually carried her to an ambulance and called the police. Once in the ambulance, an EMT asked the victim whether defendant had done this to her and she responded affirmatively.

At the hospital, the victim lapsed into a coma, and she had to be resuscitated and put on a ventilator. A subsequent examination revealed that she had suffered black eyes, an infected cigarette burn, "cauliflower ear," broken ribs, a collapsed lung, several broken vertebrae in her neck and back, a fractured orbital bone, a broken nose, a dislocated shoulder, a shattered breastbone, multiple lacerations, and bruises all over her body. A CAT scan also revealed a type of brain injury generally caused by "violent force trauma to the head" that is fatal in 90% of cases. The 10% who survive suffer lifelong health effects, as the victim has, including physical and cognitive injury.

According to the trauma surgeon, these injuries were "all in various stages of healing" suggesting that they had been inflicted at different times. The surgeon testified that he had difficulty "assign[ing] an exact date and time" for when these injuries occurred but he opined that some of the victim's ribs had been broken within 24 hours of her admission to the hospital. The breastbone fracture, however, could have been months old given the degree to which it had already healed. He opined that the victim's injuries could not have been self-inflicted as some were so debilitating that it would have been physically impossible for her to continue injuring herself. According to the expert, had the victim not been admitted to the hospital, she probably would have succumbed to her injuries within a matter of hours. She ultimately spent three weeks in intensive care and currently lives in an assisted-living facility.

A grand jury indicted defendant on one count of attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), one count of intentional assault in the first degree (*id.* § 120.10 [2]), one count of depraved indifference assault in the first degree (*id.* § 120.10 [3]), and one count of intentional assault in the second degree (*id.* § 120.05 [1]). These charges were based on defendant's continuing course of conduct during the two-month period between August and October 2011. The jury found defendant guilty of first-degree depraved indifference assault and second-degree intentional assault, but acquitted him of the other charges.

The Appellate Division unanimously affirmed the judgment, holding that "the People adduced legally sufficient evidence to support the defendant's conviction of assault in the first degree under Penal Law § 120.10 (3) beyond a reasonable doubt, as the evidence of the defendant's conduct supported a finding of depraved indifference" (*People v Wilson*, 147 AD3d 793, 793 [2d Dept 2017] [citation omitted]). A Judge of this Court subsequently granted defendant leave to appeal (*People v Wilson*, 29 NY3d 1089 [2017]).

II.

On appeal, defendant contends that the evidence was insufficient to prove the mental state of depraved indifference for first-degree assault because he intentionally inflicted the injuries and therefore could not have possessed, as a matter of law, the requisite mens rea. "A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements proved beyond a reasonable doubt" (*People v Bailey*, 13 NY3d 67, 70 [2009] [internal quotation marks omitted]). The reviewing court, in other words, must "marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained [their] burden of proof" (*People v Danielson*, 9 NY3d 342, 349 [2007]).

A person is guilty of depraved indifference assault in the first degree when, "[u]nder circumstances evincing a depraved indifference to human life, [that person] recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes serious physical injury to another person" (Penal Law § 120.10 [3]). To prove the requisite mens rea, the People must show both (1) recklessness creating a grave risk of death and (2) a depraved indifference to human life (*see People v Barboni*, 21 NY3d 393, 400 [2013]).[1] This Court has made clear that "depraved indifference" is a culpable mental state (*see People v Feingold*, 7 NY3d 288 [2006]). For first-degree assault, the depraved indifference must reflect wanton cruelty, brutality, or callousness, combined with an utter indifference as to whether the victim lives or dies (*see People v Suarez*, 6 NY3d 202, 213 [2005]). That is, depraved indifference is "an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn't care whether grievous harm results or not" (*Feingold*, 7 NY3d at 296 [internal quotation marks omitted]). Notably, "depraved

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1. "A person acts recklessly with respect to a result or to a circumstance described by a statute defining an offense when [that person] is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation" (Penal Law § 15.05 [3]).

indifference assault can be a continuing crime" and "the element of depravity can be alleged by establishing that defendant engaged in a course of conduct over a period of time" (*People v Bauman*, 12 NY3d 152, 155 [2009]).

[1] Here, the People adduced legally sufficient evidence to support a finding of depraved indifference, including both (1) recklessness creating a grave risk of death and (2) a depraved indifference to the victim's life. First, the People offered expert testimony that the victim suffered a "protracted continuous injury pattern over months," suggesting a prolonged period of domestic abuse. Her injuries included, among other things, scarring, bruising, a dislocated shoulder, a collapsed lung, a broken breastbone, broken ribs, and permanent brain damage. The trauma surgeon opined that, had she not been admitted to the hospital, she would have succumbed to her injuries in a matter of hours. Defendant's sustained violence in the face of her worsening condition demonstrates that he consciously disregarded a grave risk that the victim would die.

Second, given the duration and severity of these injuries, the jury had a valid line of reasoning to infer that defendant tortured his girlfriend in a manner that demonstrated a depraved indifference to her life. The victim's injuries, inflicted by blunt force trauma over a period of months, demonstrate the type of "uncommon brutality" and "inhuman cruelty" contemplated by a depraved indifference crime (*Suarez*, 6 NY3d at 216). That conduct ranged from burning the victim with a cigarette to causing her permanent brain damage. The continuing abuse, moreover, occurred during a two-month period in which defendant had multiple opportunities "to regret his actions and display caring, but failed to take the opportunity" (*Barboni*, 21 NY3d at 403). Instead, he attempted to hide the severity of those injuries and suggested that they were self-inflicted. Defendant also isolated the victim, obstructed those who sought to check on her, and ignored his friend's advice that the victim needed immediate medical attention. When the victim was near death, and the clergymen suggested calling an ambulance, defendant's only concern was that he would be "blamed" for her injuries. Defendant's "failure, over some [time], to seek medical attention" for the gravely-injured, brain-damaged victim, coupled with the brutal and repetitive trauma inflicted on her, established the requisite level of depraved indifference to human life (*id.*).

Viewing the evidence in a light most favorable to the People, a rational juror could conclude that defendant was indifferent to whether his victim lived or died, and that he recklessly engaged in conduct creating a grave risk of death—notwithstanding the fact that he may have also intended to inflict harm on any given occasion.

Contrary to defendant's assertion, proof of an intent to inflict serious physical injury does not necessarily preclude a finding of depraved indifference in assault cases. As this Court has observed, "[a] defendant could certainly intend one result—serious physical injury—while recklessly creating a grave risk that a different, more serious result—death—would ensue from his actions" (*People v Trappier*, 87 NY2d 55, 59 [1995]; *see also People v Dubarry*, 25 NY3d 161, 173 [2015] [reaffirming *Trappier* post-*Feingold*]; *People v Baker*, 14 NY3d 266, 271 [2010] [same]; *Matter of Suarez v Byrne*, 10 NY3d 523, 540-541 [2008] [same]). Indeed, not every serious physical injury—whether "protracted disfigurement" or "protracted loss or impairment of the function of any bodily organ"—"creates a substantial risk of death" within the meaning of Penal Law § 10.00 (10). Unlike the distinction between intentional and reckless homicide (*see People v Gallagher*, 69 NY2d 525, 529 [1987]), "there is no inconsistency if the defendant acts with different mental states with regard to two different potential or intended results. The obvious example is where the defendant intentionally beats [the] victim but is indifferent and reckless as to whether the victim dies" (*Sweet v Bennett*, 353 F3d 135, 144 [2d Cir 2003, Walker, J., concurring]). In such a case, the defendant could be properly charged with both intentional and depraved indifference assault insofar as "he acted intentionally *as to* causing serious physical injury, but recklessly *as to* causing a grave risk of death" (*id.* at 148).

Considering the nature and location of the victim's injuries, a reasonable jury could conclude that defendant did not intend to kill, and the jury apparently accepted that view of the evidence, acquitting defendant of attempted murder. The jury instead found that defendant intended to cause serious physical injury, convicting him of intentional assault in the second degree, while simultaneously finding that his abuse had recklessly created a grave risk of death. Defendant acted with separate mental states regarding separate outcomes—i.e., serious physical injury and risk of death. And the separate mental states of intent and recklessness "are not mutually exclusive when applied to different outcomes" (*Trappier*, 87 NY2d at 57).

III.

Defendant further contends that the evidence was insufficient "because one-on-one crimes generally cannot be charged under a depraved indifference theory and this case does not fit within the very limited exception to this rule." Defendant, in other words, asks us to classify this assault as falling within the narrow exceptions we have articulated for bringing depraved indifference murder charges in one-on-one killings.

In *People v Feingold*, we held that "depraved indifference to human life is a culpable mental state" rather than an objective assessment of the degree of risk presented by a defendant's reckless conduct, overruling our earlier precedent to the contrary (7 NY3d 288, 294 [2006]). Our decision in *Feingold* represented the culmination of a series of cases involving one-on-one attacks with a deadly weapon in which we reversed depraved indifference murder convictions because the defendants had an incontrovertible intent to kill (*see e.g. People v Suarez*, 6 NY3d 202 [2005]; *People v Payne*, 3 NY3d 266 [2004]; *People v Gonzalez*, 1 NY3d 464 [2004]; *People v Hafeez*, 100 NY2d 253 [2003]).

We did, however, delineate two exceptional circumstances in which such a one-on-one confrontation might suffice to establish the mental state of depraved indifference. The first circumstance occurs "when the defendant intends neither to seriously injure, nor to kill, but nevertheless abandons a helpless and vulnerable victim in circumstances where the victim is highly likely to die" (*Suarez*, 6 NY3d at 212; *see e.g. People v Mills*, 1 NY3d 269 [2003]; *People v Kibbe*, 35 NY2d 407 [1974]). The second circumstance occurs "when a defendant—acting with a conscious objective not to kill but harm—engages in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim" (*Suarez*, 6 NY3d at 212; *see e.g. People v Best*, 85 NY2d 826 [1995]; *People v Poplis*, 30 NY2d 85 [1972]). As we explained in *Barboni*:

> "A brutal course of conduct against a vulnerable victim occurring over a prolonged or extended period of time is more likely to be associated with the mental state of depraved indifference to human life than brutality that is short in duration and is not repeated. This is because the actor had the opportunity to regret his actions and display caring, but failed to take the opportunity" (21 NY3d at 403).

[2] Here, the trial court instructed the jury, in accordance with *Suarez*, that they could find defendant acted with depraved indifference to human life if, "having a conscious objective not to kill but to harm, he engages in . . . a brutal, prolonged and potentially fatal course of conduct against a particularly vulnerable victim." The failure of either party to object to the charge meant that "the law as stated in that charge became the law applicable to the determination of the rights of the parties . . . and thus established the legal standard by which the sufficiency of the evidence to support the verdict must be judged" (*Harris v Armstrong*, 64 NY2d 700, 702 [1984]). Thus, "the legal sufficiency of defendant's conviction must be viewed in light of the court's charge as given without exception" (*People v Ford*, 11 NY3d 875, 878 [2008]).[2]

Viewed as such, the jury could reasonably conclude that the victim's injuries were so severely debilitating that the repeated trauma rendered her particularly vulnerable. In fact, the victim could barely move and speak before she lapsed into a coma. The People also presented sufficient evidence from which the jury could infer that the victim's injuries persisted for a prolonged period of time. Defendant nonetheless contends that the "particularly vulnerable victim" classification is limited to young children and, therefore, an abused domestic partner would not qualify. Contrary to defendant's contention, however, this Court has never held that only young children can warrant the "particularly vulnerable victim" classification for the purposes of this exception.[3] It would be exceedingly strange to find that a defendant possesses the requisite mental state when he or she abandons a helpless adult victim (*see Kibbe*, 35 NY2d at 409-410), but not when a defendant subjects an equally helpless adult victim to a prolonged period of torture.

In any event, defendant is incorrect that depraved indifference assault must fit into one of the narrow exceptions for bringing depraved indifference murder charges in one-on-one killings. Our concerns in the depraved indifference murder cases were grounded in the fact that "[i]ntentional murder and depraved indifference murder are equivalent in that both are

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2. We consider defendant's argument about the general availability of the "particularly vulnerable victim" exception to the extent implicated by his claim that the evidence is insufficient to establish that the victim here was "particularly vulnerable." That claim, as we discuss, is without merit.

3. In *Suarez* and its companion case, we discussed both exceptions in the context of one-on-one stabbings involving adult victims (6 NY3d at 212-213).

classified at the highest grade and carry the same penalty" (*Suarez*, 6 NY3d at 206). This Court noted with alarm "[t]he proliferation of the use of depraved indifference murder as a fallback theory under which to charge intentional killers" finding that it "reflect[ed] a fundamental misunderstanding of the depraved indifference murder statute" (*id.* at 207). We were also concerned that jurors would convict a defendant of depraved indifference murder when the evidence did not support the verdict because they could "conclude that anyone who would intentionally take a life is depraved, or because they mistakenly believe that depraved indifference murder is a lesser offense than intentional murder and are reluctant to convict of the 'most serious' charge" (*id.*). Consequently, we clarified that depraved indifference murder "properly applies only to a small, and finite, category of cases where the conduct is at least as morally reprehensible as intentional murder" (*id.*).

Absent circumstances in which bystanders might be endangered by defendant's conduct, "a one-on-one shooting or knifing (or similar killing) can almost never qualify as depraved indifference murder" (*Payne*, 3 NY3d at 272). That is so because a manifest intent to kill necessarily negates a reckless indifference to the victim's life (*see Gallagher*, 69 NY2d at 529). As a result, "[a] defendant may be convicted of depraved indifference murder when but a single person is endangered in only a few rare circumstances" (*Suarez*, 6 NY3d at 212). But a one-on-one assault, particularly where no deadly weapon is involved, can qualify as a depraved indifference assault in more than these "few rare circumstances" because there is no inconsistency in finding an intent to cause serious physical injury and a reckless indifference as to whether the victim lives or dies. As defined, "serious physical injury includes an injury causing not only death or a substantial risk of death but also serious and protracted disfigurement, protracted impairment of health or protracted loss or impairment of the function of any bodily organ" (*Trappier*, 87 NY2d at 59, citing Penal Law § 10.00 [10]). Contrary to the concurrence's suggestion (Rivera, J., concurring op at 14), not all serious physical injuries will create a substantial risk of the victim's death. The intentional infliction of protracted disfigurement, for example, "does not rule out the possibility" that the defendant may have also unintentionally—yet recklessly—created a grave risk of death "since not all 'serious' injuries are necessarily life threatening" (*People v*

Moloi, 135 AD2d 576, 577 [2d Dept 1987]). Thus, depraved indifference assault differs from depraved indifference murder insofar as guilt of intent to cause serious physical injury does not necessarily negate guilt of depraved indifference to human life.

Moreover, the categories of first-degree assault do not create any risk of a misperception that depraved indifference assault is a less serious crime than intentional assault. In the murder context, a jury might well consider "indifference" to death a less culpable state of mind than "intentional" murder, even though the crimes are equivalent for purposes of punishment (*see Suarez*, 6 NY3d at 207). Depraved indifference assault likewise requires that same depraved indifference to whether the victim lives or dies, but intentional assault in the first degree, as charged here, requires proof that defendant intended, not to kill the victim, but rather to "disfigure" the victim "seriously and permanently, or to destroy, amputate or disable permanently a member or organ of [her] body" (Penal Law § 120.10 [2]). Given the clear difference between the elements of each, it would be difficult for a jury to infer that depraved indifference assault is a lesser degree of intentional assault (*see Suarez*, 6 NY3d at 211).

For these reasons, depraved indifference assault should not be constrained to the exceptions to the rule against charging depraved indifference murder in one-on-one killings.

IV.

That is not to say evidence of domestic violence automatically supports a verdict of depraved indifference assault in all cases. The People must marshal sufficient evidence to support each element of that crime, including the mens rea for depraved indifference. The defendant must recklessly create a grave risk of death and, in doing so, exhibit wanton cruelty, brutality, or callousness, combined with an utter indifference as to whether the victim lives or dies. The burden is a significant one, but it was met here: when viewed in the light most favorable to the People, the evidence presented the jury with a valid line of reasoning to find defendant guilty of depraved indifference assault.

Defendant's remaining contention is without merit. Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (concurring). I agree with the majority that, when viewed in the light most favorable to the People, the evidence in this case presented the jury with a valid line of reasoning to find defendant guilty of depraved indifference assault (majority op at 7-8). This appeal is controlled by the holding in *People v Trappier*, where the Court explained that "[a] defendant could certainly intend one result—serious physical injury—while recklessly creating a grave risk that a different, more serious result—death—would ensue from his actions" (87 NY2d 55, 57-59 [1995]). Thus, defendant is incorrect that because he intended to injure the victim, there is no way he could have acted with depraved indifference to creating a grave risk of death to the victim, and thereby caused her serious physical injury. Nevertheless, I disagree with the majority's suggestion that cases of depraved indifference assault are neither rare nor limited to a narrow subset of assaults (majority op at 11-12).

A person is guilty of depraved indifference assault in the first degree when, "[u]nder circumstances evincing a depraved indifference to human life, [that person] recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes serious physical injury to another person" (Penal Law § 120.10 [3]). This Court has clearly stated that "depraved indifference" is a culpable mental state that reflects a defendant's wanton cruelty, brutality, or callousness, combined with an utter indifference as to whether the victim lives or dies (*People v Feingold*, 7 NY3d 288, 294 [2006]; *People v Suarez*, 6 NY3d 202, 213 [2005]). This mens rea is the common element in depraved indifference assault and depraved indifference murder (*compare* Penal Law § 120.10 [3], *with* § 125.25 [2]; *see also Feingold*, 7 NY3d at 290 ["depraved indifference" has same meaning in murder and reckless endangerment statutes]). We have stated explicitly that "[t]his state of mind is found only in 'rare cases' " (*People v Lewie*, 17 NY3d 348, 359 [2011], citing *Suarez*, 6 NY3d at 218-219).

One of the lessons of our depraved indifference jurisprudence is that the depraved indifference mens rea is "not just recklessness" but a culpable mental state "best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn't care whether grievous harm results or not" (*Suarez*, 6 NY3d at 213-214). Of the two fact patterns the Court has identified as illustrating depraved indifference, one requires that the defendant "intends neither to seriously injure, nor to kill, but nevertheless abandons a helpless and vulnerable victim in circumstances where the victim is highly likely to die . . . [with]

utter callousness to the victim's mortal plight—arising from a situation created by the defendant," and the other involves a defendant who "acting with a conscious objective not to kill but to harm—engages in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim" (*id.* at 212). In neither scenario does the defendant merely show a reckless disregard for the victim's fate. In each case, a reasonable person would know the conduct put the victim's life in serious danger, and yet the defendant continues undeterred, consciously and callously.

The actus reus element of depraved indifference assault requires that the defendant cause serious physical injury to the victim. The Penal Law defines "serious physical injury" as "physical injury which creates a substantial risk of death, or which causes death or serious and protracted disfigurement, protracted impairment of health or protracted loss or impairment of the function of any bodily organ" (Penal Law § 10.00 [10]). By definition, a person who intentionally inflicts serious physical injury upon a victim may thereby create a substantial risk of the victim's death, and, as such, betray a reckless indifference as to whether the victim lives or dies. Under the majority's expansive construction of depraved indifference assault, the only difference between acting with the intent to cause serious physical injury (assault in the second degree [Penal Law § 120.05 (1)]), and acting with depraved indifference causing serious physical injury (assault in the first degree) in these situations is that in the former the defendant creates a "substantial risk of death," and in the latter the defendant creates a "grave risk of death," as in both crimes serious physical injury results. The majority also points out there are situations in which defendant was not necessarily intending to create a substantial risk of death, but only serious disfigurement, protracted impairment of health, or protracted loss or impairment of the function of a bodily organ (majority op at 11-12). This does not affect the analysis because even if a defendant intended to, and did, cause the victim serious disfigurement, recklessly putting the victim's life in danger, this would not necessarily constitute depraved indifference assault. As we have held, "[c]ircumstances evincing a depraved indifference to human life are not established by recklessness coupled only with actions that carry even an inevitable risk of death" (*Suarez*, 6 NY3d at 214 [internal quotation marks omitted]). *Suarez* makes clear that an assault in which the defendant recklessly puts the victim's life in danger cannot be elevated into depraved indifference assault "merely because the actions of the defendant created a risk of death, however *grave or substantial* that risk may have been" (*id.* at 213 [emphasis added]).

The majority unpersuasively asserts that the concerns articulated in the Court's depraved indifference murder cases do not apply to depraved indifference assault (majority op at 10-11). I disagree. The cases reflect concerns about an overexpansive construction of depraved indifference mens rea and possible jury confusion in perceiving the distinctive nature of this mental state. Thus, in *Feingold*, the Court clarified that defendants who acted with homicidal intent or mere recklessness do not, for that reason, act with depraved indifference, and so cannot be convicted of a crime for which depraved indifference is an element (7 NY3d at 292-293). Indeed, responding to the dissent's analogy with first-degree reckless endangerment, a crime involving depraved indifference (*id.* at 297-298 [Ciparick, J., dissenting]), the Court explicitly distinguished those earlier cases, observing "that [they] rest on the [different] premise that depraved indifference is measured not by a culpable mental state but by an objective assessment of the risk involved" (*Feingold*, 7 NY3d at 294 n 2). The fact that, in assault cases, a defendant may be convicted based on two different results is irrelevant. The question remains whether the mens rea as to one of those results reflects the narrow category of depravity that is the essence of depraved indifference. "Our cases make clear that the word 'indifference' is to be taken literally" (*see Lewie*, 17 NY3d at 359), and that directive holds regardless of whether the crime charged is murder or assault.

No more persuasive is the majority's speculative conclusion that jurors will not misperceive that depraved indifference assault is a less serious crime than intentional assault (majority op at 12). It is not difficult to imagine that some jurors might believe intentionally amputating the limb of a victim (Penal Law § 120.10 [2]), for example, is worthy of greater punishment than an assault that causes serious physical injury when the defendant demonstrates a reckless disregard for the life of the victim. In my view, the animating concerns reflected in our depraved indifference murder jurisprudence resonate equally—if not more powerfully—in the depraved indifference assault cases, where one event may lead to multiple results based on different mens rea elements.

It is not possible to list with specificity those cases that will meet the criteria for depraved indifference assault, as "cases involving a depraved indifference to human life are highly fact-specific and dependent upon the individual defendant's particular mental state—a factor that may be extremely difficult to establish" (*People v Heidgen*, 22 NY3d 259, 276 [2013]). What we can say with confidence is that depraved indifference assault, like depraved indifference murder, is a category that befits only the rarest of cases (*see Lewie*, 17 NY3d at 359). Human experience shows that not every heinous act of violence will evince a depraved mens rea. As the majority correctly states, not every act of domestic violence will subject a defendant to prosecution for depraved indifference assault (majority op at 12). Rather, a defendant may only be found guilty of depraved indifference assault where, like here, the defendant demonstrates an utter disregard for the value of the victim's life, simply not caring whether the victim lives or dies.

WILSON, J. (concurring in the result). I concur in the result for a much simpler reason than that expounded by the majority.

Here, the jury found that "defendant intended to cause serious physical injury, convicting him of intentional assault in the second degree, while simultaneously finding that his abuse had recklessly created a grave risk of death" (majority op at 8). The majority interprets those findings to mean that Mr. Wilson "acted with separate mental states regarding separate outcomes" (*id.*). Although the jury's verdicts were rendered simultaneously, that does not imply the crimes were committed at the same time. The evidence demonstrated that Mr. Wilson committed numerous separate batteries of his victim over the course of several months. As a result of his attacks, she was mentally incapacitated—and thus particularly vulnerable—for at least several weeks before her rescue, while the batteries continued. Viewing the evidence in the light most favorable to the People, the simplest basis on which to uphold the convictions is that Mr. Wilson acted with separate mental states, not regarding separate outcomes, but on separate occasions: attacking his victim at some times with the intent to cause serious physical injury and at others under circumstances evincing a depraved indifference to human life.

Although academically interesting, there is no reason in this case to ruminate about whether an assailant can consistently be found to harbor, simultaneously, an intent to seriously injure and a reckless indifference to whether the victim lives or dies. As Judge Rivera notes in her concurrence, that dual mens rea is likely exceedingly rare; to sustain Mr. Wilson's conviction, we need not surmise he harbored it.

Chief Judge DIFIORE and Judges STEIN, FAHEY and FEINMAN concur; Judge RIVERA concurs in result in an opinion; Judge WILSON concurs in result in a separate concurring opinion.

Order affirmed.

[109 NE3d 555, 84 NYS3d 406]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STEVEN MYERS, Appellant.

Argued June 6, 2018; decided June 27, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 23, 2016. The Appellate Division affirmed a judgment of the Onondaga County Court (James H. Cecile, J.), which had convicted defendant, upon his plea of guilty, of burglary in the third degree.

People v Myers, 145 AD3d 1596, affirmed.

HEADNOTE

Crimes — Indictment — Validity of Waiver

Defendant's waiver of his right to be prosecuted by indictment by a grand jury was valid notwithstanding the absence of a colloquy with the court eliciting defendant's understanding of the right being waived, where defendant signed a waiver under oath in open court after consulting with counsel and with counsel present at the signing as required by New York Constitution, article I, § 6. The Constitution itself conclusively precludes a holding that a written waiver of the right to indictment by grand jury is always ineffective unless a judge conducts an oral inquiry on the record. When the language of a constitutional provision such as this is clear and, as here, leads to no absurd conclusion, there is no occasion, and it would be improper, to search beyond the instrument for an assumed intent. Compliance with the constitutionally-specified waiver mechanism establishes the prima facie validity of the waiver of the right to prosecution by indictment. Absent record evidence suggesting that a defendant's waiver was involuntary, unknowing or unintelligent, the prima facie showing is conclusive. There was nothing in the record here to suggest that defendant did not understand what he was waiving. The better practice, however, is for courts to elicit defendants' understanding of the significance of the right being waived, to minimize future challenges to the effectiveness of the waiver.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Indictments and Informations §§ 15, 16.

CARMODY-WAIT 2d Commencing the Prosecution; Grand Jury §§ 178:397, 178:399.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 15.1.

MCKINNEY'S, NY Const, art I, § 6.

NY JUR 2d Criminal Law: Procedure §§ 1338, 1340.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations.

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POINTS OF COUNSEL

D.J. & J.A. Cirando, Esqs., Syracuse (*John A. Cirando, Bradley E. Keem* and *Elizabeth deV. Moeller* of counsel), for appellant. I. Appellant's waiver of indictment was not knowingly, intelligently, and voluntarily entered. (*People v Boston*, 75 NY2d 585; *Matter of Simonson v Cahn*, 27 NY2d 1; *People v Banville*, 134 AD2d 116; *People v Page*, 88 NY2d 1; *People v McQueen*, 52 NY2d 1025; *People v Davis*, 49 NY2d 114; *People v Duchin*, 12 NY2d 351; *People v Wallace*, 250 AD2d 398; *People v Davidson*, 136 AD2d 66; *People v Teatom*, 91 AD3d 1025.) II. Appellant did not validly waive his right to appeal. (*People v Bradshaw*, 18 NY3d 257; *People v Callahan*, 80 NY2d 273; *People v Seaberg*, 74 NY2d 1; *People v Moissett*, 76 NY2d 909; *People v Lopez*, 6 NY3d 248; *People v Johnson*, 109 AD3d 1191; *People v Ramos*, 7 NY3d 737; *People v McCoy*, 107 AD3d 1454; *People v Carno*, 101 AD3d 1663.)

William J. Fitzpatrick, District Attorney, Syracuse (*Nicole K. Intschert* and *James P. Maxwell* of counsel), for respondent. I. Defendant properly waived indictment. (*People v Rivera*, 24 AD3d 367; *People v Trueluck*, 88 NY2d 546; *People v Pierce*, 14 NY3d 564; *People v Boston*, 75 NY2d 585; *People v Waid*, 26 AD3d 734, 6 NY3d 839; *People v Harris*, 267 AD2d 1008; *People v Powers*, 302 AD2d 685; *People v Long*, 273 AD2d 67; *People v Verrone*, 266 AD2d 16, 94 NY2d 868; *People v Rossborough*, 101 AD3d 1775.) II. There was no colloquy regarding defendant's waiver of the right to appeal. (*People v Callahan*, 80 NY2d 273; *People v Harris*, 61 NY2d 9.)

OPINION OF THE COURT

Wilson, J.

Until 1974, our State's Constitution guaranteed criminal defendants the unwaivable right to indictment by a grand jury. In 1974, the Constitution was amended to provide that defendants could waive that right by signing a written instrument in open court in the presence of their counsel (NY Const, art I, § 6). Because Steven Myers and the court supervising his waiver followed that procedure, we affirm his conviction. We emphasize, however, that the better practice—captured in the relevant model colloquy—is for courts to elicit defendants' understanding of the significance of the right being waived, to minimize future challenges to the effectiveness of the waiver (*see* NY Model Colloquies, Waiver of Indictment; Superior Court Information Procedure & Colloquy, http://www.nycourts.gov/judges/cji/8-Colloquies/Waiver%20of%20Indictment%20(SCI).pdf [accessed June 22, 2018]).

I.

Steven Myers waived his right to be prosecuted by indictment by a grand jury. Immediately afterward, he pleaded guilty to the third-degree burglary charged in the superior court information (SCI). The record shows the following took place in County Court on July 9, 2012. The court clerk called Mr. Myers' case. Mr. Myers was not present at that time. His attorney and the prosecutor asked to approach, and they had an off-the-record discussion with the court. Mr. Myers was escorted into the courtroom and conferred with his counsel off the record. The court then said, "We're going to do a brief second call [of other cases], but Mr. Myers will stay at the lectern to meet with [his counsel] on the waiver form." The court continued the calendar call, after which it asked Mr. Myers' counsel if he was ready. Mr. Myers' counsel said he was ready, and the court again called Mr. Myers' case. The court then announced: "The application for grand jury waiver meets the requirements of the statute so I'm going to sign the order approving the waiver and order the information filed." Mr. Myers' counsel acknowledged receipt of the signed order and waived a reading of the SCI in open court. The court immediately moved to a description of the plea agreement Mr. Myers had reached with the prosecutor, to which Mr. Myers allocuted and accepted. During his allocution, Mr. Myers waived his *Boykin* rights and confirmed he could read and write English, suffered from no physical, mental, or substance-related impairment, and had had sufficient time to discuss the case with his attorney.

On appeal from the judgment of conviction and sentence, Mr. Myers argued his waiver of indictment was invalid because there was no evidence in the record that it was executed in open court and no colloquy with the court on the subject.[1] The Appellate Division upheld the validity of the waiver (145 AD3d 1596 [4th Dept 2016]). A Judge of this Court granted Mr. Myers leave to appeal (29 NY3d 1093 [2017]).

II.

Under New York Constitution, article I, § 6,

> "[n]o person shall be held to answer for a capital or otherwise infamous crime . . . , unless on indictment of a grand jury, except that a person held for the action of a grand jury upon a charge for such an offense, other than one punishable by death or life imprisonment, with the consent of the district attorney, may waive indictment by a grand jury and consent to be prosecuted on an information filed by the district attorney; such waiver shall be evidenced by written instrument signed by the defendant in open court in the presence of his or her counsel."

Contrary to Mr. Myers' first argument, the record evidences that the waiver was signed in open court, as set forth in the Constitution. The transcript shows that the court directed Mr. Myers and his counsel to remain at the lectern to discuss the waiver form and includes the court's finding that the "waiver meets the requirements." Mr. Myers' attorney notarized Mr. Myers' signature on the waiver on the day of the court appearance. The court's order approving the waiver expressly states that Mr. Myers executed it "in open court in the presence of his attorney." That record evidence sufficiently demonstrates that Mr. Myers signed the waiver in open court.

Mr. Myers' second argument rests, albeit mistakenly, on a vital and settled proposition: "It is axiomatic in our jurisprudence that a waiver of a substantial right must be made knowingly and intelligently" (*People v Weinberg*, 34 NY2d 429, 431 [1974]). That axiom applies to "many fundamental constitutional rights: the right to confront accusers; the right to counsel; the privilege against self-incrimination; the right to testify and to present a defense; the right to be free from unreasonable searches and seizures; and the right to be present

1. Although Mr. Myers did not move to withdraw his plea or otherwise raise his present claims in County Court, we review his claims positing jurisdictional defects in the superior court information (*see People v Pierce*, 14 NY3d 564, 570 n 2 [2010]; *People v Boston*, 75 NY2d 585, 589 n [1990]).

during trial proceedings" (*People v Gajadhar*, 9 NY3d 438, 448 [2007] [citations omitted]). In many instances, the requisite affirmative showing that those rights have been knowingly, voluntarily, and intelligently waived will include a direct colloquy between the court and the defendant (*see People v Sougou*, 26 NY3d 1052 [2015]; *People v Conceicao*, 26 NY3d 375 [2015]).

In this instance, however, our Constitution specifies that persons held for the action of a grand jury may waive indictment and consent to be prosecuted by information when such waiver is "evidenced by written instrument signed by the defendant in open court in the presence of his or her counsel."[2] Its drafters specified—as a matter of constitutional law—the method by which the grand jury right may be waived. Mr. Myers' argument that those circumstances do not suffice to demonstrate that a waiver is knowing, voluntary, and intelligent runs into an obstacle he would not face were we concerned with a statute alone: here, the Constitution itself conclusively precludes a holding that a written waiver of the right to indictment by grand jury is always ineffective unless a judge conducts an oral inquiry on the record.

We decline to read into the Constitution a requirement that its drafters abjured. Unlike cases involving the waiver of the right to a jury trial, the Constitution does not require the "approval of a judge" before a defendant may proceed by SCI (*cf.* NY Const, art I, § 2).

> "[I]n the case of a constitutional provision like the one before us . . . the writing is the deliberate product of a group of [persons] specially selected for and peculiarly suited to the task of its authorship. It is obvious good sense, under such circumstances, to attribute to the provision's authors the meaning manifest in the language they used. When this language is clear and leads to no absurd conclusion there is no occasion, and indeed it would be improper, to search beyond the instrument for an assumed intent" (*People v Carroll*, 3 NY2d 686, 689 [1958]).

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2. Section 195.20 of the Criminal Procedure Law reiterates the constitutional requirements and specifies additional items the written waiver must include. This Court has emphasized that "[a] waiver of indictment and a departure from the constitutional safeguard and procedural *sine qua non* is available . . . only within the express authorization of the governing constitutional and statutory exception" (*People v Trueluck*, 88 NY2d 546, 549 [1996]).

This case confronts us with no absurd conclusion that would allow a departure from the Constitution's text. The requirement that the waiver be executed in open court in the presence of counsel provides important safeguards: the opportunity for defendants to consult with counsel before signing the form—just as took place here—and the court's observation of the defendant's signature accompanied by counsel. Compliance with the constitutionally-specified waiver mechanism establishes the prima facie validity of the waiver of the right to prosecution by indictment. Absent record evidence suggesting that a defendant's waiver was involuntary, unknowing or unintelligent, the prima facie showing is conclusive. Here, there is nothing in the record to suggest that Mr. Myers did not understand what he was waiving.

Mr. Myers signed a waiver, under oath, in open court, after consulting counsel, and with counsel present at the signing. In that statement, Mr. Myers affirmed that he was aware our Constitution guaranteed him the right to be prosecuted by a grand jury indictment and that he would have the right to testify before that grand jury; that he waived those rights in favor of prosecution by superior court information, and that he did so voluntarily after discussing the facts of his case "as well as the meaning of this waiver" with his attorney. The waiver also set forth the offense with which the superior court information would charge him. In addition, Mr. Myers' counsel signed an affirmation that he had discussed the case and the meaning of the waiver with Mr. Myers, and that counsel was satisfied that Mr. Myers understood "the waiver and its consequences." Those steps satisfied the constitutional requirements. Because those requirements are unique to the waiver of the grand jury right, we have no cause to consider whether the signed waiver, coupled with counsel's affirmation, would constitute the "affirmative showing on the record" of the "intentional relinquishment or abandonment of a known right or privilege" that we require before other rights may be knowingly, intelligently, and voluntarily waived (*People v Tyrell*, 22 NY3d 359, 365 [2013]).

Accordingly, the order of the Appellate Division should be affirmed.

Rivera, J. (dissenting). A waiver of a fundamental right must be made knowingly, voluntarily, and intelligently, meaning that the defendant acts free of coercion and with a full understanding of the consequences of the waiver and the right thereby relinquished. Asking defendants on the record whether they acted with such understanding constitutes the traditional way courts confirm a waiver's validity. A defendant's waiver of the fundamental right to an indictment by grand jury requires no less attention from the courts. The fact that our Constitution provides for a written waiver as a safeguard against uninformed and invalid waivers does not eliminate a court's duty to ensure that a defendant understands the contents of the writing and the right being waived. A colloquy with a defendant is not merely a "better practice" (*see* majority op at 20); it is critical. No waiver is valid absent sufficient judicial inquiry. Therefore, I disagree with the majority that the court here could accept Steven Myers' written waiver without, at the very least, asking him if he understood what he was signing. I dissent.

"The Constitution mandates that no person shall be held to answer for an infamous crime unless upon indictment of the Grand Jury" (*People v Pelchat*, 62 NY2d 97, 104 [1984], citing NY Const, art I, § 6). "[B]efore an individual may be publicly accused of crime and put to the onerous task of defending . . . from such accusations, the State must convince a Grand Jury composed of the accused's peers that there exists sufficient evidence and legal reason to believe the accused guilty" (*People v Iannone*, 45 NY2d 589, 593-594 [1978]). A safeguard inherited from English common law, the grand jury serves the "function of assessing the sufficiency of the prosecutor's case" (*Pelchat*, 62 NY2d at 104), and thereby helps protect against "potentially oppressive excesses by the agents of the government in the exercise of the prosecutorial authority vested in the State" (*Iannone*, 45 NY2d at 593-594). Indictment by grand jury "has therefore been recognized as not merely a personal privilege of the defendant but a public fundamental right, which is the basis of jurisdiction to try and punish an individual. Infringement of that right constitutes a defect that cannot be waived by a guilty plea" (*People v Boston*, 75 NY2d 585, 587 [1990] [internal quotation marks and citations omitted]).

A defendant's waiver of indictment by grand jury, like waivers of other fundamental rights, must be made knowingly, voluntarily, and intelligently (*see People v Weinberg*, 34 NY2d 429, 431 [1974]). It is the responsibility of the court to "make certain [of] a defendant's understanding of the waiver" and ensure "full appreciation of [its] consequences," though "a trial court need not engage in any particular litany or catechism in satisfying itself that a defendant has entered a knowing, intelligent and voluntary . . . waiver" (*People v Bradshaw*, 18 NY3d 257, 264-265 [2011] [internal quotation marks omitted]).[1] "After all, the trial court 'is in the best position to assess all of the relevant factors' " (*id.*, quoting *People v Callahan*, 80 NY2d 273, 280 [1992]).

To fulfill this judicial obligation and ensure that a defendant has acted voluntarily and with the requisite knowledge, we have consistently held that a court must engage in an on-the-record inquiry of the defendant about the fundamental rights encompassed by a waiver (*see e.g. People v Sougou*, 26 NY3d 1052 [2015] [requiring colloquy before accepting pleas]; *People v Henriquez*, 3 NY3d 210, 217 [2004] [requiring colloquy before accepting waivers of right to counsel]; *Bradshaw*, 18 NY3d at 264-265 [requiring colloquy before accepting waivers of right to appeal]; *People v Parker*, 57 NY2d 136, 141 [1982] [requiring express, verbal confirmation before accepting waivers of right to be present at trial]; *Weinberg*, 34 NY2d at 431 [discussing the imperative to provide "an effective admonition of the right to be prosecuted by information" before accepting a defendant's waiver of that right; "(o)nce appraised of this right, a defendant is then in a position to execute a knowing and intelligent waiver"]; *see also Commonwealth v Pavao*, 423 Mass 798, 802, 672 NE2d 531, 534 [1996] ["the critical evidence for determining whether the waiver was made knowingly and voluntarily come(s) directly from the defendant in the colloquy"]).

In the context of accepting guilty pleas, for example, this Court has determined that the record must "affirmatively demonstrate[ ] that defendant understood the consequences of [their] plea, including that [they were] waiving [their] right to trial and to challenge evidence against [them], and that [they] discussed both the plea and [their] sentence with counsel" (*Sougou*, 26 NY3d at 1055). The trial court must "assure[ ] itself that defendant adequately understood the right that [they were] forgoing" (*Bradshaw*, 18 NY3d at 265; *see also People v Tyrell*, 22 NY3d 359, 365 [2013]; *People v Ramos*, 7 NY3d 737, 738 [2006]).

Our law reflects basic common sense: the only way for a court to confirm that a defendant understands what is being waived,

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1. The majority risks distorting this standard, creating a prima facie test that ultimately puts the burden on defendants to show "record evidence suggesting that [their] waiver was involuntary, unknowing or unintelligent" (majority op at 23).

and that it is being waived freely, is to ask the defendant. In recognition of the importance of an appropriate examination, the New York State Unified Court System prepared a model colloquy, which provides for introductory remarks about the waiver, such as “an indictment is issued by a Grand Jury after the Grand Jury has received testimony and other evidence establishing that a person has committed a crime”; questions for defendants, including “[d]o you understand?” “[h]ave you spoken with your lawyer about your case, about waiving your right to be prosecuted by an indictment, and about consenting to be prosecuted by a Superior Court Information?” and “[a]re you satisfied with the services of your lawyer?”; a detailed description of the waiver form; a designated moment in which defendants meet with counsel and then one in which defendants sign the waiver; and queries on voluntariness, including “[h]as anyone threatened you, or forced you, or pressured you to consent against your will?” (NY Model Colloquies, Waiver of Indictment; Superior Court Information Procedure & Colloquy, http://www.nycourts.gov/judges/cji/8-Colloquies/Waiver%20of%20Indictment%20(SCI).pdf [accessed June 20, 2018]).[2]

The majority implies that the drafters of the 1974 amendment, by directing that grand jury waivers be written, intended to establish a ceiling on the procedural safeguards of the constitutional right, rather than a floor (majority op at 22). To the contrary, the written document constitutes only one aspect of ensuring the fulfillment of the drafters’ directive that grand jury indictment waivers be “knowing and voluntary” (Governor’s Mem introducing amendment to NY Const, art I, § 6, 1973 NY Legis Ann at 6).

Moreover, the drafters had no reason to spell out that trial courts must orally confirm a defendant’s understanding of the waiver, since by 1973 it was well established that a colloquy was necessary to ensure that the waiver of a constitutional right was “knowing and voluntary” (*see e.g. People v Beasley*, 25 NY2d 483, 488 [1969] [holding defendants must be “properly asked whether (they) understood the consequences of (their) plea”]; *People v Seaton*, 19 NY2d 404, 406 [1967] [holding a decision to waive right to counsel “impose(s) a heavy responsibil-

2. Taken to its logical conclusion, the majority’s holding makes a court’s inquiry unnecessary, thereby rendering the model colloquy useless. Given that fact, the majority’s suggestion that it would be “better practice” to engage in the model colloquy only serves to create uncertainty and confusion (majority op at 20).

ity upon the trial judge. Before accepting the waiver and the guilty plea, (the trial judge) should have questioned (defendant) and satisfied (them)self, first, that (defendant) understood the consequences of (defendant's) waiver"]; *People v Duchin*, 12 NY2d 351, 353 [1963] [holding that "(w)hen, choosing to be tried by a judge alone, (a defendant) requests a waiver, (they are) entitled to it as a matter of right once it appears to the satisfaction of the judge of the court having jurisdiction that . . . the defendant is fully aware of the consequences of the choice (they are) making"]; *Matter of Bojinoff v People*, 299 NY 145, 151-152 [1949] [stating that "(i)t is also well established that waiver of such statutory and constitutional rights is occasioned only when the accused acts understandingly, competently and intelligently, the valuation of the competent evidence being for the court" (citations omitted)]; *People v Koch*, 299 NY 378, 381 [1949] [requiring colloquy before accepting waiver of right to counsel]).

Indeed, the 1974 constitutional amendment was passed five years after the United States Supreme Court decided that "[w]hat is at stake for an accused facing death or imprisonment demands the utmost solicitude of which courts are capable in canvassing the matter with the accused to make sure [they have] a full understanding of what the plea connotes and of its consequence" (*Boykin v Alabama*, 395 US 238, 243-244 [1969]). Thus, it would have been logical for the drafters to assume courts understood the Supreme Court had charged them with "the utmost solicitude," and that courts would view a colloquy as part and parcel of the written waiver. Indeed, it was long-standing law that

> "courts indulge every reasonable presumption against waiver of fundamental constitutional rights and that we do not presume acquiescence in the loss of fundamental rights. A waiver is ordinarily an intentional relinquishment or abandonment of a known right or privilege. The determination of whether there has been an intelligent waiver of the right to counsel must depend, in each case, upon the particular facts and circumstances surrounding that case, including the background, experience, and conduct of the accused . . . .
>
> "This protecting duty imposes the serious and weighty responsibility upon the trial judge of

> determining whether there is an intelligent and competent waiver by the accused. While an accused may waive the right to counsel, whether there is a proper waiver should be clearly determined by the trial court, and it would be fitting and appropriate for that determination to appear upon the record" (*Johnson v Zerbst*, 304 US 458, 464-465 [1938] [internal quotation marks omitted]; *see also Von Moltke v Gillies*, 332 US 708, 724 [1948] ["The fact that an accused may tell (the judge) that (the accused) is informed of (the) right to counsel and desires to waive this right does not automatically end the judge's responsibility. . . . A judge can make certain that an accused's professed waiver of counsel is understandingly and wisely made only from a penetrating and comprehensive examination of all the circumstances under which such a plea is tendered"]).

Since that time, we have continued to hold oral inquiries necessary and indeed published a model grand jury indictment waiver colloquy, giving the legislature little reason to review its characterization of a grand jury waiver (*see e.g. Callahan*, 80 NY2d at 283 [holding "there (wa)s no assurance that the waiver was executed under constitutionally acceptable circumstances" where "(t)here was no record discussion between the court and defendant concerning the waiver. There was not even an attempt by the court to ascertain on the record an acknowledgment from defendant that (they) had, in fact, signed the waiver or that, if (they) had, (they were) aware of its contents," and thus "the record simply d(id) not afford a sufficient basis for concluding that defendant's waiver of (their) right to appeal was knowing, intelligent or voluntary"]).

The majority further implies that the absence of the requirement for "approval of a judge" in article I, § 6, while present in article I, § 2, signifies that the drafters of the 1974 amendment knew how to require a colloquy and chose not to do so (majority op at 22). Yet article I, § 2 does not explicitly require a colloquy; we inferred that mandate. Moreover, it was between 1938 and 1974 that key jurisprudence developed making an explicit requisite superfluous.

The grand jury continues to serve a vital role in protecting against "potentially oppressive excesses by the agents of the government in the exercise of the prosecutorial authority" (*Iannone*, 45 NY2d at 593-594; *see also* William Glaberson, *New*

Trend Before Grand Juries: Meet the Accused, NY Times, June 20, 2004, https://www.nytimes.com/2004/06/20/nyregion/new-trend-before-grand-juries-meet-the-accused.html [accessed June 16, 2018] ["the indications that more suspects are testifying and that many of them are not indicted may mean that the New York grand jury system should become a national model to screen weak cases out of the criminal justice system"]). The drafters of our Constitution considered the waiver of this right a significant enough act to require its inscription in a written document, in the presence of counsel and in open court. It would undermine the significance of the written waiver if there were any uncertainty that defendant did not knowingly, intelligently, and voluntarily sign it. Thus, the fact that the drafters demanded a written waiver supports, rather than contradicts, the conclusion that a colloquy is necessary to ensure a defendant's comprehension when waiving the right.

The present case demonstrates the importance of that inquiry. While defendant signed a written waiver, nothing in the court transcript demonstrates that defendant in fact discussed that waiver, or the right relinquished thereby, with counsel. Notably, the court did not ask whether counsel had explained the contents of the waiver to defendant, and counsel made no such representation on the record. The court also failed to inquire whether defendant had read the waiver before signing it or understood its contents, but rather simply accepted the waiver and declared that the document met statutory requisites.

Here, because the court failed to ask even one question of defendant to ascertain whether he understood his right to a grand jury indictment, knew the consequences of waiving that right, or comprehended the written waiver, there is no basis to conclude that defendant's waiver was knowing, voluntary, and intelligent. Therefore, defendant's conviction should be reversed.

Chief Judge DIFIORE and Judges STEIN, FAHEY and GARCIA concur; Judge RIVERA dissents in an opinion in which Judge FEINMAN concurs.

Order affirmed.

[109 NE3d 563, 84 NYS3d 414]

In the Matter of Anonymous, an Intermediate Care Facility, Respondent, v David Molik et al., Appellants.

Argued June 7, 2018; decided June 28, 2018

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 2, 2016, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Schenectady County). The Appellate Division (1) annulled the determination of respondent Justice Center for the Protection of People with Special Needs denying petitioner's request to amend and seal a substantiated report of category four neglect, made after a hearing; (2) granted the petition; and (3) remitted the matter to respondent Justice Center for further proceedings not inconsistent with the Appellate Division's decision.

Matter of Anonymous v Molik, 141 AD3d 162, reversed.

HEADNOTE

Statutes — Construction — Social Services Law § 493 — Concurrent Finding

Respondent Justice Center for the Protection of People with Special Needs did not exceed its authority under Social Services Law § 493 in requiring petitioner residential health care facility to undertake remedial measures to correct systemic problems that led to three sexual assaults committed by the same resident, even though the allegations against the staff members involved were unsubstantiated. Social Services Law § 493 (3) (b) specifies that, in conjunction with a substantiated or unsubstantiated finding of abuse or neglect, a "concurrent finding may be made that a systemic problem caused or contributed to the occurrence of the incident." In the context of the statute, it is clear that the legislature intended a "concurrent finding" to constitute a substantiated finding of abuse or neglect. Otherwise, a determination that a "systemic problem" caused or contributed to an incident of abuse or neglect would not, by itself, trigger any consequences, leaving a gap in respondent's authority where an employee is identified but deemed not responsible for the incident. By using the phrase "systemic problems" in the category four provision (Social Services Law § 493 [4] [d]), the same phrase employed in the concurrent finding provision (Social Services Law § 493 [3] [b]), the statute explicitly places such incidents into the fourth category for findings of abuse and neglect. In other words, category four expressly contemplates those situations where an employee bears little or no personal responsibility for an incident but the allegations are nonetheless substantiated because the incident was caused by systemic issues for which the facility is accountable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Compromise and Settlement §§ 24, 29, 30; Am Jur 2d Insurance §§ 1642, 1643.
McKinney's, Social Services Law § 493.
NY Jur 2d Hospitals and Related Health Care Facilities § 230; NY Jur 2d Statutes § 99.

ANNOTATION REFERENCE

See ALR Index under Hospitals; Statutes.

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POINTS OF COUNSEL

Barbara D. Underwood, Attorney General, Albany (*Kathleen M. Treasure, Andrea Oser* and *Victor Paladino* of counsel), for appellants. Social Services Law § 493 authorizes the Justice Center for the Protection of People with Special Needs to make a finding of neglect against a provider when systemic problems caused or contributed to an incident of neglect. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

Cappello & Linden, Potsdam (*Jacqueline M. Caswell* of counsel), for respondent. The Justice Center for the Protection of People with Special Needs does not have the authority to substantiate a report of abuse or neglect against a facility or provider agency where the purported neglect relates to systemic deficiencies of the facility or provider agency. (*Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471.)

OPINION OF THE COURT

Garcia, J.

Three sexual assaults, committed by the same resident, occurred within a six-month period at petitioner's residential health care facility. The Justice Center for the Protection of

People with Special Needs, acting pursuant to Social Services Law § 493, required petitioner to undertake certain remedial measures to correct the systemic problems that led to the attacks. We hold that the Justice Center acted within its statutory authority.

I.

Petitioner operates a 12-bed intermediate health care facility licensed to provide services to people with various cognitive and developmental disabilities. In June 2013, after a resident aide briefly left the facility's common room, a male resident (S.H.) engaged in inappropriate sexual contact with a female resident. This incident was the third time in six months that S.H. had sexually assaulted another resident.

The Justice Center thereafter investigated a report of neglect against the aide and residence supervisor. The Justice Center found the allegations against the two employees to be unsubstantiated, reasoning that there were no policies or requirements in place that prohibited staff from leaving the common room unattended. However, the Justice Center substantiated allegations of neglect against petitioner (the facility) for failing to implement clear staff supervision protocols and for failing to modify S.H.'s care plan to increase his level of supervision after the first two attacks. The Justice Center noted:

> "Failure to have these policies in place exposed [the victim] to harm or the risk of harm, but any culpability by other facility staff is mitigated by these systemic failures. Based on these findings, this case is being referred to the Office for People With Developmental Disabilities [OPWDD] and the Justice Center's Oversight and Monitoring Unit to monitor that appropriate corrective actions have been put into place."

Petitioner thereafter asked the Justice Center to amend the report to "unsubstantiated" and to seal it.

Following a hearing, the administrative law judge denied petitioner's request, concluding that "[t]he Justice Center has established by a preponderance of evidence that [petitioner's] lack of action constituted neglect and the proper level is category four" under Social Services Law § 493 (4) (d). The ALJ reasoned, in part, that "[t]he Agency needs to balance [S.H.'s] freedom with the safety and security of the other residents," and that, at the time of the third incident, "the Agency policies and procedures left the service recipients in the home vulnerable because [S.H.] was unsupervised during the day." The ALJ explained that Social Services Law § 493 "clearly allows a category four finding" of neglect against a facility "when individual culpability is mitigated by system[ic] problems at a facility," and "[t]he fact that the individuals were unsubstantiated does not negate a finding against a facility." The ALJ's determination was then adopted by respondent David Molik, the Director of the Justice Center's Administrative Hearings Unit, who rendered a final determination denying petitioner's request and directing petitioner to develop and implement a plan to remediate its deficient conditions.

Petitioner then brought this CPLR article 78 proceeding seeking to annul the Justice Center's determination, contending that (1) Social Services Law § 493 did not authorize the Justice Center to substantiate a finding of neglect against petitioner, and (2) the Justice Center's determination was not supported by substantial evidence.

Upon transfer, the Appellate Division unanimously granted the petition and annulled the Justice Center's determination, holding that "the Justice Center acted in excess of its statutory authority in making a finding of neglect against petitioner" (*Matter of Anonymous v Molik*, 141 AD3d 162, 164 [3d Dept 2016]). The Court determined that, "pursuant to Social Services Law § 493 (3) (a), the only circumstance under which the Justice Center could substantiate a report of neglect against a facility or provider agency is where an incident of neglect has occurred but the subject cannot be identified—a situation that is plainly not present here" (*id.* at 167). The Court rejected the Justice Center's argument that the Justice Center was "empowered to 'substantiate' an allegation of neglect against petitioner by virtue of its statutory authority to make a concurrent finding under Social Services Law § 493," believing that "the scope of that 'concurrent finding' is expressly circumscribed by the statute" such that "the only 'concurrent finding' that may be made is 'that a systemic problem caused or contributed to the occurrence of the incident' " (*id.*, quoting Social Services Law § 493 [3] [b]).

The Court found further support for its conclusion in Social Services Law § 493 (4), which "requires that all instances of neglect or abuse be categorized into one or more of four enumerated categories," but indicates that "categorization is predicated upon the existence of a '[s]ubstantiated report[ ] of abuse or neglect' " (*id.* at 168, citing Social Services Law § 493 [4]). Reasoning that "the statute does not provide for categorization of a 'concurrent finding' into one of the four categories," the Court determined that "a 'concurrent finding' cannot constitute—nor be equated with—a finding of neglect" (*id.*). Accordingly, the Court concluded that, "under these circumstances, the Justice Center was simply without authority to 'substantiate' a report of neglect against petitioner" (*id.* at 169).

We granted the Justice Center's application for leave to appeal (29 NY3d 902 [2017]), and now reverse.

II.

In 2012, the Protection of People with Special Needs Act was enacted to create a set of uniform safeguards to bolster the protection of people with special needs in New York (L 2012, ch 501, § 2, part A, § 1). To implement those safeguards, the act created the New York State Justice Center for the Protection of People with Special Needs, an agency empowered to receive, investigate, and respond to allegations of abuse, neglect, or other "reportable incidents" involving disabled residents receiving services in licensed facilities or provider agencies. Among other things, the Justice Center maintains a statewide central register—the Vulnerable Persons' Central Register—which operates a 24-hour hotline created to field allegations of reportable incidents. Upon receipt of an allegation, the Justice Center must promptly commence an investigation, or it may delegate its investigatory responsibility to an oversight agency or to the facility or provider agency (Social Services Law §§ 488 [7]; 492 [3] [c]).

Social Services Law § 493 details the possible findings and consequences in connection with an investigation of abuse or neglect allegations. Following an investigation, a finding must be made, based on a preponderance of the evidence, that the allegation is "substantiated" or "unsubstantiated." Social Services Law § 493 (3) (a) provides that the finding

> "shall indicate whether: (i) the alleged abuse or neglect is substantiated because it is determined that the incident occurred and the subject of the report was responsible or, if no subject can be identified and an incident occurred, that, the facility or provider agency was responsible; or (ii) the alleged

> abuse or neglect is unsubstantiated because it is determined not to have occurred or the subject of the report was not responsible, or because it cannot be determined that the incident occurred or that the subject of the report was responsible."

The following paragraph, (b), provides: "In conjunction with the possible findings identified in paragraph (a) of this subdivision, a concurrent finding may be made that a systemic problem caused or contributed to the occurrence of the incident" (Social Services Law § 493 [3] [b]). While all "findings" must be reported in the vulnerable persons' central register (Social Services Law § 493 [1]), a report "that is found to be unsubstantiated" must be "sealed immediately" (Social Services Law § 493 [3] [d]).

The statute also enumerates the various consequences that are triggered in the event of a "substantiated" report of abuse or neglect. Specifically, subdivision (4) establishes four categories of "substantiated" reports based on the nature and severity of the offending conduct and/or the facility conditions. Categories one through three largely concern culpable conduct by individual employees, such as intentionally causing serious physical injury, falsifying records, or obstructing an investigation (*see* Social Services Law § 493 [4] [a]-[c]). Category four includes incidents of substantiated abuse or neglect where the perpetrator "cannot be identified," as well as situations where "conditions at a facility or provider agency . . . expose service recipients to harm or risk of harm" but "staff culpability is mitigated by systemic problems such as inadequate management, staffing, training or supervision" (Social Services Law § 493 [4] [d]).

Those categorizations, in turn, trigger corresponding consequences, which may include disciplinary action, prevention and remediation requirements, and/or state agency oversight. A category one finding, for instance, results in "permanent placement of the subject of the report on the vulnerable persons' central register" (Social Services Law § 493 [5] [a]). A category four finding requires the facility or provider agency to "develop and implement a plan of prevention and remediation of the deficient conditions," that must "identify any systemic problem that led to the determination . . . and include suggested corrective measures" (Social Services Law § 493 [5] [c]). That plan must then "be approved by and its implementation monitored by the [J]ustice [C]enter or the state oversight agency, as appropriate" (*id.*). In addition, with respect to facilities or provider agencies "in receipt of medical assistance," any "substantiated reports of abuse or neglect" that "may be relevant to an investigation of unacceptable practices" must be "forwarded by the [J]ustice [C]enter to the office of the Medicaid inspector general" (Social Services Law § 493 [2]).

III.

Petitioner contends that Social Services Law § 493 (3) (a) (i) provides the exclusive grounds for a "substantiated" finding of abuse or neglect. According to petitioner, under that provision, the Justice Center's authority to find neglect against a facility (as opposed to an individual employee) is limited to those incidents where "no subject can be identified"—that is, where an incident occurred but the investigation failed to identify a responsible employee. Petitioner therefore argues that the Justice Center lacks the statutory authority to substantiate a finding of abuse or neglect against a facility where, as here, a subject employee is identified but deemed not personally responsible for the incident. In other words, according to petitioner, the Justice Center is not authorized to substantiate a report of abuse or neglect against a facility where the incident results solely from systemic deficiencies, rather than any employee wrongdoing.

The parties' primary disagreement concerns the significance of the "concurrent finding" provision, section 493 (3) (b). That provision specifies that, in conjunction with the possible findings identified in (3) (a)—i.e., "substantiated" or "unsubstantiated"—a "concurrent finding may be made that a systemic problem caused or contributed to the occurrence of the incident" (Social Services Law § 493 [3] [b]). A "concurrent finding" is therefore permitted whenever systemic problems caused or contributed to an incident, regardless of whether the allegations against an individual employee are substantiated. Importantly, that provision supplies the authority to make a "concurrent finding" against a facility under the circumstances present in this case: where a subject employee is identified, but deemed not responsible.

The Justice Center contends that a "concurrent finding" amounts to a substantiated finding of abuse or neglect. Petitioner contends that it does not.

A.

"It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature" (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). Generally, courts "look first to the statutory text, which is the clearest indicator of legislative intent" (*Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712, 721 [2012] [internal quotation marks omitted]). "[W]here the language of a statute is clear and unambiguous, courts must give effect to its plain meaning" (*State of New York v Patricia II.*, 6 NY3d 160, 162 [2006] [internal quotation marks omitted]).

The "literal language of a statute" is generally controlling unless "the plain intent and purpose of a statute would otherwise be defeated" (*Bright Homes v Wright*, 8 NY2d 157, 161-162 [1960]). Where "the language is ambiguous or where a literal construction would lead to absurd or unreasonable consequences that are contrary to the purpose of the [statute's] enactment," courts may "[r]esort to legislative history" (*Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198, 204 [1995]). In interpreting statutory language, "all parts of a statute are intended to be given effect" and "a statutory construction which renders one part meaningless should be avoided" (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 515 [1991]). A statute "must be construed as a whole" and "its various sections must be considered together and with reference to each other" (*People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]).

B.

The text of Social Services Law § 493 (3) does not specify whether a "concurrent finding," by itself, authorizes the Justice Center to substantiate a report of abuse or neglect against a facility or provider agency. In the context of the statute—which, notably, is entitled "[a]buse and neglect findings"—it is clear that the legislature intended a "concurrent finding" to constitute a substantiated finding of abuse or neglect. Petitioner's contrary reading fails to attribute any independent significance to the "concurrent finding" provision—a result that would be inconsistent with the statutory text, the legislative history, and the underlying purpose of the statute.[1]

Under petitioner's construction of the statute, the Justice Center's determination that a "systemic problem" caused or contributed to an incident of abuse or neglect would not, by itself, trigger any consequences. Petitioner maintains that the *only* "substantiated" findings of neglect are those provided in section 493 (3) (a) (i), and that *only* those "substantiated" findings are categorized and remediated under subdivisions (4) and (5); a "concurrent finding," then, would *not* trigger categorization under subdivision (4) and, as such, would *not* trigger corrective action under subdivision (5). The statute's remedial provisions would be entirely inapplicable unless, under (3) (a) (i), a particular employee is also deemed responsible, or no perpetrator can be identified (Social Services Law § 493 [3] [a] [i]). The Justice Center would therefore be unable to take corrective action where, as here, an employee is identified as the "subject" of a report but is ultimately found not responsible because the incident was caused by deficient facility conditions rather than any employee wrongdoing (*see* Social Services Law § 493 [3] [a] [ii]). It would similarly be unable to forward information to the Medicaid Inspector General that may be relevant to an investigation of unacceptable practices, including facility practices amounting to fraud or abuse (*see* Social Services Law § 493 [2]). And where an employee is identified but it cannot be determined that he or she was responsible, the report of abuse or neglect must be "sealed immediately," even if systemic deficiencies are present and the facility's culpability is evident (*see* Social Services Law § 493 [3] [d]). In short, under petitioner's reading, a "concurrent finding," without more, would carry no ramifications, leaving a gap in the Justice Center's authority where, as here, an employee is identified but deemed not responsible for the incident (*see* Social Services Law § 493 [3] [a] [ii]).

1. The dissent's conclusion that a concurrent finding must be "tied to" a substantiated finding of abuse or neglect is belied by the language of the statute. In fact, the concurrent finding provision says just the opposite: it permits a concurrent finding in conjunction with either of the "possible findings" identified in paragraph (a)—substantiated *or* unsubstantiated (Social Services Law § 493 [3] [b]). That is, the agency must have completed its investigation and reached one of the conclusions enumerated in paragraph (a) before it may issue a concurrent finding. But the agency is not limited to doing so only where it has substantiated a report of abuse or neglect.

Petitioner's narrow construction of the statute would paradoxically leave the Justice Center powerless to address many systemic issues, defeating the purpose of the act and preventing the Justice Center from protecting vulnerable persons where it is most critical to do so. As noted throughout the text and legislative history, the statutory overhaul embodied in the act was necessary not only to address isolated incidents of abuse and neglect, but also to resolve systemic problems, such as inadequate staffing, training, and supervision, which often cause or contribute to incidents of abuse and neglect (*see* Executive Law § 553 [1] [e]; *see also* Clarence J. Sundram, Governor's Special Advisor on Vulnerable Persons, The Measure of a Society: Protection of Vulnerable Persons in Residential Facilities Against Abuse & Neglect at 6, 7, 37-41 [Apr. 2012]; Mem of Council on Children and Families, Bill Jacket, L 2012, ch 501 at 50). Indeed, systemic deficiencies may present a greater hazard to vulnerable residents than do discrete instances of employee misconduct, since employee-related incidents can often be remedied through targeted disciplinary action. Latent systemic problems, by contrast, are often more challenging to identify and more complicated to rectify—and therefore more likely to recur.

The facts of this case are particularly instructive. Despite two prior incidents of sexual assault involving the same offending resident, petitioner failed to implement effective remedial measures, and the facility's deficient policies enabled a third attack by the same resident. Petitioner nonetheless contends that the Justice Center is not authorized to require it to implement an approved plan of prevention and remediation or to impose agency oversight so as to ensure that petitioner's deficient conditions are sufficiently (and finally) rectified. That construction would perversely allow this dangerous cycle to continue: employee conduct could not be "substantiated" because it does not violate facility policies, but facility policies would remain ineffective because the Justice Center lacks authority to implement change. The legislature cannot have intended such an absurd result.

Consistent with the goals of the act, the Justice Center's interpretation of the statute would allow for a finding of neglect against a facility wherever "a systemic problem caused or contributed" to an incident—regardless of whether the allegations against an individual employee are substantiated—thereby enabling the Justice Center to direct the facility to formulate a plan to fix the systemic problem. Indeed, by using the phrase "systemic problems" in the category four provision (Social Services Law § 493 [4] [d])—the same phrase employed in the "concurrent finding" provision (Social Services Law § 493 [3] [b])—the statute explicitly places these incidents into the fourth category for findings of abuse and neglect. In other words, category four expressly contemplates those situations where, as here, an employee bears little or no personal responsibility for an incident but the allegations are nonetheless substantiated because the incident was caused by systemic issues for which the facility is accountable. The statute then sensibly requires the facility to develop and implement a plan of prevention and remediation, monitored by the Justice Center or another appropriate oversight agency (*see* Social Services Law § 493 [5] [c]). Under this interpretation, the statute comprehensively addresses all possible causes of an incident of abuse or neglect, and empowers the Justice Center to take remedial steps whenever a systemic problem caused or contributed to an incident.[2]

This construction also furthers the Justice Center's intended role as the central agency responsible for managing and overseeing the incident reporting system, and for imposing or delegating corrective action (*see* Social Services Law § 492 [3] [c]; Executive Law § 553). As the act and its legislative history make clear, preexisting state systems, which dispersed oversight responsibility among at least six state offices, suffered from "numerous gaps and inconsistencies" as well as substantial "variations across state agencies" (Senate Introducer's Mem in Support, Bill Jacket, L 2012, ch 501 at 12, 14, 2012 McKinney's Session Laws of NY at 1970, 1972). The act

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2. Contrary to the dissent's suggestion (dissenting op at 42 n 1), the statute does not limit the "subject of the report" to an individual, rather than a facility. The statutory definition of a "subject of the report" (which incorporates the defined term "custodian") specifically includes a facility "operator"—i.e., the facility itself (*see* Social Services Law § 488 [2], [12]). That definition does not exclusively use "personal pronouns," nor does it exclusively refer to a "natural person" (dissenting op at 42 n 1). Indeed, if a facility could not be the "subject of the report," it would not have standing to invoke the various rights and remedies provided in the statute—including the right to seek amendment of a substantiated report (Social Services Law §§ 493 [3] [c]; 494 [1] [a])—exactly as petitioner did here. Confusingly, the dissent contends that petitioner "does not have standing" here because a facility cannot be the subject of the report (dissenting op at 42 n 1), but also maintains, without citation, that a facility can somehow be the "named" party in a substantiated report of abuse or neglect (dissenting op at 45).

sought to reconcile those discrepancies and conform practices across various state agencies by creating the Justice Center—"a new entity that would cut across bureaucratic lines and have as its primary purpose and responsibility the protection of the health, safety and welfare of vulnerable persons" (Bill Jacket, L 2012, ch 501 at 14-15, 2012 McKinney's Session Laws of NY at 1972). By design, the Justice Center is instilled with the primary authority to "requir[e] providers to implement corrective action plans to prevent future incidents of abuse and neglect" (Bill Jacket, L 2012, ch 501 at 15, 2012 McKinney's Session Laws of NY at 1972). The dissent's contrary assertion—that OPWDD, rather than the Justice Center, is vested with oversight over facility deficiencies—evokes the fractured, decentralized system that the legislature deliberately abandoned. At bottom, that construction is inconsistent with the statute's primary goal of consolidating broad regulatory compliance authority over abuse and neglect reports in a single state agency: the Justice Center.

IV.

The Justice Center's construction of Social Services Law § 493 gives meaning to each provision of the statute, enabling it to address systemic issues at a facility or provider agency regardless of whether or not allegations against a particular employee are also substantiated. Consistent with the legislative history and underlying purpose of the statute, this interpretation assigns to one state agency—the Justice Center—the primary and comprehensive responsibility for protecting a particularly vulnerable population. Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to the Appellate Division for consideration of issues raised but not determined on appeal to that Court.

RIVERA, J. (dissenting). The Social Services Law authorizes the Justice Center for the Protection of People with Special Needs to investigate allegations of abuse or neglect at a facility or provider agency that serves persons with disabilities, to make findings as to whether abuse or neglect occurred, and to identify, if possible, the responsible party (*see* Social Services Law § 492 [3] [c]; *see also* Executive Law § 553 [1]). The Justice Center may also, upon a finding of an incident of abuse or neglect, make a separate concurrent finding that an institutional "systemic problem caused or contributed to the occurrence of the incident" (Social Services Law § 493 [3] [b]). For certain acts of abuse or neglect, or where the conditions at a facility or provider agency "expose service recipients to harm or risk of harm[,] [and the] staff culpability is mitigated by systemic problems" (Social Services Law § 493 [4] [c], [d]), the Justice Center is empowered to require the development and implementation of a plan of prevention and remediation to address the deficient conditions, which may include suggested corrective measures (Social Services Law § 493 [5] [c]). As appropriate, the Justice Center must also approve and monitor implementation of this plan (*id.*).

When an investigation does not lead to a finding that the triggering incident amounted to abuse or neglect, Social Services Law § 493 does not authorize the Justice Center to make a concurrent finding of a systemic problem at the facility or provider agency, prompting remedial measures. Since that is what happened here, I would affirm the Appellate Division order that annulled the Justice Center's determination of neglect against petitioner.[1]

Petitioner is an operator of a health care facility licensed by New York State's Office for People with Developmental Disabilities (OPWDD) to provide services to persons with cognitive and physical disabilities. As such it is subject to oversight by OPWDD and the Justice Center, which includes investigations by the Justice Center of allegations of abuse or neglect at the facility. The governing statutory provisions are set forth in

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1. Petitioner does not have standing to request the report be amended pursuant to Social Services Law §§ 493 (3) (c) and 494. Those sections permit a natural person to request the amendment of a substantiated report through an administrative review process, subject to judicial review. These provisions specifically rely on personal pronouns to refer to the subject of the report. For example, Social Services Law § 495 (4) states that "[a] custodian shall be subject to immediate termination if he or she is convicted of any [misdemeanor or felony] that relates directly to the abuse or neglect of a vulnerable person, or is placed on the register of substantiated category one cases of abuse or neglect" (*see also* Social Services Law § 493 [3] [c] ["If the report is substantiated, the justice center shall also notify the subject of the report of his or her rights to request that the report be amended"]). Clearly, only an individual can be subject to immediate termination or can be convicted of a misdemeanor or felony. Presumably, because the Justice Center's investigator's findings are final (*see* 14 NYCRR 624.5 [j] [3]), a facility like petitioner could seek to annul or amend the Justice Center's determination in a CPLR article 78 proceeding. Since neither party here objects to petitioner having invoked review by an administrative law judge with de novo appellate review prior to commencing the instant CPLR article 78 proceeding, I discern no basis to reverse on the ground that the petition should be dismissed for lack of standing.

Social Services Law, article 11, the Protection of People with Special Needs Act, specifically Social Services Law § 493. This appeal concerns the proper interpretation of the statutory language authorizing the Justice Center to take certain action based on the results of its investigation. Section 493 requires painstaking analysis because the intent of certain statutory language is not obvious upon a first review. It is fair to say that some paragraphs require multiple reads before their relationship to other paragraphs may be appreciated. Nevertheless, Social Services Law § 493 sets forth a comprehensible framework for addressing findings of abuse or neglect.

Social Services Law § 493 (3) (a) states that in response to an allegation of abuse or neglect, findings must be based on a preponderance of the evidence and indicate:

> "(i) the alleged abuse or neglect is substantiated because it is determined that the incident occurred and the subject of the report was responsible or, if no subject can be identified and an incident occurred, that, the facility or provider agency was responsible; or (ii) the alleged abuse or neglect is unsubstantiated because it is determined not to have occurred or the subject of the report was not responsible, or because it cannot be determined that the incident occurred or that the subject of the report was responsible."

According to its terms, Social Services Law § 493 (3) (b) authorizes a "concurrent finding" that a systemic problem "caused or contributed to the occurrence of the incident," only "[i]n conjunction with the possible findings identified" in subdivision (3) (a). A concurrent finding, thus, is not freestanding, but tied to a finding of abuse or neglect as described in section 493 (3) (a), although not necessarily a finding in which the responsibility of the individual named in the report can be "substantiated." Considering the paragraphs together, a concurrent finding can be made in those cases where: (1) the abuse or neglect occurred and the subject of the report is responsible; (2) no subject can be identified, but the facility or provider agency is held responsible, akin to respondeat superior liability;[2] (3) the subject of the report is not responsible, but the incident oc-

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2. "Under the doctrine of *respondeat superior*, an employer will be liable for the negligence of an employee committed while the

(n. cont'd)

curred; or (4) it cannot be determined if the subject of the report is responsible, but the incident occurred (*see* Social Services Law § 493 [3] [a], [b]). In each of these situations, the Justice Center necessarily has found that the incident that gave rise to the allegation in fact occurred and constitutes abuse or neglect, even if it could not substantiate the finding against the subject of the report. Contrary to the majority's interpretation of Social Services Law § 493, a concurrent finding of a systemic problem does not constitute a finding of abuse or neglect in itself, but rather a finding that other conduct or institutional policies have a causative link to the abuse or neglect that occurred and for which an individual, facility, or provider agency is found responsible.

This construction of the statute tracks both the language and the framework of the relevant Social Services Law, as well as the regulations that govern reporting, recording, and investigation of reportable incidents and notable occurrences (*see* Social Services Law §§ 488-497; 14 NYCRR 624.5). These provisions establish the procedures for investigating allegations of abuse or neglect, archiving a substantiated report of an incident in the vulnerable persons' central register, and designating how long a finding shall be sealed based on an increasing scale of severity of conduct as categorized in the statute. In the case of a finding of an institutional-based systemic problem, the Social Services Law also mandates development and implementation of a prevention and remediation plan, to be approved and monitored by the "[J]ustice [C]enter or the state oversight agency, as appropriate" (Social Services Law § 493 [5] [c]). Requiring a finding of abuse or neglect as the foundation for a concurrent finding ensures that the abuse or neglect is properly recorded and the facility or provider agency is subjected to corrective action by the Justice Center or state agency.

To read the statute as the majority does here, so that the concurrent finding may stand on its own as the finding of abuse or neglect in order to bring the petitioner within subdivisions (4) (d) and (5) (c), the Court has to ignore the language of sec-

employee is acting in the scope of his employment. An employee acts in the scope of . . . employment when . . . doing something in furtherance of the duties [owed] to [an] employer and where the employer is, or could be, exercising some control, directly or indirectly, over the employee's activities" (*Lundberg v State of New York*, 25 NY2d 467, 470 [1969] [citation omitted]).

tion 493 (3) (b). We are not at liberty to do so because "[w]here words of a statute are free from ambiguity and express plainly, clearly and distinctly the legislative intent, resort may not be had to other means of interpretation" (McKinney's Cons Laws of NY, Book 1, Statutes § 76). If the legislature intended that a concurrent finding would serve independently as a finding of abuse or neglect, bringing the facility or provider under section 493 (4) (d) and (5) (c), it would have said so in subdivision (3) (b), or included a "finding of a systemic problem" in the list of possible findings set forth in subdivision (3) (a). Indeed, if the legislature's intent had been to treat a systemic finding as the sole basis for action under section 493, there would be no need to refer to findings of a systemic problem as concurrent to some other finding. That reading is impermissible, as we may not give meaning to a statute that renders language superfluous (*see Kimmel v State of New York*, 29 NY3d 386, 393 [2017]).

Significantly, and contrary to petitioner's argument, nothing in subdivision (3) (a) prevents the Justice Center from finding that a facility or provider agency is responsible for alleged neglect despite not having been initially identified as a responsible party. Any allegation of abuse or neglect of a service recipient in the care of a facility or provider agency that does not expressly identify the entity as the responsible party is by nature referencing the custodial circumstances, and thus also necessarily implicates the facility or provider agency as a possible responsible party. In other words, a facility or provider agency could be named in an allegation of abuse or neglect that triggers an investigation under Social Services Law § 492 (3) (c), or the facility or provider agency could be identified as the responsible party during the course of the investigation and eventually reported as such in accordance with section 493 (3) (a), despite the allegation originally naming another party as responsible.[3] It would lead to absurd results if we were to interpret subdivision (3) (a) of section 493 to permit the facility

3. Contrary to the majority's understanding (majority op at 40 n 2), being named in an allegation of abuse or neglect is not synonymous with being a subject of a report. The facility here, for example, was named in the report, even though the subjects of the report were natural persons. The most logical reading of Social Services Law § 493 (3) (a) is that only a natural person may be the subject of a report, and when no culpable natural person can be identified, the Justice Center may find the facility or provider agency to be responsible. After all, the paragraph provides that "[a] report shall not be determined to be substantiated or unsubstantiated solely because the subject of a report resigns during an investigation" (Social Services Law § 493 [3]

(n. cont'd)

or provider agency to be found responsible in those situations where an incident occurs and no subject can be identified, but not where an identified subject is found not responsible for a confirmed incident of abuse or neglect. In both scenarios a vulnerable person has been abused or neglected and it is of no moment that the party initially alleged to be responsible is found not to be culpable, since the true responsible party (individual or institutional) will be identified as a result of a duly conducted investigation. "Although statutes will ordinarily be accorded their plain meaning, it is well settled that courts should construe them to avoid objectionable, unreasonable or absurd consequences" (*Long v State of New York*, 7 NY3d 269, 273 [2006]).

Construing section 493 (3) (b) as an adjunct to a finding of abuse or neglect arising from the alleged incident harmonizes the various paragraphs of Social Services Law § 493 as it allows for such a finding to follow, both from a substantiated report against a facility as well as from an unsubstantiated report against a subject who is not found responsible. In this way, the Justice Center can focus on the source of the incident and those systemic problems that are causatively linked to the reported and confirmed abuse or neglect.

The majority opines that unless Social Services Law § 493 (3) (b) constitutes an independent finding of neglect, systemic problems at facilities and provider agencies would not be addressed (majority op at 37-39). This is incorrect. Both OPWDD and the Justice Center have authority to conduct investigations and review reportable incidents (*see* 14 NYCRR 624.5 [i]). When OPWDD investigates or reviews an incident or occurrence and makes recommendations to the facility or provider agency, the facility or provider agency must implement or address each recommendation in a timely manner (*see id.*). When the Justice Center makes findings concerning reports of abuse

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[a]). This is also why category four, alongside of systemic problems at a facility that mitigate staff culpability, also includes "instances in which it has been substantiated that a service recipient has been abused or neglected, but the perpetrator of such abuse or neglect cannot be identified" (Social Services Law § 493 [4] [d]). What is "confusing" is a reading of the statute that necessitates that personal pronouns apply to facilities and provider agencies and contemplates that they might "resign" during an investigation. My reading is consistent with subdivision (3) (c) as well, which makes clear that the "subject of the report" and "the facility or provider agency where the abuse or neglect was alleged to have occurred" are distinct parties, and requires the Justice Center to "notify the subject of the report of his or her rights."

or neglect under its jurisdiction and issues a report or recommendation to the facility or provider, the facility or provider must make a written response identifying the action taken in response and submit it to OPWDD in the manner specified by OPWDD (*see id.* § 624.5 [l]). Social Services Law § 493 (5) (b) and (c) provide that either the Justice Center or a state oversight agency is responsible for approving and implementing a plan to reduce the risk of or prevent the reoccurrence of incidents of abuse or neglect and remediate deficient conditions, which, contrary to the majority's position (majority op at 41), indisputably provides an oversight role for state agencies other than the Justice Center. Also, OPWDD is authorized to perform periodic reviews and suspend or limit a provider's operating certificate and impose penalties (*see* Mental Hygiene Law §§ 16.11, 16.17). Thus, a systemic problem not tied to an actual incident of abuse or neglect will not escape government oversight and response.

The fact is that the legislature gave the Justice Center broad authority, but that authority is limited by statute, including Social Services Law § 493. We recognize those limitations by reading section 493 to require a finding of abuse or neglect before a concurrent finding of a systemic problem may be brought within the statute's corrective action mandate, and permitting a substantiated report against a facility or provider agency in cases where the reported abuse or neglect is confirmed, even if an individual is found not responsible. An interpretation that holds the facility or agency provider responsible even if an individual is not responsible or the individual's responsibility is mitigated by institutional policy, also furthers the legislative purpose behind the creation of the Justice Center, which contributes to the "effective investigation of . . . allegations of reportable incidents that are accepted by the statewide vulnerable persons' central register," and "the management of reportable incidents affecting the safety of vulnerable persons, including cases of systemic problems" (Executive Law § 553 [1] [a], [e]).

Here, the Justice Center made no adverse findings against the persons named in the allegation of neglect that triggered the investigation. Specifically, it concluded that no conduct by them constituted neglect. According to the investigator's report:

> "the preponderance of evidence does not support an allegation of neglect in this matter, but does depict

> a problematic practice at the facility that delayed the intervention by staff in this matter. Therefore it is the finding of this investigator that this incident is unsubstantiated for neglect, with a concurrent finding of a systemic problem in the facility that will be addressed through the recommendations in this matter."

Based on the investigation, the Justice Center found the allegations against the individuals unsubstantiated, and subsequently sealed the findings, while finding the allegations to be substantiated as a category four case of neglect against the facility. This category four designation is not permissible under Social Services Law § 493 (3) (b), because a concurrent finding under that paragraph is an adjunct to findings under subdivision (3) (a). If the investigation had led to a finding of neglect by petitioner, rather than the named individuals, that could have been the basis of a substantiated report against the petitioner, and if the investigation also led to a concurrent finding of a systemic problem, that would have supported the category four designation. Since that is not what happened here, the substantiated finding of neglect against petitioner based on a concurrent finding was error, and I would affirm the Appellate Division.[4]

Chief Judge DIFIORE and Judges STEIN, FAHEY, WILSON and FEINMAN concur; Judge RIVERA dissents in an opinion.

Order reversed, with costs, and matter remitted to the Appellate Division, Third Department, for consideration of issues raised but not determined on appeal to that Court.

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4. I take no position on whether the investigative findings support a conclusion that petitioner was responsible for neglect based on the underlying incident, regardless of any determination that petitioner's policies reflect a systemic problem.

[109 NE3d 1138, 84 NYS3d 838]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LAWRENCE PARKER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARK NONNI, Appellant.

Argued June 5, 2018; decided June 28, 2018

SUMMARY

APPEALS, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 5, 2015. The Appellate Division affirmed separate judgments of the Supreme Court, Bronx County (John S. Moore, J., at joint suppression hearing; David Stadtmauer, J., at joint jury trial and sentencing), which had convicted each defendant, upon a jury verdict, of robbery in the second degree.

People v Nonni, 135 AD3d 52, reversed.

HEADNOTES

Crimes — Unlawful Search and Seizure — Founded Suspicion of Criminal Activity

1. Police officers who arrived at a gated country club in a secluded, residential neighborhood within five minutes of receiving a radio transmission about a burglary in progress at that location and found defendants walking on the club's private driveway toward the street, early in the morning on a federal holiday with no one else in the vicinity, had a founded suspicion of criminal activity to support a common-law right of inquiry. Such circumstances were sufficient to justify the officers asking defendants what they were doing and where they were going, and to continue inquiring when defendants did not respond after the officers identified themselves. Further, the officers' testimony that one defendant then actively fled from the police, combined with the specific circumstances observed by the officers during their initial encounter with defendants, provided sufficient record support for the court's determination that there was reasonable suspicion of criminal activity to justify that defendant's pursuit, forcible stop, and detainment. Moreover, after seeing his codefendant run and some police officers give chase, the other defendant increased his pace, acted in an evasive manner, and crossed the street onto the front lawn of another property. While active avoidance of a confrontation between the police and an acquaintance does not itself give rise to reasonable suspicion, its combination with the specific, highly-suspicious circumstances observed by the police may give rise to heightened suspicion. Thus, record support also existed for the court's conclusion that the officers had reasonable suspicion, and that the pursuit, stop, and detainment of the second defendant, and the subsequent search of his bag, were permissible.

Crimes — Appeal — Preservation of Issue for Review

2. In a burglary prosecution, defendant failed to preserve his claim that the police searches of his internal coat pocket and the envelopes found inside

after police detained him were unconstitutional even if the stop was lawful. A question of law is preserved for appeal when "a protest thereto was registered, by the party claiming error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same" (CPL 470.05 [2]). A general objection is sufficient to preserve an issue for review when the trial court expressly decided the question raised on appeal. Defendant previously only generally asserted in his omnibus and post-hearing suppression motions that he should never have been stopped. Such broad challenges to his stop at its inception and the evidence found as the fruit of that stop were inadequate to preserve his argument on appeal. Moreover, inasmuch as defendant did not argue below that the internal searches were invalid and contested only the legality of the stop, the trial court's vague statement that the seizure was "justified and lawful" could not be read to have expressly decided the question.

Crimes — Jurors — Court's Failure to Provide Meaningful Notice of Content of Substantive Jury Note — Mode of Proceedings Error

3. In a criminal prosecution in which the trial court acknowledged receipt of three substantive jury notes sent to the court during deliberations but proceeded to read and provide a response to only the first note, the court's failure to provide notice to defense counsel of the remaining notes constituted a mode of proceedings error not subject to preservation rules and requiring reversal of defendants' convictions. CPL 310.30 imposes two responsibilities on trial courts upon receipt of a substantive note from a deliberating jury: the court must provide counsel with meaningful notice of the content of the note, and the court must provide a meaningful response to the jury. The purpose of this requirement is to give counsel an opportunity to participate in the formation of a response to the jury's substantive inquiry. Departures from the procedures set forth in *People v O'Rama* (78 NY2d 270 [1991]) for handling jury notes are not subject to preservation rules. Rather, when the trial court fails to provide counsel with meaningful notice of a substantive jury note, a mode of proceedings error has occurred and reversal is required. There was no record indicating that counsel was informed of the precise contents of the other two notes, and the court thereby failed to fulfill its obligations. Counsel's awareness of the existence of the two additional notes did not effectuate the court's proper discharge of its statutory duty. Moreover, whether the record demonstrates a court has shown counsel prior jury notes as a matter of practice is irrelevant, since there must be specific, record proof that the court did so for each note. The record must indicate compliance with adequate procedures because reviewing courts cannot assume that the proper procedure was utilized when the record is devoid of information as to how jury notes were handled.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Searches and Seizures §§ 13, 20–21, 89–91, 125–127, 282.

CARMODY-WAIT 2d Search and Seizure §§ 173:23, 173:259, 173:267, 173:270, 173:299; CARMODY-WAIT 2d Arrest or Other Detention; Post-Arrest Procedure §§ 177:77–177:80, 177:91.

LaFave, et al., Criminal Procedure (4th ed) §§ 3.1, 3.3, 3.5, 3.8, 12.1.

McKinney's, CPL 310.30; 470.05 (2).

NY Jur 2d Criminal Law: Procedure §§ 129, 135, 145, 453, 457–458, 464–465, 469, 473.

ANNOTATION REFERENCE

Search and seizure: "furtive" movement or gesture as justifying police search. 45 ALR3d 581.

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POINTS OF COUNSEL

Seymour W. James, Jr., The Legal Aid Society, New York City (*Lorraine Maddalo* of counsel), for Lawrence Parker, appellant. I. Where counsel did not receive meaningful notice of two substantive jury notes, the court committed a mode of proceedings error; appellant's conviction must be vacated. (*People v Mack*, 27 NY3d 534; *People v O'Rama*, 78 NY2d 270; *United States v Ronder*, 639 F2d 931; *People v Wiggs*, 28 NY3d 987; *People v Nealon*, 26 NY3d 152; *People v Silva*, 24 NY3d 294; *People v Walston*, 23 NY3d 986; *People v Tabb*, 13 NY3d 852.) II. The court erred in denying defendant's suppression motion based on his exercising his right to be left alone, and his presence next to the fleeing codefendant did not create a reasonable suspicion that he committed the charged crime. (*People v Moore*, 6 NY3d 496; *People v De Bour*, 40 NY2d 210; *People v Hollman*, 79 NY2d 181; *People v Howard*, 50 NY2d 583; *Terry v Ohio*, 392 US 1; *People v Cantor*, 36 NY2d 106; *People v Carrasquillo*, 54 NY2d 248; *Ybarra v Illinois*, 444 US 85; *People v Martin*, 32 NY2d 123; *People v Crimmins*, 36 NY2d 230.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Matthew J. Bova* of counsel), for Mark Nonni, appellant. I. The trial court's failure to provide meaningful notice of the contents of two jury notes constituted a mode of proceedings violation. (*People v Mack*, 27 NY3d 534; *People v O'Rama*, 78 NY2d 270; *People v Walston*, 23 NY3d 986; *People v Tabb*, 13 NY3d 852; *People v Kisoon*, 8 NY3d 129; *People v Silva*, 24 NY3d 294; *People v Nealon*, 26 NY3d 152; *People v Alcide*, 21

NY3d 687; *People v Wiggs*, 28 NY3d 987; *People v Morris*, 27 NY3d 1096.) II. The police intrusions into appellant's privacy were unconstitutional. Their fruits should have been suppressed. (*People v Holmes*, 81 NY2d 1056; *People v De Bour*, 40 NY2d 210; *Terry v Ohio*, 392 US 1; *People v Batista*, 88 NY2d 650; *People v Hollman*, 79 NY2d 181; *People v Garcia*, 20 NY3d 317; *People v Moore*, 6 NY3d 496; *People v Fields*, 257 AD2d 387; *People v Woods*, 115 AD3d 997; *People v Smalls*, 83 AD3d 1103.)

Darcel D. Clark, District Attorney, Bronx (*Ryan P. Mansell* and *Nancy D. Killian* of counsel), for respondent. I. Defendants' suppression claims are unreviewable; alternatively, they are utterly without merit. (*People v Fletcher*, 2016 NY Slip Op 05883; *People v Pines*, 99 NY2d 525; *People v Castro*, 68 NY2d 850; *People v William*, 19 NY3d 891; *People v Alexander*, 37 NY2d 202; *People v Harrison*, 57 NY2d 470; *People v Brown*, 25 NY3d 973; *People v Mercado*, 25 NY3d 936; *People v Jones*, 11 NY3d 822; *People v Diaz*, 81 NY2d 106.) II. The handling of two jury notes did not constitute a mode of proceedings error; alternatively, this Court should remit to the trial court for a reconstruction hearing.

OPINION OF THE COURT

RIVERA, J.

Defendants Lawrence Parker and Mark Nonni challenge their convictions for robbery in the second degree, based on the trial court's failure to provide counsel with notice of jury requests for information during deliberations and the denial of defendants' motions to suppress evidence recovered forcibly by the police. Defendants' claims that the court should have granted the suppression motions, to the extent preserved, are without merit. Pursuant to our well-established rules as set forth in this Court's seminal decision in *People v O'Rama* (78 NY2d 270 [1991]) and its progeny, however, we conclude that, because the record fails to establish that the trial court provided counsel with meaningful notice of the precise contents of two substantive jury notes in discharge of a core obligation under CPL 310.30, a mode of proceedings error occurred and a new trial must be ordered.

I. Suppression Hearing Evidence, Jury Note Record, and Decisions Below

Defendants were indicted and jointly tried for various crimes arising from the violent theft of several thousand dollars at a commercial establishment. The morning of the crime, defendants gained access to the building under the ruse that they were interested in renting the space for a private event. Once inside, defendants attacked and bound the complainant with duct tape before taking the money.

At defendants' suppression hearing, testimony from the arresting officers established that on January 21, 2008, at approximately 9:30 a.m., the police received a radio transmission about a burglary in progress. Within five minutes, three police vehicles arrived at the address provided by the 911 caller, which turned out to be a country club in a residential neighborhood. The only people the officers observed in the vicinity were defendants, who were walking together on the gated club's private driveway and heading towards the street. As the officers walked towards the driveway with their badges displayed, a uniformed officer ordered defendants to stop. This officer announced that they "were police officers and wanted to ask [defendants] a question." Defendants continued to walk away from the clubhouse, towards the street. The officer again called out, "please, stop, we want to ask you a question." Defendants then took off in opposite directions from one another and away from the police.

Three officers pursued defendant Nonni as he ran up the street. They caught up with and eventually subdued him on the ground. As one of the officers was handcuffing him, a knife sliced through defendant Nonni's backpack and cut the officer's finger. The officers then searched the bag and found two other knives and a roll of duct tape. They also retrieved from defendant Nonni's back-left pocket three bank envelopes, each marked with orange highlighter and each containing $1,000.[1]

While defendant Nonni ran, defendant Parker "briskly walked" in a "hurried pace" and "evasive" manner towards the other side of the street. Two officers followed, and one of them told defendant Parker to stop. As the officer got closer, he could see a sledgehammer in defendant Parker's unzipped backpack. The officer eventually grabbed defendant Parker from behind, handcuffed him, and retrieved a crowbar from his backpack and a small steak knife from the front pocket of his coat.

Based on the evidence at the hearing, the court denied defendants' respective motions to suppress. The court credited

1. At trial, the complainant testified that the burglars took three envelopes that he had marked with a red pen, and that each envelope contained $1,000.

fully the police officers' testimony and found that under *People v De Bour* (40 NY2d 210 [1976]), the officers initially had a common-law right of inquiry. Defendants' immediate flight evinced more than a desire to be let alone, the court added, thus providing reasonable suspicion that both defendants were involved in a crime, which justified their pursuit, and the search and seizure.

On the morning of the second day of jury deliberations, the jury sent three substantive notes to the court within the span of an hour. The first note, sent at 11:16 a.m., requested definitions of several of the charged crimes as well as testimony related to where defendants were seen and caught; the second note, sent approximately 15 minutes later, requested testimony regarding fingerprint evidence; and the third note, sent 25 minutes later, requested testimony of the complainant and his wife.

The notes were marked into evidence as court exhibits. Outside of the jury's presence, the court stated on the record that it had received those three notes, which it would "be reading into the record after the jury [wa]s seated[,] and [that it was] going to respond to at least one of those notes" at that time. The court continued that it believed counsel agreed upon the sections of the testimony that would be read to the jury in response to the first note. As it turned out, there were open issues and so the court engaged in an on-the-record discussion with counsel as to the contents of the readback. At that time, the court did not read the other notes into the record nor mention whether counsel had seen or discussed those notes.

When the jury returned to the courtroom, the court stated on the record that it had received three notes and would read them back. The court then read the first note and proceeded to read back the requested testimony. At the conclusion of the readback, the court stated, "the additional testimony that you requested in the other two notes, we'll respond to that after lunch." The court also informed the jurors that they could deliberate during lunch.

After that one-hour break, the court announced on the record that the jury had sent a note indicating it had reached a verdict. In response to the court's inquiry, defense counsel and the prosecutor confirmed that they had seen this last note. The court then accepted the verdict on the record in open court.

The Appellate Division affirmed the convictions with two Justices dissenting (*People v Nonni*, 135 AD3d 52 [1st Dept

2015]). As relevant to the issues presented in this appeal, the majority concluded that the facts surrounding the police encounter, including defendants' flight from the police, justified the police action under *De Bour*. It also held that the knife protruding from defendant Nonni's backpack and the visible sledgehammer in defendant Parker's bag justified an immediate, protective search of their respective bags and persons (*id.* at 58). The Appellate Division did not address the *O'Rama* violation, which was not raised in that Court.

II. The Legality of the Police Stop and Search

Defendant Nonni argues that his mere presence on the commercial property did not provide a founded suspicion of criminal activity, and so the police action in pursuing and stopping him was unlawful at its inception. Defendant Nonni alternatively claims that, even if the initial stop was justified, the searches of his back pocket and the envelopes found therein were unconstitutional and the court should have suppressed the fruits of those searches. Defendant Parker does not contest the lower courts' conclusion that the officers had a common-law right to inquire when they first approached him on the private driveway. Instead, he argues that there is no support for the court's determination that the police had reasonable suspicion to stop and detain him, as he merely briskly walked, rather than ran, away from them.

As a threshold matter, whether the particular circumstances of defendants' cases gave rise to a founded or reasonable suspicion constitutes a mixed question of law and fact, which is beyond our review if there is record support for the courts' conclusion that the officers' actions were justified (*see People v McRay*, 51 NY2d 594, 601 [1980] [a mixed question of law and fact is presented where "facts are disputed, where credibility is at issue or where reasonable minds may differ as to the inference to be drawn from the established facts"]; NY Const, art VI; Arthur Karger, Powers of the New York Court of Appeals § 21:6 at 754-762 [3d ed rev 2005]). We conclude the record before us provides such support.

Police encounters with the public are evaluated under the four-tiered framework established in *De Bour*. At the first level, law enforcement may engage in minimally-intrusive questioning to request information "when there is some objective credible reason for that interference not necessarily indicative of criminality" (*De Bour*, 40 NY2d at 223). The second level, the common-law right of inquiry, permits officers "to gain explanatory information, . . . short of a forcible seizure" upon a "founded suspicion that criminal activity is afoot" (*id.*). The third level, "a forcible stop and detention," requires the "officer entertain[ ] a reasonable suspicion that a particular person has committed, is committing or is about to commit a felony or misdemeanor," and "[a] corollary of the statutory right to temporarily detain for questioning is the authority to frisk if the officer reasonably suspects that [they are] in danger of physical injury by virtue of the detainee being armed" (*id.* [citation omitted]). "Finally[,] a police officer may arrest and take into custody a person when [the officer] has probable cause to believe that person has committed a crime, or offense in [the officer's] presence" (*id.* [citation omitted]).

[1] Here, for both defendants, the police had a founded suspicion of criminal activity to support a common-law right of inquiry. The police received a radio transmission of a burglary in progress, and their encounter with defendants at the reported address occurred a mere five minutes later. The officers first saw defendants exiting private property, the scene of a suspected crime. The officers observed no other persons or cars in the secluded, residential area, and it was early in the morning on a federal holiday. In accordance with *De Bour*, those circumstances were sufficient to justify the officers asking defendants what they were doing and where they were going, and to continue inquiring when defendants did not respond after the officers identified themselves. Further, the officers' testimony, credited by the court, that defendant Nonni then "actively fled from the police," combined with the specific circumstances observed by the officers during their initial encounter with defendants, provides sufficient record support for the court's determination that there was reasonable suspicion of criminal activity to justify defendant Nonni's pursuit, forcible stop, and detainment (*see People v Woods*, 98 NY2d 627, 628 [2002] ["a defendant's flight in response to an approach by the police, combined with other specific circumstances indicating that the suspect may be engaged in criminal activity, may give rise to reasonable suspicion, the necessary predicate for police pursuit" (citation omitted)]; *see also People v Simmons*, 30 NY3d 957, 958 [2017]; *People v Gayden*, 28 NY3d 1035, 1037 [2016]; *People v Esquilin*, 91 NY2d 902 [1998]).

Defendant Parker argues that, regardless of defendant Nonni's conduct, the police did not have reasonable suspicion to believe he was involved in a crime because instead of actively fleeing, he only briskly walked away from the police. According to the arresting officers' testimony, after defendant Parker saw defendant Nonni run and some police officers give chase, defendant Parker increased his pace, acted in an evasive manner, and crossed the street onto the front lawn of another property. The officer twice characterized Parker's movements as "running," albeit at a slow pace. While active avoidance of a confrontation between the police and an acquaintance does not itself give rise to reasonable suspicion, its combination with the specific, highly-suspicious circumstances observed by the police may give rise to heightened suspicion. Thus, record support exists for the court's conclusion that the officers had reasonable suspicion, and that the pursuit, stop, and detainment of defendant Parker, as well as the subsequent search of his bag, were permissible.

Contrary to defendant Parker's claim, the Appellate Division did not "improperly expand[ ] the longstanding rules" set forth in *De Bour* by considering defendant Nonni's flight from the police in assessing defendant Parker's actions. It was not "defendant's flight in response to an approach by the police" alone, but rather its combination "with other specific circumstances indicating that the suspect may be engaged in criminal activity," that made this police intrusion allowable (*Woods*, 98 NY2d at 628). On this mixed question of law and fact, there is record support for the courts' determination that the officers had reasonable suspicion to believe defendants were involved in a crime, justifying the police conduct (*see McRay*, 51 NY2d at 601).

[2] Defendant Nonni's alternative claim that the searches of his internal coat pocket and the envelopes found inside were unconstitutional is unpreserved. A question of law is preserved for appeal when "a protest thereto was registered, by the party claiming error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same" (CPL 470.05 [2]). "[A] general objection—such as that contained in defendant's omnibus motion—is sufficient to preserve an issue for our review when the trial court 'expressly decided the question raised on appeal' " (*People v Graham*, 25 NY3d 994, 997 [2015], quoting CPL 470.05 [2]).

Defendant Nonni now argues that, even assuming the police stop was lawful, the internal searches were unconstitutional, but previously he only generally asserted that he should never have been stopped. For example, in his omnibus and post-hearing suppression motions, he asserted that "[a]ny property which may have been seized was done so in violation of the provisions of the state and federal constitutions in that it was preceded by an unlawful interference with [him], and was performed without consent and without a warrant." These broad challenges to his stop at its inception and the evidence found as the fruit of that stop were inadequate to preserve his current argument.

Nor did the trial court expressly decide this issue (*see* CPL 470.05 [2]). The grounds for the court's suppression determination are vague: the court simply concluded that, after defendant Nonni was handcuffed and the knife inside his backpack cut the officer, the seizure of the property was "justified and lawful." Inasmuch as defendant Nonni did not argue below that the internal searches were invalid and contested only the legality of the stop, the court's statement that the seizure was "justified and lawful" cannot be read, as defendant suggests, to have expressly decided the question. Therefore, defendant Nonni's argument is not reviewable under CPL 470.05 (2).[2]

III. The CPL 310.30 Violation

Defendants also claim that the trial court failed to provide notice to defense counsel of two substantive jury notes, and that under our law this constituted a mode of proceedings error requiring reversal of their convictions and a new trial. The People counter that defendants' claim is unpreserved, and, alternatively, that the record suggests counsel received notice and therefore a reconstruction hearing should be ordered.

CPL 310.30 requires that, in response to a jury request for additional information or instruction "with respect to any . . . matter pertinent to the jury's consideration of the case," the trial court "must direct that the jury be returned to the courtroom and, after notice to both the people and counsel for the defendant, . . . must give such requested information or instruction as the court deems proper." In *People v Mack*, we reaffirmed that CPL 310.30 "imposes two responsibilities on trial courts upon receipt of a substantive note from a deliberating jury: the court must provide counsel with meaningful no-

2. Defendants' remaining suppression arguments are unavailing on this appeal.

tice of the content of the note, and the court must provide a meaningful response to the jury" (27 NY3d 534, 536 [2016], citing *O'Rama*, 78 NY2d at 276-277). "[M]eaningful notice 'means notice of the actual specific content of the jurors' request' " (*id.* at 538, quoting *O'Rama*, 78 NY2d at 277). The purpose of this requirement is to give counsel an opportunity to participate in the formation of a response to the jury's substantive inquiry (*see O'Rama*, 78 NY2d at 276-277). As we have repeatedly instructed, such "departures from the *O'Rama* procedures are not subject to preservation rules" (*People v Walston*, 23 NY3d 986, 989 [2014] [citations omitted]). Rather, "when the trial court fails to provide counsel with meaningful notice of a substantive jury note, a mode of proceedings error has occurred and reversal is required" (*Mack*, 27 NY3d at 538).

[3] Here, on the second day of deliberations, the jury sent out three substantive notes. In the presence of the jury, the court acknowledged receipt of all three, and proceeded to read the first note and provide a response. There is no record, however, indicating that counsel was informed of the precise contents of the other two notes (*see O'Rama*, 78 NY2d at 276-277; *People v Nealon*, 26 NY3d 152 [2015]). The court thereby failed to fulfill its obligation under *O'Rama*. Contrary to the People's suggestion, counsel's awareness of the existence of the two additional notes did not effectuate the court's proper discharge of its statutory duty (*see Walston*, 23 NY3d at 990 [holding that the trial court does not "meet its core responsibilities with regard to the note" by establishing in the record that counsel was notified as to the existence of the note, as there must be "indication that the entire contents of the note were shared with counsel"]).

The People argue that the record suggests the court informed defense counsel of the existence of the notes and their contents, and thus counsel had sufficient opportunity to object. Yet, as the People concede, the court did not read into the record the contents of the notes at issue here.[3] Further, there is no hint in the record that the court provided counsel the contents of the notes; rather, an inference may be drawn to the contrary. Tellingly, while the court had read other notes, and had confirmed that counsel had read their contents on the record in the past, there is no such record regarding these two substantive notes.

3. When such circumstances arise, nothing prevents the prosecutor from alerting the court to the need to place the contents of the notes on the record.

Indeed, the court's reference with respect to the first note—that it believed counsel had agreed to the readback it would provide in response—made no reference to the other two notes, suggesting that there was no discussion about those notes. Whether the record demonstrates a court has shown counsel prior jury notes as a matter of practice is irrelevant, since there must be specific, record proof that the court did so for each note.

Furthermore, we have explained that an insufficient record cannot be overcome with speculation about what might have occurred.[4] "The 'presumption of regularity' cannot salvage an *O'Rama* error of this nature" (*People v Silva*, 24 NY3d 294, 300 [2014] [citation omitted], quoting *People v Velasquez*, 1 NY3d 44, 48 [2003]). Instead, "[t]he record . . . must indicate compliance with adequate procedures under *O'Rama* because reviewing courts 'cannot assume' that the proper procedure was utilized when the record is devoid of information as to how jury notes were handled" (*id.*, quoting *Walston*, 23 NY3d at 990). This is consistent with our prior holding in *Walston* that "[w]here a trial transcript does not show compliance with *O'Rama*'s procedure as required by law, we cannot assume that the omission was remedied at an off-the-record conference" to which "the transcript does not refer" (23 NY3d at 990). As we have repeatedly explained, it is the court's responsibility to create a record (*People v Morrison*, 32 NY3d 951, 952 [2018] ["We again decline 'to disavow our holding in *Walston* . . . that imposes an affirmative obligation on a trial court to create a record of compliance under CPL 310.30 and *O'Rama*' "], quoting *People v Silva*, 24 NY3d 294, 300 [2014]), and "[i]n the absence of record proof that the trial court complied with its

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4. The Chief Judge's dissent describes the record as "ambiguous as to whether the actual content of the jury notes was given to counsel," but continues that "the record demonstrates there was an off-the-record discussion of the jury notes" (DiFiore, Ch. J., dissenting op at 66). There exists no record evidence that the notes were shown to counsel, only that counsel was made aware of the notes, and we have been clear that awareness of a note's existence is insufficient. We have also rejected speculation as a permissible method of filling in gaps in a record. The dissenters merely retread old ground and make arguments we have previously rejected (*id.* at 67; Garcia, J., dissenting op at 69, citing *People v Morrison*, 32 NY3d 951 [2018, Garcia, J., dissenting]). That the dissenters would have preferred a different outcome in our prior cases is no basis to ignore our precedent. "[B]oth the legitimacy and the ability of the judiciary to function dictate that legal issues that have been addressed by a jurisdiction should not be revisited every time they arise" (*People v Taylor*, 9 NY3d 129, 148 [2007]).

core responsibilities under CPL 310.30, a mode of proceedings error occurred requiring reversal" (*People v Tabb*, 13 NY3d 852, 853 [2009]).[5]

In advocating that we remit to the trial court for a reconstruction hearing, the dissenters and the People ignore our case law.[6] Indeed, we rejected the same argument in *Walston*, and there is no basis to treat defendants' cases differently.[7] More-

5. The fact that the jury sent a note stating it had reached a verdict does not affect our analysis. The court failed to meet its first core responsibility with respect to the two notes by not providing the required notice, and the subsequent verdict does not negate that error. While a court's "violation of the meaningful response requirement does not constitute a mode of proceedings error" if "counsel has meaningful notice of the content of a jury note" (*Mack*, 27 NY3d at 537), our precedent makes clear that the failure to provide notice "violates the fundamental tenets of CPL 310.30" and requires a new trial (*Silva*, 24 NY3d at 299). Moreover, the Court has previously rejected the line of argument that "[c]ases in which the jury sends a note and then returns a verdict before the court has answered . . . require reversal only where the defendant is prejudiced by the failure to respond" (*Silva*, 24 NY3d at 301 [Smith, J., dissenting]).

6. The Chief Judge also argues in dissent that reconstruction hearings are permissible in similar contexts to *O'Rama* hearings, and therefore should be permissible here (DiFiore, Ch. J., dissenting op at 67). Yet the cases on which that dissent relies are distinguishable: they address a defendant's right to be present at a *Sandoval* hearing and a robing room conference, rights that may be waived. There is no mechanism for waiving *O'Rama* notice, as one cannot waive an opportunity about which one was never informed (*O'Rama*, 78 NY2d at 280 n 3; *see also People v Fenton*, 105 AD3d 1057, 1058 [2d Dept 2013] [reconstruction hearings was "not an appropriate remedy" for errors under *O'Rama*]). In her dissent, the Chief Judge also cites former Chief Judge Lippman's concurrence in *People v Cruz* (DiFiore, Ch. J., dissenting op at 67), but that concurrence lends her position no support either. There, the former Chief Judge stated that the Appellate Division had "relied on pre-*O'Rama* decisions," and ultimately held that reversal and a new trial were warranted because *O'Rama*'s requirements had not been met (14 NY3d 814, 818-819 [2010, Lippman, Ch. J., concurring]). Neither does *People v Caban* compel us to remit to the Appellate Division, as the Chief Judge's dissent suggests (DiFiore, Ch. J., dissenting op at 68, citing 14 NY3d 369, 375 [2010]). In that single case, we remitted to the Appellate Division, but *Caban* presented unique circumstances. *Tabb* was decided after the Appellate Division decision in *Caban* but before that case reached this Court, providing us reason to remit to the Appellate Division to address the defendant's case in accordance with our case law. Moreover, *Caban* predates our recent decisions, which require that to avoid a mode of proceedings error the record must establish the court followed the proper notice procedures.

7. There exists no empirical evidence supporting Judge Garcia's suggestion of a widespread failure of our courts to comply with CPL 310.30 and *O'Rama* (*see* Garcia, J., dissenting op at 69, citing *People v Morrison*, 32 NY3d 951 [2018, Garcia, J., dissenting]; *see also* DiFiore, Ch. J., dissenting op at 66 n 2). Rather, the evidence suggests the opposite: it seems unlikely that

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over, ordering reconstruction hearings as a matter of course would imperil one of the foundations of *O'Rama*: the necessity that courts fulfill their core responsibility of providing counsel with notice of the precise contents of a jury note so that counsel may participate in designing a response. We will not weaken that foundation or disregard our precedent. Simply stated, where the record does not establish compliance with CPL 310.30, the sole remedy is reversal and a new trial.

Accordingly, in each case, the Appellate Division order should be reversed and a new trial ordered.

Chief Judge DiFiore (dissenting). The essential holding of *People v O'Rama* (78 NY2d 270 [1991]) is that the court's failure to disclose the actual content of a jury note prevents counsel from participating meaningfully in a critical stage of the trial. Such a failure is a deprivation of the opportunity to be heard and participate in formulating a response to the jury note and thus constitutes a mode of proceedings error. Where the record is silent as to whether defense counsel was ever provided the content of a jury note, or unequivocal that the court refused to provide notice as in *O'Rama*, our decision in *O'Rama* controls and a new trial is the remedy for the fundamental error in the proceedings. However, where, as here, the record supports the conclusion that the parties and the court discussed the content of the jury notes—which were marked as court exhibits—at an off-the-record proceeding prior to going on the record, a reconstruction hearing is the appropriate appellate remedy. Simply stated, a factual hearing is neces-

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O'Rama has undermined our criminal justice system as Judge Garcia's dissent implies. Only a small number of criminal cases go to trial—in 2017, only 1,701 of the felony indictments and SCIs were disposed of through trials, while 40,449 were disposed of through other means, mostly plea deals (New York State Division of Criminal Justice Services, *Criminal Justice Case Processing Arrest through Disposition New York State January-December 2017*, http://www.criminaljustice.ny.gov/crimnet/ojsa/dar/DAR-4Q-2017-NewYorkState.pdf [accessed June 23, 2018])—and in those cases that advance to an appeal, reversals are relatively rare. In the First Department, for example, affirmances have been between 70% and 73%, while reversals and modifications have been between four and seven and four and five percent, respectively (Legal Research Group, *Monitoring the Appellate Trends: A Closer Look at the New York State Unified Court System Annual Reports*, http://www.cplrg.com/page_blog_single.cfm?bid=147 [accessed June 23, 2018]). Moreover, this Court has seen very few cases evincing *O'Rama* errors in the almost 30 years since *O'Rama* was decided, suggesting that such cases are aberrations. The cases Judge Garcia cites are representative of nothing other than the proper application of the law, and if the People want to avoid reversals on *O'Rama* grounds they can bring errors to trial courts' attention.

sary to determine whether actual notice was provided in that proceeding, for if it was, there was no error and a new trial is unwarranted. To be sure, *O'Rama*'s holding was centered on the failure of the court to perform a core responsibility in providing notice to counsel as mandated by CPL 310.30. It did not elevate a court's failure to make a complete record of the actual notice it provided counsel into a mode of proceedings error thereby excusing any need for preservation. As a result, I would reverse and remit the matter to the Appellate Division for its initial review to address the ambiguity in the record and determine whether a mode of proceedings error actually occurred (*see People v Caban*, 14 NY3d 369, 375 [2010]).

Facts matter, and the relevant facts are as follows. In its final instruction, the court instructed the jurors that should they desire to re-hear any portions of the testimony, they could request a readback. The court specifically advised the jury that, because readbacks are time-consuming, they should "pinpoint and describe exactly that part of the testimony that [they were] interested in hearing." During deliberations, the jury sent out a series of notes. The first jury note, marked as court exhibit 7, contained a request for police reports and arrest photos for both defendants. The court did not read the contents of the note into the record but confirmed, on the record with both counsel, that each had "seen the note requesting exhibits" and that the exhibits had been sent to the jury. At the end of that day, the court excused the jury and adjourned the matter until the next morning.

The transcript of the following day begins suddenly with the court and the parties back on the record and three additional jury notes (notes two, three and four) immediately marked as court exhibits. Jury note two (court exhibit 8), which is not at issue here, was timed at 11:16 a.m. That note requested several things: an exhibit, the definitions of certain charges and a readback of portions of police officer testimony. Note three (court exhibit 9), timed at 11:30 a.m., requested a readback of the testimony of the fingerprint expert concerning "the type of surfaces needed to get an accurate print." Note four (court exhibit 10), timed at 11:55 a.m., requested a readback of the testimony from the caretakers of the property concerning who was able to "rent the party room."

Outside the presence of the jury, the court stated for the record that three additional notes had been received and would "be read[ ] into the record after the jury [was] seated." The court went on to say that "we are going to respond to at least one of those notes now." In an obvious reference to a preceding off-the-record discussion, the court stated "I believe that counsel have agreed upon the sections of the testimony which can be read to the jury in response to note number [two]. Is that correct?" Despite the fact that jury note two had yet to be read verbatim in the record, the parties indicated their general agreement, and went on to discuss the disputed areas of requested testimony in detail, evidencing their knowledge of the actual content of jury note two.

After the parties agreed upon the readbacks for note two, the court brought the jury back into the courtroom. The court then stated "I have three notes from you and I just want to make sure that all of us remember what was in the notes so I'm going to review them, I'll read them back to you so that everyone will have a clear memory of what you've originally requested." The court then read note two into the record verbatim and told the jury "let's deal with that note first and we'll leave the other two for after lunch. One at a time." After providing the requested readbacks for note two, the court told the jury that "[t]he additional testimony that you requested in the other two notes, we'll respond to that after lunch." The court advised the jury that it could continue deliberating through the lunch recess and that they would "continue with the readback" after lunch.

When the parties came back on the record after the lunch recess, the court, in the intervening period, had received a fifth jury note indicating that the jury had reached a verdict. The court confirmed with counsel for the record that they had seen the note and that it had been marked as a court exhibit. The court then brought the jury back to the courtroom and accepted the verdict. There was no further discussion of the two outstanding notes requesting readbacks and there was no objection to the acceptance of the verdict.

Under CPL 310.30, the trial court has two distinct duties when handling substantive notes from a deliberating jury—first, it must provide meaningful notice to counsel of the actual, specific content of the note and second, it must provide a meaningful response to the jury's request (*see* CPL 310.30; *O'Rama*, 78 NY2d at 277). We have repeatedly held that a failure to satisfy the meaningful notice requirement is a mode of proceedings error. However, where counsel has been provided meaningful notice of the content of a note, the failure by the court to provide a meaningful response to the jury is error subject to our preservation requirements (*see People v Mack*, 27 NY3d 534, 536-537 [2016]). As we have previously held, "[i]n the *O'Rama* context . . . , lack of notice is the key determinant in classifying a particular procedure as a mode of proceedings error" because counsel cannot " 'participate effectively or adequately protect the defendant's rights' if counsel lacks notice 'of the actual specific content of the jurors' request' " (*Mack*, 27 NY3d 541-542, quoting *O'Rama*, 78 NY2d at 277). Moreover, in recognition of the fact that mode of proceedings errors "go to the essential validity of the process and [are] so fundamental that the entire trial is irreparably tainted," we have frequently observed "that not every departure from the *O'Rama* procedure or violation of CPL 310.30" will rise to the level of a mode of proceedings error (*Mack*, 27 NY3d at 541, 539 [internal quotation marks and citation omitted]). The point of *O'Rama* was "not to mandate adherence to a rigid set of procedures, but rather to delineate a set of guidelines calculated to maximize participation by counsel at a time when counsel's input is most meaningful, i.e., before the court gives its formal response" (*O'Rama*, 78 NY2d at 278).

Recently, we have strayed from *O'Rama*'s essential holding by elevating the court's obligation of affirmatively making a record adequate for appellate review over its fundamental responsibility to provide meaningful notice of the content of a jury's communication (*see People v Silva*, 24 NY3d 294 [2014]; *People v Walston*, 23 NY3d 986 [2014]; *People v Tabb*, 13 NY3d 852 [2009]). I would not extend the holdings in those cases to the facts of the present cases, as to do so would foster an unwarranted and unnecessary per se error rule inconsistent with the core holding of *O'Rama*.[1] These cases have led this

1. Significantly, in *O'Rama*, we stated that we were following the "meaningful notice" procedure outlined in *United States v Ronder* (639 F2d 931, 934-935 [2d Cir 1981]). Federal courts have generally treated this type of error as a violation of a defendant's right to be present—including the right to have counsel be heard—and have applied a substantial compliance standard as well as harmless error analysis where the communication at issue did not prejudice the defendant (*see United States v Martinez*, 850 F3d 1097, 1102, 1109 [9th Cir 2017]; *United States v Collins*, 665 F3d 454, 460-461 [2d Cir 2012]; *United States v Mejia*, 356 F3d 470, 474-476 [2d Cir 2004]; *compare Rogers v United States*, 422 US 35, 38-40 [1975] [recognizing that harmless error was applicable to some violations of the right to be present, but holding that judge's unilateral response to jury note as to his willingness

(n. cont'd)

Court today to a rule which requires the reversal of a conviction—purportedly for an error that impacts the essential validity of the trial—based on the technical defect of failing to make an adequate record (CPL 470.05 [1]). The rule operates without regard to the specific facts of whether counsel actually received meaningful notice of the content of the jury note. Where, as here, the record is ambiguous as to whether the actual content of the jury notes was given to counsel—in that the record demonstrates there was an off-the-record discussion of the jury notes—we have no reason to presume that a fundamental flaw in the trial process occurred.

Here, the record reveals that it was the trial court's procedure to first give notice of the jury notes to counsel at an off-the-record conference.[2] When responding to the note in the jury's presence, the trial court would then either read the note into the record verbatim or confirm with the attorneys on the record that they had seen the note. The record reflects that notes two, three and four were received by the court over a 41 minute interval and that all three notes were marked as court exhibits. In addition, the record demonstrates that the attorneys were aware of the content of note two, that there was an off-the-record discussion as to the proper response to that note before the parties went on the record, and that there was an on-the-record discussion as to when the court would respond to notes three and four. Given the narrow scope and relative insignificance of the requested readbacks in notes three and four, it is unsurprising that there was no discussion on the record as to the content of the court's intended response. Indeed, certain readbacks can be perfunctory in nature. Based on the above, there is a reasonable view of the record that the trial court did show notes three and four to the attorneys when

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to accept a guilty verdict with a recommendation of "extreme mercy" was so potentially prejudicial as to not require preservation in either the trial court or the Court of Appeals]).

2. Indeed, there can be no dispute that the extant transcript omits a series of events that occurred that morning—including convening the jury and sending them out to resume deliberations, the court notifying counsel that the jury notes were received, and the initial discussion among the parties of the testimony that would be provided in the readback after the notes were received. The application of the majority's per se reversal rule on this record ignores the realities commonly attending the trial process and, ironically, finds error in what may only be the court's failure to record the absence of error.

they saw note two.[3] This ambiguity demands additional exploration to ascertain what the facts are specifically, and whether counsel received the requisite notice, for if counsel did receive the required notice, then no mode of proceedings error occurred. Parenthetically, our practical solution in *Mack*, dealing with an inadequate record as to whether the first-prong notice requirement was satisfied before a response was given, cannot be invoked here as the jury reached a verdict and effectively rescinded its requests for readbacks in the two jury notes at issue. Consequently, the Court did not employ its patterned procedure of reading the notes verbatim into the record before giving the jury its response. Seemingly, defendants have reaped a benefit from the court's decision to provide its responses in seriatim, but it is not a benefit necessarily consistent with any error in the case.

We have recognized in similar contexts that, where there is a significant ambiguity in the record, a reconstruction hearing is appropriate as we are not inclined to reverse trial verdicts on technical errors (*see e.g. People v Velasquez*, 1 NY3d 44, 49 [2003]). Thus, in *People v Walker* (18 NY3d 839 [2011]), we held that a reconstruction hearing was necessary to determine whether the defendant's right to be present for his *Sandoval* hearing was violated (*see also People v Michalek*, 82 NY2d 906, 907 [1994]; *People v Monclavo*, 87 NY2d 1029, 1031 [1996]). In addition, the Appellate Division has ordered reconstruction hearings to address whether an *O'Rama* error occurred (*see People v Mitchell*, 129 AD3d 404 [1st Dept 2015]; *People v Williams*, 113 AD3d 1116 [4th Dept 2014]; *People v Kahley*, 105 AD3d 1322 [4th Dept 2013]; *People v Cruz*, 42 AD3d 901 [4th Dept 2007]). Indeed, in *People v Cruz*, we heard an appeal on an *O'Rama* issue after a reconstruction hearing had been held—a procedure that the presiding Chief Judge characterized as a "very useful exercise" (14 NY3d 814, 818 [2010, Lippman, Ch. J., concurring]).

3. It should be noted that counsel for appellants have not, despite a strong incentive to do so, represented to the Court that trial counsel did not receive notice of the contents of notes three and four. Rather, the only argument advanced in our appeal relates to whether the record evidences such notice. This argument is in keeping with the majority's per se rule, which allows counsel who receives meaningful notice of the content of a jury note "to sit idly by while error is committed" and then argue that the record does not reflect such error (*see People v Patterson*, 39 NY2d 288, 295 [1976], *affd* 432 US 197 [1977]; Rules of Professional Conduct [22 NYCRR 1200.0] rule 3.1).

In invoking the *Walston* automatic reversal rule because of the incomplete nature of the appellate record, the majority fails to appreciate the significant fact that defendants' *O'Rama* argument was raised for the first time in this Court. Since the Appellate Division has not had the opportunity to review this issue, which may turn on a factual determination suited to that Court's review power, the proper remedy is to remit the matter to that Court for further proceedings (*see Caban*, 14 NY3d at 375).[4] Upon remittal, the Appellate Division would have the ability to order a reconstruction hearing to determine, in the first instance, whether defense counsel received meaningful notice and, if not, whether the jury implicitly withdrew the notes at issue when it reached its verdict.

This case is distinguishable from our ruling in *People v Silva*, where we held that *O'Rama* errors had occurred where there was no response to certain jury notes before the jury delivered its verdict. In both *Silva* and its companion case, *Hansen*, we observed that the record was silent as to whether the court or the parties were aware of the notes before the verdict was taken (*see* 24 NY3d at 300). Here, by contrast, all parties were well aware of the existence of the two notes and that the jury in both notes was requesting readbacks of testimony. Significantly, the court twice advised the jury that a response to those notes would be provided after the lunch break but that they could continue to deliberate in the meantime. Under the circumstances presented in this appeal, there is a reasonable argument to be made that the jury rescinded those readback requests when it delivered its verdict. There is likewise a reasonable argument that, under these circumstances, defense counsel, who was aware that the notes were outstanding, was required to object before the court took the verdict (*see e.g. United States v Young*, 140 F3d 453, 456-457 [2d Cir 1998]). In any event, where, as here, the jury knew that the court was going to provide the requested testimony, defendants were not seriously prejudiced by the lack of response to the notes at issue, which contained only narrow requests for readbacks (*see*

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4. The majority concedes that certain of this Court's recent cases have exalted the requirement of making an appellate record over the trial court's core obligation to provide meaningful notice as set forth in *O'Rama* (majority op at 61 n 6). We disagree that this exaltation diminished the precedential value of *Caban*, where the pivotal concern was that the intermediate appellate court was deprived of the opportunity to review an issue that has a significant factual component and was not raised before it.

People v Agosto, 73 NY2d 963, 966 [1989]; *People v Lourido*, 70 NY2d 428, 435 [1987]).[5]

In sum, I would not hold that a mode of proceedings error occurred on the ambiguous records before us. Rather, these cases should be remitted to the Appellate Division for its consideration of the issue in the first instance.

GARCIA, J. (dissenting). I dissent for the reasons stated in my dissenting opinion in *People v Morrison* (32 NY3d 951 [2018] [decided today]).

Judges STEIN, FAHEY and WILSON concur; Chief Judge DIFIORE dissents in an opinion, in which Judges GARCIA and FEINMAN concur in a separate dissenting opinion by Judge GARCIA.

In each case: Order reversed and a new trial ordered.

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5. Although the Court rejected a similar argument in *Silva* (*see* 24 NY3d at 300), as noted above, these cases are distinguishable based on the knowledge of the existence of the notes and the intended response.

[110 NE3d 489, 85 NYS3d 377]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PRINCESAM BAILEY, Appellant.

Argued May 2, 2018; decided June 14, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 21, 2017. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael R. Sonberg, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree.

People v Bailey, 148 AD3d 547, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review

1. Defendant failed to preserve for review his claim that the trial court erred in failing to inquire as to the impartiality and fairness of a juror who interrupted defense counsel's questioning alleging that she was offended by counsel's repeated use of a derogatory word. Defense counsel's reference to the juror as being "grossly unqualified" was raised solely in relation to his consistent position that the only way to protect defendant's right to a fair and impartial jury was to grant the specific remedy of a mistrial. Counsel's failure to join another codefendant's request for an inquiry after the court denied the mistrial motion made plain the singular course set by counsel. Moreover, an issue is not preserved for appellate review merely because another party or codefendant protested or objected. Defendant failed to make clear to the judge that he shared his codefendant's view that an inquiry was a necessary response to the juror's outburst. Codefendants may not share the same position in a case or on a specific ruling, and counsel's failure to join the codefendant's request for an inquiry may have reflected his strategic choice. CPL 470.05 (2) cannot be read to mean that a codefendant implicitly lodges the same protest on the same grounds every time a codefendant objects, as one counsel's objection may undermine another counsel's strategy.

Crimes — Evidence — Testimony Concerning Gang Customs and Practices — Motive and Intent to Join Assault

2. The trial court in defendant's prosecution did not err in permitting testimony about gang customs and practices for the purpose of proving defendant's motive and intent to join an assault on a fellow inmate during which defendant and his codefendants used coded language associated with a subgroup of a certain gang. Evidence regarding gang activity can be admitted to provide necessary background, or when it is inextricably interwoven with the charged crimes, or to explain the relationships of the individuals involved. The testimony elicited by the People about the gang was probative of defendant's motive and intent to join the assault on complainant, and provided necessary background information on the nature of the relationship

between the codefendants, thus placing the charged conduct in context. The testimony was intended to explain why defendant and one of the codefendants were quick to join in the fight, as well as the gang-related meaning of the words complainant alleged that the codefendant used during and after the attack. Very little of the investigator's testimony focused on sensational details about the gang. The testimony described how members are identified and briefly discussed how carrying out an act of violence on behalf of a member might allow another member to rise in the gang's hierarchy. Regardless, because the court's instructions addressed any possible prejudice to defendant, the court's ruling was not error.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 531, 574; AM JUR 2d Evidence §§ 558, 559.

CARMODY-WAIT 2d Particular Types of Evidence § 194:188; CARMODY-WAIT 2d Charge and Instruction to Jury § 201:24; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:23, 207:24.

MCKINNEY'S, CPL 470.05 (2).

NY JUR 2d Criminal Law: Procedure §§ 2248, 2864, 3556, 3557, 3561, 3570.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Expert and Opinion Evidence; Gangs.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Margaret E. Knight* and *Christina A. Swarns* of counsel), for appellant. I. The trial court erroneously refused to even question a juror after a courtroom outburst directed at Princesam Bailey's counsel, which demonstrated a grave risk that the juror was grossly unqualified. (*People v Buford*, 69 NY2d 290; *People v McClenton*, 213 AD2d 1; *People v Rentz*, 67 NY2d 829; *People v Meyer*, 78 AD2d 662; *People v Ivery*, 96 AD2d 712; *People v West*, 92 AD2d 620; *People v Mejias*, 21 NY3d 73; *People v Rodriguez*, 71 NY2d 214; *People v Pineda*, 269 AD2d 610; *People v Spencer*, 29 NY3d 302.) II. The trial court erred in permitting extensive prejudicial testimony about the Bloods gang that exceeded the limited purpose for which it was offered. (*People v Molineux*, 168 NY 264; *People v Resek*, 3 NY3d 385; *People v Alvino*, 71 NY2d 233; *People v Ventimiglia*, 52 NY2d 350; *People v Fiore*, 34 NY2d 81; *People v Till*, 87 NY2d 835; *People v Bartholomew*, 105 AD3d 613; *People v Wilson*, 14 AD3d 463; *People v Cain*, 16 AD3d 288; *People v Connally*, 105 AD2d 797.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Rebecca Hausner* and *Hilary Hassler* of counsel), for respondent. I. Defendant has not preserved his complaint about the court's failure to conduct a specific inquiry into the continuing impartiality of a sworn juror. In any event, the trial court's handling of the matter was perfectly proper. (*People v Mejias*, 21 NY3d 73; *People v Gray*, 86 NY2d 10; *People v Lombardo*, 61 NY2d 97; *People v Hicks*, 6 NY3d 737; *People v Rice*, 75 NY2d 929; *People v Buckley*, 75 NY2d 843; *People v Cabassa*, 79 NY2d 722; *People v Toledo*, 101 AD3d 571; *People v Greene*, 49 AD3d 275; *People v Hernandez*, 136 AD3d 1055.) II. The trial court properly admitted brief background testimony describing the culture and customs of the gang in which the three defendants were members. Any claim that the evidence exceeded permissible bounds is unpreserved. (*People v Molineux*, 168 NY 264; *People v Hutchinson*, 56 NY2d 868; *People v Sabb*, 11 AD3d 350; *People v Lane*, 7 NY3d 888; *People v Frumusa*, 29 NY3d 364; *People v Harris*, 26 NY3d 1; *People v Blair*, 90 NY2d 1003; *People v Hudy*, 73 NY2d 40; *People v Valentin*, 29 NY3d 150; *People v Rojas*, 97 NY2d 32.)

OPINION OF THE COURT

RIVERA, J.

Defendant Princesam Bailey challenges his conviction of assault in the second degree, claiming that the trial court erred by failing to inquire as to a juror's impartiality and fairness as required by *People v Buford* (69 NY2d 290 [1987]) and by permitting extensive prejudicial testimony about gang customs and practices. Defendant's *Buford* claim is unpreserved, and his objection to the gang-related testimony is meritless.

I.

Defendant and two inmates were prosecuted for their assault of another inmate while the four were incarcerated at the Manhattan Detention Complex (MDC). At the joint trial, complainant testified that after an initial dispute, the three codefendants went to his cell and attacked him. Complainant called out for a "fair fight," meaning a one-on-one fight, and one of the men—not defendant—responded, "ain't nothing fair, only Blood rules." When complainant's cell door began to close automatically, his attackers ran out.

Later when the cell door reopened, complainant left his cell and called out, "I couldn't get a fair fight," to which the same codefendant responded and yelled out, "power rules," "power rule," or "power Blood rules," which complainant described as coded language used by a subgroup of a gang known as the Bloods. About a half hour later, complainant went to locate a correction officer to tell him what happened, but was stopped by defendant, who told him to keep quiet about the attacks, which led to a second fight.

This time defendant called out, "yo, yo come down and help me." Codefendants immediately ran down from an upper tier of the jail and joined in the fight, kicking complainant, who was by this point on the ground. Complainant and the correction officer who broke up the fight testified that defendant then grabbed a wooden cane from another inmate and twice struck complainant in the face.

The defendant's theory of the case was that the three men were protecting themselves from complainant, who started the fight after one of the other codefendants verbally provoked him with obscenities and a racially derogatory term. While cross-examining complainant, perhaps in a strategic effort to goad him, defense counsel asked about the inflammatory statements made during the initial confrontation, as reported in complainant's written statement in which he described the attack and claimed that one of the codefendant's called him an "old n*****." Complainant denied he had been provoked, explaining that he had outgrown fighting over petty insults. Counsel then repeatedly attempted to have complainant concede that he was referred to as an "old n*****" in the buildup to the physical altercation. Complainant answered that he did not recall hearing that particular phrase, but, in any case, they were just words. Counsel nevertheless persisted with this line of questioning and used the derogatory term a total of five more times, even after complainant explained that he was essentially being called "old," regardless of the terms used.

On defense counsel's fifth reference to the derogatory word, juror six interrupted the questioning and demanded that counsel stop using the word, under the threat that she would walk out. After admonishing the juror, the court told counsel not to ask the question again.

> "A JUROR: Please, I am not going to sit here—
>
> "THE COURT: Ma'am.
>
> "A JUROR:—and having you say that again.
>
> "Don't say it again or I am leaving.
>
> "THE COURT: Ma'am, ma'am.
>
> "A JUROR: I find that very offensive.
>
> "THE COURT: Ma'am, that's not appropriate from you. But, [counsel], we've been here a half dozen times.
>
> "[COUNSEL]: Judge—
>
> "THE COURT: I don't want to hear it again.
>
> "Okay.
>
> "You don't ask the same question over and over and over again.
>
> "Move on.
>
> "[COUNSEL]: Judge, I'm trying to set the scene.
>
> "THE COURT: [Counsel], the scene is set.
>
> "Move on.
>
> "That's the direction."

Defense counsel continued with a few more questions before the court announced a brief recess.

Once the jurors left the courtroom, the judge asked if any of the attorneys wanted to address the juror outburst. Defendant's counsel moved for a mistrial, arguing the juror "clearly poisoned the jury with her animosity, not only toward me, but the questions that I was asking, which were clearly legitimate questions based on the testimony and the statement [complainant] gave . . . . I think her actions clearly show animosity, again, toward me, which may be carried over to my client." The court asked defendant's counsel if he thought the juror was "grossly disqualified by her statement that she found [his] question offensive." Defendant's counsel answered:

> "I think she is grossly unqualified because she was not able to separate. . . .

> "She was taking the questioning personally when, in fact, it's a legitimate question to ask.
>
> "It's a question of fact as to whether or not he said [the phrase to the correction officer].
>
> "He put it in a statement.
>
> "And I was clearly trying to elicit and set the stage for what was going on while this has [sic] happening in the jail.
>
> "And Juror Number Six is not able to separate that from her own personal opinion of what the term or her distaste for the term 'old n*****' is.
>
> "And I think not only has she now herself become grossly unqualified, but I think she has poisoned the jury as well."

The court disagreed and explained that while there might have been a good faith basis for the question, and use of the term once or twice, anything more was problematic. Therefore, the juror's response to the repeated use of the offensive term was understandable. After one of the attorneys—not defendant's counsel—argued that the appropriate remedy was to strike the juror, the People remarked that, as the court suggested, no action was necessary under the circumstances, but should the court choose, the People would not object to striking the juror. At no point during the colloquy with the court did defendant's counsel advocate for this remedy.[1]

The court denied defendant's motion for a mistrial and codefendant's motion to discharge the juror, and opted instead to instruct the jury on the matter. One of the codefendant's attorneys then requested that the court specifically ask the juror if she could still be fair and impartial. Defendant did not join this request or advocate in support of the inquiry. The court denied codefendant's request, stating that this Court's decision in *People v Mejias* (21 NY3d 73 [2013]), made public the previous day, only required that the court question the juror when it is clear from the conduct that a juror is grossly unqualified, which the court held was not the case here. There were no further objections.

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1. The dissent mischaracterizes the record when it states that "all consented" to the juror's "immediate replacement by an alternate" (dissenting op at 88). There is nothing in the record that suggests that defense counsel consented to that remedy.

After the jury returned to the courtroom, the judge gave the following instruction:

> "It's not appropriate for jurors to speak from the jury box. . . .
>
> "You are also not to hold it against either one or more of the defendants or the People if you dislike or disapprove of questions that are asked or objections that are made.
>
> "That being said, if any of you think that you can't be fair and impartial as a result of something that has happened during the trial, you should please let one of the court officers know that and they'll talk to me about it.
>
> "Otherwise, I'll assume that all of you still believe you can be fair and impartial."

Defendant's counsel then thanked the judge.

Later during the trial, the prosecutor elicited testimony from an investigator with experience in gang intelligence about the Bloods' organization. The court had ruled before trial and over codefendants' objections that the People could introduce evidence of membership in the Bloods to explain the motive for all three codefendants' participation in the attack because the probative value of this evidence outweighed its prejudice. However, the court explained that its ruling was limited, as it did not "want this to turn into a fifteen-minute primer on gangs in New York in the 21st Century."

On direct examination, the investigator testified, without objection, about the gang's colors and signs, general hierarchy, and how members often move up in the gang by committing acts of violence. In addition, complainant and a correction officer also testified that codefendants were Bloods members or affiliates. Defendant himself testified that while he had been a member of the Bloods, he was not engaged in any gang activity at MDC.

During the final charge, the court instructed the jury that the evidence of gang membership was admitted solely to demonstrate motive and intent.

> "There is evidence in the case that the defendants were members of the Bloods gang.
>
> "That evidence was not offered and may not—must

> not be considered for the purpose of proving that a defendant had a propensity or predisposition to commit the crimes charged in this case.
>
> "It was offered as evidence for your consideration on the questions of motive and intent.
>
> "If you find the evidence believable, you may consider it for that limited purpose and/or none other."

Defendant did not object after the charge.

The jury found all three codefendants guilty of assault in the second degree. The court convicted defendant upon the jury verdict, and sentenced defendant as a second violent felony offender to a determinate seven-year sentence.

The Appellate Division affirmed the judgment (*People v Bailey*, 148 AD3d 547 [1st Dept 2017]). As relevant here, the Appellate Division found that defendant's challenge to the court's failure to inquire of juror six regarding her outburst was unpreserved (*id.* at 548). In the alternative, the Court held that a *Buford* inquiry was not necessary because the juror demonstrated mere annoyance with counsel, and the trial court's instruction to the jury was an adequate response (*id.*, citing *People v Wiggins*, 132 AD3d 514 [1st Dept 2015], *lv denied* 27 NY3d 1076 [2016]). The Court also held that the gang expert's testimony was not excessive, and that the court's "thorough instructions minimized any prejudicial effect" (*Bailey*, 148 AD3d at 548). A Judge of this Court granted defendant leave to appeal (29 NY3d 1075 [2017]).

II.

A.

Defendant alleges that the trial court erroneously refused to question juror six or take any corrective action other than to issue a general instruction to the jury, which defendant claims was insufficient under the circumstances.[2] The People respond that because defendant failed to request an inquiry or join the codefendant's request that the court talk to the juror, the claim is unpreserved. Defendant counters that the issue is preserved because his counsel and the attorneys for the other codefend-

2. Contrary to the dissent's view, the issue defendant presents on this appeal is whether the court erred in not granting a *Buford* inquiry, not whether the court erred in failing to strike the juror (*see* dissenting op at 85).

ants argued that the juror was grossly unqualified and presented a range of remedies, thus providing the court with an opportunity to address the alleged error, as required by our preservation rules. Alternatively, defendant argues the issue is properly before the Court pursuant to CPL 470.05 (2) as the trial court considered and denied an explicit request to question the juror. None of defendant's arguments withstand scrutiny.

To preserve an issue of law for appellate review, "counsel must register an objection and apprise the court of grounds upon which the objection is based 'at the time' of the allegedly erroneous ruling 'or at any subsequent time when the court had an opportunity of effectively changing the same' " (*People v Cantave*, 21 NY3d 374, 378 [2013], quoting CPL 470.05 [2]). "The salutary goal of this well-established preservation requirement is to avoid the need for an appeal and 'provide the opportunity for cure before a verdict is reached and a cure is no longer possible' " (*People v Jackson*, 29 NY3d 18, 22 [2017], quoting *People v Gray*, 86 NY2d 10, 20-21 [1995]). This requirement prevents a party from "sit[ting] idly by while error is committed, thereby allow[ing] the error to pass into the record uncured, and yet claim the error on appeal" (*People v Patterson*, 39 NY2d 288, 295 [1976]).[3]

[1] We are unpersuaded, first, by defendant's argument that because his counsel referred to juror six as "grossly unqualified," he preserved his *Buford* claim that the trial court had to make an inquiry into the juror's ability to be impartial. What defendant ignores is that counsel's reference to juror six being grossly unqualified was raised solely in relation to his consistent position that the only way to protect defendant's right to a fair and impartial jury was to grant the specific remedy of a mistrial. Counsel argued vigorously that juror six had irreversibly tainted the entire jury—a defect in the process that would require more than the discharge of a single juror.[4] That being the case, counsel's failure to join another codefendant's request

3. The legislature has authorized the Appellate Division, in its discretion, to avoid the harsh consequences of this general rule for "on the initial appeal . . . that court, with its broader powers of review, may consider claims of error, notwithstanding a failure to object" (*People v Patterson*, 39 NY2d 288, 295 [1976], citing CPL 470.15).

4. Unlike in the hypothetical posited by the dissent (*see* dissenting op at 86), defense counsel did not seek two remedies, but one. Indeed, requesting the removal of juror six would undermine defendant's rationale for a mis-

(n. cont'd)

for a *Buford* inquiry after the court denied the mistrial motion makes plain the singular course set by counsel. There is no other explanation for counsel's silence, particularly as he had joined other objections at other points during the trial. If the inquiry established juror six was "grossly unqualified," the court had no choice but to discharge her as required by CPL 270.35 (1). Defendant would have thus secured the removal of a juror with a possible adverse view of counsel and defendant. If the inquiry convinced the court that juror six could be impartial and unbiased, then all the better for the parties.[5] Defense counsel's silence while another attorney made a last-ditch plea to the court for a minimal inquiry of the juror confirms that counsel had no interest in hearing again from the juror and was locked into the sole remedy of a mistrial.

Defendant's alternative argument, that he preserved the issue for appellate review by way of his codefendant's objection, is similarly unpersuasive. The Court has, in a different context, rejected the proposition that an issue is preserved for appellate review, notwithstanding a defendant's failure to expressly present the matter to the trial court, merely because another party or codefendant protested or objected. In *People v Lombardo* (61 NY2d 97 [1984]), a juror sent a note to the judge indicating that the juror could not render a fair and just verdict. When the court informed the parties, the People suggested the entire jury be recalled and recharged, or, in the alternative, that the court explore the problem further with the juror. Defense counsel did not join in either suggestion, but insisted on a mistrial, stating that even if the juror were discharged, the defense would not consent to the substitution of an alternate (*id.* at 103). The trial court denied the motion for a mistrial and merely recalled and recharged the jury (*id.*). This Court held that

> "[d]efendant's contention before us that the trial court should have questioned juror number 11

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trial, which he argued would be the sole appropriate remedy because the jury as a whole had been tainted.

5. The dissent mischaracterizes a *Buford* inquiry as "a procedural vehicle . . . to assess whether a juror is 'grossly unqualified' " (dissenting op at 87 n 2). The inquiry is broader than this, however, as it is essentially concerned with determining the juror's state of mind and ability to be fair and impartial. As such, the results of a *Buford* inquiry are not limited to the dismissal of the juror, for even if the juror is deemed qualified to continue, the court may issue additional instruction to that juror or the panel as a whole.

> before proceeding was not preserved for our review in view of his counsel's failure, at the time, to request such relief or to join in the prosecutor's suggestion. Thus, the only asserted error preserved for appellate review was the denial of the motion for a mistrial" (*id.* at 104).

In *Lombardo*, as here, the issue was raised, yet by someone other than the defendant, and the Court found that the defendant's failure to join the request rendered the issue unpreserved on the defendant's appeal. Here too, defendant cannot seek appellate review as he failed to make clear to the judge that he shared his codefendant's view that a *Buford* inquiry was a necessary response to the juror's outburst.

The reason for this preservation rule is simple: codefendants may not share the same position in a case or on a specific ruling. As the Court recognized in *People v Buckley* (75 NY2d 843, 846 [1990]), in which a defendant contended the trial court erred by refusing to instruct the jury on a lesser included offense, "[f]or tactical reasons codefendants might take different positions on the desirability of various instructions to the jury."

The same analysis applies with full force here. Defendant's failure to join the codefendant's request for a *Buford* inquiry may reflect counsel's strategic choice: counsel may have decided that a mistrial was the only possible remedy for the alleged taint to the jury resulting from juror six's outburst, he may have preferred juror six to the alternate, or some other tactic may have informed his actions. Even after the ruling on codefendant's motion, counsel failed to object to the judge's admonishment and instructions to the jury that unless the judge heard to the contrary, he would presume they believed they could be fair and impartial and invited any juror who felt otherwise to let the court officer know so that the judge could speak with the juror. The fact that counsel thanked the court after these instructions further suggests that counsel had reasons for not pursuing codefendant's request for a *Buford* inquiry.

Defendant's reliance on CPL 470.05 (2) in support of his argument is misplaced. CPL 470.05 (2) provides:

> "For purposes of appeal, a question of law with respect to a ruling or instruction of a criminal court during a trial or proceeding is presented when a protest thereto was registered, by the party claim-

> ing error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same. Such protest need not be in the form of an 'exception' but is sufficient if the party made his position with respect to the ruling or instruction known to the court, or if in reponse [sic] to a protest by a party, the court expressly decided the question raised on appeal. In addition, a party who without success has either expressly or impliedly sought or requested a particular ruling or instruction, is deemed to have thereby protested the court's ultimate disposition of the matter or failure to rule or instruct accordingly sufficiently to raise a question of law with respect to such disposition or failure regardless of whether any actual protest thereto was registered."

The conclusion in *Buckley* that a "[d]efendant cannot rely on the request of a codefendant to preserve the claimed [jury] charge error notwithstanding . . . CPL 470.05 (2)" follows from the language and purpose of the statute (75 NY2d at 846). The reference in CPL 470.05 (2) to "a party" must be understood to mean "such party," because the entire section is written to address a situation in which an appellate court is authorized to consider an issue of law by the appealing party based on either that party's protest or the court's ultimate decision. The broad reading advocated by defendant here would render meaningless our preservation rule as applied to codefendants. This section of the CPL cannot be read to mean that a codefendant implicitly lodges the same protest on the same grounds every time a codefendant objects. That interpretation would ignore what we recognized expressly in *Buckley* and implicitly in *Lombardo*—that one counsel's objection may undermine another counsel's strategy.

New York courts have interpreted the CPL in this way and held that issues similar to the one presented in this appeal must be preserved by the specific defendant, even if raised by a codefendant (*see People v Toledo*, 101 AD3d 571, 571 [1st Dept 2012] ["Defendant did not preserve his claim that the court erred in failing to excuse two prospective jurors for cause, as he did not join in the challenges made to those jurors by other defendants"]; *People v Hernandez*, 136 AD3d 1055, 1056 [2d Dept 2016] [claim unpreserved where defendant did not join in codefendants' request that the People be compelled to produce the complainant as a witness at the suppression hearing]; *People v Anderson*, 149 AD3d 1407, 1413 [3d Dept 2017] [defendant's claim regarding the prosecutor's remarks during opening not preserved as defendant did not join an objection by codefendants], *lv denied* 30 NY3d 947 [2017]; *People v Samuel*, 137 AD3d 1691, 1693-1694 [4th Dept 2016] [defendant's challenge to a search warrant was unpreserved as defendant did not join in a challenge to the warrant made by codefendant's attorney]).

The legislative history and practice commentaries support this construction of the CPL. The State Legislative Annual observes that the language in CPL 470.05 (2) that reads, "in response to a protest by a party, the court expressly decided the question raised on appeal," is meant to cover a situation where the party has made a general or technically incorrect objection, but the court has made an express determination on the question of law raised on appeal in response (*see* Mem of Senator Robert B. Stafford, 1986 NY Legis Ann at 333 [reflecting legislature's view that "general objections or technically incorrect objections by an attorney in the heat of trial" should preserve an issue where in response "errors . . . were made after express consideration and determination by the trial court"]). The McKinney's practice commentary to CPL 470.05 (2) explains that cases which evoke this provision "are extremely rare," but that examples include where the court interrupted a defendant who was specifying the weakness in the People's case only to recognize the potential argument and decided against it (citing *People v Hawkins*, 11 NY3d 484 [2008]), and where the court's statement when denying a general motion to dismiss recognized the need for corroboration despite defendant failing to raise it (citing *People v Prado*, 4 NY3d 725 [2004]) (Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 470.05 at 10-11 [2009 ed]). The commentary states, in sum, that this provision "eliminated the need for a nexus between the ground of the protest and the rationale of the ruling" (*id.*). That reading of the CPL is correct and applies here. Defendant's claim that the trial court erred in failing to inquire of the jury is thus unpreserved.[6]

6. As the issue is unpreserved, we necessarily do not reach the merits of the court's decision not to conduct a *Buford* inquiry nor opine as to the juror's qualifications (dissenting op at 85).

B.

Defendant next claims that the trial court erred in permitting extensive prejudicial testimony about the Bloods gang that exceeded the limited purpose for which it was offered. Defendant's objection to the testimony about the Bloods as wholly inadmissible is without merit.

Evidence of uncharged crimes "is inadmissible where its only relevance is to show defendant's bad character or criminal propensity" (*People v Agina*, 18 NY3d 600, 603 [2012]). However, "[e]vidence of a defendant's prior bad acts may be admissible when it is relevant to a material issue in the case other than defendant's criminal propensity" (*People v Dorm*, 12 NY3d 16, 19 [2009]). "Under *People v Molineux* (168 NY 264 [1901]), the People may use such evidence to prove motive, intent, lack of mistake or accident, identity, or common scheme or plan" (*id.* at 19). "Where there is a proper nonpropensity purpose, the decision whether to admit evidence of defendant's prior bad acts rests upon the trial court's discretionary balancing of probative value and unfair prejudice" (*id.*). As we have made clear, "[e]vidence regarding gang activity can be admitted to provide necessary background, or when it is inextricably interwoven with the charged crimes, or to explain the relationships of the individuals involved" (*People v Kims*, 24 NY3d 422, 438 [2014] [internal quotation marks omitted]).

[2] Here, the testimony elicited by the People about the Bloods was probative of defendant's motive and intent to join the assault on complainant, and provided necessary background information on the nature of the relationship between the codefendants, thus placing the charged conduct in context (*see Dorm*, 12 NY3d at 19). The testimony was intended to explain why defendant and one of the codefendants were quick to join in the fight, as well as the gang-related meaning of the words complainant alleged that the codefendant used during and after the attack. In fact, very little of the investigator's testimony focused on sensational details about the Bloods. The testimony described how members are identified and briefly discussed how carrying out an act of violence on behalf of a member might allow another member to rise in the gang's hierarchy. Regardless, because the court's instructions addressed any possible prejudice to defendant, we cannot say the court's ruling was error.[7]

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (dissenting). This case involves a jailhouse fight between two inmates, Mr. Bailey and Mr. Davis. Mr. Davis claims that Mr. Bailey and two other inmates attacked him; Mr. Bailey claims that Mr. Davis attacked him with a "shank" (a sharp knife-like object) and two of Mr. Bailey's friends came to his assistance. Mr. Bailey and his two friends were jointly prosecuted for assaulting Mr. Davis. At trial, in the midst of Mr. Bailey's attorney's cross-examination of Mr. Davis, a juror interrupted that cross examination, saying to Mr. Bailey's lawyer: "Please, I am not going to sit here . . . and having you say that again. Don't say it again or I am leaving." The trial judge unsuccessfully twice attempted to cut the juror off mid-outburst; the juror continued, saying to Mr. Bailey's lawyer (and all present): "I find that very offensive." The judge then told her, "Ma'am, that's not appropriate from you," and directed counsel to stop his line of inquiry, despite the lack of any objection from the prosecutor. No one—not the trial court, the Appellate Division or the majority—contends the juror acted appropriately. Indeed, the juror hijacked the role of the prosecutor and the trial judge, threatening to leave if the attorney continued along his chosen course of trial strategy, and further exclaiming to her fellow jurors that she had been highly offended by his cross-examination.

The jurors in this case, as is customary, took an oath to act fairly and impartially and to follow the judge's instructions on the law. They were instructed not to discuss the case with anyone, including each other, until they had been charged. Once a juror is seated, CPL 270.35 (1) provides that a juror who is "grossly unqualified to serve" must be removed. A motion for a mistrial by the defendant, on the other hand, is governed by the existence of "an error or legal defect in the proceedings, or conduct inside or outside the courtroom, which is prejudicial to the defendant and deprives him of a fair trial" (CPL 280.10 [1]). "Because juror misconduct can take many forms, no ironclad rule of decision is possible. In each case the facts must be examined to determine the nature of the mate-

7. To the extent that defendant's argument could be read as a challenge to the scope of the expert's testimony, that claim is plainly unpreserved.

rial placed before the jury and the likelihood that prejudice would be engendered" (*People v Brown*, 48 NY2d 388, 394 [1979]).[1]

The majority does not say that the juror in question was qualified to continue serving, or that the juror should not have been removed, or that Mr. Bailey received a fair trial. Strikingly, not only did counsel for each of Mr. Bailey's codefendants request that the juror be replaced with an alternate, but the prosecutor stated she too had no objection to doing so. Instead, the majority concludes that Mr. Bailey's lawyer did not request removal of the juror and cannot piggyback on the requests for removal made by counsel for the codefendants. I agree with the latter proposition, not the former: Mr. Bailey's counsel asked for removal of the juror, and the trial court understood him to be so asking.

I.

The first request Mr. Bailey's lawyer made on this issue was to remove the offending juror. As soon as the jury was excused, the court took up the issue of the juror's outburst, turning first to Mr. Bailey's lawyer, whose cross-examination had been interrupted and at whom the juror's ire was directed. Here is the discussion between the court and Mr. Bailey's lawyer:

> "[MR. BAILEY'S LAWYER]: . . . I think her actions clearly show animosity, again, toward me, which may be carried over to my client.
>
> "She is not going to be able to separate her opinion from whatever the facts in this case may eventually be.
>
> "*And I think based on her outburst, she not only*

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1. As it relates to juror misconduct, a mistrial was properly declared when

> "after the jury had been charged and sequestered and the alternate jurors apparently dismissed, juror No. 9, without notifying anyone, walked away from the other jurors, disappeared overnight, and appeared the following morning after the Trial Judge, when informed of his absence, made arrangements for his return. The court in the presence of both counsel interviewed the juror, who explained that the deliberations had given him an upset stomach and that he did not think the jurors, uneducated in the law, could resolve the issues without an adviser knowledgeable in the law, adding 'I just feel I cannot be fair to the person being judged' " (*People v Tinsley*, 58 NY2d 990, 992 [1983]).

> *put herself in a position where she should be removed, but I think she has poisoned the entire jury as well.*
>
> "THE COURT: . . . You think she is grossly disqualified by her statement that she found your question offensive?
>
> "[MR. BAILEY'S LAWYER]: I think she is grossly unqualified because she was not able to separate. . . .
>
> "And I think not only has she now herself become grossly unqualified, but I think she has poisoned the jury as well. . . .
>
> "[ANOTHER DEFENDANT'S LAWYER]: I think the appropriate remedy here would be to strike the juror on the grounds that [Mr. Bailey's lawyer] has made with respect to the record."

In two ways, the above colloquy evidences Mr. Bailey's request to remove the subject juror. First, returning to my favorite burger joint (*see People v Silburn*, 31 NY3d 144 [Apr. 3, 2018]), Mr. Bailey's lawyer has told the cashier that the chicken nuggets in his happy lunch are rancid, and "should be removed, but I think they have poisoned the entire" happy lunch. He clearly states that the juror should be removed, and then proceeds to seek something *additional*: a mistrial. Second, the further discussion between Mr. Bailey's lawyer and the court focused on the "grossly unqualified" standard of CPL 270.35, which pertains to removal of a juror, not mistrials. From that, it is clear that the court understood Mr. Bailey's lawyer to have requested removal of the juror. The majority's contention that "[a]t no point during the colloquy with the court did defendant's counsel advocate for [striking the juror]" is contradicted by the record; the majority has merely omitted the relevant portion from its analysis (majority op at 75).

"To preserve an issue for review, counsel must register an objection and apprise the court of grounds upon which the objection is based 'at the time' of the allegedly erroneous ruling 'or at any subsequent time when the court had an opportunity of effectively changing the same' " (*People v Jackson*, 29 NY3d 18, 22 [2017]). Here, Mr. Bailey's counsel argued that (1) the juror "should be removed"; and (2) that the court should declare a mistrial. He prefaced his *two* requests with the conjunction, "not only," to signify that the juror's removal was not the *only* remedy he was seeking. He and the court then focused on the first of his requests—removal of the juror—as to which Mr. Bailey's lawyer argued that the *juror* (not the *jury*) would not be able to separate her opinion of his "very offensive" conduct from the facts of the case, rendering the juror "grossly unqualified," the standard for the discharge of a sworn juror under CPL 270.35.[2]

The purposes of the preservation rule are to "permit[ ] the parties to present their arguments on the issue in the trial court, [to] creat[e] a record for appellate review, and [to] allow[ ] the trial court the first opportunity to correct any error" (*People v Jurgins*, 26 NY3d 607, 612 [2015]). Here, all three of these purposes were fully satisfied. Mr. Bailey's counsel presented a complete argument as to the legal standard for removal of the juror. The trial court explicitly ruled that "[t]he application to discharge Juror Number Six is denied." The court also explained the basis for its denial: its incorrect interpretation of our decision in *People v Mejias* (21 NY3d 73 [2013]). In short, the request to remove the juror was presented, argued, adjudicated—all on the record—and the purposes behind the preservation doctrine would not be the least bit undermined by review of that issue on the merits. Instead, Mr. Bailey, whose counsel adequately preserved his argument regarding the juror, is deprived of his right to review the juror's continuation on the jury deciding his fate.

II.

Mr. Bailey has a constitutional right to trial by an impartial jury (*see* NY Const, art I, §§ 6, 2; US Const 6th, 14th Amends).

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2. The majority notes that Mr. Bailey's counsel did not join the "last-ditch plea" for "a minimal inquiry of the juror" and that "the issue defendant presents on this appeal is whether the court erred in not granting a *Buford* inquiry, not whether the court erred in failing to strike the juror" (majority op at 79, 77 n 2). However, a *Buford* inquiry itself is a procedural vehicle for the court to assess whether a juror is "grossly unqualified." I agree with the majority that the *Buford* inquiry is "broader" than the "grossly unqualified" standard, inasmuch as, if a *Buford* inquiry results in a determination that a juror is able to serve impartially, the result of the inquiry may require or suggest that the court take some other measure, e.g., a cautionary instruction to that juror or the entire jury. However, as far as preservation is concerned, there is no meaningful difference between asking for the removal of a juror as "grossly unqualified" and asking for a *Buford* inquiry to determine whether a juror is "grossly unqualified." The majority appears to adopt a strange preservation rule, under which a request to remove a juror does not preserve the procedural vehicle to accomplish that request.

We have time and again emphasized that right's importance (*People v Kuzdzal*, 31 NY3d 478, 483 [May 8, 2018] ["A defendant's constitutional right to an impartial jury verdict is fundamental"]; *People v Arnold*, 96 NY2d 358, 360 [2001] ["A basic premise of our criminal justice system is that a defendant has the right to trial by an impartial jury"]; *People v Culhane*, 33 NY2d 90, 106 [1973] [the right to a trial before an impartial jury is "vital"]). In *Buford*, we held that information credibly suggesting the possibility of juror bias required an inquiry of the juror. In *Kuzdzal*, we recently remitted a case to the Appellate Division to determine the credibility of a bystander who allegedly overheard a juror call the defendant a derogatory name. *Kuzdzal* restated our guidance in *Buford* that "[t]rial courts, when presented with some credible information indicating that a sworn juror may be grossly unqualified, must conduct a 'probing and tactful inquiry' of the juror" (*Kuzdzal*, 31 NY3d at 486). Here, there is no issue of credibility, but instead an outburst that the trial court and all present witnessed firsthand. *Kuzdzal*, *Mejias* and other juror disqualification cases differ from this case in a fundamental way: here, there is no question about what the juror said; no intermediary whose credibility must be determined, or juror note that must be deciphered.

The juror's outburst required her immediate replacement by an alternate (to which all consented) or, at a minimum, a *Buford* inquiry of that juror to assure the court and parties that her outburst did not compromise her objectivity or reflect a state of mind incompatible with jury service. Instead, the trial court and Appellate Division assumed—without any basis to do so—that the juror's wrath was as to the number of times Mr. Bailey's lawyer has used a highly offensive term in his questioning, rather than the use of the word itself. Either way, of course, the ultimate question is not why the juror was very offended and threatened to walk out, but, having behaved in that way for whatever reason, whether she could nevertheless serve impartially.

In *Buford* we said that mere annoyance with an attorney is insufficient grounds to dismiss a juror (69 NY2d 290, 299 [1987]).[3] Here, though, the juror interrupted trial to exclaim that she was "very offended," and threatened Mr. Bailey's

3. The facts here are like those in *Mark v Colgate Univ.*, in which the Appellate Division reversed the trial court and ordered an inquiry where a juror

(n. cont'd)

lawyer, the other lawyers, the court and her fellow jurors that she would walk out unless Mr. Bailey's lawyer immediately halted further questions she deemed offensive. We should not countenance such behavior, not merely because jurors should not usurp the role of lawyers (who should object to improper rulings) and judges (who should rule on objections and, sua sponte, control lawyers if they cross lines of propriety), but also because such conduct poses a serious threat to the constitutional rights of defendants.

Furthermore, the trial court based its decision on a misinterpretation of *Mejias*:

> "if you look at the Court of Appeals decision yesterday in People against Majias [sic] and People against Rodriguez, that you will see that, unless it's clear on its face that a juror is grossly disqualified, that there is no need to question the individual juror.
>
> "And certainly I wouldn't.
>
> "I don't think there would be any basis to remove the juror without first establishing that she can't be fair and impartial.
>
> "I don't think on its face her statement indicates that she could not be, only that she found the repeated use of the phrase distasteful."

In *Mejias*, we held that premature deliberation, on its own, was not enough to trigger a *Buford* inquiry (21 NY3d 73, 80 [2013]). We have never held that a *Buford* inquiry is called for only when it is "clear on its face that a juror is grossly [un]qualified"; to the contrary, if that is facially clear, there is no need for the inquiry at all.

The juror's conduct warranted her removal. It is possible that a *Buford* inquiry would have satisfied the court that the juror could serve impartially. Inasmuch as that *Buford* inquiry "was not performed, it is impossible to tell whether . . . [defendant's] fundamental right to a proper jury verdict was honored" (*Mejias*, 21 NY3d at 83). Mr. Bailey deserves a new trial in which his attorney can examine witnesses subject to the rulings of the court, unaffected by jurors who cannot follow

repeatedly said he would not stay if the trial was going to last for three weeks, and expressed hostility towards the plaintiff's lawyer for "almost hitting [him] on the head" (53 AD2d 884, 885 [2d Dept 1976]).

the oath they took and who misapprehend their role in our system of justice.

Chief Judge DIFIORE and Judges STEIN, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion in which Judge FAHEY concurs.

Order affirmed.

[110 NE3d 509, 85 NYS3d 397]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v NATASCHA TIGER, Respondent.

Argued April 26, 2018; decided June 14, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 1, 2017. The Appellate Division order, insofar as appealed from, (1) reversed, on the law and in the exercise of discretion, an order of the Orange County Court (Jeffrey G. Berry, J.), to the extent it had denied, without a hearing, defendant's motion pursuant to CPL 440.10 to vacate a judgment of that court which had convicted defendant, upon her plea of guilty, of endangering the welfare of a vulnerable elderly person, or an incompetent or physically disabled person in the first degree; and (2) remitted the matter to County Court for a hearing on defendant's actual innocence claim under CPL 440.10 (1) (h) and, thereafter, a new determination on defendant's motion pursuant to CPL 440.10 to vacate the judgment.

People v Tiger, 149 AD3d 86, reversed.

HEADNOTE

Crimes — Vacatur of Judgment of Conviction — Guilty Plea — Actual Innocence

Where a defendant has been convicted by guilty plea, there is no actual innocence claim cognizable under CPL 440.10 (1) (h). Accordingly, in a prosecution in which defendant pleaded guilty to endangering the welfare of a vulnerable elderly person, or an incompetent or physically disabled person in the first degree after she burned a severely disabled child in her care with hot water while bathing her, defendant was not entitled to a hearing on the branch of her CPL 440.10 motion based on an independent claim of actual innocence. A valid guilty plea relinquishes any claim that would contradict the admissions necessarily made upon entry of a voluntary plea of guilty. Therefore, in the absence of a motion to withdraw the plea or to bring a postconviction motion to vacate the plea as involuntary, the plea and the resulting conviction are presumptively voluntary, valid and not otherwise subject to collateral attack. Allowing a collateral attack on a guilty plea obtained in a judicial proceeding that comported with all of the requisite constitutional protections on the basis of a delayed claim of actual innocence would be inconsistent with New York jurisprudence and would effectively defeat the finality that attends a constitutionally obtained guilty plea. Thus, a guilty plea entered in proceedings where the record demonstrates the conviction was constitutionally obtained will presumptively foreclose an independent actual innocence claim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law § 831; AM JUR 2d Habeas Corpus and Postconviction Remedies § 209.
CARMODY-WAIT 2d Postjudgment Motions § 205:23.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 24.11.
MCKINNEY'S, CPL 440.10 (1) (h).
NY JUR 2d Criminal Law: Procedure §§ 3464, 3482.

ANNOTATION REFERENCE

See ALR Index under Guilty Pleas; Post-Conviction Proceedings and Remedies.

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POINTS OF COUNSEL

David M. Hoovler, District Attorney, Goshen (*Robert H. Middlemiss* and *Andrew R. Kass* of counsel), for appellant. The Appellate Division erred in holding that defendant was entitled to a hearing on her claim of actual innocence. (*People v Hamilton*, 115 AD3d 12; *People v Jimenez*, 142 AD3d 149; *People v Larock*, 139 AD3d 1241; *People v Conway*, 118 AD3d 1290; *People v Caldavado*, 26 NY3d 1034; *People v Jackson*, 78 NY2d 638; *Herrera v Collins*, 506 US 390; *People v Finnegan*, 85 NY2d 53; *People v Boothe*, 16 NY3d 195; *People v Tychanski*, 78 NY2d 909.)

Larkin, Ingrassia & Tepermayster, L.L.P., Newburgh (*John Ingrassia* and *Chelsy Jones* of counsel), for respondent. I. The Appellate Division correctly held that a freestanding claim of actual innocence survives a guilty plea and is a valid basis for postconviction relief under CPL 440.10 (1) (h). (*People v Hernandez*, 98 NY2d 8; *People v Plunkett*, 19 NY3d 400; *People v Griffin*, 20 NY3d 626; *People v Taylor*, 65 NY2d 1; *People v Hansen*, 95 NY2d 227; *Warney v State of New York*, 16 NY3d 428; *People v Bedessie*, 19 NY3d 147.) II. The Appellate Division correctly held that the allegations raised in respondent's CPL 440.10 (1) (h) motion made a prima facie showing of actual innocence warranting a hearing. (*People v Hamilton*, 115 AD3d 12; *Matter of Jaime S.*, 9 Misc 3d 460; *Currie v McTague*, 83

AD3d 1184; *Krol v Eckman*, 256 AD2d 945; *Home Ins. Co. of Ind. v Karantonis*, 156 AD2d 844; *Vasquez v State of New York*, 263 AD2d 539.) III. The Appellate Division correctly held that respondent raised sufficient allegations in her CPL 440.10 (1) (h) motion to warrant a hearing on whether she received effective assistance of counsel. (*People v Baldi*, 54 NY2d 137; *People v Oliveras*, 21 NY3d 339; *Strickland v Washington*, 466 US 668.)

White & Case LLP, New York City (*Kenneth Caruso* of counsel), *Robert S. Dean, Center for Appellate Litigation*, New York City, *New York State Association of Criminal Defense Attorneys*, White Plains (*Richard D. Wilstatter* of counsel), and *Chief Defenders Association of New York*, Bronx (*Justine Olderman* of counsel), for Center for Appellate Litigation and others, amici curiae. I. The New York Constitution authorizes a freestanding claim of actual innocence under CPL 440.10 (1) (h). (*People v Hamilton*, 115 AD3d 12; *People v Jimenez*, 142 AD3d 149; *People v Conway*, 118 AD3d 1290; *People v LaValle*, 3 NY3d 88; *People v Harris*, 77 NY2d 434; *People v Cole*, 1 Misc 3d 531; *Coker v Georgia*, 433 US 584; *People v King*, 146 AD2d 648; *People v Broadie*, 37 NY2d 100; *People v Salemi*, 309 NY 208.) II. A guilty plea is not a bar to a claim of actual innocence under CPL 440.10 (1) (h). (*People v DePerno*, 148 AD3d 1463; *People v Conway*, 118 AD3d 1290; *People v Rivera*, 117 AD3d 1475; *People v Hansen*, 95 NY2d 227; *People v Plunkett*, 19 NY3d 400; *People v Sirico*, 135 AD3d 19; *Santobello v New York*, 404 US 257; *Missouri v Frye*, 566 US 134; *Herring v New York*, 422 US 853; *People v Bedessie*, 19 NY3d 147.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue presented by this appeal is whether a claim of actual innocence lies under CPL 440.10 (1) (h) to vacate a judgment of conviction obtained upon a defendant's guilty plea. We hold that defendant's actual innocence claim is not a ground for relief.

I.

Defendant, a licensed practical nurse, was employed as a caregiver for the victim—a profoundly disabled 10-year-old girl. The victim is blind, unable to speak, immobile and dependent upon others for her personal care and needs. On the afternoon of November 23, 2011, while in the sole care of defendant, the victim was bathed using a handheld showering device, while lying on a mesh cot in the bathtub. According to defendant's initial account, as she was applying lotion to the victim after the bath, she observed that the skin on the victim's legs was red and peeling.

The defendant contacted the victim's parents and, upon their return to the home, they immediately sought medical treatment for their daughter. The child's pediatrician, who was informed that defendant had bathed the victim prior to the onset of symptoms, diagnosed the victim with an adverse reaction to Biaxin, an antibiotic that she had recently been prescribed, and referred the child to Westchester Medical Center (WMC) for further treatment. The initial diagnosis at WMC was likewise that the victim's skin condition—attributed to either Stevens-Johnson syndrome (SJS) or toxic epidermal necrolysis (TEN)[1] —was caused by a reaction to her medication. On November 25, the director of the burn unit at WMC examined the victim and concluded that her injuries were more consistent with a scald burn than SJS or TEN. The victim was ultimately treated for third-degree burns and required surgery for skin grafts. She was not released from WMC until January 3, 2012.

Upon a report of the child's condition, an investigation was commenced by the Orange County Child Abuse Task Force. Defendant provided a statement to the authorities in which she admitted that she burned the child with hot water while bathing her. In that statement, defendant indicated that, while bathing the child, "the water hit my hand and I could feel that the water was very hot." Defendant stated that she adjusted the water temperature, finished the bath by washing the child's hair and started to dry the child's body. Defendant also stated that she "noticed redness and peeling on [the victim's] legs. I knew then that I had burned [the child] because the water was too hot when I was bathing her." Defendant subsequently wrote a letter of apology to the victim's mother.

In April 2012, defendant was charged by indictment with assault in the second degree; endangering the welfare of a vulnerable elderly person, or an incompetent or physically disabled

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1. TEN and SJS are dermatological conditions that are associated with an adverse reaction to certain medications, particularly antibiotics and antiseizure medications. The clinical signs for each condition are very similar and the appearance of the skin in both cases is very much like that of a scald burn.

person in the first degree; two counts of endangering the welfare of a vulnerable elderly person, or an incompetent or physically disabled person in the second degree; endangering the welfare of a child; and two counts of assault in the third degree.

Following plea negotiations, on July 24, 2012, defendant pleaded guilty to the lesser charge of endangering the welfare of a vulnerable elderly person, or an incompetent or physically disabled person in the first degree in full satisfaction of the indictment. The court, in recording the offer, stated the plea was to a nonviolent felony and the range of sentence was open, but included a consideration of county jail time and probation instead of state prison. In the following comprehensive plea colloquy, defendant, who was represented by retained counsel, affirmed that she understood the rights that she was waiving by pleading guilty and admitted that she was pleading guilty because she was, in fact, guilty. Defendant also admitted that she recklessly caused the victim serious physical injury. The court asked defendant if she had tested the bathwater to make sure that it was not too hot and she responded, "[y]es. When I tested it, it was not that hot." Defendant then engaged in an off-the-record discussion with her attorney and when they came back on the record, the court noted that, in order for the child to have sustained third-degree burns, the water had to be "hotter than it should have been." The court then asked, "[d]id you make an error when you were testing that water in trying to determine whether it was the proper temperature level for this child?" and defendant responded, "[y]es." In response to the court's further questioning, defendant admitted that she was "reckless in the care that [she] afforded this young child, and thereby caused her this physical injury." The guilty plea was accepted and the matter adjourned for sentencing. In September 2012, defendant was sentenced to a split sentence of five years' probation and a concurrent term of four months' imprisonment. Defendant did not move to withdraw her guilty plea before sentence and did not appeal the judgment of conviction.

Separately, the victim's family commenced a personal injury action against defendant and her employer. By virtue of her guilty plea in the criminal action, defendant was precluded from contesting liability in the civil trial. Nonetheless, the civil jury unanimously concluded that the care defendant rendered to the victim was not a substantial factor in the cause of the victim's injuries.[2]

On April 9, 2014, defendant moved pursuant to CPL 440.10 (1) (h) to vacate the judgment. She alleged that that her guilty plea was unconstitutionally obtained due to the ineffective assistance of her counsel. She also asserted a claim of actual innocence relying on the Second Department's decision in *People v Hamilton* (115 AD3d 12 [2d Dept 2014]), recognizing a freestanding claim of actual innocence pursuant to CPL 440.10 (1) (h). As a remedy, defendant sought vacatur of her conviction and the dismissal of the indictment or, in the alternative, an evidentiary hearing on the factual issues raised. The actual innocence claim was based on the argument that defendant did not cause physical injury to the child, as the child's injuries were attributable to TEN. In support of this claim, defendant provided the hospital medical records and a pathology report of the biopsy results existing at the time of the guilty plea, her own affidavit, and an affirmation from a medical expert retained in connection with the civil action. In her own affidavit, defendant denied her guilt notwithstanding her preaccusatory admissions of guilt and her sworn statements in the plea proceedings.

Defendant also included a transcript of the testimony of Dr. Joseph Turkowski, the treating physician at WMC, who testified in support of the plaintiffs' case at the civil trial. Turkowski opined that the child's serious physical injuries had been caused by scald burns. The conflicting medical opinion offered in the affidavit of defendant's expert as to the cause of the child's injuries also diverged from Turkowski's testimony in other specific respects—particularly, the significance that should be attached to several factors: the positive "Nikolsky sign," the demarcation of the injury, the spread of the condition, the development of cellulitis, and the biopsy results. Significantly, the attached biopsy report, available prior to the guilty plea, stated that the results were consistent with either a diagnosis of TEN (in the absence of oral lesions), or SJS (if oral lesions were present), and indicated that "[f]urther clinical pathologic correlation is recommended."

As to the ineffective assistance of counsel claim, defendant argued that her counsel was ineffective for failing to properly

2. The civil jury rendered its verdict shortly after defendant brought this CPL article 440 motion.

investigate the nature and cause of the child's physical injuries—a material element of the crimes charged. Specifically, she alleged that, despite the fact that the medical records showed a possible alternative and noncriminal cause of the child's injuries (TEN or SJS) and indicated that a biopsy had been taken, counsel failed to obtain the results of that biopsy or consult with a medical expert. Defendant represented that she told her attorney that she had tested the child's bathwater and that it was not hot. She also represented that she told defense counsel that her employer had notified her that the victim was suffering from SJS. Defendant averred that, when they discussed the possibility of consulting an expert, defense counsel—who was aware that defendant was already struggling to pay his legal fees—told her that an expert would be expensive and failed to advise her as to the availability of any alternative source of financial assistance. In addition, defendant asserted that defense counsel advised her that, by pleading guilty, she would likely avoid a lengthy term of state prison. Thus, defendant claimed that, based on counsel's advice and her inability to afford a medical expert, she agreed to plead guilty in exchange for a favorable sentence when she was not, in fact, guilty. Finally, defendant maintained that, when she told the court during the plea proceedings that the water was "not hot," defense counsel privately advised her during an off-the-record conference "that [she] had to admit that the water was hot if [she] wanted to accept the plea deal." She then admitted her guilt.

Opposing the motion, the People argued that defendant's actual innocence claim did not lie under CPL 440.10 (1) (h). The People asserted that, although the Appellate Division recently recognized a freestanding actual innocence claim in *Hamilton*—a case where the defendant was convicted after trial—such a claim was not available where the defendant entered a voluntary guilty plea. The People also raised arguments in opposition to defendant's ineffective assistance of counsel claim.

County Court summarily denied the 440 motion concluding that, even assuming a claim of actual innocence lies from a guilty plea, defendant failed to provide clear and convincing evidence warranting such relief. The court also rejected defendant's ineffective assistance of counsel claim.

The Appellate Division reversed, on the law and in the exercise of discretion, and remitted the matter to County Court for a hearing on both branches of defendant's CPL 440.10 (1) (h) motion (149 AD3d 86 [2d Dept 2017]). Observing that it had previously recognized the availability of an actual innocence claim under CPL 440.10 (1) (h) in *Hamilton*, the Court held that defendant's guilty plea did not bar her from seeking such relief. The Court concluded that defendant had established a prima facie showing of actual innocence to warrant a hearing. The Court also held that defendant was entitled to a hearing on her ineffective assistance of counsel claim.

The People appeal, pursuant to leave granted by a Judge of this Court (*see* 29 NY3d 1135 [2017]), and as limited by their brief, from so much of the Appellate Division order as authorized a hearing on defendant's actual innocence claim under CPL 440.10 (1) (h).[3] We now reverse.

II.

Defendant, despite her guilty plea, claims that she is entitled to a hearing on the evidence of her guilt or innocence. We hold that CPL 440.10 (1) (h) does not provide for such relief.[4]

It is a fundamental precept, acknowledged centuries before our criminal justice system was even created, that the governing laws in criminal matters must protect the innocent accused of a crime from injustice (*see Coffin v United States*, 156 US 432, 454 [1895] [citing Roman law]). Recent developments, particularly DNA evidence exonerations, have exposed the prevalence of such cases in our system, proving that the system is far more imperfect than previously believed. CPL article 440 is our primary postconviction relief statutory scheme and allows collateral attacks on convictions in a framework of delineated procedural limitations. CPL 440.10 provides 10 specific grounds upon which a defendant may move to vacate a

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3. The People do not challenge the portion of the order reversing and remitting for a hearing on defendant's ineffective assistance of counsel claim.

4. Contrary to the position taken by the dissent, the existence of a freestanding claim of actual innocence under CPL 440.10 (1) (h) for a defendant who has pleaded guilty is a question of law presented for our review. Indeed, whether defendant is entitled to a hearing on her actual innocence claim is the *only* question presented by this appeal. Defendant properly preserved her actual innocence claim in her CPL 440.10 motion. And, although the proof supporting this claim may overlap with her ineffective assistance of counsel claim, she seeks relief asserting both a different remedy—dismissal of the accusatory instrument—and the application of a different legal standard under *Hamilton*. Thus, there is simply no basis for the conclusion that the question of whether defendant can bring an actual innocence claim under CPL 440.10 (1) (h) must be left for another day.

judgment of conviction and is comprehensive in scope. All CPL article 440 motions based upon the existence or occurrence of facts "must contain sworn allegations thereof" (CPL 440.30 [1] [a]). The burden of proof is on the defendant and, at any hearing on the motion, the defendant must prove, by a preponderance of the evidence, every fact essential to support the motion (CPL 440.30 [6]).

As relevant here, CPL 440.10 (1) (h) allows a defendant to move to vacate where the judgment *was obtained* in violation of a defendant's state or federal constitutional right. Subdivision (1) (h) imposes no time limitation in bringing the motion and is applicable to judgments obtained both through guilty pleas and upon verdict in a trial. This provision is the basis for the commonplace claim that the conviction was obtained due to ineffective assistance of counsel in violation of the Federal and State Constitutions.

In contrast to the claim that a conviction was obtained in violation of constitutional rights and procedures, a claim that the conviction cannot stand due to the production of new evidence inconsistent with guilt must be brought under CPL 440.10 (1) (g). This provision allows a defendant to move to vacate the judgment where "[n]ew evidence has been discovered *since the entry of a judgment based upon a verdict of guilty after trial*" (*id.* [emphasis added]). By its express terms, this provision is inapplicable to judgments obtained by guilty pleas. Further, this provision has procedural limitations in that it contains two separate due diligence requirements: (1) that the evidence could not have been produced at trial with due diligence; and (2) the motion "must be made with due diligence after the discovery of [the] alleged new evidence" (*id.*).

In 2012, the legislature added CPL 440.10 (1) (g-1) to allow a specific form of newly discovered evidence—DNA evidence—as a basis to collaterally attack a guilty plea at the postconviction stage. Significantly, that provision is the only one in CPL 440.10 that specifically refers to actual innocence—requiring a factual demonstration that is not necessary for the granting of relief under CPL 440.10 (1) (g). In recognition of the import of a guilty plea conviction that was constitutionally obtained, the legislature enacted different standards that must be satisfied as between a defendant who has pleaded guilty and one who has been convicted upon a verdict after trial. Under CPL 440.10 (1) (g-1), based on DNA results, a defendant who has pleaded guilty must demonstrate a "substantial probability" that he or she is actually innocent, whereas a defendant convicted after trial is held to the lesser standard that there is a "reasonable probability" that the verdict would have been more favorable (CPL 440.10 [1] [g-1]). To be sure, the fact that the legislature has recently carved out a basis to vacate a guilty plea where new evidence of DNA demonstrates actual innocence lends support to the conclusion that CPL 440.10 does not contemplate a separate constitutional claim to vacate a guilty plea based on new evidence as to guilt or innocence (*see e.g. Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382, 394 [1995] ["an inference must be drawn that what is omitted or not included was intended to be omitted and excluded" (citation and internal quotation marks omitted)]). Indeed, the narrow exception for new DNA evidence as a basis to vacate a conviction in plea cases is undoubtedly due to the recognition of the exceptional nature of DNA evidence as a reliable scientific tool to conclusively determine the identity of an assailant.

It is clear from the statutory framework that the legislative purpose in according different treatment to convictions obtained after trial and those obtained by a defendant's guilty plea in the context of newly discovered evidence was to adhere to the principle that a voluntary and solemn admission of guilt in a judicial proceeding is not cast aside in a collateral motion for a new factual determination of the evidence of guilt. This carefully crafted statute explicitly covers the potential avenues and procedural mechanisms available to a defendant who is proclaiming his or her innocence and/or is protesting the procedures employed to obtain that conviction. We have previously held that "[c]ourts, of course, cannot broaden the scope of the remedy afforded by CPL 440.10 beyond what the Legislature unambiguously specified" (*People v Machado*, 90 NY2d 187, 192 [1997]; *People v Jackson*, 78 NY2d 638, 647 [1991]). Indeed, "society's interest in [the] finality of judgments" is "formidable" (*Jackson*, 78 NY2d at 647).

Significantly, a defendant who has entered a valid guilty plea no longer enjoys the presumption of innocence and, in fact, is presumed guilty (*see Schlup v Delo*, 513 US 298, 326 n 42 [1995]; *Herrera v Collins*, 506 US 390, 399 [1993]). "A plea of guilty, as we have repeatedly observed, generally marks the end of a criminal case, not a gateway to further litigation" (*People v Hansen*, 95 NY2d 227, 230 [2000]). "When a criminal defendant has solemnly admitted in open court that he is in fact guilty of the offense with which he is charged, he may not thereafter raise independent claims relating to the deprivation of constitutional rights that occurred prior to the entry of the guilty plea" (*Tollett v Henderson*, 411 US 258, 267 [1973]).[5] "This is so because a defendant's conviction rests directly on the sufficiency of [the] plea" (*Hansen*, 95 NY2d at 230 [internal quotation marks and citation omitted]).

Thus, "a valid guilty plea relinquishes any claim that would contradict the 'admissions necessarily made upon entry of a voluntary plea of guilty' " (*Class v United States*, 583 US —, —, 138 S Ct 798, 805 [2018], quoting *United States v Broce*, 488 US 563, 573-574 [1989]). Stated otherwise, a voluntary guilty plea is inconsistent with a claim of factual innocence (*see People v Taylor*, 65 NY2d 1, 5 [1985]). Therefore, in the absence of a motion to withdraw the plea or to bring a postconviction motion to vacate the plea as involuntary, "the plea and the resulting conviction . . . are presumptively voluntary, valid and not otherwise subject to collateral attack" (*People v Latham*, 90 NY2d 795, 799 [1997]).

The plea process is integral to the criminal justice system and we have observed that there are significant public policy reasons for upholding plea agreements, including conserving judicial resources and providing finality in criminal proceedings (*see People v Keizer*, 100 NY2d 114, 118 [2003]). To that end, we have recognized that a defendant can plead guilty to a nonexistent or legally impossible offense in satisfaction of an indictment that charges a higher offense (*People v Foster*, 19 NY2d 150, 154 [1967]). Likewise, we allow defendants to plead guilty while maintaining their innocence by entering an *Alford* plea (*see e.g. People v Couser*, 28 NY3d 368, 373 n 1 [2016]). Allowing a collateral attack on a guilty plea obtained in a judicial proceeding that comported with all of the requisite constitutional protections on the basis of a delayed claim of actual innocence would be inconsistent with our jurisprudence and would effectively defeat the finality that attends a constitutionally obtained guilty plea.[6]

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5. This general rule is subject to exceptions not implicated here (*see e.g. Class v United States*, 583 US —, — - —, 138 S Ct 798, 804-805 [2018]; *Menna v New York*, 423 US 61, 62 [1975]; *Blackledge v Perry*, 417 US 21, 30 [1974]).

6. The dissent, in apparent support of an expansion of this State's extant postconviction relief for claims of actual innocence relies on a statistic gleaned from the website of "the National Registry of Exonerations"—that 45%

(n. cont'd)

Thus, a guilty plea entered in proceedings where the record demonstrates the conviction was constitutionally obtained will presumptively foreclose an independent actual innocence claim.

Defendant concedes that her collateral attack is not based on the production of newly discovered evidence of actual innocence within the meaning of CPL 440.10 (1) (g).[7] The evidence at issue here was not newly discovered. The information regarding TEN/SJS and the existence of the biopsy testing were a part of the victim's medical records, and the possibility of obtaining a medical expert on behalf of defendant had been discussed with defense counsel before the guilty plea was entered. Since the evidence put forth in support of defendant's actual innocence claim was discoverable before the guilty plea had her attorney pursued that course of investigation, defendant's challenge to her conviction falls squarely within CPL 440.10 (1) (h) and will necessarily be addressed as part of her ongoing ineffective assistance of counsel claim.

Moreover, although defendant provided the biopsy results and an expert affidavit to support the conclusion that she was innocent of scalding the victim with hot water, that evidence only raises some doubt as to her guilt by setting up a battle of experts. It does not establish her factual innocence—particularly in light of the significant barrier presented by her inculpatory statements and guilty plea. Indeed, this is the same type of evidence that we found would have been insufficient to demonstrate factual innocence in *People v Caldavado* (26 NY3d 1034, 1037 [2015]).

"Judicial recognition of the laudable purposes served by plea negotiations is legion," as is the "rigorous adherence by the courts to a policy of affording guilty pleas a great measure of

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(74/166) of the defendants exonerated nationally in 2016 had pleaded guilty (https://www.law.umich.edu/special/exoneration/Documents/Exonerations_in_2016.pdf [last accessed June 5, 2018], cached at http://www.nycourts.gov/reporter/webdocs/Exonerations_in_2016.pdf). Upon further review of the information provided by the National Registry, more than 75% of those plea convictions were drug possession cases, and many involved false laboratory reports and official misconduct (*see id.*). Exonerations attributed to government misconduct fit within the statutory framework of CPL 440.10. The statute essentially allows a defendant to assert a claim of actual innocence by moving to vacate a conviction obtained after a guilty plea on multiple grounds, including government fraud, misconduct and misrepresentations, as well as constitutional violations (*see e.g. People v Seeber*, 94 AD3d 1335, 1338 [3d Dept 2012]).

7. In any event, we note that such a claim would be unavailable in light of defendant's guilty plea.

finality [in order to] immunize plea negotiations from indiscriminate potshots" (*People v Frederick*, 45 NY2d 520, 525 [1978]; *see also People v Selikoff*, 35 NY2d 227, 232-235 [1974]; *Missouri v Frye*, 566 US 134, 143 [2012] ["Ninety-seven percent of federal convictions and ninety-four percent of state convictions are the result of guilty pleas"]). Permitting a collateral attack on a guilty plea based on a claim of new evidence that contradicts the solemn admission of guilt entered during the course of a judicial proceeding free of constitutional error would have enormous ramifications to the efficacy of our criminal justice system. The legislature has not sanctioned such claims in CPL 440.10 with the exception of the production of DNA evidence demonstrating the identity of the actual assailant, and even that narrow exception has legislatively imposed procedural limitations (*see* CPL 440.30 [1-a] [a]). Defendant nonetheless asks us to judicially create this extraordinary path for a defendant who has pleaded guilty. We decline to do so.[8]

For the above reasons, where the defendant has been convicted by guilty plea, there is no actual innocence claim cognizable under CPL 440.10 (1) (h).[9]

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed and that branch of defendant's CPL 440.10 motion which was based on an independent claim of actual innocence denied.

GARCIA, J. (concurring). I join the majority and agree that defendant's "freestanding actual innocence" claim is not cognizable under CPL 440.10 (1) (h). I write separately to emphasize that defendant's "freestanding" claim is foreclosed regardless of whether she raised, or could have raised, an alternative claim.

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8. In a related context, we have invoked the writ of error coram nobis to "alleviate a constitutional wrong when a defendant has no other procedural recourse" (*People v Syville*, 15 NY3d 391, 400 [2010]; *People v Andrews*, 23 NY3d 605, 611 [2014]). Here, however, CPL 440.10 provides defendant with procedural recourse to alleviate any constitutional wrongs, such as her claim that her guilty plea was unconstitutionally obtained due to ineffective assistance of counsel, and she may proceed with her CPL article 440 challenge on that basis. Notably, New York State also allows for a defendant to seek a pardon from the governor specifically based on a claim of innocence (*see* Executive Law § 19; *Herrera*, 506 US at 417 ["History shows that the traditional remedy for claims of innocence based on new evidence, discovered too late in the day to file a new trial motion, has been executive clemency"]).

9. We note that the issues of whether a defendant convicted after trial can raise a freestanding claim of actual innocence under CPL 440.10 (1) (h), and, if so, the procedural requirements of such a claim, are not currently before us.

Defendant was charged with a number of serious crimes based on allegations that she severely scalded a disabled 10-year-old girl while bathing her. In a written statement to the Orange County Child Abuse Task Force, defendant admitted that, while rinsing the child in the bath, "the water hit [defendant's] hand" and she "could feel that the water was very hot." While drying the child, defendant noticed redness and peeling on the child's legs, and defendant "knew then" that she "had burned [the child] because the water was too hot." After confessing to the Child Abuse Task Force, defendant wrote an apology letter to the child's mother. The child's medical records noted a possible diagnosis of Stevens-Johnson syndrome or toxic epidermal necrolysis, potentially due to an allergic reaction, but also stated that, "after further evaluation by the Burn Surgery attending [physician] and negative biopsy results it was determined that the blisters were likely the result of a scald burn."

Following plea negotiations, defendant pleaded guilty to a lesser charge of first-degree endangering the welfare of an incompetent or physically disabled person, in full satisfaction of the seven-count indictment. As part of her plea allocution, defendant stated that she was pleading guilty because she was, "in fact, guilty"—meaning she "did recklessly cause serious physical injury" to "an incompetent or physically disabled person." Specifically, defendant admitted that she "ma[d]e an error" when she was "testing th[e] water in trying to determine whether it was the proper temperature level for th[e] child," and that "more care should have been taken" with the child because she is a "vulnerable person" who "needs special attention." The court informed defendant of the rights that she was "waiving and giving up" by pleading guilty, including her "right to appeal all aspects of th[e] case." Defendant did not move to withdraw her guilty plea before sentencing, nor did she file a direct appeal.

In light of defendant's guilty plea, the case never proceeded to trial. Presumably, the People ceased all efforts to investigate or prosecute defendant's case. The prosecution took no additional testimony, collected no other evidence, never consulted an expert, and pursued no further medical testing. Defendant's plea, the People assumed, "mark[ed] the end of [the] criminal case, not a gateway to further litigation" (*People v Hansen*, 95 NY2d 227, 230 [2000]).

Nearly two years later, with the safety net of her plea deal, defendant moved pursuant to CPL 440.10 (1) (h), asserting a "freestanding actual innocence" claim and contending that she was denied the effective assistance of counsel. In support of her "freestanding" claim, defendant submitted, among other things, her own sworn statements and certain medical records—contradicted by her earlier sworn statements and by other medical records—contending that she did not cause the child's injuries. Defendant sought vacatur of her conviction and dismissal of the indictment or, alternatively, an evidentiary hearing pursuant to *People v Hamilton*, where she could present "all reliable evidence, including evidence not admissible at trial," for the court to re-weigh under a standard of "clear and convincing evidence" (115 AD3d 12, 27 [2d Dept 2014]). In this appeal, defendant contends that CPL 440.10 (1) (h) encompasses the "freestanding" relief that defendant seeks, and that this "freestanding" claim survives her guilty plea.

Defendant has a number of appellate avenues at her disposal to challenge her conviction. A so-called "actual innocence" claim under CPL 440.10 (1) (h) is not one of them.

Under New York law, a defendant who maintains his or her innocence may employ various procedural protections, and pursue an array of challenges, to ensure that guilt or innocence is fairly and reliably determined. Initially, a person charged with a crime may elect to proceed to trial. The defendant may require the People to prove guilt beyond a reasonable doubt, armed with a variety of statutorily- and constitutionally-guaranteed protections designed to secure the fairness of the proceedings. In addition to preserving procedural fairness, these provisions—the right to compulsory process, the right to confront adverse witnesses, the right to the effective assistance of counsel, and the right to a jury trial, to name a few—"have the effect of ensuring against the risk of convicting an innocent person" (*Herrera v Collins*, 506 US 390, 398-399 [1993]).

Alternatively, a defendant may forgo a trial in favor of a guilty plea. The plea bargaining process, an essential component of our justice system, enables a defendant to concede guilt in exchange for certainty and leniency—oftentimes in the form of a lesser conviction or a more favorable sentence. It also serves a number of critical public policy goals, including conservation of judicial resources and finality in criminal proceedings (*see* majority op at 101). Indeed, given the integral role of the plea process in our criminal justice system, "a defendant can plead guilty to a nonexistent or legally impossible offense in satisfaction of an indictment that charges a higher offense" (majority op at 101, citing *People v Foster*, 19 NY2d 150, 154 [1967]). Generally, however, in connection with a guilty plea, a defendant must recite the facts underlying the crime, thereby expressly conceding his or her factual guilt (*see People v Lopez*, 71 NY2d 662, 666 [1988]). A defendant pleading guilty must also knowingly and voluntarily waive a number of rights—including, as a general matter, the right to pursue an appeal.

Once a defendant is convicted, there is "no constitutional entitlement to an appeal" (*People v Andrews*, 23 NY3d 605, 610 [2014]; *Ross v Moffitt*, 417 US 600, 611 [1974]). Rather, the appellate process is purely a creature of statute (*Andrews*, 23 NY3d at 610; *People v West*, 100 NY2d 23, 26 [2003]). That said, the New York Legislature has enacted an extensive appellate scheme that provides for review of criminal convictions (*see People v Romero*, 7 NY3d 633, 636-637 [2006]; *Andrews*, 23 NY3d at 610; *see generally* CPL arts 440, 450). Under New York's statutory scheme, a defendant may pursue various claims on appeal to directly or collaterally challenge a judgment of conviction.

First, a defendant convicted at trial may bring a direct appeal to challenge the procedural fairness of the proceedings as well as the adequacy of the evidence presented (*see* CPL 450.10). Grounds for direct appeal may include evidentiary issues, prosecutorial misconduct, ineffective assistance of counsel, and the weight and/or legal sufficiency of the evidence, among others. A defendant who, like defendant here, opts to plead guilty may pursue several, albeit more limited, remedies to challenge her culpability on direct appeal. She may, for instance, challenge the voluntariness of her guilty plea, and may raise certain appellate claims that survive that plea.

A convicted defendant may also move to vacate the judgment pursuant to CPL 440.10, which allows collateral attacks on a conviction based on 10 enumerated grounds, each subject to carefully crafted procedural limitations. One of those enumerated grounds—and the provision invoked by defendant here—is CPL 440.10 (1) (h), which provides that a judgment of conviction may be vacated where it was "obtained in violation of a right of the defendant under the constitution of this state or of the United States" (CPL 440.10 [1] [h]). Defendant contends that this provision sustains her purported "freestanding" claim, and that this "freestanding" claim survives her guilty plea.

But New York's existing framework already contemplates numerous and various relief mechanisms for a defendant who—

despite having been convicted—maintains his or her innocence. CPL 440.10 (1) (g), for instance, permits a defendant to move to vacate the judgment of conviction where "[n]ew evidence has been discovered" (CPL 440.10 [1] [g]). That provision, however, contains two different due diligence requirements, and imposes a lofty standard regarding the caliber of the newly-discovered evidence; it must be "of such character as to create a probability that had such evidence been received at the trial the verdict would have been more favorable to the defendant" (*id.*). That provision is also expressly inapplicable to defendants who have pleaded guilty.

CPL 440.10 also includes a claim explicitly styled "actual[ ] innocen[ce]" (*see* CPL 440.10 [1] [g-1])—a narrowly-circumscribed remedy recognizing "the exceptional nature of DNA evidence as a reliable scientific tool to conclusively determine the identity of an assailant" (majority op 100). Specifically, CPL 440.10 (1) (g-1) provides that "a defendant convicted after a guilty plea" may assert that he or she is "actually innocent" based on "[f]orensic DNA testing of evidence performed since the entry of a judgment" (CPL 440.10 [1] [g-1]). Unlike a defendant convicted after trial, however, a defendant who has pleaded guilty must, under this provision, make a heightened showing, "demonstrat[ing] a substantial probability that [he or she] was actually innocent of the offense of which he or she was convicted" (*id.*).

The CPL's exhaustive list of specified remedies (which already includes a limited "actual innocence" claim) negates any suggestion that the legislature intended to create an additional unenumerated and undefined ground for relief.* To the contrary, a catchall claim of "actual innocence" would allow a defendant to end run the precise, delineated restrictions and requirements outlined throughout CPL 440.10. And, of course, courts "cannot broaden the scope of the remedy afforded by CPL 440.10 beyond what the Legislature unambiguously specified" (*People v Machado*, 90 NY2d 187, 192 [1997]; *People v Jackson*, 78 NY2d 638, 647 [1991]).

Even where these challenges fail, a defendant has further remedies still. A convicted defendant may invoke the common-

* Notably, the state legislature has repeatedly considered and rejected proposed legislation that would explicitly add a broader "actual innocence" claim to the Criminal Procedure Law (*see* 2017 Senate-Assembly Bill S351, A4689; 2016 Senate-Assembly Bill S1299, A5077; 2013 Senate-Assembly Bill S49, A3492).

law writ of error coram nobis under certain limited circumstances—for instance, where "a notice of appeal was not timely filed due to ineffective assistance of counsel" (*People v Syville*, 15 NY3d 391, 397 [2010]). After exhausting state court remedies, a defendant in custody may apply for a writ of habeas corpus "on the ground that he is in custody in violation of the Constitution or laws or treaties of the United States" (28 USC § 2254 [a]). And, as a last resort, a convicted defendant may seek executive clemency—a "fail safe" remedy designed to "prevent[ ] miscarriages of justice where judicial process has been exhausted" (*Herrera*, 506 US at 411-412, 415; *see* Executive Law § 19).

Defendant's "freestanding" claim is particularly unavailing in light of her guilty plea. As we have repeatedly held, "[t]he 'solemn act' of entering a plea, itself sufficing as a conviction . . . should not be permitted to be used as a device for . . . maintaining a claim of factual innocence" (*People v Plunkett*, 19 NY3d 400, 406 [2012]). In other words, a postconviction claim of "actual innocence" is fundamentally inconsistent with the explicit "admission of factual guilt" encompassed by defendant's guilty plea (*People v Thomas*, 53 NY2d 338, 342 [1981]). Indeed, during her plea allocution, defendant expressly confessed her factual guilt—an admission that was corroborated by much of the record evidence. And because defendants may plead guilty to a lesser (or even nonexistent) offense, a "freestanding" claim would allow a defendant to bargain strategically, only to later attack the factual sufficiency of his or her plea. Having received the benefit of a lenient plea deal, a defendant should not be permitted to subsequently challenge that conviction on the ground that he or she is "innocent" of the charge of conviction.

Accordingly, where a defendant has pleaded guilty, any "appellate claims challenging what is competently and independently established by [the] plea"—namely, the defendant's factual guilt—are deemed "forfeited" (*Plunkett*, 19 NY3d at 405). Allowing a defendant to strategically relitigate culpability—at a time when the prosecution's evidence has grown stale, or may be entirely undeveloped—would undermine critical notions of fairness, finality, and sanctity of the legal process, and would "turn the 'solemn act' of pleading guilty into a mere device for maintaining innocence while avoiding trial" (*Thomas*, 53 NY2d at 345 [citation omitted]; *see also* New York State Justice Task Force, Recommendations Regarding Post-

Conviction Access to DNA Testing and Databank Comparison at 3 [Jan. 2012] [highlighting "concerns about defendants who would attempt to 'game' the system by failing to seek (DNA) testing until after a plea when it may be harder for a prosecutor to prove his or her case"]). Defendant's guilty plea, by design, limits her postconviction remedies.

The majority indicates that, here, defendant's claim must "presumptively" be rejected because "CPL 440.10 provides defendant with procedural recourse"—her ineffective assistance of counsel claim (majority op at 102, 103 n 8). But even in the absence of defendant's parallel claim, her "freestanding" claim could not proceed. Neither party suggests otherwise, nor would the law support that notion. Likewise, "the writ of error coram nobis" would not supply an avenue of relief (majority op at 103 n 8), as the coram nobis procedure cannot be used to create a wholly new remedy where none otherwise exists.

The common-law writ of error coram nobis was largely "abrogated when the Criminal Procedure Law was enacted" (*Andrews*, 23 NY3d at 611), and it is "not just another stop on a continuum of opportunities for a defendant to seek appellate relief" (*People v Rosario*, 26 NY3d 597, 602-603 [2015]). Rather, in its modern context, coram nobis is an "extraordinary" form of relief to be provided "only" in a particular subset of "rare cases"—namely, those involving the categorical loss of an appeal due solely to the unconstitutionally deficient performance of counsel (*id.* at 603 [internal quotation marks and brackets omitted]; *People v Arjune*, 30 NY3d 347, 356-358 [2017]; *Andrews*, 23 NY3d at 611-612; *Syville*, 15 NY3d at 399-401). Indeed, the "related context" identified by the majority involved "a defendant who discover[ed] after the expiration of the CPL 460.30 grace period that a notice of appeal was not timely filed due to ineffective assistance of counsel" (*Syville*, 15 NY3d at 397). There, the defendant asked the Court to waive a procedural bar—CPL 460.30's one-year time limitation—so as to permit the defendant to pursue his otherwise-untimely appeal (*id.*). The defendant's claim was premised *not* on the inadequacy of his available remedies, but rather on the altogether "loss of the right to an appeal caused by deficient legal performance" (*Andrews*, 23 NY3d at 610).

Nothing remotely resembling that allegation is present where, as here, defendant seeks to assert an entirely new basis for appellate relief. In the "rare" case where it applies, the coram nobis procedure has been used to revive an *existing* appellate claim that would otherwise be extinguished because of ineffective legal assistance (*Andrews*, 23 NY3d at 614). Coram nobis "presupposes" an existing violation; it is "not a substitute" for an existing "appeal or other statutory remedy" (*Syville*, 15 NY3d at 400, citing *People v Bachert*, 69 NY2d 593, 598 [1987] [internal quotation marks and citations omitted]). In other words, while coram nobis might excuse a procedural defect to permit a defendant to pursue an otherwise-barred appeal, it cannot be used to invent a new, previously-nonexistent appellate claim. Here, then, defendant cannot bring a "freestanding" claim irrespective of her election to pursue an alternative challenge.

Having struck a bargain with the People many months ago, defendant cannot now contest her guilt in a belated, jury-less, free-for-all mini-trial. "In any system of criminal justice, 'innocence' or 'guilt' must be determined in some sort of a judicial proceeding" (*Herrera*, 506 US at 398). Defendant's guilt was resolved by her guilty plea, and her presumption of innocence has disappeared. She is now entitled to raise any of the various statutorily-prescribed claims that the New York State Legislature has provided her. Whether she does so or not, defendant is *not* entitled to disturb her conviction based on a "freestanding" claim that it is factually incorrect.

WILSON, J. (dissenting). Natascha Tiger pleaded guilty but is innocent. That conclusion, like the majority decision here, races far ahead of the procedural posture in which this case comes to us. Thus, as I explain in part one, the majority opinion does more than it should and less than it seems. Were the question of whether a guilty plea always forecloses a claim of actual innocence now before us, I would conclude that it does not, for reasons set forth in part two.

I.

Justice Leventhal's opinion for a unanimous Appellate Division sets out the underlying facts in an impressive narrative (149 AD3d 86 [2017]). Procedurally, though, it is important to focus on a few details: (1) Ms. Tiger moved for relief under a statute, CPL 440.10 (1) (h), claiming entitlement to relief thereunder because she was actually innocent and because her trial counsel was ineffective; (2) Ms. Tiger sought, as relief, either the vacatur of her conviction or an evidentiary hearing; (3) the Appellate Division did not grant her motion to vacate her conviction; and (4) the Appellate Division granted her motion for an evidentiary hearing as to her entitlement to relief under CPL 440.10 (1) (h). It is also important to note that the factual bases for Ms. Tiger's innocence and ineffective assistance arguments are virtually identical.

The majority opinion does too much, in that it leaps far ahead of the issue before us (the Appellate Division unnecessarily opined on whether Ms. Tiger's actual innocence claim was cognizable, and the majority followed suit). The precise question is whether Ms. Tiger is entitled to an evidentiary hearing. The Appellate Division held that she is. The majority does not disagree. The majority believes that the hearing should not encompass Ms. Tiger's actual innocence claim, because it does not believe such a claim exists in the face of Ms. Tiger's guilty plea, but that question is not yet here, and may never be.

First, all of the evidence pertinent to Ms. Tiger's innocence is directly relevant to her ineffective assistance claim. So, the majority's decision does not affect the occurrence or the substance of the hearing; at most, it offers an opinion—offered before the lower courts have made any factual findings based on the evidence to be presented at that hearing—as to what we would hold if later presented with a particular result. However, if Ms. Tiger prevails on her ineffective assistance claim below, or fails as a factual matter unreviewable by us, the issue the majority purports to decide will never reach us in this case.

Second, to the extent "obtained in violation of . . . the constitution" in CPL 440.10 (1) (h) refers to a due process concern, that issue cannot be ripe until Ms. Tiger exhausts the other mechanisms available to her to vacate her conviction. Until the lower courts make a determination based on the evidentiary hearing, we cannot yet know whether the process available to her through her claim of ineffective assistance is adequate or inadequate.

Third, related to the second point, we should be wary of deciding the existence of a novel claim when existing claims may provide a petitioner with relief. Ms. Tiger's ability to invoke CPL 440.10 (1) (h) to raise a claim of ineffective assistance of counsel is well-established; her ability to invoke that statute to raise a claim of actual innocence is novel.

The majority opinion also does far less than it seems. The Appellate Division's analysis (though itself dicta for the reasons stated above) is that CPL 440.10 (1) (h) provides a statutory claim for actual innocence. The majority concludes, inter alia, that the creation of an exception for innocence demonstrated by DNA evidence (440.10 [1] [g-1]) and the public policy favoring finality of guilty pleas, counsel against the proposition that the legislature meant CPL 440.10 (1) (h) to provide an avenue for vacating, on the ground of actual innocence, a conviction obtained by a guilty plea. The majority's opinion (like the Appellate Division decision on review) does not address the question of whether interpreting 440.10 (1) (h) in that manner would render it (or 440.10 taken as a whole) unconstitutional, or whether a claim of actual innocence can be brought under the State or Federal Constitution directly, or under this Court's coram nobis or habeas corpus power, without resort to the CPL.

In short, despite the lengthy exposition in the Appellate Division's decision, I would do no more than recognize the Appellate Division's discussion as dicta in view of the near-total overlap of the factual record needed for the two purported claims, and would avoid deciding issues—particularly novel ones—until necessary and with a full record.[1]

II.

I disagree with the general thesis of the majority's opinion: that, short of legislative or gubernatorial mercy, no innocent person who pleads guilty, lest exonerated by DNA evidence, may vacate a conviction. Ms. Tiger is neither the first nor last innocent person to plead guilty. Ms. Tiger's case (based on facts as she summarizes them, without the benefit of an evidentiary hearing) provides a compelling example. In brief, confronted by Child Protective Services (CPS) with horrifying photographs of

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1. The majority's explanation of why it is putting the cart of actual innocence before the horse of an evidentiary hearing exposes the opinion's fundamental failure. The majority explains that "whether defendant can bring an actual innocence claim under CPL 440.10 (1) (h)" cannot "be left for another day" because Ms. Tiger "seeks relief asserting both a different remedy—dismissal of the accusatory instrument—and the application of a different legal standard under *Hamilton*" (majority op at 98 n 4). The majority's rationale for overreaching thus depends on presumed outcomes as to the applicable standard of proof and eventual remedy were such a claim to exist. Neither the applicable standard of proof nor the remedy is before us, and our Court is surely not bound to what *Hamilton* says or what Ms. Tiger requests. The rationale is also tautological, finding the issue squarely presented because of a standard of proof and remedy that might apply to a claim the majority deems nonexistent. That the proof at Ms. Tiger's evidentiary hearing will be unchanged by today's decision pointedly illustrates the advisory nature of the majority's opinion.

the child's skin blistering, she was: without the assistance of counsel; denied the accompaniment of a representative of her employer who attempted to attend; accused of "having boiled water and thrown it" on the child; and told she was responsible for the skin grafts the child was then undergoing. Ms. Tiger knew the bathwater was not inappropriately hot, but nevertheless concluded she must have been responsible. Faced with seven years in prison, she pleaded guilty after her lawyer told her she could not afford to hire an expert and a guilty plea could result in a suspended sentence. What she did not then know was that the child was taking medication that likely caused the blistering. Based on the sequence of events leading up to the child's injuries, and her meeting with the CPS interviewer who all but insisted that Ms. Tiger burned the child terribly, it is not hard to imagine that a compassionate and attentive caregiver—which other evidence in the record shows she was—could begin to believe that she somehow made a mistake and was to blame.[2]

Subsequently, when the child's family sued Ms. Tiger and her employer for civil damages, the employer, with resources far in excess of those Ms. Tiger possessed, retained an expert and better lawyers. Even though the child's family had to satisfy only the "preponderance of the evidence" standard, and not the "beyond a reasonable doubt" standard, the jury found that Ms. Tiger did not cause the child's injury. Suppose, for a moment, that after the forthcoming evidentiary hearing Ms. Tiger has been awarded, we know with certainty that she did not cause the child's injuries. Must we nevertheless refuse to vacate her conviction?

"The most hallowed principle of our criminal law [is] protecting the innocent" (*United States v Watson*, 792 F3d 1174, 1183 [9th Cir 2015]). "[T]he requirement of proof beyond a reasonable doubt in a criminal case [is] bottomed on a fundamental value determination of our society that it is far worse to convict an innocent man than to let a guilty man go free" (*In re Winship*, 397 US 358, 372 [1970, Harlan, J., concurring]).

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2. *Cf.* The Arabian Nights at 248 (1990, Husain Haddawy, trans, Muhsin Mahdi, ed) (in which a tailor moves a body to make it seem like a doctor was the killer; the doctor moves the body to frame the Sultan's purveyor; the purveyor moves the body so that a merchant believes he struck the fatal blow, and each eventually, to prevent the execution of his successor to the body, confesses to killing the man, who really died from choking on a fishbone when eating a meal provided to him by the tailor and his wife in kindness).

> "No tradition is more firmly established in our system of law than assuring to the greatest extent that its inevitable errors are made in favor of the guilty rather than against the innocent . . . Not all share our revulsion at punishment of the innocent, of course. But Americans have always been revolted by the notion that it is better that the innocent suffer than that some of the guilty go free" (*Watson*, 792 F3d at 1183).

Our modern criminal justice system " 'is for the most part a system of pleas, not a system of trials' " (*Missouri v Frye*, 566 US 134, 143 [2012], citing *Lafler v Cooper*, 566 US 156, 170 [2012]). " 'To a large extent . . . horse trading [between prosecutor and defense counsel] determines who goes to jail and for how long. That is what plea bargaining is. It is not some adjunct to the criminal justice system; it *is* the criminal justice system' " (*id.* at 144, quoting Robert E. Scott & William J. Stuntz, *Plea Bargaining as Contract*, 101 Yale L J 1909, 1912 [1992]). In New York State in 2016, less than three percent of nearly 50,000 criminal dispositions went to trial (National Center for State Courts, Court Statistics Project, *2016 Gen. Jurisdiction Criminal Jury Trials and Rates, New York*, http://www.ncsc.org/Sitecore/Content/Microsites/PopUp/Home/CSP/CSP_Intro).

We know that some completely innocent people plead guilty. In 2016, a record-setting 166 people were exonerated nationally (The National Registry of Exonerations, *Exonerations in 2016* at 2 [2017], https://www.law.umich.edu/special/exoneration/Documents/Exonerations_in_2016.pdf, cached at http://www.nycourts.gov/reporter/webdocs/Exonerations_in_2016.pdf). Of those, 74 exonerees, or 45%, were convicted based on guilty pleas (*id.*).[3] Of the nearly 2,000 individuals who were exonerated between 1989 and October 2016, 17% pleaded guilty (Samuel R.

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3. The majority helpfully explains this data in more detail (majority op at 101-102, n 6) by pointing out that numerous people who (presumably) know they are innocent—or perhaps, like Ms. Tiger, mistakenly believe they might be guilty—nevertheless plead guilty when presented with damning fabricated evidence. As the majority emphasizes, many of the exonerees on the list were convicted based at least in part upon "forensic information that was (1) caused by errors in forensic testing, (2) based on unreliable or unproven methods, (3) expressed with exaggerated and misleading confidence, or (4) fraudulent" or, via official misconduct, where "[p]olice, prosecutors, or other government officials significantly abused their authority or the judicial process in a manner that contributed to the exoneree's conviction" (The National Registry of Exonerations, *Glossary*, https://www.law.umich.edu/special/

(n. cont'd)

Gross, *What We Think, What We Know and What We Think We Know About False Convictions*, 14 Ohio St J Crim L 753, 755-756 [2017]). The exonerations that we know of are highly skewed towards more serious crimes—

> "Non-violent crimes comprise more than 80% of felony convictions but fewer than 20% of exonerations; there are, for example, about three times as many felony convictions for theft as for robbery but one eighth the number of exonerations . . . [t]he inevitable conclusion is that only a tiny fraction of innocent defendants who are convicted of misdemeanors or non-violent felonies are ever exonerated" (*id.* at 767).

Public and scholarly attention has turned to the problem of convictions of the innocent relatively recently. The majority's attempt to close the door prematurely, with little information as to what lies on the other side, is particularly disturbing.

Research shows that innocent defendants may be motivated to plead guilty for a variety of reasons: most prominently, the threat of a more serious charge and a far longer sentence upon electing to go to trial, the fact that a plea will offer a release from pretrial detention if the offense is low-level, and concerns about the defendant's lawyer or the availability of evidence that would conclusively demonstrate innocence (*see* Jed S. Rakoff, *Why Innocent People Plead Guilty*, NY Review of Books [Nov. 20, 2014], available at http://www.nybooks.com/articles/2014/11/20/why-innocent-people-plead-guilty/; John H. Blume & Rebecca K. Helm, *The Unexonerated: Factually Innocent Defendants Who Plead Guilty*, 100 Cornell L Rev 157 [2014]).[4] A posttrial sentence can be 10 times that of a sentence offered in

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exoneration/Pages/glossary.aspx#FMFE, cached at http://www.nycourts.gov/reporter/webdocs/ExonerationGlossary.pdf). That CPL 440.10 has specific provisions providing the possibility of relief to some innocent persons is of no comfort to others who do not neatly fit into one or another.

4. "[U]ntil today, [the plea bargain] has been regarded as a necessary evil. It presents grave risks of prosecutorial overcharging that effectively compels an innocent defendant to avoid massive risk by pleading guilty to a lesser offense; and for guilty defendants it often—perhaps usually—results in a sentence well below what the law prescribes for the actual crime. But even so, we accept plea bargaining because many believe that without it our long and expensive process of criminal trial could not sustain the burden imposed on it, and our system of criminal justice

(n. cont'd)

a plea bargain—the question, then, of whether to accept such a bargain turns on more than simply whether one is guilty or innocent.[5] Without much oversight, prosecutors are free to offer the most persuasive plea bargains where evidence is weakest, so as to avoid having such evidence tested at trial (Blume & Helm at 169)—and so as to all but guarantee an innocent guilty plea. If a defendant has concerns about the sufficiency of counsel's representation, for example, what sense would there be in forgoing a two-year sentence that could become 20? Indeed, "[w]hen the deal is good enough, it is rational to refuse to roll the dice, regardless of whether one believes the evidence establishes guilt beyond a reasonable doubt, and regardless of whether one is factually innocent" (*Schmidt v State*, 909 NW2d 778, 787-788 [Iowa 2018] [internal quotation marks omitted]). More vulnerable defendants, such as juveniles, are also more likely to plead guilty falsely (Allison D. Redlich & Reveka V. Shteynberg, *To Plead or Not to Plead: A Comparison of Juvenile and Adult True and False Plea Decisions*, 40 Law & Hum Behav 611, 617 [2016]).

Although the United States Supreme Court has held that the disparity in post-plea and posttrial sentencing does not render a plea unlawful (*Brady v United States*, 397 US 742, 751 [1970]), that doctrine cannot mask what transpires. Retired Federal Judge Nancy Gertner has lamented the incongruity between the reality of plea bargaining and a finding of coercion:

> "there were times during my seventeen-year tenure on the federal bench in Massachusetts that inquiring of a defendant as to the voluntariness of his guilty plea felt like a Kabuki ritual. 'Has anyone coerced you to plead guilty,' I would ask, and I felt like adding, 'like thumbscrews or waterboarding? Anything less than that—a threatened tripling of

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would grind to a halt" (*Lafler v Cooper*, 566 US 156, 185 [2012, Scalia, J., dissenting]).

5. In *Schmidt v State* (909 NW2d 778, 787-788 [Iowa 2018]), the Iowa Supreme Court ruled that the Iowa Constitution permits a freestanding claim of innocence to be brought even if a defendant knowingly and voluntarily pleaded guilty. The Court acknowledged that innocent defendants plead guilty for many reasons, including the threat of a much longer sentence. Mr. Schmidt, the defendant in that case, explained, "I was not guilty. I was scared so I pled guilty [be]cause I was fac[ing] over [fifty] years" (*id.* at 783). Pursuant to his plea agreement, Mr. Schmidt was instead sentenced to seven years.

> your sentence should you go to trial, for example—doesn't count' " (Nancy Gertner, Bruce Brower & Paul Shechtman, *'Why the Innocent Plead Guilty': An Exchange*, NY Review of Books [Jan. 8, 2015], available at http://www.nybooks.com/articles/2015/01/08/why-innocent-plead-guilty-exchange/).[6]

We have made careful choices to prohibit the waiver of certain fundamental rights, in part because of our concern that failure to do so would encourage innocent defendants to wrongly plead. Speedy trial claims, for example, may not be waived, "because trial delay may result in the loss of evidence or an accused's inability to respond to criminal charges, *thereby compelling innocent persons to plead guilty out of necessity*. Because of this societal interest, a defendant may not waive such claims" (*People v Seaberg*, 74 NY2d 1, 9 [1989] [emphasis added]). We should not foreclose the possibility that other factors in our criminal justice system also may "compel[ ] innocent persons to plead guilty out of necessity."

Relatedly, we also know that innocent suspects falsely confess.[7] Research shows that juveniles, as well as developmentally disabled and mentally ill defendants are especially vulnerable

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6. As our former Chief Judge famously observed, "any prosecutor who wanted to could get a Grand Jury to indict a ham sandwich" (David Gould, *Sol Wachtler*, Historical Society of the NY Courts, http://www.nycourts.gov/history/legal-history-new-york/history-legal-bench-court-appeals.html?http://www.nycourts.gov/history/legal-history-new-york/luminaries-court-appeals/wachtler-sol.html; *see also* Alex Kozinski, *Criminal Justice 2.0*, 44 Geo L J Ann Rev Crim Proc iii, xi-xii [2015] ["Many people, including judges, take comfort in knowing that an overwhelming number of criminal cases are resolved by guilty plea rather than trial. Whatever imperfections there may be in the trial and criminal charging process, they believe, are washed away by the fact that the defendant ultimately consents to a conviction. But this fails to take into account the trend of bringing multiple counts for a single incident—thereby vastly increasing the risk of a life-shattering sentence in case of conviction—as well as the creativity of prosecutors in hatching up criminal cases where no crime exists and the overcriminalization of virtually every aspect of American life. It also ignores that many defendants cannot, as a practical matter, tell their side of the story at trial because they fear being impeached with prior convictions or other misconduct. And, of course, if the trial process is perceived as highly uncertain, or even stacked in favor of the prosecution, the incentive to plead guilty to some charge that will allow the defendant to salvage a portion of his life, becomes immense"]).

7. Many high-profile cases have underscored this issue, such as the Central Park jogger case (Susan Saulny, *Convictions and Charges Voided In '89 Central Park Jogger Attack*, NY Times, Dec. 20, 2002, available at https://www.nytimes.com/2002/12/20/nyregion/convictions-and-charges-voided-in-89-central-park-jogger-attack.html?pagewanted=all&src=pm).

to false confessions (Richard A. Leo, *False Confessions: Causes, Consequences, and Implications*, 37 J Am Acad Psychiatry L 322, 335 [2009]). More than 20% of known exonerations for murder were at least in part due to false confessions (Gross at 772). Still, we do not know how frequently they occur (Leo at 333). Consistently with the research on guilty pleas, the research on false confessions shows that "[t]he most potent psychological inducement is the suggestion that the suspect will be treated more leniently if he confesses and more punitively if he does not" (*id.* at 339).

III.

The majority is focused on the importance of the finality of the plea process, and the appropriate conservation of judicial resources (majority op at 100-102). Those concerns are weighty. But "conservation of judicial resources" does not appear alongside "life, liberty and the pursuit of happiness." It is not impossible, as the majority seems to imply, to redress exceptional cases in which a clearly innocent person has pleaded guilty, and simultaneously to avoid eroding the fundamentals of our criminal justice system.[8] When the postconviction remedy for DNA evidence was in progress (now CPL 440.10 [1]

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8. State high courts in Texas and Iowa have held that guilty pleas do not foreclose claims of actual innocence; Texas over 20 years ago. In *Ex parte Tuley* the court reasoned, "The policy supporting our holding in *Elizondo*, that the punishment of an innocent person violates federal due process, is the same for an applicant regardless of whether his case was heard by a judge or jury or whether he pleaded guilty or not guilty" (109 SW3d 388, 390 [Tex Crim App 2002]). The court rebutted the State's argument that allowing such a claim would open the floodgates:

> "As the cases the State cites show, claims of actual innocence are rare and the cases in which relief is granted are even more rare. . . . We are confident that the convicting courts of Texas can tell the difference between a meritorious claim of actual innocence accompanied by compelling new evidence and a bogus claim accompanied by bare allegations of innocence. Applicants may file applications, but it does not mean that convicting courts will recommend granting relief" (*id.* at 394-395).

In *Schmidt v State*, the Iowa Supreme Court explained,

> "a clear and convincing standard balances the interest of an innocent defendant and that of the state. . . . [W]e believe 'it is far worse to convict an innocent person than to acquit a guilty one' such that 'the scale tips in favor of the [defendant's] interest.' Thus, we simultaneously vindicate this principle and recognize the interest of the state in finality of criminal litigation by adopting a clear and convincing standard" (909 NW2d at 797 [citation omitted]).

[g-1]), a government task force recommended the "substantial probability" evidentiary standard based on "the need to provide a formal mechanism to exonerate the innocent post-plea, while also acknowledging the importance of preserving the integrity of the plea process, maintaining a level of finality in the system and attempting to prevent frivolous petitions from guilty defendants seeking to take advantage of the system" (New York State Justice Task Force, Recommendations Regarding Post-Conviction Access to DNA Testing and Databank Comparisons at 3-4 [Jan. 2012]). None of the parade of horribles that the majority now threatens has come to bear with the DNA exception.[9] There is no reason, then, that the court system could not similarly withstand such allowances under similar claims of actual innocence. According to the National Registry of Exonerations, only 22% of exonerations from 1989 to 2016 were based in whole or in part on DNA evidence; for 2016, that figure was only 10% (*Exonerations in 2016* at 5). Thus, in the vast majority of cases no DNA evidence is involved, yet other courts around the nation appear to be able to determine innocence, postconviction, without causing the criminal justice system to crumble. Certainly, those states are not freeing all persons wrongly convicted, but some is better than none.

I agree with the majority that rules are important. I also agree that exceptions should not be allowed to swallow rules. But exceptions are just that—exceptional. Unless forbidden by this Court, it is not beyond the ability of our courts to identify the exceptional circumstances in which someone who has pleaded guilty should be entitled to have her conviction vacated. This Court's role, over time, should be to fix the contours of that exception, instead of concluding it would be easier just to shut the door tight. Barring that door is particularly inappropriate here, when Ms. Tiger may well be able to exit her

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9. In contrast to the majority's doomsday conjecture, the Texas Court of Criminal Appeals, armed with facts, noted:

> "Applicants have been permitted to file bare innocence claims in the courts of this State since [*Ex parte Elizondo*, 947 SW2d 202 (Tex Crim App 1996)] was handed down six years ago. The flood of applications has not materialized . . . Since *Elizondo* was handed down, in a few cases when applicants have presented credible and compelling new evidence of innocence that met the *Elizondo* standard, innocent people have been released from punishment. The criminal justice system has done justice" (*Ex parte Tuley*, 109 SW3d 388, 395 [Tex Crim App 2002]).

Another 16 years have passed since that observation, and the wheels of justice continue apace in Texas.

cell through another—her claim of ineffective assistance of counsel, where we have proved able to define the contours of that claim under CPL 440.10 without laying waste to the finality of convictions.

Former Chief Judge Jonathan Lippman, who created the New York State Justice Task Force on Law Day 2009, described our courts' mission thus:

> "Every wrongful conviction is a stain on the reputation of the courts, eroding public trust and confidence in the legitimacy of our institutional status and the fairness and accuracy of our decisions. This only underscores why the judiciary, the focal point of the entire justice system, is absolutely duty-bound to lead the way in making sure that the criminal justice process is as fair and accurate as humanly possible" (Chief Judge Jonathan Lippman, *Judiciary Examines Causes of Wrongful Convictions*, 26 Criminal Justice [No. 3] 5, 6 [Fall 2011], available at http://www.nyjusticetaskforce.com/2011.Fall.ABA.CriminalJusticeArticle.by.Lippman.pdf).

Today's decision inexplicably and unnecessarily denies that mission, eschewing our obligation in favor of further legislative action or executive clemency. I will not.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge GARCIA in a concurring opinion; Judge WILSON dissents in an opinion in which Judge RIVERA concurs.

Order, insofar as appealed from, reversed and that branch of defendant's CPL 440.10 motion which was based on an independent claim of actual innocence denied.

[112 NE3d 317, 87 NYS3d 140]

In the Matter of TERRENCE C. O'CONNOR, a Judge of the Civil Court of the City of New York, Queens County, Petitioner. NEW YORK STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued September 6, 2018; decided October 16, 2018

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent New York State Commission on Judicial Conduct, dated March 30, 2018. Respondent determined that petitioner should be removed from the office of Judge of the Civil Court of the City of New York, Queens County.

HEADNOTES

Judges — Disciplinary Proceedings — Pattern of Fundamental Legal Errors

1. In a proceeding to review respondent New York State Commission on Judicial Conduct's determination that petitioner Civil Court Judge should be removed from office, the charges alleging that petitioner violated the Rules Governing Judicial Conduct (22 NYCRR part 100) by failing to cooperate with respondent's investigation, being discourteous to lawyers, failing to comply with the law and sua sponte awarding or threatening to award counsel fees without allowing the parties the opportunity to be heard were sustained by the evidence. The need to maintain order in the courtroom must be counterbalanced against a judge's obligations to remain patient and to treat those appearing before the court with dignity and courtesy. The record was replete with evidence supporting respondent's determination that, on numerous occasions, petitioner acted impatiently, raised his voice, and made demeaning and insulting remarks, often in open court. In addition, petitioner abused his judicial power when he twice struck witness testimony and dismissed petitions for insufficient proof as a result of counsel's reflexive use of the word "okay." Petitioner's transgressions were not harmless legal errors, since a pattern of fundamental legal errors constituting serious misconduct had been established. Moreover, petitioner's failure to afford litigants the right to be heard before imposing counsel fees implicated a fundamental right, and his failure to observe and follow the law resulted in substantial and unjustifiable adverse consequences for the parties that went uncorrected.

Judges — Removal from Office

2. Respondent New York State Commission on Judicial Conduct's determination that petitioner Civil Court Judge be removed from office for his sustained pattern of inappropriate behavior in the courtroom, repeated failure to appear before respondent and other conduct demonstrating his unwillingness to cooperate fully with respondent's investigation was accepted. Truly egregious circumstances warranting the severe sanction of re-

moval are present where a jurist has exhibited a pattern of injudicious behavior which cannot be viewed as acceptable conduct by one holding judicial office or an abuse of the power of his or her office in a manner that has irredeemably damaged public confidence in the integrity of the judge's court. Petitioner's comments in open court were intemperate and inconsistent with appropriate judicial demeanor. In addition, his sustained pattern of inappropriate behavior evinced a lack of understanding of his role as a judge, thus eroding the public's trust and confidence in the integrity of the judiciary. Petitioner's misconduct was significantly compounded by his persistent failure to cooperate with respondent's investigation. If the public trust in the judiciary is to be maintained, as it must, those who don the robe and assume the role of arbiter of what is fair and just must do so with an acute appreciation both of their judicial obligations and of respondent's constitutional and statutory duties to investigate allegations of misconduct.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Judges §§ 16–17, 19.
CARMODY-WAIT 2d Officers of Court §§ 3:139, 3:142, 3:145.
22 NYCRR part 100.
NY JUR 2d Courts and Judges §§ 347, 444, 446–447.

ANNOTATION REFERENCE

See ALR Index under Discipline and Disciplinary Actions; Due Process; Judges.

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POINTS OF COUNSEL

Edelstein & Grossman, New York City (*Jonathan I. Edelstein* of counsel), for petitioner. I. "Actual notice" of the hearing date cannot substitute for the specific method of notification prescribed by section 44 (4) of the Judiciary Law. (*Columbus Prop. v ISKS Realty Corp.*, 163 Misc 2d 446; *Matter of Rizika v Board of Assessors of Vil. of Herkimer*, 62 Misc 2d 774; *U.S. Bank Natl. Assn. v Vanvliet*, 24 AD3d 906; *Brown v State of New York*, 114 AD3d 632; *Matter of Nationwide Mut. Ins. Co. [Monroe]*, 75 AD2d 765; *Sleepy Hollow Dev. & Community Improvement Hous. Dev. Fund Co., Inc. v De Angelis*, 51 AD2d 267; *Matter of Kese Indus. v Roslyn Torah Found.*, 15 NY3d 485; *Kimmel v State of New York*, 29 NY3d 386; *Matter of Ross v New York State Dept. of Health*, 226 AD2d 863; *Plantation*

House & Garden Prods. v R-Three Invs., 285 AD2d 539.) II. The hearing should have been adjourned to accommodate the schedule of Terrence C. O'Connor's counsel. (*Ungar v Sarafite*, 376 US 575; *Chandler v Fretag*, 348 US 3; *People v Spears*, 64 NY2d 698; *Matter of Leonard v Kirby*, 84 AD2d 538; *Cenegal Manor v Casale*, 251 AD2d 259.) III. The conduct underlying charges II through IV constituted at most errors of law rather than judicial misconduct. (*Matter of Cunningham*, 57 NY2d 270; *Matter of Richter*, 42 NY2d [aa]; *Matter of Jung [State Commn. on Jud. Conduct]*, 11 NY3d 365; *Liang v Wei Ji*, 155 AD3d 1018.) IV. Terrence C. O'Connor's conduct in the underlying civil cases, even if it was misconduct as opposed to error of law, did not warrant the drastic sanction of removal. (*Matter of Cohen [State Commn. on Jud. Conduct]*, 74 NY2d 272; *Matter of Skinner*, 91 NY2d 142; *Matter of Cunningham*, 57 NY2d 270; *Matter of Restaino [State Commn. on Jud. Conduct]*, 10 NY3d 577; *Matter of Kiley*, 74 NY2d 364; *Matter of Simon [State Commn. on Jud. Conduct]*, 28 NY3d 35.) V. In light of the adversarial nature of New York State Commission on Judicial Conduct investigations, this Court's admonition against using the investigative process to generate more serious sanctions, and the fact that noncooperation is its own punishment, Terrence C. O'Connor's alleged failure to cooperate is an insufficient aggravating factor to justify removal from office. (*Matter of Cooley*, 53 NY2d 64; *Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56; *Matter of Lenney*, 71 NY2d 456; *Matter of Skinner*, 91 NY2d 142; *Matter of Kiley*, 74 NY2d 364; *Matter of Reedy*, 64 NY2d 299.)

Robert H. Tembeckjian, Commission on Judicial Conduct, Albany (*Edward Lindner, Mark Levine, Brenda Correa* and *Daniel W. Davis* of counsel), for respondent. I. Petitioner had actual notice of the hearing date and waived or abandoned any claim that the form of the service did not satisfy Judiciary Law § 44 (4). (*Matter of Myers*, 67 NY2d 550; *Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349; *Patrician Plastic Corp. v Bernadel Realty Corp.*, 25 NY2d 599; *Columbus Prop. v ISKS Realty Corp.*, 163 Misc 2d 446; *Matter of Rizika v Board of Assessors of Vil. of Herkimer*, 62 Misc 2d 774; *US Bank N.A. v Vanvliet*, 24 AD3d 906; *Brown v State of New York*, 114 AD3d 632; *Matter of Ballard v HSBC Bank USA*, 6 NY3d 658; *Balancio v American Opt. Corp.*, 66 NY2d 750; *Michaels v Sunrise Bldg. & Remodeling, Inc.*, 65 AD3d 1021.) II. Petitioner had more than adequate opportunity to retain counsel. (*Matter of Finocchairo v Kelly*, 11 NY2d 58; *Matter of Estafanous v New*

York City Envtl. Control Bd., 136 AD3d 906; *Matter of Leonard v Kirby*, 84 AD2d 538; *Cenegal Manor v Casale*, 251 AD2d 259; *Matter of A & U Auto Repair v New York State Dept. of Motor Vehs.*, 135 AD3d 856; *Matter of Baywood Elec. Corp. v New York State Dept. of Labor*, 232 AD2d 553; *Matter of Gell v Carrion*, 81 AD3d 953.) III. Petitioner committed misconduct when he failed to cooperate during the New York State Commission on Judicial Conduct's investigation. (*Matter of Cooley*, 53 NY2d 64; *Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56; *Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn*, 91 NY2d 30.) IV. Petitioner was impatient and discourteous and failed to safeguard the rights of litigants before him. (*Matter of Cerbone*, 61 NY2d 93.) V. Petitioner failed to respect and comply with the law, and failed to accord every person a reasonable opportunity to be heard, when he sua sponte imposed counsel fees in nine civil actions. (*Duffy v Universal Maintenance Corp.*, 227 AD2d 238; *Matter of Jung [State Commn. on Jud. Conduct]*, 11 NY3d 365; *Matter of Feinberg*, 5 NY3d 206.) VI. Petitioner should be removed from judicial office. (*Matter of Kuehnel v State Commn. on Jud. Conduct*, 49 NY2d 465; *Matter of Duckman*, 92 NY2d 141; *Matter of Esworthy*, 77 NY2d 280; *Matter of Simon [State Commn. on Jud. Conduct]*, 28 NY3d 35; *Matter of Jung [State Commn. on Jud. Conduct]*, 11 NY3d 365; *Matter of Feinberg*, 5 NY3d 206; *Matter of Myers*, 67 NY2d 550; *Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56; *Matter of Cooley*, 53 NY2d 64; *El-Dehdan v El-Dehdan*, 26 NY3d 19.)

OPINION OF THE COURT

Per Curiam.

In this proceeding, petitioner, a Judge of the Civil Court of the City of New York, Queens County, seeks review of a determination of the New York State Commission on Judicial Conduct, sustaining four charges of misconduct against him and concluding that he should be removed from office (*see* NY Const, art VI, § 22; Judiciary Law § 44). Upon plenary review of the record, we conclude that the charges are sustained by the evidence, and that the sanction of removal is appropriate.

The Commission served petitioner with a formal written complaint, alleging that he: failed to cooperate with the Commission's investigation (charge I); was discourteous to lawyers in two civil cases by striking testimony after those lawyers said "okay" in response to witness answers, and then failed to comply with the law by dismissing those cases (charge II);

made impatient, discourteous, and undignified remarks to lawyers appearing before him in three bench trials (charge III); and sua sponte awarded or threatened to award "counsel fees" on multiple occasions without providing the parties the opportunity to be heard or setting forth the basis for the awards, in violation of established law (charge IV). After petitioner filed an answer denying any wrongdoing, the Commission designated a referee to report findings of fact and conclusions of law. Following a hearing, the referee sustained all of the charges.

The Commission subsequently determined that petitioner violated the Rules Governing Judicial Conduct (22 NYCRR part 100), including section 100.1 (requiring judges to maintain and observe high standards of conduct to preserve the integrity and independence of the judiciary), section 100.2 (A) (mandating that judges respect and comply with the law and act in a manner promoting public confidence in judicial integrity), section 100.2 (B) (instructing that judges should not allow any type of relationship to affect judicial conduct), section 100.3 (B) (1) (obligating judges to be faithful to, and competent in, the law), and section 100.3 (B) (3) (requiring judges to be patient, dignified and courteous to those with whom the judge deals in an official capacity). The Commission concluded that, "[v]iewed in its entirety, [petitioner's] conduct, seriously exacerbated by his failure to cooperate, demonstrate[ed] his unfitness for judicial office and thus warrant[ed] the sanction of removal." Petitioner sought this Court's review.

Petitioner does not challenge the Commission's finding that he failed to cooperate with its investigation. However, he argues that his behavior underlying the other charges was justified by the circumstances, including the "rough and tumble" nature of landlord-tenant litigation. We disagree. To be sure, judges must insist upon order and decorum in the courtroom (*see* § 100.3 [B] [2]). Nevertheless, the need to maintain order must be counterbalanced against a judge's obligations to remain patient and to treat those appearing before the court with dignity and courtesy (*see* § 100.3 [B] [3]). As we have explained, "respect for the judiciary is better fostered by temperate conduct, not by hot-headed reactions" (*Matter of Cerbone*, 61 NY2d 93, 96 [1984]).

[1] Here, the record is replete with evidence supporting the Commission's determination that, on numerous occasions, petitioner acted impatiently, raised his voice, and made demeaning and insulting remarks, often in open court. In so doing, he violated his obligation to treat those appearing before him with dignity and respect. In addition, as the Commission concluded, petitioner "abuse[d] [his] judicial power" when he twice struck witness testimony and dismissed petitions for insufficient proof as a result of counsel's reflexive use of the word "okay."

We cannot agree that petitioner's transgressions constituted, at most, "harmless" legal errors that should not serve as grounds for misconduct charges. As a threshold matter, a judge must respect and comply with the law, be faithful to it, and competent in it (*see* §§ 100.2 [A]; 100.3 [B] [1]). In *Matter of Jung (State Commn. on Jud. Conduct)*, this Court reiterated that legal error and misconduct "are not necessarily mutually exclusive," and further explained that "a pattern of fundamental legal error may be 'serious misconduct' " (11 NY3d 365, 373 [2008], quoting *Matter of Reeves*, 63 NY2d 105, 109 [1984]). As described above, such a pattern was established here. Moreover, petitioner's failure to afford litigants the right to be heard before imposing counsel fees implicates a fundamental right (*see Matter of Jung*, 11 NY3d at 372-373 ["(t)he right to be heard is fundamental to our system of justice"]; *see also* § 100.3 [B] [6] [judges must "accord to every person who has a legal interest in a proceeding, or that person's lawyer, the right to be heard"]).[1] In any event, *Matter of Jung* did not establish that errors of law—particularly when coupled with circumstances evincing a willful disregard for the proper administration of justice, as in the present matter—can never rise to the level of misconduct so long as no fundamental right is impacted.

Petitioner's reliance on *Matter of Richter* (42 NY2d [aa] [1977]) is unpersuasive. There, it was alleged that a City Court Judge was intemperate and exceeded his authority by sentencing a criminal defendant in the absence of counsel and without providing notice that the sentencing was to be held earlier than scheduled. However, later that day, the Judge recognized the error, vacated the sentence, and resentenced the defendant

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1. Upon our independent review of the record, and according due deference to the credibility determinations of the Commission (*see Matter of Going*, 97 NY2d 121, 124 [2001]), we conclude that the record amply supports the Commission's determination that petitioner did, in fact, award counsel fees without providing the party ordered to pay those fees an opportunity to be heard, which practice contravened the applicable rules governing the award of costs and sanctions (*see* 22 NYCRR 130-1.1 [a], [d]).

in proper fashion. The Court on the Judiciary of New York[2] declined to sustain a charge of misconduct, reasoning that the "error was one of sheer inadvertence" and "was harmless" (*id.* at [cc]). In contrast, petitioner's failure to observe and follow the law resulted in substantial and unjustifiable adverse consequences for the parties that went uncorrected—namely the dismissal of their petitions and the imposition of fee awards. On this record, we conclude that the charges against petitioner are sustained by the evidence.

Turning to petitioner's challenge to the sanction of removal, this Court may "accept or reject the sanction determined by the commission, impose a different sanction, or impose no sanction at all" (*Matter of Cunningham*, 57 NY2d 270, 274 [1982]; *see* NY Const, art VI, § 22 [d]; Judiciary Law § 44 [7]; *see also Matter of Marshall*, 8 NY3d 741, 743 [2007]). We have explained that "[t]he purpose of judicial disciplinary proceedings is not punishment but the imposition of sanctions where necessary to safeguard the Bench from unfit incumbents" (*Matter of Duckman*, 92 NY2d 141, 152 [1998] [internal quotation marks omitted]). "The actual levels of discipline to be imposed by the Court for judicial misconduct are, in the end, institutional and collective judgment calls," which "rest on [the Court's] assessment of the individual facts of each case, as measured against the Code and Rules of Judicial Conduct and the prior precedents of this Court" (*id.* [internal quotation marks omitted]; *see Matter of Simon [State Commn. on Jud. Conduct]*, 28 NY3d 35, 37 [2016]).

This Court has long emphasized that "[r]emoval is an extreme sanction and should be imposed only in the event of truly egregious circumstances" (*Matter of Cunningham*, 57 NY2d at 275). The sanction of removal "should not be ordered for conduct that amounts simply to poor judgment, or even extremely poor judgment" (*id.*). However, "the truly egregious standard is measured with due regard to the fact that Judges must be held to a higher standard of conduct than the public at large" (*Matter of Going*, 97 NY2d at 127 [internal quotation marks omitted]; *see Matter of Ayres [New York State Commn. on Jud. Conduct]*, 30 NY3d 59, 64 [2017]). Thus,

> "the severe sanction of removal is warranted where a jurist has exhibited a pattern of injudicious

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2. The Court on the Judiciary was an ad hoc judicial disciplinary body that was abolished, pending resolution of those cases which had already been commenced before it, when the present Commission was created (*see* NY Const, art VI, § 22 [j]).

> behavior . . . which cannot be viewed as acceptable conduct by one holding judicial office . . . or an abuse of the power of his office in a manner that . . . has irredeemably damaged public confidence in the integrity of [the judge's] court" (*Matter of Jung*, 11 NY3d at 374 [internal quotation marks omitted]).

"Whether a judge's behavior crosses the line of what constitutes 'truly egregious' conduct is a fact-specific inquiry because '[j]udicial misconduct cases are, by their very nature, sui generis' " (*Matter of Ayres*, 30 NY3d at 64, quoting *Matter of Blackburne [State Commn. on Jud. Conduct]*, 7 NY3d 213, 219-220 [2006]).

[2] Here, petitioner's comments in open court were intemperate and inconsistent with appropriate judicial demeanor. In addition, his sustained pattern of inappropriate behavior evinced a lack of understanding of his role as a judge—most notably by disregarding the law and impinging on the fundamental right to be heard—thus eroding the public's trust and confidence in the integrity of the judiciary. Critically, petitioner's "misconduct was significantly compounded by [his] persistent failure to cooperate with the Commission investigation" (*Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56, 60 [2003]; *see Matter of Cooley*, 53 NY2d 64, 66 [1981]).[3] In that regard, petitioner maintains that his underlying conduct, standing alone, would ordinarily result in no more than a censure, and that his failure to cooperate fully with the Commission's investigation should not elevate the sanction to removal. We reject this argument. This Court will not overlook the entirety of a judge's behavior and the extent to which it "qualif[ies] *in*

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3. Petitioner's "prior censure further supports the finding that [his] future retention of office is inconsistent with the fair and proper administration of justice" (*Matter of Kuehnel v State Commn. on Jud. Conduct*, 49 NY2d 465, 470 [1980]). Notably, the misconduct underlying this proceeding began within one year of the prior censure. While petitioner discounts the significance of that censure on the basis that it involved dissimilar conduct, this Court has explained that "[t]he mere existence of a prior censure would be noteworthy regardless of whether it was related to the instant misconduct" and "a heightened awareness of and sensitivity to any and all ethical obligations would be expected of any judge after receiving a public censure" (*Matter of Doyle [State Commn. on Jud. Conduct]*, 23 NY3d 656, 662 [2014]). "Petitioner's failure to exercise that vigilance within just a year of h[is] prior discipline is persuasive evidence that [ ]he lacks the judgment necessary to h[is] position" (*id.*).

the aggregate to the level and quality of egregiousness that merit[s] the ultimate discipline of removal" (*Matter of Roberts*, 91 NY2d 93, 95 [1997] [emphasis added]). The power of the Commission to investigate allegations of misconduct lodged against judges is derived from the State Constitution and statute (*see* NY Const, art VI, § 22; Judiciary Law art 2-A). Indeed, it is well settled that, when a judge fails to cooperate with an investigation of the Commission—which is vested with the statutory authority to "require the appearance of the judge involved before it" (Judiciary Law § 44 [3]; *see* 22 NYCRR 7000.3 [e])—that dereliction can be a significant aggravating factor in determining the appropriate sanction for misconduct (*see Matter of Mason*, 100 NY2d at 60; *see Matter of Cooley*, 53 NY2d at 66).

The Rules provide that a judge "should participate in establishing, maintaining and enforcing high standards of conduct, and shall personally observe those standards so that the integrity and independence of the judiciary will be preserved" (§ 100.1). Judges are also charged with promoting public confidence in the integrity of the judiciary through their own respect for the law (§ 100.2 [A]). Public confidence in the integrity of the judiciary has long been recognized as essential to its vitality as well as our overall system of government (*see generally United States v Lee*, 106 US 196, 223 [1882]). If the public trust in the judiciary is to be maintained, as it must, those who don the robe and assume the role of arbiter of what is fair and just must do so with an acute appreciation both of their judicial obligations and of the Commission's constitutional and statutory duties to investigate allegations of misconduct (*see* NY Const, art VI, § 22; Judiciary Law art 2-A). In short, willingness to cooperate with the Commission's investigations and proceedings is not only required—it is essential. Here, in addition to a sustained pattern of inappropriate behavior in the courtroom, petitioner repeatedly failed to appear before the Commission, and engaged in other conduct demonstrating his unwillingness to cooperate fully with the investigation. Under all of the relevant circumstances, and considering petitioner's conduct as a whole, we conclude that the determined sanction of removal is warranted. Petitioner's remaining contentions lack merit.

Accordingly, the determined sanction should be accepted, without costs, and Terrence C. O'Connor removed from the office of Judge of the Civil Court of the City of New York, Queens County.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur in per curiam opinion.

Determined sanction accepted, without costs, and Terrence C. O'Connor removed from the office of Judge of the Civil Court of the City of New York, Queens County.

[112 NE3d 851, 87 NYS3d 545]

In the Matter of Leticia D. Astacio, a Judge of the Rochester City Court, Monroe County, Petitioner; New York State Commission on Judicial Conduct, Respondent.

Argued September 5, 2018; decided October 16, 2018

SUMMARY

Proceeding, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated April 23, 2018. The Commission determined that petitioner should be removed from the office of Judge of the Rochester City Court, Monroe County.

HEADNOTES

Judges — Disciplinary Proceedings — Bias of Commission on Judicial Conduct

1. A determination of respondent Commission on Judicial Conduct to remove petitioner Judge from office was not tainted by the comments of the Chair of the Commission, who questioned petitioner's avowed respect for the Commission by referencing comments purportedly made by the petitioner, which were not in the record. Petitioner failed to point to evidence of a nexus between respondent's decision and any alleged bias of the Chair of the Commission. The Chair assured petitioner and her counsel at the hearing that respondent would be scrupulous in limiting itself to the record. Respondent further emphasized in its determination that its decision was based solely on the evidence adduced at the hearing and the arguments presented. A review of the record indicated it was bereft of any causal relationship between the Chair's comments, alleged bias, and respondent's decision to remove.

Judges — Removal from Office — Appropriateness of Sanction

2. The determination of respondent State Commission on Judicial Conduct that petitioner Judge should be removed from office was accepted. The circumstances spanning petitioner's collective misconduct qualified as egregious, warranting removal. Petitioner was convicted for a misdemeanor offense of driving while intoxicated, for which she was sentenced to a one-year conditional discharge (*see* 22 NYCRR 100.2 [A]). She was discourteous (*see* 22 NYCRR 100.4 [A] [2]), sought preferred treatment from the arresting officers (*see* 22 NYCRR 100.2 [C]), and violated the terms of her conditional discharge. Moreover, petitioner failed to disqualify herself from presiding over the arraignment of a former client and attempted to exercise her discretion to have his case transferred in a manner which she thought might benefit him (*see* 22 NYCRR 100.3 [E] [1] [a] [i]). On other occasions, petitioner made discourteous, insensitive, and undignified comments before counsel and litigants in court (*see* 22 NYCRR 100.3 [B] [3]). Given petitioner's lack of insight into the gravity and impact of her behavior on both public perception of her fitness to perform her duties and on the judiciary overall, any rupture to the public's confidence could not be repaired.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Federal Courts §§ 65, 70, 84, 87, 89; AM JUR 2d Judges §§ 19, 137, 154.

CARMODY-WAIT 2d Officers of Court §§ 3:89–3:90, 3:107–3:108, 3:145, 3:148–3:151.

MCKINNEY'S, Judiciary Law § 44; NY Const, art VI, § 22.

22 NYCRR 100.2 (A); (C); 100.3 (B) (3); (E) (1) (a) (i).

NY JUR 2d Courts and Judges §§ 357, 360, 362, 387, 417, 439, 444–448.

ANNOTATION REFERENCE

Disciplinary action against judge on ground of abusive or intemperate language or conduct toward attorneys, court personnel, or parties to or witnesses in actions, and the like. 89 ALR4th 278.

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POINTS OF COUNSEL

Robert F. Julian, P.C., Utica (*Robert F. Julian* of counsel), for petitioner. I. The Commission on Judicial Conduct proceeding was unfair. II. The petitioner has acknowledged that her conduct was inappropriate and that she should be disciplined. III. Petitioner should be censured but not removed. (*Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Cunningham*, 57 NY2d 270; *Matter of Steinberg*, 51 NY2d 74; *Matter of Shilling*, 51 NY2d 397; *Matter of Duckman*, 92 NY2d 141; *Matter of Esworthy*, 77 NY2d 280; *Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286.)

Robert H. Tembeckjian, Commission on Judicial Conduct, Albany (*Edward Lindner, John J. Postel* and *David M. Duguay* of counsel), for respondent. I. Petitioner committed judicial misconduct when she operated her motor vehicle while intoxicated, was rude and hostile to law enforcement, asserted her judicial office for personal benefit and twice violated the terms of her conditional discharge. (*Matter of Mazzei*, 81 NY2d 568; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *People v Washington*, 23 NY3d 228; *Matter of Suf-*

folk County Dept. of Social Servs., on Behalf of Michael V. and Another, v James M., 83 NY2d 178; *S.T. Grand, Inc. v City of New York*, 32 NY2d 300; *Matter of Edwards*, 67 NY2d 153; *Matter of Lonschein*, 50 NY2d 569; *Matter of Backal*, 87 NY2d 1.) II. Petitioner committed judicial misconduct when she presided over the arraignment of a former client and made discourteous, insensitive, and undignified comments from the bench in three criminal matters. (*Matter of Esworthy*, 77 NY2d 280; *Matter of Cohen*, 74 NY2d 272; *Matter of Romano*, 93 NY2d 161; *Matter of LaBombard [State Commn. on Jud. Conduct]*, 11 NY3d 294.) III. The Commission on Judicial Conduct proceeding was fair and unbiased. (*Matter of Warder v Board of Regents of Univ. of State of N.Y.*, 53 NY2d 186; *Matter of Simpson v Wolansky*, 38 NY2d 391; *Matter of Daxor Corp. v State of N.Y. Dept. of Health*, 90 NY2d 89; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386.) IV. Petitioner should be removed from office. (*Matter of Simon [State Commn. on Jud. Conduct]*, 28 NY3d 35; *Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658; *Matter of Going*, 97 NY2d 121; *Matter of Restaino [State Commn. on Jud. Conduct]*, 10 NY3d 577; *People v Washington*, 23 NY3d 228; *Matter of Assini*, 94 NY2d 26; *Matter of Ayres [New York State Commn. on Jud. Conduct]*, 30 NY3d 59; *Matter of Bauer*, 3 NY3d 158; *Matter of Aldrich v State Commn. on Jud. Conduct*, 58 NY2d 279; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386.)

OPINION OF THE COURT

Per Curiam.

After sustaining six charges of misconduct involving petitioner Leticia D. Astacio's behavior both on and off the bench, the State Commission on Judicial Conduct has recommended that petitioner be removed from her judicial office as a Judge of the Rochester City Court, Monroe County. Petitioner does not challenge the Commission's findings of fact and determination to sustain all charges of misconduct. Rather, she asks us to reduce the sanction from removal to censure (*see* NY Const, art VI, § 22 [d]; Judiciary Law § 44 [7]). We accept the Commission's sanction of removal.

The Commission unanimously concluded, and petitioner concedes, that her actions violated sections 100.1, 100.2 (A); 100.2 (C); 100.3 (B) (3); (E) (1) (a) (i) and 100.4 (A) (2) of the Rules Governing Judicial Conduct (22 NYCRR part 100). The Rules prescribe that judges must "participate in establishing, maintaining and enforcing high standards of conduct" for themselves and others to preserve "the integrity and independence of the judiciary" (22 NYCRR 100.1). Moreover, judges must "respect and comply with the law" and behave at all times in a way that furthers "public confidence in the integrity and impartiality of the judiciary" (22 NYCRR 100.2 [A]) and does not "detract from the dignity of judicial office" (22 NYCRR 100.4 [A] [2]). To that end, it is improper to "lend the prestige of judicial office to advance the private interests of the judge or others" (22 NYCRR 100.2 [C]). When acting in an official capacity, a judge must be "patient, dignified and courteous to . . . [all] with whom the judge deals" and "shall require similar conduct of lawyers . . . and others subject to the judge's direction and control" (22 NYCRR 100.3 [B] [3]). Moreover, in any "proceeding in which the judge's impartiality might reasonably be questioned," a judge must disqualify herself, including where "the judge has a personal bias . . . concerning a party" (22 NYCRR 100.3 [E] [1] [a] [i]).

Petitioner's misconduct in her personal activities stemmed from her conviction for a misdemeanor offense of driving while intoxicated, for which she was sentenced to a one-year conditional discharge (*see* 22 NYCRR 100.2 [A]). She was discourteous (*see* 22 NYCRR 100.4 [A] [2]), sought preferred treatment from the arresting officers (*see* 22 NYCRR 100.2 [C]), and violated the terms of her conditional discharge by ignoring orders of the court and leaving the country for an extended vacation without notice to the court or her lawyer (*see* 22 NYCRR 100.2 [A]). After a hearing on her second violation of her conditional discharge, petitioner's conditional discharge was revoked, and she was re-sentenced to 60 days' incarceration and three years' probation.

Petitioner also violated the Rules Governing Judicial Conduct in the course of exercising her judicial duties when she failed to disqualify herself from presiding over the arraignment of a former client and attempted to exercise her discretion to have his case transferred in a manner which she thought might benefit him (*see* 22 NYCRR 100.3 [E] [1] [a] [i]). On other occasions, petitioner made discourteous, insensitive, and undignified comments before counsel and litigants in court (*see* 22 NYCRR 100.3 [B] [3]).

[1] Initially, we find that petitioner's challenge to her sanction based on the propriety of her hearing before the Commission lacks merit. At the hearing, the Chair questioned petitioner's avowed respect for the Commission by referencing comments purportedly made by the petitioner, which were not in the record. Petitioner contends that those comments reflected the Chair's bias and tainted the Commission's decision to remove her. While it is true that the Commission must adhere to the record in reaching its decision (*see Matter of Simpson v Wolansky*, 38 NY2d 391, 396 [1975] [administrative agencies may not base their decisions on "evidence or information outside the record"]), here, petitioner fails to point to evidence of a nexus between the Commission's decision and any alleged bias (*see Matter of Warder v Board of Regents of Univ. of State of N.Y.*, 53 NY2d 186, 197-198 [1981], *cert denied* 454 US 1125 [1981]).

In fact, the Chair assured petitioner and her counsel at the hearing that the Commission would be "scrupulous" in limiting itself to the record. The Commission further "emphasize[d] [in its determination] that [its] decision [wa]s based solely on the evidence adduced at the hearing and the arguments presented." Our review of the record does not reveal otherwise, as it is bereft of any evidence of a causal relationship between the Chair's comments, alleged bias, and the Commission's decision to remove[1] (*see Matter of Daxor Corp. v State of N.Y. Dept. of Health*, 90 NY2d 89, 101 [1997] [upholding a determination allegedly resulting from bias because the record demonstrated "independent reasons that fully support appellant's determination"]).

As to the appropriate sanction, we note that "[j]udicial misconduct cases are, by their very nature, sui generis" (*Matter of Blackburne [State Commn. on Jud. Conduct]*, 7 NY3d 213, 219-220 [2006]). To that end, this Court "ha[s] never implied that removal is limited to those categories of cases that have formerly come before us" (*id.*). While "[t]he ultimate sanction of removal typically is 'reserved for truly egregious circumstances that extend beyond the limits of even extremely poor judgment' . . . it must also be kept in mind 'that the truly egregious standard is measured with due regard to the higher standard of conduct to which judges are held' " (*Matter of Simon [State Commn. on Jud. Conduct]*, 28 NY3d 35, 37-38 [2016], quoting *Matter of Restaino [State Commn. on Jud. Conduct]*, 10 NY3d 577, 589, 590 [2008] [some internal quotation marks and citations omitted]).

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1. Indeed, as the Commission noted, its decision was *more* favorable to petitioner than the referee's initial findings given the Commission's refusal to sustain certain allegations underlying one of the charges.

[2] Here, the circumstances spanning petitioner's collective misconduct qualify as egregious. Specifically, petitioner's judicial role exacerbated her already "very serious crime" of driving while intoxicated (*People v Washington*, 23 NY3d 228, 231 [2014] [internal quotation marks and citation omitted]) and "undermine[d] [her] effectiveness as a judge" responsible for applying drunk driving laws to others (*Matter of Stelling*, 2002 WL 31267502, *1-2 [NY St Commn on Jud Conduct, Oct. 1, 2002]). Likewise, magnifying the impact of her DWI conviction and attendant behavior, the record reflects that petitioner appeared to invoke her judicial office to pressure the police to cease processing her arrest (*see Matter of LaBombard [State Commn. on Jud. Conduct]*, 11 NY3d 294, 298 [2008]; *see also Matter of Edwards*, 67 NY2d 153, 154-155 [1986] [it is "irrelevant" whether a judge overtly requests "favorable treatment or special consideration"]).

Petitioner's behavior at a former client's arraignment, moreover, conveyed the "appearance of favoritism" which was compounded by her decision to exercise her discretion in his favor (*LaBombard*, 11 NY3d at 298); *see also Matter of Duckman*, 92 NY2d 141, 153 [1998] ["(T)he perception of impartiality is as important as actual impartiality"]). Similarly, regardless of her intent, petitioner's repeated failure to speak in a dignified manner with defendants, sheriff's deputies, and attorneys demonstrated a lack of "respect toward everyone who appears in a court" (*Matter of Romano*, 93 NY2d 161, 164 [1999]; *see also Matter of Ayres [New York State Commn. on Jud. Conduct]*, 30 NY3d 59, 66 [2017] [rejecting claim that "snarky language" was taken out of context]; *Duckman*, 92 NY2d at 153 [rejecting argument that "actual impartiality" counteracted any perceived biases]).

As we have recently stated, "[t]he inability to recognize the seriousness of one's misconduct and the failure to heed a prior warning are significant aggravating factors, and can be grounds for removal as well" (*Ayres*, 30 NY3d at 64). We find that the aggravating circumstances here outweigh any mitigating factors (*see Matter of Rater*, 69 NY2d 208, 209 [1987]). Although petitioner has expressed some contrition and initially took productive steps in response to her DWI arrest, we are unpersuaded that petitioner has genuinely accepted personal responsibility. To the contrary, she continues to point to external factors and justifications as excuses for her behavior. Although we do not expect petitioner to "adopt a posture of obeisance," we do require that she adequately "recognize wrongdoing in order to forestall the inevitable, unfortunate conclusion that, absent a harsher sanction, more of the same will ensue" (*Matter of Hart [State Commn. on Jud. Conduct]*, 7 NY3d 1, 11 [2006]). Here, petitioner's justifications for her conduct indicate she does not truly recognize the essential role her own decisions played in bringing about her current predicament.

Moreover, petitioner ignored multiple prior warnings about the consequences of her continued drinking and failure to comply with her conditional discharge, including that she was subject to revocation of her conditional discharge and resentencing (*see Ayres*, 30 NY3d at 64). Petitioner's decision to engage in a pattern of alcohol-related misconduct and seeming inattention to the court's warning[2] offsets her initial laudable efforts to seek substance abuse evaluation and treatment (*see Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386, 392 [1981] [emphasizing as an aggravating factor that "a prior admonition for similar conduct proved ineffective"]; *see also Matter of Simpson Burke*, 2009 WL 5212133,*3 [NY St Commn on Jud Conduct, Dec. 15, 2009] [considering in alcohol-related cases "whether the conduct was an isolated instance or part of a pattern"]).

We cannot view petitioner's actions and the appropriate sanction through a limited prism but must instead consider the full spectrum of her behavior and its impact on public perception of the judiciary (*see Matter of Kuehnel v State Commn. on Jud. Conduct*, 49 NY2d 465, 468-469 [1980]; *Matter of Reeves*, 63 NY2d 105, 111 [1984] [the purpose of the sanction is broader than individual "punishment"]; *see also* 22 NYCRR 100.2 [A]). Significantly, we must consider whether the public has "irretrievably lost confidence in [petitioner's] ability to properly carry out [her] constitutionally-mandated responsibilities in a fair and just manner" (*Restaino,* 10 NY3d at 590; *see also Matter of Esworthy*, 77 NY2d 280, 282-283 [1991]). Given petitioner's apparent lack of insight into the gravity and impact of her

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2. While petitioner may be correct that there is no specific condition listed in the conditional discharge prohibiting international or out-of-state travel or explicitly mandating she report a three-month vacation as a "change of address," it cannot be ignored that petitioner's one-way ticket was purchased only two days after yet another failed blow on the ignition interlock device and that her travel caused her inability to comply with the court-ordered alcohol testing.

behavior on both public perception of her fitness to perform her duties and on the judiciary overall, we conclude that any rupture in the public's confidence cannot be repaired.

Accordingly, the determined sanction should be accepted, without costs, and Leticia D. Astacio removed from the office of Judge of Rochester City Court, Monroe County.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur in per curiam opinion.

Determined sanction accepted, without costs, and Leticia D. Astacio removed from the office of Judge of Rochester City Court, Monroe County.

[112 NE3d 1219, 88 NYS3d 96]

DEUTSCHE BANK NATIONAL TRUST COMPANY, Solely in its Capacity as Trustee for the HARBORVIEW MORTGAGE LOAN TRUST SERIES 2007-7, Appellant, v FLAGSTAR CAPITAL MARKETS CORPORATION, Defendant, and QUICKEN LOANS, INC., Respondent.

Argued September 6, 2018; decided October 16, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 11, 2016. The Appellate Division affirmed so much of an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 2015 NY Slip Op 31787[U] [2015]), as had granted defendant Quicken Loans, Inc.'s motion to dismiss the breach of contract claim as time-barred. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by this Court, properly made?"

Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts. Corp., 143 AD3d 15, affirmed.

HEADNOTES

Limitation of Actions — When Cause of Action Accrues — Breach of Contract Action Based on Defective Mortgage Loans — Contractual Provision Postponing Accrual — Substantive Condition Precedent to Suit

1. Plaintiff trustee's action alleging that defendant breached the parties' contract by selling defective mortgage loans that did not comply with the representations and warranties made therein accrued on the closing date of the loans more than six years earlier and was therefore time-barred, as the contract's "accrual clause" did not create a substantive condition precedent to suit requiring satisfaction of certain conditions before accrual of a breach of contract claim. The accrual clause itself referred to a "breach" of the representations and warranties, and the contract nowhere suggested that defendant's transfer of loans that did not comply with the representations and warranties was not a "breach" of the contract. Rather, the contract stated that defendant's obligations to cure or repurchase a defective mortgage loan constituted plaintiff's "sole remedies" for "a breach of the . . . representations and warranties." Thus, according to the contract, the failure of the loans to comply with the representations and warranties on the date of transfer was a breach of the contract, and defendant's obligation to cure or repurchase defective loans constituted plaintiff's sole remedy for such a breach. There is a difference between a demand that is a condition to a party's performance, and a demand that seeks a remedy for a preexisting wrong. Pursuant to the contract, the relevant performance was defendant's transfer of loans that

complied with the representations and warranties in the contract, while the cure or repurchase protocol merely set forth the remedy for a breach.

Limitation of Actions — When Cause of Action Accrues — Breach of Contract Action Based on Defective Mortgage Loans — Contractual Provision Postponing Accrual

2. In plaintiff trustee's action alleging that defendant breached the parties' contract by selling defective mortgage loans that did not comply with the representations and warranties made therein, the contract's "accrual clause" purporting to postpone accrual of a breach of contract claim until satisfaction of certain conditions was unenforceable. Although contracting parties may agree to a shorter limitations period, public policy restricts their ability to make an agreement extending the statutory period before a claim accrues. Therefore, if an agreement to waive or extend the statute of limitations is made at the inception of liability it is unenforceable because a party cannot in advance make a valid promise that a statute founded in public policy shall be inoperative. The "accrual clause" was in form or effect a contract to extend the period as provided by statute or to postpone the time from which the period of limitation was to be computed. Moreover, General Obligations Law § 17-103 (1) requires an agreement to extend the statute of limitations to be made "after the accrual of the cause of action," and allows extension of the limitations period only for, at most, the time period that would apply if the cause of action had accrued on the date of the agreement. In addition, CPLR 201 provides that an action must be commenced within the statutory time period, "unless a different time is prescribed by law or a shorter time is prescribed by written agreement," and that courts shall not "extend the time limited by law for the commencement of an action." The public policy represented by the statute of limitations, CPLR 201, and General Obligations Law § 17-103 would be effectively abolished if contracting parties could circumvent it by postponing the time from which the period of limitation is to be computed.

Limitation of Actions — When Cause of Action Accrues — Breach of Contract Action — Contractual Provision Postponing Accrual Unenforceable

3. To the extent contracting parties intend, at the inception of the contract and before the contract has been breached, to postpone accrual of a breach of contract cause of action to a subsequent uncertain date, an accrual clause may not serve to extend the statute of limitations in that way. When the public policy favoring freedom to contract and the public policy prohibiting extensions of the limitations period before accrual of the cause of action come into conflict, the latter must prevail, inasmuch as the parties to a contract are basically free to make whatever agreement they wish only absent some violation of law or transgression of a strong public policy.

RESEARCH REFERENCES

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AM JUR 2d Limitation of Actions §§ 82, 116, 126, 127, 131, 139.

CARMODY-WAIT 2d Limitation of Actions §§ 13:221–13:223, 13:242.

MCKINNEY'S, CPLR 201; General Obligations Law § 17-103 (1).

NY JUR 2d Limitations and Laches §§ 39, 61, 62, 142, 332, 333.

SIEGEL, NY PRAC §§ 39, 40.

WILLISTON ON CONTRACTS (4th ed) § 79:14.

ANNOTATION REFERENCE

See ALR Index under Accrual of Cause of Action; Limitation of Actions.

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Query: “accrual clause” /s “condition precedent” & “public policy”

POINTS OF COUNSEL

Lowenstein Sandler LLP, New York City (*Zachary D. Rosenbaum* and *Michael J. Hampson* of counsel), and *Friedman, Kaplan, Seiler & Adelman LLP*, New York City (*Robert S. Smith* of counsel), for appellant. I. The accrual clause should be enforced as written. (*R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29; *Signature Realty, Inc. v Tallman*, 2 NY3d 810; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Morlee Sales Corp. v Manufacturers Trust Co.*, 9 NY2d 16; *J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Shapley v Abbott*, 42 NY 443.) II. The plain language of the accrual clause creates a substantive condition precedent. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *John J. Kassner & Co., Inc. v City of New York*, 46 NY2d 544; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16; *Great Canal Realty Corp. v Seneca Ins. Co., Inc.*, 5 NY3d 742; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *Fisher v Mayor of City of N.Y.*, 67 NY 73; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *American Bldg. Contrs. Assoc., Inc. v Mica & Wood Creations, LLC*, 23 AD3d 322.)

Jones Day, New York City (*Howard F. Sidman* and *Todd R.*

Geremia of counsel), and *Morganroth & Morganroth, PLLC*, Birmingham, Michigan (*Jeffrey B. Morganroth* of counsel), for Quicken Loans Inc., respondent. I. The First Department properly held that this Court's decision in *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015]) mandates dismissal of Deutsche Bank National Trust Company's action. (*Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Lehman XS Trust, Series 2006-4N v Greenpoint Mtge. Funding, Inc.*, 991 F Supp 2d 472; *Bank of N.Y. Mellon v WMC Mtge., LLC*, 28 NY3d 1039; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *John J. Kassner & Co., Inc. v City of New York*, 46 NY2d 544.) II. The General Obligations Law separately bars this action. (*John J. Kassner & Co., Inc. v City of New York*, 46 NY2d 544; *Shapley v Abbott*, 42 NY 443; *Lehman XS Trust, Series 2006-4N v Greenpoint Mtge. Funding, Inc.*, 991 F Supp 2d 472; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Bayridge Air Rights v Blitman Constr. Corp.*, 80 NY2d 777.)

Venable LLP, New York City (*Gregory A. Cross* of counsel), for LNR Partners, LLC and others, amici curiae. I. The accrual clause in the Second Amended and Restated Mortgage Loan Purchase and Warranties Agreement is precisely the carve-out language contemplated in *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015]). (*United States of America v Bedford Assoc.*, 657 F2d 1300; *Albunio v City of New York*, 23 NY3d 65; *J.P. Morgan Secs. Inc. v Vigilant Ins. Co.*, 21 NY3d 324; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396.) II. The First Department's limitations analysis is contrary to the basic structure of mortgage-backed securities. (*Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Kunstsammlungen Zu Weimar v Elicofon*, 678 F2d 1150; *Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16; *Frigi-Griffin, Inc. v Leeds*, 52 AD2d 805; *Menzel v List*, 22 AD2d 647; *Snyder v Town Insulation*, 81 NY2d 429; *LaSalle Bank N.A. v Lehman Bros. Holdings, Inc.*, 237 F Supp 2d 618; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *LaSalle Bank N.A. v Nomura Asset Capital Corp.*, 47 AD3d 103.) III. The misapplication of *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015]) by courts is causing the contractually negotiated restrictions and triggering conditions to be cast aside in commercial mortgage-backed securities transactions. (*US Bank, N.A. v UBS Real Estate Sec. Inc.*, 205 F Supp 3d 386.)

OPINION OF THE COURT

Fahey, J.

This case steps into an area of subtle interplay that exists between the freedom to contract and New York public policy. In *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015] [hereinafter *ACE*]), we held that a cause of action for breach of representations and warranties contained within a residential mortgage-backed securities contract accrued when the contract was executed because the representations and warranties were breached "if at all, on that date" (*id.* at 589). On this appeal, plaintiff contends that contractual language different from the language at issue in *ACE* either created a substantive condition precedent to suit or represented the clear intent of the parties to postpone commencement of the statutory limitations period until certain specified events had occurred. We conclude that no substantive condition precedent was created, and that to the extent the parties otherwise intended to delay the commencement of the limitations period, their attempt to do so was inconsistent with New York law and public policy. The lower courts therefore correctly concluded that plaintiff's action was untimely.

I.

Defendant Quicken Loans, Inc. was the originator of certain mortgage loans that it sold to nonparty Morgan Stanley Mortgage Capital, Inc. pursuant to a contract entitled "Second Amended and Restated Mortgage Loan Purchase and Warranties Agreement" (MLPWA), dated June 1, 2006. Pursuant to a series of subsequent agreements, the loans were eventually sold to the HarborView Mortgage Loan Trust 2007-7 (the Trust) for the purpose of issuing residential mortgage-backed securities. Plaintiff Deutsche Bank National Trust Company serves as trustee of the Trust. It is undisputed that defendant's obligations and the rights of Morgan Stanley Mortgage Capital, Inc. under the MLPWA are enforceable by plaintiff as trustee on behalf of the Trust.

In sections 9.01 and 9.02 of the MLPWA, defendant made a series of representations and warranties concerning itself, the transaction, and the characteristics and quality of the mortgage loans it was conveying. The representations and warranties concerning the individual mortgage loans were made “as of the related Closing Date for such Mortgage Loan.” The parties agree that the loans were sold in groups, and that the closing date for each group of loans occurred between December 7, 2006 and May 31, 2007. The MLPWA also contained a “sole remedy” provision, which provided that in the event of a breach of the representations and warranties, the purchaser’s sole remedy was defendant’s obligation to cure or repurchase a nonconforming loan.

In 2013, a certificateholder engaged an underwriting firm to review a sample of the mortgage loans and determine whether they complied with defendant’s representations and warranties. According to the complaint, many of the loans reviewed did not conform to the representations and warranties, such as those concerning borrower income, debt-to-income ratios, and occupancy status.

Plaintiff commenced this action against defendant on August 30, 2013, by filing a summons with notice.[1] Plaintiff’s complaint was filed on February 3, 2014. As relevant here, plaintiff alleged that defendant breached the MLPWA by selling defective mortgage loans that did not comply with the representations and warranties. Defendant subsequently moved to dismiss the complaint, arguing, inter alia, that plaintiff’s action was time-barred by the six-year statute of limitations applicable to breach of contract actions because it was commenced more than six years after the closing date for the sale of each package of mortgage loans, the most recent of which occurred on May 31, 2007 (*see* CPLR 213 [2]).

In opposition to the motion, plaintiff did not dispute that the representations and warranties made by defendant in the MLPWA were effective as of the closing date. Instead, plaintiff argued that the statute of limitations had yet to lapse, relying upon a provision in the MLPWA that it refers to as the “accrual clause,” which states as follows:

> “Any cause of action against the Seller relating to or arising out of the breach of any representations and warranties made in Subsections 9.01 and 9.02

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1. The summons with notice also named Flagstar Capital Markets Corporation as a defendant, but plaintiff later voluntarily discontinued its claims against Flagstar, and Flagstar is not a party to this appeal.

> shall accrue as to any Mortgage Loan upon (i) discovery of such breach by the Purchaser or notice thereof by the Seller to the Purchaser, (ii) failure by the Seller to cure such breach, substitute a Qualified Substitute Mortgage Loan or repurchase such Mortgage Loan as specified above and (iii) demand upon the Seller by the Purchaser for compliance with this Agreement."

Supreme Court, among other things, granted defendant's motion to dismiss the breach of contract claim as untimely (2015 NY Slip Op 31787[U] [Sup Ct, NY County 2015]). The court held that any breach of defendant's representations and warranties concerning the individual mortgage loans occurred on the closing date of the loans, no later than May 31, 2007, and therefore plaintiff's breach of contract cause of action accrued no later than that date. The court further concluded that the accrual clause could not serve to extend the statute of limitations.[2]

On appeal, the Appellate Division affirmed insofar as appealed from (143 AD3d 15 [1st Dept 2016]). Relying on our decision in *ACE*, the Court held that the accrual clause did not create a substantive condition precedent or constitute a promise of future performance (*see id.* at 20-22). The Appellate Division further concluded that to the extent the parties intended for the accrual clause to delay accrual of the breach of contract cause of action, the accrual clause was unenforceable because it violates New York public policy (*see id.* at 20).

The Appellate Division granted plaintiff leave to appeal to this Court (2016 NY Slip Op 96056[U] [2016]). We now affirm.

II.

In New York, the default accrual rule for breach of contract causes of action is that the cause of action accrues when the contract is breached (*see ACE*, 25 NY3d at 593-594, citing *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399, 403-404 [1993]). "[E]xcept in cases of fraud where the statute expressly provides otherwise, the statutory period of limitations begins to run from the time when liability for wrong has arisen even though the injured party may be ignorant of the existence of the wrong or injury" (*Ely-Cruikshank Co.*, 81 NY2d at 403

2. Supreme Court also addressed several additional issues that are not raised by the parties before this Court.

[internal quotation marks omitted]). This Court has "repeatedly rejected accrual dates which cannot be ascertained with any degree of certainty, in favor of a bright line approach," and for that reason, we do not "apply the discovery rule to statutes of limitations in contract actions" (*ACE*, 25 NY3d at 593-594 [internal quotation marks omitted]). "To extend the highly exceptional discovery notion to general breach of contract actions would effectively eviscerate the Statute of Limitations in this commercial dispute arena" (*Ely-Cruikshank Co.*, 81 NY2d at 404).

We applied these rules in *ACE* to reject the plaintiff's contention that its breach of contract claims, which were also based on a breach of the representations and warranties in a residential mortgage-backed securities contract, did not accrue until the defendant failed to cure or repurchase the non-conforming loans. We concluded that the cure or repurchase protocol did not constitute a "separate promise of future performance" that could be breached at some later date because the cure or repurchase protocol was merely "the Trust's remedy for a breach of [the] representations and warranties, not a promise of the loans' future performance" (*ACE*, 25 NY3d at 594-595). We reasoned that

> "[i]f the cure or repurchase obligation did not exist, the Trust's only recourse would have been to bring an action against [the defendant] for breach of the representations and warranties. That action could only have been brought within six years of the date of contract execution. The cure or repurchase obligation is an alternative remedy, or recourse, for the Trust, but the underlying *act* the Trust complains of is the same: the quality of the loans and their conformity with the representations and warranties" (*id.* at 596).

We further rejected the plaintiff's argument that the cure or repurchase obligation "was a substantive condition precedent to suit that delayed accrual of the cause of action," observing that the plaintiff had "ignore[d] the difference between a demand that is a condition to a party's *performance*, and a demand that seeks a remedy for a preexisting wrong" (*id.* at 597). We explained that the defendant "breached the representations and warranties in the parties' agreement, if at all, the moment the [relevant contract] was executed," and therefore "[t]he Trust suffered a legal wrong at [that] moment" (*id.* at 597-598). At that moment, "a cause of action existed for breach of a representation and warranty; the Trust was just limited in its remedies for that breach," and "[h]ence, the condition was a procedural prerequisite to suit" (*id.* at 598).

If *ACE* is controlling here, plaintiff's cause of action based on a breach of the representations and warranties would have accrued on the "Closing Date" of the loans, i.e., the date that the representations and warranties concerning the underlying mortgage loans became effective. The six-year statutory limitations period therefore would begin to run, at the latest, on May 31, 2007, the closing date for the last group of loans. Plaintiff contends, however, that *ACE* does not control because the contract at issue in *ACE* did not contain an "accrual clause," which makes the present case distinguishable from *ACE* in two ways. First, plaintiff asserts that the accrual clause created a substantive condition precedent to suit. Second, plaintiff argues that the accrual clause expresses the clear intent of the parties to delay accrual of a breach of contract cause of action until the specified events had occurred, and that this Court should honor the intent of the parties, consistent with our public policy supporting freedom to contract. We address each argument in turn.

III.

Plaintiff does not dispute that, absent the language of the accrual clause, a breach of contract cause of action based on a breach of the representations and warranties would have accrued at the moment those representations and warranties were violated, i.e., on the closing date of the loans. Plaintiff contends, however, that because the accrual clause states that a cause of action against defendant arising from a breach of the representations and warranties "shall accrue" when, among other things, a demand upon defendant for compliance with the MLPWA is made, the demand is therefore by definition "part of the cause of action" (*ACE*, 25 NY3d at 597 [internal quotation marks omitted]), and the accrual clause created a substantive condition precedent. Plaintiff argues that defendant "therefore does not breach the contract, and no cause of action exists, unless [defendant] has an opportunity to investigate the loans and refuses to cure or repurchase them." In other words, plaintiff asserts that by using the phrase "shall accrue," the parties defined a breach of the contract not as the falsity of the representations and warranties alone, but as defendant's failure to cure or repurchase non-conforming loans after discovery or notice of the falsity and after plaintiff demands defendant's compliance with the MLPWA.

[1] We disagree with plaintiff's position that by using the phrase "shall accrue," the parties intended to define a breach of contract as defendant's failure to comply with the remedial provisions after discovery or notice of a violation of the representations and warranties and plaintiff's demand for compliance. Indeed, the accrual clause states that "[a]ny *cause of action* against the Seller relating to or arising out of *the breach of any representations and warranties* . . . shall accrue as to any Mortgage Loan upon" the events specified (emphasis added). The accrual clause itself refers to a "breach" of the representations and warranties, and the contract nowhere suggests that defendant's transfer of loans that do not comply with the representations and warranties is not a "breach" of the MLPWA. Rather, the MLPWA states that defendant's obligations to cure or repurchase a defective mortgage loan constitute plaintiff's "sole remedies" for "a breach of the foregoing representations and warranties." Thus, according to the MLPWA—including the accrual clause—the failure of the loans to comply with the representations and warranties on the date of transfer is a breach of the MLPWA, and defendant's obligation to cure or repurchase defective loans constitutes plaintiff's sole remedy for such a breach.

Plaintiff's argument that the accrual clause creates a substantive condition precedent therefore fails for the same reason as in *ACE*: plaintiff "ignores the difference between a demand that is a condition to a party's *performance*, and a demand that seeks a remedy for a preexisting wrong" (*ACE*, 25 NY3d at 597). Pursuant to the MLPWA, the relevant "performance" here is defendant's transfer of loans that complied with the representations and warranties in the MLPWA. As in *ACE*, the cure or repurchase protocol merely sets forth the *remedy* for a breach of the representations and warranties (*see ACE*, 25 NY3d at 597-598).

The accrual clause does not create a substantive condition precedent because no provision of the accrual clause creates a condition to defendant's performance under the contract: delivery of mortgage loans that comply with the representations and warranties. Defendant was obligated to deliver loans that complied with the representations and warranties at the moment the MLPWA was executed. Defendant therefore breached the representations and warranties, "if at all," on the closing date for each group of loans, because the representations and warranties with respect to each loan were either true or false on that date (*ACE*, 25 NY3d at 598). Nothing in the accrual clause created a condition to defendant's obligation to comply with the representations and warranties, and therefore nothing in the accrual clause created a substantive condition precedent to the relevant performance that plaintiff alleges was breached (*see ACE*, 25 NY3d at 597-598).

For these reasons, plaintiff's reliance on *John J. Kassner & Co. v City of New York* (46 NY2d 544 [1979]) is misplaced. In *Kassner*, the plaintiff was an engineering firm that entered into a contract with the City of New York for relocation of utility facilities (*see id.* at 547). The contract provided that the plaintiff would be paid "in percentage installments as the work progressed 'subject to audit and revision by the Comptroller' of the city" (*id.* at 547-548). The plaintiff's request for payment on the final installment was for the most part disallowed by the comptroller after its audit, and the results of that audit were communicated to the plaintiff no later than July 1968 (*see id.* at 548). This Court held that the plaintiff's cause of action for breach of contract based on the city's failure to make the final payment accrued no later than July 1968 because "the plaintiff's right to final payment and the city's obligation to pay were conditioned upon completion of the audit" (*id.* at 550).

Stated another way, the *Kassner* Court reasoned that the city had no obligation to pay, and the plaintiff therefore had no cause of action for breach of contract for failure to pay, until the comptroller's audit was complete (*see id.*). Audit by the comptroller was therefore a condition to the city's performance and constituted a substantive condition precedent. The plaintiff's cause of action for breach of contract "accrue[d] only when the condition ha[d] been fulfilled" (*id.*). Here, by contrast, nothing in the accrual clause created a condition to defendant's obligation to deliver loans that complied with the representations and warranties (*see Deutsche Bank Natl. Trust Co. v Quicken Loans Inc.*, 810 F3d 861, 866-867 [2d Cir 2015]; *see also Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765, 770-772 [2012]).

This conclusion does not end our inquiry. A substantive condition precedent impacts accrual of a breach of contract cause of action because no obligation to perform arises and no breach therefore occurs until the "condition has been fulfilled" (*Kassner*, 46 NY2d at 550; *see ACE*, 25 NY3d at 597-598). It is possible, however, that the language in the accrual clause expressed the contracting parties' intent to delay commencement of the limitations period notwithstanding that the clause does not create a substantive condition precedent. We therefore must examine whether the parties may postpone accrual in this way consistent with New York law and public policy.

IV.

Initially, defendant contends that despite the "shall accrue" language in the accrual clause, the contracting parties did not intend to delay accrual of a breach of contract cause of action arising from a breach of the representations and warranties. Rather, defendant asserts that the parties merely intended to create *procedural* conditions precedent to suit. Defendant contends that the breach of contract cause of action for breach of the representations and warranties accrued on the closing date of the loans, and the limitations period therefore began to run on that date, but that before plaintiff could commence suit for that breach, (i) plaintiff must discover the breach or defendant must provide notice of the breach; (ii) defendant must fail to cure or repurchase; and (iii) plaintiff must demand defendant's compliance with the MLPWA. According to defendant, the accrual clause merely sets forth the protocol for plaintiff's "remedy for a preexisting wrong" (*ACE*, 25 NY3d at 597).

Plaintiff, by contrast, contends that the accrual clause manifests the clear intent of the parties that a cause of action for a breach of the representations and warranties "comes into existence (accrues)—only after the conditions of the Accrual Clause are complete," meaning that the statute of limitations is not triggered until that time. We need not resolve this dispute regarding the meaning of the accrual clause, however, because assuming for the sake of argument that plaintiff's alternative interpretation is correct, the accrual clause cannot be enforced in that manner because it conflicts with New York law and public policy.

In *Kassner*, a different provision of the parties' contract provided that " '[n]o action shall be . . . maintained against the City upon any claim based upon this contract or arising out of this contract . . . unless such action shall be commenced within six (6) months after the date of filing in the office of the Comptroller of the City of the certificate for the final payment hereunder,' " and that " '[n]one of the provisions of Article 2 of the Civil Practice Laws and Rules shall apply to any action against the City arising out of this contract' " (*Kassner*, 46 NY2d at 548). As discussed above, the plaintiff learned of the results of the comptroller's audit no later than July 1968, and this Court held that the plaintiff had the right to final payment as of that date (*see id.* at 548-550). The certificate of final payment, however, was not filed in the comptroller's office until November 1974, after the plaintiff had collected the amount of the final payment that was undisputed (*see id.* at 548). The plaintiff argued that its action for payment of the disputed amount, commenced in April 1975, was timely because the contract expressly allowed the plaintiff to file suit within six months of the filing of the certificate of final payment (*see id.* at 548-549). In other words, the plaintiff contended that its breach of contract cause of action "did not accrue until the certificate of final payment had been filed" (*id.* at 549).

Supreme Court and the Appellate Division accepted the plaintiff's argument, but this Court reversed (*see id.*). The Court observed that the statute of limitations is not only a personal defense but also "expresses a societal interest or public policy 'of giving repose to human affairs' " (*id.* at 550, quoting *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427, 429 [1969]). Although contracting parties may therefore agree to a shorter limitations period, public policy restricts their ability to make an agreement extending the statutory period before a claim accrues (*see id.* at 550-551). We explained that "[i]f the agreement to waive or extend the Statute of Limitations is made at the inception of liability it is unenforceable because a party cannot[,] in advance, make a valid promise that a statute founded in public policy shall be inoperative" (*id.* at 551 [internal quotation marks omitted]). Furthermore, if the agreement to extend the statute of limitations "is made after the cause of action has accrued," it is enforceable only if it complies with the requirements of General Obligations Law § 17-103, which not only mandates that the agreement be made after the cause of action has accrued, but also allows renewal of the statute of limitations only "for the applicable period, unless a shorter period is specified" (*Kassner*, 46 NY2d at 551).

The Court acknowledged that the contract provision stating that the suit must be commenced within six months of the filing of the certificate of final payment likely was included to "shorten the Statute of Limitations," not lengthen it (*id.* at 552). Nevertheless, the Court held that to the extent the plaintiff sought to use the provision to postpone accrual of the cause of action, "since it was adopted at the inception of the contract and not after the cause of action had accrued, it may not serve to extend the Statute of Limitations" (*id.*).

Kassner is controlling here. As in *Kassner*, absent the language of the accrual clause insofar as plaintiff interprets it, the breach of contract cause of action would have accrued, and the limitations period would have started to run, at an earlier date. Like the plaintiff in *Kassner*, plaintiff here argues that certain contract language delayed accrual of the breach of contract cause of action for statute of limitations purposes to a later date, until specified events chosen by the parties have occurred. If, as plaintiff suggests, that was the intent of the parties, the accrual clause "may not serve to extend the Statute of Limitations" in this manner (*id.*).

[2] Plaintiff asserts that the accrual clause is valid because it does not "extend" the statute of limitations, inasmuch as the statutory period remains at six years from the contractually-chosen accrual date and no more. That assertion cannot be reconciled with our holding in *Kassner*. The plaintiff there argued that the accrual date was postponed until the specified event—there, filing of the certificate of final payment—had occurred (*id.* at 549). This Court framed the issue as whether "a contractual limitations clause, which begins to run at a later date than the time of accrual under the statute, [can] effectively extend the Statute of Limitations in an action on the contract" (*id.* at 549-550). The *Kassner* Court unequivocally held that it could not, explaining that " '[t]he public policy represented by the statute of limitations becomes pertinent where the contract not to plead the statute is in form or effect a contract to extend the period as provided by statute *or to postpone the time from which the period of limitation is to be computed*' " (*id.* at 551, quoting 1961 Rep of NY Law Rev Commn at 97-98, reprinted in 1961 McKinney's Session Laws of NY at 1871).

Plaintiff further contends that its interpretation of the accrual clause does not violate General Obligations Law § 17-103 because that statute does not expressly prohibit contract provisions defining an accrual date. We disagree. General Obligations Law § 17-103 (1) provides:

> "A promise to waive, to extend, or not to plead the statute of limitation applicable to an action arising out of a contract express or implied in fact or in law, if made after the accrual of the cause of action

> and made, either with or without consideration, in a writing signed by the promisor or his agent is effective, according to its terms, to prevent interposition of the defense of the statute of limitation in an action or proceeding commenced within the time that would be applicable if the cause of action had arisen at the date of the promise, or within such shorter time as may be provided in the promise."

Stated another way, the statute requires an agreement to extend the statute of limitations to be made "after the accrual of the cause of action," and it allows extension of the limitations period only for, at most, the time period that would apply if the cause of action had accrued on the date of the agreement, i.e., six years from the date that the agreement was made if the limitations period is six years (*id.*; *see Bayridge Air Rights v Blitman Constr. Corp.*, 80 NY2d 777, 779-780 [1992]). An agreement to extend the statute of limitations that does not comply with these requirements "has no effect" (General Obligations Law § 17-103 [3]). In addition, CPLR 201 provides that an action "must be commenced within the time specified in this article unless a different time is prescribed by law or a shorter time is prescribed by written agreement," and "[n]o court shall extend the time limited by law for the commencement of an action."

Absent the language of the accrual clause, a cause of action based on a breach of the representations and warranties would have been time-barred after May 31, 2013, six years from the last date that the representations and warranties could have been violated. The accrual clause therefore contravenes General Obligations Law § 17-103 in two ways, if the clause is interpreted as plaintiff suggests: (1) it is an agreement to effectively extend the limitations period that was made *before* a breach of contract cause of action had accrued; and (2) it would extend the limitations period to a future date uncertain, inasmuch as plaintiff's discovery of the breach or defendant's notice of the breach might occur decades into the future, for the life of the mortgage loans (*see Bayridge*, 80 NY2d at 779-780). The public policy represented by the statute of limitations, CPLR 201, and General Obligations Law § 17-103 would be effectively abolished if contracting parties could circumvent it by "postpon[ing] the time from which the period of limitation is to be computed" (*Kassner*, 46 NY2d at 551 [emphasis and internal quotation marks omitted]; *see also* Rep of Law Rev Commn, 1961 McKinney's Session Laws of NY at 1871 [proposing the legislation that would become General Obligations Law § 17-103]).

V.

Plaintiff is correct that freedom to contract is an important public policy in New York, and it undoubtedly remains so after this decision (*see 2138747 Ontario, Inc. v Samsung C&T Corp.*, 31 NY3d 372, 377 [2018]; *J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324, 334 [2013]). When the public policy favoring freedom to contract and the public policy prohibiting extensions of the limitations period before accrual of the cause of action come into conflict, however, the latter must prevail, inasmuch as "the parties to a contract are basically free to make whatever agreement they wish" only "[a]bsent some violation of law or transgression of a strong public policy" (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 67-68 [1978]). To the extent plaintiff asserts that sophisticated commercial entities should be allowed to enforce clear contract language choosing a later accrual date than the date that would otherwise apply by law, plaintiff's remedy lies with the legislature (*see* CPLR 201; General Obligations Law § 17-103; *compare* Del Code Ann, tit 10, § 8106 [c] [amended in 2014 to provide that "an action based on a written contract . . . involving at least $100,000 may be brought within a period specified in such written contract . . . provided it is brought prior to the expiration of 20 years from the accruing of the cause of such action"]).

We respectfully disagree with our dissenting colleagues that a breach of the representations and warranties was only a "technical" breach of the MLPWA and that defendant's obligation to cure or repurchase non-conforming loans constituted a separate obligation of future performance (*see* Rivera, J., dissenting op at 160-161), or that defendant agreed to a warranty against future default of non-conforming loans, i.e., a guarantee of future performance of defective loans, that persisted for the life of each underlying loan (*see* Wilson, J., dissenting op at 167-172). Plaintiff expressly conceded that it "is not asserting here that the Accrual Clause is a guarantee of the loans' future performance," and plaintiff did not argue that we should overturn *ACE* or that its cure or repurchase obligations constituted a separate obligation of future performance. Rather, plaintiff contended that the accrual clause created a substantive condition precedent and did not violate public policy. "This Court generally refrains from addressing issues not argued by the parties, as we have recognized that, to do otherwise, would be unfair to the litigants, 'who expect us to decide their appeals on rationales advanced by the parties, not arguments their adversaries never made' " (*Matter of 381 Search Warrants Directed to Facebook, Inc. [New York County Dist. Attorney's Off.]*, 29 NY3d 231, 247 n 7 [2017], quoting *Misicki v Caradonna*, 12 NY3d 511, 519 [2009]).

In addition, these interpretations of the MLPWA are not supported by the plain language of that agreement, or by the accrual clause itself. As we have explained, the MLPWA provides that defendant's cure or repurchase obligations are plaintiff's "sole remedies . . . respecting a breach of the foregoing representations and warranties," and the accrual clause applies to "[a]ny cause of action . . . relating to or arising out of the breach of any representations and warranties." We decide this appeal based solely on the contract language before us and the arguments the parties have made regarding that contract language.

[3] With that understanding, our holding today has no impact on contracts creating true substantive conditions precedent to a party's performance (*see ACE*, 25 NY3d at 597-598; *Kassner*, 46 NY2d at 550) or separate promises of future performance (*see ACE*, 25 NY3d at 594-596; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606, 610-611 [1979]), nor does it affect contractual provisions that comply with General Obligations Law § 17-103 or "specify[ ] a shorter, but reasonable, period within which to commence an action" (*Kassner*, 46 NY2d at 551). We simply hold that, to the extent the parties intended, "at the inception of the contract" and before the contract had been breached, to postpone accrual of a breach of contract cause of action to a subsequent uncertain date, the accrual clause "may not serve to extend the Statute of Limitations" in that way (*id.* at 552).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

RIVERA, J. (dissenting). This appeal is yet another in the vast litigation fallout from the financial crisis, and again requires this Court to explain the import of language contained in an agreement essential to the marketing and sale of residential mortgage-backed securities (RMBS) (*see e.g. Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569 [2018];

Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc., 30 NY3d 572 [2017]; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581 [2015]). In this latest chapter of the larger securities industry saga, we must decide the enforceability of a contractual provision that a cause of action accrues only upon the occurrence of expressly stated preconditions. There is nothing illegal or improper in this provision, which sets forth the elements of a cause of action and triggers New York's statute of limitations for breach of contract. Yet, the majority misconstrues decisional law and departs from our longstanding recognition of the freedom to contract leading it to mistakenly hold that this provision is without any legal effect. As there is no statutory or public policy bar to enforcement of the accrual clause, I dissent.

I.

Defendant Quicken Loans, Inc., as seller of various residential mortgage loans, voluntarily entered the Second Amended and Restated Mortgage Loan Purchase and Warranties Agreement (MLPWA). The MLPWA includes defendant's representations and warranties concerning its quality assessment of the loans, effective as of the mortgage loan closing date. No sale agreement for the mortgage loans, or structured financing based on the loans, would have been possible absent these defendant quality-control assurances (*see* Miguel Segoviano et al., *Securitization: Lessons Learned and the Road Ahead* at 18 [Nov. 2013], International Monetary Fund Working Paper 13/255, available at https://www.imf.org/external/pubs/ft/wp/2013/wp13255.pdf, cached at http://www.nycourts.gov/reporter/webdocs/WP13255.pdf).

The MLPWA also provides, in relevant part, that

> "[a]ny cause of action against the Seller relating to or arising out of the breach of any representations and warranties made in Subsections 9.01 and 9.02 shall accrue as to any Mortgage Loan upon (i) discovery of such breach by the Purchaser or notice thereof by the Seller to the Purchaser, (ii) failure by the Seller to cure such breach, substitute a Qualified Substitute Mortgage Loan or repurchase such Mortgage Loan as specified above and (iii) demand upon the Seller by the Purchaser for compliance with this [MLPWA]."

By the clear language of this "accrual clause," defendant agreed that upon demand it would substitute or repurchase defective mortgage loans. It further understood and agreed that its failure to comply with this obligation would satisfy the elements of a cause of action for breach of contract and thus trigger the statute of limitations.

In its capacity as trustee for the securities backed by these mortgage loans, plaintiff Deutsche Bank National Trust Company sued defendant for failure to address, in accordance with the requirements of the MLPWA, violations of its various representations and warranties.[1] This action was filed six years and three months after the closing date of the last mortgage loan sold. Defendant moved to dismiss the complaint, in part on timeliness grounds. The Appellate Division affirmed dismissal, concluding that *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015]) adopted a bright-line rule that an RMBS breach of contract claim accrues on the date defendant made the allegedly false representations and warranties. Thus, plaintiff's complaint was time-barred as it was filed more than six years after defendant entered the MLPWA (*Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts. Corp.*, 143 AD3d 15 [1st Dept 2016]). For the reasons I discuss, the Appellate Division and now a majority of this Court have misapplied our prior holding in *ACE*.

II.

The parties agree that a cause of action arising from violations of the MLPWA representations and warranties is subject to the six-year statute of limitations in CPLR 213 (2) and disagree whether plaintiff commenced this litigation outside the limitations period. Plaintiff maintains that *ACE* does not apply and its action is timely as it was commenced in accordance with the MLPWA and the CPLR, i.e., plaintiff sued within six years from the date that defendant failed to comply with a proper demand to cure or repurchase the defective mortgage loans. Defendant counters that *ACE* controls and the parties may not agree to a different accrual date, meaning that in all RMBS cases the statutory limitation on a cause of action for breach of the mortgage loan representations and warranties

1. In its complaint, plaintiff alleges that defendant misrepresented borrowers' debts and debt-to-income ratios, income, and property values, among other things.

starts to run on the closing date of the underlying defective loan. Defendant concedes that if the accrual provision is valid, plaintiff's claims were timely filed.

Defendant's argument is based on a faulty legal premise as *ACE* did not set a hard and fast rule that cannot be replaced by agreement of the parties. Instead, as the majority acknowledges, *ACE* announced a default accrual rule for a certain type of RMBS breach of contract action (majority op at 146). Where the parties agree to a different obligation, with a different accrual date, we apply our usual rules of contract and interpret the agreement as the parties intended. Here, defendant bargained for an accrual date effective upon the breach of a specified promise to perform upon demand that takes its agreement outside the default rule announced in *ACE*.

III.

In *Stonehill Capital Mgt. LLC v Bank of the W.* (28 NY3d 439 [2016]), we explained that "[t]here is a difference between conditions precedent to performance and those prefatory to the formation of a binding agreement" (*id.* at 452). The Court explained:

> "[A] condition precedent is an act or event, other than a lapse of time, which, unless the condition is excused, must occur before a duty to perform a promise in the agreement arises. Most conditions precedent describe acts or events which must occur before a party is obliged to perform a promise made pursuant to an existing contract, a situation to be distinguished conceptually from a condition precedent to the formation or existence of the contract itself" (*id.*, quoting *IDT Corp. v Tyco Group, S.A.R.L.*, 13 NY3d 209, 214 [2009]).

Plaintiff argues the demand to substitute or repurchase a defective loan, as set forth in the accrual clause, is a substantive condition precedent because no cause of action exists until the repurchase protocol is complete. In other words, plaintiff has no viable claim against defendant until the occurrence of each event set forth in the accrual provision—including a demand for defendant's performance of its obligation to substitute or repurchase—because once the demand is made defendant is obliged to perform, and its failure to do so is the last element of plaintiff's cause of action.

As the language of the accrual clause establishes, the demand requirement is a condition precedent to defendant's performance and a cause of action for a subclass of defective mortgage loans—those which the buyer expressly demands that defendant substitute or repurchase. In exchange for defendant's agreement to this condition precedent to the formation of a cause of action as relates to those loans, defendant limited its litigation exposure and its repurchase burden by giving it the opportunity to cure before being sued.

The commercial rationale for the accrual clause becomes clear when considered in light of the financial structure made possible by defendant's representations and warranties. An RMBS securitization is a complex process through which multiple home mortgage loans are transferred into a trust that issues debt securities to investors. As the respective borrowers repay the underlying mortgages, the securityholders receive payments in accordance with a priority scheme provided for in the securitization documents. By pooling loans, securitization enables financial diversification and shifts risk from mortgage issuers to investors (*see* Segoviano et al. at 6-7). Investors would be reticent to purchase without defendant's quality assurances about the underlying mortgage loans.

Notably, a securitization involves hundreds of mortgages rendering it unlikely that any single defective mortgage would require repurchase by defendant to ensure the value (and profits) of the securitized loan pool. In the context of this securitized agreement the seller and buyer are concerned with those misrepresentations which affect the value of the securitized loan pool. As to those misrepresentations, defendant expressly agreed that upon notice and demand it would substitute or repurchase defective loans, and its failure to do so would expose it to litigation and start running the limitations period. Thus, the accrual provision adopted here encourages investors to purchase, while at the same time reducing potential liability of defendant as the seller.

Defendant's reliance on *ACE* to avoid enforcement of the accrual clause is misplaced. In *ACE*, an RMBS trustee sued an RMBS transaction sponsor, alleging that the underlying mortgage loans in the securitized pool did not comply with the sponsor's representations and warranties (25 NY3d at 589). The trustee commenced its action more than six years after entering the pooling and servicing agreement, but argued that its claims did not accrue until the sponsor failed to comply with the agreement's remedial clause (*id.* at 590-593). This Court rejected the trustee's argument that its action was timely, concluding that because the "representations and warranties concern the characteristics of their subject as of the date they are made, they are breached, if at all, on that date" (*id.* at 589). However, the Court explained that "parties may contractually agree to undertake a separate obligation, the breach of which does not arise until some future date" (*id.* at 594). The Court further determined that the remedial clause at issue imposed a procedural, rather than substantive, condition precedent to the trustee's action and therefore did not delay accrual until the sponsor failed to comply (*id.* at 597-599). The Court explained that a procedural condition precedent "seeks a remedy for a preexisting wrong," while a substantive condition imposes "a condition to a party's performance" (*id.* at 597 [emphasis omitted]). If a substantive condition is unsatisfied, no claim exists (*id.*).

ACE thus announced a default accrual rule for the promises at issue in that case, and did not adopt a per se rule for all RMBS claims that trace back to the representations and warranties. What matters is the defendant's obligations as expressed in the agreement. In that vein, *ACE* made clear that until occurrence of a substantive condition to a party's performance, there can be no cause of action against the party for failure to perform its obligations under the contract.

The accrual clause here is not rendered unenforceable by *ACE* because *ACE* does not apply. Indeed, the agreement in *ACE* did not contain language similar to that found in the accrual clause and so the Court had no occasion to consider the import of this different language. Yet, the Court could not have been clearer in emphasizing that a different accrual rule and different outcome holds where parties agree to a separate obligation, one that includes a condition precedent. While a violation of the representations and warranties would be a technical breach of the MLPWA, defendant committed to a separate obligation, one that it breached later than the effective date of the representations and warranties because it promised to substitute or repurchase upon the buyer's demand. Failure to comply with that obligation—cure upon demand—completes the elements of the cause of action, which then subjects defendant to liability and starts the six-year statute of limitations running against the buyer. Thus, defendant agreed to the type of "separate obligation, the breach of which does not arise until some future date" (*id.* at 594).[2]

IV.

Enforcement of the accrual provision is wholly aligned with the public policies animating both the freedom to contract and our statute of limitations. There is no dissonance between enforcement of the accrual clause and societal goals, no weighing of competing interests as the majority posits (majority op at 143, 154), and no reason to allow defendant to escape the consequences of its arm's length bargain.

The freedom to contract "is deeply rooted in public policy" and encourages "transactions freely entered into" (*New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74, 81 [1989]; Restatement [Second] of Contracts, ch 8, Introductory Note ["The principle of freedom of contract is itself rooted in the notion that it is in the public interest to recognize that individuals have broad powers to order their own affairs by making legally enforceable promises"]). Parties are free to arrange their commercial activities in a manner that furthers their interests, so long as their agreement does not violate a statutory prohibition or public policy (*see Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995] ["Freedom of contract prevails in an arm's length transaction between sophisticated parties such as these, and in the absence of countervailing public policy concerns there is no reason to relieve them of the consequences of their bargain"]; *see also Faison v Lewis*, 25 NY3d 220, 227 [2015] [noting that "compelling policy reasons" can support non-enforcement of contractual agreements], citing *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18, 22-23 [2008]). The right to contract includes the right to define a cause of action that triggers the statute of limitations for promises broken (*see Oppenheimer*, 86 NY2d at 695).

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2. The majority appears to misunderstand this point. As explained above (*supra* at 158-159), refusal to cure or repurchase non-compliant loans was a condition precedent to any claim alleging breach of the representations and warranties. The majority further contends that plaintiff "did not argue . . . that its cure or repurchase obligations constituted a separate obligation of future performance" (majority op at 154). Not so. Plaintiff expressly argued that defendant undertook "to investigate the loans" upon demand and "cure or repurchase" any non-compliant loans (brief for appellant at 26). It is difficult to see how defendant could investigate allegedly non-compliant loans and cure or repurchase such loans without acting after the date on which the representations and warranties became effective, i.e., *in the future.*

Notably, our solicitude of the parties' agreement has been shaped by New York's unique status as a global center of finance and commercial transactions. As the Court has recognized, "[i]n order to maintain [New York's] pre-eminent financial position, it is important that the justified expectations of the parties to the contract be protected" (*J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220, 227 [1975]; *see also Bluebird Partners v First Fid. Bank*, 94 NY2d 726, 739 [2000] [concluding that refusal to enforce contract could "engender uncertainties in the free market system in connection with untold numbers of sophisticated business transactions—a not insignificant potentiality in the State that harbors the financial capital of the world"]). That policy is further illustrated by the legislative enactment of statutes that "promote and preserve New York's status as a commercial center and . . . maintain predictability for the parties" (*IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310, 315-316 [2012]; *see also* General Obligations Law § 5-1401).

Still, contracts are subject to statutes of limitations. Oliver Wendell Holmes posited, "What is the justification for depriving a [person] of . . . rights, a pure evil as far as it goes, in consequence of the lapse of time? . . . Sometimes the desirability of peace [is offered], but why is peace more desirable after twenty years than before?" (Oliver W. Holmes, Jr., *The Path of the Law*, 10 Harv L Rev 457, 476 [1897]). Like other jurisdictions, we have justified statutes of limitations on breach of contract claims because they protect a party from defending against stale claims and promote society's interest in closure (*John J. Kassner & Co. v City of New York*, 46 NY2d 544, 550 [1979]). Those dual concerns are not implicated when parties uncoerced and voluntarily enter an arm's length transaction that sets forth the elements and point of accrual of a cause of action for breach of the promise to cure upon demand at issue here.

The potential for litigation of stale claims is minimal as the information regarding the defective loans is archived and documented. Moreover, the contracting parties have set the accrual date and thus can take steps to avoid the deterioration of evidence which is another reason to avoid stale claims.

Similarly, the concern for repose is no concern at all under the circumstances presented by this agreement. It is not uncommon for contractual obligations to extend well beyond the maximum 30-year life of the mortgage loans at issue here (*e.g. Plaza Hotel Assoc. v Wellington Assoc.*, 37 NY2d 273, 278 [1975] [enforcing a contract provision that restricted land use for 50 years and noting that "it is not a function of the courts to insure the profitability of business transactions, nor do they have the power to remedy a failure of the parties to foresee far-ranging changes in the economy"]; *Murphy v Erie County*, 28 NY2d 80, 87 [1971] [upholding a contract to lease a stadium for 40 years]). Further, unlike other contracts where a breach may occur at an uncertain future date, when defendant entered the agreement it knew that the limitations period would run, at the latest, six years after the maturity date of the final mortgage loan to close. What could be more certain and predictable than knowing your outside litigation exposure date?

Nor, as the majority concludes, does the accrual clause violate General Obligations Law § 17-103 (majority op at 152-154). That section provides, in pertinent part:

> "A promise to waive, to extend, or not to plead the statute of limitation applicable to an action arising out of a contract express or implied in fact or in law, if made after the accrual of the cause of action and made, either with or without consideration, in a writing signed by the promisor or his agent is effective, according to its terms, to prevent interposition of the defense of the statute of limitation in an action or proceeding commenced within the time that would be applicable if the cause of action had arisen at the date of the promise, or within such shorter time as may be provided in the promise. . . .
>
> "A promise to waive, to extend, or not to plead the statute of limitation has no effect to extend the time limited by statute for commencement of an action or proceeding for any greater time or in any other manner than that provided in this section, or unless made as provided in this section." (General Obligations Law § 17-103 [1], [3].)

As the language reveals, it has no application here. The accrual clause does not waive or extend the statute of limitations, nor does it prohibit defendant from pleading an affirmative limitations defense. Instead, the accrual clause sets forth the elements of the cause of action and the condition precedent that must occur before the commencement of the limitations period. The limitations period at all times and for all claims remains six years.

In *Kassner*, this Court explained that the section 17-103 prohibition against pre-accrual waivers and extensions of the statute of limitations avoids coerced or ill-considered promises. That is the case because “there is a greater likelihood that a ‘waiver’ or extension of the defense, as part of the initial contract or obligation, was the result of ignorance, improvidence, an unequal bargaining position or was simply unintended” (*Kassner*, 46 NY2d at 551). Nothing could be further from reality here. Defendant describes itself as “the nation’s largest mortgage lender” (Quicken Loans, Press Room, *Fast Facts*, https://www.quickenloans.com/press-room/fast-facts/, cached at http://www.nycourts.gov/reporter/webdocs/FastFactsQuickenLoansPressroom.pdf), closing $2 billion in loans in 2006 (Quicken Loans, Press Room, Quicken Loans Crosses $2 Billion Milestone in Monthly Retail Home Lending Volume Closed During March 2007 is All-Time Company Record and Most Closed Online in U.S. History [Apr. 13, 2007], https://www.quickenloans.com/press-room/2007/04/03/quicken-loans-crosses-2-billion-milestone-monthly-closing-volume-21-billion-monthly-retail-home-lending-volume-closed-march-2007-alltime-company-record-closed-online-history/, cached at http://www.nycourts.gov/reporter/webdocs/QuickenLoansCrosses$2BillionMilestoneInMonthlyClosingVolume.pdf). By its own account then, defendant is a highly sophisticated party and could not have misunderstood its obligations under the terms of the RMBS agreement. Defendant entered the MLPWA with eyes open, anticipating a profitable venture. Its agreement to the accrual clause was not a “result of ignorance, improvidence, an unequal bargaining position” nor does it reflect defendant’s “unintended” choice (*Kassner*, 46 NY2d at 551).

V.

Defendant made representations and warranties as to its quality assessment of the residential mortgage loans that are the subject of the MLPWA. It sought to profit from the sale of the securitized pool populated by those same loans and made possible by its representations. Defendant also promised that upon demand it would substitute or repurchase defective mortgage loans, and that a cause of action would accrue upon defendant's failure to perform this obligation. Since no New York law or public policy prohibits enforcement of this accrual clause, which reflects defendant's bargained-for, arm's length transaction, I would reverse and answer the certified question in the negative.

WILSON, J. (dissenting). Both here and in our prior decision in *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015]) we have fundamentally misinterpreted the structure of residential mortgage-backed securities (RMBS) agreements and, as a result, have created bad law: bad because it neither hews to the intent of the contracting parties nor of the investors in securities issued thereby; bad because it serves no public policy; bad because it disserves a very important public policy—the preservation of New York's role as the commercial center of the nation. Best, of course, would be to admit our recent mistake in *ACE* and move forward. Next best, as Judge Rivera sets forth in her dissent (in which I fully concur), would be to recognize that the contract here is substantially different from that in *ACE*. Doing so allows a path for other parties to structure RMBS agreements as intended without giving them a reason to choose the law of some other state because New York considers these agreements against a public policy supposedly undergirding limitations periods.

I.

It helps to begin with the residential mortgage business as it existed at the time George Bailey was running the building and loan association in Bedford Falls (*see* It's a Wonderful Life, Frank Capra Dir. [RKO Radio Pictures 1946]). Bank customers deposited their savings in savings and loan institutions and earned a passbook rate of interest. The savings and loans, in turn, loaned money to homebuyers at a higher rate of interest, allowing the savings and loan to pay interest to its depositors and retain the difference for operations and to pay dividends to shareholders of the institutions. The savings and loans carefully evaluated the creditworthiness of the borrower and the value of the mortgaged property, because the institution's livelihood depended on making safe loans. (This was not true of George Bailey, but was true of his more traditional nemesis, Mr. Potter.) The above made for a fairly tight credit market.

Flash forward half a century. Some creative financial types concluded that much more credit could be made available to homebuyers (from which the financial types could profit) if home mortgages could be grouped into pools and investors paid a return from the pooled securities. Investors could feel secure purchasing the securities if they knew that the only risk they were absorbing was market risk (which comes in two flavors: risk that exogenous economic conditions would deteriorate, and risk associated with the estimated quality of the particular pool of loans underlying the securities), not the risk that the homeowner never should have qualified for the mortgage in the first place. The depositor (the financial institution collecting the mortgages, putting them into a pool and issuing the securities) would agree to assume the risk of unqualified borrowers, without examining the underlying documentation supporting each loan, so long as its liability was confined to replacing or repurchasing mortgages in the pool that did not conform to a set of requirements for qualifying a borrower (that is, no liability for fraud, punitive damages, rescission, etc.).

Those requirements for qualifying borrowers are styled as representations and warranties. RMBS sponsors guarantee that, upon issuance, each mortgage in the pool satisfies a large number of criteria regarding the quality and characteristics of each loan. Those commonly include the appraised property value, the home occupancy status, and the mortgagor's income, assets, existing debt obligations, debt-to-income ratio, and total mortgage debt obligations as compared to the value of the mortgaged property. Those characteristics provide information about the likelihood that a mortgagor will be able to make his or her mortgage loan payments. That allows ratings agencies to assign a credit rating to each certificate, which in turn enables investors to assess the risk of each RMBS pool. Investors purchase the loans based on the representations and warranties from the seller that the loans meet specified characteristics and, therefore, that they have a specified risk profile.

The great innovation was contractual allocation of risk between the depositor and the trustee (on behalf of the investors), whereby the depositor could assure investors that, in purchasing the securitized loans, the investors would bear market risk (e.g., the risk that unemployment would rise and some homeowners would default) but not the issuance risk (e.g., the risk that the appraised value of a home or the borrower's income or credit history had been inflated). A simple 2x2 table illustrates this arrangement:

	Homeowner pays mortgage	**Homeowner defaults**
Homeowner qualified	Everyone happy	Market risk accepted by investors
Homeowner unqualified	Everyone happy	Issuance risk accepted by depositor

Because the depositor assumed the issuance risk, the depositor could choose to avoid loan-level examination of the underlying mortgages, and the trustee and investors could rely on the warranty provided by the depositor, without any need to examine whether each of the underlying mortgages had been issued properly or improperly. To make the market work without the loan-by-loan inspection on which Mr. Potter would have insisted if assuming mortgages issued by George Bailey, the parties make a deal: the repurchase protocol. The investor will still invest, even though the representations and warranties have not been verified loan-by-loan and even though its trustee will not be able to sue simply because the representations and warrantees were false when made; for the seller, this investment provides necessary cash flow to pay principal and interest on the loans. The seller, in exchange, promises that it will repurchase, cure, or substitute any loan falling into the bottom right-hand box; for the investors, this provides essential reassurance that their investment bears only the market risk for which they bargained.

The repurchase protocol superficially appears to create two distinct contractual agreements between the parties:* first, that the representations and warranties are true at the time each mortgage is issued, and second, that the seller will follow the repurchase protocol if: (a) the borrower defaults; (b) one or more of the representations and warranties was not true when the loan was issued; and (c) the trustee thereafter requests repurchase or replacement of the loan in question. Investors

* The parties have styled their agreement as two separate promises: first, the promise that the representations and warranties are true at the time the mortgage is deposited into the pool, and second, the promise that if: (a) the mortgage is in default; (b) one or more representations and warranties as to that loan was untrue at the time of deposit; (c) the trustee demands the repurchase protocol; and (d) the depositor refuses, then the "sole remedy" may be pursued by the trustee. As I discuss below, the first promise is not actionable as between the contracting parties and is therefore only superficially a separate contractual promise—one as to which, if breached, the parties have agreed there is no remedy.

could not—and would not—bear the risk of purchasing certificates without some assurance that the seller will bear the risk of the nonconformity for the life of the loan. But the investors do not care that representations and warranties were false if the homeowner never defaults. They rely on the bargained-for assurance that the sponsor has taken on the risk to cure, repurchase or substitute any defective loan within 60 days of when the defect was discovered (and demand made)—and that that assurance lasts not merely six years from closing, but for the life of the loan (because the homeowner may default at any time).

Without immense cost, neither party can feasibly verify the characteristics set forth in the representations and warranties as to each of the thousands of loans in the pool. Investigating the accuracy of the closing characteristics for mortgages that never go into default is a waste of time; the RMBS structure depends, in substantial part, on the efficiency involved in eliminating that waste. It would thus undermine that structure to allow a party to sue for breach of those terms themselves.

Our recent decisions hold as much. In *Nomura*, we held that where a "sole remedy" provision designates a repurchase protocol as the remedy for breach of representations and warranties, the parties are precluded from seeking general contract damages for breaches of representations and warranties that involve the underlying mortgages (*Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572, 584 [2017]; *see also Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569 [2018]). That was because "[c]ontract terms providing for a 'sole remedy' are sufficiently clear to establish that no other remedy was contemplated by the parties at the time the contract was formed, for purposes of that portion of the transaction, especially when entered into at arm's length by sophisticated contracting parties" (30 NY3d at 582 [citations and some internal quotation marks omitted]).

The import of our decisions in *Nomura* and *Ambac* is that, by agreement of the parties, the first "breach" for falsity of the representations and warranties concerning the mortgages does not exist. Only the warranty, good for the life of each underlying mortgage, exists. That is, there is no cause of action until a party fails to comply with the repurchase protocol; it is for this breach that Deutsche Bank sues. Tying a party's ability to bring suit to the date of closing links the cause of action to a "breach" that, pursuant to the parties' agreement, is not a breach at all.

The majority misconstrues the overall structure and purposes of RMBS securitization, which calls the loan conditions "representations and warranties" while simultaneously removing the ability to sue for breaches of those representations and warranties via the sole remedy provision. Here, the contract is even more explicit than the contract in *ACE*, which did not contain an accrual provision. But in all cases, the repurchase protocol is central to the structure of an RMBS agreement: both parties intend that the sole remedy cannot be invoked until a loan defaults; the trustee demands the sole remedy; the depositor fails to repurchase or replace the loan; and investigation shows that the loan, when issued, did not meet one or more of the representations and warranties. Having correctly barred trustees from suing for naked breaches of the representations and warranties, imposing a six-year limitations period for breach of the repurchase protocol defeats the efficiencies created by the RMBS structure, contradicts the clear terms of the parties' agreement, and leaves the trustee with no viable recourse—including the one it bargained for.

II.

ACE is wrong. We should abandon it, whether judicially or legislatively. The sole remedy provision in RMBS agreements is best thought of as a plain vanilla warranty, good for the life of each underlying mortgage. The economic reality—understood by depositor, trustee and investors alike—is that before securitizing the loans, the depositor did not examine each loan file to determine compliance with the representations and warranties. Instead, the depositor has warranted that when any loan goes bad, it will make the investors whole by substituting a good loan or repurchasing the loan. That is the essence of the agreement.

In *ACE*, we held:

> "The Trust . . . seeks to persuade us that its claim did not arise until DBSP refused to cure or repurchase, at which point the Trust . . . had six years to bring suit. Thus, the Trust views the repurchase obligation as a distinct and continuing obligation that DBSP breached each time it refused to cure or repurchase a non-conforming loan. . . .
>
> "Although parties may contractually agree to undertake a separate obligation, the breach of

> which does not arise until some future date, the repurchase obligation undertaken by DBSP does not fit this description" (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 594 [2015]).

That portion of our holding errs by concluding that the parties intended that the trustee could sue when either of the lower boxes of my simple table pertained. Instead, the parties to an RMBS transaction understand that suit is permitted only when the lower right-hand box does.

When we understand the standard RMBS agreement as a warranty springing upon future default as to only those loans improperly issued, it becomes still clearer why *ACE* is wrong. If I enter into a contract to sell you a toaster and give you a 10-year warranty, no one would argue that, if the toaster fails in year eight, the six-year statute of limitations bars you from enforcing the warranty—even if you knew in year one that the toaster had a latent defect and might fail for that reason.

Our decision in *Bulova Watch Co. v Celotex Corp*. (46 NY2d 606 [1979]) should control. There, Celotex entered into a contract with Bulova that included a 20-year guarantee on a roof Celotex installed, "expressly guarantee[ing] that [Celotex] would 'at its own expense make any repairs . . . that may become necessary to maintain said Roof' " (*ACE*, 25 NY3d at 595). *ACE* distinguishes *Bulova* on the ground that the "service" of repairing the roof "was the separate and distinct promise to repair a defective roof—a critical component of the parties' bargain and 'a special, separate and additional incentive to purchase' the defendant's product" (*id.*). That is not a distinction at all: the roof was represented to be the kind of roof that would last 20 years; in *ACE*, as here, the securitized loans were represented to have certain characteristics as outlined in the representations and warranties. If either proved untrue, there was a separate promise to repair the failure: in *Bulova*, to replace the roof, and in *ACE* and the instant case, to replace the nonconforming loan. Both promises were "critical" and "special, separate incentives"—indeed, much more so in an RMBS securitization, which would not occur at all without that promise, than in a roofing contract, which could still proceed without the warranty (*id.*). The first promise is the representations and warranties on the loans. There is, however, no cause of action or remedy for breaching those representations and warranties (*see Nomura*, 30 NY3d at 577; *Ambac*, 31

NY3d at 582). Instead, an investor invests because of the second promise: that the seller will repurchase, cure, or substitute any loans that, upon closing, did not conform with the representations and warranties. The relevant breach is of the second promise; the representations and warranties of the first promise are really a portion of the condition allowing suit on the second—not an independent breach entitling suit.

Furthermore, *ACE* contends that "the remedial clause in *Bulova Watch* expressly guaranteed *future* performance of the roof . . . . DBSP, by contrast, never guaranteed the future performance of the mortgage loans" (25 NY3d at 595). Indeed, DBSP did not guarantee the future performance of all the mortgage loans—but it did guarantee the future performance of any defectively-issued loans. The majority here affirms that guarantee, thus rejecting *ACE*'s distinction of *Bulova*, but limits the guarantee to six years, for reasons unrelated to the parties' intent in contracting. The fact that the future guarantee of performance in an RMBS offering is limited to a subset of the loans does not distinguish it from *Bulova*. If the guarantee in *Bulova* had been only for the roof over the north wing of the factory, the absence of a guarantee for the south wing would not have voided the north wing guarantee.

Last, *ACE* observed, "it makes sense that DBSP, as sponsor and seller, would not guarantee future performance of the mortgage loans, which might default 10 or 20 years after issuance for reasons entirely unrelated to the sponsor's representations and warranties" (*id.* at 595-596). That statement exposes the Court's misunderstanding of the fundamentals of RMBS securitization. The sponsor does not guarantee the performance of all the loans; instead, to induce investors to purchase the securities backed by the loan pool, it guarantees the performance of only those as to which the representations and warranties were not true as of the date of issuance. That gives the depositor some incentive to satisfy itself that the representations and warranties are true, but more importantly assures investors that their exposure will be limited to market risk, not any risk that might arise from improperly issued loans. The depositor holds the bag for all defaulting loans that were improperly issued, but the bag it holds is limited to replacing or repurchasing the loans. For all loans as to which the representations and warranties are true as of the closing date, the issuer guarantees nothing. Additionally, even though the issuer guarantees the performance—perhaps 30 years down the line—of all defective loans, it has no contractual obligations as to the defective loans unless the conditions are met; therefore, as to defective loans that are not in default (or perceived to be likely to go into default), the guarantee again amounts to nothing.

ACE—and today's majority—conflate the representations and warranties with the separate, bargained-for obligation to cure or repurchase loans that did not meet the specified qualifications. Failure to comply with a repurchase protocol is properly understood as the latter, a simple warranty as to the subset of defaulting loans, whose identity could not be known as of the date of issuance.

III.

Perhaps troubled by the clearly-expressed intent of the parties, the majority concludes that it "need not resolve this dispute regarding the meaning of the accrual clause" because it is unenforceable as against public policy (majority op at 150). But the majority fails to identify any substantive policy that this contract violates. It is not enough to say that there is a public policy against extending statutes of limitations without some explanation of what that policy is intended to do and why it matters here. As Judge Rivera explains, New York's public policy of repose serves to ensure that private parties can organize their affairs and are protected from having to defend stale claims. To the extent that any broader societal interest in repose exists, it does not apply here; there is no purpose in preventing parties who contract for a long warranty from doing so. Instead, the majority's decision imposes repose on parties that expressly agreed they did not have that concern.

In contrast, by understanding the RMBS agreements as warranties, in which breach occurs only upon the depositor's refusal to comply with the repurchase protocol, the Second Amended and Restated Mortgage Loan Purchase and Warranties Agreement provides a mutual benefit to the parties. The agreement benefits the trustee by ensuring its risk, and it benefits the depositor by guaranteeing a 60-day period to investigate and cure or substitute a defective loan. *Kassner*, in contrast, expresses our concern that an agreement to "postpone the time from which the period of limitation is to be computed" unduly benefits the non-breaching party (*John J. Kassner & Co. v City of New York*, 46 NY2d 544, 551 [1979] [emphasis omitted]). Because the repurchase protocol is designed to benefit both parties to an RMBS contract, that concern of unilateral benefit does not apply here and, therefore, does not disrupt the public policy of private repose.

Relatedly, as Judge Rivera observes, the rule agreed to by the parties here does not implicate the policy concerns that drive prohibition of a traditional discovery rule. The parties have contractually agreed that default is a necessary condition for suit, and they know that default may occur at any point during the life of a loan. Additionally, the cause of action for that default does not accrue until the trustee makes a demand of the depositor, and the depositor fails to repurchase or replace within 60 days of that demand. That structure eliminates from the process the subjectivity and uncertainty that generally clouds the inquiry as to when or whether a party knew or should have known of a breach.

Although neither the parties nor the majority mentions it, there might be a public policy concern that judicial decisions not be made on the basis of stale evidence: 30 years later, witnesses may be dead or unavailable, their memories will have faded, and documents may have been lost. That concern does not pertain here, because the parties were on notice—through their own agreement—that they were required to keep the relevant documents throughout the life of the loan. The parties placed on the depositor the risk of loss, incompleteness or initial nonexistence of the proof that any particular loan complied with the representations and warranties. (For obvious reasons, mortgage origination files and related documentation are preserved at least until the mortgage is satisfied or otherwise terminated, which may be 30 years from origination.) Where sophisticated parties have notice that they are responsible for maintaining those records for as long as a claim may arise and bargain for the placement of liability when records prove incomplete, no public staleness concern is present.

What is unclear from the majority's use of public policy to void the clear intent of the parties is how far that public policy would carry. Suppose, instead of wording their agreement to defer accrual of the cause of action, the parties here instead crafted an agreement along the following lines: (1) as to any loans that did not, at the time of issuance, meet all of the following 79 criteria, the depositor guarantees them against default for the life of the loan; (2) if any such loan defaults, the trustee may demand, as its sole remedy, that the depositor replace or repurchase the loan; (3) as to all loans that conform to the 79 criteria, and as to all loans that do not default (regardless of whether they conform to the criteria), the trustee shall have no ability to sue. Would the claimed public policy bar that agreement? It is functionally identical to the agreement here but is worded more directly as a guarantee. If the above formulation does not violate the claimed public policy, how can we justify voiding the parties' clear intent here based on that public policy? If it does, how does New York permit any contractual warrantees longer than six years?

In contrast to the claimed public policy whose purpose is vacant here, New York has a long-standing and robust public policy to maintain its status as the nation's center for sophisticated commercial activity. As Judge Rivera has detailed, this Court and the legislature have reaffirmed that policy time and again (*see* Rivera, J., dissenting op at 162).

Where *ACE* and today's decision needlessly bar the parties' clearly expressed intent, Delaware understands the commercial reality of RMBS transactions. Faced with the issue in *ACE*, the Delaware Chancery Court concluded: "the Accrual Provision operated as a condition precedent to when a claim arose and the statute of limitations began to run. That condition could not have been met until the Trust demanded in December 2011 that EMC comply with the Repurchase Provision and then EMC failed to repurchase loans" (*Bear Stearns Mtge. Funding Trust 2006—SL1 v EMC Mtge. LLC*, 2015 WL 139731, *12, 2015 Del Ch LEXIS 9, *36 [Jan. 12, 2015, C.A. No. 7701-VCL]).

If we knew whether the claimed public policy here could be avoided by different language, that would be one thing. But were I advising a party to a prospective RMBS agreement today, I would tell my client that the law of Delaware is clear (subject, I suppose, to the possibility that the Delaware Supreme Court might someday reject the Chancery Court's holding), and the law of New York is not. Here, the parties chose New York law—the common choice of sophisticated commercial parties—based on the expectation that New York courts are commercially sophisticated and will enforce their bargained-for agreements (*see* Theodore Eisenberg & Geoffrey P. Miller, *The Flight to New York: An Empirical Study of Choice of Law and Choice of Forum Clauses in Publicly-Held Companies' Contracts*, 30 Cardozo L Rev 1475, 1490 [2009] [finding that in the United States, 46% of commercial parties select New York law to govern contractual agreements]). By contradicting the parties' unambiguous agreement for amorphous public policy reasons whose sweep is unknown, today's decision undermines a public policy whose sweep undergirds our economy.

For the above reasons, I dissent.

Chief Judge DIFIORE and Judges STEIN and FEINMAN concur; Judge RIVERA dissents in an opinion, in which Judge WILSON concurs in a separate dissenting opinion; Judge GARCIA taking no part.

Order affirmed, with costs, and certified question answered in the affirmative.

[112 NE3d 1243, 88 NYS3d 120]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v RAYMOND CRESPO, Respondent.

Argued February 8, 2018; reargued September 12, 2018; decided October 16, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 10, 2016. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Thomas A. Farber, J.), which had convicted defendant, upon a jury verdict, of assault in the first degree and criminal possession of a weapon in the third degree; and (2) remanded the matter for a new trial.

People v Crespo, 144 AD3d 461, reversed.

HEADNOTES

Crimes — Right to Representation Pro Se — Timeliness of Application

1. A request to represent oneself in a criminal trial is timely where the application to proceed pro se is made before the trial commences which, for a jury trial, occurs when jury selection begins. Accordingly, the trial court in defendant's criminal prosecution committed no legal error in determining that defendant's request to proceed pro se, made before opening statements but after 11 jurors had been selected and sworn as trial jurors, was untimely or in denying such request without further inquiry. The timeliness of the request is a prerequisite under both federal and state law and the commencement of trial is established as the point at which the application may be denied as untimely as a matter of law. CPL 1.20 (11) provides that "[a] jury trial commences with the selection of the jury and includes all further proceedings through the rendition of a verdict." Likewise, CPL 260.30, which sets forth the order of a jury trial, lists the selection and swearing of the jury as the initial stage of the trial (CPL 260.30 [1]). The statute is plainly stated and elevates the fundamental importance of jury selection as an integral part of the trial. To the extent that a motion to proceed pro se is made after jury selection has commenced, when the right to proceed pro se is severely constricted, such application may be granted in the exercise of the trial court's discretion.

Crimes — Right to Representation Pro Se — Timeliness of Application

2. A request to represent oneself in a criminal trial is timely where the application to proceed pro se is made before the trial commences which, for a jury trial, occurs when jury selection begins. To the extent *People v Ayala* (75 NY2d 422, 428-429 [1990]) could be read as support for a claim that the starting point for the commencement of trial is not jury selection, that statement is dicta.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Criminal Law §§ 1126, 1131, 1134.
Carmody-Wait 2d Right to Counsel §§ 184:78, 184:86, 184:93.
LaFave, et al., Criminal Procedure (4th ed) § 11.5.
McKinney's, CPL 1.20 (11); 260.30 (1).
NY Jur 2d Criminal Law: Procedure §§ 838, 847, 849, 851.

ANNOTATION REFERENCE

Right of defendant in criminal case to discharge of, or substitution of other counsel for, attorney appointed by court to represent him. 157 ALR 1225.

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POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (*Stephen J. Kress* and *Christopher P. Marinelli* of counsel), for appellant. The trial court correctly rejected as untimely defendant's end-of-jury-selection motion to represent himself. (*People v McIntyre*, 36 NY2d 10, 41 AD2d 776; *People ex rel. Steckler v Warden of City Prison*, 259 NY 430; *People v Kurtz*, 51 NY2d 380; *People v Smith*, 68 NY2d 737; *People v Stone*, 22 NY3d 520; *People v Blowe*, 130 AD2d 668; *People v Jamal*, 181 Misc 2d 936; *People v Harvall*, 196 AD2d 553; *Matter of Gunning v Codd*, 49 NY2d 495; *People v Maracle*, 19 NY3d 925.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Molly Schindler* and *Ben A. Schatz* of counsel), for respondent. The Court should not abrogate the well-settled rule that a request for self-representation is timely if "interposed prior to the prosecution's opening statement" (*People v McIntyre*, 36 NY2d 10, 18 [1974]). (*Faretta v California*, 422 US 806; *People v Bing*, 76 NY2d 331; *People v Crampe*, 17 NY3d 469; *People v Smith*, 134 AD3d 1568; *People v Atkinson*, 111 AD3d 1061; *People v Herman*, 78 AD3d 1686; *People v Reason*, 37 NY2d 351; *Chapman v United States*, 553 F2d 886; *People v Peque*, 22 NY3d 168.)

OPINION OF THE COURT

Chief Judge DiFiore.

"[T]he right to self-representation embodies one of the most cherished ideals of our culture; the right of an individual to determine his [or her] own destiny" (*People v McIntyre*, 36 NY2d 10, 14 [1974]). Indeed, the right to represent oneself at trial is guaranteed under both the New York State and the Federal Constitutions (*see* NY Const, art I, § 6; *Faretta v California*, 422 US 806 [1975]; *People v Arroyo*, 98 NY2d 101, 103 [2002]). This right, however, is not absolute. The timeliness of the request, among other things, is a prerequisite under both federal and state law and the commencement of trial is established as the point at which the application may be denied as untimely as a matter of law (*see McIntyre*, 36 NY2d at 17; *see e.g. Martinez v Court of Appeal of Cal., Fourth Appellate Dist.*, 528 US 152, 161-162 [2000]).

Here, prior to opening statements, but after 11 jurors were selected and sworn, defendant sought to invoke his right to proceed pro se. As set forth in the seminal case of *People v McIntyre*, there is a three-prong analysis to determine when a defendant in a criminal case may invoke this right: "(1) the request [must be] unequivocal and timely asserted, (2) there [must have] been a knowing and intelligent waiver of the right to counsel, and (3) the defendant [must] not engage[ ] in conduct which would prevent the fair and orderly exposition of the issues" (36 NY2d 10, 17 [1974]). This appeal relates to the first prong—specifically, we must consider whether defendant's request was untimely as a matter of law because it was made after commencement of the trial. We hold that, in conformity with the statutory scheme set forth in the Criminal Procedure Law, the jury trial has commenced when jury selection begins. Accordingly, the trial court's determination that defendant's request to proceed pro se, made near the conclusion of jury selection, was untimely was not error.

I.

On January 21, 2013, defendant and the victim exchanged insults inside a restaurant, which led to a physical altercation. Defendant, who was apparently upset after losing that fight, obtained a knife from his codefendant, initiated a second confrontation and stabbed the victim. He was arrested while attempting to flee the scene. By indictment filed February 11, 2013, defendant was charged with attempted murder in the second degree, assault in the first degree and criminal possession of a weapon in the third degree.

On October 17, 2014, after conducting a suppression hearing, the trial court denied the motion to suppress both the bloodstained clothes seized from the defendant incident to his arrest and the knife recovered from the scene. The court also advised the parties that the trial would begin the following week, telling defendant that "[t]he first stage of the trial is picking the jury that will decide your case." During that appearance, defendant's assigned counsel advised the court that defendant wanted a new attorney and that if new counsel was not assigned, defendant did not wish to be present at trial. The court informed defendant that he was free to hire another attorney but that the case, which was close to two years old, would not be delayed any further. The court also advised defendant that it was in his best interests to attend the trial but that, if he chose to absent himself, the trial would go forward without him. After a colloquy in which defendant expressed his dissatisfaction with his counsel and stated that he was not going to speak with him, defendant refused to come to court.[1] The court stated for the record that defendant was "voluntarily absenting himself."

The court adjourned the matter to the following week for jury selection. At that appearance, defense counsel asked to be relieved based on defendant's continuing refusal to speak with him. The court denied the request, explaining that it had no reason to believe defendant's dissatisfaction with counsel was rooted in anything other than the realities of his case. The court then had defendant produced in order to fully explain his right to be present at trial. The court adjourned the matter until the next day to permit defendant to confer with counsel, but defendant refused to do so.

On October 23, the parties began jury selection in defendant's absence, selecting and swearing 11 trial jurors. The following day defendant voluntarily appeared and, for the first time, asked to represent himself. The court rejected defendant's request to proceed pro se, telling defendant that it was "too late to make that request now in the middle of trial." In response, defendant maintained that he wanted to advise the

1. In particular, defendant was upset, at least in part, about the discovery of certain inculpatory statements he had made in recorded telephone calls while awaiting trial in Rikers Island, and defense counsel's remark to him that, based upon those statements, "there ain't much you can do."

jury of his dissatisfaction with defense counsel. The court told defendant: "if you are going to tell me that when I bring the jury in you're going to jump up and disrupt the court proceedings and say he is not my lawyer, I am not going to have that." When defendant confirmed this was in fact his intention, the court excluded defendant from the courtroom and stated that it viewed defendant's conduct at this stage of the proceedings to be "simple manipulation."[2] The parties then completed jury selection and proceeded to opening statements.

After several trial witnesses testified, the People requested that the court conduct an inquiry under the second prong of *McIntyre* into defendant's level of education and his understanding of the law—i.e., whether defendant's waiver of the right to counsel would be voluntary. The court refused, observing that "there is no point in allocuting him because I am not going to let him go pro se even if I find he is able to do that at this point. We are in the middle of a trial." The court also expressed skepticism as to whether defendant would be able to comport himself in an appropriate manner, as required under the third prong of *McIntyre*.

Each day, defendant chose to remain in the holding cell rather than appear in court and, as a result, the trial was conducted in his absence. The jury returned a verdict convicting defendant of assault in the first degree and criminal possession of a weapon in the third degree, but acquitting him of attempted murder in the second degree.

The Appellate Division reversed, on the law, and remanded for a new trial (144 AD3d 461 [1st Dept 2016]). Rejecting the People's argument that a timely request to proceed pro se had to be asserted prior to jury selection when the trial commenced, the Court cited *McIntyre* for the proposition that defendant's requests to represent himself were timely as they occurred before opening statements. The Court then concluded that the trial court had violated defendant's right to represent himself by summarily denying defendant's timely requests without ascertaining whether they were knowingly or intelligently made. A Judge of this Court granted the People leave to appeal (29 NY3d 947 [2017]) and we now reverse.

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2. In one of the recorded telephone calls from Rikers Island, defendant stated that without the complainant the prosecution did not "have a strong case" and that the complainant's failure to come to court was "the only thing that could help [him]." Defendant explained that his strategy was "to take [his] time, to see if that guy gets scared and immigration takes him to hell, back to Mexico or something weird."

II.

As noted above, *People v McIntyre* established the standard by which the right of a criminal defendant to conduct his or her own defense is considered. In *McIntyre*, the defendant asked to represent himself "[a]fter the jury had been drawn but not yet impaneled" (36 NY2d at 12). The trial court made a brief inquiry into the defendant's background and also elicited from the defendant that he believed defense counsel was "very competent" (36 NY2d at 13). The court then denied the request based, in part, on the defendant's outburst of misbehavior, which we described as either exhibited in response to the court's ruling or provoked by the trial court's abusive manner in conducting the inquiry of the defendant (*see* 36 NY2d at 19). The specific issue presented in *McIntyre* was the sufficiency of the trial court's inquiry into whether the defendant's waiver of the right to counsel was knowing and voluntary, as well as the trial court's consideration of the appropriate factors in that regard, including the defendant's behavior in the courtroom.

In the course of determining that the trial court's inquiry had been deficient, the Court explained that, as a general rule, "a *pro se* application [is] timely interposed when it is asserted before the trial commences"—a point when a thorough inquiry can be conducted without causing significant delay or confusion in the trial proceedings (36 NY2d at 17). We emphasized that, after the trial has commenced, the defendant's right to proceed pro se is "severely constricted and will be granted in the trial court's discretion and only in compelling circumstances" (36 NY2d at 17). Nevertheless, the motion to proceed pro se in *McIntyre* was not denied as untimely in the trial court and on appeal was deemed "unequivocal and timely having been interposed prior to the prosecution's opening statement" based upon the Code of Criminal Procedure (36 NY2d at 18).[3]

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3. In stating that the motion to proceed pro se, made prior to opening statements, was timely, the *McIntyre* Court included a "*see*" citation to the CPL definition of "trial" which had been recently enacted (*see* 36 NY2d at 18, citing CPL 1.20 [11]). The parties disagree over the precedential import of this one word. Significantly, the question of whether the motion to proceed pro se was timely was not an issue before the *McIntyre* Court as the trial court did not deny the defendant's motion on that basis. There is no dispute that *McIntyre*'s language indicating that the defendant's request to proceed pro se was timely was in complete accord with the controlling statutory law as it existed at the time of the trial. Although we agree with the dissent that

(n. cont'd)

[1] Although this Court decided *McIntyre* in 1974, the defendant's judgment of conviction was rendered in June 1971 when the Code of Criminal Procedure—the precursor to the CPL—was still in effect. Under the Code of Criminal Procedure, the trial began with opening statements and did not include jury selection (*see* former Code Crim Pro § 388 [1]; *Steckler*, 259 NY at 432) and was accordingly used by *McIntyre* as the basis for the demarcation of when a trial commences. By contrast, when the CPL took effect in September 1971, a different starting point was established for a jury trial. The CPL provides that "[a] jury trial commences with the selection of the jury and includes all further proceedings through the rendition of a verdict" (CPL 1.20 [11]). Likewise, CPL 260.30, which sets forth the order of a jury trial, lists the selection and swearing of the jury as the initial stage of the trial (CPL 260.30 [1]). By contrast, a nonjury trial "commences with the first opening address" (CPL 1.20 [11]). Thus, under the CPL, while the commencement of a nonjury trial continues to be at the point the People begin their opening statement, the commencement of a jury trial has been advanced by the legislature to the start of jury selection.

The statutory definition of when a trial commences provided in CPL 1.20 (11) is a modern and commonsense view of the practical realities of a jury trial and is consistent with our case law defining the parameters of the criminal trial as defined by the CPL in other contexts. In *People v Antommarchi* (80 NY2d 247, 250 [1992]), we recognized that a defendant's fundamental right to be present at material stages of the trial under CPL 260.20 is violated by his or her absence during the questioning of prospective jurors during the impaneling of the jury. Clearly a material stage of the trial includes the jury selection process

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this single word should not be relied upon as determinative, it is reasonable to infer that the Court's reference to the new definition in the CPL was not to simply ignore the new definition, but to signal that the statutory definition of the commencement of the trial had changed since McIntyre's trial. Stated somewhat differently, it would be unreasonable to assume that the Court, by its cursory citation, intended to peremptorily cast aside a recently enacted legislative change in favor of the indefinite perpetuation of the trial classification scheme contained in an archaic statute. Tellingly, in the same citation, *McIntyre* cited to *People ex rel. Steckler v Warden of City Prison*, wherein we held that, under the Code of Criminal Procedure, trial begins with opening statements, but further observed that "[w]e are not bound to accept this definition [of the trial] if it is not in keeping with the purpose of the statute before us and another sensible meaning may be given to the word" (259 NY 430, 432 [1932]).

wherein "prospective jurors' backgrounds and their ability to weigh the evidence" are explored (80 NY2d at 250; *see also People v Toliver*, 89 NY2d 843, 844 [1996] ["the selection of the jury is part of the criminal trial"]; *People v Velasco*, 77 NY2d 469, 472 [1991] ["a defendant's right to be present during the trial of an indictment include(s) presence during the impaneling of the jury"]; *People v Mullen*, 44 NY2d 1, 4 [1978]). The holding in *Antommarchi* that jury selection is a material stage of the trial "represented a dramatic shift away from customary and established procedure" (*People v Mitchell*, 80 NY2d 519, 525 [1992]). We have also held that a defendant who absents him or herself after the commencement of jury selection has absconded after the trial has begun and has therefore forfeited the fundamental right to be present at that trial (*see People v Fraser*, 65 NY2d 436, 444 [1985]; *see also People v Parker*, 57 NY2d 136 [1982]). Similarly in this context, our consistent interpretation of the commencement of trial for purposes of asserting the right to proceed pro se—as beginning with jury selection—is in keeping with the purpose of the CPL which, in combination with the Penal Law, has been "carefully designed as an integrated framework for the effective administration of criminal justice" (Governor's Approval Mem, Bill Jacket, L 1970, chs 996, 997, 1970 Legis Ann at 533).[4]

[2] We reject defendant's argument that since there may be different interpretations of the exact point at which jury selection begins, reliance on the CPL definition that trial commences with jury selection is an unworkable gauge. Defendant maintains that, if jury selection is indeed the starting point, the entire jury must be selected and sworn before the trial is deemed to have commenced (*see People v Ayala*, 75 NY2d 422, 428-429 [1990] [stating that the suppression hearing is not part of the trial in the defendant's case as the trial "began only after the jury was sworn"]).[5] However, courts are "governed by the principle that we must interpret a statute so as to avoid an unreasonable or absurd application of the law" (*People v*

4. Contrary to the dissent, we do not view *Steckler*'s interpretation of the Code of Criminal Procedure (rendered in 1932) as having any bearing whatsoever on the legislative intent behind the definition of a jury trial that was adopted in the CPL (*see* dissenting op at 188-190). Indeed, the legislative history of the CPL confirms the deliberate intention to change the meaning of the word "trial" as applied to jury trials (*see* Staff Comment of Temp St Commn on Rev of Penal Law and Crim Code, 1967 Proposed NY CPL 1.20 at 26).

5. **[2]** The issue in *Ayala* was whether the former testimony of an unavailable witness at the suppression hearing was part of the "trial" for purposes of the definition of trial testimony in CPL 670.10 (75 NY2d at

(n. cont'd)

Garson, 6 NY3d 604, 614 [2006] [internal quotation marks and citations omitted]). Here, the statute we interpret is plainly stated and elevates the fundamental importance of jury selection as an integral part of the trial, a status not reflected in defendant's argument or in the "distinctly archaic" Code of Criminal Procedure (*see* Mem of Commn on Rev of Penal Law and Crim Code, Bill Jacket, L 1970, ch 996 at 6, 1970 Legis Ann at 37). CPL 1.20 (11) states that the jury trial commences *with*—not *after*—the selection of the jury. In addition, CPL 270.15 (1) provides that jury selection begins when no less than 12 prospective jurors are placed in the jury box and sworn to truthfully answer questions about their qualifications to serve as jurors.[6] This rule is clear and relatively simple to understand, particularly to trial lawyers who fully appreciate the overarching importance of the selection of each individual juror who will be tasked to determine the guilt or innocence of the accused. To the extent that a motion to proceed pro se is made af-

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428-429). It is not. Indeed, when a suppression motion is made prior to trial, "the trial may not be commenced until determination of the motion" (CPL 710.40 [3]; *compare People v Miller*, 28 NY3d 355 [2016]). Thus, to the extent *Ayala* could be read as support for a claim that the starting point for the commencement of trial is not jury selection, that statement is dicta (*see People ex rel. Metropolitan St. Ry. Co. v State Bd. of Tax Commrs.*, 174 NY 417, 447 [1903] ["Principles are not established by what was said, but by what was decided, and what was said is not evidence of what was decided, unless it relates directly to the question presented for decision"]). Nor is it accurate to say that the CPL definition of a jury trial "might seem different" from the Code of Criminal Procedure definition (*see* dissenting op at 190). CPL 1.20 (11) plainly sets a different starting point for a jury trial, evidenced in part, as noted above, in its internal distinction between the commencement of jury and nonjury trials.

6. We note that, in *People v Smith* (68 NY2d 737 [1986]), there was disagreement over whether the defendant's request to proceed pro se was untimely. However, the majority held that the request, made "[p]rior to jury selection," was timely (68 NY2d at 738; *compare People v King*, 27 NY3d 147, 156 [2016]). Once again, the issue of the timeliness of the motion was not paramount as the trial court in *Smith* had granted the defendant's request to proceed pro se. Similarly, in *People v Reason* (37 NY2d 351 [1975]), where the issue before the Court was whether there is a distinction between the mental capacity required to stand trial and the ability to conduct one's own defense, the request to proceed pro se was granted. In any event, the dissent's representation that the defendant's request to proceed pro se in *Reason* was made during voir dire is inaccurate (*see* dissenting op at 191). Although the trial court *granted* the request during voir dire, the record in that case demonstrates that the defendant's request was made before voir dire began (*see* brief for respondent at 15 in *People v Reason*, 37 NY2d 351 [1975] [stating that when the defendant "first appeared" before the trial judge "he again announced his wish to proceed *pro se*" and that these "pre-trial applications satisfied the first requirement of *McIntyre*"]).

ter jury selection has commenced, when the right to proceed pro se is "severely constricted," such application may be granted in the exercise of the trial court's discretion (*McIntyre*, 36 NY2d at 17).

Our conclusion is also consistent with federal case law, which treats pro se applications made after the start of jury selection as untimely. The Second Circuit has held that a defendant's motion made "just after the start of jury selection" is "made after the start of trial" (*United States v Stevens*, 83 F3d 60, 66, 67 [2d Cir 1996]; *see also United States v Walker*, 142 F3d 103, 108-109 [2d Cir 1998] [motion made after 19 days of voir dire and one day before opening statements was made after the start of trial]). Notably, in *Faretta v California*, the timeliness of the defendant's request to proceed pro se was not at issue, but the Supreme Court described the request—made "weeks before trial"—as having been made "[w]ell before the date of trial" (422 US 806, 807, 835 [1975]). Based on that broad reference point, federal courts have held, in the context of habeas review, that it was not an unreasonable application of federal law to deny a request to proceed pro se as untimely where the request was made "as potential jurors were 'on their way up to the courtroom' " (*Hill v Curtin*, 792 F3d 670, 674, 678-679 [6th Cir 2015]) or after jury selection was nearly complete (*Stenson v Lambert*, 504 F3d 873, 882, 884 [9th Cir 2007]).

So too here, we hold that, in accordance with *McIntyre*, a request to represent oneself in a criminal trial is timely where the application to proceed pro se is made before the trial commences. The Criminal Procedure Law defines the commencement of trial as the beginning of jury selection. Where 11 jurors had been selected and sworn as trial jurors before defendant's request to proceed pro se was made, defendant's request was untimely. As a result, there was no legal error in the trial court's determination that the request to represent himself was untimely and in its denial of such request without further inquiry.

Accordingly, the order of the Appellate Division should be reversed, and the case remitted to the Appellate Division for consideration of the facts and issues raised but not determined on the appeal to that Court.

RIVERA, J. (dissenting). In this appeal we are asked to reconsider the rule that a defendant's request to proceed pro se is timely if interposed before the prosecutor has begun an opening statement. It has long been established that such requests are timely. Since that rule has proved workable and no reason presents itself to depart from well-settled law, stare decisis counsels decisively in favor of leaving the rule unchanged.

I.

Defendant Raymond Crespo was charged with attempted murder in the second degree, assault in the first degree, and criminal possession of a weapon in the third degree. In the course of proceedings, defendant's relationship with his court-appointed counsel became strained. Six months prior to trial, defendant indicated his dissatisfaction with his attorney's representation and requested new counsel. The court denied this request as well as a subsequent motion for new counsel that defendant made four months later.

On the day jury selection was scheduled to commence, defense counsel moved to withdraw, informing the court that he and the defendant were not communicating and had "zero relationship." Despite this characterization of the attorney-client relationship, the court denied the motion. Defendant also told the court that he did not feel comfortable with his attorney, was having difficulty communicating with him, and did not want to go to trial with him. The court told defendant that it would not appoint new counsel and implored him to speak with his attorney. In response, defendant repeated several times he did not want the attorney representing him and left the courtroom.

On the first day of jury selection, defendant refused to appear. The court asked defense counsel to order a transcript "not [of] the jury selection, but it seems to me that it would be helpful for you to have the minutes of the actual trial, at least for the first couple of days" so that defendant could read it if he wanted. During a recess, defendant appeared and repeated that he did not want to be represented by his assigned counsel. The court responded that it was now "the eve of trial" and that consequently the court would not assign defendant a different lawyer. Defendant then left.

On the second day of jury selection, defendant stated that he was being "forced to go to court" with his attorney and asked that he be allowed to represent himself. The court denied the request but stated it would consider whether to "allow [defendant] to represent [him]self and go pro se" after jury selection. Defendant responded this was exactly what he wanted to do. The court indicated that while it believed defendant's request to proceed pro se was untimely, it would confirm this understanding. However, as the colloquy continued, defendant reiterated his request and the court denied it outright, reasoning that it was not timely because "we are in the middle of jury selection, [and] we are about to start the trial in less than half an hour." The court did not state that it had confirmed that the request was untimely and did not refer to any case law.

Later, during the People's case-in-chief, after four witnesses had been examined, the prosecutor requested that the court allocute defendant on his request to go pro se. The court refused, concluding that it would be futile at this juncture in the trial. The court further noted that "if [defendant had] asked to go pro se the week before trial, before jury selection, I would have allocuted him, told him about the dangers, let him go pro se. But in this context, no, I am not going to do that. . . . We are in the middle of a trial."

Defense counsel did not call any witnesses and defendant was absent for the entire trial. Nevertheless, the jury acquitted defendant on the top count of attempted murder, and convicted him of the assault and weapons possession counts.

The Appellate Division reversed the conviction and ordered a new trial because defendant had timely and unambiguously requested to proceed pro se prior to the prosecution's opening statement and the court did not conduct the requisite searching inquiry necessary to determine whether a defendant may proceed pro se. The Court expressly rejected the People's claim that, in order to be timely, a request to proceed pro se must be made prior to jury selection (*see* 144 AD3d 461, 462 [1st Dept 2016], citing *People v McIntyre*, 36 NY2d 10, 18 [1974]). I find no error in the Court's application of our well-established law and therefore would affirm.

II.

The People's sole argument for reversal is that Supreme Court properly denied defendant's request to represent himself as untimely. They advocate that we should restrict a defendant's right to self-representation by adopting a rule that a motion to proceed pro se is untimely if interposed after the start of jury selection because it avoids disruption.

This is not a new argument. For over a decade the People have advanced this same claim, and now further advocate that the Court has never expressly set the outer limits for timeliness of a motion to proceed pro se. The People have so far failed to persuade any court. That result is unsurprising as, over 40 years ago, this Court in *People v McIntyre* considered the proper balance between a defendant's constitutional right to self-representation and the State's interests and drew a bright-line rule that a pro se motion is timely so long as interposed "prior to the prosecution's opening statement" (36 NY2d at 18). That holding unambiguously governs the instant case.

A.

This Court held in *McIntyre* that

> "[a] defendant in a criminal case may invoke the right to defend *pro se* provided: (1) the request is unequivocal and timely asserted, (2) there has been a knowing and intelligent waiver of the right to counsel, and (3) the defendant has not engaged in conduct which would prevent the fair and orderly exposition of the issues" (*id.* at 16-17).

A pro se request is timely under the first prong "when it is asserted before the trial commences," which in *McIntyre* was defined as "prior to the prosecution's opening statement" (*id.* at 17, 18). This is how *McIntyre* has been consistently understood and applied in New York's lower courts (*see e.g. People v Herman*, 78 AD3d 1686 [4th Dept 2010]; *People v Matsumoto*, 2 Misc 3d 130[A], 2004 NY Slip Op 50094[U] [App Term, 2d Dept, 2d & 11th Jud Dists 2004]). In fact, *McIntyre* itself involved a post-jury selection request. As the Court noted, the defendant asked to represent himself "[a]fter the jury had been drawn but not yet impaneled" (36 NY2d at 12). On these facts, the Court held that the defendant's pro se motion was timely "having been interposed prior to the prosecution's opening statement" (*id.* at 18). This is a clear rule, one easily understood and applied.[1]

Contrary to the People's contention, the *McIntyre* Court had clear, non-statutory reasons for drawing the line where it did. While the Court discussed the need for limitations on the right to self-representation to ensure the orderly administration of justice and fundamental fairness, it concluded that the best way to achieve those goals was to pick a point along a spectrum when "the court may conduct a thorough inquiry thereby averting delay and confusion" (*id.* at 17). That point is before the trial commences. As the Court has long recognized, the "trial" has

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1. The majority seeks to minimize the precedential import of this rule, claiming that the timeliness of the defendant's request was not at issue in *McIntyre* (majority op at 181). Yet, as the majority recognizes, *McIntyre* is the "seminal case" (*id.* at 178) which set forth the analytical framework for determining whether to grant a defendant's request for self-representation. Not even the People go so far as to suggest, as the majority does, that the rule means other than what it says, nor could they, as it was only by the operation of the rule that the defendant's request in *McIntyre* was timely.

various components but at its core it is "the actual trial of the defendant by the jury" (*People ex rel. Steckler v Warden of City Prison*, 259 NY 430, 432 [1932]). This occurs after a jury has been selected. The *McIntyre* Court understood this, as in that case the Court chose the prosecutor's opening statement as the proper place to draw the line.

This construction also explains why the *McIntyre* Court, in announcing its rule, included a string citation to the Criminal Procedure Law, its predecessor Code of Criminal Procedure, and the Court's earlier decision in *Steckler v Warden of City Prison* (259 NY at 432).[2] Those three authorities in harmony

2. The majority speculates that *McIntyre*'s "*see*" citation to the CPL was intended "to signal that the statutory definition of the commencement of the trial had changed since McIntyre's trial" (majority op at 181-182 n 3). This attempt at elevating guesswork to rigorous analysis falls flat as it relies on a presumption that the *McIntyre* Court ignored elementary rules of legal scholarship and rhetoric. If the Court wanted to alert the reader to a change in definition under the CPL the most direct course to achieve that goal would have been to say so in the text, or a footnote. The *McIntyre* Court did neither. It defies logic to assume that the Court would identify with a one-word citation a significant change in the law, especially one that would necessarily render the first prong of the Court's newly announced rule meaningless for all future cases involving jury trials subject to the CPL.

In its attempt to avoid the most natural and plain reading of the Court's reference, the majority also ignores the recognized use of the introductory signal "*see*" in legal citations, which was the same at the time of *McIntyre* as it is today. Under modern standards of legal citation, "*see*" is used when "the proposition is not directly stated by the cited authority but obviously follows from it" (The Bluebook: A Uniform System of Citation R 1.2 [a] at 58 [Columbia Law Review Association et al., 20th ed 2015]). At the time of the *McIntyre* decision, the "*see*" signal was used to refer to "basic source material supporting an opinion or conclusion of either law or fact . . . [and] indicates that the asserted opinion or conclusion will be suggested by an examination of the cited authority" (A Uniform System of Citation R 26.1 at 87 [Harvard Law Review Association et al., 11th ed 1967]). Earlier uses of "*see*" were likewise intended "to indicate that 'the asserted opinion or conclusion will be suggested by an examination of the cited authority' " (*Schmidt v McCarthy*, 369 F2d 176, 182 n 18 [DC Cir 1966], quoting A Uniform System of Citation at 85-86 [10th ed 1958]). While the standards of legal citation were, and to some extent remain, far from uniform (*see* Ira P. Robbins, *Semiotics, Analogical Legal Reasoning, and the CF. Citation: Getting Our Signals Uncrossed*, 48 Duke LJ 1043, 1043-1044 [1999]; Peter Lushing, *A Uniform System of Citation*, 67 Colum L Rev 599 [1967] [reviewing the 11th edition of A Uniform System of Citation]), the "*see*" signal has always indicated support for the proposition it follows, not contradiction. I am confident that the *McIntyre* Court appreciated the import of using the "*see*" signal and understood it to mean that the corresponding authority, CPL 1.20 (11), provided support for its finding that the defendant's request to proceed pro se was timely because it was interposed before the prosecutor's opening and as such before the commencement of the trial.

stand for the proposition that a technical definition of "trial" found in a statute must give way to the definition that best gives effect to legislative intent. Under section 388 of the Code of Criminal Procedure, the order of trial was described as follows: "[t]he jury having been impaneled and sworn, the trial must proceed" with "1. [t]he district attorney, or other counsel for the people," opening the case. Although the definition under the CPL might seem different—"[a] jury trial commences with the selection of the jury" (CPL 1.20 [11])—this Court relied on that very definition in *People v Ayala*, holding that a trial "beg[ins] only after the jury [i]s sworn" (75 NY2d 422, 429 [1990]), which of course remains "prior to the prosecution's opening statement" as the Court held in *McIntyre*.[3] This ends the analysis.[4]

The People's reliance on *People v Smith* (68 NY2d 737 [1986]) and *People v Reason* (37 NY2d 351 [1975]) is misplaced as in

3. To reach its preferred conclusion as to when a trial begins, the majority misconstrues the CPL's text. That under CPL 1.20 (11) a jury trial "commences with the selection of the jury," does not mean that the trial starts the moment the first prospective juror walks into the courtroom or a first juror is sworn. Rather, it "commences" *after* the entire jury has been selected, the same way that a race that "commences with" the firing of a starter pistol starts *after* the gun has gone off. This is well understood by practitioners. An attorney is engaged in the process of picking a jury through the selection of individual jurors—which includes voir dire and the exercise of for cause and peremptory challenges—but an attorney does not pick a jury until after all jurors have been empaneled and sworn in. This general understanding that jury selection is completed by the swearing in of all the jurors is further evidenced by the Criminal Procedure Law which refers to a continuing process of jury selection completed only upon the swearing in of the final juror (*see* CPL 270.15 [3] ["The process of jury selection as prescribed herein *shall continue until twelve persons* are selected and sworn as trial jurors . . . (and) (i)f before twelve jurors are sworn, a juror already sworn becomes unable to serve by reason of illness or other incapacity, the court must discharge (such juror) and the selection of the trial jury *must be completed* in the manner prescribed in this section" (emphasis added)]).

No more persuasive is the majority's attempt to discount as dicta the clear statement in *Ayala* that the trial begins after jury selection (majority op at 183-184 n 5). *Ayala* restated an existing rule, citing CPL 1.20 (11) (75 NY2d at 429). The majority may find the decision inconvenient and wish the Court had said otherwise, but *Ayala* confirms that this Court has previously and uniformly interpreted the CPL to mark the commencement of a jury trial after the jury itself has been selected and its members sworn to serve in judgment of a defendant.

4. Any suggestion by the majority that defendant's requests for new counsel and to proceed pro se were intended to delay proceedings are speculative and irrelevant to the analysis (majority op at 179 n 1, 179). The trial court made no findings as to defendant's intent, and the Appellate Division specifically could not consider the third prong of *McIntyre*—whether defend-

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both cases this Court recognized the defendants' mid-jury selection request to proceed pro se. In *Smith*, the Court held that the defendant's request was timely interposed after the judge addressed the first panel of prospective jurors (68 NY2d at 740-741). In *Reason*, the defendant requested to represent himself after the prosecutor moved the case to trial and after having observed voir dire and the prosecutor's questioning of prospective jurors (brief for respondent at 11 in *People v Reason*, 37 NY2d 351 [1975]; 37 NY2d at 360 n 2 [Jasen, J., dissenting]). Thus, there is no support for the People's assertion—and the majority's assumption—that this Court has never adopted the rule that a defendant timely interposes a request for self-representation after jury selection has begun but before the prosecutor's opening statement.[5]

B.

The People's request for us to depart from our long-settled precedent would, in any case, have to overcome well established principles of stare decisis. This is a hurdle the People cannot clear.

> "The doctrine of stare decisis provides that once a court has decided a legal issue, subsequent appeals presenting similar facts should be decided in conformity with the earlier decision. Its purpose is to promote efficiency and provide guidance and consistency in future cases by recognizing that legal questions, once settled, should not be reexamined every

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ant's conduct was "calculated to undermine, upset or unreasonably delay the progress of the trial" (*McIntyre*, 36 NY2d at 18; *Crespo*, 144 AD3d at 462).

5. The majority's characterization of the procedural posture of the defendant's request to the trial court in *Reason* is at odds with Judge Jasen's description that the defendant sought to represent himself after jury selection had commenced (majority op at 184 n 6; *Reason*, 37 NY2d at 359, 360 n 2 [Jasen, J., dissenting]). Nonetheless, the majority relies on an excerpt from the People's brief in *Reason* concerning a pretrial appearance, which is not mentioned in the defendant's brief or in the majority or dissenting opinions. Not even the People go so far as the majority to argue that the defendant in *Reason* made a timely unequivocal request to proceed pro se before his appearance on the trial date. Instead, the People here argue, based on their interpretation of portions of the trial transcript, that the defendant timely interposed his request on the first day of trial before jury selection commenced. However, even that interpretation is at odds with the language in the opinion in *Reason*. In any case, and regardless of what the majority here argues, the request in *Reason* was treated at the time, by the Court, as having been interposed mid-jury selection.

> time they are presented" (*People v Bing*, 76 NY2d 331, 337-338 [1990]).

In general, "the strong presumption that the law is settled by a particular ruling may be rebutted . . . only in exceptional cases" (*People v Taylor*, 9 NY3d 129, 149 [2007]), where, for instance, a rule has proved unworkable, creates more questions than it resolves (*see id.*), or, when seen in "the cold light of logic and experience," "[it] no longer serves the ends of justice" (*Policano v Herbert*, 7 NY3d 588, 604 [2006, Kaye, Ch. J., dissenting in part]). Considerations of stare decisis require us to balance the stability of the law and the legitimacy of past expectations, on the one hand, against "the lessons of experience and the force of better reasoning" on the other (*Burnet v Coronado Oil & Gas Co.*, 285 US 393, 407-408 [1932, Brandeis, J., dissenting], quoted in *Bing*, 76 NY2d at 338).

Underlying the doctrine is the important role of the court as a branch of government greater than its members. As the Court has remarked, "[stare decisis] rests upon the principle that a court is an institution, not merely a collection of individuals, and that governing rules of law do not change merely because the personnel of the court changes" (*Bing*, 76 NY2d at 338).

As we have observed, these considerations weigh differently in different cases and different areas of the law. Legal scholars, including a former Chief Judge of this Court and the author of the *McIntyre* opinion, have suggested that stare decisis should be at its strongest in matters of criminal law, particularly where extant decisions benefit defendants (*see* Hon. Sol Wachtler, *Stare Decisis and a Changing New York Court of Appeals*, 59 St John's L Rev 445, 453 [1985] ["In criminal cases, any change in rule or statutory interpretation that would be detrimental to a defendant should be avoided, and may indeed violate due process"]; *see also* Robert von Moschzisker, *Stare Decisis in Courts of Last Resort*, 37 Harv L Rev 409, 418 [1924] ["In the field of criminal law, the doctrine of *stare decisis* must be rigidly applied to prevent judicial changes which might operate to prejudice materially the rights of an accused"]).

Here, there is no rule that has proved unworkable, created more questions than it resolved or, in "the cold light of logic and experience," "no longer serves the ends of justice" (*Policano*, 7 NY3d at 604 [Kaye, Ch. J., dissenting in part]). To the contrary, the bright-line rule announced in *McIntyre* ensures consistency and certainty. Everyone knows when the prosecutor's opening statement commences. The People's rule, now adopted by the majority—that a trial would begin with jury selection—creates ambiguity. Does jury selection begin when the jury is brought into the courtroom? Before or after the jurors are addressed by the judge? If the judge says "welcome," and the defendant then interrupts to interpose a motion to proceed pro se, is the motion now untimely?

More fundamentally, the People have not pointed to any change in our criminal legal system since *McIntyre* was decided that places that decision in question. Instead, the People's argument boils down to what they advocate is a better rule: the last moment when defendant's request would be timely is when jury selection commences. It has long been held, however that this is not enough to overcome stare decisis (*see e.g. Dickerson v United States*, 530 US 428, 443-444 [2000] [observing, in discussing an argument for overruling *Miranda v Arizona* (384 US 436 [1966]), that, "(w)hether or not (a court) would agree with (a decision's) reasoning and its resulting rule, were (the court) addressing the issue in the first instance, the principles of *stare decisis* weigh heavily against overruling" where there is no "special justification" for departing from precedent and where that precedent's "doctrinal underpinnings" have not been "undermined" (internal quotation marks and citations omitted)]).

C.

Apart from stare decisis, the People's request to restrict a defendant's ability to invoke the right to proceed pro se must also overcome the great historical significance of the right to self-representation, and its status as a constitutional right of the first order (*see* NY Const, art I, § 6; *McIntyre*, 36 NY2d at 14-15). As the Court explained in *McIntyre*, "the right to self-representation embodies one of the most cherished ideals of our culture[:] the right of an individual to determine [that individual's] own destiny" (36 NY2d at 14). The magnitude of this right cannot be understated. Even when the choice to go pro se may be harmful to the accused, "respect for individual autonomy requires that [the accused] be allowed to go to jail under [the accused's] own banner if [the accused] so desires and if [the accused] makes the choice 'with eyes open' " (*id.*, quoting *United States ex rel. Maldonado v Denno*, 348 F2d 12, 15 [2d Cir 1965]).

The Court in *McIntyre* recognized that this fundamental right to self-representation is "subject to certain restrictions

. . . [which] promote the orderly administration of justice and . . . prevent subsequent attack on a verdict claiming a denial of fundamental fairness" (36 NY2d at 17). However, the People misunderstand *McIntyre*'s balancing of those interests. The People claim that the controlling logic of the *McIntyre* decision was aimed at avoiding disruption. As they argue in their brief, "permitting a defendant to proceed pro se during, or even just before, jury selection typically results in either a delay of the trial or, absent delay, an unprepared defendant trying the case before a confused jury." They claim that the better policy is to draw the line when jury selection commences because so doing avoids the "need to declare a mistrial and 'commence voir dire anew' " and guards against the "risk of juror confusion arising out of the discharge of counsel in the middle of jury selection." Making the deadline for declaring a request to proceed pro se timely earlier would thus "certainly mitigate, if not entirely eliminate 'the potential for obstruction and diversion' " which the People believe motivated the *McIntyre* Court.

There is nothing to suggest, however, that the People have identified an actual problem facing New York courts. In any case, the Court in *McIntyre* already weighed and balanced these concerns. The Court appreciated that invoking the right to proceed pro se during jury selection might result in delay. Nevertheless, the Court chose to recognize the timeliness of such a request interposed before the prosecutor's opening. That bright-line rule has worked for over 40 years.[6]

6. Any possible disruptive effect on the system writ large is less today than it would have been in 1974 when *McIntyre* was decided. It is now well-documented that criminal jury trials are becoming increasingly rare in both the federal and state courts (*see Missouri v Frye*, 566 US 134, 143-144 [2012] ["Ninety-seven percent of federal convictions and ninety-four percent of state convictions are the result of guilty pleas"], citing Dept of Justice, Bureau of Justice Statistics, Sourcebook of Criminal Justice Statistics Online, Table 5.22.2009, available at http://www.albany.edu/sourcebook/pdf/t5222009.pdf; Hon. Robert J. Conrad & Katy L. Clements, *The Vanishing Criminal Jury Trial: From Trial Judges to Sentencing Judges*, 86 Geo Wash L Rev 99, 104-105 and n 25 [2018] [noting that from 2006 to 2016 the number of federal criminal jury trials fell by 47% and that a similar trend occurred at the state level]; Benjamin Weiser, *Trial by Jury, a Hallowed American Right, is Vanishing*, NY Times, Aug. 7, 2016). The Supreme Court has commented that the modern criminal justice system is "for the most part a system of pleas, not a system of trials" (*Frye*, 566 US at 143, quoting *Lafler v Cooper*, 566 US 156, 170 [2012]), such that "the negotiation of a plea bargain, rather than the unfolding of a trial, is almost always the critical point for a defendant" (*Frye*, 566 US at 144). The truth of the matter is that the vast majority of criminal

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Even on their own terms, a rule that the trial begins when jury selection commences is hardly less disruptive. A defendant could invoke the right to self-representation minutes before jury selection begins, at which time the court and counsel would have cleared their calendars and prospective jurors would be on their way to the courtroom or even standing outside in the court hallway. The only possible time saved under this rule is the time actually spent on jury selection, but a defendant or the People may choose not to object and the trial would proceed with jury selection unchanged. Moreover, under this rule, a court may still exercise its discretion and grant an untimely request. It is not certain, then, that the proposed new rule avoids the problem the People identify. Indeed, the closer to the beginning of jury selection the request is interposed, the stronger the case a defendant may have for why the court should grant the request, given that pretrial motion practice would have proceeded with the benefit of counsel and there will be a limited impact on the jury selection process. The reality is that, even midtrial, there is always the possibility for disruption and delay—a witness may be unavailable, the judge or lawyers may get sick, a juror's conduct may be placed in question, or an adjournment may be necessary for some other reason.

III.

To the extent the People rely on *People v Antommarchi* (80 NY2d 247 [1992]), that case, and other cases from this Court, like *People v Anderson* (16 NY2d 282 [1965]), have interpreted the components of the "trial" in a way that expands the rights of defendants, not, as the People here advocate, to limit a defendant's constitutional right. This fundamental flaw in the analysis also drives the majority's misguided approach and ultimate conclusion that defendant's request here was untimely.

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cases in this state are now resolved by plea, not jury trial, and the instanceswhere, as here, a defendant requests to proceed pro se during jury selection are few and far between (*see People v Tiger*, 32 NY3d 91, 114 [2018, Wilson, J., dissenting] ["In New York State in 2016, less than three percent of nearly 50,000 criminal dispositions went to trial"], citing National Center for State Courts, Court Statistics Project, *2016 Gen. Jurisdiction Criminal Jury Trials and Rates, New York*, http://www.ncsc.org/Sitecore/Content/Microsites/PopUp/Home/CSP/CSP_Intro; *People v Monk*, 21 NY3d 27, 34 [2013, Rivera, J., dissenting] ["It is an undeniable reality of our current criminal justice system that the majority of defendants will be sentenced in accordance with a negotiated plea"]).

In *Antommarchi*, this Court observed that "[d]efendants are entitled to hear questions intended to search out a prospective juror's bias, hostility or predisposition to believe or discredit the testimony of potential witnesses and the venire person's answers so that they have the opportunity to assess the juror's 'facial expressions, demeanor and other subliminal responses' " (80 NY2d at 250, quoting *People v Sloan*, 79 NY2d 386, 392 [1992]). To realize that right, the Court was prepared to recognize the impaneling of the jury as a material stage of the trial, simply in order to underline the fact that the defendant was entitled to be present for it. If defendants must be permitted to be present for jury selection, it is certainly no less important for them to be able to decide at that stage that they do not want their attorney to represent them and that they prefer to represent themselves.

As the Court stated clearly in *Anderson*, quoting *Steckler*: "We are not bound to accept [a] definition [of 'trial'] if it is not in keeping with the purpose of the statute before us and another sensible meaning may be given to the word" (16 NY2d at 288). This directive carries even greater force where the right at issue is constitutional and we have already given "trial" another sensible meaning. Indeed, it would undermine the certainty of our current rule, and again in the words of *Anderson*, constitute "an unwarranted departure from the clear public policy of New York as well as a violation of fundamental fairness," to cabin a defendant's autonomy every time the statute changes (*id.*). What matters is that the defendant is given the opportunity to exercise autonomy when the jury is deciding the defendant's fate—when the jury is constituted and ready to consider the People's arguments and evidence. That is when the defendant risks going to jail "under [the defendant's] own banner" and that is when the request is timely. After this point, the right may still be invoked but may or may not be honored because, as the trial judge below remarked, the "actual trial" has begun.

IV.

Defendant's request to proceed pro se was interposed before the beginning of the prosecutor's opening statement. To reject the request as untimely was clear error by the trial court. Therefore, the Appellate Division properly reversed and ordered a new trial. Forty years of jurisprudence would make this a straightforward case and readily lead us to affirm.

Astonishingly, the majority decides otherwise, reaching its conclusion in disregard of the demands of stare decisis and our well-established rule. I dissent.

Judges STEIN, GARCIA and SCHEINKMAN* concur; Judge RIVERA dissents and votes to affirm in an opinion, in which Judges FAHEY and WILSON concur; Judge FEINMAN taking no part.

Order reversed and case remitted to the Appellate Division, First Department, for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2] [b]) and issues raised but not determined on the appeal to that Court.

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* Designated pursuant to NY Constitution, article VI, § 2.

[112 NE3d 1259, 88 NYS3d 136]

INTERNATIONAL UNION OF PAINTERS & ALLIED TRADES, DISTRICT COUNCIL NO. 4, by its Secretary-Treasurer, MARK STEVENS, et al., Respondents, v NEW YORK STATE DEPARTMENT OF LABOR et al., Appellants.

Argued September 12, 2018; decided October 18, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 10, 2017. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Erie County (James H. Dillon, J.; op 2015 NY Slip Op 32859[U] [2015]), which had (i) granted a declaratory judgment finding that defendant New York State Department of Labor's determination that the work in question was that of the ironworkers and not of the glaziers is not unreasonable or arbitrary or capricious; (ii) granted defendants' motion to dismiss all other claims; and (iii) dismissed all other claims; (2) denied defendants' motion to dismiss the complaint; (3) reinstated the complaint; (4) granted plaintiffs' cross motion for summary judgment; and (5) granted judgment in favor of plaintiffs, adjudging and declaring that (i) Labor Law § 220 (3) (a), (b) and (3-e) apply to glazier apprentices enrolled in the DC4 Glazier Apprenticeship Program, and (ii) glazing contractors may compensate apprentices registered and enrolled in the DC4 Glazier Apprentice Program in accordance with the applicable apprentice rates posted by defendant New York State Department of Labor on taxpayer financed projects. The following question was certified by the Appellate Division: "Was the order of this Court entered February 10, 2017, properly made?"

International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor, 147 AD3d 1542, reversed.

HEADNOTES

Statutes — Construction — Judicial Deference to Administrative Interpretation

1. Defendant New York State Department of Labor's interpretation of Labor Law § 220 (3-e) to mean that an employee who is registered as an apprentice in a particular trade must be paid journeyworkers' wages when performing a public work task outside that trade was entitled to deference.

When the interpretation of a statute involves specialized knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom, the courts should defer to the administrative agency's interpretation as long as the agency provided a rational interpretation not inconsistent with the plain language of the statute. The language of Labor Law § 220 (3-e) is ambiguous. After the awkwardly-worded statement that "[a]pprentices will be permitted to work as such only when they are registered, individually, under a bona fide program registered with the [defendant]," the statute provides that "[a]ny employee listed on a payroll at an apprentice wage rate, who is not registered as above, shall be paid the wage rate determined by the [defendant] for the classification of work [the employee] actually performed" (Labor Law § 220 [3-e]). The controversial point of exegesis is the relation between an apprentice's working "as such" and registering "under a bona fide program." The words "to work as such" might be taken to mean working as an apprentice, no matter the trade, or to denote working as an apprentice in the apprentice's chosen trade, with the latter interpretation validating defendant's position. Those issues could not be appropriately analyzed without an understanding of the underlying operational practices of the trades regulated by defendant.

Labor — Apprentices — Wage Rate on Public Work Projects

2. Defendant New York State Department of Labor's statute-based policy limiting the payment of apprentice wages on public work projects to apprentices who are performing tasks that are within the respective trade classifications of the approved apprenticeship programs in which they are enrolled was rational. Labor Law § 220 (3-e), as analyzed by defendant, ensures that apprentices are learning tasks within their trades and that they are not used as cheap labor. Given that Labor Law § 220 as a whole was intended to prevent employers from cutting standards of construction work by hiring an excessive number of unskilled employees, and to ensure that learning-level workers receive approved, supervised training, it was rational for defendant to conclude that section 220 (3-e) prohibits employers from diluting standards by hiring apprentices to perform tasks in trades for which they are not training. Further, defendant did not, by requiring contractors to pay journeyworker wages, based on the work actually performed, impose a limitation on employers even though the statute provided no such limitation. The statute supported defendant's interpretation by requiring that the ostensible apprentice who is not in fact appropriately registered be paid journeyworker's wages "for the classification of work . . . actually performed" (Labor Law § 220 [3-e]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Administrative Law §§ 74, 76; AM JUR 2d Public Works and Contracts §§ 213, 224.

MCKINNEY'S, Labor Law § 220 (3) (a), (b); (3-e).

NY JUR 2d Administrative Law §§ 320, 321; NY JUR 2d Public Works and Contracts §§ 95, 98.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Public Works and Contracts.

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POINTS OF COUNSEL

Barbara D. Underwood, Attorney General, Albany (*Owen Demuth* and *Andrew D. Bing* of counsel), for appellants. I. New York State Department of Labor's interpretation is rational and consistent with the plain language and statutory purposes of Labor Law § 220 and article 23. (*Matter of Lantry v State of New York*, 6 NY3d 49; *Matter of Kelly v Beame*, 15 NY2d 103; *Matter of Monarch Elec. Contr. Corp. v Roberts*, 70 NY2d 91; *Seittelman v Sabol*, 91 NY2d 618; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of United Constr. Contrs. Assn. v Levine*, 52 AD2d 371, 39 NY2d 711; *Albany Elec. Contrs. Assn. v Angello*, 6 AD3d 920; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *James Sq. Assoc. LP v Mullen*, 21 NY3d 233.)

Lipsitz Green Scime Cambria LLP, Buffalo (*Joseph L. Guza, John A. Collins* and *Richard D. Furlong* of counsel), *Adams Bell Adams, P.C.*, Rochester (*Daniel P. Adams* of counsel), *Duke Holzman Photiadis & Gresens, LLP*, Buffalo (*Patricia Gillen* of counsel), and *Harris Beach, PLLC*, Pittsford (*Edward A. Trevvett* of counsel), for respondents. I. New York State Department of Labor's interpretation of Labor Law § 220 (3-e) is irrational and inconsistent with the plain meaning of the statute and the statutory purposes of Labor Law § 220 and article 23. (*Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Cole v Mandell Food Stores*, 93 NY2d 34; *People ex rel. Harris v Sullivan*, 74 NY2d 305; *Matter of Tucker v Board of Educ., Community School Dist. No. 10*, 82 NY2d 274; *Matter of Monarch Elec. Contr. Corp. v Roberts*, 70 NY2d 91; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337; *Matter of Action Elec. Contrs. Co. v Goldin*, 64 NY2d 213; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588.) II. New York State Department of Labor is entitled to no deference as it seeks to rewrite Labor Law § 220 (3-e), not interpret it. (*Matter of Action Elec. Contrs. Co. v Gol-*

din, 64 NY2d 213; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98.) III. New York State Department of Labor's claim that applying the plain meaning rule to Labor Law § 220 (3-e) will result in apprentices performing the work of any craft *as apprentices* is invalid. IV. New York State Department of Labor's attempts to protect the ironworkers union's apprentice program from competition at the expense of the glaziers union's bona fide apprentice program contravenes the prevailing rate statute generally and its apprentice provisions specifically. (*Martin v Curran*, 303 NY 276; *Matter of Beltrone Constr. Co. v McGowan*, 260 AD2d 870; *Matter of Monarch Elec. Contr. Corp. v Roberts*, 70 NY2d 91; *Matter of Beltrone Constr. Co. v McGowan*, 260 AD2d 870; *E. Williamson Roofing & Sheet Metal Co. v Town of Parish*, 139 AD2d 97; *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854; *Matter of General Bldg. Contrs. of N.Y. State v Board of Trustees, Vil. of Cayuga Hgts.*, 42 AD2d 660; *Matter of Action Elec. Contrs. Co. v Goldin*, 64 NY2d 213; *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854.) V. Plaintiffs merely aim to have glazier apprentices paid *as apprentices* on taxpayer-finance projects, and *do not challenge* the applicable prevailing wage classification and apprentice rates as determined by New York State Department of Labor. (*Matter of Lantry v State of New York*, 6 NY3d 49.)

Brown & Weinraub, PLLC, Albany (*Patrick E. Brown* and *Tracy L. Connolly* of counsel), for New York State Building & Construction Trades Council, AFL-CIO, amicus curiae. I. The Fourth Department's decision is harmful to individual apprentices who enroll in trade-specific programs and expect to be trained in a specific trade. (*Matter of Monarch Elec. Contr. Corp. v Roberts*, 70 NY2d 91.) II. The Fourth Department's decision is harmful to the highly specialized construction industry and its associated apprenticeship programs, in both New York State and throughout the country.

OPINION OF THE COURT

Fahey, J.

Here, the Court, once again, finds itself in the thicket of interpreting New York's constitutional prevailing wage requirement. We uphold the statute-based policy of the New York State Department of Labor limiting the payment of apprentice wages on public work projects to apprentices who are performing tasks that are within the respective trade classifications of the approved apprenticeship programs in which they are enrolled. The text of the statute is ambiguous and is best analyzed with reference to the underlying operational practices. Our analysis is governed by the deferential standard applicable to an agency's interpretation of a statute it is charged with enforcing. We hold that the Department's interpretation is rational and should be upheld.

I.

Plaintiff International Union of Painters & Allied Trades, District Council No. 4 (DC4) is a labor organization that represents skilled tradespersons in several industries, including glaziers, in Western and Central New York. Plaintiff International Union of Painters & Allied Trades, Finishing Trades Institute of Western & Central New York (FTI) is an associated "joint labor-management, non-profit trust." DC4 and FTI sponsor a glazier apprenticeship program (the DC4 Glazier Apprenticeship Program or the DC4 Program), which has been registered with defendant New York State Department of Labor (the DOL) for many years. Apprentices enrolled in the DC4 Glazier Apprenticeship Program are placed in field assignments with contractors that specialize in the manufacture and installation of glass products, including plaintiffs Forno Enterprises, Inc., TGR Enterprises, Inc., Hogan Glass, LLC, and Ajay Glass & Mirror Co. (the Glazing Contractors).

The DOL is responsible for enforcing the prevailing wage law applicable to work on public projects in each locality, classifying work performed on such projects as a "task" assigned to a specific trade, and regulating apprenticeship programs. The agency determines prevailing wage rates for two categories of worker within each trade: journeyworkers and apprentices.

The curriculum of the DC4 Glazier Apprenticeship Program requires apprentices to spend a specific number of hours performing the installation of storefronts and entrances, curtain wall, and preglazed windows. However, each of these "work processes" involves both glazier "tasks" and ironworker "tasks." For example, if an apprentice is engaged in the construction of curtain wall, forming the glass outer covering of a building, the apprentice may be performing ironwork when installing the metal frames, but glazier work if installing glass settings.[1]

According to plaintiffs' complaint, apprentices in the DC4 Program typically meet their hourly requirements by working for glazing contractors on public projects. The glazing contractors in turn benefit financially because they pay lower wages and benefit rates to the apprentices than they would to journeyworkers. This advantage enjoyed by the contractors is constrained, however, by Labor Law § 220 (3-e), which provides that

> "[a]pprentices will be permitted to work as such only when they are registered, individually, under a bona fide program registered with the [DOL]. The allowable ratio of apprentices to journeymen in any craft classification shall not be greater than the ratio permitted to the contractor as to his work force on any job under the registered program. Any employee listed on a payroll at an apprentice wage rate, who is not registered as above, shall be paid the wage rate determined by the [DOL] for the classification of work [the employee] actually performed."

As the DOL explains on its website, the agency interprets this statute to mean that

> "[e]mployees cannot be paid apprentice rates unless they are individually registered in a program registered with the [DOL]. . . . An employee listed on a payroll as an apprentice who is not registered as above or is performing work outside the classification of work for which the apprentice is indentured, must be paid the prevailing journeyworker's wage rate for the classification of work the employee is actually performing" (NY St Dept of Labor, General Provisions of Laws Covering Workers on Public Work Contracts, https://www.labor.

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1. Notably, plaintiffs do not challenge the DOL's classification, as ironwork, of certain tasks that fall within the work processes typically carried out by glaziers. In particular, plaintiffs find no fault with our decision in *Matter of Lantry v State of New York* (6 NY3d 49 [2005]), where we upheld the DOL's classification of the tasks involved in installing preglazed windows into masonry as ironwork, rather than glazier work.

ny.gov/workerprotection/publicwork/pwgeneral provisions.shtm [last accessed Sept. 20, 2018], cached at http://www.nycourts.gov/reporter/webdocs/NYSDOLGenProvLawsCoveringWorkers.pdf).

In other words, the DOL interprets Labor Law § 220 (3-e) to mean that apprentices employed on public work projects may be paid apprentice rates only if they are performing tasks within the trade classification (e.g., "glazier," "ironworker") that is the subject of the apprenticeship program in which they are enrolled. Apprentices who are performing tasks, in the installation of storefronts, curtain wall, and preglazed windows, that are classified as ironwork tasks may be paid the apprentice rate only if they are enrolled in an ironworker apprentice program (approved by the DOL), as opposed to a glazier apprentice program. Apprentices learning any trade other than ironwork, including those enrolled in a glazier apprenticeship program, must be paid journey-level ironworker prevailing wages and benefit rates if they are engaged in the parts of a work process that are classified as ironwork tasks.

II.

Plaintiffs—DC4, FTI, the Glazing Contractors, a DC4 Program apprentice, a DC4 Program graduate, and two citizen taxpayers—brought this declaratory judgment action against the DOL, its Acting Commissioner, and Christopher Alund, the Director of the DOL's Bureau of Public Work. Plaintiffs seek a judgment declaring that glazing contractors may compensate apprentices registered and enrolled in the DC4 Program in accordance with the applicable apprentice rates posted by the DOL on taxpayer-financed projects, as opposed to journey-level wages. They assert that the DOL's interpretation of Labor Law § 220 (3-e) violates the plain meaning of the law, and that the statute permits contractors on public works to pay apprentices the posted apprentice rates, provided that they are registered in any DOL-certified apprenticeship program. Plaintiffs also sought related injunctive relief.

Several affidavits accompany the complaint. The principals of the Glazing Contractors state that they would not hire apprentice glaziers on public projects unless they could pay them apprentice wage rates. Insofar as the DOL requires them to pay journey-level prevailing wages to glazier apprentices for public work tasks classified as ironwork, the Glazing Contractors instead employ fully skilled glazier journeyworkers for those tasks. Plaintiffs argue that, because of the higher wages paid, the Glazing Contractors charge public customers substantially more than private customers, whose work can be done by glazier apprentices at apprentice rates. They assert that, in this manner, the DOL's interpretation of the statute has the result of inflating the cost of taxpayer-financed projects and that glazier apprentices lose opportunities for on-the-job training.

Defendants answered and moved to dismiss the complaint and, in particular, for summary judgment on the cause of action outlined above. In an affidavit, defendant Christopher Alund, the Director of the DOL's Bureau of Public Work, noted that

> "a glazier apprentice may be paid glazier apprentice wages on a public work project for tasks that are classified as glazier's work: for example, installation of glass-related products such as glass settings, sealants, and pressure plates into curtain wall; installing glass into metal frames of storefronts and entrances, with the possible exception of some specialty work; and any other work that DOL classifies as within the glaziers' trade."

On the other hand, "[i]f an ironworker apprentice performed such work on a public work project, the apprentice could not be paid an apprentice wage but would have to be paid a glazier's journey[worker] prevailing rate."

In her affidavit, the Director of the DOL's Apprenticeship Training Program explained that requiring apprentices to perform work that is classified as within the trade they are learning, in order to be paid at the apprentice wage rate, ensures that a public-work contractor will not treat apprentice labor as a commodity. The Training Program Director pointed out that "[i]f public-work contractors could lower their wage bill by employing *any* apprentice to perform *any* trade's work, that would limit the likelihood that an apprentice received training for work within the trade the apprentice is learning."

Plaintiffs cross-moved for summary judgment on their complaint. Countering the DOL's policy concerns, the secretary of one of the Glazing Contractors opined in her affidavit that there is no incentive for glazing contractors to hire apprentices other than glazier apprentices to perform glazier work, because

> "it would make absolutely no economic sense to employ apprentices who know nothing about the

> work of glaziers to perform our work. . . . Put simply, [the Glazing Contractors] operate in highly competitive markets and in a technically advanced trade where the training and skill level of . . . employees, including apprentices, spells the difference between economic success and failure."

Supreme Court granted defendants' motion, granted declaratory relief in defendants' favor, and otherwise dismissed plaintiffs' complaint, stating that the DOL's "determination that the work in question is that of the ironworkers and not of the glaziers is not unreasonable or arbitrary or capricious." (2015 NY Slip Op 32859[U], *3 [2015].) The Appellate Division reversed, denied defendants' motion, reinstated the complaint, granted plaintiffs' cross motion, and "[a]djudged and declared that glazing contractors may compensate apprentices registered and enrolled in the DC4 Glazier Apprenticeship Program in accordance with the applicable apprentice rates posted by defendant [the DOL] on taxpayer financed projects" (147 AD3d 1542, 1542 [4th Dept 2017]). The Appellate Division held

> "that Labor Law § 220 (3-e), by its terms, permits glazier apprentices who are registered, individually, under a bona fide glazier apprenticeship program to work and be paid as apprentices even if the work they are performing is not work in the same trade or occupation as their apprenticeship program" (*id.* at 1546).

The Court reasoned that there was no need to defer to the DOL's interpretation of Labor Law § 220, in light of "the plain meaning of" the statutory language (*id.* at 1543) and on the ground that the interpretation did not involve specialized knowledge and understanding of operational practices (*see id.* at 1544).

One Justice dissented, rejecting the majority's plain meaning analysis and pointing out that "[t]he language of the statute is ambiguous and lends itself to either of the competing interpretations offered by the parties" (*id.* at 1548 [Whalen, P.J., dissenting]). The dissenting Justice observed that "[t]he DOL is charged with implementing and enforcing both the prevailing wage law, and supervising and maintaining standards for apprenticeship programs. Consequently, defendants' interpretation of Labor Law § 220 (3-e) is entitled to deference and must be upheld absent demonstrated irrationality or unreasonableness" (*id.* at 1547 [Whalen, P.J., dissenting] [internal quotation marks and citations omitted]).

The dissent further reasoned that the DOL's interpretation was rational:

> "[P]ursuant to section 220 (3-e), an employee may be paid at the lower rate for apprentices only for work within the trade classification of his or her apprenticeship program. Any employee who is working outside the trade classification of his or her apprenticeship program is not working 'as such,' i.e., as an apprentice, under the statute. In that circumstance, the employee is entitled to be paid at the rate paid to journey-level workers for 'the classification of work . . . actually performed.' The DOL's interpretation ensures that workers receive appropriate wages based upon the work they perform, and that they receive appropriate training in their trade classification when they are in fact working as apprentices" (*id.* at 1547-1548 [Whalen, P.J., dissenting] [citations omitted]).

The Appellate Division granted defendants leave to appeal (149 AD3d 1625 [4th Dept 2017]) and certified the question whether its order was properly made. We now reverse and answer the certified question in the negative.

III.

Article I, § 17 of the New York Constitution and Labor Law § 220 require that laborers, workers, and mechanics employed on public works be paid a statutorily determined prevailing wage rate (*see* Labor Law § 220 [3] [a]). In *Matter of Monarch Elec. Contr. Corp. v Roberts* (70 NY2d 91 [1987]), we observed that "[a]s originally enacted, the prevailing wage law contained no provision regulating the employment of apprentices on public works projects" (*id.* at 95) but that, in 1967, the legislature added Labor Law § 220 (3-e) "to expressly prohibit working as an apprentice on a public works project unless a person is individually registered in a State-approved apprenticeship program, and to regulate the allowable ratio of apprentices to journey-level workers" (*id.* at 95; *see* L 1967, ch 503). As amended, Labor Law § 220 requires "classification of workers by status—as either journey[workers] or apprentices—and by expertise, as carpenters, ironworkers, roofers, etc." (*Monarch Elec. Contr. Corp.* at 96). The statute further requires "that all covered workers be paid a journey[worker]'s prevailing wage for their occupation unless they are apprentices registered in accordance with the statute" (*id.*).

The purpose of Labor Law § 220 (3-e) and a 1966 amendment was

> "to prevent subversion of the prevailing wage law, which itself was intended to thwart what had become a widespread competitive practice among contractors of exploiting the labor force in order to submit the lowest bid for public work. Prior to the [1966-1967] amendments, contractors could set up sham training programs which were not supervised by the State, classify persons as apprentices regardless of skill level, and pay them less than journey-level wages" (*id.* at 95 [citation omitted]).

Specifically, the law was "intended to prevent employers from cutting standards of construction work by hiring an excessive number of unskilled employees, and to ensure that learning-level workers receive approved, supervised training" (*id.* at 95-96).

The language of Labor Law § 220 (3-e) is ambiguous. After the awkwardly-worded statement that "[a]pprentices will be permitted to work as such only when they are registered, individually, under a bona fide program registered with the [DOL]," the statute provides that "[a]ny employee listed on a payroll at an apprentice wage rate, who is not registered as above, shall be paid the wage rate determined by the [DOL] for the classification of work [the employee] actually performed" (Labor Law § 220 [3-e]). As we have seen, the DOL interprets the law to mean that an employee who is registered as an apprentice in a particular trade must be paid journeyworkers' wages when performing a public work task outside that trade.

[1] It is well established that when "the interpretation of a statute involves specialized knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom, the courts should defer to the administrative agency's interpretation" (*Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005] [internal quotation marks omitted]), as long as the agency provided "a rational interpretation . . . not inconsistent with the plain language" of the statute (*James Sq. Assoc. LP v Mullen*, 21

NY3d 233, 251 [2013]). In such circumstances, the DOL's "interpretation of a statute it is charged with enforcing is entitled to deference" (*Samiento v World Yacht Inc.*, 10 NY3d 70, 79 [2008]) and, barring irrationality or inconsistency with unambiguous statutory text, its interpretation must be upheld.

> "However, where the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency. In such a case, courts are free to ascertain the proper interpretation from the statutory language and legislative intent" (*Seittelman v Sabol*, 91 NY2d 618, 625 [1998] [internal quotation marks and citations omitted]).

In this case, proper analysis of the statutory language calls for an understanding of underlying practices. No interpretation of the plain text of the statute or construction based on its legislative history adequately resolves the meaning of the provision that "[a]pprentices will be permitted to work as such only when they are registered, individually, under a bona fide program registered with the [DOL]."

The controversial point of exegesis is the relation between an apprentice's working "as such" and registering "under a bona fide program." In particular, the words "to work as such" might be taken to mean working as an apprentice, no matter the trade, or to denote working as an apprentice in the apprentice's chosen trade, with the latter interpretation validating the DOL's position. In our view, these issues cannot be appropriately analyzed without an understanding of the underlying operational practices of the trades regulated by the DOL.

Consequently, the DOL's interpretation of Labor Law § 220 (3-e) is entitled to deference unless it is inconsistent with unambiguous language in the statute or irrational. Here, there is no unambiguous text with which the DOL's interpretation clearly conflicts. The DOL is simply interpreting the statute's ambiguous reference to an apprentice's working "as such" (Labor Law § 220 [3-e]) to mean working as an apprentice in the apprentice's chosen trade. It follows that an apprentice may "work as such," i.e., work as an apprentice in a particular trade and receive apprentice wages for tasks classified by the DOL as belonging to that trade, only when registered under an approved apprenticeship program for that trade. Certainly, the dissent's effort to read "as such" as referring to tasks claimed to be included in the apprenticeship program curriculum is no more compatible with the language of the statute.[2] We conclude that the DOL's interpretation is not inconsistent with the statutory language.

IV.

[2] Turning to the question of rationality, the DOL's understanding of the statute is supported by a significant rationale. Labor Law § 220 (3-e), as analyzed by the DOL, ensures that apprentices are learning tasks within their trades and that they are not used as cheap labor.[3] The interpretation advanced by the Glazing Contractors would give contractors a financial incentive, particularly if ironworker apprentices were scarce, to divert glazier apprentices from their limited opportunities to learn glazier skills and require them to perform ironworker tasks. There is a substantial risk that employers would seek to use cheaper labor whenever consistent with the construction market. Glazier apprentices would lose significant training hours in their chosen trade if diverted to working in another trade, and they would receive supervision only from journeyworkers who are, at best, expert in a trade different from their own. As amicus New York State Building & Construction Trades Council, AFL-CIO notes, the Appellate Division's holding is not limited to the two overlapping trades of ironworkers and glaziers, but would apply generally. It would have the impractical implication of permitting a contractor to pay an apprentice rate "to a bricklayer apprentice who performs . . . sheet metal work" or to an apprentice painter who does plumbing.

Given that Labor Law § 220 as a whole was "intended to prevent employers from cutting standards of construction work by hiring an excessive number of unskilled employees, and to ensure that learning-level workers receive approved, supervised

2. Contrary to the dissent's suggestion, the parties dispute whether the DC4 Program's curriculum includes those tasks, within the work processes contemplated by the curriculum, that are classified as ironwork. Even assuming that glazier apprentices in the DC4 Program are required to learn some ironwork tasks, however, this would not compel the conclusion that such tasks must be considered glazier tasks for wage purposes, when performed by glazier apprentices working on public projects.

3. DOL does not assert that the Glazing Contractors in this case exploited apprentices in any manner.

training" (*Monarch Elec. Contr. Corp.*, 70 NY2d at 95-96), it was rational for the DOL to conclude that section 220 (3-e) prohibits employers from diluting standards by hiring apprentices to perform tasks in trades for which they are not training.

Finally, we reject plaintiffs' contention that the DOL, by requiring contractors to pay journeyworker wages, based on the work actually performed, to apprentices who are working out of their registered trade, has imposed a limitation on employers even though the statute "provides no such limitation" (*Matter of Action Elec. Contrs. Co. v Goldin*, 64 NY2d 213, 223 [1984]). The statute supports the DOL's interpretation by requiring that the ostensible apprentice who is not in fact appropriately registered be paid journeyworker's wages "for the classification of work . . . actually performed" (Labor Law § 220 [3-e]). The DOL's analysis was not an "arbitrary and irrational interpretation of the statute," unsupported by the statutory language (*Action Elec. Contrs. Co.*, 64 NY2d at 223). On the contrary, we conclude that it is eminently reasonable.

Accordingly, the order of the Appellate Division should be reversed, with costs, the judgment of Supreme Court reinstated, and the certified question answered in the negative.

GARCIA, J. (dissenting). I disagree with the majority that apprentice glaziers, enrolled in an apprenticeship program that is properly registered with the New York State Department of Labor (the DOL), performing work required as relevant training by that program's DOL-approved curriculum, must be paid journeyworker rather than apprentice wages. For that reason, I dissent.

New York's prevailing wage law mandates that workers engaged in public work not "be paid less than the rate of wages prevailing in the same trade or occupation in the locality within the state" where the public work is to be located (NY Const, art I, § 17). As the majority notes, the DOL is responsible for classifying work performed on public works projects as tasks assigned to specific trades and for determining wage rates for journeyworkers and apprentices within each trade (majority op at 202). A worker on public works projects must be paid the prevailing wage for the work site's location unless that worker is properly qualified as an apprentice, that is, an unskilled worker learning a construction trade.

It is crucial that apprentices receive training opportunities on construction sites in order to complete their program and become skilled journeypersons, but a contractor would have little incentive to pay a glazier-in-training full journeyworker wages. Labor Law § 220 (3-e) serves to provide that incentive, allowing a contractor on a public works project to pay lower wages to the apprentice and in that way opening up opportunities for the apprentice to develop the necessary skills.

The statute sets forth the requirements:

> "Apprentices will be permitted to work as such only when they are registered, individually, under a bona fide program registered with the New York State Department of Labor. *The allowable ratio of apprentices to journeymen in any craft classification shall not be greater than the ratio permitted to the contractor as to his work force on any job under the registered program*. Any employee listed on a payroll at an apprentice wage rate, who is not registered as above, shall be paid the wage rate determined by the [DOL] for the classification of work he actually performed" (Labor Law § 220 [3-e] [emphasis added]).

The statute does two things critical to the analysis of the issue in this case: (1) it gives the DOL the power to curb potential abuse of the apprentice system by requiring all programs to be approved by the DOL; and (2) it requires, in the section italicized above, certain ratios of journeyworkers to apprentices for each trade classification. Those ratios ensure that employers do not avoid prevailing wage requirements "by hiring an excessive number of unskilled employees" and that "learning-level workers receive approved, supervised training" (*Matter of Monarch Elec. Contr. Corp. v Roberts*, 70 NY2d 91, 95-96 [1987]).

As required by the statute, plaintiffs International Union of Painters & Allied Trades, District Council No. 4 (DC4) and International Union of Painters & Allied Trades, Finishing Trades Institute of Western & Central New York (FTI) jointly registered a glazier apprenticeship program with the DOL. This apprenticeship program has been registered with the DOL for more than 20 years, and each year it must go through a recertification process to ensure the program's compliance with the DOL's strict standards for apprenticeship programs in accordance with 12 NYCRR part 601 and Labor Law article 23.

The program's DOL-approved curriculum, "formulated largely by the DOL," reflects the array of skills required to perform glazier work. Glaziers do more than install windows. Among other things, they "select, cut, install, replace, and remove residential, commercial, and artistic glass," and "install aluminum storefront frames and entrances, glass handrails and balustrades, shower enclosures, curtain wall framing, preglazed windows and glass and mirror walls." As a result, the curriculum specifically calls for certain hours of training in the installation of storefronts and entrances, curtain wall, and preglazed windows. All these tasks are deemed "meaningful employment and relevant training" for glazier apprentices (12 NYCRR 601.1). Nevertheless, the DOL, under its parallel authority to classify trades, has classified several tasks required to perform these "work processes" as ironwork, rather than glazier work (*see Matter of Lantry v State of New York*, 6 NY3d 49 [2005]). This classification of certain work performed by glaziers as ironwork has not removed this work from the purview of glaziers or from the required curriculum of a glazier apprentice. The issue here is whether, when performing these tasks as part of the DOL-approved apprentice curriculum, the apprentice should be paid the journeyworker rate for work classified as ironwork.[1]

In 2005, in response to an inquiry from plaintiffs, the DOL stated its position on this issue as follows:

> "An employee listed on a payroll as an apprentice who is not registered as above *or is performing work outside the classification of work for which the apprentice is indentured*, must be paid the prevailing journeyworker's wage rate for the classification of work the employee is actually performing" (NY St Dept of Labor, General Provisions of Laws Covering Workers on Public Work Contracts, https://www.labor.ny.gov/workerprotection/publicwork/pwgeneralprovisions.shtm, cached at http://www.nycourts.gov/reporter/webdocs/NYSDOLGenProvLawsCoveringWorkers.pdf).

1. The legislative history of the statute demonstrates an intent to adopt the same method of distinguishing journeyworkers and apprentices as that applied under the federal Davis-Bacon Act and its applicable regulations, 29 CFR 5.5. Those regulations use nearly identical language to that found in Labor Law § 220 (3-e). Yet no party has provided any indication as to the policy of the federal Department of Labor. One case appears to lend support to the plaintiffs' interpretation of the language (*see In the Matter of Palmer & Sicard, Inc.*, 1977 WL 24838, 1977 DOL Wage App Bd LEXIS 5 [US Dept of Labor Wage Appeals Bd WAB case No. 77-12, Dec. 14, 1977]).

This "policy" in effect amends the statute to add the italicized language. As a result of this interpretation, plaintiffs allege that glazing contractors are forced to pay inflated labor costs, the glazier apprenticeship program is unable to place registered glazier apprentices on public works projects, glazier apprentices are unable to obtain sufficient field training, and consequently, glazing contractors face a shortage of skilled glaziers.[2] In this suit, plaintiffs seek a declaration that plaintiff glazing contractors may compensate apprentices registered and enrolled in the glazier apprentice program in accordance with the applicable apprentice rates posted by the DOL on taxpayer financed projects, when performing "work constituting a significant portion of the DOL mandated curriculum for glazier apprentices." Essentially, plaintiffs want glazier apprentices to be paid apprentice wage rates when performing work that the DOL has required them to learn, through on-the-job training, in order for them to complete their apprenticeship program.

The Appellate Division rejected the DOL's interpretation of the statute. The majority of that Court refused to defer to the DOL's interpretation because it was "contrary to the plain meaning of the statutory language" (147 AD3d 1542, 1544 [2017]). That Court concluded that the language of the statute was clear and unambiguous and therefore should be given its plain meaning, namely that "glazier apprentices who are registered, individually, under a bona fide glazier apprenticeship program [may] work and be paid as apprentices even if the work they are performing is not work in the same trade or occupation as their apprenticeship program" (*id.* at 1546). Rather than deciding the issue based on the plain meaning of Labor Law § 220 (3-e), the majority here defers to the DOL's interpretation and finds it "not inconsistent with the statutory language" (majority op at 210). I agree with the Appellate Division that such deference is inappropriate in this case.

Where there is a "question . . . of pure legal interpretation of statutory terms, deference to the [agency] is not required" (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 102 [1997]). Deference is warranted only where an agency is "applying its special expertise in a particular field to interpret statutory language" (*id.*). Where instead the question requires statutory

2. As the majority points out, plaintiffs also allege that the policy has the effect of "inflating the cost of taxpayer-financed projects" (majority op at 205).

analysis "dependent only on an accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency and its interpretive regulations are therefore to be accorded much less weight" (*Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166, 173 [1988], quoting *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). "In such circumstances, the judiciary need not accord any deference to the agency's determination, and is free to ascertain the proper interpretation from the statutory language and legislative intent" (*Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225, 231-232 [1996]). No deference is warranted here.

This is not a case where interpretation of the statute requires any specialized knowledge or expertise. The DOL would make it so by raising the issue of its authority to classify tasks as the work of a particular trade. That expertise is not relevant here. No one disputes the DOL's authority to classify the tasks at issue as ironwork. Indeed, in *Matter of Lantry v State of New York* (6 NY3d 49 [2005]), this Court deferred to the DOL Commissioner's determination on this issue because classification determinations require a deep understanding of underlying trade practices, of the relevant industries, and of construction trades as a whole. The DOL's expertise would also be relevant to the DOL's determination of the appropriate curriculum for any registered apprenticeship program. Certainly it would be difficult to challenge the DOL's approval of the tasks at issue here as part of the relevant training for a glazier. But once that decision is made by the DOL, and the program is registered and the individual is registered in it, the statute says that worker gets paid at an apprentice wage rate while working in that program.

Even if deference were warranted here, which it is not, the DOL's interpretation in direct contravention of the statute's plain meaning would require us to reject it. An agency determination, even if entitled to deference, that "runs counter to the clear wording of a statutory provision . . . should not be accorded any weight" (*Kurcsics*, 49 NY2d at 459; *Matter of Denton v Perales*, 72 NY2d 979, 981 [1988] ["restrictive reading" of statute irrational]). Under the plain meaning of the statute, an apprentice, working in a registered program, is paid as an apprentice. The proffered "ambiguity" in Labor Law § 220 (3-e) is "as such," in the phrase "[a]pprentices will be permitted to work as such only when they are registered . . . ." (*See* majority op at 209 ["The controversial point of exegesis is the relation between an apprentice's working 'as such' and registering 'under a bona fide program' "].) Clearly "as such" means "as apprentices," and the sentence goes on to set the conditions for obtaining that status. There is no ambiguity, and if this phrase now qualifies as such (meaning an ambiguity), it is hard to imagine what could be considered unambiguous.

Nor can an agency create an ambiguity by adding words to a statute and issuing it as a "policy" (*see Matter of Howard v Wyman*, 28 NY2d 434 [1971]; *see also Raritan Dev. Corp.*, 91 NY2d at 103-104 [no deference where agency has "grafted onto the language of the current (regulation) an addendum of its own," an interpretation which this Court has "(t)ypically . . . declined to uphold"]). "[N]ew language cannot be imported into a statute to give it a meaning not otherwise found therein" (McKinney's Cons Laws of NY, Book 1, Statutes § 94, Comment at 190 [1971 ed]), and even where an agency's interpretation is entitled to deference, "the agency may not change the eligibility requirements provided by the clear language of the statute" (*Matter of Hernandez v Blum*, 61 NY2d 506, 512 [1984]).

Moreover, the language the DOL seeks to insert into the statute is found in other provisions of Labor Law § 220. As the Appellate Division majority noted (147 AD3d at 1546), when the legislature sought to narrow several provisions of section 220 to a particular trade or classification, it used restrictive language to demonstrate the intended narrow applicability. For example, section 220 (3) (a) provides that "[t]he wages to be paid for a legal day's work . . . shall be not less than the prevailing rate for a day's work *in the same trade or occupation* in the locality" where the work is to be performed (emphasis added). Section 220 (3) (b) uses the same limiting language. The legislature, however, chose not to include similar or identical language in section 220 (3-e), even though including such language would provide the limitation the DOL seeks to impose. That the legislature did not include such language is indicative of the fact that there was no intent to limit the statute in the manner the DOL suggests (*see Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975]).

An apprentice performing tasks required by his or her apprenticeship curriculum is clearly working "as such"; that is, as a properly registered apprentice in pursuit of completion of the required curriculum. While the majority adopts the assertion[3] of amicus New York State Building & Construction Trades Council, AFL-CIO, that such an interpretation "would have the impractical implication of permitting a contractor to pay an apprentice rate 'to a bricklayer apprentice who performs . . . sheet metal work' " (majority op at 210), no such outcome is possible under the proper interpretation of the statute. It is unlikely that a bricklayer's apprenticeship program requires him or her to learn sheet metal work; if it did, and the DOL considered that improper or harmful, the DOL could deregister that apprenticeship program.

For the same reason, the majority's assertion that the DOL's interpretation is rational because otherwise "[g]lazier apprentices would lose significant training hours in their chosen trade if diverted to working in another" (majority op at 210), fails. That the DOL has mandated that these work processes form a required aspect of glazier apprentice training dooms this argument, as well as the Appellate Division's dissenting Justice's assertion that "[t]he DOL's interpretation ensures that workers receive . . . appropriate training in their trade classification when they are in fact working as apprentices" (147 AD3d 1542, 1547-1548 [4th Dept 2017, Whalen, P.J., dissenting]). As the DOL itself has made clear, these tasks are relevant—in fact required—training for glaziers.

Support for plaintiffs' position is also found in section 220 (3-e)'s second sentence, which provides that "[t]he allowable ratio of apprentices to journeymen in any craft classification shall not be greater than the ratio permitted to the contractor as to his work force on any job under the registered program." This means that for each apprentice on a job, a certain number of journeyworkers is required, and this number varies by trade. The ratio requirements are intended to ensure that contractors do not fill their public works jobs with an "excessive number of unskilled employees" in order to avoid paying prevailing wage requirements and to "ensure that learning-level workers receive approved, supervised training" (*Monarch*, 70 NY2d at

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3. The majority also argues that "[e]ven assuming that glazier apprentices in the DC4 Program are required to learn some ironwork tasks, however, this would not compel the conclusion that such tasks must be considered glazier tasks for wage purposes, when performed by glazier apprentices working on public projects" (majority op at 210 n 2). But the point is not that these tasks must be classified as glazier tasks, but that these required tasks, however classified, should be paid at an apprentice wage rate.

95-96). As the DOL conceded at oral argument, the required ratio remains when a glazier apprentice is working outside the trade classification of his or her program and, under the DOL's rule, is getting paid as a journeyworker. In effect, a contractor would be paying a glazier apprentice as a journeyworker ironworker for certain tasks but counting that worker as an apprentice for purposes of maintaining the same apprentice to journeyworker ratio while that work is performed. Far from being an "incentive" for contractors to hire apprentices to learn the glazier trade, such a rule would serve to deter employment.

It is not surprising, therefore, that plaintiffs' program had no new enrollees in the year 2013, despite the fact that the United States Department of Labor has projected that glazier employment numbers will grow 17% between 2012 and 2022. This is particularly troublesome in that the apprentice program is "the lifeblood" of the local glazier unions because it "ensure[s] the continual supply of skilled glaziers." Moreover, these apprentice training programs are "designed to encourage participation by those traditionally excluded from the skilled trades such as women, members of minority groups, and the disadvantaged" (*Monarch*, 70 NY2d at 96). Plaintiffs point out that, historically, this glazier apprentice program has had the highest percentage of enrolled women and minorities of any training program in the construction trades. Furtherance of this "compelling policy of eradicating discrimination from our construction industry" (*id.* at 97) is one more reason to encourage its survival.

Chief Judge DIFIORE and Judges RIVERA, STEIN, WILSON and FEINMAN concur; Judge GARCIA dissents and votes to affirm in an opinion.

Order reversed, with costs, judgment of Supreme Court, Erie County, reinstated and certified question answered in the negative.

[114 NE3d 123, 89 NYS3d 655]

In the Matter of LACEE L., an Infant. STEPHANIE L., Appellant; ADMINISTRATION FOR CHILDREN'S SERVICES, Respondent, et al., Respondent.

Argued September 5, 2018; decided October 18, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 12, 2017. The Appellate Division affirmed an order (denominated decision) of the Family Court of Bronx County (Robert Hettleman, J.), which had, after a hearing, determined that petitioner Administration for Children's Services made reasonable efforts to eliminate the need for placement of the child and accomplish the permanency goal of returning the child to respondent mother under Family Court Act § 1089 (d) (2) (iii) during the nine-month period following the child's removal. The following question was certified by the Appellate Division: "Was the order of [Family] Court, as affirmed by . . . this Court, properly made?"

Matter of Lacee L. (Stephanie L.), 153 AD3d 1151, affirmed.

HEADNOTES

Parent, Child and Family — Abused or Neglected Child — Reasonable Reunification Efforts — Consideration of Accommodations Made under Americans with Disabilities Act

1. With regard to a parent with a disability, permanency proceedings under the Family Court Act, having distinct purposes and procedures, are not the appropriate forum to adjudicate affirmative claims brought under the Americans with Disabilities Act (ADA). However, Family Court should not blind itself to the ADA's requirements placed on foster care agencies. The courts may look at the accommodations that have been ordered in ADA cases to provide guidance as to what courts have determined in other contexts to be feasible or appropriate with respect to a given disability. Accordingly, the Appellate Division's statements in *Matter of Lacee L. (Stephanie L.)* (153 AD3d 1151, 1152 [1st Dept 2017]) and *Matter of La'Asia Lanae S.* (23 AD3d 271, 271 [1st Dept 2005]) that the ADA was not applicable to and had no bearing on Family Court Act article 10 proceedings involving intellectually disabled parents were not entirely accurate.

Parent, Child and Family — Abused or Neglected Child — Reasonable Reunification Efforts — Agency's Accommodation of Parent's Cognitive Disabilities

2. In a Family Court Act article 10 proceeding, the record contained support for the Appellate Division's affirmance of Family Court's determination that petitioner agency had made reasonable efforts to provide respondent mother, who was intellectually disabled, with services to facilitate the per-

manency goal of returning the child to her, even though not all accommodations requested by respondent under the Americans with Disabilities Act (ADA) had been provided by the end of the six-month permanency reporting period. The record reflected that Family Court was working assiduously to evaluate and accommodate respondent's need for services tailored to her own disabilities as they related to parenting the child. New York's six-month measuring period is not a final determination as to an agency's efforts to provide services, but a periodic checkpoint to help ensure that at-risk children are not falling through bureaucratic fissures. Even as to accommodations that might have been required under the ADA, the failure of petitioner to offer or deliver such accommodations by the end of a given measuring period did not necessarily mean that petitioner violated the ADA or failed to make reasonable efforts under New York law. Respondent requested five accommodations under the ADA, and each of those accommodations was eventually provided to her. It was clear that Family Court took seriously respondent's need for services, was frustrated with petitioner's slow pace in providing some of those services, and did not let respondent's needs go unmet. Thus, the record supported Family Court's conclusion that petitioner's efforts met a minimum threshold of reasonableness during the measuring period in question.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Americans with Disabilities Act Analysis and Implications §§ 251, 265, 267, 274; Am Jur 2d Juvenile Courts and Delinquent and Dependent Children §§ 47, 50–52; Am Jur 2d Parent and Child § 16.

Carmody-Wait 2d Proceedings Involving Abused and Neglected Children, Destitute Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:53, 119A:85–119A:87, 119A:166, 119A:208–119A:210.

New York Family Court Practice 2d §§ 4:46, 4:56.

NY Jur 2d Domestic Relations §§ 1305, 1361, 1363, 1365, 1366, 1874, 1889, 1903.

ANNOTATION REFERENCE

See ALR Index under Americans with Disabilities Act; Neglect of Child; Termination of Parental Rights.

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POINTS OF COUNSEL

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Alan E. Schoenfeld, Adriel I. Cepeda Derieux* and *Alicia Bere-*

nyi of counsel) and Washington, D.C. (*Samuel M. Strongin* of the District of Columbia bar, admitted pro hac vice, of counsel), and *The Bronx Defenders*, Bronx (*Saul Zipkin* and *Mary Anne Mendenhall* of counsel), for appellant. I. Administration for Children's Services violated the Americans with Disabilities Act (42 USC § 12101 *et seq.*) by failing to reasonably accommodate Stephanie L.'s disabilities. (*Marisol A. by Forbes v Giuliani*, 929 F Supp 662, 126 F3d 372; *Noel v New York City Taxi & Limousine Commn.*, 687 F3d 63; *Pascuiti v New York Yankees*, 87 F Supp 2d 221; *Brooklyn Center for Independence of Disabled v Bloomberg*, 980 F Supp 2d 588; *Matter of Elijah C.*, 165 A3d 1149; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Henrietta D. v Bloomberg*, 331 F3d 261; *Harris v Mills*, 572 F3d 66; *Tennessee v Lane*, 541 US 509; *Pierce v District of Columbia*, 128 F Supp 3d 250.) II. The Family Court is required by state and federal law to consider Administration for Children's Services's compliance with the Americans with Disabilities Act (42 USC § 12101 *et seq.*) in Family Court Act article 10 proceedings. (*Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275; *Matter of Marino S.*, 100 NY2d 361; *Matter of Elijah C.*, 165 A3d 1149; *Matter of H.M. v E.T.*, 14 NY3d 521; *Loomis v Loomis*, 288 NY 222; *Higgins v Sharp*, 164 NY 4; *People v Johnson*, 20 NY2d 220; *Matter of Cain Keel L. [Derzerina L.]*, 78 AD3d 541; *Matter of Baby Boy C.*, 27 AD3d 34; *Santosky v Kramer*, 455 US 745.) III. Administration for Children's Services failed to take reasonable efforts towards the reunification of Stephanie L. and Lacee L. (*Nicholson v Scoppetta*, 3 NY3d 357; *Matter of Dustin C.*, 19 AD3d 784; *Matter of Sheila G.*, 61 NY2d 368; *Matter of Amber W.*, 105 AD2d 888.)

Zachary W. Carter, Corporation Counsel, New York City (*Scott Schorr, Carolyn Walther* and *Richard Dearing* of counsel), for Administration for Children's Services, respondent. I. Americans with Disabilities Act (42 USC § 12101 *et seq.*) claims cannot be—and should not be—adjudicated in a permanency hearing. (*Wright v New York State Dept. of Corr.*, 831 F3d 64; *Matter of H.M. v E.T.*, 14 NY3d 521; *Matter of Moron v Moron*, 306 AD2d 349; *Matter of Tatiana R.*, 17 Misc 3d 443; *King v State Educ. Dept.*, 182 F3d 162; *Matter of Johna M.S. v Russell E.S.*, 10 NY3d 364; *L.T. v Teva Pharms. USA, Inc.*, 71 AD3d 1400; *Matter of Maximo M.*, 186 Misc 2d 266; *Rose v Rose*, 481 US 619; *Hisquierdo v Hisquierdo*, 439 US 572.) II. The Appellate Division properly affirmed the Family Court's finding that Administration for Children's Services made reasonable reunification efforts. (*Matter of Michael WW.*, 45 AD3d 1227;

Matter of Everett H. [Nicole H.], 129 AD3d 1123; *Matter of Joshua E.R. [Yolaine R.]*, 123 AD3d 723; *Matter of Lanise Moena R. [Simone R.]*, 74 AD3d 490; *Matter of Lady Justice I.*, 50 AD3d 425.)

Andrew J. Baer, New York City, Attorney for the Child. I. This Court should dismiss the issue on appeal regarding the finding as to the permanency goal and reasonable efforts as moot as subsequent superseding permanency hearing orders continuing the child's placement in foster care have been entered. (*Matter of Breeyanna S.*, 52 AD3d 342; *Matter of Ariel FF.*, 63 AD3d 1202; *Matter of Haylee RR.*, 56 AD3d 968.) II. Administration for Children's Services made reasonable efforts that were tailored to the specific needs of the appellant's disability in compliance with the Family Court Act. (*Matter of Jacelyn TT. [Tonia TT.—Carlton TT.]*, 80 AD3d 1119; *Matter of La'Asia S.*, 191 Misc 2d 28; *Matter of Latasha W.*, 268 AD2d 340; *Matter of Francois Jean B.*, 200 AD2d 524; *Matter of Jason Anthony S.*, 277 AD2d 389; *Matter of Julian P.H.*, 177 Misc 2d 176; *Matter of Commissioner of Admin. for Children's Servs. of City of N.Y.*, 254 AD2d 416; *Matter of Tatiana R.*, 17 Misc 3d 443; *Matter of Telsa Z. [Denise Z.]*, 90 AD3d 1193; *Matter of Sheila G.*, 61 NY2d 368.) III. The trial court correctly held the Americans with Disabilities Act (42 USC § 12101 *et seq.*) is not applicable to Family Court Act article 10-A proceedings as the Family Court is a court of limited jurisdiction. (*Matter of Chance Jahmel B.*, 187 Misc 2d 626; *Matter of Angel B.*, 659 A2d 277; *Matter of La'Asia S.*, 191 Misc 2d 28; *Matter of Silver v Silver*, 36 NY2d 324; *Matter of Pearson v Pearson*, 69 NY2d 919; *Matter of Kogan v Kogan*, 75 AD2d 644; *Matter of E.T.N.*, 42 Misc 3d 526; *Matter of Moron v Moron*, 306 AD2d 349; *Meadows v Robert Flemings, Inc.*, 290 AD2d 386; *Robertson v Las Animas County Sheriff's Dept.*, 500 F3d 1185.)

Human Rights and Gender Justice Clinic, City University of New York School of Law, Long Island City (*Cynthia Soohoo* and *Farah Diaz-Tello* of counsel), and *Women Enabled International*, Brooklyn (*Suzannah Phillips* and *Anastasia Holoboff* of counsel), for Human Rights and Gender Justice Clinic of the City University of New York School of Law and others, amici curiae. I. This Court should consider international human rights law in determining the Administration for Children's Services' obligation to provide reasonable accommodation to a parent with a disability in child neglect proceedings. (*Washington v Glucksberg*, 521 US 702; *Lawrence v Texas*, 539 US 558;

Printz v United States, 521 US 898; *Nicholson v Williams*, 203 F Supp 2d 153; *Duchesne v Sugarman*, 566 F2d 817; *Matter of Pedro M.*, 21 Misc 3d 645; *Matter of Mark C.H.*, 28 Misc 3d 765; *Matter of Dameris L.*, 38 Misc 3d 570; *Matter of Zhuo*, 53 Misc 3d 1121.) II. International human rights law recognizes the need to end discrimination and stereotypes against persons with disabilities. III. Parents with disabilities are equal before the law and have a right of equal access to all legal proceedings. IV. Every person has a human right to family life. (*Troxel v Granville*, 530 US 57; *Santosky v Kramer*, 455 US 745; *Matter of Bennett v Jeffreys*, 40 NY2d 543.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Audra J. Soloway* of counsel), and *Brooklyn Defender Services*, Brooklyn (*Lauren Shapiro* and *Jessica Marcus* of counsel), for Brooklyn Defender Services and others, amici curiae. I. The primary goal of New York's child welfare scheme is safe family reunification. (*Nicholson v Scoppetta*, 3 NY3d 357; *Matter of Marino S.*, 100 NY2d 361; *Matter of Dale P.*, 84 NY2d 72; *Matter of Michael B.*, 80 NY2d 299; *Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275.) II. Family Court Act article 10 proceedings are fact-intensive and require the Family Court to ensure appropriate services are provided. III. The reasonable efforts standard is a rigorous one and was not satisfied in this case. (*Matter of Marino S.*, 100 NY2d 361; *Matter of Latasha W.*, 268 AD2d 340; *Matter of Francois Jean B.*, 200 AD2d 524; *Matter of Sheila G.*, 61 NY2d 368; *Matter of Jamie M.*, 63 NY2d 388; *Nicholson v Scoppetta*, 3 NY3d 357; *Matter of Cloey S. [Anthony T.]*, 99 AD3d 1080; *Matter of Elijah W.L. [Omisa S.C.]*, 146 AD3d 782; *Matter of Sykia Monique G.*, 208 AD2d 535; *Matter of Austin A.*, 243 AD2d 895.) IV. Administration for Children's Services's efforts must comply with the Americans with Disabilities Act (42 USC § 12101 *et seq.*).

Disability & Civil Rights Clinic, Brooklyn Law School, Brooklyn (*Amy Mulzer* of counsel), for The Arc and others, amici curiae. I. Persons with intellectual disability have a wide range of abilities and challenges and their needs must be assessed individually and holistically. II. Persons with intellectual disability have long faced discrimination and other obstacles to having and parenting children. (*Santosky v Kramer*, 455 US 745; *Buck v Bell*, 274 US 200; *Vaughn v Ruoff*, 253 F3d 1124; *Doe ex rel. Tarlow v District of Columbia*, 920 F Supp 2d 112.) III. Persons with intellectual disability can and do parent successfully.

Stroock & Stroock & Lavan LLP, New York City (*Gilana R. Keller*, *Claude G. Szyfer* and *Beth A. Norton* of counsel), and *Center for Reproductive Rights*, New York City (*Hillary Schneller, Pilar Herrero* and *Leah Wiederhorn* of counsel), for SisterSong Women of Color Reproductive Justice Collective and others, amici curiae. I. Reproductive justice requires reasonable accommodations for parents with disabilities. II. The right to parent is a core constitutional right of which people with disabilities cannot be deprived. (*Pierce v Society of the Sisters of the Holy Names of Jesus & Mary*, 268 US 510; *Wisconsin v Yoder*, 406 US 205; *Eisenstadt v Baird*, 405 US 438; *Griswold v Connecticut*, 381 US 479; *Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833; *Lawrence v Texas*, 539 US 558; *Loving v Virginia*, 388 US 1; *Meyer v Nebraska*, 262 US 390; *M.L.B. v S.L.J.*, 519 US 102; *Boddie v Connecticut*, 401 US 371.) III. Denying parents with disabilities reasonable accommodations perpetuates a history of reproductive injustice against people society deems unworthy of reproduction and family life. (*Buck v Bell*, 274 US 200; *Relf v Weinberger*, 372 F Supp 1196, 565 F2d 722; *Stanley v Illinois*, 405 US 645; *Matter of Trina Marie H.*, 48 NY2d 742; *Nicholson v Scoppetta*, 3 NY3d 357; *Mark G. v Sabol*, 93 NY2d 710; *Matter of Divine W. [Latoya B.]*, 60 Misc 3d 362; *Stanley v Illinois*, 405 US 645.) IV. Standards consistent with the Americans with Disabilities Act (42 USC § 12101 *et seq.*) ensure fair treatment of groups vulnerable to bias and exclusion and are relevant in both Administration for Children's Services encounters and Family Court proceedings. (*Nicholson v Scoppetta*, 3 NY3d 357; *Alexander v Choate*, 469 US 287; *Henrietta D. v Bloomberg*, 331 F3d 261.)

American Civil Liberties Union Foundation, San Francisco, California (*Claudia Center* and *A. Elaine Lewis* of counsel), for American Civil Liberties Union Foundation and another, amici curiae. I. Parents with disabilities face unconstitutional discrimination in parenting. (*Stanley v Illinois*, 405 US 645; *Meyer v Nebraska*, 262 US 390; *Skinner v Oklahoma ex rel. Williamson*, 316 US 535; *Zablocki v Redhail*, 434 US 374; *Santosky v Kramer*, 455 US 745; *Pierce v Society of Sisters*, 268 US 510; *May v Anderson*, 345 US 528; *Prince v Massachusetts*, 321 US 158; *Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275; *Quilloin v Walcott*, 434 US 246.) II. Reunification services provided by Administration for Children's Services must comply with the Americans with Disabilities Act (42 USC § 12101 *et seq.*). (*Tennessee v Lane*, 541 US 509; *PGA TOUR, Inc. v Martin*, 532

US 661; *Board of Trustees of Univ. of Ala. v Garrett*, 531 US 356; *Tennessee v Lane*, 541 US 509; *Olmstead v L. C.*, 527 US 581; *Skinner v Oklahoma ex rel. Williamson*, 316 US 535; *Pennsylvania Dept. of Corrections v Yeskey*, 524 US 206; *Sedima, S. P. R. L. v Imrex Co.*, 473 US 479; *Barden v City of Sacramento*, 292 F3d 1073; *Lee v City of Los Angeles*, 250 F3d 668.)

OPINION OF THE COURT

Wilson, J.

Stephanie L. seeks to raise this question: can Family Court find that the New York City Administration for Children's Services (ACS) made "reasonable efforts" toward family reunifications, as required by Family Court Act § 1089, if ACS failed to provide "reasonable accommodations" required by the Americans with Disabilities Act (ADA), which requires that governmental agencies make "reasonable accommodations" to ensure disabled persons have access to their services (42 USC § 12131 [2])? However, Stephanie L. has not identified any services allegedly required by the ADA that are not also required under New York law. Applying section 1089, Family Court ordered ACS to provide the services Stephanie L. claimed as "reasonable accommodations" under the ADA. Stephanie appears generally to have received those services; as Family Court noted, ACS did not provide its services eagerly or promptly, and provided some only because of stern admonitions from Family Court and vigorous follow up from Stephanie's counsel. The Appellate Division determined that Family Court "look[ed] to the ADA's standards . . . evaluat[ed] the agency's efforts in that light, [and] found that the agency . . . tailor[ed] its efforts to the mother's needs" (*Matter of Lacee L. [Stephanie L.]*, 153 AD3d 1151, 1152 [1st Dept 2017]). Family Court's determination—affirmed by the Appellate Division—that ACS had made "reasonable efforts" is supported by the record; we therefore affirm.

I.

Article 10 of the Family Court Act was "designed to establish procedures to help protect children from injury or mistreatment and to help safeguard their physical, mental, and emotional well-being" and to "provide a due process of law for determining when the state, through its family court, may intervene against the wishes of a parent on behalf of a child so that [the child's] needs are properly met" (Family Ct Act

§ 1011). An article 10 proceeding "is originated by the filing of a petition in which facts sufficient to establish that a child is an abused or neglected child . . . are alleged" (Family Ct Act § 1031 [a]). "Article 10 erects a careful bulwark against unwarranted state intervention into private family life" and "[n]eglect findings cannot be casually issued, but require proof of actual or imminent harm to the child as a result of a parent's failure to exercise a minimum degree of care" (*Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275, 284 [2017] [internal quotation marks omitted]; *see* Family Ct Act § 1012 [f]).

Article 10-A of the Family Court Act "establish[es] uniform procedures for permanency hearings for all children who are placed in foster care . . . [in order] to provide children placed out of their homes timely and effective judicial review that promotes permanency, safety and well-being in their lives" (Family Ct Act § 1086). The Act provides for an initial permanency hearing within eight months of a child's removal from home, and subsequent permanency hearings every six months thereafter (Family Ct Act § 1089 [a] [2]-[3]). Prior to the permanency hearing, ACS must prepare a permanency hearing report, which must include, among other things, the child's current "permanency goal" (Family Ct Act § 1089 [b], [c] [1]). The permanency plan must include a "description of the reasonable efforts to achieve the child's permanency plan that have been taken by [ACS] since the last hearing" and when the permanency goal is reunification, the description "shall include . . . the reasonable efforts that have been made by [ACS] to eliminate the need for placement of the child and to enable the child to safely return home, including a description of any services that have been provided" (Family Ct Act § 1089 [c] [4] [i]).

At the conclusion of a permanency hearing, Family Court "shall, upon the proof adduced, and in accordance with the best interests and safety of the child, including whether the child would be at risk of abuse or neglect if returned to the parent or other person legally responsible, determine and issue its findings, and enter an order of disposition in writing" (Family Ct Act § 1089 [d]). If the child is not returned to the parent, the order must state, among other things, "whether reasonable efforts have been made to effectuate the child's permanency plan" (Family Ct Act § 1089 [d] [2] [iii]).

Congress enacted the ADA, in part, "to provide a clear and comprehensive national mandate for the elimination of discrimination against individuals with disabilities" (42 USC

§ 12101 [b] [1]). Under title II of the ADA, "no qualified individual with a disability shall, by reason of such disability, be excluded from participation in or be denied the benefits of the services, programs, or activities of a public entity, or be subjected to discrimination by any such entity" (42 USC § 12132). ACS falls within the definition of a "public entity" (*see* 42 USC § 12131 [1] [B]). An agency, like ACS, that is subject to title II of the ADA must make "reasonable accommodations" to allow "meaningful access" to government services (*Wright v Giuliani*, 230 F3d 543, 548 [2d Cir 2000 per curiam]).

A disabled individual who has been denied access to government services can seek redress by commencing a private cause of action under title II of the ADA.[1] "In order to establish a violation under the ADA, the plaintiffs must demonstrate that (1) they are 'qualified individuals' with a disability; (2) that the defendants are subject to the ADA; and (3) that [the] plaintiffs were denied the opportunity to participate in or benefit from defendants' services, programs, or activities, or were otherwise discriminated against by defendants, by reason of [the] plaintiffs' disabilities" (*Henrietta D. v Bloomberg*, 331 F3d 261, 272 [2d Cir 2003]).

II.

It is undisputed that Stephanie L. is intellectually disabled. She has cognitive limitations that make it difficult for her to understand instructions and follow through on tasks. When she does understand her obligations, she has difficulty thinking through options to overcome obstacles that emerge.

Before Lacee's birth, Family Court entered a finding of neglect against Stephanie as to a different child of hers in May of 2014. When Lacee was born, ACS removed her from Stephanie's care and filed a petition under article 10 of the Family Court Act alleging that Lacee was a neglected child because, among other things, Stephanie had not completed the mental health and drug treatment required in the case involving her prior child. Lacee was placed in kinship care, with her paternal grandmother.

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1. Title II of the ADA incorporates the remedial scheme of the Rehabilitation Act of 1973 (42 USC § 12133), which incorporates the remedial scheme of title VI of the Civil Rights Act of 1964 (29 USC § 794a). Because title VI of the Civil Rights Act includes a judicially implied private cause of action so too does title II of the ADA (*see Garcia v S.U.N.Y. Health Sciences Ctr. of Brooklyn*, 280 F3d 98, 111 [2d Cir 2001]).

At a hearing five days after Lacee's birth, Stephanie's counsel notified Family Court of her client's cognitive limitations and asked that ACS make reasonable accommodations towards the agreed-upon permanency plan goal of reunification of mother and child. Initially, Stephanie requested two accommodations: a referral for psychological and cognitive testing so that ACS could better understand Stephanie's condition, and a referral for homemaking services. The parties disagree whether the requests were clearly made, but Stephanie did not then receive those accommodations. ACS did enroll Stephanie in programs at the Family Resource Center, though unsure whether that organization was equipped to address Stephanie's disability. A few months later, ACS notified Stephanie that it was trying to find an appropriate program but had not yet found one that would accept Stephanie's insurance.

On October 27th, 2014, ACS issued a permanency hearing report reiterating that "Return to Parent" remained Lacee's permanency planning goal and outlining the efforts made by ACS towards achieving that goal. The report stated that Stephanie had not complied with certain aspects of the service plan that was devised in furtherance of the reunification goal, including the completion of drug treatment and parenting programs. Stephanie contended that she had not tested positive for drugs since Lacee's birth and that she stopped attending the parenting class because she believed she was told the course—rather than a specific class meeting date—had been canceled. The report did not mention Stephanie's intellectual disability, cognitive limitations, or request for accommodations.

On November 21st, shortly before her December 1st hearing date, Stephanie moved Family Court for a determination that ACS had not made reasonable efforts to reunite Stephanie with Lacee because ACS had not complied with the ADA. She listed five accommodations that had not been provided:

1. informing Stephanie's attorneys about out-of-court conferences (ACS had held conferences about Stephanie without either her attorney or social worker on June 9th and September 16th);

2. referring Stephanie to service providers capable of handling parents with intellectual disabilities;

3. accepting Lacee's paternal grandmother's offer to serve as a liaison between ACS and Stephanie, as she and Stephanie saw or spoke to each other nearly every day;

4. assisting Stephanie in connecting with a Medicaid coordinator to help Stephanie enroll in certain services that required certification; and

5. connecting Stephanie to services offered by the Office for People with Developmental Disabilities (OPWDD).

Family Court responded by requiring ACS to hold regularly scheduled meetings with Stephanie's counsel and social worker; send all referrals and notices of conference in writing to Stephanie's attorney, social worker, and Lacee's paternal grandmother (with whom Lacee had been placed); refer Stephanie to services offered by agencies capable of working with parents with disabilities; furnish a social worker or staff person to accompany Stephanie to OPWDD to obtain appropriate services; and send monthly reports to the Court and counsel detailing the progress made.

ACS provided some of the court-ordered services and contends that it was not able to provide others because Stephanie did not perform certain tasks needed to obtain those services and did not notify ACS that her disability interfered with her ability to perform those tasks. A few months later, at another hearing, Stephanie again asked for those services, reiterating that the ADA required ACS to provide them. ACS contended that Family Court was jurisdictionally unable to rule on ACS's compliance with the ADA, and that Family Court must consider Stephanie's requests under New York's "reasonable efforts" standard. ACS outlined the efforts made to provide the court-ordered services, including: frequently calling Stephanie but not getting through because her cell phone was often turned off; making several personal visits to Stephanie's home and most often finding she was not there; attempting to facilitate supervised agency visitation with Lacee, but struggling because ACS could not reach Stephanie by phone or in person; and making efforts to refer and connect Stephanie to various parenting and family support programs. At the close of the June 15, 2015 hearing, Family Court severely chastised ACS for failing to comply with the court's previously ordered services for Stephanie and reemphasized those orders.

On April 5, 2016, Family Court issued an order memorializing findings it made on the record on December 15, 2015, covering the period from June 2014 through March 2015. By the date of the April 2016 decision, Stephanie had substantially received the requested accommodations.[2] Family Court denied Stephanie L.'s "motion for relief under the ADA." In so doing, Family Court cited the First Department's decision in *Matter of La'Asia Lanae S.* (23 AD3d 271, 271 [1st Dept 2005]), which stated that the ADA "has no bearing" on an article 10 proceeding. However, Family Court also held that ACS's efforts "must be tailored to the particular circumstances and individuals in a given case," and that "a court may properly look towards the ADA's standards for guidance as to whether 'diligent efforts' were made under [Social Services Law] § 384-b(7)." Thus, Family Court recognized that it was "required to consider [the family's] special needs when determining if the efforts were reasonable in this case."

The Appellate Division affirmed, substantively reiterating its verbiage from *La'Asia Lanae*, saying that "the ADA is not applicable to this proceeding." Nevertheless, the Appellate Division advised that "the law makes clear . . . that 'the agencies' efforts towards a permanency plan must be tailored to the particular circumstances and individuals in a given case' " (*Matter of Lacee L. [Stephanie L.]*, 153 AD3d 1151, 1152 [2017]). The Appellate Division summarized its affirmance by noting that Family Court properly precluded litigation of ADA claims during the permanency hearing but was "considerate of [the ADA's] purpose to guide the reasonable efforts analysis" (*id.*).

III.

To be sure, ACS must comply with the ADA. Indeed, ACS affirms as much in its brief, stating that it "must comply with the ADA as part of its reasonable efforts to reunify children with parents who are disabled." ACS further explains that the ADA "play[s] an important role in permanency hearings" and that New York's "reasonable efforts" requirement "already includes reasonable attempts to accommodate a parent's disability." ACS argues that section 1089's "reasonable efforts" standard and the ADA's "reasonable accommodation" requirement "stand in considerable harmony, insofar as both require that services be tailored to the specific needs of people with

2. At oral argument, Stephanie's counsel confirmed that she had received those accommodations, but contended that some had been obtained through the efforts of counsel, and "not as a result of ACS' efforts."

disabilities."[3] Stephanie L. and the Attorney for the Child contend that the standards are identical.

Although there may be a case in which the facts suggest that the two standards differ in some material way, this is not that case: Stephanie L.'s counsel expressly stated that the accommodations allegedly required by the ADA would also be required under New York's "reasonable efforts" standard, and Stephanie L. has apparently received those accommodations, though not in as timely a fashion as Family Court deemed desirable. Accordingly, this case does not provide any opportunity or basis for us to decide whether the ADA and New York standards overall are coterminous or distinct in any way.

[1] What we can say, however, is that the Appellate Division's statement that the ADA "is not applicable to this proceeding" (*Matter of Lacee L. [Stephanie L.]*, 153 AD3d 1151, 1152 [2017]) and its prior statement that the ADA "has no bearing on the proceeding" (*Matter of La'Asia Lanae S.*, 23 AD3d 271, 271 [1st Dept 2005]), are not entirely accurate. In *La'Asia Lanae*, the Appellate Division expressly found that the agency had "reasonably accommodated" the parent's disability, and that "a preponderance of the evidence show[ed] that [the parent] cannot presently ameliorate the conditions that led to the children's placement" (23 AD3d at 271). *La'Asia Lanae* relied, in turn, on *Matter of Chance Jahmel B.*, in which Family Court concluded that the proposed accommodation, "a full-time caregiver for Chance," was not "consistent with Chance's best interest or . . . could be reasonably provided" (187 Misc 2d 626, 632 [Fam Ct, Monroe County 2001]). In those cases, as here, Family Court expressly considered the reasonableness of the requested accommodations and did not deem any federal law standard irrelevant to the inquiry. Permanency proceedings have distinct purposes and procedures and thus are not the appropriate forum to adjudicate affirmative claims brought under the ADA. However, Family Court should not blind itself to the ADA's requirements placed on ACS and like agencies. The courts may look at the accommodations that have been ordered in ADA cases to provide guidance as to what courts have determined in other contexts to be feasible or appropriate with respect to a given disability.

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3. The dissent's assertion that "ACS . . . argues that a determination as to its provision of ADA reasonable accommodations is external or irrelevant to the reasonable efforts finding" (dissenting op at 240), is contradicted by the above statements, quoted from ACS's briefs in this case.

IV.

Although ACS undoubtedly must comply with the ADA, ACS's failure to offer or provide certain services at the time a six-month permanency reporting period ends does not necessarily mean that ACS has failed to make "reasonable efforts." Family Court is not required to determine compliance with the ADA in the course of a permanency proceeding. The ADA's "reasonable accommodations" test is often a time- and fact-intensive process with multiple layers of inquiry (*Duvall v County of Kitsap*, 260 F3d 1124, 1136 [9th Cir 2001] [court adjudicating ADA claim charged with the "duty to gather sufficient information from the disabled individual and qualified experts" (internal quotation marks omitted)]). That adjudication is best left to separate administrative or judicial proceedings, if required (*see* 28 CFR 35.107 [b]; 35.170; 42 USC § 12133). Family Court is charged with assessing whether reasonable efforts were made to achieve the permanency goal "in accordance with the best interests and safety of the child" (Family Ct Act § 1089 [d]).

[2] Here, the record reflects that Family Court was working assiduously to evaluate and accommodate Stephanie L.'s need for services tailored to her own disabilities as they related to parenting Lacee L. Stephanie L. disclaims any attempt to have brought an ADA claim in Family Court and did not prove in any other forum an ADA violation, but instead argued that certain accommodations would have been required under the ADA. Moreover, the ADA contains no fixed time period for compliance, and the reasonableness of efforts to provide an accommodation will vary with the facts of each case (*Staron v McDonald's Corp.*, 51 F3d 353, 356 [2d Cir 1995] ["Although neither the ADA nor the courts have defined the precise contours of the test for reasonableness, it is clear that the determination of whether a particular modification is 'reasonable' involves a fact-specific, case-by-case inquiry that considers, among other factors, the effectiveness of the modification in light of the nature of the disability in question and the cost to the organization that would implement it"]). New York's six-month measuring period is not a final determination as to an agency's efforts to provide services, but a periodic checkpoint to help ensure that at-risk children are not falling through bureaucratic fissures (*see* Family Ct Act § 1089; *Matter of Demetria FF. [Tracy GG.]*, 140 AD3d 1388, 1390 [3d Dept 2016]). Family Court has substantial discretion to make factual determinations that ACS's inchoate attempts to provide services have been "reasonable." In other words, even as to accommodations that might be required under the ADA, the failure of ACS to offer or deliver such accommodations by the end of a given measuring period does not necessarily mean that ACS has violated the ADA or failed to make reasonable efforts under New York law.

V.

In this case, the record contains support for the Appellate Division's affirmance of Family Court's determination that ACS—albeit sometimes as a result of court orders—made reasonable efforts to provide Stephanie L. with services to facilitate the permanency goal of "Return to Parent." Stephanie L. requested five accommodations under the ADA; at oral argument, her counsel affirmed that Stephanie would have requested those exact same accommodations under New York law if the ADA did not exist.[4] The record reflects that each of those accommodations was eventually provided to her. Some were not provided immediately upon request, sometimes because of miscommunications, sometimes because of lack of follow-through by Stephanie L. or ACS personnel, and sometimes simply because processing eligibility through outside governmental agencies (such as OPWDD) does not happen overnight. Others were provided with substantial effort by the court and Stephanie's attorneys. But each requested item has been provided, and, according to the parties' briefs, the permanency goal presently remains "Return to Parent."

The record contains numerous disputed facts bearing on the question of who was responsible for what delay, and what was known or reasonably could have been known by ACS or Stephanie L. It is not our function to resolve those factual disputes. What is clear from the record is that Family Court took seriously Stephanie's need for services, was frustrated with ACS's slow pace in providing some of those services, and

4. For this reason, the dissent's argument that "[t]he courts below erroneously held that ACS made reasonable efforts" (dissenting op at 243) has nothing to do with the ADA. Instead, the dissent's objection is that Family Court could not, as a matter of law, have found that ACS made "reasonable efforts" under the Family Court Act—even without regard to the ADA. It is clear from the record below that Family Court ordered ACS to provide the requested services; the dissent is, as Family Court was, frustrated with ACS's failure to obey those orders in a timely fashion. That concern does not implicate the ADA.

(aided by Stephanie's attorneys) did not let Stephanie's needs go unmet. Family Court did criticize the efforts of ACS, noting that

> "the agency surely should have done further and more regular follow-up with both the service providers and the parents . . . Indeed, it took considerable prodding from the other attorneys in this case to make clear to the agency that a more carefully crafted approach was needed in this case. . . . [I]t is the job of the agency and ACS to make these targeted efforts, not the parents' and child's attorneys" (*Matter of Lacee L. [Stephanie L.—Dekodia L.]*, Fam Ct, Bronx County, Apr. 5, 2016, Hettleman, J., docket No. NN 14741/14).

Nonetheless, the record supports Family Court's conclusion that ACS's efforts in this case met a minimum threshold of reasonableness during the measuring period in question.

Accordingly, the order of the Appellate Division should be affirmed, without costs, and certified question answered in the affirmative.

RIVERA, J. (dissenting). New York City's Administration for Children's Services (ACS) did not provide appellant, a parent with a cognitive disability, with accessible services as required by the Americans with Disabilities Act (ADA), even though ACS concedes that she requires these services and that ACS is subject to ADA mandates. Although Family Court found it necessary to order ACS to provide accessible disability services, it inexplicably and erroneously concluded that, despite the failure to comply with its order, ACS made "reasonable efforts" to achieve appellant's reunification with her daughter Lacee L., in accordance with New York law.

We should reverse. Nevertheless, the majority holds that because appellant's counsel stepped in to assist appellant, ACS affirmatively complied with the law. That reasoning ignores the fact that the federal and state statutory obligations fall squarely on ACS. Shifting the burden to a disabled parent undermines the purpose of the federal law, which is to place persons with disabilities in an equal position with persons who do not have physical or intellectual challenges to access government services that affect fundamental rights. The purpose of the ADA, and New York's public policy favoring family reunification and the eradication of discrimination in all its forms, is to eliminate obstacles to access, not to reward government inaction and dilatory conduct. I dissent.

I.

Congress enacted the Americans with Disabilities Act of 1990 to address historical and persistent discrimination against individuals with disabilities, which had the effect of placing them in an inferior status, unable to fully participate in society.[1] As explained in the ADA's Congressional findings, society has historically excluded and segregated individuals with disabilities and relegated such persons to lesser jobs, benefits, and services, denying them equal opportunities in critical areas of life (42 USC § 12101 [a] [1]-[8]).[2] Among its stated purposes, the ADA seeks "to provide a clear and comprehensive

1. Unsurprisingly, given the state's historic commitment to eliminating discrimination, New York acted before Congress to protect the rights of the disabled. New York passed the "Flynn Act" 16 years prior to the passage of the ADA, extending the scope of the Human Rights Law (HRL) to proscribe "discrimination on the basis of physical, mental or physical disability" (Mem of Attorney General, Bill Jacket, L, 1974, ch 988 at 19; *State Div. of Human Rights v Xerox Corp.*, 65 NY2d 213, 220 [1985, Jasen, J., dissenting]). In 1984, again out in front of Congress, the state legislature broadened the protections of the HRL to encompass individuals with mental disabilities, aiming to guarantee such persons the "equal opportunity to participate fully in the economic, cultural and intellectual life of the state" (Executive Law § 290 [3]). New York City has also recognized the rights of individuals with disabilities in its own Human Rights Law (Administrative Code of City of NY § 8-101), and has affirmed its "pioneering commitment to human rights through repeated revisions to [the law]" (*Chauca v Abraham*, 30 NY3d 325, 335 [2017, Wilson, J., dissenting], quoting Rep of the Comm on Civil Rights on Local Law No. 35 [2016] at 5).

2. "The Congress finds that—

> "(1) physical or mental disabilities in no way diminish a person's right to fully participate in all aspects of society, yet many people with physical or mental disabilities have been precluded from doing so because of discrimination; others who have a record of a disability or are regarded as having a disability also have been subjected to discrimination;
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> "(2) historically, society has tended to isolate and segregate individuals with disabilities, and, despite some improvements, such forms of discrimination against individuals with disabilities continue to be a serious and pervasive social problem;
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> "(3) discrimination against individuals with disabilities persists in such critical areas as employment, housing, public accommodations, education, transportation, communication, recreation, institutionalization, health services, voting, and access to public services;
>
> "(4) unlike individuals who have experienced discrimination on the basis of race, color, sex, national origin, religion, or age,

(n. cont'd)

national mandate for the elimination of discrimination against individuals with disabilities" and "clear, strong, consistent, enforceable standards addressing discrimination against individuals with disabilities" (42 USC § 12101 [b] [1]; [2]). As the law of the land, these standards supersede any conflicting or ineffectual state laws or policies (US Const, art VI, cl 2; 42 USC § 12202 [abrogating the sovereign immunity of states as to ADA claims]; *Mary Jo C. v New York State & Local Retirement Sys.*, 707 F3d 144, 163 [2d Cir 2013]).

In response to "evidence demonstrating the nature and extent of unconstitutional discrimination against persons with disabilities in the provision of public services" (*Tennessee v Lane*, 541 US 509, 528 [2004]), title II of the ADA mandates that "no qualified individual with a disability shall, by reason of such disability, be excluded from participation in or be denied the benefits of the services, programs, or activities of a public entity, or be subjected to discrimination by any such entity" (42 USC § 12132). A "qualified individual with a disability" includes persons with physical disabilities as well as those, like appellant, with a "mental impairment that substantially limits one or more major life activities" (42 USC § 12102 [1] [A]; [2] [A]).

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individuals who have experienced discrimination on the basis of disability have often had no legal recourse to redress such discrimination;

"(5) individuals with disabilities continually encounter various forms of discrimination, including outright intentional exclusion, the discriminatory effects of architectural, transportation, and communication barriers, overprotective rules and policies, failure to make modifications to existing facilities and practices, exclusionary qualification standards and criteria, segregation, and relegation to lesser services, programs, activities, benefits, jobs, or other opportunities;

"(6) census data, national polls, and other studies have documented that people with disabilities, as a group, occupy an inferior status in our society, and are severely disadvantaged socially, vocationally, economically, and educationally;

"(7) the Nation's proper goals regarding individuals with disabilities are to assure equality of opportunity, full participation, independent living, and economic self-sufficiency for such individuals; and

"(8) the continuing existence of unfair and unnecessary discrimination and prejudice denies people with disabilities the opportunity to compete on an equal basis and to pursue those opportunities for which our free society is justifiably famous, and costs the United States billions of dollars in unnecessary expenses resulting from dependency and nonproductivity" (42 USC § 12101 [a] [1]-[8]).

Title II is intended to provide individuals with disabilities an equal opportunity to access the state services that enable all individuals to exercise their fundamental rights (*see Lane*, 541 US at 524). As the United States Supreme Court has explained, "[i]t is not difficult to perceive the harm that Title II is designed to address. Congress enacted Title II against a backdrop of pervasive unequal treatment in the administration of state services and programs, including systematic deprivations of fundamental rights" (*id.*).

To achieve its goals, the ADA imposes an affirmative obligation on a public entity to provide "reasonable modifications in policies, practices, or procedures" to accommodate individuals with disabilities (28 CFR 35.130 [b] [7] [i]; 42 USC §§ 12131, 12132). "[T]he determination of whether a particular modification is 'reasonable' involves a fact-specific, case-by-case inquiry that considers, among other factors, the effectiveness of the modification in light of the nature of the disability in question and the cost to the organization that would implement it" (*Mary Jo C.*, 707 F3d at 153, quoting *Staron v McDonald's Corp.*, 51 F3d 353, 356 [2d Cir 1995]). To meet this standard, the agency must engage in an interactive process by evaluating an individual's specific needs when it becomes aware of the individual's request for accommodations (*see Wright v New York State Dept. of Corr.*, 831 F3d 64, 80 [2d Cir 2016]).

The federal mandates are integral to the state's provision of public services and apply "to anything a public entity does," which includes the provision of child welfare services (28 CFR part 35, Appendix B, subpart A). The Department of Justice and Department of Health and Human Services have stated that discrimination against disabled parents are "long-standing and widespread," "[d]iscriminatory separation of parents from their children can result in long-term negative consequences to both parents and their children," and "[a]ny case of discrimination against parents and caregivers due to their disability is not acceptable" (US Department of Health and Human Services & US Department of Justice, *Protecting the Rights of Parents and Prospective Parents with Disabilities: Technical Assistance for State and Local Child Welfare Agencies and Courts Under Title II of the Americans With Disabilities Act and Section 504 of the Rehabilitation Act* [Aug. 2015], available at https://www.ada.gov/doj_hhs_ta/child_welfare_ta.html, cached at http://www.nycourts.gov/reporter/webdocs/ProtectingRightsParentswithDisabilities.pdf). However, the "goals of child welfare and disability non-discrimination are mutually attainable and complementary [as] ensuring that parents and prospective parents with disabilities have equal access to parenting opportunities increases the opportunities for children to be placed in safe and caring homes" (*id.*).

Disabled parents, like all parents, have a fundamental right to raise their children that is protected by the Due Process Clause and Equal Protection Clause of the Fourteenth Amendment (*Stanley v Illinois*, 405 US 645, 651 [1972], citing *Meyer v Nebraska*, 262 US 390, 399 [1923]). The import of this right needs little elaboration: a "parent's 'desire for and right to "the companionship, care, custody, and management of [their] children" ' is an interest far more precious than any property right" (*Santosky v Kramer*, 455 US 745, 758-759 [1982], quoting *Lassiter v Department of Social Servs. of Durham Cty.*, 452 US 18, 27 [1981]). Accordingly, we have repeatedly held that the state may not deprive a "parent of the right to the care and custody of a child absent a demonstration of abandonment, surrender, persisting neglect, unfitness or other like behavior evincing utter indifference and irresponsibility to the child's well-being" (*Matter of Marie B.*, 62 NY2d 352, 358 [1984] [listing cases]). These protections apply equally regardless of a parent's physical or cognitive ability for many parents with a disability, just as non-disabled parents, are capable of caring for children and providing a loving and nurturing home environment (42 USC § 12101 [a] [1] ["physical or mental disabilities in no way diminish a person's right to fully participate in all aspects of society"]).

Where a child is removed from the custody of the parent for alleged neglect, as in appellant's case, ACS is the city agency charged with developing a permanency goal[3] and permanency hearing report, and with carrying out the child's permanency plan in compliance with the Family Court Act (Family Ct Act §§ 1087 [e]; 1089 [c], [c] [4] [i]). Here, the permanency plan has always been to return Lacee L. to appellant's custody. Importantly, the Family Court Act requires ACS to demonstrate in its permanency hearing reports that it has made "reasonable

3. The possible permanency goals are return to the parents or parent; placement for adoption with the official filing of a petition for the termination of parental rights; referral for legal guardianship; placement with a fit and willing relative; or, if the child is older than 16 years, placed in "another planned permanent living arrangement that includes a significant connection to an adult" (Family Ct Act § 1089 [c] [1]).

efforts . . . to eliminate the need for placement of the child and to enable the child to safely return home" (Family Ct Act § 1089 [c] [4] [i]). ACS concedes that it is a "public entity" as defined by the ADA, and that the ADA's reasonable accommodations requirement applies to its provision of services.[4]

The Family Court Act's requirement that ACS undertake "reasonable efforts" toward family reunification reflects the legislature's finding that a child is ordinarily given the best opportunity to thrive and develop when they are raised by their parent (*Matter of Michael B.*, 80 NY2d 299, 308-309 [1992]; Social Services Law § 384-b [1] [a] [i], [ii]). New York law further requires that ACS's reasonable efforts be "tailored to the particular circumstances and individuals in a given case" (*Matter of Lacee L. [Stephanie L.]*, 153 AD3d 1151, 1152 [1st Dept 2017]; *Matter of Cloey S. [Anthony T.]*, 99 AD3d 1080, 1081 [3d Dept 2012]; *Matter of Shaquanna C.*, 184 AD2d 509, 510 [2d Dept 1992]; *see* Social Services Law § 384-b [7] [f] [providing that ACS must consult and cooperate with parents to develop a "plan for appropriate services" in order to meet the analogous "diligent efforts" requirement in termination of parental rights proceedings]).

II.

New York's "individually tailored services" and reasonable efforts standard is fully congruent with the federal "reasonable modifications" requirement. Both compel ACS to design services that address the individual's needs and further the state's permanency goal for the child. Here, at all times, that goal has been reunification of the appellant with her daughter.

The national standards set forth in title II of the ADA constitute the statutory floor below which ACS's efforts may not fall (42 USC § 12112 [b] [5] [A] [providing that the failure to provide accommodations amounts to discrimination on the basis of a disability]; *Mary Jo C.*, 707 F3d at 162-163 [holding that Congress intended title II of the ADA to sweep broadly

4. Contrary to the majority's assertion, while ACS concedes that it must comply with the ADA, it also maintains that the act's federal mandates are exogenous to Family Court's reasonable efforts assessment. As I argue, ACS cannot have it both ways, and neither can the majority. ACS cannot logically claim that it must meet the ADA's requirements, but that Family Court may find it has affirmatively met all its legal obligations when it fails to provide ADA compliant services. This is especially so where Family Court orders ACS to provide specific services due to a parent's disability and ACS fails to provide them.

and thus "requires preemption of inconsistent state law when necessary to effectuate a required 'reasonable modification' "]). After all, the ADA requires public entities to provide reasonable accommodations to provide disabled individuals with "meaningful access" to services (*Wright v Giuliani*, 230 F3d 543, 548 [2d Cir 2000]). It follows that ACS's efforts towards reunification could only be reasonable if they included services that were accessible to the parent. We need not decide whether Family Court may determine, in a particular case, that ACS failed to meet its obligations under the Family Court Act even if technically in compliance with the ADA. Any heightened requirements imposed by state law would not affect a court's threshold determination.

To be clear, Family Court need not make an express finding that ACS failed to comply with the ADA to hold that ACS failed to provide meaningfully appropriate and properly tailored reunification services. All that Family Court must do is determine whether ACS made "reasonable efforts" toward family reunification by providing services that a disabled parent could access (Family Ct Act § 1089 [d] [2] [iii]). In other words, Family Court must decide whether ACS took the steps legally required to place a disabled parent in the same position to benefit from services as a parent without disabilities.

ACS is incorrect when it argues that a determination as to its provision of ADA reasonable accommodations is external or irrelevant to the reasonable efforts finding. We would reject this finding outright if any other kind of discrimination were involved. For example, if appellant had argued that ACS provided disparate services on the basis of her race, no one would doubt that Family Court would have to consider her assertions in assessing whether ACS had acted pursuant to its legal mandates. In other words, ACS could not have made reasonable efforts if its services were not equally available to parents of a different racial background. Moreover, it would be unrealistic to characterize this argument as a title VI claim of racial discrimination.[5] The analysis does not change here because appellant, relying on the ADA, bases her arguments on her disability and not on her race.

5. Title VI of the Civil Rights Act of 1964 prohibits programs that receive federal funding, including public entities, from excluding individuals from benefits on the basis of race (42 USC §§ 2000d, 2000d-4a).

III.

The record in this case illustrates that ACS failed to comply with its statutory obligations. Five days after appellant gave birth to Lacee L., ACS filed a neglect petition and removed her from appellant's custody. On the day ACS filed the petition, appellant appeared in Family Court with counsel who requested "reasonable accommodations to be made" due to appellant's "cognitive delays." At the next appearance, appellant's attorney noted that appellant's cognitive disability was well-recorded in ACS records and that appellant would consent to psychological testing to ensure that ACS services were tailored to appellant's needs. Over the next four months, at two scheduled hearings, counsel reiterated appellant's request for a cognitive evaluation, argued for ACS to provide disability appropriate services, and asked ACS to connect appellant with the Office for People with Developmental Disabilities (OPWDD) and to refer her to parenting classes specifically for parents with disabilities. As the parties were approaching the six-month permanency hearing date in accordance with the Family Court Act (Family Ct Act § 1089 [a] [3]), counsel moved for a determination that ACS had failed to make reasonable efforts because it had not provided adequately tailored services, such as referrals for disability appropriate parenting services and assistance in submitting an application for OPWDD services.

At the permanency hearing, in December 2014, six months since the separation of appellant from her daughter, counsel again argued that ACS had failed to properly accommodate appellant's disability. In response, ACS never argued that appellant was not entitled to the services she requested or, significantly, that ACS could not provide these services. Nor did it argue that it had provided services requested by counsel or other services tailored to appellant's circumstances and needs. In fact, appellant had not yet undergone the cognitive testing counsel had requested and which ACS would need in order to properly assess how to provide appellant with meaningful access to reunification services. Based on the record before it, Family Court ordered ACS to provide several of the services requested by counsel, mandating ACS to (1) send all notices to appellant's attorney or mother-in-law; (2) connect appellant with OPWDD; (3) refer appellant to services for parents with disabilities; and (4) conduct monthly meetings with appellant, her attorney, and social worker.

By the next hearing in March 2015, ACS still had not arranged for a cognitive evaluation and had not complied with the court order to refer appellant to services for parents with disabilities and assist her in obtaining OPWDD services. ACS argued that it could not refer appellant to the requested programs or OPWDD because she had not provided certain necessary medical records. Appellant maintained that she needed ACS assistance to secure these records due to her disability. One year after Family Court's initial order for ACS to provide services, notices to counsel, and assistance with OPWDD, Family Court stated that "it sounds like services are not quite getting done." That was an understatement. Appellant obtained a mental health evaluation and the documents needed to submit an OPWDD application without the assistance of ACS.

Nearly two years after the initial petition was filed, Family Court held that ACS had made reasonable efforts towards family reunification for the period of June 2014 through March 2015. However, in reaching this determination, the court found that ACS

> "surely should have done further and more regular follow-up with both the service providers and the parents. The very nature of [appellants'] apparent disabilities likely contributed to [their] failure to follow through with recommended services and requirements. Indeed, it took considerable prodding from the other attorneys in this case to make clear to the agency that a more carefully crafted approach was needed in this case. When that began, the parents' engagement in services and planning improved considerably."

Family Court also stated, "it is the job of the agency and ACS to make these targeted efforts, not the parents' and child's attorneys."

Nevertheless, Family Court concluded that the efforts made by ACS were enough to satisfy New York's reasonable efforts standard, and further rejected appellant's argument that ACS failed to provide reasonable accommodations in accordance with the ADA, because the ADA did not apply to permanency hearings. The Appellate Division affirmed, holding that while Family Court should "look to the ADA's standards for guidance" when considering whether ACS has met the reasonable efforts standard, the ADA was inapplicable to Family Court proceedings (*Matter of Lacee L. [Stephanie L.]*, 153 AD3d 1151, 1152 [1st Dept 2017]).

The courts below erroneously held that ACS made reasonable efforts to enable Lacee L. to return to appellant's custody as provided by the permanency plan, because the record does not show ACS undertook "reasonable modifications in [its] policies, practices, or procedures" to accommodate appellant's needs and provide her with the necessary "tailored services" (28 CFR 35.130 [b] [7] [i]; 42 USC §§ 12131, 12132; Social Services Law § 384-b [7] [f]). As the record establishes, ACS failed to comply with Family Court's order mandating certain services and accommodations intended to address appellant's cognitive disability, which the court had determined, at the December 2014 hearing, were necessary to provide appellant the opportunity to regain custody of her child. ACS's failure to comply with the court's orders and its persistent refusal to provide appropriate services tailored to appellant's individual circumstances and needs in a timely fashion foreclosed any finding by Family Court that ACS had made "reasonable efforts" towards achieving Lacee L.'s permanency goal.[6]

Family Court may have held otherwise, but its findings do not support that conclusion. Family Court found ACS failed to provide services to appellant when ordered to do so and acted only after the insistence of counsel and others. Although Family Court noted that even after considerable delay in providing services an agency may satisfy the reasonable efforts standard if the delay is not attributable to the agency, that is not the case here. The delays affecting the timely delivery of services fall squarely on ACS, which made woefully inadequate attempts to comply with the court's order or otherwise take steps necessary to permit appellant to access appropriate services. ACS asserted that its staff made telephone calls to service providers—which Family Court credited despite drawing a negative inference against ACS for failing to provide supporting documents—but ACS itself never actually secured these services. ACS also claimed that the case planner attempted to, but did not see appellant on a regular basis, but this was again in violation of Family Court's order. ACS at times blamed its

6. The majority mischaracterizes my conclusion as "frustrated with ACS's failure to obey [Family Court's] orders in a timely fashion" (majority op at 233 n 4). My analysis is grounded in the law and the agency's failure to comply with its statutory obligations and is not affected by an emotional reaction to the facts of this case.

failure to provide services on appellant's unavailability, inaction or delay in submitting information requested from her and not counsel. Unfathomably Family Court accepted these representations while recognizing that "[t]he very nature of [appellant's] apparent disabilities likely contributed to [her] failure to follow through with recommended services and requirements." Indeed, counsel had explained to ACS on several occasions that ACS staff should communicate with counsel—which Family Court ordered—because of the challenges inherent to appellant's disability.

The fundamental problem is that during the period covered by Family Court's order, ACS did not take the steps necessary to adequately assess and provide the services appellant required. As Family Court stated, "it took considerable prodding from the other attorneys in this case to make clear to the agency that a more carefully crafted approach was needed in this case." Yet, as Family Court emphasized, it was the legal duty of ACS not others to make these efforts. It is axiomatic that if ACS does not understand a parent's disability it cannot provide services tailored to the circumstances and needs of the individual (*Matter of Cloey S.*, 99 AD3d at 1081). In other words, the agency does not undertake statutorily required meaningful efforts when it does not know what it must do to address the challenges a disabled parent faces in attempting to access services. Indeed, it is difficult to read this record without drawing the conclusion that ACS did little to accommodate appellant's needs. The actions taken appear to be not much different from those that ACS would have followed if appellant was not disabled. Worse yet, to the extent her cognitive challenges affected her ability to comply with document and other requests from ACS (which ACS claimed slowed down its process), providing grounds for Family Court and the majority here to excuse ACS's delays and conclude that the agency met its affirmative obligations, appellant is in a worse position than a non-disabled parent who is able to act without the challenges posed by a disability.

The majority concludes that Family Court's finding of reasonable efforts has record support because appellant eventually got all her services through the combined efforts of her counsel, a social worker in counsel's office, and ACS. First, the only question before us is the propriety of the Family Court order challenged here, namely whether there is record support for Family Court's conclusion that ACS made reasonable efforts towards the goal of family reunification by providing meaningful access to services tailored to the appellant's circumstances and needs from June 2014 through March 2015. As Family Court recognized, during this period of time, and throughout the permanency proceedings, "it is the job of the agency and ACS to make these targeted efforts, not the parents' and child's attorneys." Thus, whether at some later date, because ACS failed to act, someone else provided the services is irrelevant as it was not the pertinent legal question and not the question Family Court considered.

Nor does the fact that the permanency proceeding may exceed a six-month period minimize the importance of Family Court's assessment of ACS efforts at any particular juncture. Although the six-month period is a checkpoint (majority op at 226), Family Court's review is intended to ensure that the agency is taking the legally required steps "to eliminate the need for placement of the child and to enable the child to safely return home" (Family Ct Act § 1089 [c] [4] [i]). It is not, as the majority suggests, a pause in the process during which the agency can meet its statutory requirements with claims of fainthearted attempts at compliance—as was the case here. ACS could not have made reasonable efforts if it failed to comply with Family Court's order and, as here, at most made some telephone calls and continued to tell appellant what to do, all the while aware that this would be inadequate because of appellant's cognitive challenges. There is no meaningful access when ACS tells someone to do something that they cannot do without services that ACS is legally mandated to provide.

Second, even though it was not the basis of Family Court's decision, the majority's view that as long as the services are provided by someone at some undefined time in the future, Family Court may decide that ACS affirmatively made reasonable efforts to meet its obligations, disregards legal mandates and the purpose behind disability anti-discrimination law, writ large and as expressed in title II of the ADA. The question is not whether a disabled person overcomes barriers when government fails to meet its lawful obligations, but whether the government has made its services available in a manner that allows a disabled person to access and benefit from them. By so doing, the disabled person is placed in the same position as any non-disabled person.

Under the majority's approach, ACS can fail to act, take its time to act, and even fail to comply with a court order because the disabled parent might find others to do ACS's job. That is not what the law permits and not what Congress intended when it enacted the ADA to ensure equality of opportunity for individuals with disabilities (42 USC § 12101 [a] [7]). To the contrary, it takes us back to the days when persons with disabilities received no services, but were expected to meet the same expectations applied to non-disabled individuals. Nor is the majority's approach consistent with our understanding of the state's adamant concern that children be returned to their parents where possible (*see Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275, 284 [2017]; *Matter of Marino S.*, 100 NY2d 361, 372 [2003]). Indeed, this point was not lost on the Family Court Judge himself, who noted the following in a March 2015 appearance:

> "the human side of this is I have taken their child away, and the system is set up that if a child is taken away and the goal is return to parent, that we must make financial, emotional, and physical commitments to making that happen and that they must be meaningful in some way, shape, or form."

The facts in appellant's case illustrate why the majority is wrong that the record supports a finding that ACS made meaningful and reasonable efforts towards family reunification. Although counsel made the demands for services within two days of Lacee L.'s removal, it took close to two years and the independent efforts of appellant's counsel, a social worker in counsel's office, and Family Court's continued prodding, before appellant obtained the services to address her needs. As Family Court and the majority concede, ACS never provided all of the services. It dragged its feet until someone else finally acted to secure services for appellant.

The decision here is not limited to the facts of appellant's case because by holding that as long as a disabled parent gets the services they requested at some indeterminate time, regardless of the steps taken by the agency, the majority encourages unnecessary delay in the provision of legally mandated services. Thus, in a future case, ACS may, as here, provide some services, leaving it to counsel to find a way for a disabled parent to access the other services needed. That would meet the majority's test but it would undermine, as here, the goal of permanency reunification because it extends the amount of time the child is in foster care, potentially impacting a disabled parent's (or any parent's) ability to argue that reunification was in the best interests of the child (*see Matter of Joyce T.*, 65 NY2d 39, 47-48 [1985] [holding that the "Legislature found that unnecessarily protracted stays in foster care deprive children of positive, nurturing family relationships"]; *Matter of Walter D.H. [Zaire L.]*, 91 AD3d 950, 951 [2d Dept 2012]; *Matter of Aisha T.*, 55 AD3d 435, 436 [1st Dept 2008] [terminating parental rights where five-year-old child had lived with foster family since infancy]; *Matter of Michael D.H.*, 56 AD3d 1269, 1270 [4th Dept 2008] [terminating parental rights where there was evidence that child had maintained a bond with mother but had also been in foster care for two years and had bonded with foster family]; *Matter of Jazminn O'Dell P.*, 39 AD3d 235, 235 [1st Dept 2007] [holding that while the parent's efforts to remediate the problems leading to the child's placement in foster care were "commendable," terminating parental rights was appropriate because the "child, now six years of age, has bonded with her foster parents with whom she has lived since infancy"]).

IV.

Much of the delay in Family Court and the ensuing appellate process might have been avoided if ACS had provided the services it concedes it is legally obligated to provide. Most troubling is the fact that ACS had a prior case with appellant and should have known about her intellectual disabilities and the services that might be necessary here based on its prior contact.

The attorney for Lacee L. and ACS both argue that reversal here would put the state in danger of losing federal reimbursement for services should we conclude that Family Court must make a finding of ACS compliance with the ADA because that finding would control in any future action against the agency. It bears stating that courts decide on the merits of a rights violation claim, not on speculative concerns about federal funding. In any case, the concern is misplaced. Appellant has not filed a claim for violation of the ADA and seeks no remedy under the ADA. She has not followed the federal and state protocols necessary to filing such an action. Thus, the majority's statement that an ADA claim must comply with federal requirements for filing such claim is accurate but beside the point (majority op at 232). Returning to my hypothetical, if appellant had based her claim on race discrimination, she would not be making a title VI claim. The same holds true here where appellant requests that ACS meet its minimal legal obligations and that we look at the record and decide whether it has done so.

For the reasons I have discussed, I would reverse the Appellate Division and remand to Family Court for a finding that ACS did not make reasonable efforts to achieve the permanency goal.

Chief Judge DIFIORE and Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion.

Order affirmed, without costs, and certified question answered in the affirmative.

[114 NE3d 1032, 90 NYS3d 579]

In the Matter of LeadingAge New York, Inc., et al., Appellants-Respondents, v Nirav Shah, as Commissioner of Health, et al., Respondents-Appellants. (Proceeding No. 1.)

In the Matter of Coalition of New York State Public Health Plans et al., Appellants-Respondents, v New York State Department of Health et al., Respondents-Appellants. (Proceeding No. 2.)

Argued September 5, 2018; decided October 18, 2018

SUMMARY

Appeal, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 22, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Denise A. Hartman, J.; op 56 Misc 3d 594 [2015]), entered in two consolidated hybrid CPLR article 78 proceedings and declaratory judgment actions, which had (1) denied the petitions to the extent they challenged the regulations limiting use of state funds or state-authorized funds for administrative expenses and executive compensation (the "hard cap"); (2) declared that such regulations do not violate the doctrine of separation of powers and are not arbitrary and capricious; (3) granted the petitions to the extent they challenged the regulation limiting use of both state and non-state funds for executive compensation (the "soft cap"); and (4) declared that the "soft cap" regulation was promulgated in excess of the Department of Health's authority and therefore violated the separation of powers doctrine.

Matter of LeadingAge N.Y., Inc. v Shah, 153 AD3d 10, affirmed.

HEADNOTES

Administrative Law — Validity of Regulation — Separation of Powers — Limits on Executive Compensation and Administrative Costs of Health Care Providers Receiving State Funds

1. Under the four-factor analysis set forth in *Boreali v Axelrod* (71 NY2d 1 [1987]), respondent Department of Health did not exceed its regulatory authority in promulgating "hard cap" regulations limiting executive compensation and administrative costs for certain health care providers receiving state funds (10 NYCRR 1002.2 [a]; 1002.3 [a]) in response to an executive order aimed at curbing abuses in such expenditures in order to ensure

that taxpayer funds are used to help needy New Yorkers. Respondent has been granted broad authority to maintain New York's Medicaid program, and therefore has inherent authority to protect the quality and value of services rendered by providers in the program. The hard cap regulations were directly tied to a specific goal dictated by the legislature—to efficiently direct state funds toward quality medical care for the public. Moreover, Public Health Law and Social Services Law provisions form a statutory framework directing respondent to use state health care funds in the most efficient and effective manner possible. By implementing the hard cap regulations, which attempted to steer state funds away from administrative uses and thus increase the impact of those funds on quality of care, respondent complied with that directive. Additionally, while bills have been introduced in the legislature relating to executive compensation caps, they have never made it out of committee. Finally, it was apparent that respondent utilized special expertise in crafting the hard cap regulations, drawing upon its understanding of the realities of the health care industry to adopt detailed definitional, waiver, and exemption provisions tailored to that sector.

Administrative Law — Validity of Regulation — Limits on Executive Compensation and Administrative Costs of Health Care Providers Receiving State Funds

2. The "hard cap" regulations promulgated by respondent Department of Health limiting executive compensation and administrative costs by certain health care providers receiving state funds (10 NYCRR 1002.2 [a]; 1002.3 [a]) in response to an executive order aimed at curbing abuses in such expenditures in order to ensure that taxpayer funds are used to help needy New Yorkers are not arbitrary and capricious. The discovery of excessive executive compensation within the health care industry provided a rational basis for the hard caps, as did New York's rapid increase in health care spending. Thus, it was not irrational for respondent to promulgate regulations directing public funds towards services and away from non-service-provider salaries and administrative overhead, as well as permitting waivers on a case-by-case basis when a covered provider establishes that higher executive compensation or administrative expenditures are necessary to deliver quality services to the public.

Administrative Law — Validity of Regulation — Separation of Powers — Limits on Executive Compensation of Health Care Providers from State and Non-State Funds

3. Under the four-factor analysis set forth in *Boreali v Axelrod* (71 NY2d 1 [1987]), respondent Department of Health exceeded its regulatory authority in promulgating "soft cap" regulations limiting executive compensation for certain health care providers paid from state or non-state funding (10 NYCRR 1002.3 [b]) in response to an executive order aimed at curbing abuses in executive compensation and administrative costs in order to ensure that taxpayer funds are used to help needy New Yorkers. The calculus with respect to the soft cap was not focused on the direct regulation of state health care funding, and imposed an overall cap on executive compensation, regardless of the funding source. The soft cap thus pursued a policy consideration—limited executive compensation—that was not clearly connected to the objectives outlined by the legislature but represented a distinct value judgment. By attempting to control how an entity uses its private funding, respondent ventured beyond legislative directives relating to the efficient use of state funds and into the realm of broader public policy concerns. Moreover, the exceptions to the soft cap reflected a choice between competing public policy

interests, rather than mere implementation of the legislature's chosen goal relating to the efficient use of state funds. Rather than determining the best way to regulate toward the legislative goal identified in its enabling legislation, with respect to the soft cap respondent apparently envisioned an additional goal of limiting executive compensation as a matter of public policy and regulated to that end.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Administrative Law §§ 128–131, 476, 477; AM JUR 2d Constitutional Law § 259.

10 NYCRR 1002.2 (a); 1002.3 (a), (b).

NY JUR 2d Administrative Law §§ 33, 333; NY JUR 2d Constitutional Law § 169; NY JUR 2d Hospitals and Related Health Care Facilities § 127.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Hospitals; Separation of Powers.

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POINTS OF COUNSEL

Hinman Straub P.C., Albany (*David T. Luntz* of counsel), and *O'Connell & Aronowitz, P.C.*, Albany (*Cornelius D. Murray* of counsel), for appellants-respondents in the first above-entitled proceeding. I. The regulations in 10 NYCRR part 1002 are invalid under *Boreali v Axelrod* (71 NY2d 1 [1987]). (*Rapp v Carey*, 44 NY2d 157; *Bourquin v Cuomo*, 85 NY2d 781; *Matter of Consolidated Edison Co. of N.Y. v Department of Envtl. Conservation*, 71 NY2d 186; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 110 AD3d 1, 23 NY3d 681; *Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174; *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600; *Agencies for Children's Therapy Servs., Inc. v New York State Dept. of Health*, 136 AD3d 122; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Under 21, Catholic Home Bur. for Dependent Chil-*

dren v City of New York, 65 NY2d 344.) II. The regulations in 10 NYCRR part 1002 are invalid because they directly conflict with well-established constitutional limits of administrative rulemaking. (*Connolly v O'Malley*, 17 AD2d 411; *City of New York v Stone*, 11 AD3d 236; *Bourquin v Cuomo*, 85 NY2d 781; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Rapp v Carey*, 44 NY2d 157; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Clove Lakes Nursing Home v Whalen*, 45 NY2d 873.) III. The regulations in 10 NYCRR part 1002 are arbitrary and capricious. (*Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Jewish Mem. Hosp. v Whalen*, 47 NY2d 331.)

Greenberg Traurig LLP, Albany (*Henry M. Greenberg* and *Harold N. Iselin* of counsel), *Mannatt, Phelps & Phillips, LLP*, Albany (*James W. Lytle* of counsel), and *O'Melveny & Myers LLP*, New York City (*Andrew J. Frackman* and *Abby F. Rudzin* of counsel), for appellants-respondents in the second above-entitled proceeding. I. The New York State Department of Health lacked statutory authority to adopt the hard and soft caps in 10 NYCRR part 1002. (*Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Rotunno v City of Rochester*, 120 AD2d 160, 71 NY2d 995; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Matter of Bates v Toia*, 45 NY2d 460; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Council for Owner Occupied Hous. v Abrams*, 72 NY2d 553; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681; *Rudder v Pataki*, 246 AD2d 183, 93 NY2d 273; *Subcontractors Trade Assn. v Koch*, 62 NY2d 442.) II. The hard and soft caps in 10 NYCRR part 1002 violate fundamental separation of powers principles that reserve critical policy decisions to the legislature. (*People v Garson*, 6 NY3d 604; *Darweger v Staats*, 267 NY 290; *Boreali v Axelrod*, 71 NY2d 1; *Rapp v Carey*, 44 NY2d 157; *Saratoga County Chamber of Commerce, Inc. v Pataki*, 100 NY2d 801; *Matter of Levine v Whalen*, 39 NY2d 510; *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600; *Matter of Sullivan County Harness Racing Assn. v Glasser*, 30 NY2d 269; *Welcher v Sobol*, 222

AD2d 1001; *Packer Coll. Inst. v University of State of N.Y.*, 298 NY 184.) III. The compensation limits in 10 NYCRR part 1002 are arbitrary and capricious. (*New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of Jewish Mem. Hosp. v Whalen*, 47 NY2d 331; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 110 AD3d 1, 23 NY3d 681.)

Barbara D. Underwood, Attorney General, New York City (*Matthew W. Grieco* and *Steven C. Wu* of counsel), for respondents-appellants in the first and second above-entitled actions. I. The New York State Department of Health's broad responsibility over public health care spending authorizes 10 NYCRR part 1002. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Bourquin v Cuomo*, 85 NY2d 781; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Matter of Fullilove v Beame*, 48 NY2d 376; *Matter of Fullilove v Carey*, 48 NY2d 826; *Matter of Broidrick v Lindsay*, 39 NY2d 641; *Ellicott Group, LLC v State of N.Y. Exec. Dept. Off. of Gen. Servs.*, 85 AD3d 48; *Matter of Medicon Diagnostic Labs. v Perales*, 74 NY2d 539; *Matter of Koch v Sheehan*, 21 NY3d 697.) II. 10 NYCRR part 1002 is a constitutional exercise of the New York State Department of Health's authority to regulate its own expenditure of public health funds. (*Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681; *Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174; *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600; *Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Agencies for Children's Therapy Servs., Inc. v New York State Dept. of Health*, 136 AD3d 122; *Bourquin v Cuomo*, 85 NY2d 781; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249.) III. The Appellate Division correctly rejected the claim that 10 NYCRR part 1002 is arbitrary and capricious. (*Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of Nakia L.*, 81 NY2d 898; *Matter of Catholic Med. Ctr. of Brooklyn & Queens v Department of Health of State of N.Y.*, 48 NY2d 967.) IV. The

Appellate Division erred in holding one subdivision of one section of 10 NYCRR part 1002 beyond the New York State Department of Health's authority.

OPINION OF THE COURT

Chief Judge DiFiore.

This appeal involves a challenge, on separation of powers grounds, to regulations promulgated by the Department of Health (DOH) limiting executive compensation and administrative expenditures by certain health care providers receiving state funds. Because we agree that two of the challenged regulations fall within the agency's regulatory authority but that a third was promulgated in excess of its delegated powers, we affirm the order of the Appellate Division.

I.

After media reports emerged of high executive compensation within nonprofit health care organizations funded in part by Medicaid, Governor Cuomo created a task force to investigate the issue. In January 2012, the Governor issued Executive Order (Cuomo) No. 38 (EO38) to certain executive agency heads, including respondent Commissioner of Health, directing agencies providing state funding to service providers to regulate provider use of state funds for executive compensation and administrative costs, specifying that the agencies should (i) limit providers' allocation of state funds toward administrative costs to 15% by 2015 and (ii) "[t]o the extent practicable," limit reimbursement of the amount of state funds used for executive compensation by a provider to $199,000 (9 NYCRR 8.38). The executive order was aimed at "curb[ing] . . . abuses in executive compensation and administrative costs" within service providers receiving state funds in order to "ensure that taxpayer dollars are used first and foremost to help New Yorkers in need" (*id.*). DOH published proposed regulations that were consistent with EO38 and, after a public comment period and substantial revision, promulgated the regulations at issue in 2013 (*see* 10 NYCRR part 1002).

Consistent with EO38, the regulations impose restrictions on state-funded providers' expenditures related to administrative expenses and executive compensation. The restrictions apply to "covered providers," which the regulations define as those (i) receiving, pursuant to a contract with DOH (or another governmental entity or entity on its behalf) for program services, "State funds or State-authorized payments during the covered reporting period and the year prior . . . in an average annual amount greater than $500,000"; and (ii) "at least 30 percent of whose total annual in-state revenues for the covered reporting period and for the year prior . . . were from State funds or State-authorized payments" (10 NYCRR 1002.1 [d] [1], [2]). The regulations exempt certain entities and individuals from the definition of "covered provider," including state, county, and local governments and those "providing primarily or exclusively products, rather than services" in exchange for state funds (*id*. § 1002.1 [d] [6] [i], [iv]).

Two of the regulations have been labeled a "hard cap" (*id.* §§ 1002.2 [a]; 1002.3 [a]) and the third a "soft cap" (*id.* § 1002.3 [b]). The so-called hard cap has two components, one relating to administrative expenses and the other executive compensation. The administrative expenses hard cap mandates that "[n]o less than 75 percent [increasing to 85 percent by 2015] of the covered operating expenses of a covered provider paid for with State funds or State-authorized payments shall be program services expenses rather than administrative expenses," thus limiting the percentage that the provider may allocate to administrative expenses to 15% beginning in 2015 (*id.* § 1002.2 [a]). The executive compensation hard cap directs that, absent a waiver, a covered provider may "not use State funds . . . for executive compensation . . . in an amount greater than $199,000" (*id.* § 1002.3 [a]).

The "soft cap" regulation also relates to executive compensation. Under the soft cap, a covered provider is subject to penalties if executive compensation exceeds $199,000 per year from any source of funding (state or non-state), with two significant exceptions (*id.* § 1002.3 [b]). The soft cap is applicable only if the executive compensation either (i) is "greater than the 75th percentile of that compensation provided to comparable executives in other providers of the same size and within the same program service sector and the same or comparable geographic area as established by a compensation survey identified, provided, or recognized by the [DOH] and the Director of the Division of the Budget"; or (ii) "was not reviewed and approved by the covered provider's board of directors or equivalent governing body (if such a board or body exists) including at least two independent directors or voting members" (*id.* § 1002.3 [b] [1], [2]).[1]

Both executive compensation caps apply to compensation paid to a "covered executive," defined in the regulations as "a compensated director, trustee, managing partner, or officer," or "key employee" whose compensation exceeded $199,000 during the reporting period, "whose salary and/or benefits, in whole or in part, are administrative expenses" (*id.* § 1002.1 [b]).[2] The definition of "covered executive" expressly excludes "[c]linical and program personnel in a hospital or other entity providing program services, including . . . types of personnel fulfilling administrative functions that are nevertheless directly attributable to and comprise program services," like "chairs of departments" and "directors of nursing" (*id.*). "Program services" are those "rendered by a covered provider or its agent directly to and for the benefit of members of the public . . . that are paid for in whole or in part by State funds or State-authorized funds," with certain exceptions (*id.* § 1002.1 [h]).[3]

A covered provider may receive a waiver excusing compliance with the caps upon a showing of "good cause" (*id.* § 1002.4). With respect to the executive compensation caps, DOH outlined six factors for determining "good cause," including "the extent to which the covered provider would be unable

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1. Under this exception, the soft cap also applies "where a duly authorized compensation committee including at least two independent directors or voting members conducted such review on behalf of the full board" and "such actions were not reviewed and ratified by such board," or where the board, governing body, or committee's "review did not include an assessment of appropriate comparability data." (*id.* § 1002.3 [b] [2]).

2. "Administrative expenses," as referenced in both the administrative expenses hard cap and the definition of "covered executive," are "those expenses authorized and allowable pursuant to applicable agency regulations, contracts or other rules that govern reimbursement with State funds or State-authorized payments that are incurred in connection with the covered provider's overall management and necessary overhead that cannot be attributed directly to the provision of program services" (*id.* § 1002.1 [a]).

3. Covered providers are required to report their compliance with these regulations for each "covered reporting period" by filing a disclosure form (*id.* § 1002.5 [a]), and the regulations contain penalties for noncompliance (*see id.* § 1002.6). When DOH determines that a covered provider is not in compliance with the regulations, it must afford the provider six months (which may be extended) to achieve compliance pursuant to a "corrective action plan" approved by DOH (*id.* § 1002.6 [b]-[c]). Thereafter, DOH may: (i) "[r]edirect[ ] . . . State funds or State-authorized payments to be used to provide program services"; (ii) suspend, modify or terminate contracts with that provider; or (iii) revoke the provider's license to deliver DOH program services (*see id.* § 1002.6 [d] [2]).

to provide the program services reimbursed with State funds . . . at the same levels of quality and availability without obtaining reimbursement for executive compensation" in excess of the $199,000 limit (*id.* § 1002.4 [a] [2] [ii]).[4] DOH also identified five factors supporting a waiver from the administrative expenses hard cap, including "[e]vidence that a failure to reimburse specific administrative expenses that are the subject of the waiver would negatively affect the availability or quality of program services in the covered provider's geographic area" (*id.* § 1002.4 [b] [2] [ii]).[5]

These two hybrid CPLR article 78 proceedings and declaratory judgment actions were commenced by two sets of petitioners soon after the regulations were promulgated. The petitioners in *Matter of LeadingAge N.Y., Inc. v Shah* (the LeadingAge petitioners) are nursing homes, assisted-living programs, home-care agencies, and trade associations representing those types of providers. The petitioners in *Matter of Coalition of N.Y. State Pub. Health Plans v New York State Dept. of Health*—Coalition of New York State Public Health Plans, New York State Coalition of Managed Long Term Care/PACE Plans, and New York Health Plan Association, Inc. (the Coalition petitioners)—are trade associations representing health care plans, health maintenance organizations, and long-term care plans. Both groups have members who contract with DOH to provide health care services and receive significant state funds—primarily via Medicaid. Petitioners sought invalidation of the regulations, contending that in promulgating the regulations, DOH exceeded its regulatory authority and violated the separation of powers doctrine. Petitioners further asserted that the regulations are arbitrary and capricious. The LeadingAge petitioners also brought substantive due process and federal preemption claims.

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4. Other factors are whether the desired compensation is "comparable" to that for other analogous positions; "the nature, size, and complexity" of the provider's operations; and the qualifications and experience possessed by the executive or required for the position (*id.* § 1002.4 [a] [2]). The remaining factors consider the provider's process in determining executive compensation and efforts to seek similar candidates for lower compensation (*id.*).

5. The agency will also consider the extent to which the relevant administrative expenses are "necessary or avoidable"; the "nature, size, and complexity" of the covered provider's operations; the "provider's efforts to monitor and control administrative expenses and to limit requests for reimbursement for such costs"; and "[t]he provider's efforts . . . to find other sources of funding" for administrative expenses (*id.* § 1002.4 [b] [2]).

After the actions were consolidated and the substantive due process and federal preemption claims dismissed, Supreme Court partially denied relief, declaring that the hard cap regulations do not violate the separation of powers doctrine and are not arbitrary and capricious but declaring the soft cap regulation to be invalid (56 Misc 3d 594 [Sup Ct, Albany County 2015]). Supreme Court reasoned that promulgation of the executive compensation and administrative expenses hard cap regulations did not usurp the legislature's role because they are grounded in the statutory mandate of "administer[ing] taxpayer fund[ed] programs efficiently to get the biggest bang for the buck in the delivery of health care and services" (56 Misc 3d at 604). Supreme Court also held that the hard cap regulations were not arbitrary and capricious, noting that the regulations were promulgated based on task force research and after public comment, and that the definitional thresholds, exclusions, and the decision to apply the regulations only to providers receiving state funding were not irrational (*id.* at 608-610). The court observed, however, that it would be possible to address certain arguments only in the context of a challenge from a particular provider to which DOH has applied the regulations (*id.* at 610). With regard to the soft cap provision, however, Supreme Court granted the petitions, declaring that the soft cap was promulgated in excess of DOH's authority and therefore violated the separation of powers doctrine because it "reaches beyond state funds and state-authorized funds expended for executive compensation," and thus "flags concerns that the agency was improperly engaged in acting on its own ideas of good public policy" (*id.* at 605-606).

On the parties' appeals and cross appeals, the Appellate Division affirmed, with one Justice dissenting in part (153 AD3d 10 [3d Dept 2017]). The Appellate Division largely agreed with Supreme Court's reasoning, holding that because "DOH has the statutory obligation to ensure that scarce taxpayer dollars are used efficiently and for the benefit of those who are the recipients of the services, and routinely promulgates regulations setting reimbursement rates for the government-funded care and services," promulgation of the hard cap regulations did not reflect an inherently legislative attempt to balance policy concerns beyond DOH's purview (*id.* at 20). The Appellate Division further concluded that petitioners' claim that the hard cap regulations were arbitrary and capricious was "utterly devoid of merit" because "[b]oth empirical evidence and sound agency judgment support the promulgation of [the regulations]" (*id.* at 25-26). With respect to the soft cap, the Appellate Division agreed that DOH exceeded its authority by "attempting to regulate executive compensation from all sources" (*id.* at 25). The partially dissenting Justice would have invalidated both the hard and soft cap regulations, reasoning that the enabling legislation does not authorize DOH to "control how providers spend earned revenues for past services," that DOH impermissibly sought to balance the legislative goal "against the interests of private businesses in administering their internal fiscal affairs" (*id.* at 29 [Mulvey, J., concurring in part and dissenting in part]), and that the regulations are arbitrary and capricious (*id.* at 31).

In this Court, both sets of petitioners argue that the hard and soft cap regulations related to executive compensation constitute an improper attempt to regulate matters beyond the scope of DOH's authority, as the statutes directed to DOH do not expressly address executive compensation, and that the doctrine of separation of powers has been violated because the agency engaged in legislative activity that exceeds its regulatory powers. Petitioners further challenge the regulations as arbitrary and capricious, asserting that they are insufficiently linked to the concerns they attempt to mitigate and incorporate arbitrary standards. The LeadingAge petitioners extend their challenge to the administrative expenses hard cap, contending that the regulations conflict with existing legislation. Petitioners also maintain that even if the legislature intended to empower DOH to regulate in this arena, such a delegation would be ultra vires and unenforceable because the legislation on which the agency relies fails to provide sufficient guidance to the agency.

II.

"The concept of the separation of powers is the bedrock of the system of government adopted by this State in establishing three coordinate and coequal branches of government, each charged with performing particular functions" (*Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174, 178 [2016] [internal quotation marks and citation omitted]). The principle "requires that the Legislature make the critical policy decisions, while the executive branch's responsibility is to implement those policies" (*Bourquin v Cuomo*, 85 NY2d 781, 784 [1995] [citation omitted]; *see* NY Const, art III, § 1; art IV, § 1). "Agencies, as creatures of the Legislature, act pursuant to specific grants of authority conferred by their creator" (*Matter of Campagna v Shaffer*, 73 NY2d 237, 242 [1989]). Thus, a legislature may enact a general statute that reflects its policy choice and grants authority to an executive agency to adopt and enforce regulations that expand upon the statutory text by filling in details consistent with that enabling legislation (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004]). If an agency promulgates a rule beyond the power it was granted by the legislature, it usurps the legislative role and violates the doctrine of separation of powers (*Matter of NYC C.L.A.S.H.*, 27 NY3d at 178; *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600, 608 [2015]).

The separation of powers doctrine commands that the legislature make the primary policy decisions but does not require that the agency be given rigid marching orders (*see Greater N.Y. Taxi Assn.*, 25 NY3d at 609). Administrative entities possess technical expertise and may be vested with considerable discretion to flesh out a policy broadly outlined by legislators. Thus, in promulgating regulations, an agency may rely on a general but comprehensive grant of regulatory authority. To be sure, a broad grant of authority is not a license to resolve—under the guise of regulation—matters of social or public policy reserved to legislative bodies (*Boreali v Axelrod*, 71 NY2d 1, 9 [1987]). But among the powers possessed by necessary implication, administrative agencies have flexibility in determining the best methods for pursuing objectives articulated by the legislature (*Bourquin*, 85 NY2d at 790-791). And because it is not always possible to draw a clear line between the functions of the legislative and executive branches, common sense must prevail when determining whether an agency acted within its grant of authority (*Greater N.Y. Taxi Assn.*, 25 NY3d at 609).

In *Boreali*, we offered guidance for finding "the difficult-to-define line between administrative rule-making and legislative policy-making" (71 NY2d at 11). The following "coalescing circumstances" may inform the inquiry:

> "whether (1) the agency did more than balanc[e] costs and benefits according to preexisting guidelines, but instead made value judgments entail[ing]

> difficult and complex choices between broad policy goals to resolve social problems; (2) the agency merely filled in details of a broad policy or if it wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance; (3) the legislature has unsuccessfully tried to reach agreement on the issue, which would indicate that the matter is a policy consideration for the elected body to resolve; and (4) the agency used special expertise or competence in the field to develop the challenged regulation[ ]" (*Matter of NYC C.L.A.S.H.*, 27 NY3d at 179-180 [internal quotation marks and citations omitted]; *Boreali*, 71 NY2d at 12-14).[6]

We have explained that these are not "criteria that should be rigidly applied in every case" but rather "overlapping, closely related factors" that, viewed together, may signal that an agency has exceeded its authority (*Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681, 696 [2014]; *see Greater N.Y. Taxi Assn.*, 25 NY3d at 612). If we find that the agency has been empowered to regulate the matter in question and has not usurped the legislative prerogative, the separation of powers inquiry is at an end (*see Garcia v New York City Dept. of Health & Mental Hygiene*, 31 NY3d 601 [2018]). Our role in this regard is not to question the efficacy or wisdom of the means chosen by the agency to accomplish the ends identified by the legislature. Rather, we determine only whether the agency acted within the scope of its authority.

III.

In this case, our analysis must begin with a review of the function of the agency whose actions are challenged. DOH is the state agency primarily responsible for public health. It

6. In his partial dissent, Judge Wilson correctly points out that some challenges to agency action raise nonconstitutional issues that may not present the concerns addressed in *Boreali*—such as claims that an agency has misinterpreted a statute (*see e.g. International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 32 NY3d 198 [2018]) or has adopted a regulation inconsistent with enabling legislation or otherwise contrary to law (*see e.g. Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249 [2004]). But, here, where petitioners challenge the agency's promulgation of regulations as unconstitutional under the separation of powers doctrine, our *Boreali* "coalescing circumstances" analysis is implicated.

administers state health care programs that provide public medical services to New Yorkers and manages state funds earmarked for public health, including Medicaid funds. In this regard, the Public Health Law authorizes DOH to "regulate the financial assistance granted by the state in connection with all public health activities" (§ 201 [1] [*o*]) and to "receive and expend funds made available for public health purposes pursuant to law" (§ 201 [1] [p]), in addition to numerous other public-health-related tasks.

Of critical relevance here, DOH has been granted broad authority to maintain New York's Medicaid program, which provides a significant portion of the public funds under DOH management, and to implement related regulations (Social Services Law § 363-a).

> "We have recognized that the public must be assured that the funds which have been set aside (for providing medical services to the needy) will not be fraudulently diverted into the hands of an untrustworthy provider of services. To that end, the agency charged with the responsibility of administering the medicaid program has inherent authority to protect the quality and value of services rendered by providers in that program" (*Matter of Medicon Diagnostic Labs. v Perales*, 74 NY2d 539, 545 [1989] [internal quotation marks and citations omitted]; *see Matter of Koch v Sheehan*, 21 NY3d 697, 700 [2013]).

Moreover, the legislature has authorized DOH to contract with private companies for the provision of state-funded health care services to the public (Public Health Law § 206 [3]). Reading these enabling statutes together, it is evident that the legislature has delegated to DOH the authority to receive, manage, and expend state funds; oversee the Medicaid program and the funding it provides; and contract with private entities that receive state money—all with the goal of ensuring that the limited public funding available be directed as efficiently as possible toward high-quality services for New Yorkers in need (*see* Public Health Law §§ 201 [1] [*o*], [p]; 206 [3]; Social Services Law § 363-a).

[1] Here, with respect to the hard cap regulations—which regulate only the manner in which state health care funding is expended—we conclude that DOH did not exceed its authority. Applying the first *Boreali* factor, promulgation of the hard caps reflects a "balanc[ing] [of] costs and benefits according to preexisting guidelines" set by the legislature—not a new "value judgment" directed at resolution of a "social problem." The enabling statutes reflect the legislature's policy directive that DOH oversee the efficient expenditure of state health care funds to ensure high-quality services and provide guidance to DOH in implementing regulations consistent with that directive.[7] The hard cap regulations are thus directly tied to a specific goal dictated by the legislature—to efficiently direct state funds toward quality medical care for the public (*see Garcia*, 31 NY3d 601). The hard caps accomplish that goal by limiting the extent to which state funds may be used for non-service-related salaries or disproportionately large administrative budgets, thereby channeling state funds toward the direct provision of services. DOH rationally concluded that requiring that a high proportion of state funding be used directly for medical services will further the legislative goal of maximizing state resources for the purchase of high-quality care.

Petitioners assert that in electing to limit the use of state funds for executive compensation and administrative expenses, DOH made decisions not envisioned by the legislature regarding the best use of state funding earned by health care providers. As petitioners point out, there are no statutes specifically restricting the use of state funding for executive compensation or administrative expenses. However, as we recognized in *Greater N.Y. Taxi*, enabling legislation need not detail an agency's role. Indeed, it is commonly the function of the administrative agency to fill in the details and interstices in a policy that may have been broadly articulated by the legislative branch. For example, in *Greater N.Y. Taxi*, where the New York City Council granted the New York City Taxi & Limousine Commission broad authority to regulate the taxi industry, we held that this included by implication the authority to require the use of a particular vehicle as part of the agency's "Taxi of Tomorrow" initiative (25 NY3d at 609-610). We reached this conclusion even though there was no specific legislative

7. Contrary to petitioners' argument, this grant of authority is not an unconstitutional delegation of legislative power because the enabling legislation provides adequate standards to guide DOH pursuant to the legislature's policy choice. The enabling legislation instructs DOH to regulate the health care industry through the efficient management of state-run programs and state funds to ensure the best quality care for New Yorkers, as opposed to providing unfettered authority to tackle any broad social or public policy issue relating to public health.

authority for the agency's decision to partner with a specific motor vehicle manufacturer rather than adhere to its prior practice of adopting general conforming vehicle specifications. This is a corollary of the maxim that an agency may promulgate regulations not specifically directed by its enabling legislation as long as they are consistent with and intended to advance the legislature's broad policy choice (*id.* at 611). Here, as in *Greater N.Y. Taxi*, DOH has been granted general but comprehensive authority to regulate how state funds are expended in furtherance of the goals of maximizing efficiency and quality in the provision of health care services. This grant of authority is sufficient even though the enabling statutes do not specifically instruct DOH to focus on executive compensation or administrative expenses as the particular means to achieve that goal.[8]

Although petitioners argue otherwise, in allowing waivers and exemptions to the hard caps, DOH did not make impermissibly complex policy decisions beyond its health care mandate. Rather, it used its expertise and understanding of the practical realities of New York's health care industry to develop a multifactored analysis to account for specific scenarios in which the regulation would undermine the legislative objectives. In determining whether to grant a waiver, DOH may consider a provider's inability under the executive compensation hard cap to provide services "at the same levels of quality and availability" (10 NYCRR 1002.4 [a] [2] [ii]) or whether application of the administrative expenses hard cap "would negatively affect the availability or quality of program services in the covered provider's geographic area" (*id.* § 1002.4 [b] [2] [ii]). Thus, DOH crafted waiver provisions that excuse application of the regulations in situations where an important aspect of the legislative goal—the provision of high-quality care—would be obstructed.

The waiver provisions here can be contrasted with the exception in *Statewide Coalition*, where we determined that a portion cap rule on sugary drinks developed by the New York City Board of Health was adopted in excess of administrative authority. The portion cap rule banned the sale of a sugary drink in a cup that could contain more than 16 fluid ounces, "making it inconvenient, but not impossible, to purchase more

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8. Further, contrary to the LeadingAge petitioners' argument, the hard cap regulations, which impact whether DOH accepts a provider in the first instance or maintains a relationship with the provider, do not conflict with Public Health Law § 2808, which governs how much to pay providers for services rendered.

than 16 fluid ounces of a sugary beverage while dining at a food service establishment" (23 NY3d at 698). By using an indirect method of regulation—buyer inconvenience—and exempting smaller-sized sugary drinks from the ban, the agency "necessarily chose between ends, including public health, the economic consequences associated with restricting profits by beverage companies and vendors, tax implications for small business owners, and personal autonomy" (*id.*). The rule was structured in a manner that indicated a weighing of diverse social and economic policy interests falling significantly outside the agency's public health mandate. In contrast, here, instead of improperly weighing competing special interests against the public health goal, the waiver provisions of the hard cap regulations are designed to *further* the legislative goal. Thus, the hard cap regulations do not evince an administrative attempt to advance an unrelated policy out of step with the enabling legislation or to mitigate the impact of the agency's rule based on social or public policy concerns unrelated to its mandate. Rather, they indicate a balancing of costs and benefits directly tied to the efficient use of state funds and quality of care goals directed by the legislature.

With respect to the second *Boreali* factor, in promulgating the hard cap regulations, the agency did not "write on a clean slate" but acted pursuant to a preexisting directive. Read together, the Public Health Law and Social Services Law provisions cited by DOH form a statutory framework directing DOH to use state health care funds in the most efficient and effective manner possible—to ensure, as the Supreme Court put it, "the biggest bang for the buck" (*LeadingAge N.Y., Inc. v Shah*, 56 Misc 3d at 604). By implementing the hard cap regulations, which attempt to steer state funds away from administrative uses and thus increase the impact of those funds on quality of care, DOH complied with this directive. Therefore, DOH "filled in details of a broad policy" articulated by the legislature (*Greater N.Y. Taxi*, 25 NY3d at 611, citing *Boreali*, 71 NY2d at 13).

The third *Boreali* factor—which considers the extent to which the legislature has attempted but failed to reach agreement on the issue—does not support petitioners' claim that the hard cap regulations address a topic exclusively within the legislative domain. While bills have been introduced in the legislature relating to executive compensation caps, they never made it out of committee. Moreover, many of the bills relied on by petitioners did not relate specifically to state funding of executive compensation or public health spending, and many of them were not proposed until after the issuance of EO38. As petitioners point out, the most relevant legislative proposal advanced prior to the adoption of the regulations was a January 2012 budget bill introduced by the Governor virtually contemporaneously with the issuance of EO38, which the legislature declined to pass. However, a single unsuccessful proposal is not in the same class as the repeated unsuccessful legislative efforts we have deemed indicative of the type of broad public policy issue reserved exclusively to the legislature. And,

> "[w]hile it may have been more desirable for the Legislature to have passed a statute . . . , the question whether the [executive branch] had the authority to [take the challenged action] is not one of preference but of constitutionality. It is not the role of this Court to dictate how public policy should be implemented, but only to state when and how the Constitution has been offended" (*Bourquin*, 85 NY2d at 788).

With respect to the fourth *Boreali* factor, it is apparent that DOH utilized "special expertise" in crafting the hard cap regulations. Although EO38 contained specific instructions regarding limits on executive compensation and administrative expenses, DOH drew upon its understanding of the realities of the health care industry to adopt detailed definitional, waiver, and exemption provisions tailored to that sector. For example, DOH exempted from the executive compensation caps certain quasi-administrative jobs it identified as inseparable from the direct provision of program services, like hospital department chairs (10 NYCRR 1002.1 [b]). Thus, DOH ensured that state funds would be available to support appropriate compensation for experienced and skilled physicians and other health care workers, thereby providing an incentive for covered providers to offer competitive salaries to those most directly involved in patient care.

In totality, following consideration of the *Boreali* factors, we are unconvinced that, in adopting the hard cap regulations, DOH exceeded its regulatory authority. The legislature expressed a policy goal—that state health care funds should be expended in the most efficient and effective manner to maximize the quality and availability of public care—and the hard cap regulations, which focus exclusively on the appropriate use of state funds, are directly tied to that goal without improperly subverting it in favor of unrelated public policy interests.[9] The Appellate Division correctly held that the hard cap regulations were a proper exercise of DOH's regulatory powers.

IV.

[2] Having rejected the separation of powers challenge to the hard cap regulations, we turn to petitioners' claims that the regulations are arbitrary and capricious. DOH points out that certain aspects of this claim may be premature and might better await a subsequent CPLR article 78 challenge brought by a provider disciplined for failing to comply with the regulations. To the extent petitioners mount a facial challenge to the hard cap regulations, they do not meet their "heavy burden" of establishing invalidity on this basis (*see Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202, 227 [2017]). An administrative regulation stands as long as it "has a rational basis and is not unreasonable, arbitrary or capricious" (*id.* at 226). The task force's discovery of excessive executive compensation within the health care industry provided a rational basis for the hard caps, as did New York's rapid increase in health care spending, resulting in per capita Medicaid spending nearly twice the national average. We cannot say that it was irrational for DOH to promulgate regulations that direct public funds towards services and away from non-service-provider salaries and administrative overhead, as well as to permit waivers on a case-by-case basis when a covered provider establishes that higher executive compensation or administrative expenditures are necessary to deliver

9. The Court is unanimous that the administrative expenses hard cap was a valid exercise of DOH's regulatory authority. And it is undisputed that there is significant overlap between the administrative expenses and executive compensation hard caps—executive compensation is, in fact, a type of administrative expense. Judge Garcia concludes, in essence, that the executive compensation hard cap is not needed because "once the administrative cap controls, the executive compensation cap has no effect on money spent on program services" (Garcia, J., dissenting op at 273). The fact that a regulatory provision may be duplicative or—in one Judge's view—unnecessary in relation to the achievement of the legislative goal does not make it ultra vires. If DOH could have adopted the executive compensation hard cap as a legitimate restriction on the use of state health care funding, that act was not rendered invalid by the fact that the agency also adopted the administrative expenses hard cap—which regulates the use of state funds in complementary manner.

quality services to the public. Accordingly, petitioners' challenges to the hard cap regulations were properly rejected.

V.

[3] We now turn our attention to the soft cap regulation, which precludes health care providers from paying executive salaries over $199,000 regardless of funding source, absent the applicability of an exception or the grant of a waiver. The soft cap regulation stands in stark contrast to the hard cap regulations, which do not actually restrict the total amount or percentage of funding a covered provider uses on administrative expenses or executive compensation (they merely limit the amount of state funding used for such purposes). Although we do not doubt that DOH's intentions were to advance the same interests underlying the hard cap regulations, we conclude that the calculus differs significantly with respect to the soft cap because it is not focused on the direct regulation of state health care funding. With respect to the soft cap, the first two *Boreali* factors are the most instructive and lead us to conclude that DOH's attempt to regulate the expenditure of private—as opposed to state—funds represents an unauthorized excursion by DOH beyond the parameters set by the legislature.

Unlike the hard cap regulations, which regulate only how providers use public funding, the soft cap imposes an overall cap on executive compensation, regardless of the funding source. The soft cap thus pursues a policy consideration—limited executive compensation—that is not clearly connected to the objectives outlined by the legislature but represents a distinct "value judgment." By attempting to control how an entity uses its private funding, DOH has ventured beyond legislative directives relating to the efficient use of state funds and into the realm of broader public policy concerns. Put another way, the soft cap imposes a restriction on management of the health care industry that is not sufficiently tethered to the enabling legislation identified by DOH, which largely concerns the expenditure of state funding for public health care. In this regard, the agency "wrote on a clean slate."

We are not suggesting that the regulation is entirely unrelated to the legislative goal of increasing efficiency and quality of health care by covered providers. If a provider pays an excessive salary, even using private funds, DOH may have a legitimate concern that the entity is misdirecting resources away from uses that directly impact services, i.e., money spent on outsized executive compensation is money not spent attracting or retaining more experienced or talented physicians by paying higher salaries to those who provide services. However, any impact on the efficiency or quality or affordability of services purchased by state funds emanating from the use of private funding sources for "excessive" executive compensation is indirect. Absent a clearer legislative delegation of authority in this regard, DOH has not demonstrated a sufficient connection between the soft cap and its general grant of authority to ensure "the biggest bang for the buck" with respect to the expenditure of state funds. Rather, the connection between the legislative aims and the regulatory means is simply too attenuated.

Indeed, the exceptions to the soft cap reflect a choice between competing public policy interests, rather than mere implementation of the legislature's chosen goal relating to the efficient use of state funds. A salary above the cap is permitted if "reviewed and approved" by the provider's board or other equivalent governing body including at least two independent directors or voting members, as long as it does not exceed "the 75th percentile" limitation (10 NYCRR 1002.3 [b]). Unlike the waiver provisions, which consider whether a provider can maintain the same high-quality services if forced to comply with the regulations, the soft cap exceptions are not clearly related to any quality of care goal. The fact that the executive compensation in a particular case was approved by a board containing two independent directors in no way necessarily promotes efficiency or quality or affordability of patient care—and it is therefore difficult to discern any connection between it and the policy adopted by the legislature in the enabling legislation. The same is true of the exception predicated on a board's review of "appropriate comparability data" (*id.* § 1002.3 [b] [2]) in approving executive compensation because there is no requirement that the compensation scheme ultimately adopted bear any particular relationship to that data. Like the sugary drinks portion cap rule we reviewed in *Statewide Coalition*, it appears that the soft cap "embodie[s] a compromise that attempted to promote [the legislative goal] without significantly affecting the . . . industry," which "necessarily implie[s] a relative valuing of . . . ends" that "involved more than simply balancing costs and benefits according to preexisting guidelines" (23 NY3d at 698).[10]

DOH emphasizes that State Finance Law § 163 (2) (a) requires that services be purchased from "responsive and responsible offerers," and that state agencies should consider potential contractors' "financial ability, legal capacity, integrity, and past performance" when dispensing state funds (*see* State Finance Law § 163 [1] [c]). This is undoubtedly an important aspect of any contracting agency's mandate. However, the difficulty here is that DOH has not shown a connection between a provider's decision to use private funds to compensate its executive staff handsomely or even excessively and the absence of any of these essential contractor characteristics. That an entity may have sufficient surplus funds to pay what some might call an exorbitant salary is just as likely to demonstrate the presence of "financial ability" as it is to signal a lack thereof. The legislature has not found that generous compensation of executive staff necessarily reflects a lack of "integrity"—and such a conclusion is far from intuitive.[11] If the agency has in fact drawn that conclusion (and it is not clear that there was any such impetus for the regulation), this would only reinforce our view that the soft cap regulation embodies a "value judgment" or "public policy" determination that is beyond the agency's health care funding mandate.

Critically, no claim is made here that executive compensation was restricted because DOH has determined, on a programmatic level, that there is a relationship between high executive income and relaxation of safety standards or diminution of other quality controls leading to poor patient outcomes.

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10. For the same reasons, at best, the fourth *Boreali* factor is neutral regarding the soft cap. On the one hand, DOH clearly relied on its expertise in the health care industry in attempting to direct funds away from executive compensation, and the waiver provisions were tailored to the health care industry and reflect quality of care goals. However, the soft cap exceptions are not directly tied to efficiency or quality of care and do not clearly emanate from DOH's expertise in the health care industry. Rather, they appear to reflect a policy choice to soften the effect of the executive compensation ceiling on covered providers.

11. Indeed, as one would expect, procurement regulations implementing the "integrity" requirement typically address whether the contractor has made "false representations of material fact," concealed requested information, committed prior licensing violations, has been the subject of criminal charges, or the like (*see e.g.* 18 NYCRR 504.5). We are confounded by the suggestion in Judge Wilson's partial dissent that our analysis somehow undermines such regulations.

Needless to say, DOH has the authority to regulate in areas having nothing to do with state health care funding and, when doing so, can undoubtedly require health care providers to take certain actions (which may well involve the expenditure of private funds) to ensure patient safety and to meet required levels of service quality. But DOH does not justify the soft cap regulation on this basis, focusing instead on its authority to regulate state health care contracting and funding.

Viewed in this light, the soft cap regulation cannot be said to here "fill in details of a broad policy." Rather than determining the best way to regulate toward the legislative goal identified in its enabling legislation (i.e., using state funds to purchase affordable, quality care) with respect to the soft cap DOH appears to have envisioned an additional goal of limiting executive compensation as a matter of public policy and regulated to that end. Thus, we agree with the conclusion of the courts below that the soft cap regulation was promulgated in excess of DOH's administrative authority.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

GARCIA, J. (dissenting in part). I agree with the majority that 10 NYCRR part 1002 is constitutional to the extent it requires a portion of state funds be spent directly on program services rather than on administrative expenses. However, I believe the Department of Health (DOH) exceeded its constitutional authority and acted arbitrarily in promulgating *both* the soft and hard caps on executive compensation. Accordingly, I dissent in part.

I.

Executive Order (Cuomo) No. 38 (EO38), issued by the Governor in 2012, purportedly sought to curb "abuses involving public funds" by limiting the use of state monies for "excessive administrative costs and outsized compensation for . . . senior executives" (9 NYCRR 8.38). "[T]he commissioner of each Executive State agency that provides State financial assistance or State-authorized payments to providers of services," including the Commissioner of Health, was instructed to promulgate regulations, that, at a minimum, (1) limited allocation of state funds to administrative costs to 15% by 2015; and (2) prohibited the use of state funds for executive compensation in an amount greater than $199,000 per year (*id.*). This latter figure was based on the highest salary paid to an executive on the federal pay scale (*id.* § 8.38 [2] [b]; *Matter of LeadingAge N.Y., Inc. v Shah*, 153 AD3d 10, 14 [3d Dept 2017]).

In response to the Governor's order, DOH promulgated 10 NYCRR part 1002, placing restrictions on "covered providers" that derive over $500,000 from state funds and earn at least 30% of total annual in-state revenue from those funds for the covered reporting period and year prior (*see* 10 NYCRR 1002.1 [d]). Excluded from this definition, and the regulations' restrictions, are "[s]tate, county, and local governmental units in New York State, and tribal governments for the nine New York State recognized nations, and any subdivisions or subsidiaries of the foregoing entities" (*id.* § 1002.1 [d] [6] [i]).

The regulations track EO38 in requiring the same ratio of program service expenses and administrative expenses (*see* 9 NYCRR 8.38 [2] [a]; 10 NYCRR 1002.2 [a]). They also adopt the salary figure taken from the federal pay scale in denying state funds for executive compensation in an amount greater than $199,000 (10 NYCRR 1002.3 [a]). DOH added a provision, the so-called "soft cap," which subjects a covered provider to penalties if executive compensation exceeds $199,000 per year from any source (majority op at 255-256).

Section 1002.1 defines "administrative expenses" as those expenses "incurred in connection with the covered provider's overall management and necessary overhead that cannot be attributed directly to the provision of program services," and includes the "portion of the salaries and benefits of staff performing administrative and coordination functions that cannot be attributed to particular program services" (10 NYCRR 1002.1 [a]).

II.

As the majority notes, the relevant statutes provide DOH with the authority and the responsibility to ensure "that the limited public funding available be directed as efficiently as possible toward high-quality services for New Yorkers in need" (majority op at 262; *see Matter of Medicon Diagnostic Labs. v Perales*, 74 NY2d 539, 545 [1989]; Public Health Law §§ 201 [1] [*o*], [p]; 206 [3]). As a means to that end, DOH chose to limit the amount of administrative expenses that may be reimbursed from public funds to ensure those funds are spent directly on program services. By limiting administrative expenses only where they divert state funds away from the actual provision of health care services, the regulation advances the goals set forth in the relevant statutes. As a result, I agree with the majority that the limit on administrative expenses is constitutional.

I also agree with the majority that DOH, in attempting to restrict a covered provider's use of private funds through the soft cap on executive compensation, "ventured beyond legislative directives relating to the efficient use of state funds and into the realm of broader public policy concerns" (majority op at 268). A broad grant of authority is not a license to resolve matters of social or public policy reserved to legislative bodies (*Boreali v Axelrod*, 71 NY2d 1, 9 [1987]). For the same reasons, the hard cap on executive compensation should be struck down.

Although the majority combines the administrative expenses cap with the state funding limitation on executive compensation under the "hard cap" heading, each of those regulations must be considered individually. Indeed, the restrictions are found in separate regulatory provisions (10 NYCRR 1002.2 [limits on administrative expenses], 1002.3 [limits on executive compensation]). Once the administrative expenses cap passes muster, it becomes clear that the "hard cap" on salary has no effect on whether "limited public funding . . . [is] directed as efficiently as possible toward high-quality services for New Yorkers in need" (majority op at 262).

Under the administrative expenses cap, a covered provider must spend at least 85% of funding on "program services expenses," rather than "administrative expenses" (10 NYCRR 1002.2 [a]). "Administrative expenses" include, by definition, "that portion of the *salaries and benefits* of staff performing administrative and coordination functions that cannot be attributed to particular program services, including but not limited to the executive director or chief executive officer, financial officers such as the chief financial officer" (*id.* § 1002.1 [a] [1] [i] [emphasis supplied]). Executive compensation is defined to include "*all forms of cash and noncash payments* or benefits given directly or indirectly to a covered executive, including but not limited to *salary and wages, bonuses, dividends*" (*id.* § 1002.1 [g] [emphasis supplied]). State funds cannot be used to pay a covered executive more than $199,000 (*id.* § 1002.3 [a]). Accordingly, once the administrative cap controls, the executive compensation cap has no effect on money spent on program services. For example, assume a covered provider is meeting and exceeding the expense ratio at 90% of state funds going directly to program services. But that same company, perhaps as a reward for achieving such performance, is paying a covered executive $249,000. That executive spends half of his or her time on program services and half on administrative expenses. As a result of the regulation, the company cuts $50,000 from the executive's compensation. That company is free to direct all of that "saved" money to administrative expenses, assuming it remains under the 15% administrative cap—effectively diverting state funds from program services. Put another way, as the Coalition of New York State Public Health Plans petitioners point out,

> "because part 1002 requires a provider to attribute 85% of the funds or payments it receives from the State to provide DOH program services, DOH will receive no more or less such services if the provider chooses to use any portion of the remaining 15% allotted for administrative expenses to pay executives in excess of $199,000."

At a minimum, there is no mandate to direct any portion of what DOH considers "extravagant" compensation to program services and therefore no tie to "profligate and disproportionate spending on executive compensation unrelated to program services." The problem, of course, is that these provisions are neither complementary nor duplicative (*see* majority op at 267 n 9). Quite the opposite: the effect of one by operation makes the effect of the second unlawful.

Nevertheless, DOH argues that "excessive executive compensation and administrative expenses will divert scarce state resources away from the needy New Yorkers who are the intended beneficiaries of such funding." But the hard cap on compensation does not require that any additional funds be used for program services—it is not concerned with directing money toward "needy New Yorkers" but away from "overcompensated" executives. This is precisely the type of social policymaking prohibited by this Court's prior decisions (*see Matter of Campagna v Shaffer*, 73 NY2d 237, 242-243 [1989]; *Council for Owner Occupied Hous. v Abrams*, 72 NY2d 553, 558 [1988]; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 359 [1985]; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422, 428 [1984]; *Matter of Fullilove v Beame*, 48 NY2d 376, 379 [1979]; *Matter of Broidrick v Lindsay*, 39 NY2d 641, 646-647 [1976]).*

This is not a new rule. In *Boreali*, we concluded that the agency had "stretched [the] statute beyond its constitutionally valid reach when it used the statute as a basis for drafting a code embodying its own assessment of what public policy ought to be" (71 NY2d at 9). And we prefaced our discussion of the four "coalescing circumstances" by noting that the analysis of those factors would "persuade us that the difficult-to-define line between administrative rule-making and legislative policy-making has been transgressed" (*id.* at 11). Indeed, prior to *Boreali*, we noted that "the general power to enter into contracts which is bestowed upon the executive branch of government ordinarily cannot serve as a basis for creating a remedial plan for which the executive never received a grant of legislative power" (*Subcontractors Trade Assn.*, 62 NY2d at 428; *see also Under 21, Catholic Home Bur. for Dependent Children*, 65 NY2d at 359 ["(A)n executive may not usurp the legislative function by enacting social policies not adopted by the Legislature"]). It was not conflict with the authorizing legislation that doomed the executive policymaking in those cases, but rather an unlawful assumption of power by the executive in setting that policy (*see Under 21, Catholic Home Bur. for Dependent Children*, 65 NY2d at 358).

Although the majority characterizes the hard cap as a permissible "balancing of costs and benefits" (majority op at 265), the decision to cap executive compensation is a policy choice made by DOH from competing views of a hotly debated topic (*compare* Richard A. Posner, *Are American CEOs Overpaid, and, if So, What if Anything Should be Done About it?*, 58 Duke LJ 1013, 1045 [2009] ["Placing a ceiling on CEO salaries and other compensation would be a mistake. Apart from the infeasibility of a government agency's determining the amount of water in an executive's pay, capping salaries by government fiat, like other regulatory price controls, would incite wasteful activities that would be more costly to society than overcompen-

* The majority suggests that the waiver provisions contained in 10 NYCRR 1002.4 "excuse application of the regulations in situations where an important aspect of the legislative goal—the provision of high-quality care—would be obstructed" (majority op at 264). An unconstitutional exercise of regulatory authority cannot be saved with a mechanism for convincing the agency to forebear enforcement. Further, as noted at oral argument, in the five years since the regulation took effect, there is nothing in the record to indicate that DOH has ever issued a waiver.

sation"], *with* Charles C. Pak, *Toward Reasonable Executive Compensation: Outcry for Reform and Regulatory Response*, 1994 Ann Surv Am L 633, 659 [1995] ["The simplest response to excessive executive compensation would be to prohibit remuneration above a predetermined level or to impose a penalty for pay in excess of a specified level"]). This debate gained momentum following the 2008 financial crisis (*see e.g.* William O. Fisher, *To Thine Own CEO Be True: Tailoring CEO Compensation to Individual Personality and Circumstances*, 2017 Colum Bus L Rev 599 [2017]; Steven A. Bank et al., *Executive Pay: What Worked?*, 42 J Corp L 59 [2016]; Robert E. Wagner, *Mission Impossible: A Legislative Solution for Excessive Executive Compensation*, 45 Conn L Rev 549 [2012]; Stuart Lazar, *The Unreasonable Case for a Reasonable Compensation Standard in the Public Company Context: Why It Is Unreasonable to Insist on Reasonableness*, 59 Buff L Rev 937 [2011]; Omari Scott Simmons, *Taking the Blue Pill: The Imponderable Impact of Executive Compensation Reform*, 62 SMU L Rev 299 [2009]).

A policy choice about reasonable executive compensation aimed at influencing corporate behavior is law-making beyond DOH's regulatory authority (*see Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681, 698-699 [2014] [the regulation "evidenced a policy choice relating to the question of the extent to which government may legitimately influence citizens' decision-making . . . . By choosing between public policy ends in these ways, the Board of Health engaged in law-making beyond its regulatory authority"]). DOH's legislative authority related to fiscal oversight cannot justify these regulations. We have made clear that "[e]ven under the broadest and most open-ended of statutory mandates, an administrative agency may not use its authority as a license to correct whatever societal evils it perceives" (*Boreali*, 71 NY2d at 9). No agency, through regulation, can "effect its vision of societal policy choices" (*Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340, 346 [1991]). DOH, with its caps on compensation that have no effect on money directed to program services, has done just that.

III.

In addition to its constitutional infirmity, the hard cap is arbitrary and capricious. As noted above, DOH fails to demonstrate how the hard cap will ensure that public funds are directed to program services rather than any other form of administrative expenses. Further, the benchmark for determining "excessive" compensation is itself arbitrary and capricious. The $199,000 cap was not the result of any compensation study of the health care industry, but instead was lifted from EO38, which for unknown reasons identified the highest salary paid to federal employees at Level I of the Executive Schedule as the benchmark for "outsized" executive compensation for all "providers of services" (*see* 9 NYCRR 8.38). The majority posits that the "research" conducted by the Governor's task force, convened to investigate nonprofit spending, provides "a rational basis for the hard caps" (majority op at 258, 267). However, as noted in the record, the task force never produced any report supportive of a $199,000 cap (*see* testimony of Doug Sauer, Chief Executive Officer, New York Council of Nonprofits, Inc., Feb. 6, 2012, at 3 ["The Governor's Executive Order later established a $199,000 threshold presumably based on the recent survey. The data compiled in this survey still has not been publically released. I do not know where the $199,000 figure came from"]). The majority's statement that "[t]he task force's discovery of excessive executive compensation within the health care industry provided a rational basis for the hard caps" (majority op at 267) is likewise unsupported by any citation or authority.

In an attempt to rationalize the caps on executive compensation, DOH argued: "[i]f a provider spends *extravagantly* on executive compensation—even out of private funds—it may be a red flag that the provider will spend state funds irresponsibly as well" (emphasis supplied). Yet, the regulation exempts certain entities from the cap, including state health care providers (10 NYCRR 1002.1 [d] [6] [i]). As noted in the testimony before the Senate Committee on Investigations and Government Operations, state executives earn upwards of seven figure salaries (*see* Sauer at 3). It is unclear why salaries greater than $199,000 for executives of state-run providers would not raise any "red flags." Moreover, the "caps have not been demonstrated through 'rational, documented, empirical determination' to have any connection to reducing state health care expenditures or to the more efficient use of taxpayer funds in the delivery of services" (*LeadingAge*, 153 AD3d at 31 [Mulvey, J., concurring in part and dissenting in part], citing *New York State Assn. of Counties v Axelrod*, 78 NY2d 158, 168 [1991]).

We have never before allowed an agency, by way of the power of the purse, to direct social policy (*see Campagna*, 73 NY2d at 242-243; *Council for Owner Occupied Hous.*, 72 NY2d at 558; *Under 21, Catholic Home Bur. for Dependent Children*, 65 NY2d at 359; *Subcontractors Trade Assn.*, 62 NY2d at 428; *Matter of Fullilove*, 48 NY2d at 379; *Matter of Broidrick*, 39 NY2d at 646-647). Under the majority's rule, the executive is now able to do so through the contracting authority of the State. Whoever the executive, whatever the policy, regulation is permissible if implemented under the guise of oversight of public funds—or "getting the biggest bang for the buck" to use the majority's phrase—regardless of whether the regulations do in fact further fiscal responsibility.

WILSON, J. (dissenting in part). Four days after taking office as New York's first Governor, George Clinton contracted with a private entity to provide state services. Governor Clinton engaged Colonel Wynkoop to assist in raising the state militia against the British forces to the north. Wynkoop was hired, Clinton explained, for his "well known zeal for [his] Country[;] [his] Abilities as an Officer Knowledg[able] of Service" and was instructed to "keep a[n] [account] of the Expenses accruing on this Command that the same may be satisfied you together with your Pay" (George Clinton, No. 669, *Instructions to Colo. Wynkoop*, dated Aug. 2, 1777, 2 Public Papers of George Clinton 166 [1900]).[1]

Governor Clinton was not one to take the separation of powers lightly: his inaugural address to the legislature dwelt on the 1777 Constitution's "marking the line between the Executive, Legislative, and Judicial powers;"[2] he called upon each of the branches of government to "remain within the several departments in which the constitution has placed us, and

1. Governor Clinton was also concerned with prevailing wages and salary maximums, being intimately involved in setting pay rates for militiamen and the tricky business of paying providers of essential war supplies. Those pay scales represented, as one might expect, across-the-board salary caps (*see e.g.* George Clinton, No. 664, *Pay of Continental Troopers*, dated Aug. 9, 1777, 2 Public Papers of George Clinton 157).

2. While the present text of the relevant sections of our State's Constitution (NY Const, art III, § 1; art IV, § 1) date from the Constitution of 1821 (Robert Allan Carter, New York State Constitution: Sources of Legislative Intent 35 [2d ed 2001]), the phrases at issue in this case, as well as the basic concept of separation of powers, derived from the original Constitution of 1777, albeit phrased slightly differently in that document (*see* 4 Charles Z. Lincoln, Constitutional History of New York 454-461 [1906]).

thereby preserve the same inviolate," promising that it "shall always be my strenuous endeavor, on the one hand, to retain and exercise for the advantage of the people, the powers with which they have invested me; on the other, carefully to avoid the invasion of those rights which the constitution has placed in other persons" (George Clinton, No. 752, *Governor's Address to the Legislature*, dated Sept. 10, 1777, 2 Public Papers of George Clinton 297, 300 [1900]).

I dredge up this history to highlight just how far we have drifted from our Constitution's text and history in today's decision, a decision applying the unique four-factor separation of powers test laid out in *Boreali v Axelrod* (71 NY2d 1, 9 [1987]) to one of the most fundamental components of "the executive power": the choice of which private persons will receive state funding to provide public services. *Boreali*'s separation of powers analysis has been followed by no other jurisdiction, and for good reason: it is unhelpful in cases to which it applies, and this is not even one of those cases.

Today, ostensibly following *Boreali*, the majority holds that the Constitution renders one part of a regulation valid but another, virtually identical, part of the same regulation invalid. Worse still, the majority performs this strange regulatory surgery to an executive order on a subject that has been part of the executive power since the dawn of an independent New York: selecting vendors to provide government services to execute the legislature's command, implicit in every appropriation, of giving the State "the biggest bang for the buck" (*Matter of LeadingAge N.Y., Inc. v Shah*, 56 Misc 3d 594, 604 [Sup Ct, Albany County 2015]). The present Governor, like his 1777 predecessor, seeks by the regulation at issue in this case "to retain and exercise for the advantage of the people, the powers with which they have invested me." By misapplying our dubious *Boreali* framework to a wholly inapplicable circumstance, we have deprived him of that power.

I agree with most of the majority's exposition of the background of the case. I also agree that the "hard" cap does not violate the separation of powers doctrine. However, I do not agree with the majority that the soft cap is invalid, or that *Boreali* applies to this case. Indeed, it is difficult to even articulate my disagreement with the majority on the "soft" cap using the *Boreali* framework, because *Boreali* has become so encumbered with imprecise and inaccurate verbiage that it no longer provides a useful framework even for disagreement. Judge Bellacosa, dissenting in *Boreali*, warned that *Boreali*'s "dramatic[ ] change[ ]" to "the principles of ordinary statutory construction . . . will come back to haunt us" (71 NY2d at 19). It has.

I.

Even on its own terms, *Boreali* does not apply to this case. *Boreali* is invoked when the Court applies limiting constructions to statutes that, read literally, would give the executive branch unconstitutionally excessive power. Here, both the majority's opinion and much of the parties' arguments boil down to a non-constitutional question: is the challenged executive action (here a regulation) authorized by the cited statutes? That question cannot trigger a *Boreali* analysis, or we would apply *Boreali* to every statutory interpretation case to which the government is a party.[3] This very session, we considered whether the Department of Labor's executive actions (there, a letter explaining the considerations governing enforcement actions the Department might undertake at public construction sites) were consistent with its enabling statute, and no one mentioned *Boreali* (*International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 32 NY3d 198 [2018]).

I am not even sure the majority believes *Boreali* applies here. After dutifully walking through the *Boreali* factors to uphold the hard cap, the majority largely abandons *Boreali* thereafter. Its soft cap analysis contains not one peep about the *Boreali* factors except for the bald statement that "the first two *Boreali* factors are the most instructive" and a cryptic footnote declaring *Boreali* factor four is "at best . . . neutral" (majority op at

3. The majority acknowledges the force of this point but says that *Boreali* is "implicated" because the petitioners are challenging the agency's promulgation of regulations under the separation of powers doctrine (majority op at 261 n 6). This gets matters precisely backwards: "[I]f a case can be decided on either of two grounds, one involving a constitutional question, the other a question of statutory construction or general law, the Court will decide only the latter" (*Ashwander v TVA*, 297 US 288, 347 [1936, Brandeis, J., concurring]; *see generally* McKinney's Cons Laws of NY, Book 1, Statutes § 150 [a]). Because the majority rejects (or, more precisely, ignores) parties' claims that the statutes at issue here would effect an unconstitutional delegation if interpreted to support either cap, there is no *Boreali* issue at stake here. The first *Boreali* step—the acknowledgement that the statute has a plausible reading that would empower the agency to do the challenged act—is missing. Moreover, we should be especially mindful of the merits of constitutional avoidance because of the nature of our jurisdiction (NY Const, art VI, § 3 [a] [2]).

268, 270 n 10).[4] Factor three is AWOL. Instead, the majority accuses the Department of Health (DOH) of embracing policy considerations "not clearly connected to the objectives outlined by the legislature" (majority op at 268), because the soft cap "imposes a restriction . . . not sufficiently tethered to the enabling legislation" (*id.*). Even if that accusation were well-founded, it is not connected to concerns about separation of powers but rather the run-of-the-mill question of whether an agency's actions are contrary to law—the same question we ask in most agency-related cases we hear.

Boreali was never intended to be the touchstone for any challenge to the lawfulness of any executive action. It originated from a quite different problem than the one the majority identifies, namely ambiguous statutes with the potential to be read as engaging in a forbidden "delegation" of the legislative power to the executive by adopting laws empowering the executive with insufficient particularity.[5] In those circumstances, we held in *Boreali* and its progeny, the canon of constitutional avoidance requires us to select a narrower construction of the statute—perhaps even artificially narrow (*see generally Matter of Jacob*, 86 NY2d 651, 680 [1995, Bellacosa, J., dissenting])—to avoid declaring the legislation unconstitutional. Thus, in *Boreali*, the State's Public Health Council (PHC) acted pursuant to Public Health Law § 225 (5) (a), which permitted it to promulgate a sanitary code that "may . . . deal with any matters affecting the security of life or health or the preservation

4. The majority may be hinting at *Boreali* factor one, whether "the agency did more than balance costs and benefits according to preexisting guidelines, but instead made value judgments entailing difficult and complex choices between broad policy goals to resolve social problems" (*Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174, 179-180 [2016] [internal quotation marks and brackets omitted]; *see Boreali*, 71 NY2d at 12-14) when it describes the soft cap as "reflect[ing] a choice between competing public policy interests, rather than mere implementation of the legislature's chosen goal" (majority op at 269). If so, the majority is rewriting that *Boreali* factor, which looks at whether the legislation is *bereft* of guidance, rather than providing the guidance that the agency is disregarding. In that latter case, the agency is simply acting contrary to law.

5. The briefs, the majority's opinion, and indeed our past opinions, all have occasionally been somewhat loose in their use of the word "delegate." The legislature can "delegate" not one iota of its authority—hence the "non-delegation doctrine." When legislation passes a law requiring action by the executive, it is empowering the executive to act within that sphere, because the executive draws power from its constitutional duty to enforce the laws (and certain other independent heads of power not at issue in this case).

and improvement of public health in the state of New York." Recognizing that this grant, read literally, could permit the PHC to regulate essentially every aspect of life, the Court explained that "[h]owever facially broad, a legislative grant of authority must be construed, whenever possible, so that it is no broader than that which the separation of powers doctrine permits" (71 NY2d at 9). We held that the anti-smoking regulations, even if authorized by one construction of the statute in question, would not be permitted by the construction of the statute necessary to save the statute from constitutional doubt.

Here, the majority never claims that the relevant statutes would authorize the hard or soft cap but for the separation of powers problem. Instead, the majority explains that the statutes in this case grant "to DOH the authority to [among other things] contract with private entities that receive state money—all with the goal of ensuring that the limited public funding available be directed as efficiently as possible towards high-quality services for New Yorkers in need" (majority op at 262). The majority tacitly recognizes that the authorization by the legislature cannot be plausibly interpreted to create a non-delegation problem: the statutes, read together, obey our command in *Packer Coll. Inst. v University of State of N.Y.* that the legislature must, in enacting any law that the executive is called upon to execute, "set bounds to the field, and . . . formulate the standards which shall govern the exercise of [executive] discretion within the field" (298 NY 184, 189 [1948]). So *Boreali* is irrelevant: what matters, at least in the eyes of the majority, is whether the legislature authorized the caps. That is the standard, day-in, day-out judicial question of whether the executive followed the law.

In a situation where we must narrow a statute to meet non-delegation requirements, *Boreali* was intended to provide some guidance as to how narrowly the statute ought to be read. To detach *Boreali*'s factors from that role of statutory construction, and instead apply them alfresco to the regulations themselves, is to rob them of the context that might give them a chance of coherence. "The tendency of a principle to expand itself to the limit of its logic may be counteracted by the tendency to confine itself within the limits of its history" (Benjamin Cardozo, The Nature of the Judicial Process 51 [1922]). If we do not exile *Boreali*, we should make sure its cage is small.

II.

A.

Exile may be the better course. The trouble with *Boreali*'s four "coalescing circumstances" is that they are stated at such a high level of generality as to be functionally in permanent flux. Even if they could be stated with precision, they are "not mandatory, need not be weighed evenly, and are essentially guidelines" (*Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600, 612 [2015]). Any doctrine so fluid will have difficulty providing either a meaningful constraint on executive power or sensible guidance for the courts. Although the parties do not ask us to reconsider *Boreali*, today's case illustrates why the *Boreali* doctrine "while longstanding, warrants serious reconsideration" (*cf. People v Cummings*, 31 NY3d 204, 213 [2018, Rivera, J., concurring]).

Consider the majority's analysis of *Boreali* factor three: whether the legislature has "unsuccessfully tried to reach agreement on the issue" (*Greater N.Y. Taxi Assn.*, 25 NY3d at 611), which we have previously measured by examining legislative measures that were introduced but failed.[6] That factor is omitted entirely from the majority's discussion of the soft cap, and is adorned with a novel exception in the majority's discussion of the hard cap. "[S]ome 40 bills" on the subject of smoking weighed against the regulations at issue in *Boreali* (71 NY2d at 7), but the failure of six City Council resolutions and five bills in the legislature was enough to weigh against the regulations in *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene* (23 NY3d 681, 692-693, 700 [2014], citing 110 AD3d 1, 14-15 [1st Dept 2013]). Here, the majority instructs us to disregard all such introduced bills unless they "made it out of committee"; it seems that only if a bill succeeds in commit-

6. I footnote for another day the constitutional problems presented by relying on the mere introduction of legislation. The legislature cannot do anything except through resolution of one house (in very limited cases [NY Const, art III, § 9]) or, much more usually, both houses and the Governor (NY Const, art III, § 14). That some legislator has introduced a bill in the legislature should be entirely irrelevant to our determination of whether the Constitution authorizes the Governor to engage in some executive action or another (*see Boreali*, 71 NY2d at 18-19 [Bellacosa, J., dissenting]). The majority perhaps realizes this problem and attempts to ameliorate it by limiting consideration to bills that made it out of committee, but the fundamental problem remains.

tee but fails later in the legislative process can it count as an "unsuccessful legislative effort[ ]" (majority op at 265-266). That's new. The Constitution nowhere mentions the committees of the legislature except in connection with the executive budget, which is not at issue in this case (NY Const, art VII, §§ 1, 3). Now, it seems, a committee chairperson can change the lawfulness of an executive act by arranging for proposed legislation to precipitate out of committee—at least until we engraft some other qualifications.[7]

Or consider the majority's treatment of *Boreali* factor four, the agency expertise factor. The DOH has just as much expertise on the appropriate salary level for persons employed by health care providers regardless of whether the source of the salaries is taxpayer dollars (the hard cap) or elsewhere (the soft cap). Indeed, the majority cites DOH's expertise in "the health care industry," reflected in crafting the waivers to the hard cap, as supporting its constitutionality. However, it then performs an about-face and declares that while DOH is expert in "the health care industry," because the soft cap *exceptions* are a "policy choice" (and the waiver is not?) the expertise factor is now, for unexplained reasons, "neutral." Because DOH could recreate the blanket soft cap exception by applying the case-by-case waiver universally, the majority leaves us with the unsupportable conclusion that an expert agency that makes policy choices in one way, ceases to be expert when it makes the same choices, even with the same ultimate result, another way—or, more likely, that the expertise factor is wholly irrelevant in the majority's decision.

Inconsistencies like the above have plagued our *Boreali* jurisprudence. In *Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.* (27 NY3d 174, 182 [2016]), a challenge to the New York State Office of Parks, Recreation and Historic Preservation's approval of antismoking regulations in public parks, we held that even though the agency knew little about smoking, it was an expert in the "operation" of a park and thus all things within the park were

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7. One wonders why the majority has removed from the deck our usual get-out-of-*Boreali*-factor-three-for-free card, which is that "legislative inaction, because of its inherent ambiguity, affords the most dubious foundation for drawing positive inferences" (*Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202, 225 [2017] [citation and brackets omitted]). My hope is that its omission here, coupled with *Acevedo*, spells the demise of factor three.

within the agency's expertise (27 NY3d 174, 185 [2016]). Yet in *Greater N.Y. Taxi Assn.*, we held the expertise factor was neutral—while the Taxi Commission had formidable expertise on taxi designs, having dictated them minutely for decades, it was not expert on the question of whether the selection ought to be limited to one model (25 NY3d 600, 612 [2015]). The pièce de résistance is our abandonment of factor four in *Statewide Coalition*, "[i]n light of *Boreali*'s central theme" (23 NY3d at 700-701).

Our present and past inability to address the "expertise" factor stems from a confusion between statutory and administrative law analyses, in which agency expertise is relevant, and constitutional law, where it is not. Thus, when discussing DOH's expertise, what I believe the majority is trying to get at—and what *Boreali* has hopelessly muddled—is that the legislature is precise about which agency gets to exercise which power, and so legislation empowering the Secretary of State to prohibit blockbusting, for example, should not be read as empowering the Department of Economic Development from doing the same thing (*cf. Matter of Campagna v Shaffer*, 73 NY2d 237, 242 [1989] ["Agencies, as creatures of the Legislature, act pursuant to specific grants of authority conferred by their creator"]).[8] Expertise also matters for the arbitrary-and-capriciousness analysis in administrative law, CPLR 7803 (3), because inexpert agency action is likely to lack a "foundation in fact . . . [and] sound basis in reason" (*cf. Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]).

However, as a matter of *constitutional* law, we have already held that the Governor need not be an expert on a given subject to issue a valid executive order on that subject, when his orders are directed to officers who serve at his pleasure (*Rapp v Carey*, 44 NY2d 157, 165 [1978]). Because everyone acknowledges that this DOH regulation, including the $199,000 figure, came directly from the Governor (majority op at 254), DOH's application of its expertise here does not affect the constitutional analysis, unless the majority is prepared to reverse *Bourquin v Cuomo* (85 NY2d 781, 786 [1995]) and *Clark v Cuomo* (66 NY2d

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8. Because the question in *Campagna* was the statutory one of whether the Secretary "exceeded whatever authority" she had under the statute (73 NY2d at 243), we did not apply *Boreali*. The same should be true here.

185, 189 [1985]), in which the Governor relied on no expertise but his own in creating new administrative bodies to supplement the agencies created by the legislature (and, in *Clark*, the Constitution itself).

The Governor, in issuing the order, was acting according to his duty to execute the laws—specifically, the laws regarding the control and supervision of expenditure of public funds, and the laws empowering him to pick and choose (according to certain legislatively-prescribed criteria) which health care providers would be beneficiaries of public funds. "[T]he executive power," after all, is vested in him and not the Commissioner of Health. It would be bizarre, as a constitutional matter, to hold that an order of DOH is a lawful exercise of the executive power but the Governor's is not because DOH is more expert than the Governor. Mired in the *Boreali* muck, the majority can only reach its chosen conclusion in the face of these inconvenient constitutional facts by jumping outside the *Boreali* factors, stating that the real problem is that the exceptions "appear to reflect a policy choice" by the agency outside of that authorized by the legislature. I disagree that DOH has done so here. That aside, to say experts employed by the State do not make policy choices is simply incorrect; to say they should not make policy choices is folly. Why should the State *have* experts at agencies if this Court forbids them from making decisions within their field of expertise that constitute "policy"?

On the subject of policymaking, consider the majority's treatment of the first *Boreali* factor, whether "the agency did more than balance costs and benefits according to preexisting guidelines, but instead made value judgments entailing difficult and complex choices between broad policy goals to resolve social problems" (*NYC C.L.A.S.H.*, 27 NY3d at 179-180 [internal quotation marks and brackets omitted]). As we said in *Statewide Coalition*, "the promulgation of regulations necessarily involves an analysis of societal costs and benefits" (23 NY3d at 697). In reality, there is only a difference of rhetoric between "balancing costs and benefits" and "difficult . . . choices," between "preexisting guidelines" and "broad policy goals" (at least in terms of most enabling legislation, which sets out guidelines in broad terms), and thus *Boreali* allows courts to uphold or void regulations entirely by dialing up or down their characterization thereof.

The majority's treatment of the "soft" and "hard" cap exceptions exhibits this tension. The majority claims that the

Department "did not make impermissibly complex policy decisions" in adopting the hard cap by pointing to the Department's specialized knowledge "of New York's health care industry to develop a multi-factored analysis" (majority op at 264) in designing the waiver provisions of the challenged rule. One of the waiver factors is "the extent to which the executive compensation that is the subject of the waiver is comparable to that given to comparable executives" (10 NYCRR 1002.4 [a] [2] [i]). Apparently this waiver factor either did not spring from a policy choice (majority op at 265), or did so permissibly because it involved agency expertise. However, the same consideration, made more concrete in the soft cap's automatic waiver for salaries outside the 75th percentile of comparable executives (10 NYCRR 1002.3 [b] [1]), is deemed as an impermissible policy choice (majority op at 268). *Boreali* thus leads the majority to hold that we must strike down as unconstitutional a regulation that says a provider salary cannot be greater than that of comparable executives—but uphold a regulation that says a provider salary cannot be greater than $199,000. Why is the selection of the 75th percentile exclusion less valid than a direct cap on salaries, at least under *Boreali*? The majority does not say.

Finally, I note that the majority does not explain how it weighs those *Boreali* factors it chose to consider. What began as "coalescing circumstances" morphed into considerations that "are not mandatory, need not be weighed evenly, and are essentially guidelines for conducting an analysis of an agency's exercise of power" (*Greater N.Y. Taxi Assn.*, 25 NY3d at 612), and are now measured according to some new and unknowable formula applied by the majority in today's opinion: the soft cap pursues a policy consideration contemplated by the legislature (factor one)—but "the connection between the legislative aims and the regulatory means is simply too attenuated" (majority op at 269). Exactly what *Boreali* factor(s) this corresponds to the majority never makes clear. Is the agency writing on a blank slate (factor two)? Surely not, if a hard salary cap is sufficiently "interstitial." Perhaps the agency made "value judgments entailing difficult and complex choices between broad policy goals to resolve social problems," but the hard and soft caps both do that. The majority invalidates the soft cap without regard to the *Boreali* factors at all, except for a throwaway line that the first two *Boreali* factors are "most instructive" and a lonely footnote describing factor four as "neutral."

This case aside, examples of the vagaries of *Boreali* could easily fill a volume of the *New York Reports*, and, indeed, they have (*see e.g. Statewide Coalition*, 23 NY3d at 715 [Read, J., dissenting] [recapitulating the many infirmities of *Boreali*]). *Boreali* aimed to protect liberty through a vigorous policing of the separation of powers, but "[l]iberty finds no refuge in a jurisprudence of doubt" (*Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833, 844 [1992]). *Boreali* has proliferated confusion, confusion the majority today amplifies by applying *Boreali* outside of its intended ambit. If nothing else, the majority's opinion powerfully demonstrates that *Boreali* "leads to an unworkable rule, [and] . . . creates more questions than it resolves" (*People v Taylor*, 9 NY3d 129, 149 [2007]) such that it "no longer . . . withstands the cold light of logic and experience" (*Policano v Herbert*, 7 NY3d 588, 604 [2006] [internal quotation marks omitted]).

B.

Judge Garcia wisely does not apply the *Boreali* framework in his concurring and dissenting opinion. (Whether we agree about the infirmities of *Boreali*, he and I agree that the hard and soft caps stand or fall together.) Instead, he proposes a simpler test, which he argues can be derived from our pre- and post-*Boreali* decisions: if a regulation is "social policymaking" then it is "an unlawful assumption of power by the executive in setting that policy" and must be struck down (Garcia, J., dissenting op at 274-275).

While that test benefits from concise exposition, I do not think it is workable or consistent with our law. Every act of the Governor or any executive branch agency is a balancing act between different societal interests. Indeed, the legislature wisely forbade major, binding executive actions in the form of regulations without notice and comment (*see* State Administrative Procedure Act § 202), precisely so those interests could be weighed. That is why the DOH solicited, and took seriously, the comments of industry and others in crafting the regulations at issue here—particularly, as the legislature directed, their impact upon employment, small businesses, and rural areas (State Administrative Procedure Act §§ 201-a, 202-b, 202-bb).

It is also why both the majority and Judge Garcia cite no authority, other than our own cases going back only to the 1970s and a bare citation to the executive or legislative vesting clauses of the Constitution, for the proposition that "policy" is the exclusive domain of the legislature. This Court's past jeremiads against a governor's advancement of his policy goals through his executive actions are oddly justified, even though the results reached in those cases may have been correct.[9] Governors are elected in part because of their expressed policy preferences. It would be peculiar to hold that the Constitution obliges a governor, once elected, to abandon those goals altogether. Instead, voters expect governors to pursue their stated policies with the caveat that those policies must yield, when governors are exercising the power to "expedite . . . the laws" (NY Const, art IV, § 3) to the policies of the laws they are called upon to "expedite."

A better view of the cases Judge Garcia cites for his "no policymaking" position (Garcia, J., dissenting op at 275) is to say that while the executive may consider and advance its own policy goals in executing the laws, it may not execute the laws in a manner, or with a result, objectively inconsistent with the policy goals articulated, expressly or implicitly, in the legislation that purportedly authorizes that action. Thus in *Matter of Campagna v Shaffer* (73 NY2d 237, 245 [1989]), for example, we invalidated an effort by the executive to enforce an antiblockbusting law by banning, wholesale, real estate agent solicitations on a certain part of the Bronx. It was not the policy-making activity of the executive that rendered the ban unlawful, but the inconsistency between the ban and the legislation that purportedly authorized it; legislation that "explicitly enumerated the types of solicitation it views as forbidden blockbusting activity" (*id.* at 243) which necessarily implied that the legislature intended for solicitation—but only the non-discriminatory kinds of solicitation—to continue. In *Subcontractors Trade Assn. v Koch* (62 NY2d 422, 427 [1984]), it was likewise not the executive's policy-making activities (there, creating a quota for the allocation of city contracts flowing from a mayoral policy of promoting small businesses) that rendered its actions ultra vires, but the lack of congruity be-

9. *See e.g. Boreali*, 71 NY2d at 11-12 ("policy-making" is "legislative"); *Statewide Coalition*, 23 NY3d at 698 (invalidating soda portion size rule in part because it "evidenced a policy choice"); *Bourquin v Cuomo*, 85 NY2d 781, 787 (1995) (upholding challenged commission because it did not form "specific policy"); *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340, 346 (1991) ("An agency cannot by its regulations effect its vision of societal policy choices").

tween those actions and the governing legislation (General Municipal Law § 103) which, as the Appellate Division noted in that case (96 AD2d 774, 775 [1st Dept 1983]), required a competitive bidding process that looked only to "best value," defined by State Finance Law § 163—a statute that plays an important role in this case. The problem, in sum, in past cases where we invalidated acts of "contracting" was and is not that policymaking was happening through that contracting activity. It was rather whether the policies the executive made were congruent with the policies encoded in law—for when executive policy and legislative policy conflict, it is the legislative policy that governs.

III.

The constitutional question in this case, then, concerns the limits of "[t]he executive power" (NY Const, art IV, § 1). The Governor, and those persons exercising power as gubernatorial appointees, possesses the power and duty to "expedite all such measures as may be resolved upon by the legislature, and shall take care that the laws are faithfully executed" (NY Const, art IV, § 3). This is a part, indeed the principal part, of "[t]he executive power" vested in the office (NY Const, art IV, § 1). The question in this case is solely whether the Governor, and his appointed commissioner, exceeded that "executive power" by promulgating 10 NYCRR part 1002.

The "executive power" has been vested in the governor from the first Constitution of New York State, adopted in 1777, in which the governor was vested with "the supreme executive power" (1777 NY Const art XVII), and obliged "to take care that the laws are faithfully executed to the best of his ability; and to expedite all such measures as may be resolved upon by the Legislature" (1777 NY Const art XIX), wording that has essentially survived until the present day.[10] It descends directly

10. The governor does not enjoy the full measure of "[t]he executive power" as that phrase was understood at common law, then or now—in particular, a range of appointees and other officials exercise powers commonly understood as executive (such as prosecuting criminal cases) but are not controllable by the governor except in limited ways spelled out by the Constitution or particular laws (*see Rapp v Carey*, 44 NY2d 157, 165 [1978]). Here, the Governor was acting in an area in which the Constitution grants him the full measure of the executive power, issuing an order to an officer who serves at his pleasure: a "commissioner," i.e., one who acts on commission—a commission from the governor.

from the colonial governors, and to them from the British Crown. The framers of the 1777 Constitution, and the early 19th century constitutions where the executive power clauses assumed the forms they have today, would have been most familiar with Blackstone's formulation of what the law-execution power entailed:

> "For, though the making of laws is entirely the work of a distinct part, the legislative branch, of the sovereign power, yet the manner, time, and circumstances of putting those laws in execution must frequently be left to the discretion of the executive magistrate. And therefore his constitutions or edicts, concerning these points, which we call proclamations, are binding upon the subject, *where they do not either contradict the old laws, or tend to establish new ones; but only enforce the execution of such laws as are already in being, in such manner as the king shall judge necessary*." (1 William Blackstone, Commentaries on the Laws of England at 261 [1755] [emphasis added].)

In his exercise of the power and duty to "expedite all such measures as may be resolved by the legislature," or "putting those laws in execution," per Blackstone, the governor and his commissioners are called on to do three sets of tasks routinely: hire people, spend money appropriated by the legislature and, oftentimes in a large and complex government administration like New York's, regulate how those people the governor hired spend the money appropriated by the legislature. Indeed, in describing the federal executive power as congruent with the powers of the Governor of New York under the 1777 State Constitution, Alexander Hamilton described the "executive details" of the "administration of government" as including "the preparatory plans of finance . . . [and] the application and disbursement of the public moneys in conformity to the general appropriations of the legislature" (Hamilton, Federalist No. 72).

The power to spend money appropriated by the legislature is at the very core of the power to execute the laws, and at the heart of the power to spend money is the power to contract. Suppose, for example, that the legislature, worried about New

York's growing cheese surplus,[11] appropriated $10 million "for services and expenses of a program, to be established by the Agriculture and Markets Commissioner, to increase the consumption of cheese in the State." The executive branch must spend that money, as we held in *Matter of County of Oneida v Berle* (49 NY2d 515, 523-524 [1980] [no executive branch power to "impound" lawful appropriations]), but the only way it can do so is by contracting, whether that be contracting for employment, or for some other services. Contracting, in turn, is impossible unless the executive branch can select amongst contractors based on its own conception, bounded of course by relevant legislation, of how one might best increase cheese consumption given the $10 million appropriated. When it comes to "expedit[ing] all such measures as may be resolved upon by the legislature," and the measure in question is about spending public money, it's contracts all the way down.

The executive branch's power to contract is not unlimited, because the executive power is not unlimited. The executive cannot contract except as authorized by law. If the law forbade the making of a certain contract, or forbade choosing contractors on a certain basis, the executive could not make that contract or one substantially at odds with what the legislature forbade. As Blackstone explained, executive actions were effective only "where they do not either contradict the old laws, or tend to establish new ones; but only enforce the execution of such laws as are already in being."[12] Those laws must, we have held in connection with cases concerning the legislative power (NY Const, art III, § 1), be sufficiently definite so as to allow assessment of whether the governor or commissioner is enforcing "the execution of such laws as already in being"; the legislature must "set bounds to the field, and . . . formulate the standards which shall govern the exercise of [executive]

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11. *See* Brian Nearing, *Big Cheese Stash Getting Bigger, New York Production Climbs*, Albany Times Union, Sept. 11, 2018, https://www.timesunion.com/business/article/Big-cheese-stash-getting-bigger-New-York-13218466.php (noting that New York State alone produces enough cheese to give every person in the state 45 pounds per year).

12. *See also* 4 Charles Z. Lincoln, Constitutional History of New York at 470-471 (1906) ("The clause requiring the governor to 'expedite all such measures as may be resolved upon by the legislature,' which was also included in the first Constitution, was a distinct recognition of the governor's executive authority. The legislature is to make the laws and the governor is to execute them, and to use all the means placed at his command to effectuate the legislative purpose").

discretion within the field" (*Packer Coll.*, 298 NY at 189). The executive cannot contract except to execute the existing laws made by the legislature, which necessarily means the executive cannot use the contracting power to "establish new ones."

We can see this principle in operation, if not in description, in *Under 21, Catholic Home Bur. for Dependent Children v City of New York* (65 NY2d 344 [1985]). There, we held that a regulation issued by the Mayor of New York banning discriminatory employment practices on the part of contractors exceeded the Mayor's executive power, because it attempted to achieve a policy goal not contemplated in the relevant legislation from which the contracting itself sprang. However, we noted, if the executive "feels that the *price* of a particular contract is too high due to a contractor's employment policies, it is of course free to choose some other contractor" (*Under 21*, 65 NY2d at 359 n 5 [emphasis added]). In other words, because the authorizing legislation set bounds to the field—the executive could pick and choose contractors, but only on certain bases, like price—the executive was free to select an *indicia* of prices, there discrimination in employment, and pick and choose contractors on that basis as an indicia of price. (And doing so would of course be informed by policy—a policy judgment that the State gets better deals from non-discriminatory contractors.) But in *Under 21*, the Mayor was plainly not doing this; rather, he was considering a factor outside the bounds of the legislation from which the contracting power sprang. That, we held, was impermissible (*accord Subcontractors Trade Assn. v Koch*, 62 NY2d 422, 427 [1984]; *Matter of Fullilove v Carey*, 48 NY2d 826 [1979]; *Matter of Fullilove v Beame*, 48 NY2d 376 [1979]; *Matter of Broidrick v Lindsay*, 39 NY2d 641 [1976]).

Once we understand the constitutional question is whether the regulation exceeds the executive power, the analysis is simpler. As discussed above, the executive power, including the power to contract, exists in reference to existing legislation. Thus, to determine the lawfulness of executive action, we must determine whether it objectively advances the policy goals articulated in the legislation that purportedly authorizes that action. If those goals are undiscernible then the legislation is itself unconstitutional under the nondelegation doctrine as outlined in *Packer Coll.* (298 NY at 189). If the legislation is susceptible of an interpretation that articulates determinate policy goals and another that does not (the original *Boreali* question), then it must be interpreted to be sufficiently determinate to have the policy goals against which an executive action can be judged.

This far simpler framework is, in fact, largely consistent with our existing jurisprudence in outcome if not in form.[13] It is also consistent with the majority's decision on the hard cap. The majority concludes, correctly, that the hard cap regulations advance the legislature's policy goal "that state health care funds should be expended in the most efficient and effective manner possible to maximize the quality and availability of public [health] care" (majority op at 266-267). Where the majority founders, however, is in its refusal to pursue that principle when it turns to the soft cap.

IV.

To understand why the "soft cap" is constitutional, it is helpful to explain what the soft cap is doing and the precise statutory goals it is attempting to advance: preventing circumvention of the hard cap, and advising providers that the State may deem them undesirable or inefficient vendors and allocate taxpayer monies away from them and to competitors whom, in the State's judgment, provide superior value.

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13. *See e.g. Boreali*, 71 NY2d at 12 (plethora of exceptions indicated smoking ban didn't objectively advance the legislated public health goal); *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340, 348 (1991) (quota on the number of Medicaid patients that must be seen by a Medicaid contractor were permissible because they objectively advanced the statutorily expressed policy goal of addressing public need); *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 866 (2003) (setting time limits objectively advanced the policy goals of the no-fault insurance legislative scheme); *Statewide Coalition*, 23 NY3d at 699 (soda portion size ban had so many exceptions, and was so indirectly connected to health consequences of soda consumption, as to not objectively advance the public health goals articulated in the enabling sections of the City Charter); *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600, 609, 611 (2015) (adopting just one taxi model rather than several objectively advanced the goals of "public comfort and convenience"); *Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174, 182 (2016) (after jettisoning part of *Boreali* on preservation grounds, finding that flat-out ban objectively advanced legislature's goals articulated in parks legislation); *Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202, 223 (2017) (licensing regulations objectively advanced legislature's goal of getting drunk drivers off the road); *Garcia v New York City Dept. of Health & Mental Hygiene*, 31 NY3d 601, 612 (2018) (mandating vaccinations objectively advanced legislature's goal of "prevent[ing] the spread of communicable diseases").

A.

Much of the majority's analysis of the soft cap turns on its application to private as well as public funds (*see e.g.* majority op at 268). But any effective regulation involving the use of public funds by private providers needs to take private funds into account. Recall that the hard cap puts a ceiling of $199,000 on the executive compensation certain covered employees can receive from state coffers (10 NYCRR 1002.3 [a]). Many private health care providers do not receive all their revenues from the State. Instead, they treat some patients for whom the State reimburses them, and some patients that pay directly out of pocket or are covered by private health insurance.

Suppose you were a covered executive at such a provider and were facing the hard cap only. You want to pay yourself a salary of $1,000,000. The State says if you use more than $199,000 of the state monies you receive to pay your salary (leaving aside waiver for the moment), the State may cease doing business with you and turn to other providers. So you simply adjust your organization's budget: from here on out, you will get a salary up to the cap from state dollars, but use private dollars to get to the $1,000,000 figure. Perhaps you will not even report that as salary, but as a perquisite of college tuition for your children, use of an automobile, country club membership, etc., funded entirely by private monies (*see* Russ Buettner, *Reaping Millions in Nonprofit Care for Disabled*, NY Times, Aug. 2, 2011, https://www.nytimes.com/2011/08/02/nyregion/for-executives-at-group-homes-generous-pay-and-little-oversight.html). Of course, that $801,000 is coming from somewhere—either from private funds paying salaries of other employees or other needed administrative expenses or, of course, patient services for which the State is paying, freeing up the private funding to go to salaries, thus indirectly costing the taxpayers more money in the long run.

All of this circumvents the central goal of the regulation, and the goal which the Members of this Court unanimously agree was written into the authorizing statute: to maximize the "bang for the buck" the State receives when it chooses among service providers (*cf. Matter of Medicon Diagnostic Labs. v Perales*, 74 NY2d 539, 545-546 [1989] [understanding the relevant statutes to mean that "the agency charged with the responsibility of administering the medicaid program has inherent authority to protect the quality and value of services rendered by providers in that program"]). It is both rational and appropriate for DOH to attempt to ensure that the providers with which it contracts invest in certain administrative expenses (say, a functioning patient portal that allows for more convenient and efficient appointments with doctors) rather than others (compensation for executives), so as to maximize the impact of the state dollars spent on direct service provision.

Circumvention of the hard cap is possible because money is fungible, regardless of its source. Once the State has paid a provider, as a practical matter the only way the State can ensure it is being spent properly is to directly order those spending any money to spend any of their money on some things and not others (and, I stress, we unanimously agree such an order is appropriate in this case, as regards "administrative" versus "direct services" caps). And even if the soft cap were a belt-and-suspenders provision, and the hard cap can stand on its own, "that a regulatory provision may be duplicative or . . . unnecessary in relation to the achievement of the legislative goal does not make it ultra vires" (majority op at 267 n 9).

Understood in this way, the soft cap suffers from none of the infirmities that the majority suggests it possesses. It is not pursuing a policy consideration "not clearly connected" from the objectives outlined by the legislature; it is pursuing the exact same policy consideration as the hard cap—maximizing the impact and power of every state dollar reaching a provider—to avoid circumvention of the hard cap. In tandem, the caps maximize the benefit received by the State while ensuring the private health care provider sector would not circumvent the regulations. Circumvention, whether unscrupulous, negligent, or inadvertent, was surely possible: the most recent annual report for the Medicaid Inspector General (Office of the Medicaid Inspector General, 2016 Annual Report, https://omig.ny.gov/images/stories/annual_report/2016_OMIG_Annual_Report.pdf, cached at http://www.nycourts.gov/reporter/webdocs/2016OMIGAnnualReport.pdf) reveals $418 million in Medicaid recoveries and $1.9 billion in cost-avoidance initiatives, all responding to a combination of bad practices and simple error at the hands of private health care providers.

Accordingly, just as the hard cap objectively advanced the legislatively-circumscribed goal of getting the "biggest bang for the buck" in its Medicaid services, the soft cap, which is really just an anticircumvention provision, does the same.[14] Indeed, the majority concedes this very point in its opinion when it explains that "DOH's intentions were to advance the same interests underlying the hard cap regulations" (majority op at 268). If DOH's "choices" are the critical question here, as the majority would have us believe, then its "intentions" should determine the result, because DOH's policy choice was consistent with the legislature's grant.

B.

Even if the soft cap were pursuing a different policy consideration than the hard cap, it would still be well within the confines of the executive power because it objectively advances another legislatively-decreed policy: ensuring the State does business only with responsible contractors. State Finance Law § 163 (2) (a) declares it the policy of the State to "promote purchasing from responsive and responsible offerers," defined in part to require that the State examine those offerers' "financial ability, legal capacity, integrity, and past performance" (State Finance Law § 163 [1] [c]).[15] It objectively advances the legislature's demand that the State do business only with those persons with "financial ability, legal capacity . . . [and] integrity" for the executive to require that those it does business with pay salaries that are reasonable, as measured by the oldest standard of reasonableness there is—what everyone else (or at least the 75th percentile of everyone) is doing. It also objectively advances that goal to insist that the nonprofits to which the State will entrust over $150 billion in taxpayer dollars be governed responsibly, with independent or at least attentive boards of directors. Between the centrality of contracting to the basic functioning of the executive, the clarity of the legislative policy command, and the close connection of this regulation to those goals, the soft cap falls squarely within the executive power and is thus constitutional.

The majority concedes that State Finance Law § 163 is "an important aspect of any contracting agency's mandate" but

14. Accordingly, because the soft cap is an integral part of the hard cap, the majority's analysis of the arbitrariness and capriciousness of the hard cap (majority op at 267-268) is applicable with full force to the soft cap, and accordingly I disagree with Judge Garcia's contrary contention on this score (Garcia, J., dissenting op at 276-277).

15. Contrast *Under 21* (65 NY2d at 359), where the considerations the State was adopting were quite different—namely, its moral opprobrium for contractors who discriminated on the basis of sexual orientation.

holds the soft cap is still unconstitutional because DOH "has not shown a connection between a provider's decision to use private funds to compensate its executive staff handsomely or even excessively" and the "absence of any of these essential contractor characteristics" (majority op at 270). There are at least three problems with this contention.

First, it is wrong as a matter of fact. DOH explained in some detail, both in the briefing of this case and in its discussion of the regulation in the record, exactly why payment of excessive compensation from private sources was a "red flag" indicating the provider's fiscal responsibility and integrity as those terms have been long understood in the public procurement process.

Second, the majority that just told us that administrative agencies "may be vested with considerable discretion to flesh out a policy broadly outlined by legislators . . . [and] have flexibility in determining the best methods for pursuing objectives articulated by the legislature" (majority op at 260) now says that an agency cannot determine the best methods of pursuing the broad (but certainly not unbounded) objectives of State Finance Law § 163 based on its admitted expertise. That flies in the face of elementary principles of administrative law, the same elementary principles the majority vaunts just a few pages into its own opinion.

Third, the majority misquotes State Finance Law § 163 by omitting a key phrase: the various essential contractor characteristics, the legislature tells us, are defined in accordance with how "such terms have been interpreted relative to public procurements" (State Finance Law § 163 [1] [c]). Who conducts public procurements? The executive. By what goals? These are well established in State Finance Law § 163 itself, and include, among other things, the command that "[i]t shall be the responsibility of the head of each state agency to periodically sample the results of the procurement process to [among other things] *ensure that the results withstand public scrutiny*" (State Finance Law § 163 [11] [emphasis added]). Surely it was reasonable to conclude that the "results" of the pre-soft cap contracting rules, which allowed the State to plow millions of dollars into nonprofits that were paying their own executives lavish compensation, would not "withstand public scrutiny." Thus DOH's view that State Finance Law § 163 required it to look, among many other factors, at the governance of a potential contractor and the salaries it pays its top executives before giving them taxpayer dollars is simply obedience to a *different* mandate, a general contractor mandate, as applicable to DOH as any part of the Public Health Law.

The two exceptions in the soft cap illustrate exactly how the soft cap allowed the agency to test the "responsibility" of a given contractor. First, relying on its understanding of the health care sector, DOH concluded that the surest guide of "legal capacity" and "integrity" in an organization is good governance practices—and certainly not executives setting their own salaries without any review. Hence, DOH required that salaries more than the $199,000 benchmark from any source be reviewed by a board, and that it either contain independent directors or at least assess "appropriate comparability data" in signing off on that decision (10 NYCRR 1002.3 [b] [2]). The point of requiring an examination of comparability data was to invoke a provider's own governance structures to encourage efficiency and responsibility, not secure a particular dollar figure salary as the majority supposes (majority op at 269). Second, if a contractor decided not to implement these very basic integrity-based reforms, DOH created an exemption for salaries that were 75% of the norm for the provider and the region (10 NYCRR 1002.3 [b] [1]), which would allow it to concentrate its limited enforcement resources on only the "red flag" actors that DOH might choose to avoid when deciding how to spend taxpayer dollars.

Finally, the majority's analysis of State Finance Law § 163 raises as many questions as it answers. The parties, as well as the majority, do not appear to object to the many and varied ways in which DOH measures "integrity" in its regular contractor accreditation process set out in 18 NYCRR 504.1 *et seq.*, such as not doing business with entities that make false statements to licensure agencies (18 NYCRR 504.5 [a] [4]). Surely DOH's identification of lying to a licensure agency as an "integrity" factor is as much a "value judgment" (majority op at 270) as its finding in 10 NYCRR 1002.3 that "excessive compensation," minus certain safeguards, is a sign of "irresponsibility"? The majority cannot mean what it says—that DOH's determinations about the integrity of contractors are illegitimate "value judgments" beyond the agency's "health care funding mandate." Were that so, it would cripple DOH's ability to regulate fraud and malfeasance. Decertifying, or refusing to deal in the first place with, contractors who lack "integrity" is indeed a "public policy determination," but it is one that the legislature has expressly told the executive branch to make for over a century. Unless discounted as throwaway dicta, the majority's statement places the entirety of 18 NYCRR part 504, in which DOH requires that only "qualified and responsible persons may be enrolled as providers of care, services, and supplies" (and to which no parties object) (18 NYCRR 504.1 [a]), in serious constitutional doubt.

This would be a different case, of course, if the legislature had not specified "responsibility" as a permissible criteria by which the Department could pick and choose amongst vendors and had declared other criteria to be the exclusive basis on which the executive could make that choice. But the legislature decreed "responsibility" as a criterion, and DOH is appropriately expediting the matter resolved by the legislature. One way to look at it is that, everything else equal, the State would prefer to contract with providers who use private funds to improve common goods from which state-funded patients can benefit, rather than those providers who pay their executives lavishly. This is perfectly proper behavior on the State's part—just as a construction contractor might be preferred because it owns equipment, financed by a private job but useful for a public building site, or has a skilled workforce that gains experience on private jobs.

C.

Even if State Finance Law § 163 did not give the agency authority to select only responsible contractors to participate in Medicaid and related programs, the appropriations themselves give rise to the executive power to select (consistent with other laws and parts of the Constitution, of course) from competing contractors to spend that money. The executive has had the power to select among contractors since the dawn of an independent New York, provided the selection is made in a manner consistent with the laws or appropriations giving rise to the creation of the contract (basic authority to do so, the majority correctly notes, was vested in the Department by Public Health Law § 206). Inherent in an appropriation are two considerations the executive may lawfully consider: the quality of the service provided, and the cost of that service. Here, once the legislature appropriated money for private providers to give public services, the executive was free to determine that it would direct that money to entities that were frugal and not spendthrift, because doing so objectively advanced the legislatively-circumscribed policy goal of the appropriation—to take the least amount of taxes and generate, if you will, the most amount of health care.

Thus, hard or soft, the regulation at issue here was entirely constitutional. Accordingly, I would uphold the regulation in its entirety.

In each case: Order affirmed, without costs.

Opinion by Chief Judge DIFIORE. Judges STEIN, FAHEY and FEINMAN concur; Judge GARCIA dissents in part and votes to modify in favor of petitioners in accordance with an opinion; Judge WILSON dissents in part and votes to modify in favor of respondents in accordance with an opinion; Judge RIVERA dissents in part and votes to modify in favor of respondents for the reasons stated in parts I, III and IV of Judge WILSON's opinion.

[115 NE3d 587, 91 NYS3d 315]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAKIM GRIMES, Appellant.

Argued September 13, 2018; decided October 23, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 24, 2017. The Appellate Division denied defendant's application for a writ of error coram nobis seeking leave to file a late application for leave to appeal to the Court of Appeals from an order of that Appellate Division entered November 13, 2015 (133 AD3d 1201 [2015]), which had affirmed a judgment of the Supreme Court, Onondaga County (John J. Brunetti, A.J.), convicting defendant, upon his plea of guilty, of criminal possession of a controlled substance in the third degree and criminal possession of a controlled substance in the fourth degree.

People v Grimes, 2017 NY Slip Op 69059(U), affirmed.

HEADNOTE

Crimes — Appeal — Leave to File Late Criminal Leave Application — Writ of Error Coram Nobis

A defense counsel's failure to file a timely criminal leave application (CLA) or move for an extension of time to do so does not deprive a defendant of a constitutional right to the effective assistance of counsel or due process under NY Constitution, article I, § 6. Thus, defendant, whose counsel failed to file a timely CLA to the Court of Appeals within the 30-day statutory time frame provided by CPL 460.10 (5) (a) or move pursuant to CPL 460.30 within the one-year grace period for an extension to cure the error, was not entitled to a writ of error coram nobis to bypass the limitation set by the legislature in CPL 460.30. In the absence of a constitutional violation, a defendant cannot resort to coram nobis to abrogate the one-year time limitation on the remedy provided in CPL 460.30. A criminal defendant's absolute right and basic entitlement to appellate consideration of a direct first-tier appeal does not translate to a similar constitutional entitlement to a discretionary, second-tier appeal. Court rules providing for the assignment of counsel once a CLA is granted and requiring counsel in first-tier appeals to assist in filing a CLA do not create a constitutional entitlement to counsel during the CLA process, or a claim of constitutional deprivation of due process when counsel's performance is deficient at that stage of appellate review. Nor do federal court rules governing whether a petitioner exhausted state remedies or failed to adhere to state procedures serve as a reason to abandon New York procedural law of reasonable time limitations.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 75–77, 291; AM JUR 2d Criminal Law §§ 1111, 1112, 1116; AM JUR 2d Habeas Corpus and Postconviction Remedies §§ 24, 25, 194–196, 224.

CARMODY-WAIT 2d Habeas Corpus § 139:82; CARMODY-WAIT 2d Right to Counsel §§ 184:281, 184:282; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:76, 207:80, 207:98, 207:165, 207:168, 207:176, 207:181.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 11.7, 27.1, 27.4.

MCKINNEY'S, CPL 460.10, 460.30.

22 NYCRR 500.20 (e).

NY JUR 2d Criminal Law: Procedure §§ 956, 960, 3552, 3555, 3604, 3611, 3622, 3629; NY JUR 2d Habeas Corpus § 16.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Coram Nobis; Habeas Corpus.

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POINTS OF COUNSEL

Baker Botts L.L.P., New York City (*Joseph C. Perry* of counsel), for appellant. Jakim Grimes did not receive the effective assistance of appellate counsel required by the New York State Constitution. (*People v Lopez*, 16 NY3d 375; *People v Harris*, 77 NY2d 434; *People v Grice*, 100 NY2d 318; *People v Claudio*, 59 NY2d 556; *People v Baldi*, 54 NY2d 137; *People v Pavone*, 26 NY3d 629; *People v Satterfield*, 66 NY2d 796; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Ford*, 86 NY2d 397.)

William J. Fitzpatrick, District Attorney, Syracuse (James P. Maxwell of counsel), for respondent. I. The order of the Appellate Division denying defendant's application to make a late criminal leave application is not appealable to this Court. II. The Appellate Division did not err as a matter of law when it denied defendant's coram nobis motion. (*People v Syville*, 15

NY3d 391; *Evitts v Lucey*, 469 US 387; *Roe v Flores-Ortega*, 528 US 470; *People v Montgomery*, 24 NY2d 130; *People v Thomas*, 47 NY2d 37; *People v Corso*, 40 NY2d 578; *People v Bachert*, 69 NY2d 593; *People v Andrews*, 23 NY3d 605; *O'Sullivan v Boerckel*, 526 US 838; *People v Rosario*, 26 NY3d 597.) III. Defendant failed to exercise due diligence in making his coram nobis motion. (*People v Rosario*, 26 NY3d 597.)

Dana E. Heitz, Matthew Bova, William D. Buckley and *Scott M. Danner*, New York City, for New York County Lawyers Association Committee on Appellate Courts, amicus curiae. This Court should reject a common-law rule that would require defendants to "diligently" investigate counsel's compliance with his/her professional obligations in order to obtain relief for ineffective assistance of counsel. (*People v Arjune*, 30 NY3d 347; *People v Andrews*, 23 NY3d 605; *People v Rosario*, 26 NY3d 597; *People v Syville*, 15 NY3d 391; *People v Montgomery*, 24 NY2d 130; *Evitts v Lucey*, 469 US 387; *Martinez v Ryan*, 566 US 1; *Murray v Carrier*, 477 US 478; *Coleman v Thompson*, 501 US 722; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.)

OPINION OF THE COURT

Chief Judge DiFiore.

In *People v Andrews* (23 NY3d 605, 616 [2014]), we held that counsel's failure to file a timely criminal leave application (CLA) to this Court within the 30-day statutory time frame provided by CPL 460.10 (5) (a), or move pursuant to CPL 460.30 within the one-year grace period for an extension to cure the error, does not deprive a defendant of a constitutional right to the effective assistance of counsel or due process under the Sixth and Fourteenth Amendments of the United States Constitution. In the absence of a constitutional violation, a defendant cannot resort to coram nobis to abrogate the one-year time limitation on the remedy provided in CPL 460.30 for the improper conduct of his or her attorney in failing to file a timely CLA. We left open the question of whether a more protective rule should be recognized under the New York State Constitution (*id.* at 616). Today, we hold the same rule applies under article I, § 6 of the New York State Constitution. Thus, defendant is not entitled to a writ of error coram nobis to bypass the limitation set by the legislature in CPL 460.30 in which to file a CLA seeking leave to appeal to this Court.

I.

In 2012, defendant was convicted upon a plea of guilty of criminal possession of a controlled substance in the third degree and criminal possession of a controlled substance in the fourth degree. Counsel filed a notice of appeal on defendant's behalf and perfected the first-tier appeal. The Appellate Division affirmed the judgment of conviction, by order entered November 13, 2015 (133 AD3d 1201 [4th Dept 2015]), a copy of which was served on appellate counsel by the People with notice of entry on November 17, 2015, starting the CPL 460.10 (5) 30-day time frame in which defendant must make application pursuant to CPL 460.20 for a certificate granting leave to appeal for a discretionary, second-tier appeal to the Court of Appeals. The very next day, counsel wrote to defendant to inform him that he was "in the process of drafting the leave application to the court of appeals" and that defendant "should receive it shortly." Counsel drafted the CLA letter, but never sent it to the Court or to defendant.

More than a year later, defendant was released from prison. Approximately six weeks later, counsel received a letter from defendant, dated January 9, 2017, inquiring about the status of the CLA. Having failed to timely file an application for leave to this Court or seek an extension of time to file such an application pursuant to CPL 460.30, counsel moved for coram nobis relief in the Appellate Division, dated January 20, 2017, requesting "an extension of time to file an application for leave to appeal to the Court of Appeals."

Counsel argued that defendant was deprived of his right to due process and his right to counsel under article I, § 6 of the State Constitution, as well as under the Sixth and Fourteenth Amendments of the United States Constitution. He alleged that "due to law office failure and [his] lack of oversight" the CLA "was never timely filed and served and the case was later mistakenly marked as closed." As to the due diligence of defendant, counsel concluded, "[r]elying upon our representation, [defendant] could not have reasonably discovered within a one-year period that his appellate rights were not preserved." Counsel relied on *People v Syville* (15 NY3d 391 [2010]), wherein we held that coram nobis is the appropriate procedural remedy in New York to afford relief for a violation of the Due Process Clause of the United States Constitution resulting from the deprivation of a first-tier appeal due to counsel's ineffectiveness in failing to file a notice of appeal within the one-year time limitation of CPL 460.30. Addressing a second-tier appeal in *Andrews*, however, we held that there is no equivalent federal constitutional due process or ineffective assistance claim for counsel's failure to seek leave to appeal to the Court of Appeals (*see* 23 NY3d at 616). Nonetheless, here, counsel argued that "New York Courts are free to extend constitutional protections beyond those required by the United States Constitution" and urged the Appellate Division to grant coram nobis relief to preserve defendant's "fundamental right to appeal." The People filed no papers in opposition.

The Appellate Division denied defendant's motion for a writ of error coram nobis (148 AD3d 1724 [4th Dept 2017]). A Judge of this Court granted leave to appeal (29 NY3d 1127 [2017]). We now affirm the Appellate Division order.

II.

By coram nobis, defendant seeks to extend his time to file a CLA for a discretionary, second-tier appeal to this Court beyond the time limitation set by the legislature in CPL 460.30. Since such a motion "must be made with due diligence after the time for the taking of such appeal has expired, and *in any case not more than one year thereafter*" (CPL 460.30 [1] [emphasis added]), defendant now seeks to carve out an exception to the statute's command. Defendant's entitlement to coram nobis relief requires "a violation of the defendant's constitutional rights not appearing on the record, no negligence which could be attributed to the defendant for failure to have brought the alleged error to the attention of the court . . . , and further, that the current proceeding is not a substitute for a new trial, appeal or other statutory remedy" (*People v Bachert*, 69 NY2d 593, 598 [1987] [internal quotation marks and citation omitted]). Historically, coram nobis was limited to correcting fundamental or constitutional errors in the judgment entered in the trial court. Prior to the enactment of the Criminal Procedure Law, we expanded the writ's scope to "afford the defendant a remedy in those cases in which no other avenue of judicial relief appeared available" (*People v Hairston*, 10 NY2d 92, 93-94 [1961]; *see Matter of Bojinoff v People*, 299 NY 145, 151 [1949]). Specifically, we enlarged coram nobis to include claims premised on the loss of the defendant's right to a first-tier appeal, or a lack of meaningful review on that direct appeal from the conviction caused by counsel's deficient legal performance, as well as state action or lack thereof (*see e.g. People *v De Renzzio*, 14 NY2d 732, 733 [1964] [court-appointed lawyer failed to prosecute a first-tier appeal in a murder case]; *Hairston*, 10 NY2d at 93 [prison authorities prevented defendant's efforts to take and perfect a first-tier appeal]). Although "[m]ost of the common-law, coram nobis types of relief were abrogated when the Criminal Procedure Law was enacted" (*Andrews*, 23 NY3d at 611, citing *People v Corso*, 40 NY2d 578, 580 [1976]), that legislation "did not expressly abolish the common-law writ of coram nobis or necessarily embrace all of its prior or unanticipated functions" (*Bachert*, 69 NY2d at 599).

Therefore, in *Syville*, the Court recognized the continuing, albeit limited, availability of a "coram nobis type[ ] of relief [largely] abrogated when the Criminal Procedure Law was enacted"; specifically, we permitted the continued use of a type of "so-called '*Montgomery* claim' " (*Andrews*, 23 NY3d at 610-611). In *People v Montgomery*, we held "that every defendant has a fundamental right to appeal his conviction and that, accordingly, basic fairness and due process require that the right not be dissipated either because the defendant was unaware of its existence or counsel failed to abide by a promise to either file or prosecute an appeal" (24 NY2d 130, 132 [1969]). This *Montgomery* relief, whereby coram nobis was initiated in the trial court for claims premised on the loss of the right to a first-tier appeal, was codified, in a modified form, in CPL 460.30 (*see Corso*, 40 NY2d at 579-580).[1] The statute, in recognition of the appellate jurisdiction of the courts, allows a defendant to seek permission from an intermediate appellate court to file a late notice of direct appeal on specified grounds, including the improper conduct of an attorney. In addition to its due diligence requirement, the statute bars relief if more than one year has passed from the time the taking of the appeal has expired (CPL 460.30 [1]). The statute also provides for fact-finding hearings in the trial court to enable the intermediate appellate court to resolve questions of fact, including any issue as to a defendant's due diligence (*see* CPL 460.30 [5]). Formerly, under *Montgomery*, when a violation of the absolute right to appeal was found, the trial court granted the coram nobis and restarted the 30-day period to take an appeal by resentencing a defendant (*see Corso*, 40 NY2d at 580). The 30-day clock to

1. Although *Montgomery* "clearly" announced the use of coram nobis to remedy the failure to obtain a first-tier appellate review of the judgment, courts had endorsed the procedure in the years prior to that decision (*see Hairston*, 10 NY2d at 94; *People v Hill*, 8 NY2d 935 [1960]).

take the appeal now starts upon the granting of the CPL 460.30 motion by the appellate court.

The legislature amended CPL 460.30 in 1977 to include relief for a defendant who fails to timely seek a certificate granting leave to appeal from an order of the Appellate Division to the Court of Appeals due to the improper conduct of his attorney, in addition to other grounds (*see* CPL 460.30 [1]). In recognition of the appellate jurisdiction of this Court, the statute provides that the motion for an extension of time is to be made to this Court and with due diligence (*see id.*). As the statutory language is unequivocal that the extension of time be "not more than one year" (*see id.*), we have held that " '[t]he one-year grace period is strictly enforced "since the time limits within which appeals must be taken are jurisdictional in nature and courts lack inherent power to modify or extend them" ' " (*People v Rosario*, 26 NY3d 597, 602 [2015], quoting *Andrews*, 23 NY3d at 611).

We have carved out rare exceptions to this one-year jurisdictional bar, excusing a late CPL 460.30 motion for the extension of time for taking a first-tier appeal as of right. We estopped the People from invoking the one-year limitation when defendant attempted to file a notice of appeal three months from when he was sentenced because prosecutors "frustrated the good faith exercise of the defendant's right to the remedy of CPL 460.30" (*People v Thomas*, 47 NY2d 37, 41, 43 [1979] [prosecution ignored defendant's request for information to take a first-tier appeal "while his default was still curable" and "defendant's last chance to obtain the status of an appellant was ebbing away"]).

In *Syville*, we were called upon to reconcile the conflict between the one-year time limitation of CPL 460.30 and counsel's unconstitutionally deficient performance causing "defendant to lose the right to perfect or obtain merits consideration" of a first-tier appeal in violation of the Due Process Clause of the United States Constitution (15 NY3d at 397). We looked to *Montgomery*'s holding that "a defendant whose right to appeal is lost through his attorney's deficient performance should have a remedy" in determining that coram nobis was the appropriate relief (*Syville*, 15 NY3d at 398). Specifically, we held that when a defendant's ability to take a first-tier appeal as of right is extinguished "due solely to the unconstitutionally deficient performance of counsel in failing to file a timely notice of appeal," coram nobis is the proper procedure to remedy the constitutional error as the time to seek relief pursuant to CPL 460.30 is no longer available (*see id.*). However, in recognition that the remedy in *Montgomery* was largely superseded by the enactment of CPL 460.30, *Syville* was predicated on the federal constitutional right under the Fourteenth Amendment to representation by counsel in a state's first-tier appeal from a conviction (*see id.* at 398; *see also People v Arjune*, 30 NY3d 347, 356 [2017], *cert denied* — US —, 139 S Ct 67 [Oct. 1, 2018] [noting that *Syville* itself relied on the U.S. Supreme Court's reasoning in *Roe v Flores-Ortega*, 528 US 470 (2000)]).

Four years later, we clarified the parameters of coram nobis under *Syville* in *People v Kruger*—a companion case in *Andrews*—where counsel failed to file a CLA to this Court.[2] We held that coram nobis relief was not available because, "[u]nlike an appeal as of right, . . . there is no federal constitutional entitlement to legal representation on a discretionary application for an appeal to a state's highest court" (*Andrews*, 23 NY3d at 616, citing *Ross v Moffitt*, 417 US 600, 615-616 [1974]; *Halbert v Michigan*, 545 US 605, 611-612 [2005]). "Thus, the failure to file a CLA, standing alone, does not necessarily establish" a deprivation of effective assistance of counsel—or due process—because there is no federal constitutional right to counsel under the Due Process Clause on a second-tier appeal (*Andrews*, 23 NY3d at 616). And, in the absence of a violation of a constitutional right, coram nobis does not lie and the statutory remedy for an extension of time to take an appeal cannot be abrogated. *Andrews* left open the question presented by this appeal: whether a defendant has a state constitutional right to representation to file a CLA in this Court (*see id.*).[3]

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2. We note that the venue for bringing a CPL 460.30 motion for an extension of time to file a CLA is in this Court, but there is no authority for filing a motion for coram nobis in the Court of Appeals (*see People v Gibbs*, 85 NY2d 1030, 1030 [1995]; *People v Bond*, 93 NY2d 896, 896 [1999]). However, as in *Andrews*, the parties do not raise whether a coram nobis motion may be brought in the Appellate Division for the relief requested herein (*see* 23 NY3d at 616 n 3).

3. Although defendant's arguments are based on the right to the effective assistance of counsel under the New York Constitution because of the statute providing for a CLA process, the dissent insists that representation on a first-tier appeal demands compliance with court rule standards and thus entitles defendant to the effective assistance of counsel in the CLA process (dissenting op at 321-323). In so doing, the dissent conflates statutory rights with court rules and then clothes the representation in constitutional garments, without sourcing the right to counsel in the constitution itself. This

(n. cont'd)

III.

There is no federal constitutional right to appellate review (*see McKane v Durston*, 153 US 684, 687-688 [1894]) and no state constitutional right to appellate review in a criminal case, except to the Court of Appeals where the judgment is of death and as otherwise legislatively provided (NY Const, art VI, § 3). "The Sixth Amendment does not encompass the right to appeal or the right to counsel in appellate proceedings. Nor does due process guarantee the right to an appeal" (*People v West*, 100 NY2d 23, 28 [2003], citing *Martinez v Court of Appeal of Cal., Fourth Appellate Dist.*, 528 US 152, 159-161 [2000]). Indeed, "[a]t common law, appellate review of a criminal conviction, regardless of how grave the offense, was not viewed as a necessary component of elementary due process" (*People v Romero*, 7 NY3d 633, 636 [2006]).

In interpreting our state's constitutional right to counsel, we have stated that

> "[t]he Right to Counsel Clause in the State Constitution is more restrictive than that guaranteed by the Sixth Amendment to the United States Constitution (*compare*, NY Const, art I, § 6, *with* US

Court has expressly rejected that position, as "[t]he right to effective assistance of counsel can be no broader than the right to counsel on which it is based" (*People v Claudio*, 59 NY2d 556, 561 n 3 [1983]). As we explained herein, court rules do not translate to statutory rules with constitutional entitlements. But in any event, the dissent's theory of the case is not one that has been endorsed by the parties and fails to address the issue actually before us: whether a defendant has a state constitutional right to be represented by counsel in filing a CLA. As to the dissent's reference to *Claudio v Scully* (982 F2d 798 [2d Cir 1992]), again, the right to counsel discussion is viewed out of context. The Second Circuit conditionally granted the defendant's habeas corpus petition based on his lawyer's ineffectiveness under the Sixth Amendment for the failure to make a state constitutional right to counsel argument before the New York Court of Appeals in an interlocutory appeal (not a CLA) on a pretrial suppression ruling. The state constitutional grounds for suppression of the confession—evidence which was essential to the case—had been addressed by the intermediate appellate court (85 AD2d 245 [2d Dept 1982]). In conditionally granting the petition, the Second Circuit, again relying on the Sixth Amendment, expressly distinguished the defendant's "pre-trial appeal"—a "critical stage"—from "post-conviction discretionary appeals," to which the Sixth Amendment right to counsel did "not . . . extend" (982 F2d at 802). Obviously, the Second Circuit did not alter the controlling law upon which we rely (including *Ross*). The dissent also omits that we subsequently and unanimously rejected that state constitutional right to counsel argument (*see People v Claudio*, 83 NY2d 76 [1993]), and the judgment denying the habeas petition was reinstated (*see Claudio v Scully*, 841 F Supp 85 [ED NY 1994]).

> Const 6th, 14th Amends). Nevertheless, by resting the right upon this State's constitutional provisions guaranteeing the privilege against self-incrimination, the right to assistance of counsel and due process of law we have provided protection to accuseds far more expansive than the Federal counterpart" (*see People v Bing*, 76 NY2d 331, 338-339 [1990]).[4]

In certain postconviction accusatory proceedings, we have held the right to counsel is required "because the outcome—liberty or imprisonment—depends upon an arbiter's determination as to the truth of assertions" affecting defendant's status (*People v Garcia*, 92 NY2d 726, 730 [1999]). We have never held that a defendant is entitled to a state constitutional right to counsel in all postjudgment criminal proceedings.

Even so, the U.S. Supreme Court has long established that when a state grants a defendant the absolute statutory right to appeal a criminal conviction, the Fourteenth Amendment mandates that to provide a meaningful first-tier appeal, the defendant must be afforded the right to counsel (*see Douglas v California*, 372 US 353, 356-357 [1963]). This is because the first-tier appeal is "an integral part of the . . . trial system for finally adjudicating the guilt or innocence of a defendant" (*Griffin v Illinois*, 351 US 12, 18 [1956]). Invoking the Fourteenth Amendment as to whether "it is impermissible for the State to fail to assure that an indigent defendant is informed of his right to appeal" we similarly held that "the 30-day period in which [a notice of appeal must be filed] is a critical time for the defendant. It cannot be successfully argued that an indigent defendant does not have the right to counsel at this stage of his proceedings" (*Montgomery*, 24 NY2d at 132-133, citing *Hamilton v Alabama*, 368 US 52 [1961]).

> "In bringing an appeal as of right from his conviction, a criminal defendant is attempting to demonstrate that the conviction, with its consequent drastic loss of liberty, is unlawful. To prosecute the appeal, a criminal appellant must face an adversary proceeding that—like a trial—is governed by

4. New York Constitution, article I, § 6 provides: "*In any trial in any court* whatever the party accused shall be allowed to appear and defend in person and with counsel as in civil actions and shall be informed of the nature and cause of the accusation and be confronted with the witnesses against him or her" (NY Const, art I, § 6 [emphasis added]).

> intricate rules that to a layperson would be hopelessly forbidding. An unrepresented appellant—like an unrepresented defendant at trial—is unable to protect the vital interests at stake" (*Evitts v Lucey*, 469 US 387, 396 [1985]).

A first-tier appeal "is not adjudicated in accord with due process of law if the appellant does not have the effective assistance of an attorney" (*id.*), and when there is a denial of a first-tier appeal due to ineffective assistance of counsel, it is a violation of the Fourteenth Amendment (*see Roe*, 528 US at 483; *see also Halbert*, 545 US at 610-611 [emphasizing both due process and equal protection considerations]).

In contrast, a second-tier appeal—where the defendant has the benefit, from the perfection of the first-tier appeal, of a prepared or original record of the trial court proceedings, briefs by both counsel on the merits of the errors that allegedly occurred at trial, and the written opinion of the intermediate appellate court determining the validity of the conviction—does not require, as a matter of constitutional law, the assignment of counsel for a meaningful appeal under the Federal Due Process Clause (*see Evitts*, 469 US at 402; 22 NYCRR 500.20; *see also People v Hughes*, 15 NY2d 172, 173 [1965] [right to the assignment of counsel to represent an indigent defendant where there is a statutory "absolute right to appeal"]; *People v Borum*, 8 NY2d 177, 179 [1960] [right to appeal requires a review of the merits without defendant first demonstrating the merits of entertaining the appeal]; *People v Emmett*, 25 NY2d 354, 357 [1969] [right to appeal includes opportunity for defendant to submit a brief]; *People v Gonzalez*, 47 NY2d 606, 610 [1979] [right to representation on a first-tier appeal includes the attorney's conscientious examination of the record and the law and marshalling of arguments in the briefing]).[5] Indeed, "[t]hese materials, supplemented by whatever submission [de-

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5. Contrary to the dissent's assertions, a Judge of this Court's assessment of the leaveworthiness of a CLA depends on the underlying record of the trial court, the briefs submitted in the intermediate appellate court, and the lower courts' decisions (*see* dissenting op at 331). To facilitate the proper review of a CLA, our rules require that

> "[a]n application for leave to appeal from an intermediate appellate court order determining an appeal taken to that court *shall* include: (i) one copy of each brief submitted on defendant's behalf to the intermediate appellate court; (ii) one copy of each brief submitted by the People to the intermediate appellate court; (iii) the order and decision of the intermediate appellate court sought to be appealed from; [and] (iv) all relevant opinions

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fendant] may make pro se, would appear to provide the [highest court] with an adequate basis for its decision to grant or deny review" (*Ross*, 417 US at 615).

This conclusion is fortified by the function and scope of a discretionary second-tier appeal, which is markedly different than that of a first-tier appeal.

> "The critical issue in [a second-tier appellate] court . . . is not whether there has been 'a correct adjudication of guilt' in every individual case, but rather whether 'the subject matter of the appeal has significant public interest,' whether 'the cause involves legal principles of major significance to the jurisprudence of the State,' or whether the decision below is in probable conflict with a decision of the Supreme Court" (*Ross*, 417 US at 615 [citation omitted]).

Based on these differences, "*Ross* held . . . that a State need not appoint counsel to aid a poor person in discretionary appeals to the State's highest court" (*Halbert*, 545 US at 610, citing *Ross*, 417 US at 610-612). And since the constitutional right to effective assistance of counsel is entirely dependent on the existence of a constitutional right to counsel itself, there is no corresponding federal constitutional violation in the failure of counsel to take a second-tier appeal (*see Evitts*, 469 US at 396 n 7; *Wainwright v Torna*, 455 US 586, 587-588 [1982]; *see also Pena v United States*, 534 F3d 92, 95 [2d Cir 2008]).

That well-reasoned federal analysis is pertinent to our interpretation of the corresponding State Due Process Clause in the context of an application to the highest court in the state for leave to grant a second-tier review as "[t]he Supreme Court's analysis . . . [is] consonant with New York State law and interest[ ]" (*People v Alvarez*, 70 NY2d 375, 379 [1987]; *see People v*

> or memoranda of the courts below, along with any other papers to be relied on in furtherance of the application" (22 NYCRR 500.20 [b] [1] [emphasis added]).

With these essential materials providing an ample foundation, the CLA may be but a brief letter summarizing what was already argued in the courts below. The representation by counsel is not a fundamental prerequisite to a fair hearing under these circumstances. Indeed, the pro se CLA is not a rarity in this Court as pro se litigants regularly seek permission to appeal an adverse determination by the intermediate appellate court on motions for writs of error coram nobis pursuant to *Bachert* (*see* 69 NY2d at 599-600; CPL 450.90). Of note, the dissent's reference to statistics is limited to CLAs from direct appeals from conviction (*see* dissenting op at 322).

Kohl, 72 NY2d 191, 197 [1988]; *People v Pitts*, 6 NY2d 288, 291-292 [1959]; *People v Pride*, 3 NY2d 545, 550-551 [1958]). Of course, "this Court has never 'adopt[ed] any rigid method of analysis which would, except in unusual circumstances, require us to interpret provisions of the State Constitution in "[l]ock-step" with the Supreme Court's interpretations of similarly worded provisions of the Federal Constitution' " (*People v Pavone*, 26 NY3d 629, 639 [2015], quoting *People v Scott*, 79 NY2d 474, 490 [1992]). While we have recognized that the State Constitution may provide greater rights than those provided by the Federal Constitution, this is not one of those instances in which, after "analyz[ing] the particular case and the Federal constitutional rule at issue," it can be said that "established New York law and traditions [mandate that] some greater degree of protection must be given" (*Scott*, 79 NY2d at 491; *see People v P.J. Video*, 68 NY2d 296, 302-303 [1986]).

Rather, our jurisprudence has consistently relied on U.S. Supreme Court decisions in the context of due process protections for defendants seeking appellate review and we have paralleled federal precedent in providing similar procedural safeguards for a meaningful appellate process (*compare Griffin*, 351 US at 19, *with Pride*, 3 NY2d at 550-551 [acknowledging *Griffin* as providing a constitutional basis in addition to our public policy grounds for holding a meaningful first-tier appeal requires providing defendant with a trial record]; *compare Anders v California*, 386 US 738, 744 [1967], *with Emmett*, 25 NY2d at 356 [meaningful first-tier appeal requires an opportunity for a defendant to file a brief]).

In New York, a defendant in a non-death penalty criminal case has no constitutional right to an appeal to this Court (NY Const, art VI, § 3). Our jurisdiction in non-capital criminal appeals is expressly limited by our constitution and the legislature's statutory directive to the review of questions of law (*see* NY Const, art VI, § 3 [a], [b]; CPL 470.05). The legislature has only provided for a *statutory* right to seek permission for such an appeal at the second-tier level (*see* CPL 460.10). Indeed, the jurisdiction and purpose of the Court of Appeals mirrors that of the U.S. Supreme Court in this regard:

> "[T]he basic premise underlying our appellate court system is that the intermediate appellate tribunals—particularly the Appellate Divisions—will dispose with finality of the great majority of the ap-

> peals, leaving for further review by the State's tribunal of last resort, the Court of Appeals, only a relatively small number of selected cases worthy of such further review. The primary function of the Court of Appeals, like that of the United States Supreme Court in the Federal sphere, is conceived to be that of declaring and developing an authoritative body of decisional law for the guidance of the lower courts, the bar and the public" (Arthur Karger, Powers of the New York Court of Appeals § 1:1 at 3-4 [3d ed rev 2005]).

While the dissent attempts to differentiate between the structure of appellate review of other states examined in *Evitts* and *Ross* (*see* dissenting op at 325-328), it eschews the defining features of the review process essential to the finding of no constitutional due process entitlement to the discretionary appeal and the representation of counsel thereon: this Court is a second-tier reviewer of questions of law on established factual records of the trial court and does not sit "to correct errors in individual cases, but to decide matters of larger public import" (*Halbert*, 545 US at 618).

As in the federal courts, a criminal defendant's "absolute right" and "basic entitlement" to appellate consideration of a direct first-tier appeal does not translate to a similar constitutional entitlement to a discretionary, second-tier appeal in this state (*see Ross*, 417 US at 610; *People v Ventura*, 17 NY3d 675, 679-682 [2011]). The CLA process is predicated on the presentation of issues argued and briefed in the trial court and the intermediate appellate court; the first-tier appellate record and briefs are readily available to both this Court and a pro se defendant for a CLA. Consequently, representation by counsel in the CLA process is not mandated by due process for a meaningful review of the CLA.

IV.

Against this backdrop, we reject defendant's attempt to abrogate the statutory time limit of CPL 460.30 for second-tier appeals. It is the legislature that sets this Court's jurisdiction, including the time limitations for seeking leave to appeal (*see Matter of Santangello v People*, 38 NY2d 536, 539 [1976] ["any arguments for a change in (appellate) practice, however persuasive, must be addressed to the legislature"] [internal quotation marks and citations omitted]). In this regard, "coram nobis relief is not just another stop on a continuum of opportunities for a defendant to seek appellate relief" (*Rosario*, 26 NY3d at 602-603) and is not a substitute for the legislative remedy provided in CPL 460.30 for an untimely CLA. "We may not resort to interpretative contrivances to broaden the scope and application of unambiguous statutes to create a right to appeal out of thin air in order to fill the . . . void, without trespassing on the Legislature's domain and undermining the structure of article 450 of the CPL" (*Matter of 381 Search Warrants Directed to Facebook, Inc. [New York County Dist. Attorney's Off.]*, 29 NY3d 231, 251-252 [2017] [internal quotation marks and citations omitted]; *see People v Stevens*, 91 NY2d 270, 279 [1998]; *People v Laing*, 79 NY2d 166, 170-172 [1992]). Contrary to defendant's argument, there are no state constitutional grounds to ignore the legislatively imposed time limitation—applicable to all defendants represented or not, rich or poor—to the remedy provided for improper attorney conduct in failing to file a timely CLA. Indeed, defendant is unable to cite any authority for his assertion that the State Constitution requires a right to representation by counsel to file a CLA for permission to take a second-tier appeal.

Defendant invokes the term "due process" while simply ignoring that our precedent hews closely to the path of the Fourteenth Amendment as justification for due process guarantees, as well as equal protection measures, for meaningful appellate review (*see e.g. Syville*, 15 NY3d at 397-398; *Bachert*, 69 NY2d at 596; *Montgomery*, 24 NY2d at 132; *Pride*, 3 NY2d at 550).[6] And his citation to case law involving the ineffective assistance

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6. While we have recognized that the State Constitution may provide greater rights than those provided by the Federal Constitution, that is not always the case (*see e.g. Herring v New York*, 422 US 853 [1975]; *Abrams v McCray*, 478 US 1001 [1986]). Indeed, in analyzing the Fourteenth Amendment's Equal Protection Clause, we have found that the state constitutional provision "is no more broad in coverage than its Federal prototype" (*see Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 530 [1949]; *see also Matter of Esler v Walters*, 56 NY2d 306, 313-314 [1982]). In this regard, the federal constitutional right to counsel for a meaningful review on a first-tier appeal is premised on both the due process and equal protection bases of the Fourteenth Amendment, whereby "[t]he equal protection concern relates to the legitimacy of fencing out would-be appellants based solely on their inability to pay core costs" (*Halbert*, 545 US at 610-611 [internal quotation marks omitted]). Defendant cannot advance an equal protection argument under our State Constitution as our precedent is clear we mirror the federal counterpart. Thus, defendant is left to rely solely on due process grounds, essentially claiming a CLA for a second-tier appeal without representation by an attorney is fundamentally unfair, a theory which we now reject.

of trial counsel—in which there is no dispute that the constitutional right to counsel has attached under article I, § 6 in the trial court; the Sixth Amendment; or both—fails to support his claim (*see People v Baldi*, 54 NY2d 137, 147 [1981]; *People v Caban*, 5 NY3d 143, 156 [2005]).

The dissent, in comparison, mistakenly equates the attachment of our state's constitutional right to counsel—which is unique in that it prohibits the defendant's waiver of counsel in the absence of counsel even before an accusatory instrument is filed (*see People v Settles*, 46 NY2d 154, 162-163 [1978]; *Bing*, 76 NY2d at 339 [the constitutional right to counsel is applicable in "two well-defined situations": (1) "waivers after formal proceedings have commenced" and (2) police may not question uncharged individuals in custody who have retained or requested an attorney in the absence of counsel])—with the entirely separate claim that the right to representation on the first-tier appeal extends to a CLA seeking permission for a second-tier appeal (*see* dissenting op at 330) and is a right presumably constitutional in nature at that juncture. The dissent's hodgepodge references to case law on this state's right to counsel reveals a failure to examine the specific context explaining why and when the constitutional right to counsel attaches during interrogation and upon commencement of the criminal action (*see People v Claudio*, 83 NY2d 76, 80-81 [1993]). We created the "indelible right, a right that defendant could not waive in the absence of counsel, to justify suppression of the voluntary statement" made by a defendant represented on the charge on which he was held in custody; the rule is that defendant could not be interrogated in the absence of counsel on any matter, whether related or unrelated to the subject of the representation (*see Bing*, 76 NY2d at 350). Our case law recognizing the importance of the constitutional right to counsel as a buffer between the defendant and the coercive actions of the State at the pre-conviction stage, particularly as a necessary protection against self-incrimination, is addressed to concerns that are not implicated in a second-tier appeal.

Similarly, our case law interpreting the right to counsel at a postjudgment proceeding depends on whether it is a " 'critical stage' of the prosecution, where counsels' absence might prejudice due process rights"; the determinative factor is whether, in an adversarial fact-finding hearing, the liberty of defendant rested on the arbiter's de novo factual determinations (*Garcia*, 92 NY2d at 730-731, citing *People ex rel. Donohoe v Montanye*, 35 NY2d 221, 226 [1974]; *People ex rel. Menechino v Warden, Green Haven State Prison*, 27 NY2d 376, 381-382 [1971]). In sharp contrast, on a second-tier appeal, the facts for the appeal are confined to the trial court record, the legal issues have been fully briefed, and the appeal is "not an accusatory proceeding affording defendant an opportunity to explain charges against him or requiring the court to make [de novo] factual or legal determinations affecting his liberty" (*Garcia*, 92 NY2d at 731; *People v Colwell*, 65 NY2d 883, 885 [1985] [rejecting the requested extension of the *Rogers* rule (*People v Rogers*, 48 NY2d 167 [1979]) to situations in which "the defendant already stands convicted and is represented only on an appeal from the conviction"]). As in *Andrews* and *Arjune*, neither defendant nor the dissent can "cite any legal support for the imposition" of a state constitutional right to representation on a CLA for a second-tier appellate review (*Arjune*, 30 NY3d at 354; *see Andrews*, 23 NY3d at 616). We note that the lack of citations for support or authority is particularly striking in light of the magnitude of judicially declaring a constitutional right to counsel on every CLA filed or not, whether years ago or years from now.

In order to enhance the appellate review for both the Court and the defendant, this Court may assign counsel once a leave application is granted (*see* 22 NYCRR 500.20 [e]) and the Appellate Division rules require counsel in the first-tier appeal to assist in filing a CLA (*see* 22 NYCRR 606.5 [b] [2] [1st Dept]; 22 NYCRR 671.4 [a] [1] [2d Dept]; 22 NYCRR 821.2 [b] [3d Dept]; 22 NYCRR 1015.7 [4th Dept]). But those court rules do not create a constitutional entitlement to counsel during the CLA process, or a claim of a constitutional deprivation of due process when counsel's performance is deficient at that stage of appellate review (*see Arjune*, 30 NY3d at 355 n 7, citing *Roe*, 528 US at 479). As we have made clear, and as the dissent fails to comprehend (*see* dissenting op at 321-322), rules of professional conduct " 'cannot be applied as if they were controlling statutory [authority] or decisional law' " and not "every violation of an ethical rule will constitute ineffective assistance of counsel" (*People v Berroa*, 99 NY2d 134, 140 [2002], quoting *S & S Hotel Ventures Ltd. Partnership v 777 S. H. Corp.*, 69 NY2d 437, 443 [1987]; *see Claudio*, 83 NY2d at 83 [counsel's deficient performance during interrogation at the preaccusatory stage does not implicate the state's guarantee of effective assistance of counsel to a suspect]).

Needless to say, although one may desire to have an attorney in any particular proceeding on innumerable matters, a desired circumstance alone does not create a constitutional right to the assistance of counsel (*see People v Letterio*, 16 NY2d 307, 312 [1965]). In this case, assuming defendant's counsel's failure to file a CLA violated his ethical obligations under the relevant practice rules of the Appellate Division, that misconduct does not automatically transform the representation in the CLA process into one derived from the constitution and a corresponding ineffective assistance of counsel claim (*see Chalk v Kuhlmann*, 311 F3d 525, 528-529 [2d Cir 2002]). Try as the dissent might, "[c]ases on appeal barriers . . . 'cannot be resolved by resort to easy slogans or pigeonhole analysis' " (*see Halbert*, 545 US at 610, quoting *M.L.B. v S.L.J.*, 519 US 102, 120 [1996]).

We turn now to defendant's concern that his inability to exhaust all available avenues for state appellate review may have negative consequences on his ability to seek federal habeas relief. Federal habeas courts are "guided by rules designed to ensure that state-court judgments are accorded the finality and respect necessary to preserve the integrity of legal proceedings within our system of federalism" (*Martinez v Ryan*, 566 US 1, 9 [2012]). Moreover, a federal court may invoke a miscarriage of justice exception to the general rule of procedural default "to see that federal constitutional errors do not result in the incarceration of innocent persons" (*McQuiggin v Perkins*, 569 US 383, 392 [2013] [quotation marks and citation omitted]). In any event, federal court rules governing whether a petitioner exhausted state remedies or failed to adhere to state procedures are not an invitation for this Court to abandon our own independent state procedural law of reasonable time limitations, which is jurisdictional in nature. Nor is it a reason to artificially manufacture layers of constitutional rights that otherwise have no textual origin.

Given our history paralleling our jurisprudence with that of the federal courts in affording defendants meaningful review on appeals, and without any reason to deviate from that tradition today, we hold that there is no state constitutional right to legal representation on an application for leave to appeal to this Court.

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (dissenting). This case is not about whether criminal defendants should have counsel to seek our review—they do, and Mr. Grimes did. Nor is this case about whether criminal defendants have a right to petition us to grant leave—they do, and Mr. Grimes did. The majority holds that Mr. Grimes, whose lawyer promised and failed to seek this Court's review of his criminal conviction, has no right that his state-provided counsel be effective when seeking leave from our Court, and therefore must lose his right to ask for our review. I believe the majority has veered sharply off course, and therefore dissent.

The sleight of hand appears at the start, where the majority states that in *People v Andrews* (23 NY3d 605 [2014]), we held that counsel's failure to file a criminal leave application (CLA) within the time limits in CPL 460.30 "does not deprive a defendant of a constitutional right to the effective assistance of counsel or due process under the Sixth and Fourteenth Amendments of the United States Constitution," which it then links to what it claims is the question presented here: "whether a more protective rule should be recognized under the New York State Constitution" (majority op at 304). The question to which the majority's opinion is addressed is whether, as a matter of due process, New York has a constitutional obligation to provide counsel to indigent defendants who wish to file CLAs. The question here, though, is not at all that. It is much simpler: when New York has provided counsel to represent a defendant in preparing a CLA, does the defendant have a constitutional right that counsel meet established standards of effectiveness?

We have repeatedly and emphatically stated that the right to counsel provided by the New York Constitution is older, broader and more powerful than that provided by the United States Constitution. "So valued is the right to counsel in this State, it has developed independent of its Federal counterpart. Thus, we have extended the protections afforded by our State Constitution beyond those of the Federal—well before certain Federal rights were recognized" (*People v Settles*, 46 NY2d 154, 161 [1978] [Cooke, J., writing for a unanimous Court] [citations omitted]). The majority's decision disserves the rights of all New Yorkers and diminishes the role of this Court in ensuring justice. The majority's rationale would satisfy neither a constitutional scholar nor—more importantly—the lay citizens to whom the right to counsel belongs. I discuss those in reverse order.

I.

The Appellate Division affirmed Mr. Grimes' conviction. Mr. Grimes' counsel assured him in writing that he would prepare and file a CLA requesting review by our Court. Counsel prepared the CLA. Unbeknownst to Mr. Grimes, his counsel mistakenly never filed it. Mr. Grimes served his sentence and was released the day before Thanksgiving. Shortly after New Year's Day, Mr. Grimes asked his lawyer the status of his application. His lawyer then—one month after the grace period in CPL 460.30 had expired—discovered his error.

People v Syville holds an attorney's failure to timely file an appeal for an intermediate appeal when requested violates the defendant's right to counsel, entitling the defendant to a writ of error coram nobis if the time allotted in CPL 460.30 has already run (15 NY3d 391 [2010]). Our long-standing precedent establishes that the counsel's failure to keep a promise to seek further review, permitted by statute, of a criminal conviction, indisputably constitutes ineffective assistance (*see People v Montgomery*, 24 NY2d 130, 132 [1969]; *People v Callaway*, 24 NY2d 127, 128-129 [1969] ["a defendant is entitled to a *coram nobis* hearing when his petition alleges, in effect, that he was prevented from exercising his right to appeal from the judgment of conviction by an assurance from the lawyer, who had been assigned to represent him upon a trial, that an appeal would be taken on his behalf"]). What is evident from the majority's lengthy discussion of writs of error coram nobis (majority op at 306-309) is that, as we held in cases from *People v Hill* (8 NY2d 935 [1960]) to *People v Montgomery* to *People v Syville*, a writ of error coram nobis is available to vindicate the constitutional rights of a defendant, regardless of any conflicting terms of a statute purporting to govern the jurisdiction of the courts.

As the majority recognizes, Mr. Grimes' counsel was required to file the CLA upon request (majority op at 317). Before the adoption of the uniform rules of the Appellate Divisions, each Division's rules required appellate counsel to discuss CLAs with the defendant and to file one if requested (22 NYCRR 606.5 [b] [1] [1st Dept]; 22 NYCRR 671.4 [a] [1] [2d Dept]; 22 NYCRR 821.2 [b] [3d Dept]; 22 NYCRR 1022.11 [b] [4th Dept] [all hereinafter 22 NYCRR 606.5]). Our own website advises the public: "The Rules of this Court and the Appellate Division require counsel assigned or retained at the intermediate appellate court to file an application for leave to appeal if the defendant requests" (New York Court of Appeals, Frequently

Asked Questions—Applications Seeking Permission to Appeal to the Court of Appeals, https://www.nycourts.gov/ctapps/clafaq.htm [last accessed Sept. 27, 2018], cached at http://www.nycourts.gov/reporter/webdocs/PermissiontoAppeal.pdf).[1]

Thus, Mr. Grimes' attorney at the Appellate Division remained his counsel for filing the CLA; he had an uninterrupted attorney-client relationship, mandated by state law. Indeed, because of 22 NYCRR 606.5, it should surprise no one that virtually all criminal defendants who petition this Court for leave are represented by counsel: for the first six months of 2018, we received 1,106 criminal leave applications on direct appeals. Of those, 1,089 (98.5%) were prepared by counsel.[2] So,

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1. The majority quibbles with my characterization of 22 NYCRR 606.5 as providing a statutory right to counsel, claiming that I have conflated statutory rights with court rules (majority op at 309 n 3). Our rules providing counsel and requiring the preparation of CLAs are promulgated pursuant to Judiciary Law § 35. As with all statutorily authorized regulations and rules, they have the force of law (unless unconstitutional or in excess of the statutory grant of authority—which are inconceivable here) (*Matter of Allstate Ins. Co. v Rivera*, 12 NY3d 602, 608 [2009] ["A duly promulgated regulation that meets these criteria has the force of law"], quoting *Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196, 201 [2007]). The notion that a valid rule or regulation has less legal effect than a statute is a novel proposition that would shatter administrative law. *People v Claudio* (59 NY2d 556 [1983]), which the majority cites, concerns the lack of a right to counsel under the United States Constitution before the initiation of formal proceedings, which is far from the case here. Most curiously, the majority neglects to mention Mr. Claudio's subsequent history. The United States Court of Appeals for the Second Circuit granted his habeas corpus petition on the ground that his lawyer's ineffectiveness in failing to file a leave application to the New York Court of Appeals violated his federal right to counsel. In so holding, the Second Circuit observed: (1) "Claudio's pre-trial appeal to the [New York] Court of Appeals was unquestionably a critical stage"; (2) "The New York Court of Appeals has consistently interpreted the right to counsel under the New York Constitution more broadly than the Supreme Court has interpreted the federal right to counsel"; "Thus, we find that there was a reasonable probability that an Article 1, § 6 claim would have succeeded before the Court of Appeals"; and (3) "[Claudio's New York appellate counsel's] failure to raise the state constitutional claim fell 'outside the wide range of professionally competent assistance.' *Strickland*, 466 U.S. at 690, 104 S.Ct. at 2066. No reasonably competent attorney should have missed the Article 1, § 6 claim, even though the Appellate Division ultimately rejected it." (*Claudio v Scully*, 982 F2d 798, 802-803, 805 [2d Cir 1992]).

2. I am not sure what to make of the majority's assertion that "the pro se CLA is not a rarity in this Court" (majority op at 313 n 5); the data I report above is from the Office of Court Administration via our Clerk's Office, so I can only assume that the majority means that 17 of 1,106 is "not a rarity." It is true that those statistics are "limited to CLAs from direct appeals from conviction" (*id.*), which is precisely the correct yardstick. The State has

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this case is not about whether New York should provide counsel to indigent defendants wishing to petition the Court of Appeals for review; we always do. Instead, this case is about whether, having chosen to do so, the State Constitution requires counsel to meet minimal standards of effectiveness. The majority's answer is unfathomable to the average citizen: *In the trial courts and first-line appeal courts, you have the constitutional right to effective counsel. The State requires your appellate counsel to continue to represent you when you petition the Court of Appeals. But when your lawyer is petitioning the State's highest court, ineffective assistance of counsel is just fine.*

Whatever might be said about whether New York has a constitutional obligation to provide counsel for those who wish to seek our review, New York has provided it—which is wholly laudable, not just as to criminal defendants, but as to the State's efforts to provide legal representation to indigent persons in civil cases broadly (22 NYCRR 51.1 [creating the Permanent Commission on Access to Justice]); Family Court (Family Ct Act § 262); and Housing Court (NY City Civ Ct Act § 110 [o]). As the majority notes, states have no constitutional obligation to provide any appellate review of criminal convictions, but once they do so by statute, the Due Process Clauses of both the New York and United States Constitutions require the provision of counsel (*see* majority op at 310, 311 citing *Douglas v California*, 372 US 353, 356-357 [1963], *Griffin v Illinois*, 351 US 12, 18 [1956], *People v Montgomery*, 24 NY2d 130, 132-133 [1969] and *Hamilton v Alabama*, 368 US 52 [1961]). The majority agrees that CPL 460.30 does not bar coram nobis relief to vindicate that right. Likewise, New York did not have to permit defendants to petition the Court of Appeals for review,[3] but having provided that statutory right and the statutory right to counsel to effectuate it, the constitution requires counsel to be effective. Additionally, we have held that, as a matter of state constitutional law, appellate counsel

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charged appellate counsel with a duty to prepare CLAs; the question here is whether counsel must be effective for that purpose. Whether many or few inmates prepare pro se habeas petitions has no bearing on the question here.

3. For example, Appellate Division Justices regularly grant leave to this Court. Were that not enough to allow us to reach a sufficient number of leaveworthy issues, the legislature could have given the Court of Appeals authority to scour the Appellate Division decisions and pick those it deemed leaveworthy, but instead has granted criminal defendants the right to petition us.

must be held to the same standard of effectiveness as trial counsel (*People v Stultz*, 2 NY3d 277, 279 [2004]).

The majority's analysis, therefore, cannot logically turn on the fact that review is discretionary, because this case does not concern the right to counsel once review is granted, but the *right* to file a CLA, which is no less established than the right to obtain review by the Appellate Division. Daunting is the prospect of explaining to the citizens of New York why the only time we tolerate ineffective lawyers is when they are petitioning the highest court to hear issues of "significant public interest" or to decide "legal principles of major significance" (majority op at 313). The answer the majority would have us give to the public appears to be that we do not need the parties' lawyers to assist us in determining when to grant leave. I, for one, do. I suspect the same is true for others. Many of us have a practice of holding a conference with counsel before deciding a CLA that may have merit, which I understand to be a longstanding practice of the Court. I also believe that, as a general matter, we do not hold such conferences when the litigant is pro se. Additionally, the fact that we require lawyers to prepare CLAs when requested suggests an institutional determination that lawyers add value to the CLA process.

II.

I doubt a constitutional scholar would find today's decision satisfying, either. For starters, the majority has boarded the wrong boat. The question of whether due process requires the provision of counsel to represent defendants filing CLAs is not raised here. That right is guaranteed by 22 NYCRR 606.5, rendering the question of any constitutional entitlement not before us. The question before us is whether, having granted a statutory right to file a CLA and a statutory right to counsel for that specific purpose, that counsel should be held to our governing state constitutional standard for effectiveness. Whatever the Federal Constitution might say about whether states are compelled to provide counsel for applications for discretionary appeals within their own court system or on certiorari petitions to the United States Supreme Court, nothing in federal law suggests that the effectiveness of counsel should be judged differently when counsel's representation concerns a right to petition for review rather than a nondiscretionary right to appeal. Although the majority complains that Mr. Grimes has cited no law for the proposition that New York's Constitution "requires a right to representation by counsel to file a CLA for permission to take a second-tier appeal" (majority op at 316), that is not relevant. New York could choose not to provide counsel for CLA applications, could choose not to provide for CLA applications at all, or could choose not to provide for appeals at all—the New York Constitution requires none of those. The proposition for which there is no legal support is the majority's conception that appellate counsel, once engaged, may be ineffective. To the contrary, we have clearly established that appellate counsel is held to the same constitutional standard of effectiveness as trial counsel (*Stultz*, 2 NY3d 277, 279).

The analysis coursing throughout the majority's opinion does not concern the constitutional right to counsel. Instead, it promotes the proposition that because the Federal Constitution's Due Process Clause would not entitle someone in Mr. Grimes' position to the appointment of counsel, and because New York often follows the federal courts' interpretation of that clause when interpreting the State's due process protections, Mr. Grimes' due process claim fails (*see* majority op at 305 ["Due Process Clause of the United States Constitution"], 309 ["no federal constitutional right to counsel under the Due Process Clause"], 310 ["elementary due process"], 312 ["a violation of the Fourteenth Amendment"], 314 ["our jurisprudence has consistently relied on U.S. Supreme Court decisions in the context of due process protections"], 315 ["no constitutional due process entitlement"], 316 ["our precedent hews closely to the path of the Fourteenth Amendment"]). This leads the majority to recoil in horror at "the magnitude of judicially declaring a constitutional right to counsel on every CLA filed or not, whether years ago or years from now" (majority op at 318). This case is not about whether the due process clause of any constitution requires New York to appoint counsel to defendants wishing to pursue CLAs. It is solely about whether, when we have already appointed counsel "on every CLA filed or not," the State Constitution requires that counsel to be effective. Why is that scary, or even big? Is not the majority's fear ironic, in view of the current efforts to provide counsel to civil litigants, litigants in Family Court, Housing Court and elsewhere?

A.

The federal law referenced by the majority is off point and does not advance its position. The majority relies on *Ross v Moffitt* (417 US 600 [1974]) and *Evitts v Lucey* (469 US 387

[1985]), but neither bears on the question raised here. In *Ross*, the United States Supreme Court held that the United States Constitution did not compel North Carolina to provide counsel to indigent defendants for discretionary appeals to either the North Carolina Supreme Court or when petitioning the United States Supreme Court for a writ of certiorari. For several reasons, *Ross* does not support the majority's position.

First, North Carolina lacks New York's broad interpretation of the right to counsel under its State Constitution. Second, also unlike New York, North Carolina did not statutorily provide counsel to indigent defendants seeking to petition its Supreme Court for review; that is, whereas Mr. Grimes was represented by counsel who was required to file a CLA on his behalf, Mr. Moffitt had no attorney, and was not statutorily entitled to one. *Ross*, therefore, says nothing about whether a defendant represented by counsel (here, counsel provided by the State) for the purpose of filing a petition for review by a state's highest court has a right that such counsel perform in a manner consistent with settled law as to effectiveness. Third, unlike the New York Court of Appeals, the Supreme Court of North Carolina is able to review lower court decisions sua sponte (NC Const, art IV, § 12; NC Gen Stat Ann § 7A-31; *see Ross* at 613). Thus, the right to petition for review in North Carolina is less integral to the North Carolina judicial system than it is in New York—the more integral a procedure is to the system, the more likely federal law would apply the Due Process Clause to incorporate the right to counsel (*Griffin v Illinois*, 351 US 12, 18 [1956]; *see* majority op at 311). Fourth, the Supreme Court was careful to state that it was not "in any way discourag[ing] those States which have, as a matter of legislative choice, made counsel available to convicted defendants at all stages of judicial review," which is exactly what New York has done (*Ross* at 618).

Nothing in *Ross* suggests that when a state makes the legislative choice to provide counsel, that counsel is not held to constitutional standards of effectiveness. Thus, *Ross* bears on whether the Federal Constitution compels states to provide counsel, not on whether a state constitution should be interpreted to require that counsel perform competently when a state has chosen to provide a statutory right to counsel for a statutory right to petition for review. Finally, *Ross*'s discussion of the right to counsel when petitioning the United States Supreme Court for certiorari is irrelevant here. As the Supreme

Court noted, the "right to seek certiorari in this Court is not granted by any State, and exists by virtue of federal statute with or without the consent of the State whose judgment is sought to be reviewed" (*Ross* at 617). Therefore, "[t]he suggestion that a State is responsible for providing counsel to one petitioning this Court simply because it initiated the prosecution which led to the judgment sought to be reviewed is unsupported by either reason or authority" (*Ross* at 617). Just as North Carolina chose not to provide counsel to defendants wishing to petition its Supreme Court, Congress has not chosen to provide counsel to defendants wishing to seek a writ of certiorari. New York has made a different choice. However much our "jurisdiction and purpose . . . mirrors that of the U.S. Supreme Court" (majority op at 314), we starkly differ in the only way pertinent to this case.

The majority also misreads *Evitts*. The question before the Supreme Court was, where a criminal defendant has a right to counsel, "whether the Due Process Clause of the Fourteenth Amendment guarantees the criminal defendant the effective assistance of counsel on such an appeal" (*Evitts v Lucey*, 469 US 387, 389 [1985]). *Evitts*' holding supports the conclusion that counsel must be held to a constitutional standard of effectiveness: "nominal representation on an appeal as of right—like nominal representation at trial—does not suffice to render the proceedings constitutionally adequate; a party whose counsel is unable to provide effective representation is in no better position than one who has no counsel at all" (469 US 387, 396). *Evitts* does not support the majority's assertion that "a second-tier appeal . . . does not require, as a matter of constitutional law, the assignment of counsel for a meaningful appeal" (majority op at 312). The portion of *Evitts* cited for that proposition says, instead, that Kentucky's argument that its first-tier appeal is discretionary is incorrect. Nowhere does *Evitts* say that if an appeal is discretionary, the Federal Constitution does not require the appointment of counsel to those seeking leave. Instead, it strongly suggests that when a state has chosen to provide counsel to those seeking leave, the Constitution requires counsel to be competent.

Likewise, the majority's further quotations from *Evitts* (majority op at 311-312) emphasize the importance of effective assistance of appellate counsel, without making any distinction between an appeal as of right and a petition for review by a state's highest court (which issue was not remotely present in

Evitts). Indeed, *Evitts* supports Mr. Grimes' argument that New York's decision to provide him counsel to prepare and file his CLA means that such counsel must act in a professionally reasonable manner. *Evitts* pointedly relied on *Goldberg v Kelly* (397 US 254, 262 [1970]) for the proposition that once the government chooses to provide a benefit, due process attaches to the provision of those benefits (*Evitts*, 469 US 387, 410). We have said the same (*see People ex rel. Menechino v Warden, Green Haven State Prison*, 27 NY2d 376, 384 [1971] [" 'when a state undertakes to institute proceedings for the disposition of those accused of crime it must do so consistently with constitutional privileges, even though the actual institution of the procedure was not constitutionally required' "], quoting *Hewett v State of North Carolina*, 415 F2d 1316, 1323 [4th Cir 1969], and citing *Goldberg v Kelly*, 397 US 254, 262-263 [1970]).

B.

The majority's conclusion that "this is not one of those instances in which . . . it can be said that 'established New York law and traditions [mandate that] some greater degree of protection must be given' " (majority op at 314) is addressed to the question of whether New York's Constitution requires the provision of counsel to prepare CLAs. Again, that is not the question here. New York has provided counsel for that purpose. No New York authority suggests that appellate counsel may be ineffective, nor does any federal authority suggest so.

The most mystifying feature of the majority's analysis is that, in attempting to draw in irrelevant federal due process jurisprudence, it omits any discussion of the interpretive standards by which we determine whether to extend a constitutional right (here, the right that counsel be effective) more broadly than the federal courts have interpreted it, though it cites some of those cases incorrectly and for a completely different purpose.

Examine the following passage from the majority:

> "That well-reasoned federal analysis is pertinent to our interpretation of the corresponding State Due Process Clause in the context of an application to the highest court in the state for leave to grant a second-tier review as '[t]he Supreme Court's analysis . . . [is] consonant with New York State law and interest[ ]' (*People v Alvarez*, 70 NY2d 375, 379

> [1987]; *see People v Kohl*, 72 NY2d 191, 197 [1988]; *People v Pitts*, 6 NY2d 288, 291-292 [1959]; *People v Pride*, 3 NY2d 545, 550-551 [1958])" (majority op at 313-314).

Alvarez has nothing to do with the right to counsel; it is a case in which we decided to follow the federal constitutional rule that the failure of police to take a breath sample from a drunk driver did not violate the driver's due process rights under the New York Constitution. We did not reach that conclusion by blindly following the federal rule; we expressly relied on an analysis that compels rejection of the majority's position here:

> "We recognize that regardless of whether there exists a Federal constitutional provision parallel to a State provision, we must undertake a 'noninterpretive' analysis, proceeding from 'a judicial perception of sound policy, justice and fundamental fairness' (*id.*, at 303). Under this analysis relevant considerations include whether the right at issue has historically been afforded greater protection in New York than is presently required under the Federal Constitution, whether the right is 'of peculiar State or local concern,' or whether the State citizenry has 'distinctive attitudes' toward the right" (*Alvarez* at 378-379).

The other cases in the majority's string cite have nothing to do with the right to counsel, and some of them repeat the proposition that we diverge from the federal courts' interpretations, even when textual language is identical, if the right in question has historically been offered greater protection in New York or is of peculiar local concern, which is more true of the right to counsel than any other (*see People v Kohl*, 72 NY2d 191, 197 [1988] ["we look further to see whether there are fundamental justice and fairness concerns of this State which are left unaddressed under prevailing Federal law and which are therefore warranted under the independent broader State protection"]; *People v Pride*, 3 NY2d 545, 549-550 [1958] ["Our State has always regarded the right to appellate review in criminal matters an integral part of our judicial system and treated it as such. Since long before the Supreme Court's pronouncement (*Griffin v. Illinois*, 351 U. S. 12), it has been the consistent policy of our courts to preserve and promote that right as an effective, if imperfect, safeguard against impropriety or error in the trial of causes"]).

There is no need to determine whether we should extend the constitutional right that counsel be effective any more broadly than the equivalent federal right, because there is no suggestion that the federal courts countenance ineffective assistance of counsel. Putting that aside, we have repeatedly stated, over many years and in many contexts, that

> "[t]he safeguards guaranteed by this State's Right to Counsel Clause are unique. By constitutional and statutory interpretation, we have established a protective body of law in this area resting on concerns of due process, self-incrimination and the right to counsel provisions of the State Constitution which is substantially greater than that recognized by other State jurisdictions and 'far more expansive than the Federal counterpart' " (*People v Harris*, 77 NY2d 434, 439 [1991] [citation omitted]; *see also People v Baldi*, 54 NY2d 137, 147 [1981]; *People v Caban*, 5 NY3d 143, 155 [2005]).

How, in the face of our long-standing and unyielding commitment to protection of the constitutional right to counsel, do we conclude that a defendant should suffer from counsel's malpractice—which would constitute constitutional ineffective assistance of counsel in any lower court—simply because the malpractice affected a defendant's right in this Court instead?

C.

I come, then, to the linchpins of the majority's analysis: the New York Constitution tolerates deficient counsel for CLA applications because: (1) " 'a correct adjudication of guilt' in every individual case" is not a "critical issue" for the Court of Appeals (majority op at 313); (2) indigent defendants do not need effective counsel for CLAs because they have "the benefit . . . of a prepared or original record of the trial court proceedings, briefs by both counsel on the merits of the errors that allegedly occurred at trial, and the written opinion of the intermediate appellate court determining the validity of the conviction" (majority op at 312); and (3) unlike the lower courts, the Court of Appeals is concerned with matters of "significant public interest . . . legal principles of major significance to the jurisprudence of the State . . . [or] probable conflict with a decision of the Supreme Court" (majority op at 313). Those arguments are not even compatible with each other, and provide no basis to conclude that New York's Constitution should excuse malpractice in CLAs.

To begin, even if the Court of Appeals does not think that correct adjudication (i.e., justice for the defendant or fairness to the People) is important in deciding whether to grant review, the pertinent question is not whether the Court of Appeals has a right to counsel to aid it in selecting cases, but whether the defendant, when petitioning the Court through counsel, has a right that counsel meet our well-established standards for minimal effectiveness. The right to petition for review rests on the most fundamental assumption of the adversary system: that litigants vigorously pursuing their own, adverse interests will best illuminate the correct decision in a case and the development of the rule of law with it (*Strickland v Washington*, 466 US 668, 685 [1984] ["The right to counsel plays a crucial role in the adversarial system embodied in the Sixth Amendment, since access to counsel's skill and knowledge is necessary to accord defendants the ample opportunity to meet the case of the prosecution to which they are entitled"] [citations and internal quotation marks omitted]; *Sanchez-Llamas v Oregon*, 548 US 331, 357 [2006] ["In an inquisitorial system, the failure to raise a legal error can in part be attributed to the magistrate, and thus to the state itself. In our system, however, the responsibility for failing to raise an issue generally rests with the parties themselves"]).

Next, if we thought the briefs in the intermediate court were sufficient to determine when we should grant review, why would we bother entertaining petitions from litigants? If, as the majority implies, a lay defendant without even a high school education can convert intermediate appellate briefs into a cogent CLA, we can readily determine leaveworthiness from those same Appellate Division briefs. To the contrary, the petitions substantially assist us in determining whether to grant leave; to conclude otherwise is to render our certiorari factors an invitation for busywork: "[E]xperience has demonstrated that there are just not enough hours in the day to permit judges of busy appellate courts, no matter how conscientious and willing, to examine and read the records before them as carefully or as critically as single-minded counsel for the appellant" (*People v Breslin*, 4 NY2d 73, 81-82 [1958]).

The majority is correct that our determination to grant leave involves factors that differ from those with which the Appellate Division is concerned (majority op at 313). The majority is also correct that we require CLAs to include the parties' briefs, the order below, and relevant opinions or memoranda of the courts below, and other record items to be relied upon (majority op at 312-313 n 5, citing 22 NYCRR 500.20 [b] [1]), and that "assessment of the leaveworthiness of a CLA depends" on those items. From that, the majority concludes that counsel is unimportant to our determinations of CLAs. That our review of CLAs "depends" on such basic materials hardly means that other information is unimportant.[4] To the contrary, our practice guide advises litigants and counsel that the following factors are important in our decision to grant leave in a criminal case:

> "(1) Whether the law is well settled
>
> "(a) Discuss whether this is a case of first impression; and
>
> "(b) Mention whether there is a split in the Appellate Division Departments.
>
> "(2) Significance and novelty of issue
>
> "(a) Note whether the case involves a recent United States Supreme Court decision and, if so, how it should be interpreted in New York. Also, mention whether the case involves the construction of new state statutory provisions.
>
> "(b) Explain why this case may otherwise present an issue of statewide importance.
>
> "(3) Case specific factors
>
> "The Court will consider how well the case is presented by the attorneys, both in terms of quality of arguments and focus on key issues" (New York State Court of Appeals Criminal Leave Application Practice Outline at 11, https://www.nycourts.gov/ctapps/forms/claoutline.pdf [last accessed on Sept. 27, 2018], cached at http://www.nycourts.gov/reporter/webdocs/CrimLvPracticeOutline.pdf).

The majority acknowledges that these factors animate our decisions on CLAs.

For good reason, briefs in the lower courts typically do not address most of these factors: they are irrelevant to those courts. Although counsel might incidentally address some of

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4. When one enters a restaurant with a "No Shirt, No Shoes, No Service" policy, one needs to do more than walk in wearing a shirt and shoes to dine. More is required, such as placing an order and paying your bill (and pants are probably a good idea, too).

these in the lower courts, counsel would have no reason to discuss a split among the Appellate Divisions if there was controlling law from the relevant Appellate Division; would have no reason to emphasize the significance or novelty of the issue(s); and would have no reason to claim that the issue was of statewide importance. Indeed, because counsel's objective is to obtain a favorable judgment for the client, minimizing the importance or novelty of the issue may be in the client's best interest in the lower courts.

Moreover, there are cases in which the error first presents itself in the intermediate appellate court's decision, so that the briefs in that court do not address the error at all (*see e.g. People v Bleakley*, 69 NY2d 490 [1987]). In short, what the majority terms the "markedly different" role of our Court when compared to that of the lower courts is precisely why the arguments made by counsel in the lower courts are not sufficiently informative for defendants to rely on as a substitute for effective counsel when preparing a CLA. The majority's belief that the trial and intermediate courts are "governed by intricate rules that to a layperson would be hopelessly forbidding" (majority op at 311-312) is equally true for us. Ask a lower court judge, or try Karger for bedtime reading.

D.

I do agree wholeheartedly with the sentiment that "[c]ases on appeal barriers . . . 'cannot be resolved by resort to easy slogans or pigeonhole analysis' " (majority op at 319, quoting *Halbert v Michigan*, 545 US at 610). That is why, in *Halbert*, the Supreme Court rejected Michigan's argument that, for defendants who pleaded guilty or nolo contendere, appeals to its intermediate court were only by permission, so no right to counsel attached—refusing to accept the pigeonhole of "discretionary" to strip away the right to counsel. That is why, here, when New York has chosen to provide counsel for the express purpose of filing CLAs; when we have held that appellate counsel's failure to file a document necessary to effectuate a client's wish to seek further review is a per se violation of the right to effective counsel; and when we have no defensible basis to conclude that a defendant may lose the right to petition us no matter the egregiousness of his counsel's conduct, no resort to slogans or pigeonhole analysis is necessary.

The balance of the majority's observations is just that—observations, not arguments. Yes, the Constitution requires indigent criminal defendants to have a copy of the trial record and the chance to submit a brief, but the existence of those constitutional rights does not limit any other constitutional rights, nor does it negate the fact that Mr. Grimes had counsel. Yes, we have said that exceptions to section 460.30 are "rare," but, as we observed, they are rare because attorneys usually comply with their obligations to timely file papers (*see Syville*, 15 NY3d at 400 n 2). Yes, plenty of violations of the ethical rules for lawyers do not implicate a constitutional right of a client (e.g., lawyers should not commingle client funds, lawyers should treat each other with dignity and respect, lawyers advocating legislative change should state the capacity in which they are appearing). Yes, we accept only a small fraction of cases for review, but slim odds are not a reason to deny an indigent defendant the right to effective counsel once the State has required appellate counsel to prepare a CLA. But no, none of these observations explains why the Constitution permits ineffective assistance of counsel when petitioning our Court.

Finally, the majority erects two bogeymen to ward away Mr. Grimes' claim that he should not be penalized for his counsel's failure to file the promised CLA. One warns us that such a rule will expand to every form of post-conviction relief, swamping the system. But no state statute or rule requires attorneys to represent defendants in post-conviction matters, and, in contrast to CLAs, a substantial fraction of the post-conviction motions we receive are pro se applications. The line can easily be drawn at direct appeals, and it would be impossible to believe that requiring the existing CLA attorneys to meet constitutional effectiveness standards will swamp anything.

Bogeyman two cries out, "[i]t is the legislature that sets this Court's jurisdiction, including the time limitations for seeking leave to appeal" (majority op at 315). Were that always so, *Syville* could not have been decided as it was. In *Syville* we expressly "recognize[d] the need for a second exception" to CPL 460.30:

> "Where an attorney has failed to comply with a timely request for the filing of a notice of appeal and the defendant alleges that the omission could not reasonably have been discovered within the one-year time period, the time limit imposed in CPL 460.30 should not categorically bar an appellate court from considering that defendant's application

> to pursue an untimely appeal. Turning to the procedure to be used in invoking the exception, we conclude that the common-law writ of error cram nobis affords the appropriate avenue for relief. Since the adoption of the CPL, we have acknowledged that the writ continues to be available to alleviate a constitutional wrong when a defendant has no other procedural recourse" (15 NY3d at 399-400).

Here, as in *Syville*, the attorney failed to comply with the client's timely request; in *Syville* we set aside CPL 460.30's one-year time limit to protect the defendant's constitutional right to effective assistance of counsel.

As a practical matter, our application of the exception we created in *Syville* demonstrates both that the exception will not swallow the statute, and that Mr. Grimes' situation is quite different from the circumstances in which defendants have been denied use of the exception. In *People v Perez* (23 NY3d 89, 101 [2014]), we denied coram nobis relief to all three defendants based on "[t]wo compelling facts [that] stand out in all three cases: the delays were extremely long, and the defendants did not have a good excuse for them." Two defendants did not complain about counsel's failure to file an appeal until after they had served their sentences, were tried for new crimes, and were sentenced as predicate offenders many years later. As to the third, Mr. Perez, we wrote that his claim "is more colorable than [the others'] because Perez had a lawyer—one who was undoubtedly ineffective in failing to perfect the appeal that he was hired to pursue. We have held that a client who was victimized by his appellate lawyer's procedural errors has been deprived of his constitutional right to the effective assistance of counsel" (*id.* at 100). We have thus made a quite sensible distinction, as to the strength of a claim of exemption from CPL 460.30's time limits, between someone who does not have a lawyer at all (weaker case) and someone who has a lawyer who, as here, was ineffective (stronger case). We denied Mr. Perez coram nobis relief because the "long delay in Perez's appeal—from the notice of appeal in 1996 to the motion for an extension of time in 2012—cannot be attributed solely to [counsel's] ineffectiveness" (*id.*). Here, the delay was not 16 years, as in *Perez*; it was not even 16 months.

In *People v Andrews* (23 NY3d 605, 615 [2014]), we held that Mr. Patel, who had unsuccessfully attempted the CPL 460.30

procedure, did not get a second bite at the apple through coram nobis; and Mr. Andrews, who "demonstrated a desire not to seek appellate review" and whose lawyer confirmed that, was not entitled to coram nobis relief. In *People v Rosario* (26 NY3d 597, 603-604 [2015]), we denied coram nobis relief to both defendants because "[s]ignificantly, neither defendant claims that he requested that his attorney file a notice of appeal and that his attorney failed to comply with that request . . . [and] years passed before they sought coram nobis relief." It would be impossible to conclude that the *Syville* exception has invalidated CPL 460.30; we know how to be chary with exceptions.

III.

Stripped bare, the majority opinion says that because the United States Supreme Court decided in *Evitts* that the Fourteenth Amendment did not require North Carolina to appoint counsel for appeals to its Supreme Court or when seeking certiorari from the United States Supreme Court, New York counsel representing defendants seeking our review need not comply with the modest, established constitutional standards for effectiveness. That is anathema to our precedents concerning the effectiveness of counsel, our centuries-old conviction that the right to counsel matters more in New York than elsewhere, and to common sense. Even if our Court is concerned more with "matters of larger public import" than "errors in individual cases" (majority op at 315), "the assistance of counsel is essential not only to insure the rights of the individual defendant but for the protection and well-being of society as well" (*People v Settles*, 46 NY2d at 161). It is also just plain weird to say that we require appointed counsel to prepare CLA applications but refuse to hold counsel to minimal standards of professional conduct, leaving defendants (and this Court) to suffer the consequences.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion, in which Judge RIVERA concurs.

Order affirmed.

[115 NE3d 614, 91 NYS3d 342]

CHARMAINE CLEMENT, Appellant, v THOMAS DURBAN et al., Respondents.

Argued October 11, 2018; decided November 14, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 21, 2016. The Appellate Division affirmed an order of the Supreme Court, Kings County (Carl J. Landicino, J.), which had granted defendants' motion pursuant to CPLR 8501 (a) and 8503 to direct plaintiff to post security for costs in the amount of $500. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated December 21, 2016, properly made?"

Clement v Durban, 147 AD3d 39, affirmed.

HEADNOTES

Constitutional Law — Privileges and Immunities Clause — Challenge to Statute Providing for Disparate Treatment Based on Residency — Burden of Proof

1. If a court deciding a challenge to a statute providing for disparate treatment on the basis of residency as violative of the Privileges and Immunities Clause of the United States Constitution (US Const, art IV, § 2) has determined that the provision does not inhibit reasonable and adequate access to the courts, the provision does not unduly impinge on a fundamental right implicated by the Privileges and Immunities Clause, which obviates the need for a tailoring inquiry with regard to whether the state could otherwise justify a restriction imposing disparate treatment by residency. To the extent the Appellate Division's statement in *Clement v Durban* (147 AD3d 39, 46 [2d Dept 2016]) that "when the privilege at issue is the right to access the courts, the U.S. Supreme Court has not required a state to [demonstrate that the restriction is closely related to the advancement of a substantial state interest]" implies that the Supreme Court has imposed a lower standard where the privilege is access to the courts, that statement is not precisely correct.

Constitutional Law — Privileges and Immunities Clause — Challenge to Statute Providing for Disparate Treatment Based on Residency — Burden of Proof

2. In challenging a statute providing for disparate treatment on the basis of residency as violative of the Privileges and Immunities Clause of the United States Constitution (US Const, art IV, § 2), the mere identification of a facially discriminatory restriction relating to a protectable fundamental right is insufficient to satisfy the burden of showing that the challenged statute burdened one of those privileges and immunities protected by the Privi-

leges and Immunities Clause. The constitutional requirement set forth in the Privileges and Immunities Clause is satisfied if nonresidents are given reasonable and adequate access to the courts of the state, even if the access is not technically and precisely the same in extent as that accorded to resident citizens. To that end, disparate terms of access to the courts for nonresident plaintiffs may comply with the Privileges and Immunities Clause even though they may not be technically and precisely the same in extent as those accorded to resident citizens.

Constitutional Law — Privileges and Immunities Clause — Access to New York State Courts — Requiring Nonresident Plaintiffs to Post Security for Costs

3. CPLR 8501 (a) and 8503, which mandate that nonresident plaintiffs post security for anticipated costs for which they may be responsible if they lose their cases, do not violate the Privileges and Immunities Clause of the United States Constitution (US Const, art IV, § 2) because nonresidents are provided reasonable and adequate access to the New York courts. Sections 8501 (a) and 8503 do not unduly burden nonresidents' fundamental right to access the courts because they impose marginal, recoverable security for costs on only those nonresident plaintiffs who do not qualify for poor persons' status pursuant to CPLR 1101, or fit any other statutory exemption. Where those nonresident plaintiffs do not prevail in their litigation, they must pay the same costs required of non-prevailing residents, but are simply required to post the security applied to those costs at an earlier date. Conversely, should nonresident plaintiffs prevail, their security is refunded, with any accrued interest. Even if this provided resident litigants with some detectable litigation advantage, imposing a relatively minor hardship on a limited class of nonresident plaintiffs is not enough to constitute an impermissible burden, such that nonresident plaintiffs do not have reasonable and adequate access to the courts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Constitutional Law §§ 154, 796, 802, 805, 811; Am Jur 2d Costs §§ 77–78.

Carmody-Wait 2d Costs and Sanctions § 148:23.

McKinney's, CPLR 1101; 8501 (a); 8503.

NY Jur 2d Constitutional Law §§ 353–354, 358, 362; NY Jur 2d Costs in Civil Actions §§ 96–97, 100.

Siegel, NY Prac § 414.

US Const, art IV, § 2.

ANNOTATION REFERENCE

Statute regarding security for costs as mandatory or permitting exercise of discretion. 84 ALR 252.

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Query: privileges & nonresiden! & access /p court!

POINTS OF COUNSEL

The Berkman Law Office, LLC, Brooklyn (*Meir Katz*, of the Maryland bar, admitted pro hac vice, and *Robert J. Tolchin* of counsel), for appellant. I. CPLR article 85 violates US Constitution article IV's Privileges and Immunities Clause by improperly limiting nonresidents' access to the courts. (*McKnett v St. Louis & San Francisco R. Co.*, 292 US 230; *Supreme Court of N. H. v Piper*, 470 US 274; *Lunding v New York Tax Appeals Trib.*, 522 US 287; *Supreme Court of Va. v Friedman*, 487 US 59; *Milavetz, Gallop & Milavetz, P.A. v United States*, 559 US 229; *McBurney v Young*, 569 US 221; *Tolchin v Supreme Ct. of the State of N.J.*, 111 F3d 1099; *City of New York v State of New York*, 94 NY2d 577; *Underwriters Nat. Assurance Co. v North Carolina Life & Accident & Health Ins. Guaranty Assn.*, 455 US 691; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520.) II. CPLR article 85 violates the Fourteenth Amendment's Privileges and Immunities Clause by improperly limiting nonresidents' access to the courts. (*Slaughter-House Cases*, 16 Wall [83 US] 36; *Ward v Maryland*, 79 US 418.) III. CPLR article 85 violates both Privileges and Immunities Clauses by improperly limiting the right to interstate travel. (*Saenz v Roe*, 526 US 489.)

Zachary W. Carter, Corporation Counsel, New York City (*MacKenzie Fillow, Richard Dearing* and *Devin Slack* of counsel), for respondents. States may constitutionally require out of state plaintiffs to give security for costs. (*Supreme Court of Va. v Friedman*, 487 US 59; *McBurney v Young*, 569 US 221; *Paul v Virginia*, 75 US 168; *Baldwin v Fish & Game Commn. of Mont.*, 436 US 371; *Toomer v Witsell*, 334 US 385; *United Building & Constr. Trades Council of Camden Cty. v Mayor & Council of Camden*, 465 US 208; *Mohassel v Fenwick*, 5 NY3d 44; *In re Merrill Lynch Relocation Mgt., Inc.*, 812 F2d 1116; *Hawes v Club Ecuestre el Comandante*, 535 F2d 140; *Canadian Northern R. Co. v Eggen*, 252 US 553.)

OPINION OF THE COURT

FEINMAN, J.

New York's long-standing security for costs provisions treat resident and nonresident litigants differently. This appeal calls for us to decide whether, as a result of this different treatment, CPLR 8501 (a) and 8503 violate the Privileges and Immunities Clause set forth in article IV, § 2 of the United States Constitution. We conclude that they do not.

I.

When plaintiff commenced this personal injury action, she was a New York resident. Plaintiff then relocated to Georgia, prompting defendants to move, pursuant to CPLR 8501 (a) and 8503, for an order compelling plaintiff—a nonresident at the time the motion was made—to post a minimum of $500 security for costs in the event she lost the case (*see* CPLR 8101). Defendants also requested a stay of the proceedings pursuant to CPLR 8502 until plaintiff complied with the order. In opposition, plaintiff argued that CPLR 8501 (a) and 8503 were unconstitutional because they violate the Privileges and Immunities Clause of the Federal Constitution[1] by impairing nonresident plaintiffs' fundamental right of access to the courts.[2]

Supreme Court granted defendants' motion, opining that although access to the courts is a fundamental right protectable under the Privileges and Immunities Clause, CPLR 8501 (a) and 8503 do not bar access to the courts (2013 WL 12182302, *2 [Sup Ct, Kings County, Sept. 9, 2013, index No. 8029/2011 (trial order)]). Supreme Court further stated that security for costs provisions are common nationwide (*id.*).

The Appellate Division unanimously affirmed. The Court held that CPLR article 85 satisfied the standard set forth by the United States Supreme Court in *Canadian Northern R. Co. v Eggen* (252 US 553 [1920]), and reaffirmed in *McBurney v Young* (569 US 221 [2013]), that nonresidents must be given "access to the courts of the State upon terms which in themselves are reasonable and adequate for the enforcing of any rights [they] may have" (*Eggen*, 252 US at 562). On that basis, the Appellate Division held that "the challenged statu-

1. Plaintiff now argues that the relevant provisions of CPLR article 85 impermissibly burden her access to the courts in violation of the Privileges and Immunities Clause contained in the 14th Amendment of the US Constitution, and violate her right to travel interstate in violation of both Privileges and Immunities Clauses. These arguments are unpreserved because plaintiff failed to raise them in Supreme Court. We reject plaintiff's claim that raising these issues for the first time in the Appellate Division adequately preserves them for our review (*see Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003]).

2. Though notified of plaintiff's challenge, the New York Attorney General chose not to intervene to defend the constitutionality of the provisions.

tory provisions do not deprive noncitizens[3] of New York of reasonable and adequate access to New York courts" (*Clement v Durban*, 147 AD3d 39, 44 [2d Dept 2016]). The Appellate Division granted plaintiff leave to appeal to this Court, certifying the question as to whether its order was properly made (2017 NY Slip Op 73199[U] [2d Dept 2017]). For the reasons which follow, we now affirm.

II.

A.

The Privileges and Immunities Clause, Article IV, § 2 of the Federal Constitution

The Privileges and Immunities Clause is the preeminent constitutional directive "to constitute the citizens of the United States [as] one people" (*Hicklin v Orbeck*, 437 US 518, 524 [1978] [internal quotation marks omitted]). In keeping with that goal, the Supreme Court has interpreted the clause to require "the State [to] treat all citizens, resident and nonresident, equally" and applies to only "those 'privileges' and 'immunities' bearing upon the vitality of the Nation as a single entity" (*Baldwin v Fish & Game Comm'n of Mont.*, 436 US 371, 383 [1978]). The Supreme Court has identified certain "fundamental" privileges protected under the Privileges and Immunities Clause, which include "[nonresidents'] pursuit of common callings within the State; in the ownership and disposition of privately held property within the State; and in access to the courts of the State" (*id.* [citations omitted]; *see also Blake v McClung*, 172 US 239, 249 [1898] [emphasizing the essential importance of "(t)he right of a citizen of one State . . . to institute and maintain actions of any kind in the courts of (any other) State"]). Initially, the Court framed nonresidents' constitutional right to access to the courts broadly, declaring that "[t]he right to sue and defend in the courts . . . must be allowed by each State to the citizens of all other States to the precise extent that it is allowed to its own citizens" (*Chambers v Baltimore & Ohio R. Co.*, 207 US 142, 148, 149 [1907]; *see also Miles v Illinois Central R. Co.*, 315 US 698, 704 [1942]

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3. Although the Privileges and Immunities Clause and many of the cases interpreting it use the term "citizens," "for analytic purposes citizenship and residency are essentially interchangeable" (*Supreme Court of Va. v Friedman*, 487 US 59, 64 [1988]).

[prohibiting states from restricting their own citizens from litigating federal rights in other states' courts]; *McKnett v St. Louis & San Francisco R. Co.*, 292 US 230, 234 [1934]).

Neither the Supreme Court nor this Court has insisted on equal treatment for nonresidents "to a drily logical extreme" (*Smith v Loughman*, 245 NY 486, 493 [1927] [internal quotation marks and citation omitted]; *see also Eggen*, 252 US at 562 [disparate terms of Minnesota borrowing statute impacting nonresidents were constitutionally permissible "even though they may not be technically and precisely the same in extent as those accorded to resident citizens"]). The Supreme Court has made clear that "the privileges and immunities clause is not an absolute" (*Toomer v Witsell*, 334 US 385, 396 [1948]; *see also United Building & Constr. Trades Council of Camden Cty. v Mayor & Council of Camden*, 465 US 208, 218 [1984] ["Not all forms of discrimination against citizens of other States are constitutionally suspect"]; *City of New York v State of New York*, 94 NY2d 577, 593 [2000]). Rather, as the Supreme Court has explained, the Privileges and Immunities Clause prevents a state from imposing only "unreasonable" burdens on nonresidents, including with respect to access to the courts of the state (*see e.g. Baldwin*, 436 US at 383). In the specific context of access to the courts, the Supreme Court has held that "[t]he Privileges and Immunities Clause does not require States to erase any distinction between citizens and noncitizens that might conceivably give state citizens some detectable litigation advantage" (*McBurney*, 569 US at 231).

Indeed, a state is not prohibited from using "state citizenship or residency . . . to distinguish among persons" (*Baldwin*, 436 US at 383) so long as "there are perfectly valid independent reasons for [the disparate treatment]" (*Toomer*, 334 US at 396; *see also Matter of Gordon*, 48 NY2d 266, 271 [1979] [noting that the clause was intended to prevent states "from discriminating against nonresidents merely to further (their) own parochial interests or those of (their) residents"]). Therefore, any inquiry concerning a state's compliance with the Privileges and Immunities Clause "must . . . be conducted with due regard for the principle that the States should have considerable leeway in analyzing local evils and in prescribing appropriate cures" (*Toomer*, 334 US at 396; *see also id.* at 398 [a valid independent reason includes "something to indicate that noncitizens constitute a peculiar source of the evil at which the statute is aimed"]). For example, as this Court has clearly delineated, states may distinguish between residents and nonresidents where the purpose is to "withdraw[ ] an unfair advantage" that a nonresident would otherwise possess "with a view to the attainment in the end of a truer level of equality" (*Smith*, 245 NY at 493-494). Indeed, this Court has recognized, at least in dicta, that provisions requiring nonresident litigants to post security for costs are a prime example of disparate treatment that does not violate the Privileges and Immunities Clause (*see Salla v County of Monroe of State of N.Y.*, 48 NY2d 514, 521 [1979]; *Smith*, 245 NY at 493).

A two-step inquiry governs Privileges and Immunities Clause challenges to statutes providing for disparate treatment on the basis of residency. First, "the Court must decide whether the [statute] burdens one of those privileges and immunities protected by the Clause" (*United Building & Constr. Trades Council of Camden Cty.*, 465 US at 218). When the provision implicates access to the courts, the court must assess whether nonresidents are given access on "reasonable and adequate [terms] for the enforcing of any rights [they] may have" (*Eggen*, 252 US at 562 [opining that the "power (resides) in the courts . . . to determine the adequacy and reasonableness of such terms"]; *see McBurney*, 569 US at 224, 232 [citizen-only Virginia FOIA provision "d(id) not impermissibly burden noncitizens' ability to access (Virginia's) courts" because noncitizens had access to "*most* of the information that they sought" through other avenues (emphasis added)]). If nonresidents are provided reasonable and adequate access to the courts, even if not on terms that are "technically and precisely the same in extent as those accorded to resident citizens," then the "constitutional requirement is satisfied," inasmuch as no fundamental right protected by the Privileges and Immunities Clause has been burdened (*McBurney*, 569 US at 231 [internal quotation marks omitted]).

[1] Second, should the court determine that the plaintiff's exercise of a fundamental right has been impinged, the burden shifts to the defendants, who have the opportunity to prove that the challenged restriction should be upheld even though it "deprives nonresidents of a protected privilege" (*Friedman*, 487 US at 65; *see also Schoenefeld v Schneiderman*, 821 F3d 273, 280-281 [2d Cir 2016], *cert denied* 581 US —, 137 S Ct 1580 [2017]). The court should "invalidate [the challenged restriction] only if [it] conclude[s] that the restriction is not closely related to the advancement of a substantial state interest" (*Fried-

man, 487 US at 65). "[A] State may defend its position by demonstrating that '(i) there is a substantial reason for the difference in treatment; and (ii) the discrimination practiced against nonresidents bears a substantial relationship to the State's objective' " (*Lunding v New York Tax Appeals Tribunal*, 522 US 287, 298 [1998], quoting *Supreme Court of N. H. v Piper*, 470 US 274, 284 [1985]).[4]

B.

Security for Costs

Statutes or court rules mandating that nonresident plaintiffs post security for anticipated costs for which they may be responsible if they lose their cases are a fixture in states across the country, including New York (*see e.g.* Minn Stat § 549.18; Mont Code Ann § 25-10-601; Nev Rev Stat § 18.130; Ohio Rev Code Ann § 2323.30; SD Codified Laws § 15-9-1; Wash Rev Code § 4.84.210; Wis Stat Ann § 814.28; *see also* Alaska Stat Ann § 09.60.060; Ark Code Ann § 16-68-301; Cal Civ Proc Code § 1030; Colo Rev Stat Ann § 13-16-101 [2]; 735 Ill Comp Stat 5/5-101; Iowa Code Ann § 621.1; Me Rev Stat Ann tit 14, § 601; Miss R Civ Pro 3 [b]; NJ Stat Ann § 2A:15-67; Va Code Ann § 17.1-607; DC Code Ann § 15-703; 7 Guam Code Ann § 26616). Specifically, New York's directive, contained primarily in section 8501 (a) of the CPLR, states in relevant part, as follows:

> "Except where the plaintiff has been granted permission to proceed as a poor person or is the petitioner in a habeas corpus proceeding, upon motion by the defendant without notice, the court or a judge thereof shall order security for costs to be given by the plaintiffs where none of them is . . . a

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4. [1] To the extent the Appellate Division's statement that "when the privilege at issue is the right to access the courts, the U.S. Supreme Court has not required a state to [demonstrate that the restriction is closely related to the advancement of a substantial state interest]" implies that the Supreme Court has imposed a lower standard where the privilege is access to the courts, that statement is not precisely correct (*Clement*, 147 AD3d at 46). If a court has determined that the provision at issue does not inhibit reasonable and adequate access to the courts, the provision does not unduly impinge on a fundamental right implicated by the Privileges and Immunities Clause, which "obviat[es] the need for a tailoring inquiry" with regard to whether the state could otherwise justify a restriction imposing disparate treatment by residency (*see Schoenefeld*, 821 F3d at 280-281).

> resident of the state when the motion is made" (CPLR 8501 [a]).

Section 8501 (a) expressly identifies limited circumstances in which nonresident plaintiffs do not have to post costs, including where the plaintiff qualifies for poor persons' relief (CPLR 8501 [a]; *see also* CPLR 1101). CPLR 8503 specifies that the security "shall be given by an undertaking" of $500 in counties within New York City and $250 in all other counties, although the court retains the discretion to fix "such greater amount" as necessary, depending on the circumstances of the case and the degree of record support. Should the plaintiff refuse to post security ordered by the court within 30 days of the order staying the action, the court "may" dismiss the complaint (CPLR 8502). The legislative history for CPLR article 85 indicates that mandatory security for costs was "carried over from present statutes and case law" and was intended "to obviate the danger of the property being placed beyond reach of a court's process by a plaintiff, who has been ordered to pay the costs of litigation" (3d Preliminary Rep of Advisory Comm on Prac and Pro at 443, 446, 1959 NY Legis Doc No. 17).

III.

We now turn to the first step of the inquiry, i.e., whether sections 8501 (a) and 8503 of the CPLR impair nonresident plaintiffs' fundamental right to access the courts.

[2] As an initial matter, we reject plaintiff's assertion that she has met her burden simply by identifying a facially discriminatory restriction that relates to a protectable fundamental right. The Supreme Court's jurisprudence unequivocally holds that "the constitutional requirement [set forth in the Privileges and Immunities Clause] is satisfied if . . . nonresident[s] [are] given [reasonable and adequate] access to the courts of the State," even if the access is not "technically and precisely the same in extent as [that] accorded to resident citizens" (*Eggen*, 252 US at 562; *see McBurney*, 569 US at 231). To that end, disparate terms of access to the courts for nonresident plaintiffs, such as those contained in CPLR 8501 (a) and 8503, may comply with the Privileges and Immunities Clause "even though they may not be technically and precisely the same in extent as those accorded to resident citizens" (*Eggen*, 252 US at 561-562).

[3] We hold that the security for costs provisions at issue here do not violate the Privileges and Immunities Clause because nonresidents are provided reasonable and adequate access to the New York courts. We are guided by several decisions from the Supreme Court which cite security for costs provisions as an example of statutes that do not violate the Privileges and Immunities Clause (*see Blake*, 172 US at 248, 256 [identifying security for costs provisions as constitutional impediments to access to the courts]; *Eggen*, 252 US at 561 [1920] [same]; *Kentucky Finance Corp. v Paramount Auto Exchange Corp.*, 262 US 544, 545-546 [1923] [same]; *see also Salla*, 48 NY2d at 521 [noting same, relying on *Blake*, 172 US at 256-257]; *Smith*, 245 NY at 493 [noting same, relying on *Eggen*, 252 US at 561]). Our holding aligns with a national understanding, as reflected by a nearly uniform body of decisions from state courts across the country, which have held this explicitly as to their analogous respective statutes (*see e.g. Landise v Mauro*, 141 A3d 1067, 1076 [DC 2016] [District of Columbia statute]; *Kilmer v Groome*, 6 Pa D 540, 540 [Ct Com Pl 1897] [Pennsylvania statute]; *Haney v Marshall*, 9 Md 194, 209-210 [1856] [Maryland statute]).[5]

For these reasons, we conclude that sections 8501 (a) and 8503 do not unduly burden nonresidents' fundamental right to access the courts because they impose marginal, recoverable security for costs on only those nonresident plaintiffs who do not qualify for poor persons' status pursuant to CPLR 1101, or fit any other statutory exemption. Where these nonresident plaintiffs do not prevail in their litigation, they must pay the same costs required of non-prevailing residents, but are simply required to post the security applied to those costs at an earlier date. Conversely, should nonresident plaintiffs prevail, their security is refunded, with any accrued interest (*see Smith*, 245 NY at 493-494 ["the effect of the apparent discrimination is not to cast upon the non-resident a burden heavier in its ultimate operation than the one falling upon residents, but to restore the equilibrium by withdrawing an unfair advantage"]; *see also* CPLR 2601, 2605, 2607). Even if, as plaintiff contends, this provides resident litigants with "some detectable litigation advantage" (*McBurney*, 569 US at 231), imposing a "relatively

5. In the only case in which a state's or territory's high court found that a security for costs provision violated the Privileges and Immunities Clause, the court had imposed a $6,000 security requirement—significantly more burdensome than the more modest $500 imposed here (*see Gerace v Bentley*, 65 VI 289, 310-311 [2016], *cert dismissed sub nom. Vooys v Bentley*, 901 F3d 172 [3d Cir 2018]).

minor hardship" (*Landise*, 141 A3d at 1076) on a limited class of nonresident plaintiffs is not enough to constitute an impermissible burden, such that nonresident plaintiffs do not have reasonable and adequate access to the courts.

Plaintiff's failure to make an initial showing that CPLR article 85 impairs her fundamental right of access to our courts is dispositive. Therefore, we do not address either defendants' proffered bases for the provisions or the closeness of the relationship between those bases and the disparate treatment of nonresident plaintiffs under the statutory scheme.

IV.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and WILSON concur.

Order affirmed, with costs, and certified question answered in the affirmative.

[115 NE3d 621, 91 NYS3d 349]

ANGELO A. FERRARA, Respondent, v PEACHES CAFÉ LLC et al., Defendants, and COR RIDGE ROAD COMPANY, LLC, Also Known as COR HOLT ROAD COMPANY, LLC, Appellant.

Argued October 17, 2018; decided November 20, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Monroe County (Matthew A. Rosenbaum, J.), entered March 28, 2017. The Supreme Court, upon remittal from the Appellate Division of the Supreme Court in the Fourth Judicial Department and pursuant to a settlement agreement between the parties, awarded plaintiff $62,000 in damages. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered April 29, 2016. The Appellate Division order (1) reversed, on the law, so much of an order of that Supreme Court as had denied plaintiff's motion for partial summary judgment as to the issue of whether plaintiff had the consent of defendant COR Ridge Road Company, LLC, also known as COR Holt Road Company, LLC, to perform certain improvements on the property, and granted that part of defendant COR's motion seeking summary judgment dismissing the first cause of action for foreclosure of a mechanic's lien under Lien Law § 3 against it; (2) denied defendant's motion for summary judgment insofar as it sought dismissal of the first cause of action; (3) reinstated the first cause of action; (4) granted plaintiff's motion; and (5) remitted the matter to Supreme Court for an inquest on damages with respect to the first cause of action.

Ferrara v Peaches Café LLC, 138 AD3d 1391, affirmed.

HEADNOTES

Liens — Mechanic's Lien — Liability of Landlord — Work Performed Pursuant to Tenant's Obligations under Lease

1. Defendant landlord was not entitled to summary judgment dismissing plaintiff contractor's action to foreclose on the mechanic's lien it filed against property owned by defendant and leased to a restaurant which closed while still owing plaintiff for electrical work performed pursuant to the restaurant's obligations under the lease agreement, where defendant's consent to the work for purposes of Lien Law § 3 was properly inferred from the terms of the agreement. To enforce a lien under Lien Law § 3, a contractor performing work for a tenant need not have any direct relationship with the property owner. Instead, to fall within that provision the owner must either be an affirmative factor in procuring the improvement to be made, or having posses-

sion and control of the premises assent to the improvement in the expectation that he or she will reap the benefit of it. A requirement in a contract between landlord and tenant that the tenant shall make certain improvements on the premises is a sufficient consent of the owner to charge the owner's property with claims which accrue in making those improvements. The language of defendant's lease agreement not only expressly authorized the restaurant to undertake the electrical work, but also required it to do so to effectuate the purpose of the lease. Furthermore, the detailed language made clear that defendant was to retain close supervision over the work and authorized it to exercise at least some direction over the work by reviewing, commenting on, revising, and granting ultimate approval for the design drawings related to the electrical work.

Liens — Mechanic's Lien — Liability of Landlord — Direct Relationship between Landlord and Contractor Not Required

2. In plaintiff contractor's action to foreclose on the mechanic's lien it filed against property owned by defendant landlord and leased to a restaurant which closed while still owing plaintiff for electrical work performed pursuant to the restaurant's obligations under the lease agreement, the Appellate Division appropriately declined to impose a requirement that defendant either have expressly or directly consented to the improvements in order for plaintiff to have placed a lien on the property. While some affirmative act by the landowner is required to find consent for the purposes of Lien Law § 3, that affirmative act can include lease terms requiring specific improvements to the property. When a lease does not require improvements, the owner's overall course of conduct and the nature of the relationship between the owner and the lienor may demonstrate consent for purposes of Lien Law § 3. To the extent that certain Appellate Division decisions relying on *Paul Mock, Inc. v 118 East 25th St. Realty Co.* (87 AD2d 756 [1st Dept 1982]) suggest that Lien Law § 3 requires a direct relationship between the landlord and the contractor to establish consent, they are contrary to Court of Appeals precedents and should not be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mechanics' Liens §§ 145, 146, 317, 338, 350.

CARMODY-WAIT 2d Establishment, Discharge, and Enforcement of Mechanics' Liens §§ 97:50, 97:56, 97:57, 97:290, 97:291.

MCKINNEY'S, Lien Law § 3.

MECHANICS' LIENS IN NEW YORK (2017 ed) §§ 2:13, 2:14, 13:3.

NY JUR 2d Mechanics' Liens §§ 50, 52, 253.

ANNOTATION REFERENCE

Landlord's liability to third party for repairs authorized by tenant. 46 ALR5th 1.

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Query: mechanic /2 lien /p foreclose & consent /s lease & relation!

POINTS OF COUNSEL

Mannion & Copani, Syracuse (*Gabrielle Mardany Hope* of counsel), for appellant. The Fourth Department erred in determining COR Ridge Road Company, LLC consented to Angelo A. Ferrara's work under Lien Law § 3 when there was no direct or express consent to Ferrara by COR. (*Rice v Culver*, 172 NY 60; *Paul Mock, Inc. v 118 E. 25th St. Realty Co.*, 87 AD2d 756; *Interior Bldg. Servs., Inc. v Broadway 1384 LLC*, 73 AD3d 529; *Sager v Renwick Park & Traffic Assn.*, 172 App Div 359; *Matell Contr. Co., Inc. v Fleetwood Park Dev., LLC*, 111 AD3d 681; *Drapaniotis v 36-08 33rd St. Corp.*, 48 AD3d 736; *Beaudet v Saleh*, 149 AD2d 772; *Tri-North Bldrs. v Di Donna*, 217 AD2d 886; *GCDM Ironworks v GJF Constr. Corp.*, 292 AD2d 495; *Elliott-Williams Co., Inc. v Impromptu Gourmet, Inc.*, 28 AD3d 706.)

Davidson Fink LLP, Rochester (*Thomas A. Fink* and *Mallory K. Smith* of counsel), for respondent. I. The Lien Law should be construed in favor of the contractor. (*West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 87 NY2d 148.) II. A direct request by the owner for an improvement is not required under Lien Law § 3. (*Paul Mock, Inc. v 118 E. 25th St. Realty Co.*, 87 AD2d 756.) III. The Appellate Division, Fourth Department's decision in this case accurately adopted the logic used by the Court of Appeals in similar cases. (*Cowen v Paddock*, 137 NY 188; *Spruck v McRoberts*, 139 NY 193; *National Wall Paper Co. v Sire*, 163 NY 122; *Rice v Culver*, 172 NY 60; *Jones v Menke*, 168 NY 61; *Gates & Co. v National Fair & Exposition Assn.*, 225 NY 142; *McNulty Bros. v Offerman*, 221 NY 98; *De Klyn v Gould*, 165 NY 282; *Delany & Co. v Duvoli*, 278 NY 328.) IV. The majority of the Appellate Division decisions support the position of the plaintiff-respondent. (*Boyle v Paolini Cafeteria & Rest., Inc.*, 220 App Div 482; *J.K. Tobin Constr. Co., Inc. v David J. Hardy Constr. Co., Inc.*, 64 AD3d 1206; *Tomaselli v Oneida County Indus. Dev. Agency*, 77 AD3d 1315; *Osborne v McGowan*, 1 AD2d 924; *National Wall Paper Co. v Sire*, 163 NY 122; *Delany & Co. v Duvoli*, 278 NY 328; *M & B Plumbing & Heating Co. v Cammarota*, 103 AD2d 879; *Harner v Schecter*, 105 AD2d 932; *Saratoga Assoc. Landscape Architects, Architects, Engrs. & Planners, P.C. v Lauter Dev. Group*, 77 AD3d 1219.) V. The facts in the instant case support the Court of Appeals standards as when a contractor can proceed with its mechanic's lien proceeding.

OPINION OF THE COURT

Wilson, J.

Defendant COR Ridge Road Company, LLC (COR)[1] appeals from a Supreme Court judgment to bring up for review an Appellate Division order that, among other things, granted partial summary judgment against it, in favor of plaintiff Angelo Ferrara,[2] upholding the validity of a lien placed by Ferrara on COR's real property.

Adhering to our long-standing precedent, we hold that consent, for purposes of Lien Law § 3, was properly inferred from the terms of the lease agreement between COR and Peaches, and that the Appellate Division appropriately declined to impose a requirement that COR either expressly or directly consent to the improvements. We therefore affirm the judgment and order brought up for review.

I.

COR leased space in a retail shopping plaza to Peaches Café, LLC, in which Peaches would build and operate a full-service restaurant. The 10-year lease agreement and attached Retail Construction Exhibit imposed several requirements on Peaches regarding the electrical work involved in the construction of the restaurant site, stating that: Peaches "*shall* retain competent and skilled contractors for the completion of" the electrical work; Peaches "*shall* use only contractors approved by [COR]"; Peaches "*shall* not make . . . any . . . improvements . . . without first obtaining the consent of [COR]"; Peaches "*shall* retain the services of a competent experienced architect(s) and engineer(s)"; Peaches "*shall* provide [COR] with detailed plans and specifications for the build-out of improvements to be constructed in the [p]remises"; the design drawings that Peaches was to submit "*shall* include" electrical plans; the design drawings "*shall* be revised" according to any proposed changes by COR, which it retained the right to do; and Peaches cannot open for business unless it completes the

1. Defendants were sued as COR Ridge Road Company, LLC a/k/a COR Holt Road Company, LLC.

2. Quinlan Ferrara Electric, Inc., contracted to perform the work in question; it assigned its rights to Angelo Ferrara, the plaintiff in this case. We refer to both as "Ferrara" herein.

improvements according to the lease terms and submits to COR a certificate of completion certifying that the premises were "constructed and completed in accordance with [the] final Design Drawings as approved by [COR]" (emphasis added). The lease anticipated that Peaches would substantially complete the required work within 90 days, and provided that Peaches' obligation to pay rent would commence at the end of the 90-day period, even were the work unfinished. The lease also provided that any improvements made to the "vanilla box" space would become part of the realty at the end of the lease. The lease obligated Peaches to keep its restaurant "open for business on all days and at a minimum during the following hours: Monday through Saturday 7:00 am until 6:00 pm and Sunday 7:00 am until 3:00 pm (except for holidays); (ii) adequately staff its store with sufficient employees; and (iii) utilize only those minor portions of the Premises as are reasonably required therefor for office purposes," and further provided that Peaches' failure to do so would constitute a default, entitling COR to terminate the lease, retain the improvements and recover the balance of the rent due through the end of the lease term.

The agreement also outlined detailed requirements for the electrical work that is the subject of the challenged lien: it specified the type of service, the type of panel board and type of electrical system to be installed. The agreement required that, as a condition of Peaches performing the work, it must propose a schedule to COR for COR's approval, and that if Peaches did not complete the work timely, it would be responsible for any additional costs that COR incurred as a result of the delay in completing the work.

Peaches contracted with Ferrara to perform its portion of the electrical build-out work at the premises, which Ferrara satisfactorily completed. Peaches opened for business but subsequently closed, still owing Ferrara more than $50,000. Ferrara filed a mechanic's lien against the property, noticing both Peaches and COR. Two years later, upon failure to discharge the lien, Ferrara initiated this action seeking, among other things, to foreclose on the lien.

Ferrara moved for partial summary judgment on that cause of action; COR moved for summary judgment dismissing the complaint. Supreme Court, as relevant here, denied Ferrara's motion, granted COR's motion, and dismissed the complaint with prejudice insofar as asserted against COR. The Appellate Division unanimously reversed the order insofar as appealed from and granted Ferrara's motion, concluding that "consent for purposes of Lien Law § 3 may be inferred from the terms of the lease" (138 AD3d at 1393-1394 [internal quotation marks and brackets omitted]). We now affirm.

II.

COR urges that the Appellate Division erred because, as a matter of law, a contractor working for a tenant may not place a lien on a landlord's property unless the landlord has "expressly" or "directly" consented to the performance of the work, which COR says it did not do. We reject that argument; our precedents establish that the Lien Law does not require any direct relationship between the property owner and the contractor for the contractor to be able to enforce a lien against the property owner. Lien Law § 3 (as added by L 1885, ch 342, as amended) provides:

> "A contractor, subcontractor, laborer, [or] materialman, . . . who performs labor or furnishes materials for the improvement of real property with the consent or at the request of the owner thereof, or of [the owner's] agent . . . shall have a lien for the principal and interest, of the value, or the agreed price, of such labor . . . from the time of filing a notice of such lien."

The "impetus" behind the law is to provide "protection to those who furnish work, labor and services or provide materials for the improvement of real property" (*West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 87 NY2d 148, 156 [1995] [quoting floor speech by Sen. James Donovan]). Accordingly, the law "is to be construed liberally to secure the beneficial interests and purposes thereof" (*West-Fair*, 87 NY2d at 156 [quoting Lien Law § 23]).

To enforce a lien under Lien Law § 3, a contractor performing work for a tenant need not have any direct relationship with the property owner. Instead, "[t]o fall within that provision the owner must either be an affirmative factor in procuring the improvement to be made, or having possession and control of the premises assent to the improvement in the expectation that he will reap the benefit of it" (*Rice v Culver*, 172 NY 60, 65-66 [1902]). We further explained that the owner's consent or requirement that the improvement be made, rather than mere passive acquiescence in or knowledge of improvements being made, is contemplated by the statute (*see id.* at 65). In *Rice*, we concluded that the landowner could not be held liable for the work contracted for by the tenant who had leased the land to build and maintain an athletic field. Although the landowner consented "in a certain sense of the word" because he "must have known" at the time the lease was executed that the tenant planned to make improvements in order to use the property for the purpose covenanted for in the lease, that knowledge alone was "insufficient to show that the appellant consented to the performance by the plaintiff of the work for which her lien was filed" (*id.* at 65, 66).

However, we distinguished *Rice* from our prior cases "in which the tenant covenanted by the lease to erect buildings or make improvements. . . . In those cases the . . . landlord was properly held liable because not only did [the landlord] require the improvement to be made, but the improvement inured to [the landlord's] benefit, either because it reverted to [the landlord] at the expiration of the demised term or because . . . rent proceeded from its use" (*Rice*, 172 NY at 66-67) (distinguishing *Burkitt v Harper*, 79 NY 273 [1879]; *Otis v Dodd*, 90 NY 336 [1882]; *Jones v Menke*, 168 NY 61 [1901]).

Jones, decided the year before *Rice*, reaffirmed the rule of that line of prior cases that certain lease provisions can establish consent for purposes of Lien Law § 3:

> "[A] requirement in a contract between . . . landlord and tenant, that the . . . tenant shall make certain improvements on the premises is a sufficient consent of the owner to charge [the owner's] property with claims which accrue in making those improvements, though it would not render [the] property liable for improvements or alterations beyond those specified in the contract" (168 NY at 64 [citations omitted]; *see De Klyn v Gould*, 165 NY 282 [1901]).

In *Jones*, we based the landlord's consent on contractual provisions supporting the proposition that the landlord had consented to the improvements for purposes of Lien Law § 3. In particular, we noted the contractual requirement that the tenant convert the space to a "first-class saloon," that the conversion be accomplished in a few months, and that failure to timely complete the conversion would terminate the lease and vest title to the improvements in the landlord. In that way, the owner sufficiently "consented to [the repairs] and . . . his property was chargeable with their value" (*id.* at 65). A similar result obtained in *McNulty Bros.v Offerman* (221 NY 98, 106 [1917] [holding that as long as "the liens have been confined to work called for by the lease . . . the landlords' estate may be charged to the same extent as if the owners of that estate had ordered the work themselves"]).

[1] No material facts are in dispute here. The language of the lease agreement not only expressly authorized Peaches to undertake the electrical work, but also required it to do so to effectuate the purpose of the lease—that is, for Peaches to open the restaurant for business and operate it continuously, seven days a week, during hours specified by COR. Furthermore, the detailed language makes clear that COR was to retain close supervision over the work and authorized it to exercise at least some direction over the work by reviewing, commenting on, revising, and granting ultimate approval for the design drawings related to the electrical work. We therefore conclude that, under our prior precedents, the terms of the lease agreement between COR and Peaches, taken together, are sufficient to establish COR's consent under Lien Law § 3.

III.

COR relies on our decision in *Delany & Co. v Duvoli* (278 NY 328 [1938]) to argue that we should adopt the position taken by certain of the Appellate Division departments in several cases it interprets as rejecting a finding of consent under Lien Law § 3 when no direct relationship between a tenant's contractor and the property owner is present.[3] In *Delany*, the defendant property owner entered into an agreement to convey the property with an option for the purchaser to take title within

3. The cases on which COR relies begin with *Paul Mock, Inc. v 118 E. 25th St. Realty Co.* (87 AD2d 756 [1st Dept 1982]), and include *Interior Bldg. Servs., Inc. v Broadway 1384 LLC* (73 AD3d 529 [1st Dept 2010]); *Matell Contr. Co., Inc. v Fleetwood Park Dev., LLC* (111 AD3d 681 [2d Dept 2013]); *Drapaniotis v 36-08 33rd St. Corp.* (48 AD3d 736, 737 [2d Dept 2008]); *Vardon, Inc. v Suga Dev., LLC* (36 AD3d 897, 898-899 [2d Dept 2007]); *Elliott-Williams Co., Inc. v Impromptu Gourmet, Inc.* (28 AD3d 706, 707 [2d Dept 2006]); *GCDM Ironworks v GJF Constr. Corp.* (292 AD2d 495 [2d Dept 2002]); *Tri-North Bldrs. v Di Donna* (217 AD2d 886, 887 [3d Dept 1995]); *Beaudet v Saleh* (149 AD2d 772, 773 [3d Dept 1989]); and *Sager v Renwick Park & Traffic Assn.* (172 App Div 359, 367-368 [3d Dept 1916]).

one year. The agreement provided that the purchaser would pay rent in the meantime, and that the agreement would be voided if the purchaser did not take title within the year. Although the agreement did not contemplate any construction work, the purchaser undertook new construction on the property.

We examined whether the owner had consented to the improvements within the meaning of Lien Law § 3, reaffirming the rule from our prior decisions that "[t]he consent required by [Lien Law § 3] is not a mere acquiescence by the owner to improvements by a lessee in possession at [the lessee's] own expense. There must be some affirmative act by the owner" (*id.* at 331). We determined that the owner had not consented to the improvements:

> "Here there has been no compliance with the statutory requirements. The most that can be said . . . is that the owner did not object to improvements by the tenants at their own expense. *That the lienors never dealt with the record owner or her agent in respect to those improvements cannot be doubted*. The evidence demonstrates that *the credit accorded by the lienors was to the tenants and not to the owner*, that *all the transactions relating to the improvements occurred between the lienors and . . . the tenants in possession*, and that the tenants assured the owner that the improvements were to be effected at their own expense" (*id*. [emphasis added]).

The italicized portions, stripped from the balance of the decision, have been emphasized in some Appellate Division decisions to impose a requirement of a direct relationship between owner and contractor. Read properly, however, *Delany* simply noted that the lease did not contain any provisions requiring the tenant to undertake the improvement work made by the lienors. Absent such a provision, we looked to whether the property owner had taken any other "affirmative act" sufficient to establish consent for the purposes of Lien Law § 3. Finding none, we concluded that the owner had not consented and, therefore, that the lienors could not proceed against the landlord.

[2] Contrary to COR's argument, *Delany* does not stand for the proposition that consent under Lien Law § 3 requires a direct relationship between the property owner and the lienor.

Instead, Delany stands for the proposition that some "affirmative act" by the landowner is required to find consent for the purposes of Lien Law § 3. Our decisions make clear that that "affirmative act" can include lease terms requiring specific improvements to the property (*see Burkitt*, 79 NY 273; *Otis*, 90 NY 336; *Jones*, 168 NY 61). When a lease does not require improvements, the owner's overall course of conduct and the nature of the relationship between the owner and the lienor may demonstrate consent for purposes of Lien Law § 3 (*see National Wall Paper Co. v Sire*, 163 NY 122 [1900]). The decision in *Paul Mock*, when read properly, is consistent with our precedents, as are most of the Appellate Division cases relied on by COR. To the extent that certain Appellate Division decisions relying on *Paul Mock* suggest that Lien Law § 3 requires a direct relationship between the landlord and the contractor to establish consent, they are contrary to our precedents and should not be followed.

For the above reasons, the judgment appealed from and the Appellate Division order brought up for review should be affirmed, with costs.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and FEINMAN concur.

Judgment appealed from, and Appellate Division order brought up for review, affirmed, with costs.

[116 NE3d 60, 91 NYS3d 769]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RODNEY WATTS, Appellant.

Argued October 17, 2018; decided November 20, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 23, 2017. The Appellate Division affirmed two judgments of the Supreme Court, New York County (Robert M. Stolz, J., at pleas; Daniel P. FitzGerald, J., at sentencing), each of which had convicted defendant, upon his plea of guilty, of criminal possession of a forged instrument in the second degree.

People v Watts, 148 AD3d 578, affirmed.

HEADNOTE

Crimes — Possession of Forged Instrument — Instrument Affecting Legal Right — Possession of Counterfeit Event Ticket

Inasmuch as an event ticket, such as a concert or sports event ticket, affects a legal right, interest, obligation, or status within the meaning of Penal Law § 170.10 (1), indictments charging defendant under Penal Law § 170.25 with multiple counts of criminal possession of a forged instrument in the second degree for selling counterfeit concert and sports event tickets were not jurisdictionally defective. Section 170.25 refers to possession of forged instruments as defined in section 170.10, which specifies, as one type of forged instrument, a written instrument purporting to be a "deed, will, codicil, contract, assignment, commercial instrument, credit card . . . or other instrument which does or may . . . affect a legal right, interest, obligation or status" (Penal Law § 170.10 [1]). While event tickets are revocable licenses, it does not follow that an event ticket does not affect a legal right. Purchase of an event ticket makes a binding contract so that the holder who is wrongly ejected or refused admission has the right to sue for breach. A license, even a revocable one, generally has considerable legal significance in that it gives the holder permission to do what would otherwise be a crime. Assuming that the doctrine of *ejusdem generis* applies and that the terms "deed, will, codicil, contract, assignment, commercial instrument, credit card" denote concepts of a single kind or category, defendant failed to demonstrate that an event ticket does not belong to the same general category as contracts, commercial instruments, credit cards, and the like. In addition, the state's cultural and sporting institutions play a significant part in its economy, and "transactions involving tickets for admission to places of entertainment are a matter of public interest" and subject to supervision to safeguard the public against "fraud, extortion, and similar abuses" (Arts and Cultural Affairs Law § 25.01).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Entertainment and Sports Law § 7; AM JUR 2d Forgery §§ 9, 33.

MCKINNEY'S, Arts and Cultural Affairs Law § 25.01; Penal Law §§ 170.10 (1); 170.25.

NY JUR 2d Amusements and Exhibitions §§ 18, 19; NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 1125, 1127.

ANNOTATION REFERENCE

See ALR Index under Forgery; Tickets.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (*Arielle I. Reid* of counsel), for appellant. The indictments for second-degree criminal possession of a forged instrument are jurisdictionally defective because the forged instruments named therein—concert and basketball tickets—do not affect a "legal right, interest, obligation, or status," thereby negating a material element of the offense. (*People v Iannone*, 45 NY2d 589; *People v Konieczny*, 2 NY3d 569; *People v Case*, 42 NY2d 98; *People v Hansen*, 95 NY2d 227; *People v D'Angelo*, 98 NY2d 733; *People v Cohen*, 52 NY2d 584; *People v Hurell-Harring*, 66 AD3d 1126; *People v Carter*, 147 AD3d 1514; *Collister v Hayman*, 71 App Div 316; *People ex rel. Burnham v Flynn*, 189 NY 180.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Lee M. Pollack* and *Sheila O'Shea* of counsel), for respondent. The indictments were jurisdictionally sufficient to charge defendant with criminal possession of a forged instrument in the second degree. (*People v Ray*, 71 NY2d 849; *People v D'Angelo*, 98 NY2d 733; *People v Iannone*, 45 NY2d 589; *Aaron v Ward*, 203 NY 351; *Marrone v Washington Jockey Club*, 227 US 633; *People ex rel. Burnham v Flynn*, 189 NY 180; *Mayer v Belichick*, 605 F3d 223; *Ganci v New York City Tr. Auth.*, 420 F Supp 2d 190;

Presley v County of Nassau of State of N.Y., 148 Misc 2d 125, 188 AD2d 594; *Collister v Hayman*, 183 NY 250.)

OPINION OF THE COURT

FAHEY, J.

An event ticket, such as a concert or sports event ticket, affects a legal right, interest, obligation, or status within the meaning of Penal Law § 170.10 (1). This means that a defendant may be prosecuted under Penal Law § 170.25 for possession of counterfeit event tickets.

Defendant Rodney Watts, accused of selling counterfeit concert tickets, was charged by indictment with multiple counts of criminal possession of a forged instrument in the second degree (Penal Law § 170.25). A person is guilty of that crime "when, with knowledge that it is forged and with intent to defraud, deceive or injure another, [the person] utters or possesses any forged instrument of a kind specified in [Penal Law] section 170.10" (Penal Law § 170.25). Penal Law § 170.10, the second-degree forgery statute, specifies, as one type of forged instrument, "a written instrument which is or purports to be, or which is calculated to become or to represent if completed . . . [a] deed, will, codicil, contract, assignment, commercial instrument, credit card, . . . or *other instrument which does or may evidence, create, transfer, terminate or otherwise affect a legal right, interest, obligation or status*" (Penal Law § 170.10 [1] [emphasis added]). We refer to the emphasized words as the statute's catchall clause.

Defendant moved to dismiss the indictment, noting that each count contained a "to wit" phrase charging him with possessing a forged instrument that purported to be "a ticket to a . . . concert." He contended that a counterfeit concert ticket falls outside the ambit of the second-degree forgery statute (and, therefore, the second-degree criminal possession of a forged instrument statute), on the ground that a concert ticket does not "affect a legal right, interest, obligation or status." Defendant also argued that the catchall clause must be read to contemplate only documents of the same character as a "deed, will, codicil, contract, assignment, commercial instrument, [or] credit card" (Penal Law § 170.10 [1]), and insisted that concert tickets are not of this nature.

Supreme Court denied defendant's motion, reasoning that a concert ticket does "affect a legal right, interest, obligation or status," within the meaning of the statute, because it "grants the holder the right to enter the venue and view the performance." Defendant could therefore be prosecuted under Penal Law § 170.25 for possession of a forged instrument purporting to be a concert ticket.

Defendant was subsequently arrested in possession of counterfeit sports event tickets. He was again charged by indictment and his motion to dismiss this indictment was also denied. Defendant ultimately pleaded guilty to two counts of criminal possession of a forged instrument in the second degree, in satisfaction of the indictments, resulting in two judgments of conviction and sentence.

On appeal from the judgments, defendant argued that the indictments are jurisdictionally defective for the same reason urged in his motions to dismiss. The Appellate Division rejected defendant's contention, holding that counterfeit event tickets are written instruments that purport to "affect a legal right, interest, obligation or status" under Penal Law § 170.10 (1) (148 AD3d 578 [1st Dept 2017]). A Judge of this Court granted defendant leave to appeal (30 NY3d 984 [2017]). We now affirm.

Defendant's argument, a jurisdictional challenge to the indictments against him, amounts to the claim that the otherwise valid statement of the elements of the crime in each count is negated by the specific allegation in the "to wit" phrase that the forged instrument purported to be an event ticket. He insists, in effect, that counterfeit event tickets could never fall within the ambit of the second-degree forgery statute. Defendant's rationale is that event tickets, the instruments that defendant's counterfeit documents purported to be, are merely revocable licenses and do not "affect a legal right, interest, obligation or status."

Defendant's premise that event tickets are revocable licenses is true. The case law saying as much is venerable. The purchase of an event admission ticket gives the holder "a revocable license . . . to enter the building in which [the event is held], and to attend the performance" (*People ex rel. Burnham v Flynn*, 189 NY 180, 185-186 [1907]; *see also Collister v Hayman*, 183 NY 250, 253 [1905]). An event ticket, in other words, is a permission slip, subject to retraction.

It does not follow, however, that an event ticket does not affect a legal right, i.e., "right created or recognized by law" (Black's Law Dictionary [10th ed 2014], legal right), or status, i.e., "legal condition, whether personal or proprietary" (Black's Law Dictionary [10th ed 2014], status). Indeed, the same decisions on which defendant relies to demonstrate the revocable nature of event tickets also describe the legal rights, albeit limited, that a ticket evidences or otherwise affects. An event ticket, the Court wrote, "is a license, issued by the proprietor . . . as convenient evidence of the *right of the holder to admission*" (*Collister*, 183 NY at 253 [emphasis added]). The legislature has similarly defined a ticket, in the context of entertainment and the arts generally, as "any evidence of the *right of entry to any place of entertainment*" (Arts and Cultural Affairs Law § 25.03 [9] [emphasis added]).

Furthermore, as defendant concedes, in certain circumstances, a ticket holder can recover the price of an event ticket in an action for breach of contract. This follows from the principle that the purchase of an event ticket "ma[kes] a contract" that "binds the person of the maker" so that the holder of a ticket who is wrongly ejected has the "right . . . to sue upon the contract for the breach" (*Marrone v Washington Jockey Club*, 227 US 633, 636 [1913]). Under general contract principles, a ticket holder, "being refused admission, is entitled to recover the amount paid for the ticket, and, undoubtedly, such necessary expenses as were incurred" (*Burnham*, 189 NY at 186). Moreover, a lawsuit based on discrimination or "indignant" public expulsion may yield damages (*see generally Aaron v Ward*, 203 NY 351 [1911]; 3 NY Jur 2d Amusements and Exhibitions § 2). It is clear that the possession of an event ticket affects an individual's legal rights and status and others' obligations.

Indeed, a license, even a revocable one, generally has considerable legal significance in that it gives the holder permission to do what would otherwise be a crime. It "grants the licensee a revocable . . . authority to do a particular act or series of acts upon another's land, which would amount to a trespass without such permission" (*Ark Bryant Park Corp. v Bryant Park Restoration Corp.*, 285 AD2d 143, 150-151 [1st Dept 2001] [internal quotation marks and citations omitted]). In this manner, possession of a ticket affects the holder's "legal . . . status" (Penal Law § 170.10 [1]).

Of course, an event ticket or other revocable license does not give the holder an interest in real property (*see Marrone*, 227 US at 636). After enjoying a concert or sports event, a ticket-holder cannot insist on removing his seat and taking it home.

Nevertheless, while it "neither gives nor implies a right in real property," a license "confers . . . the right to go onto or perform an act on the land of the licensor" (49 NY Jur 2d Easements and Licenses in Real Property § 213). In short, an event ticket evidences a revocable license to enter, which is a legal right and changes the holder's status. It follows that an event ticket is an instrument that "evidence[s] . . . or otherwise affect[s] a legal right, interest, obligation or status" (Penal Law § 170.10 [1]).

Defendant also argues that the forgery statute must be interpreted by means of the principle of *ejusdem generis*, the "[c]anon of construction holding that when a general word or phrase follows a list of specifics, the general word or phrase will be interpreted to include only items of the same class as those listed" (Black's Law Dictionary [10th ed 2014], *ejusdem generis*; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 239 [b] [stating that the rule will not be applied if it would contradict the evident intent of the legislature]). We assume, without deciding, that *ejusdem generis* applies here. In other words, we assume that the terms "deed, will, codicil, contract, assignment, commercial instrument, credit card" (Penal Law § 170.10 [1]) denote concepts of a single kind or category, and that application of *ejusdem generis* would not contradict the legislature's clear intent. The catchall clause beginning with the words "other instrument" would then be interpreted to include only items of the same nature as "deed, will, codicil, contract, assignment, commercial instrument, credit card" (Penal Law § 170.10 [1]). Defendant suggests that the common factor is that the items are formal instruments "capable of conveying proprietary or monetary interests," the value of which is *not* "derived solely from physical possession of the actual instrument." He insists that, by contrast, an event ticket can generally be freely transferred from one person to the next, so that whoever lawfully possesses the ticket last is the person who receives the privilege.

A single example refutes defendant's theory. A bearer instrument, such as a blank traveler's check or a personal check made out to "cash," may be "negotiated simply by delivering the instrument to a transferee" (Black's Law Dictionary [10th ed 2014], bearer paper), just as an event ticket can be freely transferred from one person to the next. Its value is derived from physical possession. Yet a bearer instrument is a commercial instrument and hence part of the Penal Law § 170.10

(1) list. Consequently, even if *ejusdem generis* is applied, defendant fails to demonstrate that an event ticket does not belong to the same general category as contracts, commercial instruments, credit cards, and the like. Instead, the ambit of "other instrument[s]" is simply the category of instruments defined *by the statute* as those that "[do] or may evidence, create, transfer, terminate or otherwise affect a legal right, interest, obligation or status" (Penal Law § 170.10 [1]). We have already concluded that event tickets fall within this category.

In rejecting defendant's interpretation, we note that the Appellate Division Departments that have addressed this issue have generally interpreted the catchall clause broadly, upholding its application to such disparate documents as a gift card (*see People v Prince*, 146 AD3d 491, 491 [1st Dept 2017]) and credit card sales receipts (*see People v Morrison*, 290 AD2d 808, 809-810 [3d Dept 2002]; *People v Lewandowski*, 255 AD2d 902, 902-903 [4th Dept 1998]). Other jurisdictions have applied the same interpretive approach to similarly worded statutes (*see e.g. State v Dickman*, 146 Conn App 17, 22-36, 75 A3d 780, 787-794 [2013] [medical records fall under "deed, will, codicil, contract, assignment, commercial instrument or other instrument which does or may . . . affect a legal right, interest, obligation or status" (Conn Gen Stat § 53a-139 [a] [1])]; *Commonwealth v Ryan*, 909 A2d 839, 844, 2006 PA Super 290 ¶ 15 [2006] [building permit included within "will, deed, contract, release, commercial instrument, or other document . . . affecting legal relations" (18 Pa Stat & Cons Stat Ann § 4101 [c])]; *Commonwealth v Lenhoff*, 796 A2d 338, 341, 2002 PA Super 89 ¶¶ 10-16 [2002] [gun purchase application included under same statutory language (18 Pa Stat & Cons Stat Ann § 4101 [c])]; *Commonwealth v Sneddon*, 738 A2d 1026, 1028, 1999 PA Super 238 ¶¶ 6-10 [1999] [cash register receipt qualifies under same statutory language (18 Pa Stat & Cons Stat Ann § 4101 [c])]). In short, "there is no absolute and finite list of instruments 'which [do] or may . . . affect a legal right, interest, obligation or status' " (*Dickman*, 146 Conn App at 30, 75 A3d at 791).

Finally, to the extent that defendant suggests that event tickets are not essential to the sustained functioning of New York's commercial and economic system and that it would be anomalous for the legislature to punish their counterfeiting as a felony, we disagree. The commercial significance of concert and sports event tickets in New York cannot be minimized. The state's cultural and sporting institutions play a very significant part in its economy, selling billions of dollars worth of tickets each season. New York City in particular plays host to numerous entertainment events that garner the attention of a global audience. Indeed, the legislature has expressly declared "that transactions involving tickets for admission to places of entertainment are a matter of public interest and subject to the supervision of New York and the appropriate political subdivisions of the state for the purpose of safeguarding the public against fraud, extortion, and similar abuses" (Arts and Cultural Affairs Law § 25.01).

We have considered defendant's remaining contentions and conclude that they lack merit. We have no need to consider the People's remaining contentions.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Stein, Garcia, Wilson and Feinman concur.

Order affirmed.

[116 NE3d 64, 91 NYS3d 773]

TOWN OF AURORA, a Municipal Corporation, Respondent, v VILLAGE OF EAST AURORA, a Municipal Corporation, Appellant.

Argued October 10, 2018; decided November 20, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 28, 2017. The Appellate Division (1) reversed, on the law, an order and judgment of the Supreme Court, Erie County (John A. Michalek, J.) which had (a) denied plaintiff's motion for summary judgment; (b) dismissed the complaint; (c) granted defendant's cross motion for summary judgment on its counterclaim; and (d) declared that plaintiff is responsible for the expenses of repairing the Brooklea Drive Bridge and any other bridge located within the boundaries of defendant with respect to which defendant has not assumed control, care and maintenance under Village Law § 6-606; (2) reinstated the complaint; (3) granted plaintiff's motion for summary judgment; (4) denied defendant's cross motion for summary judgment; and (5) declared that defendant is responsible for the supervision, control, care, and maintenance of the Brooklea Drive Bridge located within its boundaries.

Town of Aurora v Village of E. Aurora, 149 AD3d 1506, modified.

HEADNOTES

Bridges — Maintenance — Dispute between Town and Village

1. Plaintiff Town was responsible for maintaining a certain bridge located within both plaintiff Town and defendant Village that was constructed in 1973 after defendant approved construction and financing, because defendant did not assume control of the bridge pursuant to Village Law § 6-606, which sets forth the exclusive methods by which a village may assume control and supervision of a bridge unless the bridge was under village control prior to 1897 (*see* Village Law § 6-604). Pursuant to Village Law § 6-606, a village may assume control of a bridge either by passing a resolution, subject to a permissive referendum, or by entering into an agreement with the town, also subject to a permissive referendum. Village Law § 6-604 sets forth an exception to section 6-606 if the village has exercised supervision and control of the bridge, but it applies only to bridges existing prior to 1897. It does not authorize a separate continuing means by which a village may assume supervision and control over a bridge. There was no claim that plaintiff and defendant entered into an agreement to fix control of the bridge. While defendant may have passed resolutions related to the construction and financing of the bridge, the procedures for a permissive referendum were never un-

dertaken (*see* Village Law § 9-900). Thus, defendant did not have control over the bridge under the statutory scheme.

Declaratory Judgments — When Remedy Available

2. In an action seeking a declaratory judgment determining whether plaintiff Town or defendant Village was responsible for the maintenance and repair of a bridge located within both municipalities, defendant was not entitled to a declaration regarding the rights of the parties with respect to other bridges located in defendant. Even assuming that the matter of other bridges was properly raised by defendant before the trial court, defendant was not entitled to a declaration beyond that relating to the subject bridge because the facts pertaining to other bridges were not before the Court.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Highways, Streets, and Bridges §§ 77, 93, 136.
MCKINNEY'S, Village Law §§ 6-604, 6-606, 9-900.
NY JUR 2d Highways, Streets, and Bridges §§ 68, 142, 398, 770, 771.

ANNOTATION REFERENCE

See ALR Index under Bridges; Initiative and Referendum; Towns; Villages.

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Query: bridge /s maint! /s town /s village /p control

POINTS OF COUNSEL

Bartlo, Hettler, Weiss & Tripi, Kenmore (*Paul D. Weiss* and *Yvonne S. Tripi* of counsel), for appellant. I. The order and decision of the Appellate Division directly conflicts with and fails to follow relevant, operative and controlling Court of Appeals decisional case law. (*Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718.) II. The Appellate Division, Fourth Department, erred in holding that the Village need not comply with the strictures of Village Law § 6-606 to assume the control, care, and maintenance or to construct or repair the at-issue Brooklea Drive Bridge or any other bridge within the Village's corporate limits. (*Matter of Sutka v Conners*, 73 NY2d 395; *Matter of Guido v New York State Teachers' Retirement Sys.*, 94 NY2d 64; *Matter of Tompkins County Support Collection Unit v Chamberlin*, 99 NY2d 328; *People v Litto*, 8 NY3d 692; *Kimmel v State of New York*, 29 NY3d 386; *Riley v County of Broome*, 95 NY2d 455; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Hill v Supervisors of Livingston County*, 12 NY 52; *Matter of DuBois v Town Bd. of the Town of New Paltz*, 35 NY2d 617; *Pless v Town of Royalton*, 81 NY2d 1047.) III. The Appellate Division, Fourth Department, erred in reversing the Supreme Court by holding that the Village's interpretation of the at-issue statutes invites objectionable, unreasonable, or absurd results. (*Matter of Monroe County Pub. School Dists. v Zyra*, 51 AD3d 125; *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718.) IV. The Appellate Division, Fourth Department, erred in reversing the Supreme Court by holding that any issues concerning other bridges located within the corporate boundaries of the Village were not before the court and therefore constituted an advisory opinion. (*Dampskibsselskabet Torm A/S v Thomas Paper Co.*, 26 AD2d 347; *Knapp v Simon*, 96 NY 284; *Abrahamian v Tak Chan*, 33 AD3d 947; *Bryant v Broadcast Music, Inc.*, 60 AD3d 799; *Dupree v Voorhees*, 25 Misc 3d 451; *Matter of Lewis*, 114 AD3d 203; *Oram v Capone*, 206 AD2d 839; *Matter of Jared*, 225 AD2d 1049; *Misicki v Caradonna*, 12 NY3d 511; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

Magavern Magavern Grimm LLP, Buffalo (*Edward J. Markarian* of counsel), and *Bennett, DiFilippo & Kurtzhalts, LLP*, Holland (*Ronald P. Bennett* of counsel), for respondent. I. The Appellate Division correctly found that under Village Law § 6-604 the Village is responsible for repairing the bridge because it supervised and controlled it. (*Levine v Bornstein*, 4 NY2d 241; *Matter of Society of N.Y. Hosp. v Del Vecchio*, 70 NY2d 634; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Matter of Springer v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 27 NY3d 102; *Golden v Koch*, 49 NY2d 690; *Village of Webster v Town of Webster*, 270 AD2d 910, 95 NY2d 901.) II. The Appellate Division correctly recognized the objectionable and unreasonable consequences of the Village's proposed interpretation, and the best public policy is achieved by interpreting the statute in accordance with its plain language. III. The Village relies upon Highway Law sections which do not apply. (*Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *Fulgum v Town of Cortlandt*, 2 AD3d 775; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151.) IV. The deleted language from the predecessor statute cannot be read back in. (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55.) V. *Matter of Village of Chestnut Ridge v Howard* (92 NY2d 718

[1999]) addressed an entirely different question. VI. The Attorney General opinions from the 1960s interpret the repealed statutory language, and if the 1974 opinion is reading that language into the new statute it should not be followed. VII. Arguments in the Village's brief are based upon misunderstandings of law. (*Augustine v Town of Brant*, 249 NY 198; *Matter of Jewett v Luau-Nyack Corp.*, 31 NY2d 298; *Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359; *Town of Huntington v County of Suffolk*, 79 AD3d 207, 17 NY3d 778.) VIII. The Village is also responsible for repairing the bridge under Village Law § 6-606. (*City of Troy Unit of the Rensselaer County Chapter of the CSEA, Inc. v City of Troy*, 36 AD2d 145; *Matter of Amatulli v Sweeney*, 33 Misc 2d 324, 17 AD2d 631; *Rural Community Coalition, Inc. v Village of Bloomingburg*, 118 AD3d 1092; *Atkins v Town of Rotterdam*, 266 AD2d 631.) IX. The Brooklea Drive Bridge is the only structure at issue. (*Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718.)

Richard J. Sinnott, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. The Appellate Division, Fourth Department, incorrectly interpreted the plain language of Village Law § 6-606. (*Matter of the Village of Chestnut Ridge v Howard*, 92 NY2d 718.) II. If the State Legislature wanted to impose all costs of construction, maintenance and repair of bridges in villages rather than the towns in which they are located, it would have done so explicitly. (*Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to determine which party, plaintiff Town of Aurora or defendant Village of East Aurora, is responsible for the maintenance and repair of the Brooklea Drive Bridge, located within both of the municipalities. Because the Village did not assume control of the bridge pursuant to Village Law § 6-606—which sets forth the exclusive methods by which a village may assume control and supervision of a bridge unless said bridge was under village control prior to 1897 (*see* Village Law § 6-604)—we hold that the Town is responsible for maintaining the Brooklea Drive Bridge.

In 1971, the Village Board of Trustees approved construction and financing of the Brooklea Drive Bridge in connection with the development of a residential subdivision. Construction was completed by October 1973. Over the next several decades, the bridge remained, without any apparent repair or modification. Beginning in 2006, the New York State Department of Transportation (DOT) issued yearly structural bridge reports to the Village, flagging the bridge as being in need of repair. The Village undertook no repairs and, in 2010, after receiving several such reports, ultimately informed DOT that the Town was responsible for repairing the bridge. Thereafter, DOT notified the Town that it was responsible for maintaining the bridge and sent it flagged bridge reports for the next three years.

The Town commenced this action, seeking a judgment declaring the Village solely responsible for the supervision, control, care, and maintenance of the Brooklea Drive Bridge. The Town asserted that the Village's control was evidenced by its unilateral construction of the bridge, its uninterrupted exclusive supervision and control thereof, and its failure to properly relinquish control to the Town pursuant to Village Law § 6-608. The Village answered and counterclaimed, arguing that it had never assumed control, care, and maintenance of the bridge in accordance with Village Law § 6-606, and requesting a declaration that the Town was responsible for the costs of the repairs ordered by DOT.

The Town moved for summary judgment and, in support thereof, submitted minutes of the Village Board of Trustees' meetings and other records demonstrating the Village's role in approving and constructing the bridge. The Village cross-moved for summary judgment, proffering an affidavit from the Village Clerk/Treasurer, wherein she averred that the Village had never adopted any resolutions, or taken any actions in connection with permissive referendums, in relation to assuming control over the bridge.

Supreme Court denied the Town's motion for summary judgment, dismissed the complaint, granted the Village's cross motion, directed entry of judgment on the Village's counterclaim, and declared both that the Village had never assumed control of the Brooklea Drive Bridge in accordance with Village Law § 6-606 and that the Town was responsible for the maintenance of any other bridge located in the Village with respect to which the Village had not assumed control under section 6-606. Following the Town's appeal, the Appellate Division reversed, reinstated the complaint, granted the Town's motion for summary judgment, and denied the Village's cross motion (149 AD3d 1506 [4th Dept 2017]). That Court declared "that the Village . . . [wa]s responsible for the supervision, control, care, and maintenance of the . . . bridge" because the Village had "planned, financed, and constructed" the bridge and "was the only entity ever to exercise . . . supervision and control" over it (149 AD3d at 1507). The Court further held that the Village was not entitled to a declaration regarding any other bridges in its boundaries (*see id.* at 1508). We granted the Village leave to appeal (29 NY3d 919 [2017]).

In its current form, Village Law § 6-604 provides that,

> "[i]f the board of trustees of a village has the supervision and control of a bridge therein, it shall continue to exercise such control under this chapter. In any other case, every public bridge within a village shall be under the control of the . . . town in which the bridge is wholly or partly situated, . . . and the expense of constructing and repairing such bridge and the approaches thereto is a town charge, unless the village assumes the whole or part of such expense."

The latter part of section 6-604 states the long-established general rule that "[a]ll bridges within a village . . . are expressly made the responsibility of the town, unless the village has voluntarily assumed responsibility therefor" (*Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718, 724 [1999]; *see* Village Law § 6-604; Highway Law § 140).

Village Law § 6-606, entitled "[w]hen [a] village may construct or repair bridges," states, as relevant here, that

> "[a] village may assume the control, care and maintenance of a bridge or bridges wholly within its boundaries, upon the adoption of a resolution of the board of trustees therefor; such action, however, shall be subject to a permissive referendum as provided in this chapter or the board of trustees may enter into an agreement with the town, in which any part of such village is situated, to construct or repair a bridge in any part of the village included in such town, at the joint expense of the village and town, which agreement shall fix the portion to be paid by each. Such action of the board of trustees shall be subject to a permissive referendum as provided in this chapter."

This provision, by its plain terms, sets forth an exception to the general rule that a town is responsible for all bridges within its boundaries by permitting a village to assume control over a bridge through the adoption of a resolution by its board of trustees or an express agreement with the town, both of which are subject to permissive referendums.

Here, the Village argues that the Town is responsible for the repair and maintenance of the Brooklea Drive Bridge because the Village never assumed supervision and control over the bridge through either mechanism outlined in Village Law § 6-606. In response, the Town asserts that the procedures set forth in section 6-606 are not the exclusive methods by which a village may obtain control of a bridge. The Town further contends that, in any event, the Village has supervision and control of the bridge pursuant to the first sentence of Village Law § 6-604.

"[W]hen presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature" (*Samiento v World Yacht Inc.*, 10 NY3d 70, 77-78 [2008], quoting *Matter of Daimler-Chrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). As we have often explained, because "the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; *see Matter of Avella v City of New York*, 29 NY3d 425, 434 [2017]). "We are also guided in our analysis by the familiar principle 'that a statute . . . must be construed as a whole and that its various sections must be considered together and with reference to each other' " (*Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712, 721 [2012], quoting *People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]). "Additionally, we should inquire 'into the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history' " (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012], quoting *Nostrom v A.W. Chesterton Co.*, 15 NY3d 502, 507 [2010]).

[1] The Town argues, and the Appellate Division held, that a village has discretion to assume control of bridges in ways other than those enumerated in Village Law § 6-606. We disagree. " '[W]here a law expressly describes a particular act, thing or person to which it shall apply, an irrefutable inference must be drawn that what is omitted or not included was intended to be omitted or excluded' " (*Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36, 42-43 [2005], quoting McKinney's Cons Laws of NY, Book 1, Statutes § 240, Comment at 411-412 [1971 ed]; *see Pajak v Pajak*, 56 NY2d 394, 397 [1982]). Here, the legislature has limited the methods by which a village may assume control of a bridge by establishing specific procedures to be followed.[1] Had the legislature intended for a village to have the ability to unilaterally construct, and thereby control, a bridge—without regard to the passage of resolutions, agreements with the town, or permissive referendums—the legislature could easily have so stated, and its failure to do so compels the conclusion that such other methods of assuming control are ineffective (*see Pajak*, 56 NY2d at 397; McKinney's Cons Laws of NY, Book 1, Statutes § 74).

Moreover, contrary to the Town's assertion, the legislature's use of the word "may" in Village Law § 6-606 reflects only that a village has discretion in choosing *whether* to assume control of a bridge—since the default rule under section 6-604 is that towns are responsible for bridges within their boundaries—not that a village has discretion regarding *how* to assume such responsibility. That is, a village may assume control and supervision of a bridge if it elects to do so but, because the legislature has precluded villages from obtaining control through other means by establishing specifically authorized mechanisms in Village Law § 6-606, a village must follow the procedures outlined in that statute.

The Town claims that, in addition to assuming control pursuant to Village Law § 6-606, a village may be responsible for a bridge under the first clause of section 6-604 merely because that village has exercised exclusive supervision and control thereof, without regard to when the bridge was constructed. This argument is unavailing. In pertinent part, Village Law § 6-604 sets forth an exception to section 6-606—namely, that "[i]f the board of trustees of a village has the supervision and control of a bridge therein, it shall continue to exercise such control under this chapter." However, section 6-604 does not

1. This is also reflected by the legislative caveat in Village Law § 6-606 stating that "[n]othing in . . . section [6-606] shall be deemed to limit the power of villages to enter into agreements for the construction and repair of bridges pursuant to the provisions of article five-G of the general municipal law"; this provision would be unnecessary if section 6-606 was not otherwise exclusive.

explain how a village may have previously secured supervision and control of a bridge under that provision. A review of the history of Village Law § 6-604 sheds light on that question and reveals that the clause operates only as an exemption clause for bridges existing prior to 1897; it does not authorize a separate continuing means by which a village may assume supervision and control over a bridge.

" '[T]he history of the times, the circumstances surrounding the statute's passage, and . . . attempted amendments' " are, of course, "[p]ertinent" to matters of statutory interpretation (*Riley v County of Broome*, 95 NY2d 455, 464 [2000], quoting McKinney's Cons Laws of NY, Book 1, Statutes § 124, Comment at 253 [1971 ed]). In that regard, the content of Village Law §§ 6-604 and 6-606 was first codified in Village Law §§ 142 and 143, enacted in 1897 (*see* L 1897, ch 414). In its original form, section 142—which later became section 6-604—provided that,

> "*[i]f at the time this chapter takes effect*, the board of trustees of a village has the supervision and control of a bridge therein, it shall continue to exercise such control under this chapter. In any other case, every public bridge within a village shall be under the control of the . . . town . . . and the expense of constructing and repairing such bridge . . . is a town charge, unless the village assumes the whole or part of such expense" (L 1897, ch 414, § 142 [emphasis added]).

The highlighted prefatory language establishes that villages had, and would continue to have, supervision and control over those bridges that were already constructed and supervised by villages in 1897, before the legislature's adoption through section 143 (the substance of which was later largely transferred to Village Law § 6-606) of limited and specific statutory methods of assuming control (*see* L 1897, ch 414, § 143). By inclusion of the phrase "[i]f at the time this chapter takes effect," the legislature signaled its intent to continue to recognize village control over those bridges already under village control at the time sections 142 and 143 were enacted, which bridges were thereby excluded from the new limitations placed on the manner in which villages could henceforth acquire control of bridges under section 143 (L 1897, ch 414, § 142). Thus, as originally enacted, section 142 could not reasonably be read to provide a method by which villages could assume control of a bridge, absent compliance with section 143, after 1897.

Significantly, the language limiting application of the first sentence of Village Law § 142 to those bridges already controlled by villages in 1897 remained in the statute until 1973, at which time the legislature undertook a general revision and renumbering of the Village Law (*see* former Village Law § 142 [1966 ed superseded in 1973]). Thus, until at least 1973, the methods of assuming control set forth in Village Law § 143 (later transferred to section 6-606) governed, absent existing village control established prior to 1897. Indeed, both the Attorney General and the New York State Comptroller have interpreted the Village Law in this manner—both prior to and following the 1973 revision of the Village Law (*see* 1974 Ops Atty Gen 300; 1969 Ops Atty Gen 106; 1964 Ops St Comp No. 64-305; 1960 Ops Atty Gen 205).

It is true that, when the legislature recodified Village Law § 142 as section 6-604 effective in 1973, it omitted the prefatory language referring to the time that section 142 took effect (*see* L 1972, ch 892, § 3; Village Law § 6-604). However, "[i]t is a cardinal principle of statutory interpretation that the intention to change a long-established rule or principle is not to be imputed to the legislature in the absence of a clear manifestation" (*Matter of Delmar Box Co. [Aetna Ins. Co.]*, 309 NY 60, 66 [1955]; *see McGowan v Mayor of City of N.Y.*, 53 NY2d 86, 94 [1981]). In addition, where—as here—there are slight changes in the language of a statute as part of a general revision, "a change in the manner of expression does not necessarily indicate a change in meaning" because "where the law, as it previously stood, was settled either by adjudication or by frequent application of the statute without question, a mere change in the phraseology is not to be construed as a change in the law, unless the purpose of the legislature to work a change is clear and obvious" (*Henavie v New York Cent. & Hudson Riv. R.R. Co.*, 154 NY 278, 281 [1897]). Stated differently, "where the Legislature votes a general revision of a code with hundreds of changes[,] we will not interpret a minor change in language to indicate a [change in] meaning unless legislative purpose so to change the meaning is clear" (*Schneider v Schneider*, 17 NY2d 123, 127 [1966]).

We must "give the statute a sensible and practical over-all construction, which is consistent with and furthers its scheme and purpose and which harmonizes all its interlocking provisions" (*Matter of Long v Adirondack Park Agency*, 76 NY2d 416, 420 [1990]). Consequently, we will not interpret the legislature's omission of the prefatory language from Village Law § 6-604 during its general revision of that body of law as intending a substantive change that would, without explanation or proof of intent, drastically alter the statutory scheme and introduce significant uncertainty into the law governing the control of bridges. Rather, it is likely that the legislature omitted the reference to 1897 in light of the significant passage of time—over 75 years—deeming a reference to the effective date of the predecessor statute no longer necessary. In fact, to conclude otherwise would be to countenance an "absurd result that would frustrate the statutory purpose" of clearly delineating which municipal entities are responsible for the care of bridges (*id.*; *see New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 19 NY3d 17, 26 [2012]). More specifically, the Town's interpretation would mean that, from 1897 to 1973, a village could not obtain control over a bridge without following the strictures of Village Law § 143 or Village Law § 6-606 but, from 1973 forward, a village could gain control of a bridge simply by undertaking some undefined degree of maintenance or supervision. This cannot be. Moreover, the Town's interpretation would disenfranchise village residents who—since 1897—have had a statutory right to challenge a decision by a village government to assume control of a bridge.

In short, pursuant to Village Law §§ 6-604 and 6-606, if a village did not have control and supervision of a bridge prior to 1897, there are two ways in which a village may assume control—namely by passing a resolution, subject to a permissive referendum, or by entering into an agreement with the town, also subject to a permissive referendum. On the facts presented here, there is no viable claim that the Village assumed control of the Brooklea Drive Bridge prior to 1897 since the bridge was not yet in existence. Further, there is no claim that the Town and Village entered into an agreement to fix control of the bridge. Finally, while the Village may have passed resolutions related to the construction and financing of the bridge, the Village's submissions in support of its motion for summary judgment establish—without contradiction—that the procedures for a permissive referendum were never undertaken (*see* Village Law § 9-900). Thus, the Village does not have control over the Brooklea Drive Bridge under the statutory scheme. Pursuant to section 6-604, the bridge is, therefore, under the control of the Town, and the Village is entitled to the declaration sought regarding that bridge.[2]

[2] To the extent the Village also seeks a declaration regarding the rights of the parties with respect to other bridges located in the Village, no such declaration should issue. Even assuming that the matter of other bridges was properly raised by the Village before the trial court, the Village is not entitled to a declaration beyond that relating to the Brooklea Drive Bridge because the facts pertaining to other bridges are not before the Court. "Until disputed questions of fact necessary to be determined before judgment can be rendered are settled, it is plain that rights and legal relations cannot be determined, defined and declared" (*Rockland Light & Power Co. v City of New York*, 289 NY 45, 50 [1942] [internal quotation marks and citation omitted]).

Accordingly, the order of the Appellate Division should be modified, without costs, by (1) denying plaintiff Town of Aurora's motion for summary judgment, (2) granting defendant Village of East Aurora's motion for summary judgment, only to the extent it sought a declaration in its favor as to the Brooklea Drive Bridge, and (3) reinstating so much of the judgment of Supreme Court as declared the Town of Aurora is responsible for the expenses of repairing the Brooklea Drive Bridge, and, as so modified, affirmed.

FAHEY, J. (dissenting in part). I respectfully dissent in part. The Village of East Aurora unilaterally built an access bridge to a Village neighborhood over 40 years ago. It did so without any participation by the Town of Aurora. It never relinquished control or authority over that bridge. After the New York State Department of Transportation (DOT) told the Village that safety repairs were needed, the Village responded by claiming the Town was really the responsible party. This is simply a bridge too far.

I agree with the majority there is no basis upon which to issue "a declaration beyond that relating to the Brooklea Drive Bridge because the facts pertaining to other bridges are not

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2. We do not disregard the Town's assertion that the statutes produce an arguably unfair result ensuing from the failure of a village to act in accordance with Village Law § 6-606 and its construction of a bridge without the appropriate statutory authority. We note, however, that in such instances the town may pursue legal remedies to prevent construction of the bridge, or its use thereafter, by a village that has not complied with section 6-606.

before the Court" (majority op at 377). I disagree with the majority, however, that Village Law § 6-606 establishes "the exclusive methods by which a village may assume control and supervision of a bridge unless said bridge was under village control prior to 1897" (majority op at 369).

Under the Village Law it was not necessary for defendant, the Village of East Aurora, to pass a resolution pursuant to Village Law § 6-606 to assume the control, care, and maintenance of the Brooklea Drive Bridge (generally, bridge). Moreover, the Village never was divested of the exclusive supervision and control over the bridge that it assumed in erecting that structure. Under the circumstances of this case I would conclude that the responsibility for the bridge in question rests not with plaintiff, the Town of Aurora, but with the Village.

In 1961, the Brooklea Farms subdivision was developed within the Village. With the subsequent growth of the subdivision came the need for additional means of access for area residents. The Village's Board of Directors planned, approved, and constructed the bridge. It was completed in October 1973.[1] The bridge sits entirely within the Village, and no repairs to that structure have been made since it was completed.

In May 2006, the DOT issued a report noting a dangerous structural condition with respect to the bridge that required correction. That condition, however, went unaddressed through May 2010, when the Village began to posit that, pursuant to Village Law § 6-604, the Town is responsible for the repair of that structure. The Town subsequently commenced this action seeking, among other things, judgment declaring that the Village "is responsible for the supervision, control, care and maintenance of the [subject bridge]."

Like the Appellate Division (149 AD3d 1506, 1507 [4th Dept 2017]), I agree with the Town that "responsibility for the [bridge] properly rests with the Village." Review of the question of the responsibility for the bridge begins with Village Law § 6-604, which took effect on September 1, 1973 (*see* L 1972, ch 892, § 3) and which provides, in simple terms, that if a village has supervision and control of a bridge within its boundaries, then it shall continue to maintain that responsibility. By contrast, under the same statute, if a village does not have

1. The parties do not dispute that the bridge was not completed until after Village Law § 6-604 became effective on September 1, 1973 (*see* L 1972, ch 892, § 3).

that control, then responsibility for the construction and repair of a bridge rests with the superintendent of highways of the town in which the bridge wholly or partially sits.

The relevant part of Village Law § 6-604 specifically provides that

> "[i]f *the board of trustees of a village has the supervision and control of a bridge therein, it shall continue to exercise such control* . . . . In any other case, every public bridge within a village shall be under the control of the [superintendent] of highways of the town in which the bridge is wholly or partly situated, or such other officer as may be designated by special law, and the expense of constructing and repairing such bridge and the approaches thereto is a town charge, unless the village assumes the whole or part of such expense" (emphasis added).

Attention next turns to Village Law § 6-606, which also took effect on September 1, 1973 and which considers the vesting of control over bridges. That statute provides that "[a] village may assume the control, care and maintenance of a bridge . . . wholly within its boundaries, upon the adoption of a resolution of the board of trustees therefor" (Village Law § 6-606; *see* L 1972, ch 892, § 3).

Our primary task on this appeal is to determine whether the permissive resolution mechanism in Village Law § 6-606 is the only means by which a village may assume control of a bridge. It is not. The Appellate Division analyzed this issue succinctly and correctly: "[a]lthough Village Law § 6-606 provides that a village 'may' obtain control of a bridge by a resolution of its board, it does not provide that a village 'may only' obtain control by that method" (149 AD3d at 1508, citing Village Law § 6-606). That conclusion follows classic rules of statutory interpretation: the clearest indicator of legislative intent is the statutory text (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]), and "an irrefutable inference must be drawn that what is omitted or not included [in a statute] was intended [by the legislature] to be omitted or excluded" (*Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662, 665 [1988] [internal quotation marks omitted]). If the legislature intended Village Law § 6-606 to serve as the exclusive means for a village to gain control of a bridge, then it would have provided as much, by simply stating either that a village "assumes" control when it complies with the mechanism described in section 6-606 or that a village "may *only*" obtain control when it does so.

Legislative omission is relevant to this case for another reason. In 1897 the legislature enacted Village Law former § 142, which provided, in pertinent part, that

> "[i]f[,] *at the time this chapter takes effect*, the board of trustees of a village has the supervision and control of a bridge therein, it shall continue to exercise such control under this chapter. In any other case, every public bridge within a village shall be under the control of the commissioners of highways of the town in which the bridge is wholly or partly situated . . . , and the expense of constructing and repairing such bridge . . . is a town charge, unless the village assumes the whole or part of such expense" (L 1897, ch 414, § 142 [emphasis added]).

That law was repealed in 1972 and replaced at that time by Village Law § 6-604. Absent from section 6-604 is language providing that control of a bridge automatically vests with a town unless a village subsumed within such a municipality had control of a disputed bridge prior to 1897. That is, in section 6-604, the legislature omitted the "at the time this chapter takes effect" language that had been incorporated into Village Law former § 142, meaning that, in the absence of a permissive referendum pursuant to Village Law § 6-606, control of the bridge does not default to the Town simply because the Village built that structure after 1897.[2] To conclude otherwise would be to ignore the plain language of Village Law § 6-604 and to settle on a construction yielding the absurd result that a village may "unilaterally [erect] and maintain a bridge only to later disclaim responsibility when repair costs [arise]" (149 AD3d at 1508; *see generally People v Pabon*, 28 NY3d 147, 156 [2016]; McKinney's Cons Law of NY, Book 1, Statutes § 145).

It is undisputed that the Village planned, financed, constructed, and benefited from the bridge since its completion,

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2. The fact that the legislature chose not to cabin through Village Law § 6-606 the power of villages to enter into contracts for the construction and repair of bridges under article 5-G of the General Municipal Law is of no moment; through that article the legislature, among other things, authorized the municipalities to contract "out" certain services to other municipal entities (*cf.* majority op at 373 n 1).

and that the Town has not maintained that structure. Under the relevant parts of the Village Law, the Village should now be responsible for that structure. I would affirm the Appellate Division order.

Chief Judge DiFiore and Judges Wilson and Feinman concur; Judge Fahey dissents in part and votes to affirm in an opinion, in which Judges Rivera and Garcia concur.

Order modified, without costs, by (1) denying plaintiff Town of Aurora's motion for summary judgment, (2) granting defendant Village of East Aurora's motion for summary judgment only to the extent it sought a declaration in its favor as to the Brooklea Drive Bridge, and (3) reinstating so much of the judgment of Supreme Court, Erie County, as declared the Town of Aurora is responsible for the expenses of repairing the Brooklea Drive Bridge, and, as so modified, affirmed.

[117 NE3d 730, 93 NYS3d 171]

EXPRESSIONS HAIR DESIGN et al., Respondents, v ERIC T. SCHNEIDERMAN, in His Official Capacity as Attorney General of the State of New York, et al., Appellants.

Argued September 12, 2018; decided October 23, 2018

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: "Does a merchant comply with New York's General Business Law § 518 so long as the merchant posts the total-dollars-and-cents price charged to credit card users?"

HEADNOTE

Consumer Protection — Deceptive Acts and Practices — Merchants Charging Higher Price to Customers Paying by Credit Card — Posting of Total Dollars-and-Cents Price Required

A merchant seeking to recoup transaction fees charged by credit card companies by engaging in differential pricing whereby customers using credit cards are charged more than those paying by cash or check complies with General Business Law § 518's prohibition on "impos[ing] a surcharge on a holder who elects to use a credit card in lieu of payment by cash, check, or similar means" if the merchant posts the total dollars-and-cents price charged to credit card users. Accordingly, the single-sticker pricing scheme proposed by plaintiff merchants stating the cash price in dollars and cents and the credit card price as a percentage or dollars-and-cents amount reflecting only the additional charge for credit card purchases was prohibited by the statute. The intent of New York's legislature, in enacting General Business Law § 518, was to replicate the prohibitions contained in certain federal legislation in effect from 1976 to 1984 and enacted through amendments to the federal Truth in Lending Act of 1968 and create a ban coextensive with its recently defunct federal counterpart. General Business Law § 518's legislative history demonstrates a desire to allow differential pricing, but to avoid the duping of customers by posting or tagging low prices that turn out to be available for cash purchases only. Thus, the statute permits differential pricing but requires that a higher price charged to credit card users be posted in total dollars-and-cents form. In that way, credit card customers are exposed to the highest price when they see a tagged or posted price and, without further ado, apprehend the actual price they will pay. The omission of the federal definitions of "surcharge" and "discount" did not justify a reading of the statute that would defeat the legislature's plain intent to extend the federal law for New Yorkers.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Credit Cards and Charge Accounts § 8.
McKinney's, General Business Law § 518.
NY Jur 2d Credit Cards and Letters of Credit § 9.

ANNOTATION REFERENCE

Regulation of or Liability Arising from Credit/Debit Card Swipe Fees, Surcharges, or Interchange Fees. 31 ALR7th Art. 3.

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Query: higher /3 price charge /s "credit card" & prohibit!

POINTS OF COUNSEL

Barbara D. Underwood, Attorney General, New York City (*Judith N. Vale* and *Steven C. Wu* of counsel), for appellants. A seller may comply with New York's surcharge law by posting the total dollars-and-cents prices it charges to credit-card users. (*People v Fulvio*, 136 Misc 2d 334; *Matter of Jacob*, 86 NY2d 651; *Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586; *Zauderer v Office of Disciplinary Counsel of Supreme Court of Ohio*, 471 US 626; *Milavetz, Gallop & Milavetz, P.A. v United States*, 559 US 229; *New York State Rest. Assn. v New York City Bd. of Health*, 556 F3d 114; *Citizens United v Federal Election Comm'n*, 558 US 310; *Spirit Airlines, Inc. v United States Dept. of Transp.*, 687 F3d 403.)

Gupta Wessler PLLC, Washington, D.C. (*Joshua Matz, Deepak Gupta* and *Jonathan E. Taylor* of counsel), and *Friedman Law Group LLP*, New York City (*Gary Friedman* of counsel), for respondents. I. This Court should reformulate the certified question. (*Beck Chevrolet Co., Inc. v General Motors LLC*, 27 NY3d 379; *Flo & Eddie, Inc. v Sirius XM Radio, Inc.*, 28 NY3d 583; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Israel v Chabra*, 12 NY3d 158.) II. This Court should interpret General Business Law § 518 as prohibiting only *undisclosed* credit card surcharges. (*Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586; *People v Golb*, 23 NY3d 455; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *People v*

Silburn, 31 NY3d 144; *Dana's R.R. Supply v Attorney General, Fla.*, 807 F3d 1235; *People v Correa*, 15 NY3d 213; *People v Davidson*, 27 NY3d 1083; *People v Stephens*, 28 NY3d 307; *Central Hudson Gas & Elec. Corp. v Public Serv. Commn. of N.Y.*, 447 US 557.)

OPINION OF THE COURT

FAHEY, J.

General Business Law § 518 states: "No seller in any sales transaction may impose a surcharge on a holder who elects to use a credit card in lieu of payment by cash, check, or similar means." Few statutes have provoked such diverse interpretations. Our task is to answer a certified question from the United States Court of Appeals for the Second Circuit concerning the meaning of the statute: "Does a merchant comply with New York's General Business Law § 518 so long as the merchant posts the total-dollars-and-cents price charged to credit card users?" (877 F3d 99, 107 [2017].) The parties agree that General Business Law § 518 permits differential pricing, in which a merchant offers discounts to customers who pay by cash, so that customers pay a higher price, for the same item, if they use a credit card, than they would if they paid cash. What the statute prohibits is a more difficult inquiry. For the reasons explained below, we answer the Second Circuit's question in the affirmative.

I.

Credit card companies charge merchants transaction fees or "swipe fees" for customer payments made by credit card. Merchants may pass those fees onto customers, in different ways. A merchant may distribute the cost to all customers, regardless of the means by which they pay, or a merchant may charge those using credit cards more than those who pay by cash, check, or the like. The latter is called "differential pricing."

Plaintiffs are five merchants who allege that they wish to engage in differential pricing and to inform customers of their practice by stating the cash price in dollars and cents and the credit card price as a percentage or dollars-and-cents amount, reflecting only the additional charge for credit card purchases and not the total dollars-and-cents price for such purchases. The point is best illustrated by examples. Plaintiffs wish to tell their customers, for example, that "a haircut costs $10.00, and if you pay with a credit card you will pay 3% extra" or "a haircut costs $10.00, and if you pay with a credit card you will pay an additional 30 cents."[1] This practice, "listing one price and a separate surcharge amount," has been described as "a single-sticker regime" (*Expressions Hair Design v Schneiderman*, 581 US —, —, 137 S Ct 1144, 1151 [2017]) or a "single-sticker-price scheme" (*Expressions Hair Design v Schneiderman*, 877 F3d 99, 101 [2d Cir 2017]), and we refer to it similarly. The merchants have challenged General Business Law § 518 as a violation of their First Amendment rights, to the extent that it allows them to charge credit card users higher prices but prohibits them from describing the price difference as they wish.[2]

II.

In 2013, plaintiffs Expressions Hair Design, Five Points Academy, Brooklyn Farmacy & Soda Fountain, Brite Buy Wines & Spirits, and Patio.com commenced a lawsuit in federal court against the Attorney General of New York and three District Attorneys, challenging General Business Law § 518. Plaintiffs seek to enjoin the enforcement of the statute on the grounds that it violates the First Amendment and is unconstitutionally vague.

The United States District Court for the Southern District of New York, after noting that "*Alice in Wonderland* has nothing on section 518 of the New York General Business Law" (*Expressions Hair Design v Schneiderman*, 975 F Supp 2d 430, 435 [SD NY 2013]), ruled that General Business Law § 518 violates the First Amendment (*see id.* at 444). The District Court also held that the statute is void for vagueness (*see id.* at 448). The court duly enjoined the defendants from enforcing the statute.

The United States Court of Appeals for the Second Circuit vacated the District Court's judgment (*see Expressions Hair Design v Schneiderman*, 808 F3d 118 [2d Cir 2015]), interpreting the statute to prohibit the plaintiffs' desired single-sticker pricing scheme but reasoning that the statute is merely a price regulation that does not implicate First Amendment concerns

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1. In their brief, plaintiffs give the examples: "Sandwich: $10 cash price"/"$0.20 per item added to credit-card purchases" and "Sandwich: $10 cash price"/"2% per item added to credit-card purchases."

2. It is not clear from the record and oral argument whether one of the plaintiffs, Expressions Hair Design, still wishes to advertise its pricing scheme in this manner. It no longer does so.

(*see id.* at 130-135). The Second Circuit also rejected plaintiffs' vagueness challenge (*see id.* at 142-144).[3]

In 2017, the United States Supreme Court in turn vacated the Second Circuit's judgment (*see Expressions Hair Design*, 581 US at —, 137 S Ct at 1151). Limiting its review to plaintiffs' proposed single-sticker regime, the Supreme Court accorded deference to, and followed, the Second Circuit's interpretation that "signs of the kind that the merchants wish to post . . . violate § 518 because they identify one sticker price—$10—and indicate that credit card users are charged more than that amount" (581 US at —, 137 S Ct at 1149). However, the Supreme Court held that the prohibition of this practice does implicate the First Amendment (*see* 581 US at —, 137 S Ct at 1150-1151).

As the Supreme Court understood General Business Law § 518, that law

> "regulate[s] . . . how sellers may communicate their prices. A merchant who wants to charge $10 for cash and $10.30 for credit may not convey that price any way he pleases. He is not free to say '$10, with a 3% credit card surcharge' or '$10, plus $0.30 for credit' because both of those displays identify a single sticker price—$10—that is less than the amount credit card users will be charged. Instead, if the merchant wishes to post a single sticker price, he must display $10.30 as his sticker price. . . . In regulating the communication of prices rather than prices themselves, § 518 regulates speech" (581 US at —, 137 S Ct at 1151).

The Supreme Court remanded the case to the Second Circuit for evaluation of General Business Law § 518 as a restraint on speech (*see id.*), leaving it to the Second Circuit to determine on remand which of two standards should be used to evaluate whether the statute violates the First Amendment: the

3. Additionally, the Second Circuit found no basis to conclude that the statute would violate the First Amendment as applied to a hypothetical *two*-sticker pricing scheme in which a merchant characterized the price difference as involving a "surcharge" or an "extra" charge for paying with a credit card (*see id.* at 135-142). The court reasoned that "it is far from clear that Section 518 prohibits [such] conduct in the first place" (*id.* at 137) because, "[i]n light of the fact that Section 518's enactment was driven by the expiration of the federal surcharge ban, it is entirely possible, if not likely, that New York courts would construe Section 518 as being identical to the lapsed federal ban" (*id.* at 139).

conventional commercial speech standard of *Central Hudson Gas & Elec. Corp. v Public Serv. Comm'n of N. Y.*, 447 US 557 [1980]) or instead the standard announced in *Zauderer v Office of Disciplinary Counsel of Supreme Court of Ohio* (471 US 626 [1985]), applicable to commercial disclosure statutes. Finally, the High Court rejected plaintiffs' vagueness challenge (*see Expressions Hair Design*, 581 US at —, 137 S Ct at 1151-1152).

On remand, the Second Circuit determined that certification was appropriate and asked us "whether a merchant complies with Section 518 so long as the merchant posts the total dollars-and-cents price charged to credit card users" (*Expressions Hair Design*, 877 F3d at 102; *see also id.* at 100, 107).

The Second Circuit noted that it would "apply a more lenient standard of review when adjudicating a First Amendment challenge to a law that forces a commercial entity to make purely factual and uncontroversial disclosures regarding the product it is offering for sale" (*id.* at 103 [internal quotation marks and citations omitted]). "If Section 518 forces a merchant to disclose an item's credit-card price, without otherwise either barring the merchant from (a) implementing (and describing to customers) a pricing scheme that differentiates between payments by credit card and cash or (b) conveying to its customers other information the merchant finds relevant, then *Zauderer* might apply," but "if the statutory prohibition sweeps much more broadly, then *Central Hudson* might apply" (*id*. at 104). Before deciding the question of standard of review, the Second Circuit sought from us "clarification of . . . the actual scope of Section 518's rule" (*id*.).

We accepted the Second Circuit's certified question pursuant to section 500.27 of our Rules of Practice (22 NYCRR 500.27).

III.

Although plaintiffs have requested that we reformulate the Second Circuit's question, we see no need to rephrase it. We interpret the question to ask whether a merchant, when posting the price of an item, complies with General Business Law § 518 if and only if the merchant posts the total dollars-and-cents price charged to credit card users. Primarily, the Second Circuit seeks to know whether posting the total dollars-and-cents price is a necessary condition of satisfying the statute or whether, instead, a merchant who displays prices using the single-sticker regime would also satisfy the statute.

New York General Business Law § 518 reads:

> "No seller in any sales transaction may impose a surcharge on a holder who elects to use a credit card in lieu of payment by cash, check, or similar means.
>
> "Any seller who violates the provisions of this section shall be guilty of a misdemeanor punishable by a fine not to exceed five hundred dollars or a term of imprisonment up to one year, or both."

Notably, neither plaintiffs nor defendants contend that General Business Law § 518 prohibits differential pricing.[4] Indeed, the legislative history of the statute clearly demonstrates that it was not intended to prohibit dual pricing. For example, the State Senate and Assembly Sponsors' Memorandum in support of the legislation makes clear that, under General Business Law § 518, "merchants are permitted to offer cash discounts" (Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 6, 1984 NY Legis Ann at 93; *see also* Letter from Assembly Sponsor, May 30, 1984, Bill Jacket, L 1984, ch 160 at 8 ["It is important to note that this bill does nothing to prevent a seller from offering a discount to consumers who pay by cash or check"]; Mem of Associate Counsel, NY St Consumer Protection Bd, June 1, 1984, Bill Jacket, L 1984, ch 160 at 10 ["Merchants . . . may continue to offer discounts to those customers purchasing in cash"]). Instead, the legislative history demonstrates that the statute governs the manner in which a merchant displays or posts its differential prices.

General Business Law § 518, enacted in 1984 (*see* L 1984, ch 160), was modeled on certain federal legislation, which had been in effect from 1976 to 1984. The meaning of that legislation is the key to the certified question in this case.

In 1976, the United States Congress passed an amendment to the Truth in Lending Act (TILA) of 1968, providing that "[n]o seller in any sales transaction may impose a surcharge on a cardholder who elects to use a credit card in lieu of payment by cash, check, or similar means" (Act of Feb. 27, 1976, Pub L 94-222, § 3 [c], 90 US Stat 197, codified at 15 USC § 1666f [a] [former (2)]). The 1976 version of TILA thus barred merchants from imposing "surcharges" on customers who use credit cards.

4. Defendants assert this interpretation only as a fallback to which they would retreat if we were to reject their principal contentions.

The wording (except for the insignificant difference between "cardholder" and "holder") is identical to that later used by New York in General Business Law § 518.

In the 1976 amendment, Congress defined the terms "discount" (as used in the preexisting version of TILA) and "surcharge" (as used in the amendment prohibiting a surcharge) as follows:

> "The term 'discount' . . . means a reduction made from the regular price. The term 'discount' . . . shall not mean a surcharge.
>
> ". . . The term 'surcharge' . . . means any means of increasing the regular price to a cardholder which is not imposed upon customers paying by cash, check, or similar means." (*Id.* § 3 [a], codified at 15 USC § 1602 [p], [q], now codified at 15 USC § 1602 [q], [r].)

Significantly, a 1981 renewal of the statute (*see* Cash Discount Act, Pub L 97-25, § 102 [a], 95 US Stat 144 [97th Cong, 1st Sess, July 27, 1981]) supplemented the provisions—which had defined "discount" and "surcharge" in terms of the retailer's "regular price"—by defining the term "regular price." The 1981 renewal added a provision explaining the concept as follows:

> "[T]he term 'regular price' means the tag or posted price charged for the property or service if a single price is tagged or posted, or the price charged for the property or service when payment is made by use of . . . a credit card if either (1) no price is tagged or posted, or (2) two prices are tagged or posted, one of which is charged when payment is made by use of . . . a credit card and the other when payment is made by use of cash, check, or similar means." (Cash Discount Act § 102 [a], Pub L 97-25, § 102 [a], 95 US Stat 144, codified at 15 USC § 1602 [z], now codified at 15 USC § 1602 [y].)

If a merchant "tagged or posted" a single price, the "regular price" was that single price. If no price was tagged or posted, or if a merchant employed a two-sticker approach—posting one total price for credit and another for cash—the regular price was defined as the price charged to credit card users. Under the 1981 amendment, then, because the prohibited "surcharge" had been defined as an increase from the regular price, and the "regular price" was now defined to include the amount charged to credit card customers when that higher amount was posted, there would be no prohibited credit card "surcharge" if the total credit card price was posted.

The definition of "regular price" was intended to clarify that the no-surcharge provision "permits merchants to have two-tier pricing systems and to offer a differential between the credit price and the cash price" as long as merchants ensure that "when prices are tagged or posted, *the consumers will be exposed to the highest price* when they see a tagged or posted price" (S Rep 97-23, 97th Cong, 1st Sess at 4 [emphasis added], reprinted in 1981 US Code Cong & Admin News at 77). The effect of the 1981 amendment was to explain the statute's significance: a merchant who displayed two-sticker pricing, in which the total credit card price in dollars-and-cents form was listed alongside the cash price, would comply with the federal statute, as would a merchant who displayed only the higher, credit card price. On the other hand, as the United States explained in the amicus brief submitted to the Supreme Court in this case, the statute would be violated "when the merchant displayed the lower cash price in dollars and cents without doing the same for the higher credit-card price" (brief for United States as amicus curiae supporting neither party at 8 [Nov. 21, 2016] in *Expressions Hair Design v Schneiderman*, 581 US —, 137 S Ct 1144 [2017], available at 2016 WL 6892600). As the Supreme Court interpreted the federal law, a merchant would "violate the surcharge ban only by posting a single price and charging credit card users more than that posted price" (*Expressions Hair Design*, 581 US at —, 137 S Ct at 1147).

The federal statute, effective for three years following its renewal in 1981, lapsed in February 1984. In New York, a state law was quickly proposed to replace the federal ban. General Business Law § 518, which became effective on June 5, 1984, copied the operative text of the lapsed federal provision prohibiting surcharges, except that the New York statute did not include definitions of "discount," "surcharge," or "regular price." The New York statute has been enforced only in a sporadic manner. The first prosecution appears to have occurred in 1986, followed by a long hiatus and then further enforcement about a decade ago.

IV.

The purpose of the federal statute is clear. It was intended to ensure

> "that consumers will be seeing at least the highest possible price they will have to pay when they see a tagged or posted price. In other words, consumers cannot be lured . . . on the basis of the 'low, rock-bottom price' only to find at the cash register that the price will be higher if a credit card is used" (S Rep 97-23 at 4, reprinted in 1981 US Code Cong & Admin News at 77).

"Each individual merchant should be free to determine what manner or method of disclosure best suits his or her purpose, so long as a good faith effort has been made to clearly and conspicuously disclose the availability of cash discounts" (S Rep 97-23 at 3, reprinted in 1981 US Code Cong & Admin News at 76). In other words, the concern of Congress was the prohibition of deceptive marketing. As Senator John Chafee described in debate, a customer, when confronted with a higher price at the last moment, may decline to pay but, on the other hand, "we are all susceptible to being bullied" and "[t]he customer is not going to go through the embarrassment" of deciding not to purchase an item because of a sudden late surcharge (127 Cong Rec S4220 [Mar. 12, 1981]).

It is also clear that the intent of New York's legislature, in enacting General Business Law § 518, was to replicate the prohibitions in the federal statute and create a ban coextensive with its recently defunct federal counterpart. The State Senate and Assembly sponsors of the bill wrote in their Memorandum in Support that the proposed statute would operate "in keeping with the provisions of the Federal ban that recently expired" (Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 6, 1984 NY Legis Ann at 93). Therefore, the sponsors explained, "[t]he only procedure that would be prohibited is a surcharge for credit" (*id.*). The Assembly sponsor wrote in a letter to the Governor's Counsel that the state bill would contain an understanding of "surcharge" that was "identical to the definition" in the lapsed federal statute (Letter from Assembly Sponsor, May 30, 1984, Bill Jacket, L 1984, ch 160 at 8). The Senate sponsor wrote in a similar letter that the bill would provide New York consumers with the same "essential protection in the market place" as the lapsed federal legislation (Letter from Senate Sponsor, May 29, 1984, Bill Jacket, L 1984, ch 160 at 7).

Moreover, General Business Law § 518's legislative history demonstrates the identical concerns Congress had: a desire to allow differential pricing, but to avoid the duping of customers by posting or tagging low prices that turn out to be available for cash purchases only. The Sponsors' Memorandum indicates that the bill was intended to prevent "dubious marketing practices and variable purchase prices" (Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 6, 1984 NY Legis Ann at 93). The State Consumer Protection Board's Associate Counsel echoed this view by noting that the problem the statute aimed to confront was that consumers should not face "unannounced price increases at the point of sale" and should be able to "depend on advertised . . . prices" (Mem of Associate Counsel, NY St Consumer Protection Bd, Bill Jacket, L 1984, ch 160 at 10).

In light of this legislative history, we conclude that General Business Law § 518, like its federal precursor, permits differential pricing but requires that a higher price charged to credit card users be posted in total dollars-and-cents form. In that way, credit card customers are "exposed to the highest price when they see a tagged or posted price" (S Rep 97-23 at 4, reprinted in 1981 US Code Cong & Admin News at 77) and, without further ado, apprehend the actual price they will pay. By contrast, single-sticker pricing would require a consumer to engage in arithmetic, which may be difficult depending on the cash price, in order to calculate the actual price for a credit card purchase.

It is true that the legislature, when copying the language of General Business Law § 518 from TILA, failed to include the definitions that Congress had added in 1981, defining "surcharge" and "discount" (*see* Cash Discount Act § 102 [a], Pub L 97-25, § 102 [a], 95 US Stat 144 [1981]; 15 USC § 1602 [y]). Yet, here, the failure to adopt the definitions cannot reasonably be interpreted as evincing a legislative desire to chart a different course than the approach taken by Congress. The legislature would not have tracked the federal statute almost verbatim had it intended to adopt a different type of surcharge law. It is also clear from the legislative history that the legislature did not intend to deviate from the purpose—expressed in both the federal and New York legislative histories—to permit differential pricing but avoid deceptions arising from situations in which only a lower cash price, unavailable to credit card purchasers, was posted or tagged. By 1984, the scope of the protection afforded by the federal statute was well understood and the legislature made plain its intent to extend that same protection to New York consumers. Under these circumstances, the omission of the federal definitions does not justify a reading of the statute that would defeat the legislature's plain intent to extend the federal law for New

Yorkers. Nor are we prepared to infer the statutory meaning from the sparse and discontinuous record of enforcement of section 518.

V.

Finally, so long as the total dollars-and-cents price charged for credit card purchases is posted, nothing in General Business Law § 518 prohibits merchants from explaining the difference in price as a "surcharge" attributable to credit card transaction fees they must bear.[5] Of course, once price is communicated in the manner required by General Business Law § 518, the merchant does not "impose a surcharge" within the meaning of the statute. However, imposing a surcharge (as defined by the statute) and using the word "surcharge" are two different things. There is nothing in the legislative history of General Business Law § 518 or of the federal statute on which it was based to suggest that a merchant could not use the word "surcharge"—or words such as "additional fee" or "extra cost"—to communicate to customers that the credit card price is higher than the cash price. By disclosing the total dollars-and-cents price charged to credit card users, a merchant complies with the statute. The process by which the merchant characterizes the higher amount is irrelevant to the statutory requirement. In short, merchants are free to call the price differential anything they wish without fear of prosecution under the statute.

VI.

For the above reasons, we conclude that a merchant complies with General Business Law § 518 if and only if the merchant posts the total dollars-and-cents price charged to credit card users. In that circumstance, consumers see the highest possible price they must pay for credit card use and the legislative concerns about luring or misleading customers by use of a low price available only for cash purchases are alleviated. To be clear, plaintiffs' proposed single-sticker pricing scheme—which does not express the total dollars-and-cents credit card price and instead requires consumers to engage in an arithmetical

5. It is not clear that the parties dispute this issue. Plaintiffs do not assert that the statute should be interpreted in this manner, and, at oral argument, counsel for the defendants stated that a merchant's statement that the higher price charged to credit card users represents a surcharge would not violate General Business Law § 518.

calculation, in order to figure it out—is prohibited by the statute.

Accordingly, the certified question should be answered in the affirmative.

RIVERA, J. (concurring in result). The United States Court of Appeals for the Second Circuit has certified the question, "Does a merchant comply with New York's General Business Law § 518 so long as the merchant posts the total-dollars-and-cents price charged to credit card users?" (877 F3d 99, 107 [2017].) I read that question to mean only whether a merchant who chooses to communicate the price to customers in this manner—without any other indication as to how the merchant decided on the credit card price—thereby avoids criminal prosecution. With that understanding, I agree with the majority that the certified question should be answered in the affirmative.

Unlike my colleagues in the majority and Judge Garcia in dissent, I reach that conclusion without resolving whether the legislature intended section 518 to enable consumers to "apprehend the actual price they will pay," which effectively interprets the provision to be a disclosure statute (majority op at 391-392; Garcia, J., dissenting op at 413-414), or need to consider the legislative history of section 518 or its federal predecessor (majority op at 390-393; Garcia, J., dissenting op at 408-410). However, Judge Garcia is correct that we discern the statutory purpose, and determine the answer to the certified question, by application of our rules of statutory construction; those rules do not permit us to import the now-expired federal law definitions for "surcharge," "discount" and "regular price" (Garcia, J., dissenting op at 416-417).*

Where a statutory term is undefined, "we have regarded dictionary definitions as useful guideposts" in "determining the

* In the original federal surcharge ban, Congress defined "surcharge" as "any means of increasing the regular price to a cardholder which is not imposed upon customers paying by cash, check, or similar means" and "discount" as "a reduction made from the regular price" (Pub L 94-222, § 3 [a], 90 US Stat 197 [94th Cong, 2d Sess, Feb. 27, 1976]). In 1981, Congress defined "regular price" as

> "the tag or posted price charged for the property or service if a single price is tagged or posted, or the price charged for the property or service when payment is made by use of an open-end credit plan or a credit card if either (1) no price is tagged or posted, or (2) two prices are tagged or posted, one of which is charged when payment is made by use of an open-end credit plan or a credit card and the other when payment is made by

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meaning of statutory language" (*People v Andujar*, 30 NY3d 160, 163 [2017] [internal quotation marks omitted], quoting *People v Ocasio*, 28 NY3d 178, 181 [2016]; *accord Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016]; *De La Cruz v Caddell Dry Dock & Repair Co., Inc.*, 21 NY3d 530, 538 [2013]). From at least the time of the statute's enactment, up to today, "surcharge" has been commonly defined as "an additional tax, cost, or impost" upon a standard amount (Webster's New Collegiate Dictionary 1163 [1981]; *see also* Black's Law Dictionary [10th ed 2014], surcharge [defining surcharge as an "additional tax, charge, or cost"]; Webster's Third New International Dictionary 2299 [2002] [defining "surcharge" as "a charge in excess of the usual or normal amount"]; Webster's Second New International Dictionary [1955] [same]). For the reasons discussed by the majority, the legislative history supports that this was the legislature's intended definition.

Within the context of section 518, a surcharge can only be determined by reference to the normal price set by the merchant. As I read the statute, the only way a merchant may avoid criminal liability is to adopt the higher credit card price as the normal price. In other words, a merchant who adopts a single pricing scheme—charging all customers the same price regardless of method of payment—has necessarily adopted the credit card price as the normal price, as does a merchant who adopts a differential pricing scheme—charging a higher price to those paying with a credit card—because that merchant cannot impose a surcharge on the normal price on credit card-paying customers but can only offer a discount from the normal price to customers who pay cash.

This was ultimately the approach adopted by Congress and reflected in the definitions added to the federal statute (*see* Cash Discount Act § 102 [a], Pub L 97-25, 95 US Stat 144 [1981]). Perhaps our state legislature believed it unnecessary to expressly adopt the federal language because the commonly understood definition of "surcharge" and the result-oriented federal definitions both lead to the normalization of the higher credit card price. Regardless of the intent, the definition holds and applying that definition to answer the certified question, I conclude that a merchant who posts the total dollars-and-cents price for a credit card purchase has adopted that price as the

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use of cash, check, or similar means" (Pub L 97-25, § 102 [a], 95 US Stat 144 [97th Cong, 1st Sess, July 27, 1981]).

normal price, and therefore complies with section 518. I see no way to avoid this reading of the statute, even if normalization of the credit card price is contrary to the message a merchant wants to communicate to customers.

For this reason, I disagree with the majority's conclusion that a merchant may describe the difference between the credit card price and the cash price as a "surcharge," "additional fee," or "extra cost" (majority op at 393). To do so would permit a merchant to characterize the credit card price—and as a consequence demand payment—in the only way expressly prohibited by the legislature.

WILSON, J. (concurring in part and dissenting in part). The certified question asks whether a merchant is safe from criminal prosecution under General Business Law § 518 "so long as the merchant posts the total-dollars-and-cents price charged to credit card users?" (877 F3d 99, 107 [2017].) I would answer that question in the affirmative. As I see it, all conduct complies with the law, because the law is unconstitutionally vague, and therefore cannot reasonably be said to prohibit anything. I part ways with the majority when it attempts to describe what General Business Law § 518 does prohibit, which we have not been asked, and, truthfully, to which we can provide no reasonable answer.

I.

The initial objection to my claim of vagueness may be that the United States Supreme Court has already rejected the merchants' vagueness challenge (*Expressions Hair Design v Schneiderman*, 581 US —, —, 137 S Ct 1144, 1152 [2017]). To the contrary, the Supreme Court noted that it " 'accord[ed] great deference to the interpretation and application of state law by the [federal] courts of appeals' . . . because lower federal courts 'are better schooled in and more able to interpret the laws of their respective States' " (*Expressions Hair Design*, 581 US at —, 137 S Ct at 1149-1150, citing *Brockett v Spokane Arcades, Inc.*, 472 US 491, 500 [1985]). Noting that its jurisprudence allowed it to disregard the Second Circuit's construction only if that construction was "clearly wrong" or "plain error," the Supreme Court accepted the Second Circuit's construction—for the purpose of that appeal—because it "cannot dismiss the [Second Circuit's] interpretation of § 518 as 'clearly wrong' " (*Expressions Hair Design*, 581 US at —, 137 S Ct at 1150).

However, the definitive construction of General Business Law § 518 is our responsibility (*see e.g. Johnson v Fankell*, 520 US 911, 916 [1997]). That is why the Supreme Court suggested, and the Second Circuit requested, that we construe it. Thus, the Supreme Court's statement that the merchants' "vagueness challenge gives us little pause" (581 US at —, 137 S Ct at 1151) is a hypothetical statement based on the Supreme Court's temporary acceptance of the Second Circuit's interpretation of the meaning of General Business Law § 518. Whether General Business Law § 518 can reasonably be construed to specify what it proscribes is open to us, as, therefore, is the vagueness challenge. The certified question asks only whether a particular practice is lawful, which it is. If we stopped there, the vagueness question would not be raised here. But because the majority goes beyond that question and attempts to answer what General Business Law § 518 does criminalize, the vagueness question is necessarily raised front and center.

II.

Read plainly, section 518 bans dual pricing altogether by making it a crime to "impose a surcharge" (*see Expressions Hair Design v Schneiderman*, 581 US —, —, 137 S Ct 1144, 1153 [2017, Sotomayor, J., concurring] ["On first read, its prohibition on 'impos[ing] a surcharge' on credit card customers appears to prohibit charging customers who pay with a credit card more than those who pay by other means. That is, § 518 may require a merchant to charge all customers the same price, no matter the form of payment" (citation omitted)]). Our time-honored canons of construction, which we have followed in innumerable decisions, say that when statutory language is clear, we do not look to legislative intent at all (*Kimmel v State of New York*, 29 NY3d 386, 392 [2017], citing *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563, 568 [2004]; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 106-107 [1997]; *New Amsterdam Cas. Co. v Stecker*, 3 NY2d 1, 6 [1957]; *Matter of De Peyster*, 210 NY 216, 225 [1914]). The legislature wrote: "No seller in any sales transaction may impose a surcharge on a holder who elects to use a credit card in lieu of payment by cash, check, or similar means" (General Business Law § 518). No ambiguity is present on the face of the statute; it prohibits the imposition of a surcharge—it says nothing about posting prices or words that may or may not be used.

All agree, though, that the legislature did not mean to prohibit different cash and credit pricing. What the New York Legislature did mean by adopting section 518 has confounded everyone who has considered it, including a long list of great legal minds. I am not one of those, but I can see enough pervasive uncertainty in the attempts to interpret this criminal statute to lead me to conclude a legislative do-over is necessary.

As the majority notes, the New York Legislature enacted section 518 in 1984, just as the credit card surcharge ban in the Federal Truth in Lending Act (TILA) expired. However, the legislature omitted the portions of TILA defining "surcharge," "discount," and "regular price" (majority op at 390). No one was ever prosecuted under TILA (tr of oral argument at 25, lines 5-7; *Expressions Hair Design v Schneiderman*, 581 US —, 137 S Ct 1144 [2017]), so there are no enforcement actions or judicial interpretations on which the New York Legislature could have relied in evaluating what TILA meant, either with or without its definitions.

Even were one to construct some rationale to cast aside our plain-language doctrine, any interpretation would need to clear two further hurdles. The first hurdle is *not* to determine what Congress thought TILA did. The first hurdle, instead, is what the New York Legislature, in 1984, thought TILA did—without the aid of the United States Supreme Court's interpretation 33 years later. The second hurdle is what the New York Legislature meant by choosing to discard the federal definitions.

III.

Lacking any enforcement history for TILA, there is some legislative history, which the majority partially catalogues. Two things are clear from that history. First, TILA permitted differential pricing. Merchants were free under TILA to provide a lower price for cash purchases than for credit. Second, Congress did not want potential customers to be lured into stores or to checkouts by a posted low price, only to find that that price was not available if they paid by credit card.[1] The TILA definitions and legislative history, however, do not answer

1. When one looks at the federal legislative history, the paradigmatic case repeatedly appearing therein is about a completely undisclosed surcharge, discovered at the cash register (*see* Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 6, 1984 NY Legis Ann at 93 ["In effect, two price scales would exist for the merchant who would advertise a certain price and, *at the time of the*

(n. cont'd)

the question of whether a merchant who prominently posts: "All sandwiches $10, 50-cent surcharge if you pay by credit" would violate TILA. The luring/deception/disclosure purposes underlying TILA are satisfied by that posting as much as they would be by a sign that instead said: "All sandwiches $10.50, 50-cent discount if you pay by cash." The TILA definitions of "surcharge," "discount" and "regular price" do not say whether the "regular price" may be posted as an X+Y amount, nor does the legislative history help resolve the lawfulness of such postings.

As I mentioned, though, what Congress meant is not the issue here. Instead, we need to determine what the New York Legislature thought TILA meant. The New York legislative history—again recited by the majority—expresses the same luring/deception/disclosure concern, but likewise says nothing about whether a merchant may post the credit price as "All sandwiches $10 plus 50 cents for credit card payments." General Business Law § 518's legislative history demonstrates the same concern: avoiding the luring or duping of customers by posting low prices that turned out to be available for cash purchases only. The Sponsors' Memorandum stated that the bill was aimed against "dubious marketing practices and variable purchase prices" (Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 6, 1984 NY Legis Ann at 93). The State Consumer Protection Board likewise explained that "surcharges" were prohibited by the legislation because they constituted "unannounced price increases at the point of sale" (Mem of Associate Counsel, NY St Consumer Protection Bd, Bill Jacket, L 1984, ch 160 at 10).

The majority agrees that posting the statement expressing the discount as a reduction from the credit price would not land a merchant in jail. However, for purposes of luring, decep-

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sale, raise or lower the price according to the method of payment" (emphasis added)]; S Rep 97-23, 97th Cong, 1st Sess, reprinted in 1981 US Code Cong & Admin News at 74, 77 ["In other words, consumers cannot be lured into an establishment on the basis of the 'low, rock-bottom price' only to find at the cash register that the price will be higher if a credit card is used"]; 127 Cong Rec S4236 [Mar. 12, 1981] ["Mr. D'AMATO . . . I would ask you, what does that person do when he has arrived at the cash register and finds out that there is a 10-, 15-, or 20-percent surcharge for the meal he has just consumed because he will be using a credit card?"]; *id.* at S4220-S4221 ["Mr. GARN . . . This assures that consumers cannot be lured into an establishment on the basis of the 'low rockbottom' price, only to find at the checkout counter that it will cost more if a credit card is used"]).

tion and disclosure, the latter is no better than the former. So, even if we assume the New York Legislature wanted to copy TILA exactly (a proposition which Judge Garcia's dissent casts in serious doubt), there is no basis to believe that it understood TILA to criminalize "All sandwiches $10, plus 50 cents if you pay by credit card."

Next, we run into a problem vigorously pressed by Judge Garcia in his dissent: the New York Legislature surely knew of the statutory definitions of "surcharge," "discount" and "regular price" in TILA, and deliberately chose to remove them. We import meaning to that omission, so the presumption is that the legislature intended something different. But what? Judge Garcia persuasively argues, based on a wealth of our decisional law, that "[b]y omitting the federal statute's intricate definitions, the legislature 'signaled a purposeful legislative modification' of the federal surcharge ban" (Garcia, J., dissenting op at 416, citing *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 61 [2013]). As he reads it, General Business Law § 518 is not a disclosure statute at all. The omission of the definitions was to make clear that General Business Law § 518 prevented describing any price difference as a "surcharge" (or any form of price increase) attributable to credit card use.[2] Judge Rivera, concurring, reads section 518 to the same effect.

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2. The federal legislative history is replete with confusion about TILA's proper interpretation. In 1977, for example, the Federal Reserve issued regulations forbidding "[a]ny pricing system" advertising "a cash price which is not available to someone purchasing with a credit card" (42 Fed Reg 743, 780-781 [Jan. 4, 1977]). The next year, the Federal Reserve issued regulations saying that actually gas stations *could* post signs and posters stating "the cash price without also disclosing the credit card price," so long as the credit-card price is listed at the pump (43 Fed Reg 3897, 3899 [Jan. 30, 1978]). Many commenters from that period describe merchants who stop engaging in dual pricing because the regulations were too hard to understand (*see* Sen. Christopher J. Dodd, *Credit Card Surcharges: Let the Gouger Beware*, NY Times, Mar. 12, 1984 at A16 ["(M)any merchants are not sure what the difference between a discount and a surcharge is and thus do not offer different cash and credit prices for fear they will violate the ban on surcharges"]; Carol Krucoff, *Money: When Cash Pays Off*, Wash Post, Sept. 22, 1981 ["(T)he regulations have been so complicated. Smaller business people, who are most likely to offer (discounts), may have been intimidated by the fear it could be viewed as an illegal surcharge"]; Cash Discount Act, Hearing before the Senate Subcommittee on Consumer Affairs of the Committee on Banking, Housing & Urban Affairs on S 414, 97th Cong, 1st Sess at 22 [1981] [amidst a hearing that contains several examples, Nancy Teeters, Member of the Federal Reserve Board of Governors, remarking "I have a problem, as I said, in telling the difference between a discount and a sur-

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IV.

It might be sufficient to stop there, because we cannot determine what the New York Legislature thought TILA prohibited, and cannot tell what it meant by copying only a part of TILA and omitting the definitions. Unlike TILA, General Business Law § 518 has an enforcement history, of sorts, as well as judicial interpretations, of sorts. Those put a nail in General Business Law § 518's coffin.

Judge Garcia sets out in detail the way in which the Bronx District Attorney (DA) interpreted General Business Law § 518 as criminalizing an oral description of a "higher" price for credit card prices—even when both the credit and cash prices were prominently posted at the station, and the trial court's contrary interpretation of the statute (Garcia, J., dissenting op at 420-421). Judge Garcia likewise chronicles the Attorney General's 2008 and 2009 enforcement actions against home heating oil sellers who, when asked over the phone about credit card purchases, answered that they charged an additional fee for such purchases (Garcia, J., dissenting op at 421). The Attorney General entered into consent judgments against those sellers, declaring "[a]n investigation by the Office of the Attorney General reveal[ed] that consumers were regularly and routinely charged . . . illegal surcharges." As part of the district court trial, the plaintiffs offered an affidavit from one merchant declaring that as part of these sweeps she had agreed to "a $1,100 fine and restitution to customers who had paid the surcharge." It is worth noting that, at the argument of this appeal, the Attorney General interpreted General Business Law § 518 as not applying to oral statements at all, contending "the best way to read the statute is that when there is a price posted for sellers and transactions, whether it's on a tag or a menu or a sign, that's when the statute comes into play" (oral argument tr at 20, lines 8-12).

That brings us to the present litigation. In the federal district court, the Attorney General argued a yet different interpretation of General Business Law § 518, explaining

charge. If you just change the wording a little bit, one becomes the other"]). If federal legislators and regulators had no clear understanding of TILA's requirements, it is quite a stretch to believe that the New York Legislature had any clear understanding of it, and impossible for us to know what the New York Legislature thought it did by omitting the federal definitions.

> "[a] seller violates § 518 only if it fails to display its credit card price with equal prominence as its cash price. So understood, the statute prohibits only misleading and deceptive commercial speech, is reasonably related to the State's interest in preventing consumer deception, and thus (to the extent the plaintiffs' proposed conduct would violate the statute) would not violate the plaintiffs' First Amendment rights" (mem of law in support of mot to dismiss at 38 in *Expressions Hair Design v Schneiderman*, 975 F Supp 2d 430 [SD NY, July 12, 2013], available at 2013 WL 12131445).

Under that view, only "misleading . . . commercial speech" could be prosecuted. Query what that means for a merchant posting: "All sandwiches $10, plus 50 cent surcharge if you pay by credit card"—there is nothing misleading about that sign. The Attorney General specifically pooh-poohed the merchants' fear of prosecution for the words they might use to explain the price differential. To further add to the confusion about what sign might land a merchant in jail, the Attorney General's reply memorandum asserted that "Section 518 requires sellers to display the total credit card price, not just the additional credit card fee" (reply mem of law in further support of mot to dismiss at 9 in *Expressions Hair Design v Schneiderman*, 975 F Supp 2d 430 [SD NY, July 12, 2013], available at 2013 WL 12131447).

Judge Rakoff interpreted the statute largely as Judges Garcia and Rivera do, holding that General Business Law § 518 "draws the line between prohibited 'surcharges' and permissible 'discounts' based on words and labels, rather than economic realities" (*Expressions Hair Design v Schneiderman*, 975 F Supp 2d 430, 444 [SD NY 2013]).

In the Second Circuit, the Attorney General advanced a yet different interpretation of General Business Law § 518. Gone was the talk of prices being displayed as prominently as others. Instead, the Attorney General argued the law prohibited the imposition of a surcharge, which is conduct, not speech, and which can be readily distinguished from offering a discount, which is lawful:

> "The district court erroneously believed that the only distinction between surcharges and discounts is how they are described. But laws regularly distinguish between surcharges and discounts by making an objective determination of a regular or

> prevailing price—for example, price-gouging statutes prohibit merchants from imposing excessive prices above such a baseline. Thus, whether a merchant is imposing a surcharge or providing a discount depends not solely on the merchant's speech, but rather on such nonspeech factors as the merchant's posted prices, past prices, industry standards, and accounting or tax practices" (corrected brief for appellant Schneiderman at 25 in *Expressions Hair Design v Schneiderman*, 808 F3d 118 [2d Cir 2015], available at 2014 WL 1259306).

The Second Circuit adopted something like the Attorney General's new reformulation of General Business Law § 518: posting a cash price along with an additional fee for credit card use, even if prominently posted, lands a merchant in jail. If, instead, a merchant posted a credit card price and a lower cash price with equal prominence, but described the difference as due to a credit card surcharge, the Second Circuit abstained from answering whether the merchant could be jailed (*Expressions Hair Design v Schneiderman*, 808 F3d 118, 136-140 [2d Cir 2015]).

In the United States Supreme Court, the Attorney General argued that General Business Law § 518 required merchants to display full dollars-and-cents price for credit card purchases. Perhaps puzzled by the notion that the New York Legislature truly intended to send merchants to jail for posting, "All sandwiches $10, plus 50-cent surcharge for credit card payments," the Court sent the case back to the Second Circuit with indirect (from the majority) and direct (from the concurrences) suggestions to certify the question to our Court (*see e.g.* Supreme Court oral argument tr at 37, lines 4-5, in *Expressions Hair Design v Schneiderman*, 581 US —, 137 S Ct 1144 [Jan. 10, 2017] [Chief Justice Roberts observing that a law protecting New Yorkers from having to compare the price of "$10" and "$10 plus 20 cent surcharge with credit" requires a "very patronizing and condescending view of the capabilities of the American consumer"]). As I mentioned at the start, the Supreme Court majority expressed some suspicion of the Second Circuit's construction of General Business Law § 518, saying it was not "clearly wrong," but implying the Second

Circuit should use the certification procedure. Justices Breyer, Sotomayor and Alito expressly urged certification to us.[3]

V.

Criminal statutes must be sufficiently precise so that the public knows what conduct will render them liable, and so law enforcement officers will know what conduct constitutes a violation thereof (*People v Stuart*, 100 NY2d 412, 420 [2003] ["In addressing vagueness challenges, courts have developed a two-part test. The first essentially restates the classical notice doctrine: To ensure that no person is punished for conduct not reasonably understood to be prohibited, the court must determine whether the statute in question is sufficiently definite to give a person of ordinary intelligence fair notice that his contemplated conduct is forbidden by the statute . . . Second, the court must determine whether the enactment provides officials with clear standards for enforcement" (citations and internal quotation marks omitted)]).

The wildly haphazard, varying interpretations of General Business Law § 518 demonstrate that no one has much of an idea what the legislature intended, except that—contrary to the plain statutory language—the legislature wanted to allow merchants to offer lower prices for cash payments than for credit. From the Bronx DA to the Attorney General to the federal district judge, Second Circuit, United States Supreme Court and now our Court, we have no common understanding of what General Business Law § 518 criminalizes. We do not know, and the majority does not answer, whether it applies just to written postings or price tags, or also to prices that are disclosed only by oral statements—such as those prosecuted by the Attorney General in 2008 and 2009. How, then, can we expect a New York merchant to understand what sign to post, or what to say or not say, under penalty of jail? It is not sufficient, as the majority does, to settle on one possible interpretation, when there is no reason to believe that interpretation is better than any other when it comes to the legislative intent, and when that interpretation is surely not what the statute's words say.

3. Justices Sotomayor and Alito also noted in their concurrence that they merely "assume[d]" the interpretation of the federal statute as requiring a full dollars-and-cents credit card purchase price was correct (*Expressions Hair Design v Schneiderman*, 581 US —, — n 1, 137 S Ct 1144, 1154 n 1 [2017]).

There are, by my count, at least five defensible interpretations available for General Business Law § 518. First is the interpretation the Bronx DA and the Attorney General advanced well before this lawsuit: regardless of what is posted, any description of a higher price for credit, whether oral or written, violates the law.

Second is the majority's interpretation: "General Business Law § 518, like its federal precursor, permits differential pricing but requires that a higher price charged to credit card users be posted in total dollars-and-cents form" (majority op at 392). According to the majority, its formulation permits the merchants to describe the price difference in whatever way they wish, even calling it a surcharge attributable to the credit card companies.

Third, if one focuses on the expressed legislative purpose of preventing luring and deception, and promoting full disclosure, General Business Law § 518 could prohibit the posting of a cash price only, without simultaneously disclosing (with equal prominence) that use of a credit card will cost a specified amount more.

Fourth, General Business Law § 518 may simply mean what it says: merchants may not impose a higher price for use of a credit card (or, in the vernacular, "Same price—cash or credit").

Fifth, Judges Rivera, Garcia and Rakoff may be correct: General Business Law § 518 prevents the description of the price difference as a "surcharge" or any other words conveying the idea that credit cards cost more, while allowing merchants to say that cash costs less.

I find it unfathomable that the legislature intended to send merchants to jail when they prominently post the cash price along with the incremental price, if any, for payment by credit card. Were consumers misled by that sort of fully informative posting, what can be said for the several examples Judge Garcia provides of the State itself tacking on fees (expressed in incremental percentage terms) for use of a credit card when paying the State? I note that, when I looked into paying my New York State income tax online, the New York State Department of Taxation and Finance permits me to pay by credit card, so long as I pay a "convenience fee of 2.25%" (New York State Department of Taxation and Finance, Credit and debit card payment information, available at https://www.tax.ny.gov/pay/all/wells_fargo_card_payment_information.htm).

Nothing in the statutory language or legislative history supports the conclusion that the majority's interpretation is closer to the legislature's intent than several other, very different, interpretations. The result cuts against the intuitive understanding that any New Yorker reading the statute—or selling or buying sandwiches—would have.

Accordingly, while I concur in answering the narrow certified question in the affirmative, I disagree with the balance of the majority's analysis, and conclude that General Business Law § 518 is void for vagueness.

GARCIA, J. (dissenting). General Business Law § 518 is not a disclosure statute. A merchant therefore does not comply with General Business Law § 518 "so long as the merchant posts the total-dollars-and-cents price charged to credit card users" (majority op at 384 [quoting the certified question]). Instead, compliance turns on the label a merchant uses to describe the price differential: the merchant may lawfully call that difference a "discount," but may not call it a "surcharge."

Invoking the expired federal surcharge ban, the majority reads General Business Law § 518—a blanket ban on "impos-[ing] a surcharge"—to mean that a merchant *may* impose a surcharge where the total credit-card price is displayed (*see* majority op at 393). That interpretation is contradicted by the statute's text, construing General Business Law § 518 to tolerate conduct that it explicitly prohibits. It also distorts the statute's enactment history, importing foreign provisions that the New York Legislature knowingly omitted. And the majority's reading ignores decades of enforcement history, rebuffing the textual interpretation that our state courts and prosecutors have repeatedly ratified.

The New York Legislature could have, quite easily, enacted a total dollars-and-cents disclosure requirement. It did not. I therefore dissent and would answer the certified question in the negative.

I.

General Business Law § 518 is the negotiated product of decades of contentious lobbying and legislating. Early on, credit-card companies included standard provisions in their contracts that prohibited merchants from offering cash discounts or otherwise charging credit-card users a higher price than cash customers. These provisions effectively required merchants to raise prices across the board—rather than just up-charging credit-card users—in order to recoup their "swipe fees," thereby concealing the cost of credit. The United States Congress curtailed this practice in 1974 by amending the Truth in Lending Act to provide that a "card issuer may not, by contract or otherwise, prohibit any . . . seller from offering a discount to a cardholder to induce the cardholder to pay by cash, check, or similar means rather than use a credit card" (Pub L 93-495, tit III, § 306, 88 US Stat 1500, 1515 [93d Cong, 2d Sess, Oct. 28, 1974], amending Truth in Lending Act [15 USC §§ 1601-1665]).

Shifting strategies, the credit-card industry began targeting form rather than substance (*see* Edmund W. Kitch, *The Framing Hypothesis: Is it Supported by Credit Card Issuer Opposition to a Surcharge on a Cash Price?*, 6 JL Econ & Org 217, 218 [1990]; Richard Thaler, *Toward a Positive Theory of Consumer Choice*, 1 J Econ Behav & Org 39, 45 [1980]; Amos Tversky & Daniel Kahneman, *Rational Choice and the Framing of Decisions*, 59 J Bus S251, S261 [1986]). Though "surcharge" and "discount" are nothing more than different labels for the same concept, a number of studies have indicated that consumers react to them very differently: they perceive credit-card surcharges negatively—much like a penalty or loss—but view cash discounts positively—as a reward or bonus (*see* Daniel Kahneman, Jack L. Knetsch & Richard H. Thaler, *Anomalies: The Endowment Effect, Loss Aversion, and Status Quo Bias*, 5 J Econ Persp 193, 199, 204 [1991]; Cass R. Sunstein, *What's Available? Social Influences and Behavioral Economics*, 97 Nw UL Rev 1295, 1312 [2003]). For this reason, credit-card surcharges are more effective than cash discounts at discouraging credit-card use among consumers, which, naturally, has led credit-card companies to oppose "surcharge"-type messaging (*see* Richard Thaler, *Toward a Positive Theory of Consumer Choice*, 1 J Econ Behav & Org 39, 45 [1980]; Adam J. Levitin, *The Antitrust Super Bowl: America's Payment Systems, No-Surcharge Rules, and the Hidden Costs of Credit*, 3 Berkeley Bus LJ 265, 280-281, 312-313 [2005]; *see also* Cash Discount Act, Hearing before the House of Representatives Subcommittee on Consumer Affairs and Coinage of the Committee on Banking, Finance and Urban Affairs on HR 31 at 24-31, 97th Cong, 1st Sess [1981] [testimony from American Express] ["It is for these reasons that we oppose credit card surcharges, and wholeheartedly support the surcharge ban"]; Cash Discount Act, Hearing before the Senate Subcommittee on Consumer Affairs of the Committee on Banking, Housing and Urban Affairs on S 414 at 55, 97th Cong, 1st Sess [1981] [testimony from MasterCard] ["MasterCard International strongly supports this aspect of the legislation" that "would extend the Truth-in-Lending Act prohibition on credit card surcharges"]).

With the support of the credit-card industry, Congress enacted a federal surcharge ban in 1976, and twice extended it—in 1978, and again in 1981. That ban provided that "[n]o seller in any sales transaction may impose a surcharge on a cardholder who elects to use a credit card in lieu of payment by cash, check, or similar means" (*see* Pub L 94-222, § 3 [c], 90 US Stat 197 [94th Cong, 2d Sess, Feb. 27, 1976], amending Truth in Lending Act § 167 [a] [15 USC § 1666f]). Congress clarified, however, that the surcharge ban did not prohibit cash discounts: it defined a "surcharge" as an "increas[e]" above the "regular price," and a "discount" as a "reduction" from the "regular price" (*id.* § 3 [a], amending Truth in Lending Act § 103 [15 USC § 1602]). It further specified that "[t]he term 'discount' . . . shall not mean a surcharge" (*id.*). Additionally, in connection with the 1981 renewal of the ban, Congress added a provision defining "regular price" to mean

> "the tag or posted price charged for the property or service if a single price is tagged or posted, or the price charged for the property or service when payment is made by use of . . . a credit card if either (1) no price is tagged or posted, or (2) two prices are tagged or posted, one of which is charged when payment is made by use of . . . a credit card and the other when payment is made by use of cash, check, or similar means" (*see* Pub L 97-25, § 102 [a], 95 US Stat 144 [97th Cong, 1st Sess, July 27, 1981] [termed the Cash Discount Act], amending Truth in Lending Act § 103 [15 USC § 1602]).

These provisions had the effect of "permit[ting] merchants to have two-tier pricing systems and to offer a differential between the credit price and the cash price" so long as merchants ensure that, "when prices are tagged or posted, the consumers will be exposed to the highest price" (S Rep 97-23, 97th Cong, 1st Sess at 4, reprinted in 1981 US Code Cong & Admin News 74, 77). And, under the 1981 amendment, because a "surcharge" required an increase above the "regular price" (as newly-defined), there could be no "surcharge" where the "regular price" was the same as the credit-card price.

In debating the enactment and extension of the federal ban, Congress received input from a number of interested parties, including consumer groups, government agencies, business owners, and credit-card companies. Credit-card lobbyists supported the ban, consistently taking issue with pricing practices that conveyed to consumers that they would be penalized for using a credit card (*see* Cash Discount Act, Hearing before the Senate Subcommittee on Consumer Affairs of the Committee on Banking, Housing and Urban Affairs on S 414 at 32, 35, 97th Cong, 1st Sess [1981] ["(W)e . . . feel that the prohibition against credit surcharges should be made permanent"]; *id.* at 37 ["The surcharge, imposed by a merchant, makes a negative statement about the card to a consumer"]; Cash Discount Act, Hearing before the House of Representatives Subcommittee on Consumer Affairs and Coinage of the Committee on Banking, Finance and Urban Affairs on HR 31 at 29, 97th Cong, 1st Sess [1981] ["We believe that the surcharge ban has worked well for the past five years" and "should be extended"]; *see also* S Rep 97-23, 97th Cong, 1st Sess at 8, reprinted in 1981 US Code Cong & Admin News 74, 80 ["Make no mistake about it, the heart and soul of this legislation is the demand of the credit card industry that the Congress extend the ban on credit card surcharges"]). Consumer advocates, by contrast, largely criticized the ban, arguing that surcharge bans actually undermine consumer interests by concealing the true cost of credit (*see* Cash Discount Act, Hearing before the Senate Subcommittee on Consumer Affairs of the Committee on Banking, Housing and Urban Affairs on S 414 at 7, 97th Cong, 1st Sess [1981] [noting that the "ban on surcharges encourages Americans to use credit cards without knowing the true cost of the credit card"]; *see also* S Rep 97-23, 97th Cong, 1st Sess at 8-15, reprinted in 1981 US Code Cong & Admin News 74, 80-87). Many merchants also opposed the ban, noting that surcharge prohibitions inhibit business owners from openly passing "swipe fees" onto their credit-card customers (*see* Cash Discount Act, Hearing before the Senate Subcommittee on Consumer Affairs of the Committee on Banking, Housing and Urban Affairs on S 414 at 28, 97th Cong, 1st Sess [1981] [testimony of family-owned home furnishings retail store officer advocating that Congress "ought to deregulate both" discounts and surcharges, as "those who use (credit) ought to pay for it"]). Facing mounting opposition, the federal surcharge ban eventually failed.

At that point, credit-card companies began lobbying for state-level surcharge bans. Ultimately, a number of states enacted their own variations of anti-surcharge legislation. Minnesota, for instance, imposed a pure disclosure requirement. Under the relevant Minnesota statute, a seller may not "impose a surcharge" on credit-card customers unless the seller "informs the purchaser of the surcharge both orally at the time of sale and by a sign conspicuously posted on the seller's premises" (Minn Stat Ann § 325G.051 [1] [a]). Massachusetts, by contrast, adopted the federal ban wholesale. The Massachusetts Legislature largely copied the operative text of the expired federal ban (Mass Gen Laws ch 140D, § 28A [a]), as well as the statutory definitions for "discount," "surcharge," and "regular price" (*id.* § 1).

The New York Legislature took yet another approach, adopting portions of the federal ban but omitting certain others. The shell of the ban remained the same: "No seller in any sales transaction may impose a surcharge on a holder who elects to use a credit card in lieu of payment by cash, check, or similar means" (General Business Law § 518). And like the federal surcharge ban, General Business Law § 518 allowed merchants to offer cash discounts: the statute "does nothing to prevent a seller from offering a discount to consumers who pay by cash" (Letter from Assembly Sponsor, May 30, 1984 Bill Jacket, L 1984, ch 160 at 8; Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 1984 NY Legis Ann at 93; *see also* Mem of Associate Counsel, NY St Consumer Protection Bd, Bill Jacket, L 1984, ch 160 at 10). The New York Legislature did not, however, adopt the definition provisions for "discount" or "surcharge" found in the expired federal ban. Nor did it adopt the definition of "regular price"—a term referenced within the "discount" and "surcharge" provisions.

II.

Importing the omitted federal provisions into the New York statute, the majority reads General Business Law § 518 to require that merchants display the "total dollars-and-cents price charged to credit card users" (majority op at 393). That reading is contradicted by the statutory text, which simply prohibits a merchant from imposing a "surcharge"—even a surcharge conveyed in total dollars-and-cents form. It is also unsupported by General Business Law § 518's legislative history, which indicates that the New York Legislature deliberately deviated from the federal surcharge ban. And it is undermined by the State's own enforcement practices, which include various prosecutions targeting the precise types of total dollars-and-cents surcharges the majority now condones.

Plain Language

General Business Law § 518, by its terms, prohibits merchants from "impos[ing] a surcharge" on customers who choose to pay by credit card. In interpreting that text, the Court and the parties all agree on two fundamental propositions. First, a credit-card surcharge and a cash discount are mathematically equivalent means of accomplishing the same practical result: a price difference between cash and credit. Second, General Business Law § 518 does not prohibit differential pricing altogether; rather, section 518 prohibits merchants from imposing a surcharge on credit-card customers, but it does not prohibit merchants from offering an equivalent cash discount.[1] The plain text of General Business Law § 518, then, is susceptible to only one construction: it prohibits a price difference between cash and credit *only* when that difference is labelled a "surcharge."

The majority's interpretation of General Business Law § 518—as a price disclosure requirement—is facially inconsist-

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1. I agree with the majority that the statute does not prohibit differential pricing altogether—i.e., it does not require a single price for all cash and credit-card transactions. On that point, General Business Law § 518's legislative history is explicit: "merchants are permitted to offer cash discounts" (*see* majority op at 388; *see also* Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 1984 NY Legis Ann at 93 ["A merchant would be able to offer a discount for cash if they so desire"]; Letter from Assembly Sponsor, May 30, 1984, Bill Jacket, L 1984, ch 160 at 8 ["It is important to note that this bill does nothing to prevent a seller from offering a discount to consumers who pay by cash or check."]; Mem of Associate Counsel, NY St Consumer Protection Bd, Bill Jacket, L 1984, ch 160 at 10 ["Merchants, however, may continue to offer discounts to those customers purchasing in cash"]). And giving the term "surcharge" its ordinary meaning—"a charge in excess of the usual or normal amount"—the statute, on its face, does not purport to prohibit sellers from offering cash discounts (Webster's Third New International Dictionary 2299 [2002]; Black's Law Dictionary 1579 [9th ed 2009] [defining "surcharge" as "(a)n additional tax, charge, or cost"]; oral argument tr at 10-11 in *Expressions Hair Design v Schneiderman*, 581 US —, 137 S Ct 1144 [2017] [Justice Breyer: "If you go above the regular price, it's a surcharge. If you go below the regular price, it's a discount"]).

ent with the plain language of the statute. Under that reading, a merchant could lawfully inform customers that it "impose[s] a surcharge on a holder who elects to use a credit card in lieu of payment by cash, check, or similar means"—complete with citation to General Business Law § 518—so long as the merchant simply displays the total credit-card price (*see* majority op at 393). The merchant could, for instance, post a sign proclaiming that he "IMPOSES A SURCHARGE," or tell credit-card customers at the register that their price "contains a surcharge"—all contrary to the statutory text—so long as the credit-card price is somewhere posted. In other words, the majority's reading enables a merchant to comply with the statute while explicitly purporting to violate it.

More likely, the legislature meant what it said in General Business Law § 518: merchants must communicate their price differential as a *discount*, not as a *surcharge* (*see Expressions Hair Design v Schneiderman*, 975 F Supp 2d 430, 444 [SD NY 2013] [noting that "section 518 draws the line between prohibited 'surcharges' and permissible 'discounts' based on words and labels, rather than economic realities"]; *People v Fulvio*, 136 Misc 2d 334, 338 [Crim Ct, Bronx County 1987] [noting that, under General Business Law § 518, "precisely the same conduct by an individual may be treated either as a criminal offense or as lawfully permissible behavior depending only upon the *label* the individual affixes to his economic behavior"]; *see also Dana's R.R. Supply v Attorney General, Fla.*, 807 F3d 1235, 1244-1245 [11th Cir 2015] [holding that Florida's similarly-worded surcharge ban "targets expression alone," as liability "turns solely on" a merchant's "choice of words"]). The statutory text is the "clearest indicator of legislative intent" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] ["(C)ourts should construe unambiguous language to give effect to its plain meaning"]), and the text of General Business Law § 518 contains an unqualified ban on surcharges. By manufacturing a "total dollars-and-cents" exemption, the majority reads General Business Law § 518 to authorize what the statute plainly prohibits.

Enactment History

The catalyst for General Business Law § 518's enactment is clear: it was prompted by the lapse of the federal surcharge ban (*see* Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 1984

NY Legis Ann at 93 [noting that General Business Law § 518 was enacted to fill the gap left by "(t)he expiration of a Federal ban on surcharges on credit card purchases"]). But that time line tells us very little about *how* the New York Legislature intended to fill that statutory gap. New York's "quick[ ]" enactment (majority op at 390) of its own surcharge legislation following the lapse of the federal ban does not signify whether the legislature wanted to duplicate the federal ban (like Massachusetts, for instance), or whether, instead, it preferred to enact its own variation (like Minnesota, among others).

The majority determines that New York's surcharge ban was designed to be "coextensive" with its federal counterpart—that the two statutes, though markedly different, must mean the same thing (majority op at 391). Specifically, the majority relies on the premise that General Business Law § 518 and the federal ban were conceived solely as consumer protection measures designed to ensure disclosure of a merchant's total dollars-and-cents credit-card price; both statutes, the majority reasons, sought to combat "deceptive marketing" practices and "the duping of customers" by promoting disclosure of a merchant's total credit-card price (majority op at 390-392). Because the federal and state legislators had these same purposes in mind, the reasoning goes, they must have intended to write identical statutes (*see* majority op at 391-392). As a result, the majority reads the omitted federal provisions into the New York statute, apparently attributing their absence to some sort of legislative blunder.

Each of these foundational assumptions is flawed. Initially, the majority's depiction of General Business Law § 518 as a pure disclosure statute is unsupported by the statute's enactment history, which suggests ample reason for the legislature's departure from the federal ban. Nor do the majority's selected excerpts of legislative history justify its disregard of the statutory text. And in any event, even if the legislature and Congress considered "identical concerns" (majority op at 391), that fact would not indicate whether or not the New York Legislature ultimately opted to replicate the federal ban. There is no indication that New York's surcharge ban was intended to be coextensive with the federal ban, and the legislature's deliberate deviations from the federal statute signify the opposite.

i.

Like the federal statute, General Business Law § 518's instructive (albeit limited) legislative history is checkered with competing interests. Given consumers' negative reactions to credit-card surcharges, credit-card companies have dependably disfavored "surcharge" labeling (*see supra* at 407-408). Unsurprisingly, then, the credit-card industry apparently favored New York's surcharge ban, which served to correct the "unfair disadvantage" faced by "credit card users" due to "[t]he expiration of [the] Federal ban" (Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 1984 NY Legis Ann at 93; *see also Expressions*, 975 F Supp 2d at 439 ["(T)he credit card industry began lobbying for state-level no-surcharge laws, which were eventually enacted in ten states, including New York"]). The legislature also considered the ban's implications on consumers, including the prominent criticism that it would require "cash customers and those who cannot qualify for credit cards" to "subsidiz[e] credit customers" (Mem of Retail Council of NY St, Bill Jacket, L 1984, ch 160 at 16). And a number of the ban's supporters praised its impact on certain marketing practices, including its prohibition of "unannounced price increases at the point of sale" (Mem of Associate Counsel, NY St Consumer Protection Bd, Bill Jacket, L 1984, ch 160 at 10).

From this mix of competing motives, perhaps no clear winner emerges. But the legislature balanced those assorted interests and, in the end, it enacted General Business Law § 518. Our role is limited to interpreting that final text; we are not entitled to presume whose lobbying efforts carried the day, or to rewrite the statute to effectuate a preferred policy goal (*see Ali v Federal Bureau of Prisons*, 552 US 214, 228 [2008] ["We are not at liberty to rewrite the statute to reflect a meaning we deem more desirable"]; *Matter of Wolpoff v Cuomo*, 80 NY2d 70, 79 [1992] ["It is not the role of this, or indeed any, court to second-guess the determinations of the Legislature, the elective representatives of the people, in this regard. We are hesitant to substitute our own determination for that of the Legislature even if we would have struck a slightly different balance on our own"]). Our restraint is especially warranted where, as here, the statute's history supplies ample explanation for the legislature's chosen text (*see* 82 CJS, Statutes § 408 ["A court generally cannot supply omissions in a statute merely because it appears that good reasons exist for adding them, especially where it appears that the matter may have been intentionally omitted"]; McKinney's Cons Laws of NY, Book 1, Statutes § 74 ["A court cannot by implication supply in a statute a provision which it is reasonable to suppose the Legislature intended intentionally to omit"]).

Casting aside the statutory text, the majority relies exclusively on fragments of legislative history in concluding that "the legislature made plain" its intention to "create a ban coextensive with its recently defunct counterpart" (majority op at 391). But even the selective excerpts cited by the majority are far from "clear" that "the intent of New York's legislature, in enacting General Business Law § 518, was to replicate the prohibitions in the federal statute" (majority op at 391). For instance, the majority cites the Sponsors' Memorandum in support of General Business Law § 518 (*see* majority op at 391), which advises that section 518 is "in keeping with" the expired federal ban in the sense that both statutes permitted merchants "to offer a discount for cash if they so desire"—i.e., both statutes permitted differential pricing (Sponsors' Mem, Bill Jacket, L 1984, ch 160 at 5, 6, 1984 NY Legis Ann at 93). Nowhere does that memorandum provide, however, that the two statutes are otherwise "coextensive" (majority op at 391). Similarly, the majority cites the Assembly Sponsor's letter to the Governor's Counsel, which indicates that the term "surcharge" as used in General Business Law § 518 is "identical" to the federal definition (majority op at 391, citing Letter from Assembly Sponsor, May 30, 1984, Bill Jacket, L 1984, ch 160 at 8). But even assuming the New York Legislature intended to adopt the federal definition of "surcharge," no one seriously contends that the legislature somehow implicitly adopted the convoluted definition of "regular price"—a term found nowhere in General Business Law § 518.[2] Particularly in the context of General Business Law § 518's complete enactment history, these legislative extracts do not justify the majority's disregard of the clear statutory text (*see Matter of Avella v City of New York*, 29 NY3d

2. In full, that definition reads:

"[T]he term 'regular price' means the tag or posted price charged for the property or service if a single price is tagged or posted, or the price charged for the property or service when payment is made by use of an open-end credit plan or a credit card if either (1) no price is tagged or posted, or (2) two prices are tagged or posted, one of which is charged when payment is made by use of an open-end credit plan or a credit card and the other when payment is made by use of cash, check, or similar means. For purposes of this definition, payment by check, draft, or other negotiable instrument which may result in the debiting of an open-end credit plan or a credit cardholder's open-end account shall not be considered payment made by use of the plan or the account" (*see* Pub L 97-25, § 102 [a], 95 US Stat 144 [97th Cong, 1st Sess, July 27, 1981]).

425, 437 [2017] [noting that the Court "need not consider the legislative history" where "(t)he plain language of the statute" is clear]; *see also* oral argument tr at 48 in *Expressions Hair Design v Schneiderman*, 581 US —, 137 S Ct 1144 [2017] [Justice Sotomayor: "You're asking me to take a lot of steps, which is start with the language of the statute, ignore it, and go to a Federal statute and apply its definitions"]).

ii.

In any event, even if Congress and the New York Legislature weighed the same concerns (majority op at 391-392), they evidently struck different balances and, as a result, they enacted different statutes. In lieu of "track[ing] the federal statute almost verbatim" (majority op at 392), the New York Legislature excluded *more than half* of the relevant federal provisions. By omitting the federal statute's intricate definitions, the legislature "signaled a purposeful legislative modification" of the federal surcharge ban (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 61 [2013]).

Specifically, the New York Legislature declined to adopt the provisions defining "discount," "surcharge," and "regular price" found in the expired federal ban. Under those provisions, a "surcharge" was limited to an increase over and above the "regular price" (*see* Pub L 94-222, § 2, 90 US Stat 197) which, in turn, was precisely defined: where a merchant posted a single price, that price was considered the "regular price"; but where a merchant posted separate prices for cash and credit, the "regular price" was considered the price charged to credit-card users (*see* Pub L 97-25, § 102 [a], 95 US Stat 144). As a result, there could be no "surcharge" within the meaning of the federal ban so long as the credit-card price was posted. A merchant violated the statute only by posting a single price and then charging credit-card users more than that posted price; conversely, a merchant complied with the statute by simply disclosing its credit-card price, irrespective of the label—"surcharge" versus "discount"—that the merchant employed. In other words, under the layered provisions of the federal statute, a merchant could inform customers that it was "imposing a surcharge" so long as that surcharge was disclosed.

Not so under General Business Law § 518. The New York Legislature declined to import the federal statute's detailed (and not-so-intuitive) definition provisions, leaving only a blanket ban intact. General Business Law § 518 simply prohibits sellers from "impos[ing] a surcharge"—nothing more. Consequently, New York's ban contemplates liability for imposing a surcharge even when that surcharge is disclosed. Put differently, in the absence of the federal definitions, "imposing a surcharge and using the word 'surcharge' " to describe a merchant's price differential are not "two different things" (majority op at 393); they are exactly the same thing, and comprise the precise conduct prohibited by General Business Law § 518.

Rather than honoring the legislature's omission, the majority reverses it: The majority reads the excluded provisions into the New York statute, dismissing the omission as some sort of legislative misstep. But the legislature "knows how to include and exclude specific items in its statutes," and we "are not free to substitute amendment for construction" by "supply[ing] the omissions of the legislature" (82 CJS, Statutes § 408; *see also Commonwealth of the N. Mariana Is.*, 21 NY3d at 62 ["(W)e cannot read into the statute that which was specifically omitted by the legislature"]). Nor can we "assume the existence of legislative error and change the plain language of a statute to make it conform to an alleged intent" (*Matter of Branford House v Michetti*, 81 NY2d 681, 686 [1993]). The legislature's omissions demonstrate, in no uncertain terms, that it "intend[ed] to deviate" (majority op at 392) from the federal ban (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 74 ["(T)he failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended"]; *see also Commonwealth of the N. Mariana Is.*, 21 NY3d at 61-62 [noting that the "exclusion of (a) word . . . signaled a purposeful legislative modification of the applicable scope" of the statute]; *Matter of Anonymous v Molik*, 32 NY3d 30, 37 [2018] [rejecting a statutory construction that "fails to attribute any independent significance" to the legislature's chosen text]; oral argument tr at 44-45 in *Expressions Hair Design v Schneiderman*, 581 US —, 137 S Ct 1144 [Justice Alito: "(I)f . . . I saw that they copied part of a prior statute, but they deliberately omitted other parts of the prior statute, I would be tempted to infer that they had a reason for omitting the definitions. And that was that . . . they wanted something different"]). The majority's contrary assumption—that the legislature's omissions were accidental, rather than deliberate—is exactly backward (*see Commonwealth of the N. Mariana Is.*, 21 NY3d at 61-62; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 74; 82 CJS, Statutes § 408). And notably, in the 34 years since General Business Law § 518's enactment, the legislature has never seen fit to fix the majority's perceived error.

iii.

Had the legislature wanted to implement the majority's hypothesized disclosure regime, New York's surcharge ban would presumably look very different (*see* oral argument tr at 38 in *Expressions Hair Design v Schneiderman*, 581 US —, 137 S Ct 1144 [Justice Kagan: "(T)his does not look like a disclosure requirement"]; *id.* at 63 [noting that "typically a disclosure regime doesn't leave you in the dark about what you have to say"]). For instance, General Business Law § 23, a true disclosure statute, requires automobile auctioneers to "disclose[ ] the identity of the seller who is actually transferring title or proof of ownership" in

> "a written disclosure made in not less than ten-point bold face type and appearing on the front of the sales contract, receipt, invoice, or other document used in connection with the sale of the vehicle that shall set forth the seller's true legal name, complete street address and dealer facility identification number and that shall be captioned 'Identity of Vehicle's Seller,' " as well as on a "conspicuous sign" that must be affixed "to the windshield of each vehicle offered for sale, sold or made available for inspection prior to auction that shall disclose the seller's true legal name, complete street address and dealer facility identification number" (General Business Law § 23 [3] [paragraph entitled "Disclosure"]).

In the context of surcharge legislation, Minnesota's disclosure law specifically requires merchants to disclose their surcharges "both orally at the time of sale and by a sign conspicuously posted on the seller's premises" (Minn Stat Ann § 325G.051 [1] [a]). New York's, by contrast, conveys nothing at all about what a merchant must say, or how the merchant must say it. Where should the total dollars-and-cents price be posted? How prominent must the disclosure be? Because General Business Law § 518 bears little resemblance to a disclosure requirement, these questions go unanswered.

Tellingly, the New York Attorney General's Office has historically invoked state prohibitions on deceptive business practices and false advertising—*not* General Business Law § 518—to combat the use of undisclosed surcharges and similar bait-and-switch tactics (*see* Cease & Desist Letter from the Office of the Attorney General, June 2, 2011 at 1 [noting that gas station's "roadside listing of a (cash) price without equally prominent disclosure of the higher standard price for credit purchases" violates "the New York Executive Law 63(12) prohibition against deceptive acts and practices, as well as the General Business Law 349 prohibition against deceptive business practices"]). Under the majority's disclosure-centric reading, General Business Law § 518 is effectively redundant of these existing provisions (*see People v Giordano*, 87 NY2d 441, 448 [1995] [rejecting an interpretation that "would make the statute redundant"]). Further undermining the statute's purported consumer protection goals, various government entities are apparently exempt from General Business Law § 518; they are authorized to impose credit-card "surcharges" and "fees" without any accompanying disclosure requirement (*see* Public Service Law § 92-c [9] [permitting telecommunications providers to collect a "premises or location surcharge" for certain calls charged to a credit card]; CPL 420.05 [authorizing New York courts to impose a "reasonable administrative fee" on individuals who pay fines or fees by credit card]; CPL 520.10 [1] [i] [noting that "any person posting bail by credit card . . . may be required to pay a reasonable administrative fee"]; Public Authorities Law § 1045-j [4-a] [b] [authorizing the Water Board to impose "a reasonable administrative service fee" for costs incurred in connection with credit-card transactions]). In these various ways, General Business Law § 518 does not look like, or act like, a disclosure statute.

iv.

At bottom, the majority elevates selected scraps of legislative history over clear statutory text (*see* majority op at 391-392). The majority rewrites the history of General Business Law § 518's origin, focusing only on a preferred policy rationale while ignoring other, more plausible legislative motives—motives entirely consistent with the statutory text. It then judicially amends General Business Law § 518 to include detailed provisions of the federal ban that the New York Legislature decidedly omitted, based on a perverse and speculative assumption that the legislature must have wanted—but apparently forgot—to include them.

Enforcement History

Finally, the majority's interpretation is belied by General Business Law § 518's enforcement history. The majority effectively accepts the State's most recent proffered reading of the statute, holding that a merchant is not liable under General Business Law § 518 so long as the merchant displays the total credit-card price (majority op at 393). But for decades, that interpretation was disclaimed by the New York Attorney General's Office, by various New York district attorneys, and by our State's lower courts. In fact, General Business Law § 518 has repeatedly been invoked to prohibit surcharges of any kind, even those displayed in total dollars-and-cents form.

The first reported prosecution under General Business Law § 518 occurred in 1986, when the Bronx County District Attorney prosecuted a gas-station owner for imposing an unlawful credit-card surcharge (*see People v Fulvio*, 135 Misc 2d 93 [Crim Ct, Bronx County 1987]). There, the defendant allegedly told customers that the price of gas was "higher"—five cents "extra" per gallon—if customers paid by credit card (*People v Fulvio*, 136 Misc 2d 334, 336-337 [Crim Ct, Bronx County 1987]). Although the defendant testified that "the signs in his station clearly stated the 'cash price' and the 'credit price' for his gasoline," he was nonetheless prosecuted because his price differential was "characterized as an additional charge for payment by use of a credit card" (*id.* at 337, 345). The defendant was convicted at trial.

After trial, the Bronx County Criminal Court granted the defendant's motion to dismiss the charge (*see People v Fulvio*, 136 Misc 2d 334 [Crim Ct, Bronx County 1987]). In doing so, the court discussed General Business Law § 518's apparent scope, concluding that the statute's applicability depended solely on "the *label* the individual affixes to his economic behavior" (*id.* at 338):

> "[W]hat General Business Law § 518 *permits* is a price differential, in that so long as that differential is characterized as a discount for payment by cash, it is legally permissible; what General Business Law § 518 *prohibits* is a price differential, in that so long as that differential is characterized as an additional charge for payment by use of a credit card, it is legally impermissible." (*Id.* at 345.)

In the court's view, the critical inquiry under section 518 was "not the *act*," but rather "the *word* given" to that act: a "surcharge" (*id.*).

More recently, in a series of sweeps in 2008 and 2009, the New York Attorney General enforced General Business Law § 518 against a number of Suffolk County heating oil sellers. In those cases, the sellers orally quoted the cash price of oil over the phone, stating that the company "charge[s] a fee on top of that price for using a credit card." The Attorney General informed the companies that their practice violated General Business Law § 518 and ultimately entered into settlement agreements requiring the sellers to, among other things, refund previously imposed surcharges. When asked how a merchant could conform their conduct to comply with section 518, the Attorney General's Office clarified that merchants should "characteriz[e] the difference between paying with cash and paying with credit as a cash 'discount,' not a credit 'surcharge.' " A merchant could *not* call its price difference a "surcharge"—even if the surcharge was "prominently disclosed to customers before making a purchase." Based on the manner in which section 518 was enforced against them, those sellers understood the statute to "turn[ ] on a semantic distinction in how a company characterizes the added cost of using a credit card."

Despite the sweeping manner in which General Business Law § 518 has consistently been applied—and this protracted litigation regarding its ostensible breadth—the legislature has never amended the statute or otherwise indicated that a narrower scope was intended. In fact, although bills to amend the statute have been proposed, those efforts have thus far been unsuccessful (*see* 2017 NY Assembly Bill A5393). In light of section 518's enforcement in this manner "without any interference from the legislative body, we can infer, to some degree, that the legislature approves of [this] interpretation" (*Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600, 612 [2015]).

III.

To be clear, I share the parties' concern that General Business Law § 518, as textually interpreted, triggers serious constitutional questions: the legality of a price differential turns on the language used to describe it. But the canon of constitutional avoidance is not a license to disregard statutory text, and we cannot "contort, disfigure, or vitiate a law's plain meaning and readily discerned purpose merely for the sake of statutory preservation" (*Dana's R.R. Supply v Attorney Gen., Fla.*, 807 F3d 1235, 1242 [11th Cir 2015] [citation omitted]; *see also George Moore Ice Cream Co. v Rose*, 289 US 373, 379 [1933, Cardozo, J.] ["(A)voidance of a (constitutional) difficulty will not be pressed to the point of disingenuous evasion"]). We are not entitled to rewrite a constitutionally dubious statute to dodge constitutional scrutiny.

Consistent with the text of the statute, I would answer the certified question in the negative: A merchant *might* comply with General Business Law § 518 by posting the total dollars-and-cents credit-card price, but also might not. That all depends on the label—"surcharge" or "discount"—affixed to the merchant's price differential. If the merchant offers a discount, he has complied with the statute; if he "impose[s] a surcharge" (General Business Law § 518), he has not.

Chief Judge DIFIORE and Judges STEIN and FEINMAN concur; Judge RIVERA concurs in result in a concurring opinion; Judge WILSON concurs in part and dissents in part in an opinion; Judge GARCIA dissents in an opinion and votes to answer the certified question in the negative.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[117 NE3d 757, 93 NYS3d 198]

In the Matter of Elaine DeVera, Individually and as Parent and Guardian of M.F., an Infant, et al., Petitioners, and Susana Taveras, Individually and as Parent and Guardian of K.R.R., an Infant, et al., Respondents, v MaryEllen Elia, as Commissioner of Education, et al., Appellants.

Argued October 10, 2018; decided November 20, 2018

SUMMARY

Appeals, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 8, 2017. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Albany County (Raymond J. Elliott, III, J.; op 2016 NY Slip Op 31638[U] [2016]), entered in a proceeding pursuant to CPLR article 78, which had dismissed petitioners' application to review a determination of respondent Commissioner of Education partially dismissing petitioners' challenge to certain conditions imposed upon their receipt of certain state funds; (2) granted the petition; (3) annulled that part of the determination upholding certain conditions imposed upon petitioners' receipt of certain state funds; and (4) remitted the matter to respondent Commissioner of Education for further proceedings.

Matter of DeVera v Elia, 152 AD3d 13, affirmed.

HEADNOTE

Schools — Charter Schools — Statewide Universal Full-Day Prekindergarten Program — No Shared Oversight between Charter Entity and School District

Education Law § 3602-ee (Universal Pre-K Law) and the Charter Schools Act do not allow for shared oversight authority between charter entities and local school districts related to "monitoring, programmatic review and operational requirements" of charter school prekindergarten programs. Accordingly, respondent Commissioner of Education's determination that petitioner, a not-for-profit education corporation operating charter schools, was required to agree to contract provisions allowing respondent New York City Department of Education to regulate the curriculum and operations of the charter school prekindergarten program as a precondition for funding was affected by an erroneous interpretation of Education Law § 3602-ee. Education Law § 3602-ee (12) is not ambiguous: it provides that "all such monitoring, programmatic review and operational requirements . . . shall be the responsibility of the charter entity." The use of "all" demonstrates that the legislature tasked the charter entity with full responsibility for the relevant monitoring, programmatic review and operational requirements. Subdivision (12) of the Universal Pre-K Law also mandates that the charter entity's responsibility for monitoring, programmatic review and operational requirements "shall be consistent" with the requirements under the Charter Schools Act, which, in turn, largely consolidates monitoring and oversight in the charter entity, and concomitantly circumscribes the role of the school district. The text of subdivision (12) vests exclusive oversight authority in the charter entity, and thereby acts to divest the school district of any existing authority to set curricular or programmatic requirements for approved, state-funded charter school prekindergarten programs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Schools §§ 3, 11.
MCKINNEY'S, Education Law § 3602-ee (12).
NY JUR 2d Schools, Universities, and Colleges §§ 244, 654, 656.

ANNOTATION REFERENCE

See ALR Index under Charter Schools; Kindergartens; Schools and Education.

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POINTS OF COUNSEL

Barbara D. Underwood, Albany (*Zainab A. Chaudhry* and *Andrea Oser* of counsel), for MaryEllen Elia, appellant. I. The prekindergarten law under Education Law article 73 gives school districts broad supervisory authority over all partners collaborating in the provision of prekindergarten programs. (*Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Matter of Shannon*, 25 NY3d 345; *People v Mitchell*, 15 NY3d 93; *Cisneros v Alpine Ridge Group*, 508 US 10; *Matter of Belmonte v Snashall*, 2 NY3d 560; *Langerman v Langerman*, 303 NY 465; *Kagen v Kagen*, 21 NY2d 532; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Claflin v Houseman*, 93 US 130; *Thoreson v Penthouse Intl.*, 80 NY2d 490.) II. Nothing in the Charter Schools Act limits the authority of school districts to supervise their charter school prekindergarten partners. (*Pajak v Pajak*, 56 NY2d 394; *Thoreson v Penthouse Intl.*, 80 NY2d 490; *Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120.) III. The Appellate Division ignored important public policy concerns that only the Commissioner of

Education's construction safeguards. IV. The Appellate Division failed to afford the Commissioner of Education's determination the deference to which it was entitled. (*Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Belmonte v Snashall*, 2 NY3d 560; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Shurgin v Ambach*, 56 NY2d 700; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Davis v Mills*, 98 NY2d 120; *Steele v Board of Educ. of City of N.Y.*, 40 NY2d 456; *Matter of Kransdorf v Board of Educ. of Northport-E. Northport Union Free School Dist.*, 81 NY2d 871.)

Zachary W. Carter, Corporation Counsel, New York City (*Ingrid R. Gustafson, Richard Dearing* and *Claude S. Platton* of counsel), for New York City Department of Education and another, appellants. The state universal prekindergarten law permits school districts to set baseline quality standards for providers in their prekindergarten programs. (*Matter of Davis v Mills*, 98 NY2d 120; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Kransdorf v Board of Educ. of Northport-E. Northport Union Free School Dist.*, 81 NY2d 871; *Matter of Gross v Board of Educ. of Elmsford Union Free School Dist.*, 78 NY2d 13; *Matter of Robins v Blaney*, 59 NY2d 393; *Matter of Ward v Nyquist*, 43 NY2d 57; *Matter of Chauvel v Nyquist*, 43 NY2d 48; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills*, 4 NY3d 51.)

Sullivan & Cromwell LLP, New York City (*Steven L. Holley, Jessica M. Klein* and *Peter A. Bruland* of counsel), and *Vanessa Biondo, Aaron Safane* and *Christopher LaVigne*, New York City, for respondents. I. The Third Department correctly held that Education Law § 3602-ee (12) gives charter entities all oversight responsibility for prekindergarten classes provided by charter schools. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Schoenefeld v State of New York*, 25 NY3d 22; *People v Andujar*, 30 NY3d 160; *Langerman v Langerman*, 303 NY 465; *Kimmel v State of New York*, 29 NY3d 386; *Kagen v Kagen*, 21 NY2d 532; *Claflin v Houseman*, 93 US 130;

Ivey v State of New York, 80 NY2d 474.) II. The Third Department properly refused to defer to the Commissioner of Education's incorrect interpretation of the statewide universal prekindergarten law. (*Matter of Albano v Board of Trustees of N.Y. City Fire Dept., Art. II Pension Fund*, 98 NY2d 548; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills*, 4 NY3d 51; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Suffolk Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd.*, 11 NY3d 559; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Town of Lysander v Hafner*, 96 NY2d 558.) III. The Third Department correctly held that the right to inspect does not authorize local school districts to regulate prekindergarten classes provided by charter schools. (*People v Versaggi*, 83 NY2d 123; *Matter of Avella v City of New York*, 29 NY3d 425; *People v Cook*, 29 NY3d 121; *People v Ocasio*, 28 NY3d 178; *Matter of Antwaine T.*, 23 NY3d 512; *Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120.) IV. The reasons advanced by appellants for ignoring the plain meaning of Education Law § 3602-ee (12) are not valid. (*Tapia v United States*, 564 US 319; *Riley v County of Broome*, 95 NY2d 455; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Pajak v Pajak*, 56 NY2d 394; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *Clark v Cuomo*, 66 NY2d 185; *United States v Price*, 361 US 304.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*David W. Brown, Darren W. Johnson, Shane D. Avidan* and *Mozianio S. Reliford* of counsel), for Joel Klein, amicus curiae. I. Autonomy and innovation are the keys to the extraordinary successes achieved by charter schools in New York City. (*Matter of Board of Educ. of Roosevelt Union Free School Dist. v Board of Trustees of State Univ. of N.Y.*, 185 Misc 2d 704, 282 AD2d 166.) II. The Third Department correctly interpreted the universal prekindergarten statute, and the New York City Department of Education's contrary position ignores the unambiguous statutory language and the clear intent of the legislature. (*People v Pabon*, 28 NY3d 147.)

Jones Day, Washington, D.C. (*Victoria Dorfman* of counsel), and New York City (*Jim Ligtenberg*, *James M. Gross* and *Ste-*

ven Magnusson of counsel), for Achievement First Brooklyn Charter Schools and others, amici curiae. I. This Court should affirm the interpretation of Education Law § 3602-ee set forth by the Third Department. II. Autonomy allows charter schools to thrive and benefits the entire school system. (*Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Matter of Board of Educ. of Roosevelt Union Free School Dist. v Board of Trustees of State Univ. of N.Y.*, 185 Misc 2d 704; *Matter of International High School: Charter School at LaGuardia Community Coll. v Mills*, 276 AD2d 165.) III. Appellants disregard the importance of charter school autonomy under New York law.

OPINION OF THE COURT

Garcia, J.

Charter schools are listed among the various eligible providers under the Statewide Universal Full-Day Prekindergarten Program. Unlike other providers, however, charter schools are separately governed by the New York Charter Schools Act, and all "monitoring, programmatic review and operational requirements" related to charter school prekindergarten programs are "the responsibility of the charter entity" and must be "consistent with the requirements" of the Charter Schools Act (Education Law § 3602-ee [12]). The issue before us is whether the statutory scheme governing charter school prekindergarten programs allows for shared oversight authority between charter entities and local school districts. We hold that it does not and, accordingly, affirm.

I.

Three statutory schemes are relevant to this appeal: two related to prekindergarten programs generally, and one related specifically to charter schools. We take each in turn.

In 1997, the legislature took its first pass at creating a "[u]niversal prekindergarten program" (Education Law § 3602-e [Legacy Pre-K Law]). The Legacy Pre-K Law essentially operated as a grant system, disbursing funds to school districts. The recipient school districts, in turn, were required to set aside "[n]ot less than ten percent of the total grant award . . . for collaborative efforts" with community organizations (Education Law § 3602-e [5] [e]). School districts were also authorized "to enter any contractual or other arrangements necessary to implement the district's prekindergarten plan" (Education Law § 3602-e [5] [d]).

The Legacy Pre-K Law was passed with the hope that prekindergarten would become universal throughout New York State by 2002 (New York State Comptroller, The 1997-98 Budget: Fiscal Review and Analysis [Sept. 1997]). But the program was plagued by funding difficulties (*see* Office of Senate Majority Coalition Leader Jeffrey D. Klein, An Economic Argument for NYC Mayor Bill de Blasio's Universal Pre-K Plan at 7 [Jan. 5, 2014] [describing erratic funding to state prekindergarten program under Legacy Pre-K]), and by school districts that "were slow to initiate or expand [prekindergarten] programs" (*see* Citizens Budget Commission, The Challenge of Making Universal Prekindergarten a Reality in New York State at 6 [Oct. 2013], cited in Office of Senate Majority Coalition Leader Jeffrey D. Klein, An Economic Argument for NYC Mayor Bill de Blasio's Universal Pre-K Plan). As a result, the goal of a universal prekindergarten program went largely unfulfilled.

Years later, in 2014, the legislature set out a new statutory framework governing prekindergarten programs (Education Law § 3602-ee [Universal Pre-K Law]). The Universal Pre-K Law came with an allocation of $340 million for prekindergarten funding in the State's 2014-2015 budget. Of that amount, $300 million was designated for New York City alone.

The Universal Pre-K Law created a new mechanism for the delivery of program services. Specifically, under the Universal Pre-K Law, school districts no longer bore sole responsibility for disbursing state funds to community organizations. Rather, the stated purpose of the Universal Pre-K Law was "to incentivize and fund state-of-the-art innovative pre-kindergarten programs and to encourage program creativity through competition" (Education Law § 3602-ee [1]). To that end, the new legislation expanded the pool of prekindergarten providers, and allowed "non-profit organizations, community-based organizations, charter schools, libraries and/or museums" to receive state money for prekindergarten programs (*id.* § 3602-ee [3] [a]). Under the new scheme, specified providers could receive state funds in one of two ways: they must first seek funding as part of their local school district's consolidated application—which must demonstrate a "diversity of providers" (*id.*)—to the State Education Department (SED); if (and only if) an eligible provider is rejected by the local school district for inclusion in a consolidated application, it may apply directly to the SED (*see id.* § 3602-ee [3]).

Under the Universal Pre-K Law, all prekindergarten providers "shall demonstrate quality on" eight factors, ranging from "curriculum" to "facility quality" (*id.* § 3602-ee [2]).[1] Providers are also subject to routine inspection. At least two of the provider's inspections each year must be performed by SED, "the school district with which [the provider] partners, if any, and [the provider's] respective licensing . . . entity" (*id.* § 3602-ee [10]). At least one inspection must be done by the licensing entity (*id.*). SED is also directed to "develop a statewide inspection protocol, which shall provide for annual inspections" (*id.* § 3602-ee [6]). The inspection framework designed by SED must include "a quality assurance protocol and physical plant review protocol" (*id.*).

Under the new statutory scheme, charter schools—not established in New York until after the Legacy Pre-K Law took effect—could qualify as providers of prekindergarten programs (*id.* § 3602-ee [3] [a]). Although listed among the eligible providers (alongside nonprofits and community organizations) in the Universal Pre-K Law, charter schools also have their own detailed statutory framework.

The Charter Schools Act, passed in 1998, "authoriz[ed] a system of charter schools to be created in New York State to provide opportunities for teachers, parents, and community members to establish and maintain schools that operate independently of existing schools and school districts" (*Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120, 123 [2009] [internal quotation marks omitted]). To establish a charter school, an application must be submitted to, and approved by, a "charter entity" (Education Law § 2851 [3]). Qualification as a charter entity is limited to: (1) "[t]he board of education of a school district"; (2) "[t]he board of trustees of the state university of New York; or" (3) "[t]he board of regents" of SED (*id.*).

Charter schools must meet the "same health and safety, civil rights, and student assessment requirements applicable to other public schools," but they are otherwise "exempt from all other state and local laws, rules, regulations or policies govern-

1. The eight metrics for quality are: "(a) curriculum; (b) learning environment, materials and supplies; (c) family engagement; (d) staffing patterns; (e) teacher education and experience; (f) facility quality; (g) physical well-being, health and nutrition; and (h) partnerships with non-profit, community and educational institutions" (*id.*).

ing public or private schools . . . [and] school districts," unless the Charter Schools Act specifies differently (Education Law § 2854 [1] [b]). The Charter Schools Act further provides that, "[n]otwithstanding any provision of law to the contrary, to the extent that any provision of [the Charter Schools Act] is inconsistent with any other state or local law . . . the provisions of [the Charter Schools Act] shall govern and be controlling" (Education Law § 2854 [1] [a]).

The Charter Schools Act is very specific with respect to governance and oversight. Each charter school is governed by a self-selecting board of trustees that has " 'final authority for policy and operational decisions of the school' " (*DiNapoli*, 13 NY3d at 125, quoting Education Law § 2853 [1] [f]). The school's enabling charter must "include the specific commitments of the charter entity relating to its obligations to oversee and supervise the charter school" (Education Law § 2852 [5]). The statute further specifies that "[o]versight by a charter entity and the board of regents shall be sufficient to ensure that the charter school is in compliance with all applicable laws, regulations and charter provisions" (Education Law § 2853 [2]).

The local school district also has a role, albeit a limited one, within the charter school framework. The district has the "right to visit, examine into, and inspect the charter school for the purpose of ensuring that the school is in compliance with all applicable laws, regulations and charter provisions" (Education Law § 2853 [2-a]). That said, any evidence of noncompliance is passed on to the Board of Regents and the appropriate charter entity for further action (*id.*). The Board and the charter entity retain ultimate oversight and compliance authority (*see* Education Law § 2855).

The Charter Schools Act provides that charter schools may serve grades 1 through 12 and are not prohibited from establishing a kindergarten program (Education Law § 2854 [2] [c]). The Universal Pre-K Law has an explicit provision specifying that charter schools are eligible to participate directly in prekindergarten programs, "provided that all such monitoring, programmatic review and operational requirements . . . shall be the responsibility of the charter entity and shall be consistent with the requirements under [the Charter

Schools Act]" (Education Law § 3602-ee [12]).[2] As detailed above, the Charter Schools Act vests ultimate oversight of charter schools with a charter entity, gives the local school district only limited inspection authority, and exempts charter schools from all but a limited subset of "state and local laws, rules, regulations or policies governing public or private schools" (Education Law § 2854 [1] [b]).

II.

Against this statutory backdrop, we turn to the instant dispute. Petitioner Success Academy is a not-for-profit education corporation which operates dozens of charter schools across New York City.[3] In early 2015, Success Academy responded to a request for proposals (RFP) from the New York City Department of Education (DOE), its local school district, to receive funding for a total of 72 prekindergarten seats across three sites for the 2015-2016 school year.[4] The RFP was directed specifically to charter schools and required a detailed proposal concerning how the prekindergarten program would operate, including curricular submissions with examples of "rigorous learning experiences that provide opportunities for children to inquire, predict, problem solve, experiment, and draw conclusions." Under the terms of the RFP, all proposals that were "non-responsive to the requirements" would "be rejected." The RFP stated that funding would be contingent on execution of a contract with DOE, and a sample contract was attached.

In March 2015, DOE conditionally approved funding for Success Academy's three sites. Final acceptance was "contingent upon timely contract negotiations" which, DOE noted, "may include both the proposed cost per child amount and proposed start-up costs." In July 2015, three identical contracts (one for each site), titled "Full-Day Universal Pre-Kindergarten (UPK) Contract for Charters 2015-2018," were sent to Success Academy by DOE. Each contract was 241 pages (including appendices), and included provisions that sought to regulate the

2. The Universal Pre-K Law also provides for admission procedures and limitations on the employment of uncertified teachers consistent with the Charter Schools Act (Education Law § 3602-ee [12]).

3. Success Academy is joined in this appeal by several parents who had enrolled their children in its now-defunct prekindergarten program.

4. By that time, DOE had already received approval from SED for approximately $295,000,000—the vast majority of the funding set aside for New York City—to fund 70,000 prekindergarten seats for the 2015-2016 school year.

curriculum and operations of the charter school prekindergarten program. For example, the contracts contained detailed provisions controlling field trips (capping the number at no more than three per year); playtime (setting a "floor" at two hours and seven minutes); and screen time (capping the amount at 30 minutes per week). In addition, a provision in the proffered contract—entirely absent from the "sample" contract attached to the RFP—purported to give DOE "monitoring" authority, which would include "an assessment of curriculum planning and implementation" as well as broad discretion to change curriculum or operational requirements at any time.

Prekindergarten classes began at the three Success Academy sites in August 2015, with the participation of 72 students chosen by lottery from a pool of approximately 4,700. In October 2015, Success Academy formally objected to DOE's proposed contracts. Soon after, Success Academy sent invoices to DOE for payment, but DOE refused to pay without a contract.

Success Academy challenged DOE's actions in a proceeding before the Commissioner of SED. Two measures of relief were requested: an order directing DOE to pay for the prekindergarten programs already underway, and a declaration that the DOE contract was unlawful. On the first issue, the Commissioner found that DOE, "as a recipient of public grant funds from the State . . . has the responsibility to ensure proper disbursement and expenditure of the use of such public funds" and thus, "in the absence of an executed contract, DOE was not required to pay Success Academy" for the prekindergarten programs. On the second issue, the Commissioner determined that Education Law § 3602-ee (12)—which leaves "all monitoring, programmatic review and operational requirements" to "the charter entity"—did not constitute an exclusive grant of authority to the charter entity.[5] In the Commissioner's view, the best way to read subdivision (12) was to clarify that "the charter entity is <u>also</u> responsible for ensuring that the charter school complies with the requirements of the grant," and to further "clarify" that the charter entity is the "oversight agency" responsible for conducting one inspection pursuant to Education Law § 3602-ee (10). Although the Commissioner

5. The charter entity for Success Academy is the Board of Trustees of the State University of New York.

found two aspects of the DOE contract to be unlawful, the curricular and programmatic requirements in the contract were otherwise vindicated.[6]

Success Academy then filed this CPLR article 78 petition seeking to annul the Commissioner's determination. The petition sought similar relief: payment from DOE and a declaration that the proposed DOE contract was unlawful. Supreme Court dismissed the petition, holding that the Commissioner's decision was "rational and not arbitrary and capricious" (2016 NY Slip Op 31638[U], *22 [Sup Ct, Albany County 2016]). The court agreed that the Universal Pre-K Law "demonstrate[s] clear legislative intent towards joint inclusive oversight of charter school Pre-K providers" and that "DOE's contract requirement as a precondition for funding was lawful" (*id.* at *24, *26).

The Appellate Division unanimously reversed (*Matter of DeVera v Elia*, 152 AD3d 13 [3d Dept 2017]). According to that Court, the legislature's use of the word "all" in subdivision (12) provides the charter entity "with full responsibility for the relevant 'monitoring, programmatic review and operational requirements' for the relevant prekindergarten programs" and that the plain meaning of this provision "in no way indicates that another entity—such as a school district—holds concurrent responsibility or authority in this regard" (*id.* at 20, quoting Education Law § 3602-ee [12]). This reading, in the Appellate Division's view, "best harmonizes the provisions of the statute in a manner consistent with the Legislature's announced purpose" of the Universal Pre-K Law which was " 'to encourage program creativity through competition' " (*id.* at 21, quoting Education Law § 3602-ee [1]). The Court also determined that the plain meaning of the term "inspection" did not include a right to regulate the curriculum (*id.*; *see* Education Law § 3602-ee [10]). The Appellate Division remitted the matter to the Commissioner, given that "the Commissioner's determination regarding Success Academy's request for funding was affected by its erroneous interpretation of" the Universal Pre-K Law (*id.* at 22).

This Court granted leave to appeal.

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6. The Commissioner deemed unlawful any provisions conflicting with Education Law § 2854 (1) (c) "regarding the authority of the State Comptroller to conduct fiscal audits of charter schools located in New York City" and a provision imposing prevailing wage requirements (*see Matter of New York Charter School Assn. v Smith*, 15 NY3d 403, 411 [2010]).

III.

DOE and SED contend that deference to the Commissioner's interpretation is warranted and that the plain text of Education Law § 3602-ee (12) does not support the Appellate Division's reading thereof. They also argue that the Universal Pre-K Law, as a whole—along with certain sections of the Legacy Pre-K Law—supports a vigorous supervisory role for school districts over charter school prekindergarten programs. Lastly, they contend that the legislature's decision not to amend the Charter Schools Act provides additional support for their view of school district authority. None of these arguments are availing.

A.

We agree with the Appellate Division that deference is not warranted here. "Where . . . the question is one of pure statutory interpretation," we "need not accord any deference to the agency's determination and can undertake its function of statutory construction" (*Matter of Albano v Board of Trustees of N.Y. City Fire Dept., Art. II Pension Fund*, 98 NY2d 548, 553 [2002] [internal quotation marks omitted]). This concept applies equally in the realm of the Education Law (*see Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills*, 4 NY3d 51, 59 [2004] ["(I)n the instant case, this Court is faced with the interpretation of statutes and pure questions of law and no deference is accorded the (Commissioner's) determination"]). In this case, we are asked to analyze various statutory provisions in order to determine where and with whom the legislature housed oversight authority. As the issue is one of pure statutory interpretation, agency deference is unwarranted (*see Lorillard Tobacco Co. v Roth*, 99 NY2d 316, 322 [2003]).

B.

Our statutory analysis turns on subdivision (12) of the Universal Pre-K Law which provides that, for charter school prekindergarten programs, "all . . . monitoring, programmatic review and operational requirements . . . shall be the responsibility of the charter entity and shall be consistent with the requirements under article fifty-six of this chapter" (Education Law § 3602-ee [12]). DOE and SED argue that the plain language of this subdivision allows for joint authority over monitoring, programmatic review and operational requirements of charter school prekindergarten programs because the legislature did not delegate "sole" or "exclusive" responsibility to charter entities. We disagree.

"As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Further, " '[t]he language of a statute is generally construed according to its natural and most obvious sense . . . in accordance with its ordinary and accepted meaning' " (*Samiento v World Yacht Inc.*, 10 NY3d 70, 78 [2008]). Education Law § 3602-ee (12) is not ambiguous: it provides that "*all* such monitoring, programmatic review and operational requirements . . . *shall* be the responsibility of the charter entity" (emphasis added). As the Appellate Division noted, the use of "all" demonstrates that the legislature "tasked the charter entity with full responsibility for the relevant monitoring, programmatic review and operational requirements" (*DeVera*, 152 AD3d at 20 [internal quotation marks omitted]). In other words, the "use of 'shall' . . . makes what follows mandatory, and . . . 'all' means all" (*Vadnais v Federal Natl. Mtge.*, 754 F3d 524, 526 [8th Cir 2014] [internal quotation marks omitted]).

Subdivision (12) of the Universal Pre-K Law also expressly incorporates the Charter Schools Act. By its terms, subdivision (12) mandates that the charter entity's responsibility for monitoring, programmatic review and operational requirements "shall be consistent" with the requirements of the Charter Schools Act (Education Law § 3602-ee [12]). The Charter Schools Act, in turn, largely consolidates monitoring and oversight in the charter entity (*see* Education Law §§ 2853 [1] [f]; [2]; 2852 [5]), and concomitantly circumscribes the role of the school district (*see* Education Law § 2853 [2-a]). In other words, the Charter Schools Act contemplates exclusive—rather than shared—responsibility for oversight, thereby foreclosing the "concurrent" authority scheme envisioned by DOE.

In sum, the terms of subdivision (12) "are plain" and, as such, "there is nothing left for interpretation" (*Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471, 480 [1978]). The text of subdivision (12) vests exclusive oversight authority in the charter entity, and thereby acts to divest the school district of any existing authority to set curricular or programmatic requirements for approved, state-funded charter school prekindergarten programs.[7]

C.

DOE and SED alternatively argue that ambiguity is created by other statutory provisions concerning prekindergarten programs. They point first to the inspection provision in the Universal Pre-K Law, subdivision (10), which allows for SED, charter entities, and local school districts (if the charter school is part of the school district's consolidated application) to inspect a charter school prekindergarten program (Education Law § 3602-ee [10]). In addition, SED and DOE invoke two provisions of the Legacy Pre-K Law: the first directs that "[a] school district receiving funding pursuant to this section shall agree to adopt approved quality indicators" (Education Law § 3602-e [17]), and the second provides that "[n]otwithstanding any other provision of law, the school districts shall be authorized to enter any contractual or other arrangements necessary to implement the district's prekindergarten plan" (*id.* § 3602-e [5] [d]). SED argues that these provisions "confirm[ ] the status of districts as the primary overseer of all pre-K programs operating under their consolidated grant awards."

"Whenever possible, statutory language should be harmonized, giving effect to each component and avoiding a construction that treats a word or phrase as superfluous" (*Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]). However, contrary to SED's claim, none of these provisions conflict with the system of oversight and governance created in the Charter Schools Act and expressly incorporated in subdivision (12) of the Universal Pre-K Law. The Charter Schools Act, for instance, enables school districts to "inspect" charter schools for compliance with "all applicable laws," but no one argues that this inspection provision somehow carries an implied oversight authority for school districts (*see* Education Law § 2853 [2-a]).

The inspection authority provided for in subdivision (10) is very different from that set forth in the monitoring provision of subdivision (12). "[W]ords employed in a statute are construed in connection with, and their meaning is ascertained by refer-

7. That is not to say that school districts lack such authority over other, non-charter school, prekindergarten providers for which the legislature did not expressly reserve monitoring jurisdiction to another entity.

ence to the words and phrases with which they are associated" (McKinney's Cons Laws of NY, Book 1, Statutes § 239 [a]). Here, it is obvious that "monitoring" in subdivision (12)—placed alongside "programmatic review and operational requirements"—refers to ongoing, day-to-day oversight. Subdivision (10) states that a prekindergarten "provider shall be inspected . . . no fewer than two times per school year" (Education Law § 3602-ee [10]). Inspections under subdivision (10), in other words, are planned assessments given that a minimum number of them need to occur. As a result, there is a clear distinction between the day-to-day monitoring power contained in subdivision (12) and the scheduled observations contemplated by the inspection authority in subdivision (10) with respect to charter schools.

Nor do the Legacy Pre-K Law provisions help SED and DOE. The authority to adopt "quality indicators," or the general contracting authority found in the Legacy Pre-K Law, in no way gives authority to school districts to impose curricular and programmatic requirements on charter schools in light of the clear and plainly contradictory language of subdivision (12). Indeed, the Universal Pre-K Law—which expressly incorporates the oversight provisions of the Charter Schools Act—explicitly provides that its provisions supersede those of the Legacy Pre-K Law (Education Law § 3602-ee [7] [mandating compliance with Legacy Pre-K Law "except as otherwise provided in this section"]).

To be sure, a school district may reject a charter school (or any other provider) if the district does not approve the provider's proposed standards or curricular vision. And in this case, DOE said it would do exactly that: the RFP it put out for charter schools noted that proposals that did not conform to DOE's lengthy list of requirements would be rejected. Once a provider is rejected, however, the school district forgoes all responsibility for monitoring or oversight under subdivision (12), and the charter school provider is authorized to apply directly to SED.

Rather than rejecting proposals, DOE has consistently accepted charter school applicants but has conditioned those awards on the execution of a contract that contains unlawful terms, as applied to charter schools. Charter schools are thus placed in a no-win situation: accept those contractual terms, or decline them without recourse to apply directly to SED (*see* brief of amici curiae Achievement First Brooklyn Charter

Schools et al. at 21-22 [noting two other charter school providers, in addition to Success Academy, are not offering state-funded prekindergarten because of DOE's contract]).[8] Nothing in the Universal Pre-K Law or Legacy Pre-K Law, however, gives school districts unilateral authority to impose curricular and programmatic requirements on charter schools—by contract or otherwise.

D.

DOE and SED lastly contend that the legislature's decision to add charter schools to the list of eligible providers in the Universal Pre-K Law, rather than amending the Charter Schools Act, suggests that charter schools were intended to be treated, in the context of prekindergarten, much like any other provider, thereby enabling SED and the school districts to exercise increased oversight. But as DOE and SED admit, the legislative history of the Universal Pre-K Law does not mention charter school oversight, much less override the existing regime set forth in the Charter Schools Act—indeed that regime is incorporated by reference. "[S]ilence in the legislative history" does not "lend any clarity" in this context (*Encino Motorcars, LLC v Navarro*, 584 US —, —, 138 S Ct 1134, 1143 [2018]), and we decline to infer such a substantial shift in the charter school oversight regime from such a subtle legislative choice.

If anything, the legislative design undercuts the position of both DOE and SED. The Universal Pre-K Law represented a dramatic expansion of legislative funding for prekindergarten; logically, then, it was placed within article 73: "Apportionment of Public Moneys." That being done, charter schools are singled out because of their unique status. The legislative command in subdivision (12)—that monitoring and oversight of charter schools offering prekindergarten "shall be consistent with the requirements under [the Charter Schools Act]"—clearly and unambiguously imports the existing oversight framework into the Universal Pre-K Law (Education Law § 3602-ee [12]).

8. Notably, the contractual provision that conflicts most directly with the statutory charter school scheme was belatedly inserted by DOE, and was entirely absent from DOE's sample agreement. That provision purported to give DOE the "right to require [Success Academy] to implement certain curriculum and activities . . . in [DOE's] sole discretion," and provided that "[m]onitoring . . . of [Success Academy programs] will include an assessment of curriculum planning and implementation." The Charter Schools Act, and by extension, the Universal Pre-K Law, prescribe the exact opposite.

Based on the foregoing, as the Appellate Division concluded, the Commissioner's determination was affected by an erroneous interpretation of Education Law § 3602-ee. Accordingly, the order of the Appellate Division should be affirmed, with costs.

Rivera, J. (dissenting). This appeal involves a dispute over the proper interpretation of laws that fund and set forth the programmatic and accountability requirements of New York State's prekindergarten (pre-k) programs. More is at stake here than the claimed payment for education services, as we are asked to determine who is responsible for ensuring the provision of high-quality pre-k programming for thousands of four year olds. Appellants are the Commissioner of the State Education Department (SED) and various New York City municipal entities who, together, are responsible for pre-k educational programs in the city. In this appeal, appellants argue that the City Department of Education (DOE), as the state-approved grantee for funding under the 2014 "Statewide Universal Full-Day Prekindergarten Program" legislation (Education Law § 3602-ee) (2014 Pre-K Law), has compliance responsibility for providers the DOE includes in its consolidated pre-k program, subordinate only to the ultimate oversight of the Commissioner. Appellants further maintain that the Commissioner properly determined that in the case of charter schools included in the consolidated program, the DOE and the charter entity have coextensive responsibility for the monitoring, programmatic review and operational requirements of the charter schools. The respondents on this appeal are Success Academy Charter Schools, a not-for-profit corporation that runs several charter schools in New York City, and certain parents of students enrolled in its pre-k programs. They claim that the three Success Academy charter schools accepted by the DOE for inclusion in its consolidated pre-k program were not subject to the DOE's compliance oversight.

The Commissioner interpreted the relevant statutes to conclude that the DOE acted within the scope of its designated role as grantee with responsibility for oversight of all the providers under its consolidated program when the DOE mandated compliance with its detailed contractual terms. That interpretation is supported by the statutory language and the State's universal pre-k framework. The majority's decontextualized focus on one provision of the 2014 Pre-K Law misreads the import of that section and reads into the language a carve-out for charter schools which undermines the accountability central to the State's pre-k system. The majority also ignores the promises made by Success Academy to be bound by state-approved DOE oversight. That is not what the legislature intended when it approved the 2014 Pre-K Law. I dissent.

I.

A. Statutory and Regulatory Framework

In 1997 the legislature enacted the Universal Prekindergarten Program (Education Law § 3602-e) (1997 Pre-K Law).[1] The purpose of the legislation was to provide high-quality universal prekindergarten to all four-year-old children across the state (*see* Mem of St Education Dept, Bill Jacket, L 1997, ch 436 at 213; New York State Comptroller, The 1997-98 Budget: Fiscal Review and Analysis [Sept. 1997]; Natalie Gomez-Velez, *Can Universal Pre-K Overcome Extreme Race and Income Segregation to Reach New York's Neediest Children? The Importance of Legal Infrastructure and the Limits of the Law*, 63 Clev St L Rev 319, 330-331 [2015]).

The law was a response to a growing body of research on the foundational importance of early childhood education and the lack of access to prekindergarten programs for low-income families (Gomez-Velez at 331). The number of studies and academic papers supporting this view continued to grow in the years after the passage of the 1997 Pre-K Law. Neuroscience studies have since established that pre-k programs are beneficial to the long-term development and educational success of children (*id.* at 330; James E. Ryan, *A Constitutional Right to*

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1. The majority refers to the 1997 legislation as the "Legacy Pre-K Law" (majority op at 427), a title not found in the legislative text, decisions below, or any briefs submitted on this appeal. The term "legacy" as used by the majority in this context suggests that the 1997 legislation is irrelevant to our analysis of the 2014 legislation titled "statewide universal full-day prekindergarten program" (*see* Merriam-Webster Online Dictionary, legacy [https://www.merriam-webster.com/dictionary/legacy] [defining legacy as "something transmitted by or received from an ancestor or predecessor or from the past"]; majority op at 428 [describing the program established by the Legacy Pre-K Law as going unfulfilled and describing the 2014 Pre-K Law as a new statutory framework]). To the extent that the 1997 Pre-K Law has not been amended or repealed, no one disputes, including respondents, that the law still carries force (brief for petitioners-respondents at 40-41 [stating that charter school pre-k programs are funded pursuant to Education Law § 3602-e (2)]). To avoid confusion as to the continued relevance of the 1997 law, or erasure of the historical connection between the two statutes, I refer to each law by the year in which it was enacted: the 1997 Pre-K Law and the 2014 Pre-K Law.

Preschool?, 94 Calif L Rev 49, 57 [2006] ["(R)esearchers agree that preschool programs can have long-term, positive effects on academic achievement"]; W. Steven Barnett, *Preschool Education and Its Lasting Effects: Research and Policy Implications*, University of Colorado at Boulder, Education and Public Interest Center and Arizona State University Education Policy Research Unit at 16 [2008], https://nepc.colorado.edu/sites/default/files/PB-Barnett-EARLY-ED_FINAL.pdf).

In addition, social science research has revealed the relative benefits of pre-k programs for children from low-income families. Studies have shown that "there is typically a wide gap in school readiness between poor and more affluent children when they enter kindergarten" and that pre-k programs have worked to narrow that gap (Ryan, at 56-57; Hirokazu Yoshikawa et al., *Investing in Our Future: The Evidence Base on Pre-School Education*, Foundation for Child Development and Society for Research in Child Development at 11 and n 47 [2013]). Thus, the interest in pre-k programs was driven in part by the understanding that such programs could be a vehicle to improve opportunities for children from low-income families, which provided a basis for many targeted means-based early education programs (Gomez-Velez at 327-328; Halley Potter, *Lessons from New York City's Universal Pre-K Expansion: How a Focus on Diversity Could Make it Even Better*, The Century Foundation at 3 and n 9 [May 13, 2015] [noting that four most studied preschool programs primarily served low-income families]).

However, political support for universal, rather than means-tested, pre-k gathered as research demonstrated the educational, fiscal, and policy benefits of free and accessible pre-k education for all children (*see* Gomez-Velez at 330-331; Hirokazu Yoshikawa et al. at 2 [noting that early research focused only on programs for low-income children, but that more recent research on universal preschool programs have indicated that while low-income children benefit most from such programs, middle-class children benefit substantially as well]; Pew Charitable Trusts, Pew Center on States, The Costs of Disinvestment: Why States Can't Afford to Cut Smart Early Childhood Programs [Jan. 19, 2010] [noting that "(d)epriving children of a strong developmental start increases costs for parents, hospitals, schools and communities" and that "(e)arly childhood programs stimulate the local economy"]; Arthur Macewan, *Early Childhood Education, Economic Development,* *and the Need for Universal Programs: With a Focus on New England*, 10 Economic, Mgt, and Fin Mkts 1, 26-31 [2015] [noting that state investment in universal pre-k provides an immediate economic impact as more parents are able to enter the labor force, parents in the workforce are more productive, and childcare jobs are created]). Notably, research indicated that universal pre-k programs may provide an additional educational and policy benefit in integrating children in racially and socioeconomically diverse classrooms (Jeanne L. Reid, *Socioeconomic Diversity and Early Learning: The Missing Link in Policy for High-Quality Preschools*, in The Future of School Integration: Socioeconomic Diversity as an Education Reform Strategy 75-79 [Richard D. Kahlenberg ed, The Century Foundation 2012] [noting the educational benefits of racially and socioeconomically diverse peer interaction, and that these interactions may "destabilize emergent prejudices" as at least one study "found that in racially diverse kindergartens, children's acceptance of peers and friendships transcend(ed) racial and ethnic identities"]; Potter at 5 ["recent research suggests that the socioeconomic and racial diversity of preschool classrooms is a key component of their educational quality"]).

Against this backdrop, and in response to the need for adequate funding to expand the availability of full-day pre-k programs and make them truly universal, the legislature enacted the Statewide Universal Full-Day Prekindergarten Program in 2014 (2014 Pre-K Law). The newly enacted law expanded the program established under the 1997 Pre-K Law and shares many of its statutory components. Under the 2014 Pre-K Law, the State Commissioner of Education continues to administer the state's pre-k program through a similar competitive process by which a school district submits a consolidated application—meaning an application that includes a diverse group of providers (Education Law § 3602-ee [3], [4]).[2] A non-school district provider may apply individually only if the

2. Although the 1997 Pre-K Law refers to a school district's competitive process as the means by which to coordinate proposals from program providers, this describes essentially the same type of process outlined in the 2014 Pre-K Law (Education Law §§ 3602-e [5] [a] [directing schools districts that choose to coordinate proposals for pre-k services to "conduct a competitive process" in accordance with the application process used by the SED to review school district proposals]; 3602-ee [4], [5], [7] [awarding grants to consolidated applications "on a competitive basis"]).

school district denies its inclusion in the consolidated application (Education Law § 3602-ee [3] [b]).[3]

Both statutes were intended to improve collaboration and partnership between school districts and local providers and encourage innovation in programming and delivery of services (*compare* Education Law § 3602-e [5] [allowing school districts, other than that of New York City, to coordinate pre-k services with early childhood programs, community-based organizations, and nursery schools, and indicating that districts should select partners based on a competitive application process], *with* Education Law § 3602-ee [3] [a] [awarding grants to school districts that include pre-k programs operated by "schools, non-profit organizations, community-based organizations, charter schools, libraries and/or museums"], *and* [4] ["Programs that provide more stimulation, enhance child development and demonstrate creative approaches to improve early childhood education will have a competitive advantage in the application process"]).

To ensure high quality programming, the 2014 Pre-K Law requires compliance with all rules and requirements of the 1997 Pre-K Law, unless otherwise provided, and imposes programmatic and operational requirements, including that grantees demonstrate quality of programs in eight "elements": "(a) curriculum; (b) learning environment, materials and supplies; (c) family engagement; (d) staffing patterns; (e) teacher education and experience; (f) facility quality; (g) physical well-being, health and nutrition; and (h) partnerships with non-profit, community and educational institutions" (Education Law § 3602-ee [2]). The 2014 Pre-K Law continues the school districts' central role in ensuring compliance with the statutory standards. Specifically, because the law withholds funds from non-compliant programs and school districts are responsible for selecting providers into its consolidated application which must be approved by the Commissioner, school districts are made accountable for ensuring the compliance of their participating programs (*see* Education Law § 3602-ee [7], [8] [c]). As the Commissioner explains, while she remains ultimately responsible for enforcing legal and regulatory requirements

3. The SED Commissioner represents that SED considers an individual application from an eligible entity also in those cases where a school district does not submit a consolidated application because the entity has, "in effect, been denied inclusion in a consolidated application" within the meaning of the 2014 Pre-K Law.

over all pre-k providers, the school districts are responsible at the local level for the supervision and oversight of the providers included in the school districts' consolidated application (Education Law §§ 3602-ee [3] [d]; [7]; 3602-e [13]).[4]

B. New York City's Universal Pre-K Program

Prior to the 2014 Universal Pre-K Law, New York City provided free pre-k education under the 1997 Pre-K Law. Under that statutory framework, families in New York City had access to pre-k programming through federally funded Head Start[5] programs that offered full-day pre-k education, as well as through programs funded by Administration for Children Services (ACS) or ACS vouchers (Office of the Mayor, Office of Management and Budget, Department of Education and Administration for Children's Services, Ready to Launch: New York City's Implementation Plan for Free, High-Quality, Full-Day Universal Pre-Kindergarten at 2 [Jan. 2014]; Potter at 6).[6]

However, these services did not meet the need. In fact, the 1997 Pre-K Law failed to reach its goals, as only one in four four-year-olds was enrolled in pre-k by 2002—the law's target year for providing universal pre-k (W. Steven Barnett et al., *The State of Preschool 2003: State Preschool Yearbook*, National Institute for Early Education at 104 [2003]). Even as New York City expanded its program by increasing the number of seats

4. The legislature amended the 1997 Pre-K Law in 2017 to require participating school districts to "adopt approved quality indicators" including "valid and reliable measures of environmental quality, the quality of teacher-student interactions and child outcomes," and to "ensure that any such assessment of child outcomes shall not be used to make high-stakes educational decisions for individual children" (Education Law § 3602-e [17], added by L 2017, ch 59, § 1, part YYY, § 30). This provision, incorporated into the 2014 Pre-K Law, further confirms the central role of school districts as the body responsible for local programmatic oversight (Education Law § 3602-ee [7] [providing that grants will only be awarded to programs that comply with Education Law § 3602-e]).

5. Head Start is a federal program managed by the Department of Health and Human Services that funds pre-k education programs for children from low-income households (42 USC § 9831 *et seq.*).

6. ACS is the municipal child welfare agency for New York City that is primarily responsible for providing "foster care placements and services to thousands of children in a broad array of settings" (*City of New York v Maul*, 14 NY3d 499, 504 [2010]). Its mission is to protect and promote "the safety and well-being of New York City's children, young people, families, and communities by providing excellent child welfare, juvenile justice, and early care and education services" (New York City Administration for Children's Services, Mission & Organization, https://www1.nyc.gov/site/acs/about/mission-organization.page).

in low-income, high-needs neighborhoods, Mayor Bill de Blasio estimated that, by 2014 "73,250 families [would] need a full-day pre-K option for their 4-year-old" and that fewer than 27% of these children have access to full-day pre-k programs (Ready to Launch at 4). The 1997 Pre-K Law was hindered by unstable funding: while the law was scheduled to provide $500 million for every year after 2000, the State never reached that level as schools were both slow to implement programs and fiscal constraints forced reductions in allocations of funds (Gomez-Velez at 337-340).

In 2013, Mayor de Blasio campaigned to further expand universal pre-k in New York City by creating more full-day seats and converting half-day seats to full-day (Potter at 6). In January 2014, the DOE released its plan for providing universal pre-k services under the recently enacted 2014 Pre-K Law. The goal was "to implement a truly universal pre-kindergarten system in New York City that provides every 4-year-old with high-quality, full-day pre-K" (*id.*). The proposal was the result of collaboration by numerous city agencies that studied successful universal pre-k programs outside of New York (*id.* at 8). The combined effort developed its vision for the DOE's universal pre-k program: implement "standards-based instruction oriented around the state pre-K learning standards, [New York State] Pre-kindergarten Foundation for the Common Core"; provide six hours and 20 minutes of free instruction for 180 days; provide sufficient levels of compensation to attract effective teachers; provide increased support for English language learners; increase support for families by providing more social workers and more intensive support in schools; and increase the number of on-site coaches to provide more targeted support for pre-k programs and better "assess how children, teachers and programs are performing each year" (Ready to Launch at 9-10).

Given the shortcomings of the 1997 Pre-K Law, the DOE recognized the central importance of adequate funding. "Without a high level of multi-year, guaranteed funding," the DOE's proposal stated, "agencies and providers will be unable to secure the quality educators and space necessary to serve every child in New York City" (Ready to Launch at 2). As political momentum grew, the legislature allocated $300 million for the DOE region's 2014 Pre-K Law award (*see* Education Law § 3602-ee [5]; Potter at 7). This amounts to roughly 78% of the funding for the DOE's pre-k program, with 21% provided by a city tax levy, and 1% through federal grants (Caitlin McLean et al., Strategies in Pursuit of Pre-K Teacher Compensation Parity: Lessons from Seven States and Cities, Center for the Study of Child Care Employment, University of California, Berkeley and National Institute for Early Education Research at 38 [2017]).[7]

C. DOE Grant

The process by which the DOE sought and obtained a grant for its consolidated application for the 2015-2016 school term is not in dispute. Pursuant to the newly-enacted 2014 Pre-K Law, the SED issued a request for proposals (RFP) in which it made clear that: (1) grantees must comply with the statutory and regulatory standards; (2) grants awarded through this competition would be renewed in subsequent years "provided that the program meets quality standards and all applicable requirements"; (3) "the school district applicant is required to assure that it and each eligible entity participating in its consolidated application will adopt and implement approved quality standards in accordance with this RFP"; (4) "[s]chool districts are also responsible for supervision of prekindergarten classrooms in all entities included in its consolidated application"; (5) charter schools included in a school district's consolidated application "cannot apply separately for supplemental funds" because those funds are provided to the applicant, which is the school district not the charter school; and (6) charter schools cannot comingle pre-k funds with its other funds.

In sum, the RFP initiated the competitive bidding process for initial awards of funds for pre-k seats. Those awards were disbursed based on a grantee's application, which, in the case of a consolidated application, included the school district's promise to comply with the State's required statement of assurances set forth in the SED's RFP. The awards would be renewed the following year so long as the applicant's programming, as described in its submission, complied with quality standards and all applicable requirements. In other words, the initial award was renewable unless the grantee—and its providers—failed to comply with its assurances of delivering

7. The McClean report was a qualitative study of pre-k teacher compensation parity policies, that obtained data for the 2016-2017 school year through interviews with officers in the SED (Strategies in Pursuit of Pre-K Teacher Compensation Parity at 5, 38 and nn 44, 46).

high-quality pre-k programming as described in the initial grant proposal.

In line with the statutory allocation, the DOE submitted a proposal for a $300 million award to fund a multi-year pre-k program that would "provide over 50,000 high-quality full-day seats in the 2014-2015 school year, and an additional 20,000 seats in the 2015-2016 school year" for just over 70,000 seats, which included 200 seats in charter school settings. The funding would establish "NYC's Pre-K for All," which the DOE described as a "single-system of high-quality pre-k in [New York City] managed by the [City's] DOE." The Pre-K for All program adopted a quality assurance cycle framework "of monitoring, interventions, and support based on comprehensive quality standards covering: curriculum, instruction, the classroom learning environment, family engagement, staff credentialing, professional development, facility health and safety, and operational practices needed to offer high-quality full-day pre-k services that prepare children for kindergarten and set them on a path towards college and career readiness." Moreover, the DOE represented that "[t]he classroom environment is assessed in all settings with the [Early Childhood Environment Rating Scale] tool," a nationally recognized scale for assessing early childhood education programs.[8] The DOE further assured that it would adopt approved quality standards and ensure the providers implemented them in accordance with this RFP.

The SED approved the DOE's consolidated application and, in a follow-up letter, reminded the DOE that school districts were "responsible for monitoring program quality for all community program providers . . . which utilize [2014 Pre-K Law] grant funds sub-allocated by the district to provide prekindergarten services" for the 2015-2016 school year. The SED further directed the DOE to use the SED's Quality Assurance Protocol Observation Document—a document developed pursuant to the 2014 Pre-K Law (Education Law § 3602-ee [6] [requiring the SED to develop a statewide inspection protocol, "which shall provide for annual inspections of all universal

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8. This tool was developed by the Frank Porter Graham Child Development Institute and consists of 43 items organized into seven subcategories: space and furnishings, personal care routines, language-reasoning, activities, interactions, program structure, parents and staff (Frank Porter Graham Child Development Institute, Early Childhood Environment Rating Scale, https://ers.fpg.unc.edu/node/324).

full-day pre-kindergarten providers, and shall develop a quality assurance protocol and physical plant review protocol for such reviews"]). The SED also instructed the DOE to focus primarily on the assurance protocol sections addressing curriculum learning environment, family engagement, physical well-being and health, and screenings and assessments. The SED encouraged the DOE "to begin this work now" because SED staff visiting the district would "expect to see evidence that the district is working closely with its community partners to ensure quality and accountability, even if the quality monitoring visit has not yet occurred."

Thereafter, the DOE issued an RFP to solicit providers for its consolidated pre-k program and a separate RFP targeting charter schools. As relevant here, both RFPs stated that "[a]wards will be made to charter schools that demonstrate the ability to meet programmatic quality and operational expectations, objectives and regulations set forth by the New York State Education Department and the New York City DOE." Both also stated that the awards were subject to completion of contract negotiations with the DOE and registration for the contract with the City Comptroller. The charter school RFP contained a sample contract which set forth programmatic baseline requirements[9] as well as evaluation and assessment mandates. For example, the contract conditioned funding on a program's implementation of an authentic assessment system, production of its data to the DOE, and participation in the DOE's quality assurance protocol, which involved on-site reviews by the DOE and, where necessary, action plans to resolve programmatic concerns.

D. The Charter Schools' Challenge to DOE Oversight

Three Success Academy charter schools applied and were approved for inclusion in the DOE's consolidated program for the

9. These terms included broad subjective requirements for programs, such as obliging programs to provide age-level appropriate activities and adequate furnishings, as well as objective requirements such as the length of the school year and school day (a minimum of 180 days, for no less than five hours per day), the timing of field trips (no trips before January 1 of the school year and no more than three field trips during the school year), the amount of screen time (no more than 15 minutes per day and no more than 30 minutes per week), and the amount of time students must play independently with art materials, blocks, sand/water, dramatic play items, nature/science materials, books, music materials, and math materials (at least two hours and seven minutes a day).

2015-2016 school year, subject to completion and registration of the DOE contract, as providers of 72 pre-k seats.[10] Success Academy failed to sign the contracts but commenced the pre-k programs, despite the DOE's warnings that it could not guarantee payment without a signed contract registered with the State Comptroller, and that Success Academy was operating "at [its] own risk."

When the DOE denied reimbursement for the programs, Success Academy appealed to the Commissioner, essentially disputing any programmatic or fiscal oversight by the DOE. Success Academy challenged, in part and as relevant to this appeal, the DOE's contracts as arbitrary and unauthorized because under subdivision (12) of the 2014 Pre-K Law (Education Law § 3602-ee [12]) a charter school's "charter entity" has sole responsibility for charter school pre-k monitoring, programmatic review and operational requirements. The Commissioner rejected the challenge, sustained the DOE contract requirement and all but two of the terms set forth therein, and concluded that section 3602-ee (12) did not grant charter entities the exclusive or sole responsibility for the monitoring, programmatic review, and operational requirements of participating charter schools, and instead provides for the coextensive compliance responsibility of the charter entity and the school district grantee.

The Commissioner reasoned that Success Academy's interpretation of the 2014 Pre-K Law conflicted with various provisions of the law that expressly granted oversight authority to school districts. Specifically, subdivision (10) (Education Law § 3602-ee [10]) required that pre-k programs be inspected by the SED, school district, and charter entity, while subdivision (6) (Education Law § 3602-ee [6]) required the SED to develop the inspection protocol. In addition, article 56 of the Education Law, the Charter Schools Act (CSA) (Education Law § 2850 *et seq.*), which governs the operation of charter schools in the state, also authorized school districts to "visit, examine into and inspect" charter schools for the "purpose of ensuring that the school[s] [are] in compliance with all applicable laws" (Education Law § 2853 [2], [2-a]). In light of these provisions, and the fact that subdivision (12) does provide "exclusive" or "sole" oversight authority to charter entities, the Commissioner held:

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10. Ultimately, the DOE partnered with 277 pre-k providers, including 13 charter schools that did not refuse to execute the contract.

> "[t]o harmonize these seemingly conflicting statutory provisions (McKinney's Statutes § 98), I interpret the language of Education Law § 3602-ee(12) as having two effects. First, it clarifies that in the case of a charter school, the charter entity is also responsible for ensuring that the charter school complies with the requirements of the grant, and can invoke the enforcement mechanisms under Article 56. Second, it further clarifies that the charter entity is the 'oversight agency' responsible for conducting at least one inspection under Education Law § 3602-ee(10) in order to monitor, engage in programmatic review and enforce the operational requirements of the program."

The Commissioner further noted that Success Academy's argument that the DOE lacked authority to impose such requirements was meritless because:

> "[h]ad the Legislature intended that charter schools be exempt from the [2014 Pre-K Law] program requirements, it could have amended Article 56 to authorize charter schools to serve pre-kindergarten students and fund such programs under Article 56 and/or created a separate pre-kindergarten funding program for charter schools, but it did not do so. Instead, the Legislature in Education Law § 3602-ee(12) chose only to allow charter schools to participate in the [2014 Pre-K Law] program."

Success Academy and parents of students attending its charter schools' pre-k programs commenced this CPLR article 78 proceeding challenging the Commissioner's determination. Supreme Court sustained the decision and dismissed the petition (2016 NY Slip Op 31638[U] [Sup Ct, Albany County 2016]). The Appellate Division reversed and annulled the determination to the extent that it upheld certain of the DOE's contract terms on the ground that the use of the term "all" in section 3602-ee (12) means that charter entities have exclusive responsibility for participating charter schools' pre-k programs (152 AD3d 13 [3d Dept 2017]). We granted leave to appeal and the majority now affirms, adopting the same interpretation as that of the Appellate Division and Success. In so doing, the majority permits Success Academy to avoid its representations to the DOE to abide by the DOE's RFP terms and also adopts a decontextualized interpretation of section 3602-ee (12). That section's provision for charter entity oversight of charter school programs must be understood within the larger pre-k statutory framework.

II.

At the time that Success Academy applied to join the DOE's consolidated application, it was aware that inclusion in the application was contingent on a promise to meet all programmatic and operation requirements of the 2014 Pre-K Law and completion of a contract agreeing to abide by baseline requirements designed by the DOE to ensure the proper delivery of programs in conformance with statutory and regulatory mandates. These baseline requirements had been approved by the SED—the entity responsible for awarding grant funds, developing inspection protocols and quality standards, and ensuring pre-k providers meet the requirements of the statute. Success Academy represented to the DOE that it would abide by the DOE's RFP terms and these baseline requirements. The DOE relied on that promise when it conditionally approved the Success Academy charter schools for inclusion in its consolidated program. Success Academy cannot now argue that it should not be bound by its promise.

The entire pre-k law framework is based on the representations of a grant applicant that it will comply with the statutory requirements and the inspection and quality assurance protocols developed by the State pursuant to section 3602-ee (6). For a school district, the consolidated application must represent that it will ensure compliance of its providers by programmatic and administrative oversight. Indeed, section 3602-ee (10) mandates that both the State and the school district shall inspect a pre-k provider.

Notably, the 2014 Pre-K Law provides for charter schools to apply individually if they are rejected by the school district for inclusion in the consolidated application. Success Academy could have sought inclusion, clarifying that under its interpretation of the statute it did not have to abide by the DOE's requirements.[11] Presumably, the DOE would have denied inclusion of the charter schools in its application. If not, Success Academy could have requested that the DOE officially deny

11. Since the Success Academy applications are not in the record there is no way to confirm Success Academy's representation that its applications contained an express reservation of rights, or what specific rights it reserved.

the charter network's pending applications. Success Academy, or the individual schools, could then have submitted an application to the SED that would have been considered alongside consolidated applications. Instead, what Success Academy did was ignore DOE's reminders that inclusion was conditioned upon the contract and proceeded to operate its pre-k program as if it was included in the DOE's consolidated application, narrowing its competitors to other charter school providers vying for inclusion in the consolidated application, rather than having to compete with the DOE overall. This undermines the legislative framework and purpose to encourage competition. This is particularly striking given that the 2014 Pre-K Law states that "[p]rograms that provide more stimulation, enhance child development and demonstrate creative approaches to improve early childhood education have a competitive advantage in the application process" (Education Law § 3602-ee [4]). If, as Success Academy and its supporting amici argue, charter schools are particularly known for improving their students' educational standing based on innovation, grounded on independence from governmental bureaucracy, then Success Academy would have been well placed to submit an independent application.[12]

III.

Assuming Success preserved its challenge to the DOE's contract terms, the claim is without merit. As the Commissioner correctly determined, the DOE is responsible for programmatic and administrative oversight of its consolidated program pre-k providers, including charter schools. The 2014 Pre-K Law did no more than authorize coextensive monitoring with the charter entity. "When presented with a question of statutory interpretation, a court's primary consideration 'is to ascertain and give effect to the intention of the Legislature' " (*Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). "The clearest indicator of legislative intent is the statutory text and unambiguous language should be construed pursuant to its plain meaning" (*id.*). However, this Court is "also guided in [its] analysis by the familiar principle 'that a statute . . . must be construed as a whole and

12. Success Academy does not argue that it could not have followed the process set forth in Education Law § 3602-ee (3), or that it could not have appealed to the Commissioner when it initially responded to the DOE's RFP.

that its various sections must be considered together and with reference to each other' " (*Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712, 721 [2012], quoting *People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]). Harmonization of statutory provisions is not limited to language in the statute to be construed; incorporation of other statutory provisions and mandates sheds additional light on legislative intent, especially where the incorporated language is from a statute on the same subject matter (*see Matter of M.B.*, 6 NY3d 437, 447 [2006] ["When the terms of related statutes are involved, as is the case here, they must be analyzed in context and in a manner that 'harmonize(s) the related provisions . . . (and) renders them compatible' "], quoting *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). Moreover, where legislation establishes a framework for both procedural and substantive protocols, selective or partial incorporation of another statute's language may reflect interpretive choices similarly relevant to ascertaining the conceptual parameters of that framework (*id.*).

Thus is the case here, where the 2014 Pre-K Law establishes a framework that incorporates and builds on the 1997 Pre-K Law by funding additional seats in an effort to achieve statewide universal full-day pre-k, adopting a preference for school district consolidated applications that encourages collaboration and enables greater accountability through school district oversight of the district's designated providers, and imposing enhanced quality standards on all programs.

To achieve these benchmarks, the 2014 Pre-K Law states that "[t]he [SED] shall develop a statewide inspection protocol, which shall provide for annual inspections of all universal full-day pre-kindergarten providers, and shall develop a quality assurance protocol and physical plant review protocol for such reviews" (Education Law § 3602-ee [6]). Further, "[s]tatewide universal full-day pre-kindergarten slots shall only be awarded to support programs that provide instruction for at least five hours per school day for the full school year and that otherwise comply with the rules and requirements pursuant to section thirty-six hundred two-e of this part except as otherwise provided in this section" (Education Law § 3602-ee [7]). The school districts must ensure that its providers comply with the SED's protocol (8 NYCRR 151-1.3). The school district's central accountability role is further established by its duty to inspect. As the 2014 Pre-K Law provides:

> "[n]otwithstanding any provision of law to the contrary, a universal full-day pre-kindergarten provider shall be inspected by the [SED], the school district with which it partners, if any, and its respective licensing, permitting, regulatory, oversight, registration or enrolling agency or entity no fewer than two times per school year, at least one inspection of which shall be performed by the eligible agency's respective licensing, permitting, regulatory, oversight, registration or enrolling agency, as applicable" (Education Law § 3602-ee [10]).[13]

Success Academy's argument adopts the Appellate Division's analysis which interprets another provision of the 2014 Pre-K Law that states, in full:

> "Notwithstanding paragraph (a) of subdivision one of section twenty-eight hundred fifty-four of this chapter and paragraph (c) of subdivision two of section twenty-eight hundred fifty-four of this chapter, charter schools shall be eligible to participate in universal full-day pre-kindergarten programs under this section, provided that all such monitoring, programmatic review and operational requirements under this section shall be the responsibility of the charter entity and shall be consistent with the requirements under article fifty-six of this chapter. The provisions of paragraph (b) of subdivision two of section twenty-eight hundred fifty-four of this chapter shall apply to the admission of pre-kindergarten students, except parents of pre-kindergarten children may submit applications for the two thousand fourteen—two thousand fifteen school year by a date to be determined by the charter school upon selection to participate in the universal full-day pre-kindergarten program. The limitations on the employment of uncertified teachers under paragraph (a-1) of subdivision three of section twenty-eight hundred fifty-four of this chapter shall apply to all teachers from pre-kindergarten through grade twelve" (Education Law § 3602-ee [12]).

Since the 2014 Pre-K Law assigns to a school district authority to inspect and supervise the providers included in a

13. For the purposes of the grant of funds under the 2014 Pre-K Law, the DOE serves as the "school district."

consolidated application, the question is not whether the law intends for the school district to play a central oversight role to ensure programmatic and administrative compliance with the statutory standards and the district's performance standards. Rather, the narrow question before us is whether the language of section 3602-ee (12) allows for only one possible construction: an exception from this general school district authority and the grant of exclusive oversight of charter schools by their charter entities. That interpretation is not supported by the statute when viewed in the context of the 2014 Pre-K Law's framework, the incorporated 1997 Pre-K Law, and the CSA.

Charter schools are a creature of the CSA, which "authorize[s] a system of charter schools to provide opportunities for teachers, parents, and community members to establish and maintain schools that operate independently of existing schools and school districts" for purposes, inter alia, of improving and increasing learning opportunities and adopting a performance-based accountability rather than rule-based system (Education Law § 2850 [2] [a], [b], [f]). Charter schools are governed by their charter entities and strictly limited to providing K-12 educational programming (Education Law §§ 2853 [2], [2-a]; 2854 [2] [c]).[14]

However, a charter school is eligible to participate as a universal pre-k program provider under the 2014 Pre-K Law as authorized by section 3602-ee (12), but that authorization does not amount to the charter school's complete exclusion from the school district's oversight in its role as the grantee for the consolidated application. Nor can the language in section 3602-ee (12) that imposes responsibility for the monitoring, programmatic review, and operational requirements be read as prohibiting any supervisory oversight of charter schools by the school districts who award them funds. Instead, section 3602-ee (12) permits the charter entity to exercise an oversight role that is otherwise prohibited by the 2014 Pre-K Law since only the SED and the school district have responsibility for compliance. The use of the word "all" here is meant to express the legislative intent that the charter entity has comprehensive

14. The charter entity is responsible for approving a charter school's charter and ensuring its compliance with its charter (Education Law § 2852). A charter entity may be the local school district, Board of Trustees of the State University of New York, or the Board of Regents (Education Law § 2851 [3]). The charter entity for Success Academy is the Board of Trustees of the State University of New York.

responsibility over monitoring, not that it has exclusive oversight power. If, as petitioners argue, the legislature intended to place charter schools outside the programmatic and administrative oversight of the pre-k framework, imposing sole responsibility for compliance with charter entities, the legislature would have used terms that clearly expressed this carve-out for charter schools. In other words, rather than use a term that references quantity—i.e. "all" (Merriam-Webster Online Dictionary, all [https://www.merriam-webster.com/dictionary/all] [defining "all" as "the whole amount, quantity, or extent of"])—the legislature would have said that "monitoring, programmatic review and operational requirements" are the "exclusive province of the charter entity," or that the charter entity was "solely responsible" for this type of oversight.

The fact that the legislature added that the exercise of this responsibility "shall be consistent with the requirements under [the CSA]" confirms that the intent was for charter entities to bear responsibility for the charter schools' pre-k program compliance in a manner that does not conflict with the schools' charters or the CSA. Better still, if the legislature intended for charter schools to provide pre-k programs without school district supervision it would simply have amended the CSA, and in that way made clear what petitioners state is the true intention of subdivision (12) to permit charter schools to run fully independently of the school district. The legislature did not follow this direct course and the petitioners' circuitous route to this conclusion is not supported by the State's pre-k framework.

Moreover, nothing in the legislative history supports an intention to exclude charter schools from school district oversight.[15] Understandably so, because this level of independence would undermine the 2014 Pre-K Law's centralized quality control apparatus by which consolidated applications are preferred and district programming prioritized for funding, as well as the obligation of school districts to evaluate and inspect

15. Rather, the primary concern during the passage of the law was the level of funding required for the law (*see* Ready to Launch at 4-7; NY St United Teachers, Testimony to Senate Fin Comm and Assembly Ways and Means Comm on Education Budget for Elementary and Secondary Education, Jan. 28, 2014 at 4-5; Testimony of NY City Schools Chancellor to Assembly Ways and Means Comm and Senate Fin Comm on Proposed 2014-2015 Budget, Jan. 28, 2014 at 3; Northeast Charter Schools Network, Testimony to Joint Legis Pub Hearing on 2014-2015 Executive Budget Proposal for Elementary and Secondary Education, Jan. 28, 2014).

its providers for compliance with the quality elements set forth in section 3602-ee (2) and the SED's quality assurance and inspection protocols designed in satisfaction of the mandates of section 3602-ee (6).

To explain its conclusion why Success Academy's charter schools are not subject to the DOE's oversight in accordance with the State's pre-k framework and the DOE state-approved contractual terms, the majority minimizes the DOE's authority to inspect under section 3602-ee (10). According to the majority, because that section refers to a minimum number of mandatory inspections, it should be understood to authorize what the majority calls "planned assessments" which, as this argument goes, are distinct from the type of oversight authorized by section 3602-ee (12), which the majority concludes "refers to ongoing, day-to-day oversight" by a charter entity of a charter school (majority op at 437). Apart from the fact that the majority's descriptors are nowhere found in the statutory language, much less the meaning the majority attaches to them, the analysis advocated here fails to persuade. First, the legislature's choice to require a minimum number of inspections says nothing about the scope of the inspector's authority. Second, the fact that section 3602-ee (10) sets a minimum, not a maximum, on inspections demonstrates the legislature's grant of expansive, not narrow, oversight power as the need for additional inspections to ensure compliance with the law is left solely to the discretion of the inspecting authority.

The fundamental problem with the majority's construction is that it does not read the statutory provisions in context and ignores that section 3602-ee (10) and (12) are part of a larger framework of provider oversight by the SED and approved school districts. The majority's failure to recognize this broader framework also leads it to misconstrue the SED and DOE arguments; they do not seek to impose requirements on charter schools that contradict section 3602-ee (12) (majority op at 437), but rather to exercise their coextensive authority within that framework. If this were not enough, the majority's interpretation of section 3602-ee (12) falls under the weight of its own conclusion because it leads to the absurd result of stripping charter school oversight from the SED—the sole entity legislatively charged with approving grants for pre-k programs in accordance with its own scoring system and developing statewide inspection and quality assurance protocols mandated for provider annual inspections (Education Law § 3602-ee [2], [5], [6], [7]).[16]

Similarly unpersuasive is the argument of Success Academy and its supporting amici that a carve-out for charter schools furthers the statutory purpose to "incentivize and fund state-of-the-art innovative pre-kindergarten programs and encourage program creativity through competition" (Education Law § 3602-ee [1]), as charter schools are crucibles for innovation, and their educational model has resulted in increased academic proficiency—beyond that observed in traditional public schools—that has narrowed the achievement gap for low-income children.[17] Importantly, this is not the sole purpose of the 2014 Pre-K Law. In the years following enactment of the 1997 Pre-K Law, it became clear that pre-k programming could benefit many more children than the funding permitted and that the full-day programs were optimal (*see* New NY Education Reform Commission, Putting Students First: Education

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16. Indeed, if, as the majority suggests, charter entities had exclusive oversight of all monitoring, programmatic review, and operational requirements of charter schools, one might plausibly conclude that charter schools cannot seek inclusion in a consolidated application (or apply independently) without authorization of the charter entity. This cannot be so as it is inconsistent with the role charter entities have in overseeing K-12 programs. The CSA grants charter schools broad autonomy over their own policy decisions, and limits the role of charter entities to examining and inspecting schools (Education Law § 2853 [1] [f]; [2]).

17. It is noteworthy that at least one of the authorities amici cite to support this position (*see e.g.* Caroline M. Hoxby et al., *How New York City's Charter Schools Affect Achievement*, New York City Charter Schools Evaluation Project [2009]) has been reviewed with deep skepticism (*see* Sean F. Reardon, *Review of "How New York City's Charter Schools Affect Achievement,"* Education and the Public Interest Center, University of Colorado at Boulder, and Education Policy Research Unit, Arizona State University [2009]), and that there is less consensus as to the relative effectiveness of charter schools, on a national scale, than Success Academy and amici suggest (*see* Tom Loveless & Andrew P. Kelly, *Comparing New School Effects in Charter and Traditional Public Schools*, 118 Am J Educ 427, 428 [2012] [noting that "(n)o consensus has emerged from dozens of evaluations" on charter schools' impact on test scores]). In addition, charter schools have been criticized for having a neutral or negative impact on the racial and socioeconomic composition of K-12 classrooms (*see* Erica Frankenberg et al., *Choice without Equity: Charter School Segregation*, 19 Educ Pol'y Analysis Archives 1, 6-8 [2011] [reviewing charter school enrollment in 40 states and finding that charter schools are more racially isolated than traditional public schools]). As discussed above, one of the benefits driving the push for universal pre-k in New York and elsewhere was the understanding that expanding access to pre-k would place more children in racially and socioeconomically diverse classrooms.

Action Plan at 8, 29-30). The elimination of financial obstacles to achieving universal pre-k was a motivating concern behind enactment of the 2014 Pre-K Law (*id.* at 29 [noting that the Commission "reviewed existing pre-k services in New York and recommended that the state expand its investment to sponsor a full-day model"]; 2014-15 Executive Budget Briefing Book at 1, 5, 29-31 [Jan. 21, 2014] ["The Executive Budget builds upon the success of the first-ever State-funded full-day pre-kindergarten program by committing to invest $1.5 billion over five years to support the phase-in of a Statewide Universal Full-Day Pre-Kindergarten program"]). There was also the additional interest in providing quality programming (*see* New NY Education Reform Commission, Putting Students First: Education Action Plan at 14, 35-39; Education Law § 3602-ee [1] [providing that the purpose of the program was "to incentivize and fund state-of-the-art innovative pre-kindergarten programs"]).

In any case, petitioners and their supporters misconstrue section 3602-ee (1). Competition coexists with the statutory requirement for accountability. Providers compete to be included in the school district's consolidated program and school districts compete amongst themselves for the grants and with those providers who are not included in the consolidated applications but who apply independently. Moreover, the DOE's contract merely sets forth baseline standards that ensured compliance with the statute and the SED's protocols designed in accordance with the statutory mandates. Nothing in the DOE's contract prohibits a charter school from providing services beyond the minimum threshold set forth in the contract terms. To the extent a charter school wants to pursue a different approach that a school district rejects, the legislature provides an opportunity for the charter school to secure funding by submitting an individual application and competing for a grant (Education Law § 3602-ee [3]).

IV.

Given that section 3602-ee (12) does not provide charter entities with exclusive oversight of charter schools, the Commissioner properly interpreted the provision, in light of the entire statutory framework, to grant charter entities oversight that is coextensive with the DOE consolidated application grantee. Her interpretation harmonizes subdivision (12) with the SED and school district's inspection authority set forth in subdivision (10), which applies to charter schools given that subdivision (10) applies to all pre-k providers "[n]otwithstanding any provision of law to the contrary" (Education Law § 3602-ee [10]). It also adheres to the accountability framework adopted by the legislature which seeks to achieve delivery of high-quality pre-k programs to all enrolled children. There is nothing irrational or unreasonable in her interpretation.[18] Therefore, I would uphold the Commissioner's determination dismissing the petition.

Chief Judge DIFIORE and Judges STEIN, FAHEY and FEINMAN concur; Judge RIVERA dissents in an opinion in which Judge WILSON concurs.

Order affirmed, with costs.

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18. Since I conclude that our rules of statutory construction do not allow for the construction of Education Law § 3602-ee (12) as advocated by petitioners, I have no occasion to consider whether the Commissioner's interpretation must be considered under our rules of administrative deference.

[117 NE3d 795, 93 NYS3d 236]

In the Matter of Miguel Gonzalez, Respondent-Appellant, v Anthony J. Annucci, as Acting Commissioner of Corrections and Community Supervision, Appellant-Respondent.

Argued October 16, 2018; decided November 27, 2018

SUMMARY

Cross appeals, as of right and by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 23, 2017. The Appellate Division, with two Justices dissenting, modified, on the law, a judgment of the Supreme Court, Albany County (Judith A. Hard, J.; op 56 Misc 3d 1203[A], 2015 NY Slip Op 52034[U] [2015]), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition. The modification consisted of partially converting the matter to a declaratory judgment action and declaring that (1) when a person whose prison sentence has expired and who is subject to the mandatory condition set forth in Executive Law § 259-c (14) is placed in a residential treatment facility pursuant to Penal Law § 70.45 (3) and Correction Law § 73 (10), the Department of Corrections and Community Supervision has an affirmative obligation pursuant to Correction Law § 201 (5) to provide substantial assistance to the person in locating appropriate housing; and that (2) the services provided to petitioner by the Department of Corrections and Community Supervision in locating such appropriate housing during his placement in the residential treatment facility at the Woodbourne Correctional Facility between September 30, 2014, and his subsequent release on February 4, 2015, were not adequate to satisfy that duty. The Appellate Division affirmed the judgment as modified.

Matter of Gonzalez v Annucci, 149 AD3d 256, modified.

HEADNOTES

Prisons and Prisoners — Conditional Release — Duty to Assist Sex Offenders in Obtaining Appropriate Housing — Exception to Mootness Doctrine

1. The Appellate Division properly invoked the exception to the mootness doctrine to reach the issues raised on petitioner sex offender's appeal from the judgment dismissing his CPLR article 78 proceeding asserting that respondent Department of Corrections and Community Supervision failed to provide him with assistance in locating housing compliant with the Sexual Assault Reform Act (SARA) prior to his conditional release and alleging that

the residential treatment facility (RTF) to which he was transferred did not comply with Correction Law §§ 2 and 73. The exception has been invoked to consider substantial and novel issues that are likely to be repeated and will typically evade review. Based on the dearth of SARA-compliant housing in New York City, and the resulting need for placement of sex offenders in RTFs for a period of no more than six months pursuant to Penal Law § 70.45, there was a clear likelihood that the issue would be repeated. Moreover, given the transitory duration of placement at RTFs, the issues presented were likely to evade review. Finally, the issues presented were novel and substantial, raising the extent of respondent's statutory obligation to provide assistance in obtaining SARA-compliant housing.

Prisons and Prisoners — Conditional Release — Duty to Assist Inmates on Community Supervision in Securing Housing — No Heightened Duty to Provide Sex Offenders with Substantial Assistance

2. The Department of Corrections and Community Supervision (DOCCS), which must "assist" inmates on or eligible for community supervision to secure housing pursuant to Correction Law § 201 (5), does not have a heightened duty to provide sex offenders residing in a residential treatment facility with substantial assistance in identifying appropriate housing. DOCCS' obligation under section 201 is a general duty, expansive in scope and applicable to all inmates in the state prison system on or eligible for community supervision. Such a general duty cannot be defined by the intractable problems presented by inmates convicted of sex offenses who must obtain housing compliant with the Sexual Assault Reform Act in a limited market without financial resources. Moreover, the statutory obligation to provide assistance is not restricted to providing housing, but equally applies to assistance in securing employment, education and vocational training for all inmates on or eligible for community supervision. It is unreasonable and impracticable to interpret this general duty of providing "assist[ance]" as imposing the burden on DOCCS of substantial assistance with respect to this broader class of inmates to secure each inmate housing, educational or vocational training, and employment. DOCCS' interpretation of its obligation as satisfied when it actively investigates and approves residences that have been identified by inmates and when it provides the inmates with adequate resources to allow them to propose residences for investigation and approval is therefore consistent with the plain language of the statute as well as the larger statutory framework.

Prisons and Prisoners — Conditional Release — Duty to Assist Sex Offenders in Obtaining Appropriate Housing

3. Respondent Department of Corrections and Community Supervision met its obligation under Correction Law § 201 (5) to "assist" petitioner sex offender in securing housing compliant with the Sexual Assault Reform Act (SARA) prior to his conditional release. The record demonstrated that petitioner met biweekly with an offender rehabilitation coordinator regarding SARA-compliant housing and also met several times with his parole officer. Petitioner was able to propose 58 residences which respondent investigated for SARA compliance. Respondent also affirmatively identified at least two housing options for petitioner—one was rejected by petitioner on the basis that he could not afford it and the other was the shelter where he was ultimately housed. The record reflected that respondent provided more than passive assistance, given that it affirmatively contacted other agencies and providers on petitioner's behalf because of his financial needs. Moreover, petitioner was successfully placed through respondent's efforts.

Prisons and Prisoners — Conditional Release — Sex Offender's Transfer to Residential Treatment Facility Based on Inability to Secure Appropriate Housing

4. In petitioner sex offender's CPLR article 78 proceeding challenging respondent Department of Corrections and Community Supervision's determination to place petitioner in a residential treatment facility (RTF) based on his inability to secure housing compliant with the Sexual Assault Reform Act prior to his conditional release, the Appellate Division correctly held that there was insufficient record evidence to establish that respondent's determination was irrational or that the conditions of petitioner's placement at the facility were in violation of respondent's statutory or regulatory obligations. The record adequately established that, based on institutional considerations, the facility was the closest available RTF in which to place petitioner. Additionally, the record demonstrated that petitioner was accorded the rights of a resident of an RTF, as opposed to an inmate.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Administrative Law § 461; AM JUR 2d Pardon and Parole § 94; AM JUR 2d Penal and Correctional Institutions § 207.

CARMODY-WAIT 2d Declaratory Judgments § 147:24; CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:1590, 145:1621.

MCKINNEY'S, CPLR art 78; Correction Law §§ 2; 73; 201 (5); Penal Law § 70.45.

NY JUR 2d Appellate Review § 614; NY JUR 2d Article 78 and Related Proceedings §§ 103, 415; NY JUR 2d Penal and Correctional Institutions §§ 337, 339, 353, 359, 400.

SIEGEL, NY PRAC § 612.

ANNOTATION REFERENCE

See ALR Index under Moot and Abstract Matters; Parole, Probation, and Pardon; Prisons and Prisoners; Sentence and Punishment; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Barbara D. Underwood, Attorney General, Albany (*Ester Murdukhayeva, Zainab A. Chaudhry* and *Andrew D. Bing* of counsel), for appellant-respondent. I. The assistance issue is moot and the Appellate Division erred in applying the exception to the mootness doctrine to reach the merits. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Coleman v Daines*, 19 NY3d 1087; *Matter of New York State Commn. on Jud. Conduct v Rubenstein*, 23 NY3d 570; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Vogler v Smith*, 48 NY2d 974; *Matter of Williams v Department of Corr. & Community Supervision*, 136 AD3d 147, 29 NY3d 990; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of Chenier v Richard W.*, 82 NY2d 830; *Wisholek v Douglas*, 97 NY2d 740; *Matter of Lopez v Evans*, 25 NY3d 199.) II. The New York State Department of Corrections and Community Supervision satisfied its duty to assist petitioner to secure Sexual Assault Reform Act-compliant housing. (*People v Diack*, 24 NY3d 674; *People ex rel. Green v Superintendent, Sullivan Corr. Facility*, 137 AD3d 56; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Matter of O'Brien v Spitzer*, 7 NY3d 239; *Matter of Cardew v Fischer*, 115 AD3d 1193, 23 NY3d 904; *Matter of Boss v New York State Div. of Parole*, 89 AD3d 1265.)

Pappalardo & Pappalardo, LLP, Scarsdale (*Jill K. Sanders* of counsel), and *Robert S. Dean, Center for Appellate Litigation*, New York City, for respondent-appellant. I. The New York State Department of Corrections and Community Supervision's (DOCCS) determination to place Miguel Gonzalez at the Woodbourne residential treatment facility (RTF) failed to comply with DOCCS' statutory and regulatory obligations, as the conditions at the Woodbourne RTF were virtually indistinguishable from continued incarceration in a prison facility. (*Matter of Reisman v Codd*, 54 AD2d 878; *Matter of Cacchioli v Hoberman*, 31 NY2d 287; *Matter of Meier v Board of Educ. Lewiston Porter Cent. Sch. Dist.*, 106 AD3d 1531; *New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194; *Matter of Capital Dist. Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd.*, 97 AD3d 1044; *Matter of School Adm'rs Assn. of N.Y. State v New York State Dept. of Civ. Serv.*, 124 AD3d 1174.) II. An inmate in New York State Department of Corrections and Community Supervision's (DOCCS) custody should not lose his earned good time credit for being unable to locate Sexual Assault Reform Act-compliant housing in his community, where DOCCS fails to assist him with locating such housing. (*Kel Kim Corp. v Central Mkts.*, 70 NY2d 900; *Matter of Breeden v Donnelli*, 26 AD3d 660; *Matter of Boss v New York State Div. of Parole*, 89 AD3d 1265; *Matter of Billups v New York State Div. of Parole, Chair*, 18 AD3d 1085; *Matter of Wright v Travis*, 297 AD2d 842; *Stern v Gepo Realty Corp.*, 289

NY 274; *Griffin v Illinois*, 351 US 12; *People v Saffore*, 18 NY2d 101; *Wolff v McDonnell*, 418 US 539.) III. The Appellate Division did not err in holding that the New York State Department of Corrections and Community Supervision (DOCCS) is obliged to "substantially assist" sex offenders subject to the Sexual Assault Reform Act residency restriction who have been placed in a residential treatment facility in securing approved housing, nor did it err in holding that DOCCS failed to meet its duty to assist Miguel Gonzalez in identifying and securing approved housing. IV. The Appellate Division did not err in applying the exception to the mootness doctrine. (*People v Diack*, 24 NY3d 674; *People ex rel. Green v Superintendent of Sullivan Corr. Facility*, 137 AD3d 56; *Matter of Williams v Department of Corr. & Community Supervision*, 43 Misc 3d 356, 136 AD3d 147; *Callahan v Carey*, 307 AD2d 150; *People ex rel. O'Connor v Berbary*, 195 Misc 2d 36; *Matter of David C.*, 69 NY2d 796; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *People ex rel. DeLia v Munsey*, 26 NY3d 124; *People ex rel. McManus v Horn*, 18 NY3d 660; *Matter of State of New York v Cuevas*, 49 AD3d 1324.)

Justine Luongo, The Legal Aid Society, New York City (*Robert C. Newman* of counsel), and *Karen Murtagh, Prisoners' Legal Services of New York*, Albany (*James Bogin* of counsel), for The Legal Aid Society and another, amici curiae. I. The Appellate Division correctly invoked the exception to the mootness doctrine. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) II. The Appellate Division correctly held that the New York State Department of Corrections and Community Supervision did not satisfy its "affirmative and significant" statutory duty to provide housing assistance to Miguel Gonzalez. (*Matter of Kirkland v Annucci*, 150 AD3d 736; *Matter of Colon v Annucci*, 151 AD3d 1061; *People v Diack*, 24 NY3d 674.) III. The Court should vacate the Appellate Division's holding that Miguel Gonzalez failed to demonstrate that the operation of Woodbourne "residential treatment facility" was non-compliant with applicable statutes. (*Matter of Bennett v Annucci*, 162 AD3d 765.)

OPINION OF THE COURT

Chief Judge DiFiore.

The primary issue presented on appeal is whether the Appellate Division erred in holding that the Department of Corrections and Community Supervision (DOCCS), which must "assist" inmates on or eligible for community supervision to secure housing pursuant to Correction Law § 201 (5), has an obligation to provide sex offenders residing in a residential treatment facility (RTF) with substantial assistance in identifying appropriate housing. We hold that the Court erred in imposing a heightened duty of substantial assistance on DOCCS, and conclude that the agency met its statutory obligation to assist petitioner in this particular case.

I.

Petitioner was convicted, upon his guilty plea, of rape in the second degree under Penal Law § 130.30 (1). He was sentenced to a determinate sentence consisting of 2½ years' imprisonment followed by 3 years' postrelease supervision (PRS). The maximum expiration date of his prison sentence was September 30, 2014. In early May 2014, petitioner was advised by the Time Allowance Committee at Franklin Correctional Facility that his accumulated good time credit amounted to four months and 10 days and that he was eligible for conditional release to PRS on May 20, 2014. Had petitioner been released on his conditional release date, the maximum expiration date of his PRS would have been three years from that date, or May 20, 2017.

Based on the sex offense for which petitioner was convicted and the fact that the victim of the offense was 14 years old at the time of the offense, petitioner's supervisory release was subject to the mandatory condition set forth in the Sexual Assault Reform Act (SARA) prohibiting him from residing within 1,000 feet of school grounds (*see* Executive Law § 259-c [14]; Penal Law §§ 220.00 [14]; 65.10 [4-a] [a]). In accordance with this statutory requirement, one month prior to petitioner's conditional release date, the Board of Parole imposed a special condition on his release. That condition required petitioner to propose an appropriate SARA-compliant residence to be investigated and approved by DOCCS. Petitioner identified one potential residence prior to his May 2014 conditional release date but that residence did not qualify as SARA-compliant housing. Since he was unable to satisfy the mandatory condition of his supervisory release, DOCCS held him in custody beyond his May 20, 2014 conditional release date. Petitioner continued to identify potential residences and discuss them with his parole officer, but none of the proposed residences he identified satisfied the mandatory special condition. As a result, petitioner lost all of his good time credit, and DOCCS kept petitioner incarcerated until September 30, 2014, the maximum expiration date for the imprisonment portion of his determinate sentence. Accordingly, the expiration date of his three-year term of PRS, the remaining portion of his determinate sentence, was extended to September 30, 2017. Prior to his release, petitioner was adjudicated a level one sex offender.

Because petitioner was unable to identify a suitable residence by his maximum expiration date, the Board of Parole imposed, as a condition of his PRS, that petitioner be transferred to Woodbourne Correctional Facility—a residential treatment facility (*see* Penal Law § 70.45 [3]; Correction Law § 2 [6]). Specifically, under Penal Law § 70.45 (3), the Board of Parole is authorized to require, as a condition of PRS, that an inmate be transferred to and participate in the programs of an RTF for a period of no more than six months upon his or her release from the underlying term of imprisonment. Woodbourne is a medium security correctional facility that DOCCS has designated for use as an RTF (*see* 7 NYCRR 100.50 [c] [2]). Petitioner remained at Woodbourne until February 4, 2015, when he was released on supervision to a SARA-compliant shelter in Manhattan.

In December 2014, petitioner commenced this CPLR article 78 proceeding asserting that DOCCS failed to provide him with assistance in locating housing. He also challenged the agency's determination to designate Woodbourne as an RTF, asserting, among other things, that the facility did not comply with the statutory requirements of an RTF under Correction Law §§ 2 and 73 and that he was therefore being held in an illegal RTF.[1] In addition, petitioner asserted that the determination to deprive him of all of his good time credit was made in violation of lawful procedure and due process.[2]

In disputing that Woodbourne was a legal RTF, petitioner argued that he was effectively being incarcerated in a facility

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1. A residential treatment facility is defined as

> "[a] correctional facility consisting of a community based residence in or near a community where employment, educational and training opportunities are readily available for persons who are on parole or conditional release and for persons who are or who will soon be eligible for release on parole who intend to reside in or near that community when released" (Correction Law § 2 [6]).

2. Petitioner also sought his immediate release from custody but dropped that claim after he was released to SARA-compliant housing.

that was not community-based as it was well outside of the Manhattan community to which he planned to return. He also claimed he was confined under the same restrictions as inmates who were serving their prison sentences at that same medium security facility. Petitioner further maintained that he did not receive any rehabilitative programming directed toward his reintegration into the community while at Woodbourne as required by Correction Law § 73. Although he admittedly participated in Woodbourne's RTF program for a portion of his stay at that facility, he claimed that the program was no different from the "Phase Three" program he had already completed as part of his sentence of imprisonment—a program that was required to be completed by all inmates prior to their release from incarceration. Petitioner's participation in the RTF program apparently terminated when he began his assignment to an outside work crew.

In support of his claim that DOCCS did not provide him with assistance in locating SARA-compliant housing, petitioner alleged that he was assigned to a Poughkeepsie-area parole officer and not one from New York City. Petitioner was permitted to leave the Woodbourne facility to make weekly visits to the parole officer but objected to the fact that he was under the supervision of correction officers at all times. He asserted that, at those visits, the parole officer would merely ask him whether he had located any suitable housing. Petitioner acknowledged that the parole officer affirmatively proposed a single housing option for him—a therapeutic community in Staten Island at a monthly cost of $620, which petitioner rejected as he could not afford it. He essentially contended that DOCCS' assistance was insufficient in light of the circumstances of his continued incarceration at the RTF, including his limited access to the telephone and lack of access to the Internet.

In opposition, DOCCS maintained that petitioner was retained beyond his conditional release date because he was unable to satisfy the special condition imposed by the Board of Parole—the SARA residency requirement—and, based on his continued inability to find a suitable residence, he was properly transferred to Woodbourne as a condition of his PRS on his maximum expiration date. DOCCS provided an affidavit from a supervising offender rehabilitation coordinator (SORC) who averred that, in general, RTF inmates "meet and collaborate with DOCCS staff with greater frequency than non-sex-offender inmates, with an emphasis on identifying lawful and otherwise appropriate residences." Moreover, the SORC referenced the DOCCS directive requiring that all parolees subject to SARA residency restrictions meet with offender rehabilitation coordinators and that these coordinators "submit any new residence proposals for investigation by Community Supervision field personnel on a priority basis." The SORC also asserted that petitioner, as an RTF resident, earned higher wages than the Woodbourne inmates and that the bulk of those earnings were placed into a housing fund for petitioner that was exempt from garnishment by DOCCS.

As to rendering assistance to petitioner, DOCCS also submitted entries from its case management system (CMS) detailing many of the proposed residences identified by petitioner for investigation by DOCCS and why these residences were rejected for lack of SARA compliance. Notably, an entry dated November 28, 2014, states that petitioner had proposed 58 potential residences since March 2014. DOCCS identified nine dates on which petitioner had met with SORCs regarding SARA-compliant housing and 14 dates on which its personnel had recorded efforts to investigate residences for SARA compliance on petitioner's behalf. The CMS entries also indicate that petitioner was referred to parole reentry services.

Significantly, DOCCS also provided an affidavit from counsel to the Board of Parole, who affirmed that, in addition to investigating the residences proposed by petitioner for SARA-compliance, DOCCS' staff reached out to other agencies, including the local Department of Social Services, to ascertain whether they could provide housing for petitioner. An assistant commissioner for population management at DOCCS provided the reasons for petitioner's placement at Woodbourne explaining in her affidavit that, although there were RTFs that were closer to Manhattan, Woodbourne was the closest appropriate option for petitioner based on the programming that was available as well as staffing considerations. The affidavit also explained that DOCCS partners with the Department of Homeless Services (DHS) in New York City to obtain suitable housing for indigent sex offenders who are returning to the city upon release. According to the affidavit, there are only four SARA-compliant DHS locations in New York City that accept parolees and individuals are accepted as space becomes available, with individuals who have been held the longest in RTFs being placed first.

Supreme Court denied the petition (56 Misc 3d 1203[A], 2015 NY Slip Op 52034[U] [Sup Ct, Albany County 2015]). Notwithstanding that petitioner had not yet completed his three-year term of PRS, the court concluded that his arguments were moot and that the exception to mootness did not apply. The court went on to conclude that, even if the issues were not moot, the petition should be denied on the merits.

The Appellate Division agreed that the majority of the issues (except for petitioner's challenge to the loss of his good time credit, as the PRS term was still ongoing when the Court issued its decision) were moot, but held that the exception to mootness applied and reached the merits. The Court modified, on the law, by partially converting the matter to a declaratory judgment action and declaring that DOCCS has an affirmative statutory obligation to provide "substantial assistance" to inmates who have been placed in an RTF and who are subject to the mandatory residency restrictions in SARA in locating appropriate housing, and that DOCCS failed to satisfy its statutory duty to petitioner in this case (149 AD3d 256, 264 [3d Dept 2017]). As to petitioner's remaining arguments, the Court held that it was not irrational for DOCCS to withhold petitioner's good time credit while he was unable to locate SARA-compliant housing prior to the expiration of his prison sentence and that DOCCS' decision to transfer petitioner to Woodbourne upon completion of the prison sentence was not irrational or in violation of the agency's statutory and regulatory obligations.

Two Justices dissented in part and would have held that petitioner received adequate assistance in finding SARA-compliant housing. DOCCS appealed to this Court as of right (CPLR 5601 [a]) and we granted petitioner's motion for leave to cross-appeal.

II.

[1] We reject DOCCS' assertion that the Appellate Division erred in invoking the exception to mootness to reach the issues raised on appeal. "In general an appeal will be considered moot unless the rights of the parties will be directly affected by the determination of the appeal and the interest of the parties is an immediate consequence of the judgment" (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714 [1980]). We have, however, invoked the exception to mootness to consider substantial and novel issues that are likely to be repeated and will typically evade review (*see Hearst Corp.*, 50 NY2d at 714-715). Based on the dearth of SARA-compliant housing in New York City, and the resulting need for placement of sex offenders in RTFs for a period of no more than six months pursuant to Penal Law § 70.45, there is a clear likelihood that this issue will be repeated. Moreover, given the transitory duration of placement at the RTFs, the issues presented are likely to evade review (*see City of New York v Maul*, 14 NY3d 499, 507 [2010]). Finally, the issues presented are novel and substantial, raising the extent of DOCCS' statutory obligation to provide assistance in obtaining SARA-compliant housing. We therefore address the merits.[3]

III.

As noted above, the primary issue presented is the extent of DOCCS' obligation to assist inmates in obtaining housing under Correction Law § 201 (5). "Where the interpretation of a statute or its application involves knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom, the courts regularly defer to the governmental agency charged with the responsibility for administration of the statute" (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). However, "[w]here the question is one of pure legal interpretation of statutory terms, deference to the [agency] is not required" (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 102 [1997] [internal quotation marks and citation omitted]). Here, the statutory language is clear and no deference is required.

[2] Under Correction Law § 201 (5), DOCCS "shall assist inmates eligible for community supervision and inmates who are on community supervision to secure employment, educational or vocational training, and housing." There is nothing set forth in the statutory language of section 201 (5) that imposes a heightened duty upon DOCCS to provide substantial assistance to an inmate seeking housing (*cf.* Correction Law § 73 [2] [DOCCS "shall be responsible for securing appropriate

3. The issue of the loss of petitioner's good time credit was not moot at the time the Appellate Division rendered its decision—when petitioner was still serving PRS and any error in the calculation of time required for his supervision could be corrected. However, the issue became moot when petitioner completed his PRS term in September 2017. This claim does not fall within the exception to mootness because it is unlikely to evade review, given that other sex offenders subject to the same SARA residency requirement—particularly those subject to a lengthy term of PRS (*see* Penal Law § 70.45 [2-a] [containing range of 3 to 25 years of PRS for felony sex offenses])—can raise the challenge to the loss of good time credit while they remain on PRS.

education, on-the-job training and employment for inmates transferred to (RTFs)"]). In interpreting the statute to require substantial assistance, the Appellate Division attempted to cabin what it viewed as DOCCS' greater responsibility to assist sex offenders residing in RTFs. DOCCS' obligation under section 201 cannot be so narrowly viewed because it is a general duty, quite expansive in scope and applicable to all inmates in the state prison system on or eligible for community supervision. Such a general duty cannot be defined by the intractable problems presented by inmates convicted of sex offenses who must obtain SARA-compliant housing and must do so in a very limited market without financial resources. Moreover, the statutory obligation to provide assistance is not restricted to providing housing, but equally applies to assistance in securing employment, education and vocational training for all inmates on or eligible for community supervision. It is unreasonable and impracticable to interpret this general duty of providing "assist[ance]" as imposing the burden on DOCCS of substantial assistance with respect to this broader class of inmates to secure each inmate housing, educational or vocational training, and employment.

We disagree with the Appellate Division majority's reasoning that DOCCS has an obligation to provide substantial assistance to inmates in petitioner's situation, in part, because of DOCCS' separate obligation to "investigat[e] and approv[e] the residence" of level two and three sex offenders (Correction Law § 203 [1]; Executive Law § 243 [4]), and that, in light of this existing obligation, the "additional affirmative statutory obligation" to provide assistance under Correction Law § 201 (5) would be rendered meaningless if satisfied by the investigation and approval of residences proposed by the inmate (149 AD3d at 263). First, we note that petitioner is a level one sex offender and, therefore, Correction Law § 203 (1) and Executive Law § 243 (4) do not apply to him. Those statutes cannot render section 201 (5) meaningless with respect to petitioner. In any event, Correction Law § 203 (1) and Executive Law § 243 (4) cannot be read to support the heightened burden on DOCCS that the Appellate Division would impose.

In *People v Diack*, we recognized that the State, in an effort to preempt rules imposed by individual localities to curtail the housing of sex offenders in their jurisdictions, assumed the responsibility for "maint[aining] and locat[ing]" acceptable housing for sex offenders and that regulations were promulgated to address this "enormous challenge" (24 NY3d 674, 684 [2015]). Indeed, those regulations—promulgated by the Division of Parole, the Division of Probation and Correctional Alternatives, and the Office of Temporary and Disability Assistance—acknowledge the enormous difficulty in finding appropriate housing for sex offenders, but they do not impose specific obligations on DOCCS beyond DOCCS' duty to investigate and approve residences for level two and three sex offenders (*see* 9 NYCRR 8002.7). By statute and regulation, for the indigent sex offender, it is the local Department of Social Services (DSS) that has the obligation to determine the placement of level two and three sex offenders in shelters (*see* Social Services Law § 20 [8] [b]; 18 NYCRR 352.36 [b]).[4] Through this scheme, the legislature required DSS, in placing the sex offender in shelters, to consider factors other than the mere availability of shelter, including the "investigation and approval of such placement by [DOCCS]" for public safety reasons (Social Services Law § 20 [8] [b] [v]; Correction Law § 203 [1]; Executive Law § 243 [4]). The legislation requiring the agencies to consider such factors was intended, in part, to specifically address the warehousing of level two and three sex offenders residing in SARA-compliant housing in concentrated locations and the resulting risk to public safety in those neighborhoods (L 2008, ch 568).

In contrast, under the plain language of section 201, DOCCS' obligation with respect to all inmates on or eligible for community supervision is to provide assistance in a general manner and certainly does not alleviate the ultimate obligation on the inmate to locate housing.[5] This assistance owed by DOCCS to the general population of inmates about to be released from

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4. We note that petitioner, who represents he is indigent, has not included either the local DSS or the Office of Temporary and Disability Assistance in this proceeding. In light of the petitioner's limited selection of parties, the dissent's claim that a released sex offender could be dropped off at "any homeless shelter" in New York City because a 1981 consent decree provides housing for every homeless person (*see* dissenting op at 489) is not an issue that can be reached on this appeal (*compare Alcantara v Annucci*, 55 Misc 3d 1216[A], 2017 NY Slip Op 50610[U] [Sup Ct, Albany County 2017] [including the New York City Department of Social Services and New York City Human Resources Administration as defendants]).

5. The dissent posits that, because petitioner is a level one sex offender, he could live with his parents in non-SARA-compliant housing or be released to any homeless shelter in New York City (*see* dissenting op at 478 and n 3, 489). The SARA-residency requirement, which is imposed based on either an offender's conviction of a specifically enumerated offense against an under-

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state prison is unrelated to its particularized duty governed by Correction Law § 203 (1) and Executive Law § 243 (4) to assure the placement in housing by DSS of level two and three sex offenders consistent with the overarching concern of public safety. Even in this latter situation where these sex offenders have been designated for separate treatment, DOCCS is given a law enforcement task of investigation and is not the government agency that places a sex offender in any housing.

In sum, Correction Law § 201 (5) requires DOCCS to assist inmates prior to release and under supervision to secure housing. DOCCS has interpreted its obligation under the statute as satisfied when it actively investigates and approves residences that have been identified by inmates and when it provides the inmates with adequate resources to allow them to propose residences for investigation and approval. This interpretation is consistent with the plain language of the statute as well as the larger statutory framework. While the agency is free, in its discretion, to provide additional assistance to inmates in locating SARA-compliant housing—particularly where an inmate is nearing the maximum expiration date or is residing in an RTF with the associated restrictions on the ability to conduct a comprehensive search—there is no statutory basis in Correction Law § 201 (5) for imposing such an obligation.

[3] As to whether DOCCS met its obligation in this particular case, the record demonstrates that petitioner met biweekly with an ORC regarding SARA-compliant housing and also met several times with his parole officer. Petitioner was able to propose 58 residences which DOCCS investigated for SARA-compliance. The agency also affirmatively identified at least two housing options for petitioner in New York City—one was rejected by petitioner on the basis that he could not afford it and the other was the shelter in Manhattan where he was ultimately housed. Certainly, the record reflects that DOCCS

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age victim or the offender's status as a level three sex offender (Penal Law § 65.10 [4-a]), is a mandatory condition of petitioner's PRS (Penal Law § 70.45 [3]). The legislature was clearly concerned with the release of the sex offender back into a community and accordingly imposed a duty on the parole officer to actually supervise the parolee, which requires knowledge of the parolee's residence and that same is not in violation of the conditions of release. The dissent's suggestions of how to remediate the "impossible" problem generated by the SARA housing restrictions generally ignore the point of SARA-compliant housing—to wit, keeping sex offenders such as petitioner, convicted of sexually assaulting a minor, 1,000 feet from children in school areas.

provided more than passive assistance, given that it affirmatively contacted other agencies and providers on petitioner's behalf because of his financial needs. Indeed, petitioner was successfully placed with New York City's DHS through DOCCS' efforts, which were adequate to meet its statutory obligation to provide assistance.

[4] Finally, we agree with the Appellate Division that there was insufficient record evidence to establish that DOCCS' determination to place petitioner at the Woodbourne RTF was irrational or that the conditions of his placement at that facility were in violation of the agency's statutory or regulatory obligations.[6] Notably, the record adequately establishes that, based on institutional considerations, Woodbourne was the closest available RTF in which to place petitioner. Additionally, the record demonstrates that petitioner was accorded the rights of a resident of an RTF, as opposed to an inmate.

The parties' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this opinion and, as so modified, affirmed.

RIVERA, J. (concurring in part and dissenting in part). I join sections I through III of the dissent, and agree fully with Judge Wilson's analysis and discussion of the proper interpretation of the Department of Corrections and Community Supervision's duty to assist petitioner Miguel Gonzalez pursuant to Correction Law § 201 (5), and the need for a hearing on petitioner's challenge to his placement at the Woodbourne Correctional Facility based on his claim that it failed to meet the requirements of a residential treatment facility. However, I agree with the majority (majority op at 471 n 3) that the exception to the mootness doctrine does not apply to petitioner's good time credit claim. That issue remains open.

WILSON, J. (dissenting). Suppose you were moving to New York City and were looking for a place to live. As tens of thousands do each year, you turn to a real estate agent for assistance. You tell your agent the maximum rent you can afford and that you need an apartment within a certain proximity of a school, the subway and a park. The agent, however, does not

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6. We note that similar claims relating to Fishkill Correctional Facility as an RTF are pending in discovery proceedings before Albany County Supreme Court (*see Alcantara v Annucci*, 55 Misc 3d 1216[A], 2017 NY Slip Op 50610[U] [Sup Ct, Albany County 2017]).

give you a map of possible locations, or a set of listings, or even suggestions as to neighborhoods. Instead, the agent insists you play a game of real-estate Battleship: you guess an address, and the agent will tell you “hit” or “miss,” depending on whether, based on the agent’s inscrutable interpretation of your criteria, the address has a suitable apartment. After 58 misses and no hits, the agent finally proposes an apartment to you—one far outside of your price range. One more thing: until you win the game, *you cannot leave*. Have you been “assisted”?

According to the majority, this Kafkaesque[1] treatment is what the legislature meant when it imposed a duty on the New York State Department of Corrections and Community Supervision (DOCCS) to “assist inmates eligible for community supervision . . . to secure . . . housing” (Correction Law § 201 [5]). Thus, DOCCS claims it “assisted” Miguel Gonzalez to secure housing by providing him occasional access to a phone and periodically telling him that each residence he proposed was unsatisfactory. What’s more, although Mr. Gonzalez’s impeccable conduct while imprisoned earned him a substantial amount of good-time credit, he was stripped of that credit because he lost DOCCS’s unwinnable game of real-estate Battleship. I am certain the legislature intended neither the process nor the result here, and therefore dissent.

I.

Mr. Gonzalez was employed as a guard at a middle school. After he left that employment, he had a sexual relationship with an underage former student of that school. He pleaded guilty to second-degree statutory rape on January 5, 2012. On April 3, 2012, he was sentenced to a determinate 2½ years in prison followed by three years’ postrelease supervision (PRS). His maximum term of imprisonment was set at September 30, 2014. While in prison, he acquired “good-time credit” (*see* Correction Law § 803 [1] [a]) that advanced his release date to May 20, 2014.

Mr. Gonzalez committed a serious crime and received a sentence deemed appropriate by the court, the People and Mr. Gonzalez. He then did what our corrections system aspires: he made an earnest effort to reform himself. He was a model inmate, fulfilling every rehabilitation program recommended to him, committing no disciplinary infractions, and accruing the

1. *See e.g.* Franz Kafka, The Trial 50-57 (Mike Mitchell translator, Oxford World’s Classics 2009).

maximum possible good-time credit (*see* Correction Law § 803 [1] [c]). He expressed a "high level [of] remorse, and has completed sex offender treatment, to which he responded very well and was found to be highly motivated" (*People v Gonzalez*, Sup Ct, NY County, Aug. 11, 2014, FitzGerald, J., indictment No. 2222/2011, slip op at 7-8). When the time came to assign Mr. Gonzalez a Sex Offender Registration Act (SORA) risk level,[2] the SORA court determined him to be a level one offender, the level reserved for offenders who pose the lowest possible risk to the community (*id*). Notably, the court emphasized Mr. Gonzalez's "supportive family and friends," noting that they were "important factors in rehabilitation" (*id*.; *accord e.g.* Rebecca L. Naser & Nancy G. La Vigne, *Family Support in the Prisoner Reentry Process: Expectations and Realities*, 43 J Offender Rehabilitation [No. 1] 93 [2006]).

As a level one sex offender, Mr. Gonzalez was subject to the Sexual Assault Reform Act (SARA) for the duration of his postrelease supervision period. SARA provides, in relevant part, that the parole "board shall require, as a mandatory condition of [postrelease supervision], that such sentenced offender shall refrain from knowingly entering into or upon any school grounds . . . or any other facility or institution primarily used for the care or treatment of persons under the age of eighteen" (Executive Law § 259-c [14]). "School grounds" here means "any area accessible to the public located within one thousand feet of the real property boundary line" of any school (Penal Law § 220.00 [14]). DOCCS interprets SARA to permit it to detain all sex offender inmates (including level one offenders) until one of two events occurs: (a) the inmate secures housing that is at least 1,000 feet from any school and meets other DOCCS criteria; or (b) the inmate's postrelease supervision period terminates.

As Mr. Gonzalez's release date neared, DOCCS—fully aware of the restrictions placed on Mr. Gonzalez by its interpretation of SARA—did nothing to identify suitable housing for him. Instead, when his May 20, 2014 release date arrived, DOCCS

2. SORA requires all persons convicted of various sex crimes to be classified, in a judicial proceeding, as being a level one, two, or three sex offender (where one is the least serious ranking). For example, in general level one offenders must register annually with the State for 20 years, while level two and three offenders must register once a year for life (Correction Law § 168-h). Level three offenders must also personally verify their residences every 90 days with local law enforcement (*id*.).

revoked his good-time credit because DOCCS had yet to approve any of the housing options Mr. Gonzalez had proposed. By revoking the good-time credit, DOCCS then retained Mr. Gonzalez in prison until his maximum expiration date of September 30, 2014, and then "released" him to postrelease supervision in the Woodbourne Correctional Facility—a prison also designated as a residential treatment facility (RTF) (7 NYCRR 100.50 [c] [2]). Four months after that, DOCCS moved him into a homeless shelter on Randall's Island. Mr. Gonzalez's first choice was to live with his parents, who also wanted him to reside with them in their home, but DOCCS deemed that address unacceptable. By eliminating Mr. Gonzalez's good-time credit, DOCCS also extended the end of his postrelease supervision from May 20, 2017, to September 30, 2017.

Indeed, that DOCCS entertained Mr. Gonzalez's proposal to live in New York City in the first place (despite it being, as the majority explains, "a very limited market [for those] without financial resources" [majority op at 472]) likely stemmed from a rehabilitative motive that is, as I explain below, central to the legislature's directive under Correction Law § 201. As is true for more dangerous sex offenders (*see* Correction Law § 203 [1] [d]), exiling Mr. Gonzalez to some other part of the state—far away from the "supportive family and friends" the SORA court emphasized—would increase the risk that he might reoffend and disrupt his journey towards total social reintegration. Yet despite the importance of those networks, DOCCS swiftly denied Mr. Gonzalez's proposal to live with his parents.[3] It is hard to tell whether the irony or poor public policy is more striking: instead of permitting Mr. Gonzalez to live with his parents, DOCCS lengthened his prison stay and forced him into one of the four homeless shelters meant to accommodate every sex offender in New York City, including the highest-risk level three offenders. Which situation would best further his rehabilitation and reintegration and protect New York's children?

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3. Indeed, I note that, even if Mr. Gonzalez's parents' home was within 1,000 feet of a school, the home was not an "area accessible to the public," and therefore his presence in his parents' home would not have violated SARA. Although this functionally would amount to house arrest for the period of his PRS, he may well have preferred that to functional house arrest in the homeless shelter into which he was ultimately placed.

II.

The majority concludes that the above conduct satisfied DOCCS's duty under Correction Law § 201 (5) to "assist" Mr. Gonzalez to "secure . . . housing." In so concluding, the majority takes issue with the Appellate Division's articulation of DOCCS's duty: namely, that DOCCS must render "substantial" assistance, which the majority interprets (wrongly) as a "heightened" duty (majority op at 466) on DOCCS, above and beyond that imposed by the statute.

Insofar as the majority thinks that the Appellate Division erred in applying the word "substantial" to describe DOCCS's duty to assist Mr. Gonzalez (majority op at 472),[4] or that the Appellate Division erred in applying the various level two and three sex-offender laws to Mr. Gonzalez's case, the majority misses the point—the question is not what label to put on DOCCS's duty to its inmates, but the content (i.e., "substance") of that duty. More significantly, the majority's reasoning rests on the false premise that whatever "duty" means, it must mean the same for every inmate and the same for every obligation. We have not construed duties that way in any other area of law: doing so makes no sense.

Although the majority rejects the Appellate Division's understanding of the word "assist,"[5] it never explains just what it understands "assist" to mean. Instead, the best it can offer is that whatever "assist" means, when DOCCS "actively investigates and approves residences that have been identified by inmates and when it provides the inmates with adequate resources to allow them to propose residences for investigation and approval" (majority op at 474), then DOCCS's actions are "adequate to meet its statutory obligation" (majority op at 475). Whence comes that conclusion is a mystery.

Instead, to understand "assist," I would look to the legislature's "express purpose" for Correction Law § 201: "promot[ing]

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4. "Substantial" means "consisting of or relating to substance"; "not imaginary or illusory" (*see* Merriam-Webster Online Dictionary, substantial [https://www.merriam-webster.com/dictionary/substantial]). It may also mean "important" or "essential," but the question here is not which of these meanings the Appellate Division had in mind when using the word, but whether what DOCCS did is what the legislature directed it to do.

5. I agree with the majority that we do not defer to DOCCS to define "assist" (majority op at 471), because it is a "matter of pure legal interpretation" rather than a concept for which agency expertise would be relevant (*cf. Matter of Teachers Ins. & Annuity Assn. of Am. v City of New York*, 82 NY2d 35, 42 [1993]).

. . . inmates' successful and productive reentry into society" (L 2011, ch 62, § 1, part C, § 1, subpart A, § 1; *cf. Riley v County of Broome*, 95 NY2d 455, 463 [2000]; McKinney's Cons Laws of NY, Book 1, Statutes § 122). DOCCS itself was created to "provide for a seamless network for the care, custody, treatment and supervision of a person, from the day a sentence of state imprisonment commences, until the day such person is discharged from supervision in the community" (L 2011, ch 62, § 1, part C, § 1, subpart A, § 1).

The statutory scheme of the Penal Law and Correction Law as a whole should also inform our construction of the word "assist" (*see Matter of M.B.*, 6 NY3d 437, 447 [2006]; *People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]). That scheme evinces a consistent effort to provide incentives for rehabilitation ("correction," if you will) and full integration into society, which also illuminates the way in which the legislature understood the word "assist."

Thus, incarcerated persons will earn time credit for "good behavior and efficient and willing performance of duties assigned or progress and achievement in an assigned treatment program" (Correction Law § 803 [1] [a]), transitioning into a "residential treatment facility" that is a "community based residence . . . where employment, educational and training opportunities are readily available for persons who are on parole [or postrelease supervision]" (Correction Law § 2 [6]). DOCCS must "encourage apprenticeship training" (Correction Law § 201 [7]) of inmates who might benefit from it. Once released, inmates have a statutory protection from discrimination by employers and others on the basis of their criminal records (*see e.g.* Correction Law § 752; Executive Law § 296 [15]-[16]). In all respects, the statutory scheme is one that seeks systematically to remove from the willing inmate the disabilities of past crimes and imprisonment, but recognizes DOCCS's assistance is vital to enhancing the prospects for rehabilitation and reintegration.[6]

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6. Indeed, at least as a general matter, DOCCS understands the legislature's rehabilitative goals. DOCCS describes its own mission as "[e]nhanc[ing] public safety by having incarcerated persons return home under supportive supervision less likely to revert to criminal behavior," and "improv[ing] public safety by providing a continuity of appropriate treatment services in safe and secure facilities where all inmates' needs are addressed and they are prepared for release, followed by supportive services for all parolees under community supervision to facilitate a successful completion of

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Viewed in the context of the legislature's statements of intent and the overall statutory scheme, Correction Law § 201 (5)'s mandate that DOCCS "shall assist inmates eligible for community supervision and inmates who are on community supervision to secure employment, educational or vocational training, and housing" requires DOCCS to take adequate measures to support an inmate's acquisition of the three items (employment, education, and housing) that the legislature has determined are most conducive to promoting "inmates' successful and productive reentry into society" (L 2011, ch 62, § 1, part C, § 1, subpart A, § 1).

As the majority acknowledges when it describes DOCCS's duty in terms of "adequate resources" (majority op at 474), for "assistance" to be "assistance" it must be at least "adequate." Adequate assistance, or "adequate resources," will differ depending on the needs of each individual. Surely DOCCS need not provide resources regarding SARA-compliant housing for parolees not subject to SARA at all. Likewise, I hope the majority would agree that DOCCS would fail to "assist" a paraplegic inmate if DOCCS gave the inmate a list of potential residences consisting exclusively of fourth-floor walk-ups. DOCCS appears to agree: in its reply to the amicus brief of the Legal Aid Society, DOCCS explains that its assistance to each inmate "depends on dynamic and individualized variables" that, presumably, yield different levels of "assistance" for each inmate depending on inmate needs.[7] In all cases the duty on DOCCS is the same—it simply must apply the same duty to the individualized circumstance of each inmate.

The majority fears that the Appellate Division's "substantial assistance" phrasing (which, to me, simply means "adequate assistance") would impose an "unreasonable and impracticable" requirement on DOCCS to "*secure* each inmate [eligible for community supervision] housing, educational or vocational

their sentence" (New York State Department of Corrections and Community Supervision, The Departmental Mission, http://www.doccs.ny.gov/mission.html).

7. DOCCS makes this point while arguing that the mootness exception does not apply to this case because each inmate's situation is different. That argument might well have had force had DOCCS not also revealed, in the course of this litigation (and indeed in its very briefing to this Court), that it was not considering level one offenders in any individualized way in the course of providing housing assistance, but simply subjecting them to the precisely the same housing policy they would apply to the most dangerous level three offender.

training, and employment" (majority op at 472 [emphasis added]). That is not what the Appellate Division said. Instead, it simply recognized that because "assistance" worthy of the term will vary depending on the inmate, a set of inmates with readily-known legal disabilities (sex offenders subject to SARA) require more (and more specialized) housing assistance from DOCCS than others, and those returning to New York City will require different (perhaps more, perhaps less) assistance than those returning to a rural area. The legislature also did not instruct DOCCS to "secure" housing for inmates nearing release—it expressly instructed DOCCS to "assist inmates . . . to secure" housing. Had the legislature wanted DOCCS to secure housing for inmates upon release, it easily could have said so. "Assist" means less than "secure," but more than nothing. Indeed, individualized assistance is the most sensible implementation of a duty to "assist" because giving those who require less assistance than average only the assistance they require frees up resources for more needy inmates. Leona Helmsley did not need housing (or vocational or educational) assistance upon her release from prison. Mr. Gonzalez did. The fact that the statutory duty as to both is the same does not mean that identical efforts will meet that duty.

It is neither "unreasonable" nor "impracticable" to conclude that DOCCS must make an individualized determination as to whether an inmate nearing release needs certain types of assistance to be able to "secure . . . housing," and then to take adequate steps to provide that assistance. Although the majority complains that anything other than "assistance in a general manner" to "all inmates" would "alleviate the ultimate obligation on the inmate to locate housing" (majority op at 473), that is precisely what "assistance" is supposed to do: alleviate ("to make [something, such as suffering] more bearable")[8] the burdens on the inmate's search for housing imposed by that inmate's individual circumstances—in Mr. Gonzalez's case, the burden imposed on him by DOCCS's interpretation of SARA. Adequate assistance requires DOCCS to address proactively the particular needs of an inmate as to the three items on the legislature's list, without eliminating the obligation of inmates to make their own efforts as well.

However, as the Appellate Division found, DOCCS failed to "assist" Mr. Gonzalez even in the narrowest sense of the term.

8. Merriam-Webster Online Dictionary, alleviate (https://www.merriam-webster.com/dictionary/alleviate).

The Appellate Division's factual findings, largely uncontroverted by DOCCS (and unreviewable by us even were they controverted), are worth quoting at length (*Matter of Gonzalez v Annucci*, 149 AD3d 256, 262-264 [3d Dept 2017] [emphasis added]):

> "[V]irtually the only 'assistance' offered to petitioner involved waiting for him—then confined in an RTF located within the walls of a medium security prison, without access to the Internet, without the ability to leave the facility to visit libraries, housing offices or potential residences, and with strictly limited access to telephone and correspondence privileges—to identify potential residences and to then investigate his proposals . . . [F]rom the submissions of both parties, it clearly appears that [the meetings DOCCS arranged with counselors or others] were geared primarily to the investigation and approval of residences that petitioner had somehow managed to identify. These meetings failed to include *any* affirmative assistance in locating such housing in the first place, such as the provision of information about potential residence opportunities, SARA-compliant areas or neighborhoods, referrals to community agencies or opportunities beyond those offered to regular inmates to use a telephone, computer or other resources to research residence opportunities . . . .
>
> "DOCCS officials did little or nothing to assist petitioner, and . . . his efforts were entirely fruitless as the officials disapproved each and every one of the 58 potential residences that petitioner had found. . . . There is nothing in the record to indicate that officials provided petitioner with any manner of aid, such as other suggestions, referrals, information or any other form of affirmative assistance until his name eventually came up on the waiting list for placement in the SARA-compliant homeless shelter to which he was ultimately transferred."

As the record in this case vividly demonstrates, the principal assistance DOCCS provided to Mr. Gonzalez was allowing him periodically to submit a list of guesses to a parole officer whose function was to enter those guesses into a computer and report back that Mr. Gonzalez had failed yet again. DOCCS did not give him access to its system to allow him to search for himself; it did not provide him a map, a list of potential neighborhoods, or even a hint as to how to look for available compliant housing. DOCCS stated at oral argument that it will not provide a map showing SARA-compliant geographic locations within New York City because the "situation [is] in flux." Putting aside the infrequency with which schools move, DOCCS's response is unsatisfactory: DOCCS could have provided an updated map at each meeting, with a caveat as to the dynamism of the situation. DOCCS also acted arbitrarily when it categorically rejected homeless shelters when Mr. Gonzalez proposed them at the start of his incarceration at the RTF, but suddenly placed him in one four months later.[9] DOCCS was likewise unable to explain why its own Directive No. 9222, which authorizes emergency funds for housing in New York City, was unavailable to assist Mr. Gonzalez, instead simply waving the directive away as part of its "comprehensive housing assistance policies"; an Orwellian term for policies designed to restrict the housing Mr. Gonzalez can access. Indeed, DOCCS actively hindered *others* from assisting Mr. Gonzalez when it refused to allow Mr. Gonzalez's own mother to propose potential addresses to DOCCS counsellors, instead insisting she deliver the addresses to Mr. Gonzalez, who then had to wait until his next biweekly meeting with the DOCCS officer to ask that those locations be evaluated.

Far from providing "adequate resources," the majority's own standard for assistance (majority op at 474), DOCCS provided Gonzalez with nothing. DOCCS itself admits it did nothing whatsoever to assist Mr. Gonzalez to secure housing while Mr. Gonzalez was serving his determinate sentence, even though the duty to "assist" is imposed on DOCCS by statute on the first day of Mr. Gonzalez's sentence.[10] As the Appellate Division put it: "[i]f such efforts, without more, are all that is required,

9. I note that the Legal Aid Society, in an amicus brief to this Court, provides fuller information on DOCCS's policies and practices that, while not part of the record in this case, nonetheless support the Appellate Division's findings: the nonprofit providers on DOCCS's list of "Re-Entry Resources" do not provide SARA-compliant housing and DOCCS simply calls landlords, asks if housing is available, and writes down the inevitable "no" they get without further investigation or dialogue.

10. The duty to assist under Correction Law § 201 encompasses housing, educational and vocational training, and employment. That duty is triggered when an inmate becomes "eligible" for community supervision. In accordance

(n. cont'd)

then the additional affirmative statutory obligation to assist offenders in the process of finding housing . . . is without meaning" (149 AD3d at 263).

It is irrelevant that, in a different statutory scheme (Correction Law § 203 and its cousins) the majority and I agree is not applicable to level one offenders like Mr. Gonzalez, "DOCCS is given a law enforcement task of investigation" and does not "place[ ] a sex offender in any housing" (majority op at 473-474). As its own name indicates, the Department of Corrections and Community Supervision was expressly created by the legislature to do multiple things—imprison and rehabilitate, restrict inmates' freedom and prepare them to exercise it again, and provide "a seamless network for the care, custody, treatment and supervision of a person" (L 2011, ch 62, § 1, part C, § 1, subpart A, § 1). The majority's relegation of DOCCS to "law enforcement" buries DOCCS's rehabilitative mission—to help inmates to find the essential attributes of a socially beneficial life (a job, a home, and education).

The picture that emerges in this case, even from the majority's sketching, is one in which DOCCS is mired in some complex interagency and interjurisdictional politics over sex-offender housing. That might be a satisfactory answer to DOCCS and the various jurisdictions and agencies with which it interacts but is of no consequence to the legislature's command that DOCCS assist Mr. Gonzalez and is not even cold comfort for Mr. Gonzalez. The legislature emphasized the rehabilitative purpose of Correction Law § 201; we should not now deny it.

III.

Although I agree with the Appellate Division's holding as to DOCCS's failure to provide adequate housing assistance to Mr. Gonzalez, I believe it, and the trial court, erred in not permitting discovery and proper fact-finding to determine whether

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with our decision in *People v Sparber* (10 NY3d 457 [2008]), postrelease supervision is an integral part of a determinate sentence (*see also* Penal Law § 70.45). DOCCS's duty under section 201, therefore, attaches at the time of sentencing, although, again, different duties and different inmates will require different and differently-timed efforts on DOCCS's part. For example, an inmate serving a 10-year determinate sentence will not need housing assistance until release approaches but may need vocational training or education to commence near the start of incarceration.

Mr. Gonzalez's placement in the Woodbourne RTF was contrary to law.[11]

Whether Mr. Gonzalez's placement in the Woodbourne RTF pursuant to Penal Law § 70.45 (3) was lawful depends, in part, on whether the Woodbourne RTF complied with the requirements of RTFs when Mr. Gonzalez was there. The RTF to which DOCCS assigns a prisoner must be "a community based residence in or near a community where employment, educational and training opportunities are readily available for persons who are on parole or conditional release and for persons who are or who will soon be eligible for release on parole who intend to reside in or near that community when released" (Correction Law § 2 [6]), and must provide "appropriate education, on-the-job training and employment" as well as "[p]rograms directed toward the rehabilitation and total reintegration into the community" for inmates transferred there (Correction Law § 73 [2], [3]) and permit residents "to go outside the facility during reasonable and necessary hours to engage in any activity reasonably related to his or her rehabilitation and in accordance with the program established for him or her" (*id.* § 73 [1]).

The parties dispute whether Woodbourne RTF did, in fact, comply with those requirements when Mr. Gonzalez was sent there.[12] Mr. Gonzalez alleges he was never allowed to leave; DOCCS replies that he never asked to leave. Mr. Gonzalez claims the work program on which DOCCS assigned him in the Woodbourne RTF was in fact the same program that inmates had access to; DOCCS disputes this and argues Mr. Gonzalez got a better deal than inmates. DOCCS claims Mr.

11. I agree with the majority that Mr. Gonzalez's challenge is not to whether Woodbourne complied with RTF rules when it was designated an RTF in 1984 (*cf.* 7 NYCRR 100.50 [c] [2]) but rather whether Woodbourne RTF complied with statutes and regulations pertaining to RTFs set out in Correction Law §§ 2 (6) and 73 when it housed Mr. Gonzalez. If a court found that as a matter of law Woodbourne RTF did not presently meet the statutory criteria for being an RTF, DOCCS would be without power to confine Mr. Gonzalez there during his PRS period (no matter what it provided to the contrary in 7 NYCRR 100.50 [c] [2]). Once Mr. Gonzalez's challenge is so understood, I believe this Court to be unanimous that there is no obstacle to our consideration of the merits of that claim.

12. As a necessary step in its mootness analysis, the majority holds (majority op at 470-471) that Penal Law § 70.45 (3) allows DOCCS to place an inmate serving PRS after a definite sentence in an RTF for a maximum of six months, "notwithstanding any other provision of law" (*cf.* McKinney's Cons Laws of NY, Book 1, Statutes §§ 223, 238). I agree with the majority that, as a result, Mr. Gonzalez's RTF placement claim is subject to the mootness exception.

Gonzalez had access to a special RTF therapeutic program; Mr. Gonzalez claims this program was identical to prison programming. These are material facts—if Mr. Gonzalez is right, Woodbourne RTF was in every way identical to a prison (except, perhaps, for more opportunity to see one's parole officer); if DOCCS was right, Woodbourne RTF was truly a transitional treatment program. These facts are eminently triable. Indeed, similar claims are being tried with respect to the Fishkill RTF right now (*see Alcantara v Annucci*, 55 Misc 3d 1216[A], 2017 NY Slip Op 50610[U] [Sup Ct, Albany County 2017]). CPLR 7804 (h) requires a trial on disputed questions of material fact (*see e.g. Matter of Kickertz v New York Univ.*, 25 NY3d 942, 944 [2015]) and that is what should have happened here—not, as occurred below, a terse affirmance based on "limited record evidence" (*Matter of Gonzalez v Annucci*, 149 AD3d 256, 262 [3d Dept 2017]) that the majority, equally as tersely, approves today. Indeed, the majority's conclusion that "the record demonstrates that petitioner was accorded the rights of a resident of an RTF, as opposed to an inmate" (majority op at 475) sounds like a conclusion by a trier of fact—except that the facts have not been developed and this Court does not try facts (NY Const, art VI, § 3 [a]). I would therefore reverse and remand for the development of a record on this claim.

IV.

The most striking feature of DOCCS's actions in this case is not simply that they were unlawful, but that they were unmoored to the legislature's expressed penological policy. This is most vividly on display when we come to consider Mr. Gonzalez's entitlement to the good-time credit he earned.

I agree with the majority that the good-time credit issue is moot (majority op at 471 n 3), but conclude that it falls into the mootness exception. Mr. Gonzalez makes two claims: first, that had he not been stripped of his earned good-time credit, he would have been moved to the RTF four months early, starting the six-month RTF clock substantially earlier; second, that his PRS was lengthened unduly (by the amount of his wrongfully deprived good-time credit). I agree with the majority that offenders with longer periods of PRS could bring the second claim, so that it is not likely to evade review, and does not fall within the mootness exception. Mr. Gonzalez's first, RTF-placement-timing claim does fall within the exception, however: it is capable of repetition but will evade our review.

The majority posits a long-sentence offender whose claim would avoid mootness. The lengthiest term of imprisonment for felony sex offenders likely to see release in their lifetimes is a determinate sentence of 25 years (Penal Law § 70.80 [4] [a] [i]). Good behavior allowances are capped at one seventh of the sentence proper for determinate sentences (Correction Law § 803 [1] [c]), which is about 3.6 years for a 25-year sentence. It took almost exactly four years for Mr. Gonzalez's case to reach us. Thus, even for an offender with a very lengthy determinate sentence who earned the maximum allowable credit, the case would be moot by the time it arrived here. Accordingly, Mr. Gonzalez's first claim (above) is likely to recur but will evade review and is thus subject to the mootness exception (*City of New York v Maul*, 14 NY3d 499 [2010]).

Good-time credits are provided to inmates to encourage them to comply with prison rules and work towards rehabilitation while imprisoned (*Matter of Amato v Ward*, 41 NY2d 469, 475 [1977] ["(i)t is a penological commonplace that it is necessary to provide positive incentives for good behavior in prison"]). DOCCS stripped Mr. Gonzalez of that credit solely because, while he was still in prison, before his transfer to an RTF, he could not locate SARA-compliant housing on his own. DOCCS concedes, and the record shows, it provided no housing assistance whatsoever to Mr. Gonzalez during that time; DOCCS's efforts, as it describes them, came later.

The deprivation was not conducted "in accordance with law" (Correction Law § 803 [4]). The legislature permits credits to be "withheld, forfeited or canceled in whole or in part for bad behavior, violation of institutional rules or failure to perform properly in the duties or program assigned" (Correction Law § 803 [1] [a]). Nowhere in the statute is DOCCS permitted to revoke good-time credit because all the RTF spaces it has budgeted for are filled at the time an inmate's conditional release date rolls around, or because inmates are unable to find SARA-compliant housing in a location the majority acknowledges is extraordinarily constrained. DOCCS can point to no failure to "perform properly in the duties or program assigned" except, perhaps, Mr. Gonzalez's inability to provide DOCCS with a potential address when there was no hope that any address he proposed within the five boroughs would be approved. It cannot be lawful to condition good behavior credit on the fulfilment of an impossible condition, which is what DOCCS did here. Mr. Gonzalez earned his credit and did nothing to merit its revocation; "every prisoner who earns the credit is entitled to benefit from it" (*People ex rel. Ryan v Cheverko*, 22 NY3d 132, 138 [2013] [emphasis omitted]).

Even if that deprivation was not ultra vires, it was arbitrary and capricious and accordingly violated due process. Although DOCCS has discretion in revoking good-time credits when an inmate's behavior warrants it, arbitrary or capricious revocation violates an inmate's due process rights (*Matter of Laureano v Kuhlmann*, 75 NY2d 141, 146 [1990]). Here, DOCCS's revocation was either based on Mr. Gonzalez's failure to fulfil an impossible condition or on factors entirely outside Mr. Gonzalez's control. This is the essence of arbitrary conduct.

Instead, had DOCCS released Mr. Gonzalez to any homeless shelter in New York City, the City would have been required to find him a bed, because the City guarantees (and indeed must guarantee) housing for every homeless person who requests it (*see Callahan v Carey*, 307 AD2d 150, 151 [1st Dept 2003] [describing the August 1981 consent decree requiring New York City to provide temporary shelter to homeless individuals]; *cf.* 18 NYCRR 352.36 [a] [4] [iii] [obliging local governments to provide temporary housing assistance for sex offenders]) and when, after all, DOCCS belatedly elected to discharge Mr. Gonzalez to such a shelter anyway.[13] According to DOCCS, it revoked Mr. Gonzalez's good-time credit and later placed him in the Woodbourne Correctional Facility because DOCCS and New York City have an agreement that restricts the flow of sex offenders to be released to homeless shelters. The existence of that agreement provides no basis to strip Mr. Gonzalez of his good-time credit. Likewise, it would not have harmed DOCCS to have transferred Mr. Gonzalez to the Woodbourne RTF in May, granting him his good-time credit. Doing so would have allowed the credit to shorten his term of PRS as well, with the result that he could leave the SARA-compliant homeless shelter four months earlier. Indeed, DOCCS now says, effectively, that it will revoke good-time credits for sex offenders planning to

13. The majority answers that Mr. Gonzalez cannot raise this claim in this litigation, having not sued the City (unlike the plaintiffs in *Alcantara v Annucci* [55 Misc 3d 1216(A), 2017 NY Slip Op 50610(U) (Sup Ct, Albany County 2017)], who unsuccessfully sued the City under somewhat different circumstances). Indeed so. But Mr. Gonzalez can, and has, raised the claim that DOCCS's policy of stripping him of his good behavior credit based on the behavior of other governmental actors is unlawful, and that DOCCS has adopted a policy of refusing to accept homeless shelters until suddenly it does, represents just such a hindrance.

return to New York City—which, of course, will reduce the incentive of such sex offenders to earn them and/or to return to the place where they have a support network, further impeding DOCCS's rehabilitative mission.

What DOCCS has done to Mr. Gonzalez is neither statutorily authorized nor penologically justified. It should not stand. I accordingly dissent.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge RIVERA concurs in part and dissents in part for the reasons stated in sections I through III of Judge WILSON's dissenting opinion; Judge WILSON dissents in an opinion.

Order modified, without costs, in accordance with the opinion herein and, as so modified, affirmed.

[118 NE3d 168, 93 NYS3d 629]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SAYLOR SUAZO, Appellant.

Argued October 10, 2018; decided November 27, 2018

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 3, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Patricia Anne Williams, J.), which had convicted defendant, after a nonjury trial, of attempted assault in the third degree, attempted criminal obstruction of breathing or blood circulation, menacing in the third degree, and attempted criminal contempt in the second degree.

People v Suazo, 146 AD3d 423, reversed.

HEADNOTES

Crimes — Right to Jury Trial — Noncitizen Defendants Charged with Crimes Carrying Potential Penalty of Deportation

1. A noncitizen defendant charged with a deportable crime is entitled to a jury trial under the Sixth Amendment of the United States Constitution, notwithstanding that the maximum authorized sentence for that crime is a term of imprisonment of six months or less. The Sixth Amendment guarantees that a defendant will be judged by a jury of peers if charged with a serious crime. The most relevant criterion for evaluating the seriousness of an offense is the severity of the maximum authorized penalty, and no offense can be deemed petty for purposes of the right to trial by jury where imprisonment for more than six months is authorized. In New York, CPL 340.40 authorizes jury trials in local criminal courts for defendants charged with any misdemeanor in prosecutions outside of New York City, but, within New York City, the statute limits jury trials to defendants charged with class A misdemeanors or higher. However, the term penalty does not refer solely to the maximum prison term and due process requires courts to examine whether the length of the authorized prison term or the seriousness of other punishment is enough in itself to require a jury trial. A noncitizen may be deported, or forcibly removed from the country, if convicted of a variety of crimes. If adjudicated deportable, he or she may face additional detention, then separation from friends, family, home, and livelihood by actual forced removal from the country and return to a land to which that person may have no significant ties. Thus, deportation is a sufficiently severe penalty to puncture the six-month demarcation between serious and petty offenses because the loss of liberty associated therewith is analogous to that inherent in incarceration, and because deportation is frequently more injurious to noncitizen defendants than six months or less of imprisonment.

Crimes — Right to Jury Trial — Noncitizen Defendant Charged with Deportable Crime

2. Defendant's Sixth Amendment right to a jury trial was violated where, after initially being charged with multiple class A misdemeanors, the People reduced those charges to class B attempt charges, which were triable without a jury in New York City under CPL 340.40, and Supreme Court refused to entertain defendant's motion for a jury trial based on the possibility of deportation upon conviction of the class B misdemeanors. Deportation is a sufficiently severe penalty to puncture the six-month demarcation between serious and petty offenses because the loss of liberty associated therewith is analogous to that inherent in incarceration, and because deportation is frequently more injurious to noncitizen defendants than six months or less of imprisonment. Thus, a noncitizen defendant charged with a deportable crime is entitled to a jury trial under the Sixth Amendment of the United States Constitution, notwithstanding that the maximum authorized sentence for that crime is a term of imprisonment of six months or less. Here, defendant sufficiently established that one of the crimes with which he was charged, criminal obstruction of breathing or blood circulation based on his having grabbed the mother of his children and placing his hands around her neck and squeezing, was a deportable offense. Under federal immigration law, a noncitizen may be deported for a "crime of domestic violence," which includes "any crime of violence" against "an individual with whom the person shares a child in common" (8 USC § 1227 [a] [2] [E] [i]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Aliens and Citizens § 1502; AM JUR 2d Criminal Law §§ 952–954.
CARMODY-WAIT 2d Conduct of Trial, in General §§ 190:52, 190:54.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 22.1.
MCKINNEY'S, CPL 340.40.
NY JUR 2d Criminal Law: Procedure §§ 2569–2571.
8 USCA § 1227 (a) (2); US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Deportation; Jury Trials.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (*Mark W. Zeno* of counsel), for appellant. The Sixth Amendment guaranteed appellant a jury trial, because a conviction for the charged offenses would render him deportable, making the charges "serious" ones. (*Blanton v North Las Vegas*, 489 US 538; *People v Urbaez*, 10 NY3d 773; *Duncan v State of Louisiana*, 391 US 145; *Baldwin v New York*, 399 US 66; *Callan v Wilson*, 127 US 540; *District of Columbia v Colts*, 282 US 63; *Frank v United States*, 395 US 147; *Lewis v United States*, 518 US 322; *Mine Workers v Bagwell*, 512 US 821; *United States v Nachtigal*, 507 US 1.)

Darcel D. Clark, District Attorney, Bronx (*Noah J. Chamoy, Catherine M. Reno* and *Nancy D. Killian* of counsel), for respondent. The right to a jury trial does not attach to class B misdemeanor prosecutions in New York where deportation is an uncertain and discretionary collateral consequence imposed by a separate sovereign. (*People v Urbaez*, 10 NY3d 773; *Callan v Wilson*, 127 US 540; *Lewis v United States*, 518 US 322; *Baldwin v New York*, 399 US 66; *Blanton v North Las Vegas*, 489 US 538; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143; *United States v Nachtigal*, 507 US 1; *Padilla v Kentucky*, 559 US 356; *Fong Haw Tan v Phelan*, 333 US 6; *People v LaFontaine*, 92 NY2d 470.)

The Bronx Defenders, Bronx (*Saul Zipkin, Ilona Coleman, Scott Levy* and *Emma Noftz* of counsel), for The Bronx Defenders and others, amici curiae. People charged with class B misdemeanors in New York City are subject to removal and other serious penalties and thus must be guaranteed jury trials, as they are in the rest of New York State. (*Frank v United States*, 395 US 147; *Baldwin v New York*, 399 US 66; *Duncan v State of Louisiana*, 391 US 145; *Blanton v North Las Vegas*, 489 US 538; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143; *People v Burke*, 186 Misc 2d 278; *Padilla v Kentucky*, 559 US 356; *Fong Yue Ting v United States*, 149 US 698; *Chaidez v United States*, 568 US 342; *Trop v Dulles*, 356 US 86.)

OPINION OF THE COURT

STEIN, J.

[1] The Sixth Amendment of the United States Constitution guarantees that a defendant will be judged by a jury of peers if charged with a serious crime. Today, as a matter of first impression, we hold that a noncitizen defendant who demonstrates that a charged crime carries the potential penalty of deportation—i.e. removal from the country—is entitled to a jury trial under the Sixth Amendment.

I.

Defendant Saylor Suazo was charged with assault in the third degree, unlawful imprisonment in the second degree, criminal obstruction of breathing or blood circulation, endangering the welfare of a child, menacing, and harassment in the second degree. As detailed in the accusatory instrument, the charges arose from an incident during which defendant grabbed the mother of his children, threw her to the floor, placed his hands around her neck and squeezed—thereby obstructing her breathing—and then struck her numerous times in the head and neck with his fist. A month later, defendant was also charged with criminal contempt in the second degree due to his violations of an order of protection that directed him to refrain from any communication or contact with the victim.

Immediately before the start of trial on the consolidated charges, the People moved, in open court, to reduce the class A misdemeanor charges to attempt crimes. As reduced, the charges against defendant constituted class B misdemeanor crimes and lower grade offenses, with the misdemeanors punishable by a maximum authorized sentence of three months in jail; consequently, as the criminal action was commenced in New York City, the offenses were triable without a jury pursuant to CPL 340.40. Supreme Court refused to entertain defendant's argument in opposition to the reduction, granted the People's motion, and commenced the bench trial.

Defendant persisted and submitted a written motion asserting his right to a jury trial. In support of his motion, defendant asserted that he was a noncitizen charged with deportable offenses, and he argued that the possibility of deportation upon conviction rendered the class B misdemeanors sufficiently serious to mandate a jury trial under the Sixth Amendment. The People did not dispute defendant's assertions that he was a noncitizen or that the charges against him included deportable offenses. Instead, the People opposed defendant's motion on the sole ground that deportation is a collateral consequence arising out of federal law that does not constitute a criminal penalty for purposes of the Sixth Amendment right to a jury trial.

Supreme Court effectively denied defendant's motion and, following a bench trial, found defendant guilty of attempted assault in the third degree, attempted criminal obstruction of breathing or blood circulation, menacing in the third degree, and attempted criminal contempt in the second degree. Upon defendant's appeal, the Appellate Division affirmed the judgment and held that deportation is a collateral consequence of conviction and, as such, does not trigger the Sixth Amendment guarantee of a jury trial (146 AD3d 423 [1st Dept 2017]). A Judge of this Court granted defendant leave to appeal (29 NY3d 1087 [2017]), and we now reverse.

II.

The Sixth Amendment of the United States Constitution provides that, "[i]n all criminal prosecutions, the accused shall enjoy the right to a speedy and public trial, by an impartial jury of the State and district wherein the crime shall have been committed." This constitutional guarantee of the right to a jury trial "reflect[s] a profound judgment about the way in which law should be enforced and justice administered" (*Duncan v Louisiana*, 391 US 145, 155 [1968]). More specifically, the mandate embodies "a fundamental decision about the exercise of official power—a reluctance to entrust plenary powers over the life and liberty of the citizen to one judge or to a group of judges," and an "insistence upon community participation in the determination of guilt or innocence" due to fears of unchecked power (*id.* at 156). In this regard, the right to a jury trial is intended to ward against "oppression by the Government" (*id.* at 155) by interposing between the defendant and the accuser a jury of laypeople who "are less likely to function or appear as but another arm of the Government" (*Baldwin v New York*, 399 US 66, 72 [1970]).

Although the Federal Constitution speaks in absolute terms, it is well settled that the right to a jury trial "does not extend to every criminal proceeding" (*District of Columbia v Clawans*, 300 US 617, 624 [1937]; *see Lewis v United States*, 518 US 322, 325 [1996]). "At the time of the adoption of the Constitution[,] there were numerous offenses, commonly described as 'petty,' which were tried summarily without a jury" (*Clawans*, 300 US at 624). Thus, while the Sixth Amendment "requires that defendants accused of serious crimes be afforded the right to trial by jury[,] . . . so-called 'petty offenses' may be tried without a jury" (*Baldwin*, 399 US at 68).

As explained by the United States Supreme Court, to determine whether an offense is serious or petty, "courts at one time looked to the nature of the offense and whether it was triable by a jury at common law" (*Lewis*, 518 US at 325). Eventually, "[s]uch determinations became difficult, because many statutory offenses lack common-law antecedents. Therefore, more recently, [courts] have instead sought 'objective indications of the seriousness with which society regards the offense' " (*id.* at 325-326 [citation omitted], quoting *Frank v United States*, 395 US 147, 148 [1969]; *see Blanton v North Las Vegas*, 489 US 538, 541 [1989]). The Supreme Court has since instructed that the "most relevant . . . criteri[on]" for evaluating the seriousness of an offense is "the severity of the maximum authorized penalty" (*Baldwin*, 399 US at 68; *see Blanton*, 489 US at 541; *Duncan*, 391 US at 159-160). This is because, "[i]n fixing the maximum penalty for a crime, a legislature 'include[s] within the definition of the crime itself a judgment about the seriousness of the offense' " (*Blanton*, 489 US at 541, quoting *Frank*, 395 US at 149), and "[t]he penalty authorized by the law of the locality may be taken 'as a gauge of its social and ethical judgments' " (*Duncan*, 391 US at 160, quoting *Clawans*, 300 US at 628).

Consistent with the Supreme Court's instruction that the maximum potential penalty for a particular offense must be the crux of the analysis as to whether a right to a jury trial exists, significant attention has been paid to the maximum length of incarceration associated with the crime in question. In that regard, the Supreme Court has articulated at least one clear rule based on the potential length of incarceration—namely, "no offense can be deemed 'petty' for purposes of the right to trial by jury where imprisonment for more than six months is authorized" (*Baldwin*, 399 US at 69) because the possibility of such a penalty being imposed is "sufficiently severe by itself to take the offense out of the category of 'petty' " and place it within the scope of the Sixth Amendment's jury trial protections (*id.* at 69 n 6; *see Blanton*, 489 US at 542). Thus, "a defendant is entitled to a jury trial whenever the offense . . . charged carries a maximum authorized prison term of greater than six months" (*Blanton*, 489 US at 542). Conversely, for offenses punishable by six months' imprisonment or less, the Court has concluded that "the disadvantages of such a sentence, 'onerous though they may be, may be outweighed by the benefits that result from speedy and inexpensive nonjury adjudications' " (*Blanton*, 489 US at 543, quoting *Baldwin*, 399 US at 73). Thus, it is "appropriate to presume for purposes of the Sixth Amendment that society views such an offense as 'petty' " (*Blanton*, 489 US at 543; *United States v Nachtigal*, 507 US 1, 3, [1993]).

Despite the significance placed on the maximum authorized length of incarceration, the Supreme Court has clarified that the term "penalty," as relevant to the Sixth Amendment jury trial analysis, "do[es] not refer solely to the maximum prison term authorized for a particular offense" (*Blanton*, 489 US at 542). "A legislature's view of the seriousness of an offense also is reflected in the other penalties that it attaches to the offense" (*id*.). Thus, courts must "examine 'whether the length of the authorized prison term *or the seriousness of other punishment* is enough in itself to require a jury trial' " (*id.*, quoting *Duncan*, 391 US at 161).

To be sure, primary emphasis remains on the maximum authorized period of incarceration; this is because, although other "[p]enalties such as probation or a fine may engender a significant infringement of personal freedom, . . . they cannot approximate in severity the loss of liberty that a prison term entails" (*Blanton*, 489 US at 542 [internal quotation marks and citations omitted]). Our heightened focus on the authorized prison term does not, however, necessarily render every other penalty that flows from a criminal conviction inconsequential. Thus, where a defendant is charged with an offense subject to a maximum authorized term of incarceration of six months or less but argues that the mandate of the Sixth Amendment nevertheless applies, we must consider additional penalties imposed by law upon conviction. In such circumstances, a "defendant is entitled to a jury trial . . . only if [the defendant] can demonstrate that any additional statutory penalties, viewed in conjunction with the maximum authorized period of incarceration, are so severe that they clearly reflect a legislative determination that the offense in question is a 'serious' one" (*Blanton*, 489 US at 543; *see Nachtigal*, 507 US at 3). According to the Supreme Court, "[t]his standard, albeit somewhat imprecise, should ensure the availability of a jury trial in the rare situation where a legislature packs an offense it deems 'serious' with onerous penalties that nonetheless do not puncture the [six]-month incarceration line" (*Blanton*, 489 US at 543 [internal quotation marks and citation omitted]; *see Nachtigal*, 507 US at 3-4).

In New York, CPL 340.40 requires that the trial of an information in a local criminal court be a single judge (i.e., nonjury) trial (*see* CPL 340.40 [1]), unless the information charges any misdemeanors, in which case the defendant "must be accorded a jury trial, . . . except that in the New York [C]ity criminal court the trial of an information which charges a misdemeanor for which the authorized term of imprisonment is not more than six months must be a single judge trial" (CPL 340.40 [2]). Since class A misdemeanors carry an authorized maximum penalty of one year of imprisonment (*see* Penal Law § 70.15 [1]), both the Sixth Amendment and CPL 340.40 guarantee a jury trial to all defendants charged with such crimes. Further, if prosecuted outside New York City, defendants facing *any* misdemeanor charges are entitled to a jury trial pursuant to CPL 340.40 (*see* CPL 340.40 [2]). However, if prosecuted in New York City criminal court, defendants charged with only class B misdemeanor crimes or unclassified misdemeanor crimes subject to a maximum term of six months' imprisonment or less are not statutorily entitled to a jury trial (*see* CPL 340.40 [2]; Penal Law § 70.15 [2], [3]). Notwithstanding the New York State Legislature's curtailment of the right to a jury trial in crimes not tried upon indictment in this respect,[1] "[t]he deep commitment of the [n]ation to the right of jury trial in serious criminal cases as a defense against arbitrary law enforcement qualifies for protection under the Due Process Clause of the Fourteenth Amendment, and [it] must therefore be respected by the [s]tates" (*Duncan*, 391 US at 156). Thus, the right of the New York State Legislature to dispense with a jury trial is constrained by the Federal Constitution (*see id.*; *Baldwin*, 399 US at 68). Simply stated, the CPL exception providing for nonjury trials of certain misdemeanors in New York City does not serve to deny a defendant subject to that exception the opportunity to establish that the charged crimes are considered serious enough by society, based on the penalties associated therewith, to entitle the defendant to a jury trial as guaranteed by the Sixth Amendment.

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1. There is no claim raised here that this statutory distinction violates the New York Constitution, which guarantees that "[t]rial by jury in all cases in which it has heretofore been guaranteed by constitutional provision shall remain inviolate forever" (NY Const, art I, § 2), but otherwise permits the legislature to "authorize any court which shall have jurisdiction over crimes and other violations of law, other than crimes prosecuted by indictment, to try such matters without a jury" (NY Const, art VI, § 18 [a]). Nor does defendant raise any challenge to CPL 340.40 based on its differential treatment of defendants depending upon the location of their prosecution.

III.

Defendant argues that, although the Sixth Amendment right to a jury trial did not automatically attach to the crimes with which he was charged because they are punishable by less than a six-month term of incarceration, he met his burden of establishing that the crimes carry an additional penalty beyond incarceration—namely, deportation—which he contends is a sufficiently severe penalty to rebut the presumption that the crimes are petty for Sixth Amendment purposes. We agree.

Under the Immigration and Nationality Act (INA), a noncitizen may be deported, or forcibly removed from the country, if convicted of a variety of crimes, including a "crime of moral turpitude" under certain conditions, an "aggravated felony," most controlled substance offenses, various firearm offenses, "[c]rimes of domestic violence, stalking, or violation of [a] protection order, [and] crimes against children" (8 USC § 1227 [a] [2] [A]-[F]). In the event of a noncitizen's conviction of such an offense, "removal is practically inevitable but for the possible exercise of limited remnants of equitable discretion vested in the Attorney General to cancel removal for noncitizens convicted of particular classes of offenses" (*Padilla v Kentucky*, 559 US 356, 363-364 [2010]; *see generally* 8 USC § 1227 [a] [2]).[2]

There can be no serious dispute that, if deemed a penalty for Sixth Amendment purposes, deportation or removal is a penalty of the utmost severity. The deportation process generally involves detention by federal immigration authorities until administrative or judicial review prompts either the detainee's release or an adjudication that the detainee is deportable. Detention—which closely resembles criminal incarceration—may last several days, or it may last months or years (*see People v Peque*, 22 NY3d 168, 189 [2013], *cert denied* 574 US —, 135 S Ct 90 [2014]). A noncitizen who is adjudicated deportable may first face additional detention, followed by the often-

2. That discretion is codified in 8 USC § 1229b, which provides that "[t]he Attorney General may cancel removal of, and adjust to the status of an alien lawfully admitted for permanent residence, an alien who is inadmissible or deportable from the United States if the alien" has been in the country continuously for at least 10 years, is of good moral character, has not been convicted of certain crimes—including those crimes which render an alien deportable under 8 USC § 1227 (a) (2)—and, the alien establishes that removal would result in "exceptional and extremely unusual hardship" to the alien's immediate family lawfully residing in the country (8 USC § 1229b [b] [1]).

greater toll of separation from friends, family, home, and livelihood by actual forced removal from the country and return to a land to which that person may have no significant ties.

In light of the gravity of deportation, the United States Supreme Court has characterized it as a “drastic measure” (*Padilla*, 559 US at 360, quoting *Fong Haw Tan v Phelan*, 333 US 6, 10 [1948]). That Court “has reiterated that deportation is ‘a particularly severe penalty,’ which may be of greater concern to a convicted alien than ‘any potential jail sentence’ ” (*Sessions v Dimaya*, 584 US —, —, 138 S Ct 1204, 1213 [2018], quoting *Jae Lee v United States*, 582 US —, —, 137 S Ct 1958, 1968 [2017]) because, in many circumstances, it “amount[s] to lifelong ‘banishment or exile’ ” from the country that one considers home (*Sessions*, 584 US at —, 138 S Ct at 1213, quoting *Jordan v De George*, 341 US 223, 231 [1951]).

Notably, this Court also recently recognized the profound significance of deportation as a consequence of a criminal conviction (*see Peque*, 22 NY3d at 176). We explained that

> “the deportation process deprives the defendant of an exceptional degree of physical liberty by first detaining and then forcibly removing the defendant from the country. Consequently, the defendant may not only lose the blessings of liberty associated with residence in the United States, but may also suffer the emotional and financial hardships of separation from work, home and family. Given the severity and inevitability of deportation for many noncitizen defendants, ‘deportation is an integral part—indeed, sometimes the most important part—of the penalty that may be imposed on noncitizen defendants’ ” (*id.* at 192, quoting *Padilla*, 559 US at 364).

Ultimately, the devastating loss that may be occasioned by forced removal is a “loss . . . so great as to be unquantifiable” (*Bado v United States*, 186 A3d 1243, 1251 [DC 2018]). There can be little doubt that deportation is a sufficiently severe penalty to puncture the six-month demarcation between serious and petty offenses because the loss of liberty associated therewith is analogous to that inherent in incarceration and because deportation—which may result in indefinite expulsion from the country and isolation from one’s family—is frequently more injurious to noncitizen defendants than six months or less of imprisonment.

IV.

The People argue that, notwithstanding the profound impact of deportation, removal from the country is not a criminal penalty of a conviction, but merely a civil collateral consequence, which should not be considered a penalty for Sixth Amendment purposes. The People further assert that, in any event, deportation cannot obligate a New York court to furnish a jury trial to a defendant charged with a class B misdemeanor crime because it is a consequence imposed as a matter of federal law and, therefore, does not reflect the New York State Legislature's judgment concerning the seriousness of an offense. We address these arguments in turn.

Although the People are correct that deportation—a federally imposed penalty—is technically a civil collateral consequence of a state conviction (*see Padilla*, 559 US at 365 [deportation "is not, in a strict sense, a criminal sanction"]), the Supreme Court has explained that "deportation is nevertheless intimately related to the criminal process" and "it [is] most difficult to divorce the penalty from the conviction in the deportation context" (*id.* at 365-366 [internal quotation marks and citation omitted]). This is because "[o]ur law has enmeshed criminal convictions and the penalty of deportation for nearly a century" (*id.*) and, "deportation or removal is . . . virtually inevitable for a vast number of noncitizens convicted of crimes" (*id.* at 360 [citation omitted]). It bears repeating that, while we, too, have posited that deportation "is technically on the collateral side of the direct/collateral divide," we have observed that it is, "because of its close connection to the criminal process, uniquely difficult to classify as either a direct or a collateral consequence" of a conviction (*Peque*, 22 NY3d at 190, 192).[3] Further, we have noted that deportation "has punitive quali-

3. To reiterate what we have explained in the context of pleas, direct consequences of a conviction are those that have "definite, immediate[,] and largely automatic effect on [the] defendant's punishment" (*People v Peque*, 22 NY3d 168, 184-185 [2013]), such as " 'the core components of a defendant's sentence: a term of probation or imprisonment, a term of postrelease supervision, [or] a fine' " (*People v Monk*, 21 NY3d 27, 32 [2013], quoting *People v Harnett*, 16 NY3d 200, 205 [2011]). Collateral consequences, by contrast, are " 'peculiar to the individual and generally result from the actions taken by agencies the court does not control' " (*Monk*, 21 NY3d at 32, quoting *People v Ford*, 86 NY2d 397, 403 [1995]). Examples include the "loss of the right to vote or travel abroad, loss of civil service employment, loss of a driver's license, loss of the right to possess firearms[,] . . . the imposition of a prison term upon revocation of postrelease supervision, [and] sex offender registra-

(n. cont'd)

ties not entirely unlike the core components of a criminal sentence," and that it is "a virtually automatic result of a New York felony conviction for nearly every noncitizen defendant" (*Peque*, 22 NY3d at 191). For these reasons we, like the Supreme Court, have acknowledged that "deportation [can]not be neatly confined to the realm of civil matters unrelated to a defendant's conviction" (*id.* at 190).[4]

As we recently observed, following amendments to federal immigration law in 1996, "the federal government deported an ever-growing number of individuals each year" (*Peque*, 22 NY3d at 188). Moreover, "[c]hanges in immigration enforcement have . . . increased the likelihood that a noncitizen defendant will be deported" following a state criminal conviction, pursuant to the aforementioned INA provisions (*id.*). This connection between criminal convictions and deportation is readily reflected in immigration enforcement statistics. "With 143,470 administrative arrests in [fiscal year] 2017, [Immigrations and Customs Enforcement (ICE), Enforcement and Removal Operations (ERO)] recorded its greatest number of administrative arrests as compared with the past three fiscal years" (ICE, *Fiscal Year 2017 ICE Enforcement and Removal Operations Report* at 2, available at https://www.ice.gov/sites/default/files/documents/Report/2017/iceEndOfYearFY2017.pdf [last accessed Oct. 26, 2018], cached at http://www.nycourts.gov/reporter/webdocs/ICE2017Rpt.pdf). "The vast majority of ERO's arrests were of convicted criminals or aliens with criminal charges," as almost 128,000—approximately 89% of the arrestees—had either a final conviction or pending charges (*id.* at 3-4). Tellingly, in fiscal year 2017, ERO issued 142,356 detainers, which are

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tion" (*Peque*, 22 NY3d at 185 [internal quotation marks and citations omitted]).

4. We are unconvinced that the civil nature of deportation proceedings compels us to exclude it from the Sixth Amendment analysis—in a criminal prosecution—of penalties imposed upon conviction, particularly in light of the recognition by both this Court and the Supreme Court that the penalty of deportation is inextricably intertwined with the criminal justice process and that, in many instances, it necessarily flows from a criminal conviction. The Sixth Amendment jury trial right attaches where the charges will potentially result in a criminal conviction that carries statutory penalties warranting jury trial protection; this is not altered by the fact that deportation itself will be effectuated through a subsequent administrative proceeding. Nor does it follow from our analysis that the Sixth Amendment right to a jury trial for criminal prosecutions must be extended to civil immigration proceedings (*see e.g. Padilla v Kentucky*, 559 US 356, 369 [2010] [holding that Sixth Amendment protections for criminal prosecutions require a criminal defendant to be advised of the civil consequence of deportation]).

requests that other law enforcement agencies notify immigration authorities and detain noncitizens rather than release them from criminal custody (*see id.* at 7-8). This connection between the criminal justice system and immigration removal cannot be denied.

Ultimately, even if deportation is technically collateral, it is undoubtedly a severe statutory penalty that flows from the federal government as the result of a state criminal conviction. Indeed, we have characterized it as a "substantial and unique consequence" (*Peque*, 22 NY3d at 193) of such "tremendous importance, grave impact and frequent occurrence" that we have held that—despite its technically collateral nature—constitutional principles of due process require New York courts to inform a defendant pleading to a felony charge that, if a noncitizen, the defendant may be deported as a result of the plea (*id.* at 175-176). Similarly, the Supreme Court has extended the constitutional right to the effective assistance of counsel to encompass advice regarding the deportation consequences of a criminal conviction, as "longstanding Sixth Amendment precedents, the seriousness of deportation as a consequence of a criminal plea, and the concomitant impact of deportation on families living lawfully in this country demand no less" (*Padilla*, 559 US at 374).

In the jury trial context, the Supreme Court has never proclaimed a rule precluding statutory penalties from triggering the mandate of the Sixth Amendment right to a jury trial based on their collateral nature. Indeed, in *Blanton v North Las Vegas*, the Supreme Court considered at least one consequence of a conviction that could be classified as collateral (489 US at 539-540). While the Supreme Court ultimately determined that "a 90-day [driver's] license suspension is [not] that significant as a Sixth Amendment matter," the Court's analysis in *Blanton* presumed that a collateral consequence could potentially render an offense serious (*id.* at 544 n 9; *see United States v Jenkins*, 780 F2d 472, 474 n 3 [4th Cir 1986]; *see also Baldwin*, 399 US at 69; *Landry v Hoepfner*, 818 F2d 1169, 1175 [5th Cir 1987], *on reh* 840 F2d 1201 [5th Cir 1988], *cert denied* 489 US 1083 [1989]; *United States v Craner*, 652 F2d 23, 26 [9th Cir 1981]). Moreover, by holding that defense counsel generally must advise criminal defendants of deportation risks associated with a guilty plea in order to provide effective assistance under the Sixth Amendment (*see Padilla*, 559 US at 369), the Supreme Court necessarily held, albeit in a different context, that collateral consequences—and, in particular, the consequences attendant to deportation—are not categorically excluded from Sixth Amendment protection (*see Chaidez v United States*, 568 US 342, 352 [2013]).

Turning to the People's next contention, we also conclude that it is not fatal to defendant's claim that the penalty of deportation or removal from the country is imposed as a matter of federal, rather than state, law. The salient fact is that a legislative body authorized to attach a penalty to a state conviction has determined that the crime warrants the onerous penalty of deportation. That New York State could neither designate nor effectuate this specific penalty does not make it any less onerous. Ultimately, the penalty of deportation reflects society's view that the misconduct underlying the conviction is of the type that violates social norms of proper behavior and stirs community outrage to such an extreme extent that it provides a basis for the convicted person to be exiled from home, family, community, and country. Congress, as the national elected legislative body, is constitutionally authorized to enact our nation's immigration laws and, by virtue of that federal power, it alone decides which federal and state criminal law convictions will carry the additional severe penalty of deportation (US Const, art I, § 8). It is that legislative determination that is dispositive to the analysis here. Just as a nationwide consensus was relevant to the Supreme Court's adoption of the six-month incarceration rule, the nation's determination to impose deportation upon certain convicted noncitizens—reflected in the only way it can be, through laws passed by Congress—is the sole "objective criterion" by which to measure the seriousness of a penalty of federal nationwide application (*see Blanton*, 489 US at 545 n 11; *Bado*, 186 A3d at 1257-1258 ["Congress, as the national legislature, is presumed to reflect the nation's social and ethical judgments"]).

To be sure, the Supreme Court has often referred in its Sixth Amendment jurisprudence to the view of the local state legislature regarding the seriousness of a crime as being reflected in the penalties imposed by that legislature (*see e.g. Duncan*, 391 US at 160). However, the penalties raised by the defendant—and, thus, under consideration by the Court—in such cases, were those imposed by the state of conviction, providing the Supreme Court no occasion to opine on the effect of a penalty imposed by Congress. In other words, those cases do not stand for the proposition that federal penalties that flow from state convictions must be excluded from the Sixth Amendment analysis simply because they are imposed by a legislature other than the local one.[5]

Moreover, while the Supreme Court has explained that courts need not look to how other *states* classify their crimes—as either petty or serious—when undertaking a Sixth Amendment analysis (*see Nachtigal*, 507 US at 4 [observing that "the statutory penalties in *other (s)tates* are irrelevant to the question whether a particular legislature deemed a particular offense ' "serious" ' " (emphasis added)]; *Blanton*, 489 US at 545 n 11), this principle does not apply here. The distinction between penalties imposed by other states is drawn because "the question remains whether those [s]tates are in violation of the Constitution; and . . . that question is not answered by cataloging the practices of other [s]tates" (*Martin v Ohio*, 480 US 228, 236 [1987], cited in *Blanton*, 489 US at 545 n 11). Essentially, whether other states classify particular offenses as serious or petty—and the length of incarceration or availability of a jury trial in those states—does not answer the ultimate question of whether the Sixth Amendment guarantees a jury trial for a defendant facing prosecution in a given state; rather, that determination must be made based on the penalties imposed by the state subjecting the defendant to prosecution. This is eminently rational, as a defendant in one state will not be subjected to the penalties imposed by other states for like crimes.

Here, we are considering the federally-imposed penalty of deportation, which both this Court and the Supreme Court have recognized is a penalty that is often a "virtually inevitable" (*Padilla*, 559 US at 360), or practically "automatic," result of many New York convictions (*Peque*, 22 NY3d at 191). Inasmuch as federal deportation will almost invariably flow

5. Similarly, the Supreme Court's caution in *Blanton* that "only penalties resulting from state action, *e.g.*, those mandated by statute or regulation, should be considered" for Sixth Amendment jury trial purposes does not signify that federal consequences must be excluded from the analysis (489 US at 543 n 8). Rather, the Court was merely clarifying that only governmental actions should be considered. Stated differently, the term "state action" was used to differentiate between the consequences of a conviction that flow from governmental action, as opposed to those that ensue as a result of nongovernmental action, such as increases in insurance costs associated with a drunk driving conviction or social stigma that may be leveled against a defendant based on the nature of an offense (*id.*, citing Douglas E. Lahammer, Note, *The Federal Constitutional Right to Trial by Jury for the Offense of Driving While Intoxicated*, 73 Minn L Rev 122, 149-150 [1988]).

from certain New York state convictions, we see no persuasive reason to exclude it from the constitutional inquiry of whether the penalties of a crime are severe enough to warrant extending the protections of a jury trial (*see Bado*, 186 A3d at 1258 ["(t)here is no reason grounded in the purpose of *Blanton's* penalty-based analysis to exclude (deportation) from Sixth Amendment consideration the serious penalty of removal that attaches to a criminal conviction, and to which the accused is exposed, because it has been imposed by Congress rather than the local legislature"]).[6] We, therefore, conclude that the Sixth Amendment mandates a jury trial in the "rare situation" where a legislature attaches a sufficiently "onerous" penalty to an offense (*Blanton*, 489 US at 543), whether that penalty is imposed by the state or national legislature.[7]

The People's remaining arguments are also unavailing. To the extent the People contend that the Sixth Amendment does not permit a distinction between the right to a jury trial for citizens and noncitizens, we have no occasion to address—on this appeal involving a noncitizen subject to deportation—whether a citizen would likewise be entitled to a jury trial

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6. We note that nothing in the language of the CPL or its history evinces a New York legislative determination that deportation is *not* a serious penalty. Indeed, this is unsurprising since deportation is a penalty that the New York State Legislature has no authority to impose as part of a state conviction.

7. A federally-imposed penalty will preclude the state legislature from denying a defendant the right to a jury trial *only* where the penalty in question invariably flows from a state conviction. A state need not award a defendant a jury trial where the resulting penalties warrant treating the crime as a petty offense, even if the federal government imposes a more severe penalty for an analogous crime in federal prosecutions, which penalty will not be imposed on state defendants. Further, as previously noted, this Court, itself, already has recognized that deportation is inextricably intertwined with the state criminal justice process, and that it is a unique and extraordinarily severe penalty of a state criminal conviction (*see Peque*, 22 NY3d at 191-192). Thus, only those federal consequences of a state conviction that are determined to be sufficiently severe will compel a state to extend the right to a jury trial. To be sure, state legislatures may define their own criminal laws (*see* Garcia, J., dissenting op at 516-517), and we look most often to the penalties imposed by such legislatures when conducting a right to a jury trial analysis because those are the penalties most immediately inflicted upon a convicted defendant. However, this does not mean that state legislatures define the scope of the Sixth Amendment right to a jury trial to the exclusion of penalties imposed upon state defendants by the federal government. We have no occasion today to identify or pass on which consequences may or may not so qualify; it suffices to say that our dissenting colleague's concern that our holding today will have "far-reaching" consequences beyond the deportation context is overstated (*see* Garcia, J., dissenting op at 514).

when charged with an otherwise deportable offense.[8] Further, we have previously rejected the People's contention that the purported uncertainty of deportation renders it too speculative a basis upon which to award Sixth Amendment protection (*see Peque*, 22 NY3d at 193).

In addition, we recognize that our holding today will obligate New York courts, in the narrow context of cases involving CPL 340.40-mandated nonjury trials of lesser misdemeanors in New York City, to determine the potential immigration consequences associated with pending charges, and we are mindful of the People's concerns regarding the practicalities of litigating a defendant's immigration status.[9] In this regard, we emphasize that it is the defendant's burden to overcome the presumption that the crime charged is petty and establish a Sixth Amendment right to a jury trial (*see Blanton*, 489 US at 543; *Nachtigal*, 507 US at 3).[10] In the event the parties disagree as to the potential immigration consequences of a conviction, we are confident that our courts are competent to resolve such questions as they are presented. In this regard, "[t]here is no dearth of law on the subject," including "decisions of the Board of Immigration Appeals . . . , cases from other jurisdictions, and guidance provided by federal agencies charged with administration of admission and exclusion of persons to the United States" (*Bado*, 186 A3d at 1260-1261). Ultimately, "[e]ven if some judicial efficiency might be lost, in the weighing of harms and benefits on a constitutional scale, this remote possibility is not a determinative factor" (*id.* at 1262).

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8. Contrary to our dissenting colleague's suggestion (*see* Garcia, J., dissenting op at 512-513) consideration of deportation as a penalty for Sixth Amendment purposes maintains the proper objective—rather than subjective—focus on the relevant legislatures' views of the particular offense as being either petty or serious based on the maximum authorized penalty for that particular offense. In that respect, inclusion of deportation in the right to a jury trial analysis is plainly distinguishable from consideration of the aggregate prison term facing a defendant who is charged with multiple petty offenses, as "[t]he fact that [a defendant] was charged with [more than one] count[ ] of a petty offense does not revise the legislative judgment as to the gravity of that particular offense" (*Lewis v United States*, 518 US 322, 327 [1996]).

9. We note that federal immigration authorities are statutorily obligated to respond to requests by state officials to verify or ascertain an individual's citizenship or immigration status (*see* 8 USC § 1373 [c]; *Arizona v United States*, 567 US 387, 412 [2012]).

10. Although defense attorneys may caution clients against revealing their immigration status in court, it is a defendant's choice whether to do so in support of an application for a jury trial.

As the Supreme Court has observed, "commonly accepted views of the severity of punishment by imprisonment may become so modified that a penalty once thought to be mild may come to be regarded as so harsh as to call for the jury trial" (*Clawans*, 300 US at 627). It is now beyond cavil that the penalty of deportation is among the most extreme and that it may, in some circumstances, rival incarceration in its loss of liberty (*see Padilla*, 559 US at 360; *Peque*, 22 NY3d at 192). Accordingly, we hold that a noncitizen defendant charged with a deportable crime is entitled to a jury trial under the Sixth Amendment, notwithstanding that the maximum authorized sentence is a term of imprisonment of six months or less.

V.

[2] Here, defendant asserted that the crimes with which he was charged included deportable offenses and that, as a noncitizen, a resulting conviction would render him deportable. The People did not challenge either of these assertions.[11] Defendant is correct that at least one of the charges lodged against him—criminal obstruction of breathing or blood circulation (*see* Penal Law § 121.11)—qualified as a deportable offense. A "crime of domestic violence" includes "any crime of violence" against, as relevant here, "an individual with whom the person shares a child in common" (8 USC § 1227 [a] [2] [E] [i]). There is sufficient authority from which we may conclude that criminal obstruction of breathing or blood circulation is a crime of violence as it categorically "has as an element the use, attempted use, or threatened use of physical force against the person or property of another" (18 USC § 16 [a]; *see* Penal Law § 121.11; *Johnson v United States*, 559 US 133, 140 [2010]; *Leocal v Ashcroft*, 543 US 1, 11 [2004]). Further, federal case law indicates that conviction of this crime, under these circumstances, would render a noncitizen deportable (*see* 8 USC §§ 1227 [a] [2] [E] [i]; 1229b [b] [1] [C]; *Hernandez-Zavala v Lynch*, 806 F3d 259, 267 [4th Cir 2015]; *Bianco v Holder*, 624 F3d 265, 272 [5th Cir 2010]; *Matter of Estrada*, 26 Immigration & Naturalization Decision 749, 751 [Bd of Immigration Appeals 2016]). The record, therefore, establishes that defend-

11. The People claim that it was subsequently discovered that defendant was deportable, notwithstanding his conviction, due to his unlawful entry into the country. However, the trial court was unaware of this when it denied defendant's motion for a jury trial, and it was not a basis of that court's decision (*see People v LaFontaine*, 92 NY2d 470, 473 [1998]).

ant, a noncitizen, was charged with a crime carrying the penalty of deportation, rendering the offense a serious one, and the trial court's refusal to grant defendant's request for a jury trial violated his Sixth Amendment right. Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

GARCIA, J. (dissenting). In my view, the possibility that conviction may lead to deportation does not transform an otherwise "petty" offense into a "serious" one for purposes of the right to a jury trial under the Sixth Amendment. Federal immigration law should not override the New York State Legislature's view of the seriousness of the charged offense, as expressed by the maximum penalty authorized. Accordingly, I respectfully dissent.

I.

As the majority makes clear, the "right to a jury trial does not extend to every criminal proceeding" (*see* majority op at 495 [internal quotation marks omitted]). The Sixth Amendment distinguishes between "serious" and "petty" offenses (*see Baldwin v New York*, 399 US 66, 68 [1970] [noting a "line" exists "between 'petty' and 'serious' " offenses "for purposes of the Sixth Amendment right to jury trial"]). Those accused of a "serious" crime have a right to a jury trial under the Sixth Amendment; those accused of "petty" crimes do not (*see id.*). The Supreme Court has drawn a bright line for crimes with statutory maximums of more than six months in prison: such crimes are always "serious" for purposes of the Sixth Amendment (*id.* at 73-74). Crimes that do not clear the six-month imprisonment threshold are "presumptively petty" (*United States v Nachtigal*, 507 US 1, 3 [1993] [internal quotation marks omitted]).

That presumption can be overcome, however, in the "rare situation" when "additional statutory penalties" are "so severe that they clearly reflect a legislative determination that the offense in question is a 'serious' one" (*Blanton v North Las Vegas* 489 US 538, 543 [1989]). This penalty analysis is objective: it looks solely at "other penalties" which are "attache[d] to the offense" as a measure of "seriousness" (*id.* at 542). In other words, we assess whether a "*particular* legislature deemed a *particular* offense serious" (*Nachtigal*, 507 US at 4 [emphasis added and internal quotation marks omitted]).

II.

In my view, the analysis should focus on the penalties imposed by the New York State Legislature for the specific offense at issue. The majority justifies going beyond state borders by characterizing the Supreme Court's analysis as looking to government-imposed penalties, regardless of which sovereign imposes them (majority op at 504). Although "nongovernmental"504 consequences are excluded by the Supreme Court's precedent, penalties resulting from "state action"—in this case, the risk of a future federal collateral consequence—must be considered (*id.* at 505 n 5 [internal quotation marks omitted]). I disagree.

While it is true the Supreme Court has not considered federal collateral consequences in the context of the right to a jury trial (*id.* at 504), the cases have consistently emphasized the role of the local legislature in determining the seriousness of the particular offense at issue. Under the Court's precedent, "[a]n offense carrying a maximum prison term of six months or less is presumed petty, unless the legislature has authorized additional statutory penalties so severe as to indicate that *the legislature* considered the offense serious" (*Lewis v United States*, 518 US 322, 326 [1996] [emphasis added]). The Supreme Court cases considering "additional penalties" contemplate only those imposed by the same sovereign that defined the crime. For example, in *Blanton*, the Court considered the consequences imposed by Nevada for driving under the influence of alcohol (489 US at 544 ["Considering the additional statutory penalties as well, we do not believe that the Nevada Legislature has clearly indicated that DUI is a 'serious' offense"]; *see also Nachtigal*, 507 US at 3). Indeed, as the majority itself states, it is "[t]he penalty authorized by the law of the locality" that is key to determining the judgment of that sovereign as to the seriousness of the crime (majority op at 496, quoting *Duncan v Louisiana*, 391 US 145, 160 [1968]).

The majority acknowledges that not looking at how other states classify similar crimes is "eminently rational" (majority op at 505). Congress is, however, different: "[t]he salient fact is that a legislative body authorized to attach a penalty to a state conviction has determined that the crime warrants the onerous penalty of deportation" (majority op at 504). In addition to being at odds with basic principles of federalism (*see infra* section IV), it also strains credulity. Does every "violation of . . . any law . . . relating to a controlled substance" (8 USC § 1227 [a] [2] [B] [i])—deportable under federal immigration laws—in fact "stir[ ] community outrage" (majority op at 504) and transform that violation into a serious crime? To import federal collateral consequences distorts the constitutional analysis beyond recognition: the reason we look to the penalty authorized by the local legislature is because that "legislature has included *within the definition* of the crime itself a judgment about the seriousness of the offense" (*Frank v United States*, 395 US 147, 149 [1969] [emphasis added]). Only that local legislature is capable of making the relevant judgment.

Recognizing this, most state courts have declined to consider federal consequences in the penalty analysis. As one state court put it, "the existence of a *federal* statute says nothing about how the [state] Legislature views the offense" (*State v Race*, 413 P3d 799 [Kan Ct App 2018] [table; text at 2018 WL 1247211, *3, 2018 Kan App Unpub LEXIS 167, *9 (2018)] [internal quotation marks omitted]). From this perspective, "restrictions on possession of a firearm and deportation . . . aris[ing] out of federal law" have been rejected as bases to elevate a state "petty" offense to a "serious" one (*Amezcua v Eighth Jud. Dist. Ct. of State ex rel. County of Clark*, 130 Nev 45, 50, 319 P3d 602, 605 [2014]; *see also State ex rel. McDougall v Strohson [Cantrell]*, 190 Ariz 120, 125, 945 P2d 1251, 1256 [1997] ["(W)e do not consider the risk of deportation in determining whether the defendant is entitled to a jury trial on the state charge"]). This approach hews to the Supreme Court's instructions in *Blanton*, *Nachtigal*, and *Lewis* (*cf. United States v Hernandez*, 276 Fed Appx 291, 294 [4th Cir 2008] ["(T)he Supreme Court expressly instructs that laws passed by different legislatures are irrelevant to the question whether a particular legislature deemed a particular offense serious" (internal quotation marks omitted)]).

Relying on language about the severity of deportation from the Supreme Court's decision in *Padilla v Kentucky* (559 US 356 [2010]) and this Court's holding in *People v Peque* (22 NY3d 168 [2013]), the majority instead follows the lead of the D.C. Court of Appeals, holding that immigration consequences transform a state "petty" offense into a "serious" one (*see Bado v United States*, 186 A3d 1243 [DC 2018]). As set out below, this approach confuses different constitutional tests, which leads to some incongruous results.

III.

Padilla and *Peque*—both focusing on what information must be given to a defendant prior to entry of a knowing and intelligent plea—do not support a right to a jury trial for otherwise "petty" crimes. In *Padilla*, the Supreme Court determined that a lawyer fell below the "constitutionally reasonable professional assistance required under *Strickland*" when he or she failed to advise their client about immigration consequences of a potential plea (*Padilla*, 559 US at 365 [internal quotation marks omitted]; *see also McMann v Richardson*, 397 US 759, 766 [1970] [guilty plea "must be an intelligent act done with sufficient awareness of the relevant circumstances and likely consequences" (internal quotation marks omitted)]). *Strickland v Washington*, in turn, requires determining whether "counsel's assistance was reasonable considering *all* the circumstances" (466 US 668, 688 [1984] [emphasis added]). And so—after surveying "the practice and expectations of the legal community" (*Padilla*, 559 US at 366)—*Padilla* held it was "quintessentially the duty of counsel to provide her client with available advice about an issue like deportation" (*id.* at 371). The analysis focuses on whether the defendant received "essential advice specific to his or her personal circumstances" which "enables the defendant to make an intelligent choice between a plea and trial" (*Peque*, 22 NY3d at 190-191 [describing *Padilla*]; *see also Richardson*, 397 US at 766). *Padilla* was decided under a standard that required consideration of (1) a defendant's individual circumstances as well as (2) a broad survey of "practice and expectations of the legal community" (559 US at 366). In that context, the Court noted, "[w]e . . . have never applied a distinction between direct and collateral consequences to define the scope of constitutionally reasonable professional assistance required under *Strickland*" (*Padilla*, 559 US at 365 [internal quotation marks omitted]).

Peque's due process analysis similarly focused on information required by the specific defendant. In *Peque*, a majority of this Court held that "deportation constitutes such a substantial and unique consequence of a plea that it must be mentioned by the trial court to a defendant as a matter of fundamental fairness" (22 NY3d at 193). This is because "the court has an independent obligation to ascertain whether the defendant is pleading guilty voluntarily" (*id.*). The rule in *Peque* was made to ensure a "defendant understands the most fundamental and direct consequences of the plea" (*id.* at 191).

The penalty analysis with respect to a right to a jury trial is quite different. Rather than focus on the *defendant's* knowledge of the consequences of waiving a constitutional right, the determining factor is the *legislature's* view of the seriousness of the crime or how "the Legislature categorized the offense" (*Lewis*, 518 US at 327). In fact, the Supreme Court has explicitly rejected consideration of a defendant's circumstances as part of the penalty analysis: "an objective indicatio[n] of the seriousness with which society regards the offense . . . is used to determine whether a jury trial is required, not the particularities of an individual case" (*id.* at 328 [internal quotation marks omitted]). Accordingly, "[w]here we have a judgment by the legislature that an *offense* is 'petty,' we do not look to the prison term faced by a *particular defendant* who is charged with more than one such petty offense" (*id.*). The Supreme Court is unequivocal: the analysis focuses solely on whether a "particular legislature deemed a particular offense serious" (*Nachtigal*, 507 US at 4 [internal quotation marks omitted]).

Even before *Blanton*, this Court recognized the dangers of "a subjective standard" tied to individual defendants (*Matter of Morgenthau v Erlbaum*, 59 NY2d 143, 154 [1983]). Such a standard we said would create a "lack of predictability and consistency in determining when a jury trial would be granted" and completely divorce the right from the "offense charged" (*id.*). Nothing in *Padilla* or *Peque* requires changing this view—a view that has consistently been reaffirmed by the Supreme Court (*see Blanton*, 489 US at 545 n 11 ["The question is . . . whether (a state)" treats a crime as a " 'serious' offense"]; *Nachtigal*, 507 US at 3 ["The best indicator of society's views is the maximum penalty set by *the* legislature" (emphasis added)]; *Lewis*, 518 US at 326 ["(M)aximum penalty attached to the offense . . . is considered the most relevant . . . to assess the character of an offense, because it reveals *the* legislature's judgment about the offense's severity" (emphasis added)]).[1] Although the majority represents it is maintaining the "proper objective . . . focus" (majority op at 507 n 8), the application of its test turns on the unique characteristics of the defendant, namely that defendant's immigration status.

Further proof of the inapplicability of the *Padilla* analysis to the penalty analysis lies in the remedy. In *Padilla*, recognizing

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1. The majority justifies its departure, in part, by "not[ing] that nothing in the language of the CPL or its history evinces a New York legislative determination that deportation is not a serious penalty" (majority op at 506 n 6 [emphasis omitted]). But, in *Erlbaum*, we said that "the Legislature must be presumed to have weighed public opinion and history, and to have been aware of the civil implications of conviction" (59 NY2d at 154).

the complexities of immigration law, and focused only on the defendant's understanding of the consequences of his actions, the Supreme Court stated that "[w]hen the law is not succinct and straightforward . . . a criminal defense attorney need do no more than advise a noncitizen client that pending criminal charges may carry a risk of adverse immigration consequences" (559 US at 369). Likewise, in *Peque*, we instructed trial courts to "mention" the possibility of deportation (22 NY3d at 194). As the majority makes clear, that approach does not suffice here. Rather, the court must determine what the exact consequences are to the defendant under federal immigration law. This may involve courts appointing their own "expert advisor[s] on immigration law" (*Bado*, 186 A3d at 1261) or having courts call federal immigration officials (majority op at 507 n 9).[2] The fact that such measures are seriously proposed demonstrates how far afield the majority's rule has strayed from the Supreme Court's precedents.

The majority's subjective rule will likely prove unworkable. In the present case, although not raised before the trial court when it denied a jury trial, the defendant appears to be a visa overstay, making him deportable (*see* majority op at 508 n 11). Is the enhanced "penalty" under the majority's rule the difference in the conditions that attach for removal after conviction?[3] Does the bar on application for reentry make a crime "serious" for a defendant who is otherwise deportable? These questions are largely left unanswered. Perhaps they are unanswerable. In any event, they need not be addressed under the Supreme Court's analysis that remains fixed on the state legislature's view of the seriousness of the crime charged.

Finally, using *Padilla* and *Peque* to expand the penalty framework to include potential consequences under federal immigration law is an approach that will have far-reaching effects. The majority finds this concern "overstated," while at the same time making clear that we leave for another day the determination as to which federal consequences are "sufficiently severe" to compel a jury trial for class B misdemeanors in New York City (majority op at 506 n 7). Future courts will be left to

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2. As the majority makes clear, if you call Immigration and Customs Enforcement, they will certainly respond.

3. The *Bado* court noted the "harsher substantive and procedural requirements" that apply when deportation is based upon criminal conviction versus " 'regulatory' deportations, such as when a person is out of status" (186 A3d at 1254 and n 22).

explain how the loss of public housing because of a simple drug possession misdemeanor (*see* 42 USC § 1437d [l] [6]) does not transform that offense into a "serious" crime requiring trial by jury (*see Matter of Santiago-Monteverde*, 24 NY3d 283, 292 [2014] ["Affordable housing is an essential need"]). Now that the door has been opened, "singl[ing] . . . out" deportation "for special treatment" will be hard to explain "when . . . so many civil laws today impose so many similarly severe sanctions" (*Sessions v Dimaya*, 584 US —, —, 138 S Ct 1204, 1231 [2018, Gorsuch, J., concurring in judgment]).

IV.

Allowing federal immigration law to override the intention of New York Legislature raises several other troubling issues. The "petty" offense exception is deeply rooted in our legal tradition. "[F]or centuries past . . . justices of the peace" have been allowed to try "minor and statutory police offenses"—what we now commonly refer to as "minor or petty offenses" (*Callan v Wilson*, 127 US 540, 552 [1888]). "[D]ividing behavior into serious affairs and minor misdeeds" required (and still requires) an "exercise of moral judgment" (Felix Frankfurter & Thomas G. Corcoran, *Petty Federal Offenses and the Constitutional Guaranty of Trial by Jury*, 39 Harv L Rev 917, 980 [1926]). As Justice Frankfurter explained, these moral judgments were traditionally made by the "community" with an eye towards factors including "the wide repetition of the act" which "rais[ed] practical problems of enforcement" (*id.*).

The Supreme Court has grounded the modern "petty" offense exception in such concerns. Flowing from historical practice, the exception preserves "benefits to efficient law enforcement and simplified judicial administration resulting from the availability of speedy and inexpensive nonjury adjudications" (*Duncan*, 391 US at 160). In other words, the "petty" offense exception to the Sixth Amendment gives states room below the six-month constitutional line to appropriately weigh the "benefits that result from speedy and inexpensive nonjury adjudications" (*Blanton*, 489 US at 543 [internal quotation marks omitted]; *see also* Jeff E. Butler, *Petty Offenses, Serious Consequences: Multiple Petty Offenses and the Sixth Amendment Right to Jury Trial*, 94 Mich L Rev 872, 875 [1995] ["(P)etty-offense exception . . . follows directly from the need for efficient allocation of the right to jury trial"]). In fact, as a result of the Supreme Court's adoption of the bright-line six-month imprisonment test, a number of states lowered the penalty imposed for certain misdemeanor offenses in order to ensure they remained "petty" for purposes of the right to a jury trial (*see Baldwin*, 399 US at 71; *see also* 6 Wayne R. LaFave, Jerold H. Israel, Nancy J. King & Orin S. Kerr, Criminal Procedure § 22.1 [b] [4th ed] [*Blanton* standard meant to provide state legislatures "an easy way to avoid jury trials for less serious offenses . . . in part to spare the costs associated with jury trials"]).

New York has made a similar calculation. As we have recognized, the standard set in CPL 340.40 is tied directly to the concerns the "petty" offense exception is designed to address: "[e]specially in New York City, with its high volume of misdemeanor cases, [CPL 340.40] furthers the important public interest of effective judicial administration" (*People v Urbaez*, 10 NY3d 773, 775 [2008]; *see also People v Moses*, 57 Misc 2d 960, 968-969 [Crim Ct, NY County 1968] ["To be a Judge in the New York City Criminal Court is . . . a challenge of the highest degree. This court is the most overworked and understaffed court of any community"]). Our system of government entrusts the "powers which 'in the ordinary course of affairs, concern the lives, liberties, and properties of the people' " to "governments more local and more accountable than a distant federal bureaucracy" (*National Federation of Independent Business v Sebelius*, 567 US 519, 536 [2012], quoting Madison, Federalist No. 45). The administration of justice in New York, within the bounds allowed by the Sixth Amendment, should be left to a "government[ ] more local"—and not ceded to the possibility of action by a "distant federal bureaucracy" enforcing federal immigration laws (*id.*).

The majority is forthright in its view that Congress' "legislative determination . . . is dispositive to the analysis here" (majority op at 504). Put another way, the majority has explicitly designated Congress as the relevant authority for purposes of determining when a jury trial is warranted for a New York crime. Yet "the Constitution has never been understood to confer upon Congress the ability to require the States to govern according to Congress' instructions" (*New York v United States*, 505 US 144, 162 [1992]) or to permit Congress to "commandee[r] the legislative processes of the State[ ]" (*Murphy v National Collegiate Athletic Assn.*, 584 US —, —, 138 S Ct 1461, 1477 [2018] [internal quotation marks omitted and first modification in original]). This is especially so when it comes to a State's criminal laws: "[i]n our federal system, States possess primary authority for *defining* and enforcing criminal laws, including those prohibiting the gravest crimes" (*Luna Torres v Lynch*, 578 US —, — n 9, 136 S Ct 1619, 1628 n 9 [2016] [internal quotation marks omitted and emphasis added]).

Today's decision, unfortunately, violates this basic constitutional directive. No action by the state legislature can change the effects of federal immigration law. No reduction in penalties imposed by the State can counteract that federal "determination." Moreover, any change wrought by Congress in the immigration law will directly affect a defendant's right to a jury trial in New York. Adding to, or deleting from, the list of deportable offenses will now be tantamount to a decision by Congress on the "seriousness" of that crime for Sixth Amendment purposes.

V.

There is now a split in terms of how the Sixth Amendment right to jury should be understood (*see supra* at 510-511), opening the door to further litigation, in both state and federal courts, over exactly which collateral consequences may make an otherwise "petty" offense "serious." It is doubtful that importing federal immigration law into the penalty analysis was something the Supreme Court intended when it made the Sixth Amendment right to trial by jury for "serious" offenses applicable to the states. In the end, the Supreme Court has the ultimate authority to settle this issue. For the reasons set forth above, it should do so.

I respectfully dissent.

Wilson, J. (dissenting). The majority's opinion proceeds on the following seven steps: (1) the Sixth Amendment to the United States Constitution guarantees a jury trial for all offenses that are "serious" rather than "petty"; (2) "seriousness" is measured by the severity of the penalty associated with the offense; (3) the penalty to be considered is not limited to the term of incarceration, but encompasses other governmentally-imposed consequences; (4) deportation is such a penalty; (5) deportation is severe; (6) even though deportation is technically civil, it is difficult to classify as civil or criminal; and (7) even though the penalty of deportation is imposed by the federal government, not the state government under whose laws the defendant is being prosecuted, it is nevertheless equally cognizable.

That construct ignores or obscures one insuperable problem: the penalty for violation of United States immigration laws includes deportation, and deportation proceedings have never been deemed to entitle a noncitizen to anything more than an administrative hearing—certainly not a jury trial. Thus, under the majority's decision, an undocumented alien may be deported by an administrative proceeding in front of an immigration judge, who is an employee of the Department of Justice, but if that same undocumented alien commits an act of domestic violence, the prospect that an immigration judge will subsequently deport him entitles him to a jury trial. Put differently, if the severity of deportation entitles one to a jury trial under the Sixth Amendment, the entire federal system of removal of undocumented aliens is unconstitutional. If so, more than a century of United States Supreme Court decisions must be discarded. A certain Court can so hold, just not this one.

In *Fong Yue Ting v United States*, the Court concluded: "the provisions of the Constitution, securing the right of trial by jury, and prohibiting unreasonable searches and seizures, and cruel and unusual punishments, have no application" to proceedings to exclude or expel noncitizens (149 US 698, 730 [1893]). That proposition has been consistently reaffirmed by the United States Supreme Court in numerous decisions (*see e.g. Bugajewitz v Adams*, 228 US 585, 591 [1913] ["It is thoroughly established that Congress has power to order the deportation of aliens whose presence in the country it deems hurtful. The determination by facts that might constitute a crime under local law is not a conviction of crime, nor is the deportation a punishment; it is simply a refusal by the Government to harbor persons whom it does not want. The coincidence of the local penal law with the policy of Congress is an accident"]; *Bridges v Wixon*, 326 US 135, 153 [1945] ["The person to whom the power to deport has been entrusted is the Attorney General or such agency as he designates. 8 U. S. C. § 155. He is an original trier of fact on the whole record. It is his decision to deport an alien that Congress has made 'final' "]; *INS v Lopez-Mendoza*, 468 US 1032, 1038-1039 [1984] ["A deportation proceeding is a purely civil action to determine eligibility to remain in this country, not to punish an unlawful entry, though entering or remaining unlawfully in this country is itself a crime. 8 U. S. C. §§ 1302, 1306, 1325 . . . See 8 U. S. C. §§ 1251, 1252(b); *Bugajewitz* v. *Adams*, 228 U. S. 585, 591 (1913); *Fong Yue Ting* v. *United States*, 149 U. S. 698, 730

(1893) . . . The purpose of deportation is not to punish past transgressions but rather to put an end to a continuing violation of the immigration laws"]; *Nijhawan v Holder*, 557 US 29, 42 [2009] ["a deportation proceeding is a civil proceeding in which the Government does not have to prove its claim 'beyond a reasonable doubt' "]).

I do not dispute that deportation is extraordinarily severe, particularly for persons who have built a life in this country. Some have families here, some came here themselves as children, and know nowhere else. Indeed, dissenters in the controlling Supreme Court cases have sometimes noted that severity as a reason to question the prevailing doctrine,[1] and commentators have suggested that *Padilla* may be a sign that the Supreme Court will abandon or substantially modify that doctrine.[2] But if the severity of deportation itself is sufficient to trigger the Sixth Amendment's right to a jury trial, I see no principled distinction to allow deportation proceedings themselves to occur outside of article III courts with the full panoply of constitutional rights attendant thereto. That is not the state of federal law today; it has been to the contrary for well over a century. We are bound to follow the United States Supreme Court's interpretation of the Sixth Amendment, which holds that despite its severity, deportation does not activate the Sixth Amendment's right to a jury trial.

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1. *See e.g. Fong Yue Ting*, 149 US at 740 (Brewer J. dissenting) ("Every one knows that to be forcibly taken away from home, and family, and friends, and business, and property, and sent across the ocean to a distant land, is punishment, and that oftentimes most severe and cruel"); *Jordan v De George*, 341 US 223, 243 (1951, Jackson J., dissenting) ("Deportation proceedings technically are not criminal; but practically they are for they extend the criminal process of sentencing to include on the same convictions an additional punishment of deportation. If respondent were a citizen, his aggregate sentences of three years and a day would have been served long since and his punishment ended. But because of his alienage, he is about to begin a life sentence of exile from what has become home, of separation from his established means of livelihood for himself and his family of American citizens. This is a savage penalty and we believe due process of law requires standards for imposing it as definite and certain as those for conviction of crime"); *see also Galvan v Press*, 347 US 522, 531 (1954, Frankfurter, J.) (writing, in dicta, "since the intrinsic consequences of deportation are so close to punishment for crime, it might fairly be said also that the *ex post facto* Clause, even though applicable only to punitive legislation, should be applied to deportation").

2. *See e.g.* Anita Ortiz Maddali, *Padilla v. Kentucky: A New Chapter in Supreme Court Jurisprudence on Whether Deportation Constitutes Punishment for Lawful Permanent Residents?*, 61 Am U L Rev 1 (Oct. 2011); Peter L. Markowitz, *Deportation Is Different*, 13 U Pa J Const L 1299 (June 2011).

One further item bears mention. The problem created by this case arises from the peculiar statute governing the right to a jury trial in B misdemeanors, found in CPL 340.40 (2). All persons in New York State are entitled to a jury trial if charged with a B misdemeanor, unless they reside in New York City, in which case they have no such right. Were the legislature to extend that right to all New Yorkers, the problems underlying this issue would vanish.

Accordingly, I dissent.

Chief Judge DIFIORE and Judges RIVERA, FAHEY and FEINMAN concur; Judge GARCIA dissents and votes to affirm in an opinion; Judge WILSON dissents in a separate dissenting opinion.

Order reversed and a new trial ordered.

[118 NE3d 191, 93 NYS3d 652]

In the Matter of Steven G. Mancini, Appellant, v Office of Children and Family Services et al., Respondents. Workers' Compensation Board, Respondent.

Argued November 13, 2018; decided December 11, 2018

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 29, 2017. The Appellate Division order, insofar as appealed from, affirmed so much of a decision of the Workers' Compensation Board as had, in awarding workers' compensation benefits pursuant to Workers' Compensation Law § 15 (3) (v) effective on July 21, 2014, capped those benefits at 275 weeks "according to and subject to the limitations of the provisions of [Workers' Compensation Law] § 15(3)(w)."

Matter of Mancini v Office of Children & Family Servs., 151 AD3d 1494, affirmed.

HEADNOTE

Workers' Compensation — Limitation of Right to Compensation — Durational Limit on Additional Compensation Benefits

Awards for additional compensation under Workers' Compensation Law § 15 (3) (v) to certain permanently partially disabled workers who have exhausted their schedule benefits are subject to the durational limits contained in section 15 (3) (w), which sets forth the maximum number of weeks a claimant may receive payment based on percentage of lost wage-earning capacity. Depending on the nature of the injury, a worker who suffers a permanent partial disability typically qualifies for either a "schedule loss of use" award for an injury to one of the body parts or senses listed in section 15 (3) (a)-(u), or paragraph (w)'s "non-schedule" benefits for workers who suffer injuries not listed. Under section 15 (3) (v), those who suffer a 50% or greater loss or loss of use of an arm, leg, hand or foot can apply for additional compensation after the expiration of the schedule award if they satisfy certain conditions. Paragraph (v), without qualification, incorporates by reference paragraph (w), stating that "additional compensation should be determined in accordance with paragraph w." The use of the term "compensation," defined as "the money allowance payable" (§ 2 [6]), contemplates the application of any and all parts of paragraph (w) that impact the overall benefit owed, including the number of weeks that benefits will be paid. Under the plain language of paragraph (v), additional compensation awards are calculated pursuant to the formula and durational provisions of paragraph (w), terminating earlier if or when a claimant becomes eligible for age-based Social Security benefits. The legislative history supports this interpretation, as it suggests that paragraph (v) was enacted to give a limited subset of severely injured schedule award recipients an opportunity to apply for additional compensation that would place them roughly on par with non-schedule benefit recipients. By later adding the durational component to paragraph (w), the legislature sought to curtail costs and remedy unfairness resulting from the fact that only one group had been eligible for open-ended benefits.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Workers' Compensation §§ 383, 398, 415.
MCKINNEY'S, Workers' Compensation Law §§ 2 (6); 15 (3) (v), (w).
NY JUR 2d Workers' Compensation §§ 869, 878, 919, 921–922.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Social Security; Workers' Compensation.

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POINTS OF COUNSEL

Mraz & Gaud, PLLC, Albany (*Amina Karic* of counsel), for appellant. Workers' Compensation Law § 15 (3) (v) benefits are not subject to the durational limitations of Workers' Compensation Law § 15 (3) (w). (*B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Robinson v County of Broome*, 301 NY 524; *People v Estreich*, 297 NY 910; *Clason v Baldwin*, 129 NY 183; *Grich v Wood & Hyde Leather Co., Inc.*, 74 AD2d 183; *Matter of Level 3 Communications, LLC v Clinton County*, 144 AD3d 115, 29 NY3d 918; *Matter of Fox v Crosbie-Brownlie, Inc.*, 284 AD2d 42; *Matter of Lynch v Board of Educ. of City of N. Y.*, 1 AD2d 362.)

William O'Brien, General Attorney, State Insurance Fund, Albany (*Edward Obertubbesing* of counsel), for Office of Children and Family Services and another, respondents. I. The relevant statutes. (*Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Matter of Burgos v Citywide Cent. Ins. Program*, 148 AD3d 1493, 30 NY3d 990; *Matter of Drake v SRC, Inc.*, 148 AD3d 1412; *Matter of Rosales v Eugene J. Felice Landscaping*, 144 AD3d 1206, 29 NY3d 909.) II. The Appellate

Division decision that the durational limits of Workers' Compensation Law § 15 (3) (w) apply to an award of section 15 (3) (v) benefits is a proper interpretation and application of the statutory provisions and should be affirmed. (*Matter of Porter v D.A. Collins Constr.*, 28 AD3d 951; *Matter of Jones v Miron Lbr.*, 41 AD3d 997; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Murray v St. Joseph's Hosp.*, 232 AD2d 692; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Goodman v Pollio Dairy Prods.*, 147 AD2d 833, 74 NY2d 606; *Matter of Lane v Rotodyne, Inc.*, 66 AD2d 153; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539.)

Barbara D. Underwood, Attorney General, Albany (*Patrick A. Woods* and *Andrew D. Bing* of counsel), for New York State Workers' Compensation Board, respondent. The Workers' Compensation Board properly interpreted Workers' Compensation Law § 15 (3) (v). (*Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Ace Fire Underwriters Ins. Co. v Special Funds Conservation Comm.*, 28 NY3d 1084; *El-Dehdan v El-Dehdan*, 26 NY3d 19; *Pajak v Pajak*, 56 NY2d 394; *Griffin v Sirva, Inc.*, 29 NY3d 174; *Chauca v Abraham*, 30 NY3d 325; *Matter of Keser v New York State Elmira Psychiatric Ctr.*, 92 NY2d 100; *Matter of Greenberg v New York City Tr. Auth.*, 7 NY3d 139; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106.)

OPINION OF THE COURT

Chief Judge DiFiore.

Workers' Compensation Law § 15 (3) (v) permits certain permanently partially disabled workers who have exhausted their schedule awards to apply for "additional compensation." In this appeal, we must determine whether such awards are subject to the durational limits contained in section 15 (3) (w). We hold that they are and, therefore, affirm.

I.

In 2008, claimant Steven Mancini, then age 40, sustained injuries while working as an aide at a facility run by respondent Office of Children and Family Services (OCFS), whose carrier is respondent State Insurance Fund. The following year, a Workers' Compensation Law Judge (WCLJ) found that claimant had suffered a 50% loss of use of his left arm and was, therefore, entitled to a 156-week "schedule loss of use" award pursuant to Workers' Compensation Law § 15 (3) (a)-(u), the statutory schedule providing wage-based compensation for permanent partial disability arising from injury to certain body parts and for serious facial or head disfigurement. Claimant did not return to his OCFS position but completed a rehabilitation program and ultimately secured different employment. When his schedule loss of use award was exhausted, claimant applied for and was awarded additional compensation under Workers' Compensation Law § 15 (3) (v) (paragraph [v]). Paragraph (v) incorporates by reference the subsequent provision—Workers' Compensation Law § 15 (3) (w) (paragraph [w])—for calculation of the benefit available to a qualifying injured worker, stating that paragraph (v) "additional compensation shall be determined in accordance with paragraph w."

At the hearing on claimant's application, an issue arose regarding which portions of paragraph (w)'s framework for calculating benefits apply to an additional compensation award under paragraph (v). Respondent State Insurance Fund argued that additional compensation awards are subject to durational limits in paragraph (w) setting forth the maximum number of weeks a claimant may receive payment based on percentage of lost wage-earning capacity. The WCLJ determined that paragraph (v) incorporates only the paragraph (w) formula for determining the sum of each weekly payment and not the portion of paragraph (w) stating the number of weeks the benefits are to be awarded. However, respondent Workers' Compensation Board rejected that interpretation and concluded that paragraph (w)'s durational limits apply to paragraph (v) additional compensation awards. Following further proceedings, the Board ultimately determined, among other things, that claimant lost 37.5% of his wage-earning capacity and was thus entitled, based on the paragraph (w) calculation, to 275 weeks of additional compensation under paragraph (v) due to the injury to his arm. Claimant applied for reconsideration and/or full Board review, which was denied.

On cross appeals, the Appellate Division affirmed the Board's decision (151 AD3d 1494, 1496 [3d Dept 2017]). Citing pertinent legislative history and the plain text of paragraph (v), the Appellate Division rejected claimant's argument that paragraph (v) incorporates only paragraph (w)'s formula for determining a weekly payment (*id.*). The Appellate Division explained that "the statutory language does not prohibit application of [paragraph (w)] to the durational period of benefit payments" under paragraph (v) and thus concluded, among other things, that the Board's determination was rational (*id.*).

On claimant's appeal by leave of this Court, claimant argues that paragraph (v) incorporates only paragraph (w)'s formula for calculating the weekly payment amount and not paragraph (w)'s durational component setting forth the number of weeks that sum is paid. Respondents argue that paragraph (v) incorporates by reference the entirety of paragraph (w)'s framework for calculating benefits, including its durational limits. We agree with respondents.

II.

"As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Further, provisions of an integrated statutory scheme must be considered as a whole, with each component viewed in relation to the others (*Ace Fire Underwriters Ins. Co. v Special Funds Conservation Comm.*, 28 NY3d 1084, 1086 [2016], citing *Matter of Shannon*, 25 NY3d 345, 351 [2015]). Thus, in order to determine how additional compensation is to be calculated, we must review the plain text of paragraph (v) in the context of the workers' compensation benefit system for permanent partial disability. Our analysis therefore begins with an overview of Workers' Compensation Law § 15 (3), which provides the framework for determining permanent partial disability benefits.

Workers' Compensation Law § 15 "provides compensation for four different types of injury: permanent total disability, temporary total disability, permanent partial disability and temporary partial disability" (*Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348, 353 [2007], citing Workers' Compensation Law § 15 [1], [2], [3], [5]). A worker who suffers a permanent partial disability typically qualifies for one of two broad categories of primary award under Workers' Compensation Law § 15 (3)—referred to colloquially as a "schedule loss of use" award or a "non-schedule" benefit—depending on the nature of the injury (*see Matter of Raynor v Landmark Chrysler*, 18 NY3d 48, 54 n 2 [2011]).* "Schedule loss of use" awards for permanent partial disability are determined under Workers' Compensation Law § 15 (3) (a)-(u), which generally "assigns—as by a 'schedule'—a fixed number of lost weeks' compensation according to the bodily member [or sensory organ] injured" (*LaCroix*, 8 NY3d at 353). A worker who suffers permanent partial disability as a result of loss (or loss of use) of one of the listed body parts or senses is entitled to an award amounting to a weekly payment of two thirds of the average weekly wages prior to the injury for the number of weeks attributed to their type of injury in the schedule (*see e.g.* Workers' Compensation Law § 15 [3] [a] [loss of an arm entitles a claimant to 312 weeks of benefits]). Paragraph (w) of section 15 (3) provides what have been dubbed "non-schedule" benefits for workers with permanent partial disabilities arising from injuries not listed in section 15 (3) (a)-(u). Under paragraph (w), the weekly compensation award is two thirds of the difference between the injured worker's average weekly wages prior to the injury and the worker's earning capacity after the injury. Paragraph (w) also specifies the number of weeks the worker will receive that weekly sum, based on the percentage of lost wage-earning capacity. For example, the number of weeks that benefits may be received is capped at 525 where the loss of earnings is greater than 95% (*see* Workers' Compensation Law § 15 [3] [w] [i]).

Under paragraph (v), a subcategory of schedule award recipients—those who suffer a 50% or greater loss or loss of use of an arm, leg, hand or foot—can apply for "additional compensation" after the expiration of the schedule award (Workers' Compensation Law § 15 [3] [v]). As we explained in *Matter of Ramroop v Flexo-Craft Print., Inc.*, to be entitled to additional compensation "claimant[s] must fulfill two requirements": establish that their impairment of wage-earning capacity is due solely to the injury and participate in a Board-approved rehabilitation program (or cooperate with efforts to institute such a program and be deemed by the Board not a

* Although under the statute, taken at "face value, . . . all awards for disability [could be said to] constitute 'schedule' awards," the term " 'schedule award' . . . evolved [long ago] as a much narrower phrase of art encompassing compensation allowed for specified permanent partial disabilities in which the loss or the loss of use of a member of the body listed in [Workers' Compensation Law § 15 (3)] has occurred" (*Matter of Landgrebe v County of Westchester*, 57 NY2d 1, 6 [1982] [footnote omitted]).

candidate for rehabilitation) (11 NY3d 160, 167 [2008]). Paragraph (v) does not include a formula or schedule for determining the amount of additional compensation available, but states that "[s]uch additional compensation shall be determined in accordance with paragraph w of this subdivision"—the provision addressing calculation of non-schedule permanent partial disability benefits (Workers' Compensation Law § 15 [3] [v]). Lastly, paragraph (v) states that an additional compensation award "shall cease on the date the disabled employee receives or is entitled to receive old-age insurance benefits under the social security act" (Workers' Compensation Law § 15 [3] [v]).

Claimant asserts, despite the cross-reference to paragraph (w), that only a part of that paragraph—the formula for determining the weekly benefit—is applicable to additional compensation awards under paragraph (v). He therefore maintains that he is entitled to additional compensation until he is eligible for age-based Social Security benefits. But the plain text of paragraph (v) adopts, without qualification, paragraph (w)'s process for determining the size and scope of a disability award. Indeed, the term "compensation," used in paragraph (v), is broadly defined as "the *money allowance payable* to an employee or to his dependents" (Workers' Compensation Law § 2 [6] [emphasis added]). The use of this term thus contemplates the application of any and all parts of paragraph (w) that impact the overall benefit owed to the worker—such as language limiting the number of weeks that benefits will be paid. After all, the duration of weekly benefits affects the total amount of "the money allowance payable." Therefore, the plain text of paragraph (v) incorporates the entirety of paragraph (w)'s framework for calculating benefits, including both the paragraph (w) formula for determining a weekly benefit payment and the portion of that provision setting the maximum number of weeks the sum is to be paid.

Contrary to claimant's position, nothing in the language of paragraph (v) regarding termination of additional compensation upon eligibility for age-based Social Security benefits contradicts paragraph (w)'s durational restrictions or precludes their application to paragraph (v) recipients. By incorporating the entirety of paragraph (w)'s framework for calculating benefits, paragraph (v) provides additional compensation lasting a maximum number of weeks as a supplement to the schedule award the worker already received. Paragraph (v)'s requirement that such payment terminates if the worker becomes eligible for age-based Social Security payments (regardless of how many weeks have passed) merely places another limit, where applicable, on the additional compensation a claimant can receive. Put another way, once claimants are entitled to age-based Social Security benefits, they are no longer eligible to receive additional compensation even if they have not yet reached the maximum number of weeks applicable under paragraph (w). There is no inherent conflict between the weeks-based component of paragraph (w) and the termination provision. Here, for example, there is no overlap between the durational provisions and the termination provision. Claimant was 46 at the time of the additional compensation award, and his 275 weeks of payments will thus expire when he is 51—long before he will become eligible for age-based Social Security benefits.

Indeed, neither of the primary benefits that section 15 (3) provides are open-ended. Both schedule loss of use awards and non-schedule benefits continue for a maximum number of weeks, depending on the nature or severity of the worker's disability. Interpreting paragraph (v) to grant a subset of recipients open-ended benefits limited only by eligibility for age-based Social Security payments—an award that would potentially span their working lifetimes—would uniquely benefit that small group above all other permanent partial disability award recipients. There is no textual support for such an exceptional interpretation. Rather, under the plain language of paragraph (v), additional compensation awards are calculated pursuant to the formula and durational provisions of paragraph (w), terminating earlier if or when a claimant becomes eligible for age-based Social Security benefits.

III.

This conclusion is supported by the legislative history of the relevant provisions. When the legislature enacted paragraph (v) in 1970, it sought to address the disparity between the treatment of the two classes of beneficiaries receiving permanent partial disability compensation—schedule loss of use award recipients and non-schedule benefit recipients. Then—like now—workers receiving schedule loss of use awards under section 15 (3) (a)-(u) generally received benefits for a specific number of weeks that varied depending on which body part or sensory organ they injured. Since paragraph (v) did not yet exist, even employees who suffered very severe injuries entitling them to schedule awards—such as almost complete loss of an arm or leg—received an award of limited duration. However, at that point—unlike now—non-schedule benefits under paragraph (w) lasted potentially for life, as long as the employee's earning capacity was impaired and the employee could show the requisite attachment to the labor market (*see Raynor*, 18 NY3d at 54; *see also Burns v Varriale*, 9 NY3d 207, 216 [2007] [a permanently partially disabled claimant was required to "demonstrate that his or her reduced earning capacity (was) due to the disability, not age, general economic conditions or other factors unrelated to the disability" (internal quotation marks and citation omitted)]).

The legislature viewed this durational disparity as unfair and adopted paragraph (v) in 1970 to give a limited subset of severely injured schedule award recipients an opportunity to apply for additional compensation that would place them roughly on par with non-schedule benefit recipients. The Governor's Program Bill Memorandum noted there were "many documented cases of hardship and inequity" and stated that the "bill would remedy future similar situations" by "treat[ing] the most serious of the 'schedule awards' (loss of an arm, hand, leg or foot) in a fashion comparable to other forms of permanent partial disability" (Governor's Program Bill Mem No. 124 at 2, Bill Jacket, L 1970, ch 286). To that end, the legislature drafted paragraph (v) with an explicit and unlimited incorporation of paragraph (w), thus permitting those with serious schedule-award injuries to apply for an additional compensation award similar in scope to the benefits received by those with non-schedule injuries. To be sure, since paragraph (w) provided a potentially open-ended benefit at that point in time, by incorporating paragraph (w)'s calculation scheme in paragraph (v), the 1970 legislature achieved greater parity by providing paragraph (v) recipients with a similar potential to receive an extended benefit (subject to the paragraph [v] restriction that compensation terminate when the employee becomes eligible for age-based Social Security benefits).

However, in 2007, the legislature enacted workers' compensation reform legislation that "capped the number of weeks that a person is eligible to receive benefits for a non-schedule permanent partial disability" (*Raynor*, 18 NY3d at 54). In this respect, non-schedule benefits became comparable to most schedule awards, in that both types of primary award are now generally payable at most for a specified number of weeks based on the "schedule" or durational provisions set forth in the pertinent subsections of the statute. It is clear from the legislative history that the 2007 amendment of Workers' Compensation Law § 15 (3) (w) in particular was intended to reduce costs for employers and carriers (*see* Governor's Program Bill Mem No. 9, Bill Jacket, L 2007, ch 6, at 18, 2007 NY Legis Ann at 5-6; Assembly Introducer's Mem in Support, Bill Jacket, L 2007, ch 6 at 30-31). However, the legislative history also indicates that the amendment to paragraph (w) was—like the enactment of paragraph (v) in 1970—intended to create greater parity among the different classes of permanent partial disability benefit recipients (Governor's Program Bill Mem No. 9, Bill Jacket, L 2007, ch 6, at 16-17; Assembly Introducer's Mem in Support, Bill Jacket, L 2007, ch 6 at 30). Indeed, both the Governor's Program Bill Memorandum and Assembly Introducer's Memorandum reference the disparity in the then-existing statutory scheme, which "provide[d] for a schedule of benefits for certain injuries classified as 'permanent partial disabilities' but not for other injuries in the same classification, resulting in a set duration of benefits [only] for some claimants" (Bill Jacket, L 2007, ch 6 at 16, 30). Thus, by adding a durational component to paragraph (w), the legislature sought to curtail costs and remedy unfairness resulting from the fact that only one group had previously been eligible for potentially open-ended benefits.

In amending paragraph (w), the legislature necessarily altered the operation of paragraph (v), which expressly incorporates paragraph (w) without limitation. Claimant argues that, if the legislature intended to incorporate an additional durational component into the framework for calculating paragraph (v) awards, it could have explicitly stated this intent. But, there was simply no need for the legislature to add language to paragraph (v) to reflect changes in paragraph (w) because paragraph (v) already wholly incorporated paragraph (w)'s compensation regime.

Finally, we note that in 1970, when it enacted paragraph (v), and in 2007, when it amended paragraph (w) to impose durational restrictions, the legislature sought to reduce unfairness and create greater parity among different classes of permanent partial disability benefit recipients by reducing disparities between the scope of available benefits. Thus, under the current statutory scheme, claimants with permanent partial disabilities generally receive benefits that are capped at a maximum number of weeks. Adopting claimant's interpretation of the statute would effectively perpetuate the very unfairness that the legislature sought to eliminate, now by permitting only paragraph (v) claimants to receive extended benefits. Therefore, the Appellate Division correctly concluded that the durational provisions of paragraph (w) apply to paragraph (v) additional compensation awards and, thus, claimant's additional compensation benefits were properly computed by the Board.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Wilson, J. (dissenting). I see no ambiguity whatsoever in Workers' Compensation Law § 15 (3) (v) and (w). In paragraph (v), the legislature specified "additional compensation" to be provided to persons like Mr. Mancini, who suffered one of the four most severe scheduled losses (greater than 50% loss of use of a leg, arm, hand or foot), "[n]otwithstanding any other provision" of section 15 (3) (Workers' Compensation Law § 15 [3] [v]). Instead of following the legislature's clear command, the majority takes a durational provision that the legislature expressly limited to "all compensation payable under this paragraph"—paragraph (w)—and applies it to paragraph (v) (Workers' Compensation Law § 15 [3] [w]). That is no way to read a statute.

I.

For a set of itemized partial (>50%) permanent disabilities caused by workplace accidents, ranging in severity from loss of use of an arm (biggest award) to loss of use of one's fourth finger (smallest award; loss of use of your little finger is not severe enough to entitle you to a schedule loss of use award), the Workers' Compensation Law provides temporary benefits. In 1970, for the four most severe schedule loss of use award categories (loss of use of an arm, leg, hand or foot), the legislature enacted paragraph (v) to provide additional compensation to persons suffering one of those four injuries in the workplace. The paragraph (v) additional compensation does not start until the schedule loss of use payments have run out. For example, a person suffering a permanent partial loss of use of her leg would be entitled to 5½ years of schedule loss of use payments. When those payments stop, paragraph (v)'s additional compensation might begin. However, the additional compensation payments are subject to two qualifications that do not apply to the schedule loss of use payments. First, the permanent partial disability must be the sole cause of a current impairment in earning capacity, otherwise no additional compensation would be provided. Second, the additional compensation ends as soon as the person is eligible to receive Social Security benefits for old age.

Here is the relevant text of paragraph (v), with the determinative language italicized:

> "*Additional compensation* for impairment of wage earning capacity in certain permanent partial disabilities. *Notwithstanding any other provision of this subdivision*, additional compensation shall be payable for impairment of wage earning capacity *for any period* after the termination of an award under paragraphs a, b, c, or d, of this subdivision for the loss or loss of use of fifty per centum or more of a member, provided such impairment of earning capacity shall be due solely thereto. *Such additional compensation shall be determined in accordance with paragraph w of this subdivision[,] . . . and shall cease on the date the disabled employee receives or is entitled to receive old-age insurance benefits under the social security act*" (Workers' Compensation Law § 15 [3] [v] [emphasis added]).

The legislature has never modified the text of paragraph (v) since its enactment.

In 2007, the legislature did modify a different paragraph, paragraph (w), which specifies the compensation for "all other cases of permanent partial disability"—that is, injuries "other" than those appearing in the schedule (for example, a partial back injury or a partial loss of use of your little finger). As the majority notes, the legislature did so by changing those awards from lifetime awards to awards of limited duration. Here is the full text of paragraph (w) as it now exists, again with the determinative language italicized:

> "In all other cases of permanent partial disability, the compensation shall be sixty-six and two-thirds percent of the difference between the injured employee's average weekly wages and his or her wage-

> earning capacity thereafter in the same employment or otherwise. *Compensation under this paragraph* shall be payable during the continuance of such permanent partial disability, without the necessity for the claimant who is entitled to benefits at the time of classification to demonstrate ongoing attachment to the labor market, but subject to reconsideration of the degree of such impairment by the board on its own motion or upon application of any party in interest however, *all compensation payable under this paragraph shall not exceed* (i) five hundred twenty-five weeks in cases in which the loss of wage-earning capacity is greater than ninety-five percent; (ii) five hundred weeks in cases in which the loss of wage-earning capacity is greater than ninety percent but not more than ninety-five percent; . . . and (xii) two hundred twenty-five weeks in cases in which the loss of wage-earning capacity is fifteen percent or less" (Workers' Compensation Law § 15 [3] [w] [emphasis added]).

The majority takes the durational limitations at the end of paragraph (w) and engrafts them onto paragraph (v); in doing so, it misconstrues paragraph (v)'s "determined in accordance with" clause and ignores the clear contrary statements in both paragraphs (v) and (w). That reading is wholly unsupportable. When paragraph (v) was adopted, paragraph (w) had no durational limit. Consequently, paragraph (v)'s statement that the "additional compensation" provided thereunder be "determined in accordance with paragraph w" could have referred, at the time, only to the method of calculating the amount of the payment. The majority's claim that the durational requirement later added to paragraph (w) should be engrafted into paragraph (v) runs contrary to numerous clear provisions contained in those paragraphs.

First, the time-limitation language the legislature added to paragraph (w) is expressly confined to all compensation "payable under this paragraph." The "additional compensation" payable under paragraph (v) is not the compensation payable under paragraph (w). Note that the formula for calculating the amount of compensation in paragraph (w) is not limited to compensation "payable under this paragraph," whereas the durational limit is. Thus, the legislature expressly stated when amending paragraph (w) that its durational limits pertained to compensation "payable" under that paragraph only, whereas the computational method—alone—remained incorporated into paragraph (v).

Second, paragraph (v) expressly states that eligible persons are entitled to the "additional compensation" provided thereunder "[n]otwithstanding any other provision of this subdivision"; paragraph (w) is such an "other provision." We have to assume the legislature meant what it said when it said "notwithstanding," and knew how to strike that clause if it wanted to do so. If the legislature had wanted to say something different, "it easily could have and surely would have written the statute to say so" (*Matter of Theroux v Reilly*, 1 NY3d 232, 240 [2003]).

Third, paragraph (v) contains its own specific time restriction applicable only to the payments made thereunder. Those payments continue until the injured person becomes eligible for old-age Social Security benefits. Our rules of statutory construction do not allow us to incorporate a more general provision to obliterate a specific one (*see Matter of Perlbinder Holdings, LLC v Srinivasan*, 27 NY3d 1, 9 [2016] ["Under principles of statutory construction, whenever there is a general and a specific provision in the same statute, the general applies only where the particular enactment is inapplicable"]; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 238).

Fourth, paragraph (v) provides additional compensation "for any period" after a paragraph (a)-(d) schedule loss of use award has ended—not just immediately after the expiration of a schedule award. The "for any period" language works in tandem with paragraph (v)'s limitation on additional compensation—that it is only provided: (i) during a period of time when the claimant experiences a loss of earning capacity; and (ii) when that loss is solely attributable to the workplace injury. Thus, paragraph (v) additional compensation—unlike either the schedule or non-schedule compensation—can be provided intermittently, for periods when a loss of earning capacity is directly caused by a workplace injury, even if the compensation was not available in prior periods.

The plain reading of paragraphs (v) and (w) is that paragraph (v) provides additional compensation, notwithstanding paragraph (w) or any other paragraph, in an amount determined by the formula provided in paragraph (w), for losses of wage earning capacity solely attributable to the paragraph (a)-(d) schedule loss of injury, until the injured employee is eligible to receive old-age Social Security benefits.

The majority voices concern that, unless the time limits from paragraph (w) are imposed onto paragraph (v) benefits, the additional compensation will "uniquely benefit" partially permanently disabled workers with a paragraph (a)-(d) award over all others receiving permanent partial disability benefits (majority op at 528). But the Workers' Compensation Law is a hierarchy of benefits unique to each type of workplace injury: total disability is greater than partial; loss of a hand is worse than loss of an eye is worse than loss of a thumb is worse than loss of a ring finger. Paragraph (v) is the legislature's expression of yet another benefit unique to a defined class: injured workers who suffer one of the four most severe permanent partial disabilities (Workers' Compensation Law § 15 [3] [a]-[d]) will be treated less well than those who suffer a permanent total disability (and receive lifetime benefits), but better than those whose schedule disability is less severe (Workers' Compensation Law § 15 [3] [e]-[s]), and potentially better than those whose partial disability is non-schedule. By enacting paragraph (v), the legislature chose to afford workers suffering the most severe schedule injuries "additional compensation": less than what they would have received had the disability been total, but more than what less severely injured workers might receive. That "unique benefit" is what the legislature enacted, which the majority now spurns.

II.

Because the statute is clear on its face, we would not alter the plain meaning based on the legislative history, unless the plain language produced an absurd result or a conflict with some other statute (*see People v Roberts*, 31 NY3d 406, 418 [2018] ["If the words chosen have a definite meaning, which involves no absurdity or contradiction, then there is no room for construction and courts have no right to add or take away from that meaning" (citations and internal quotation marks omitted)]). In any event, the legislative history does not support the majority's interpretation of the statute.

The majority correctly notes that the legislature added paragraph (v) to address a perceived inequity between schedule benefits, which were capped at a certain duration, and non-schedule benefits, which workers could receive for life. Under the prior legislative scheme, a worker with a schedule loss received workers' compensation benefits for a limited period of time, even if the related loss of wages was perpetual. But the legislature did not equalize that inequity. It left the inequity in place for all schedule loss of use awards except the four most severe; even for those, it did not equalize them but instead created a completely different award structure, in which the "additional compensation" did not last a lifetime and was dependent on the injury being the sole cause of the loss of wage-earning capacity. The legislature's 2007 amendment, which ended the lifetime awards for non-schedule recipients, likewise did not equalize the payments for schedule and non-schedule injuries but created a new set of time limits for non-schedule awards. The notion that the legislature, either in 1970 or 2007, was attempting to make all awards equal, or even equivalent, is not borne out by the legislation or the legislative history. Being motivated by an inequality is different than equalizing.

The majority is also correct that the 2007 legislature imposed the durational requirements on non-schedule payments because it wanted to amend paragraph (w) to "dramatically reduc[e] costs in the workers' compensation system" (Governor's Program Bill Mem No. 9, Bill Jacket, L 2007, ch 6 at 5, 2007 NY Legis Ann at 5). When the legislature amended paragraph (w) to say that the benefits payable under that paragraph—all non-schedule benefits—would no longer continue for life, it reduced program costs to employers and insurance companies by an estimated $822 million annually (*see* Julia Ostrov, *An Examination of the New York State Workers' Compensation Reform Act of 2007*, 42 W Mich U J of Soc & Soc Welfare, Issue 3, Article 2 at 11 [2015]). But it strains credulity to believe that the legislature's cost-saving motive should cause the Court to disregard the plain statutory language limiting the durational caps to awards payable under paragraph (w), and to force those caps onto paragraph (v)—particularly because counsel for the Workers' Compensation Board advised us at oral argument that paragraph (v)'s "additional compensation" is raised in a "single digit" number of cases each year. The majority points to nothing in the legislative history stating that the legislature intended to limit or reduce paragraph (v)'s "additional compensation" to save money, or for any other reason.

If the statutory text were unclear or ambiguous, the legislative history would be of little assistance. Here, the statutory language is so clear and emphatic, in a belt-and-suspenders way, that I do not see how it can be read to curtail Mr. Mancini's additional compensation. For the foregoing reasons, I would reverse and hold that the durational limits in paragraph (w) of the Workers' Compensation Law do not apply to the additional compensation established under paragraph (v).

Judges RIVERA, STEIN, FAHEY, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion.

Order, insofar as appealed from, affirmed, with costs.

[118 NE3d 201, 93 NYS3d 662]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v FREDERICK DIAZ, Respondent.

Argued November 13, 2018; decided December 11, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 13, 2017. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Raymond L. Bruce, J.), which had adjudicated defendant a level three sex offender pursuant to the Sex Offender Registration Act (Correction Law art 6-C); and (2) annulled defendant's adjudication as a sex offender.

People v Diaz, 150 AD3d 60, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Registration in Foreign Jurisdiction

Defendant was not required to register as a sex offender under the Sex Offender Registration Act (SORA) for his conviction of murder of a minor under the age of 15 in Virginia, notwithstanding that murder of a minor under the age of 15 is an offense for which registration is required under Virginia's Sex Offender and Crimes Against Minors Registry Act. SORA requires registration of sex offenders from other jurisdictions for offenses which include all of the essential elements of any felony enumerated under SORA, or for "a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred" (Correction Law § 168-a [2] [d] [ii]). Under subparagraph (ii), first, the underlying offense must be a felony; second, the offender must be required to register as a sex offender in the other jurisdiction as a result of that conviction. Virginia's Sex Offender and Crimes Against Minors Registry Act is broader in scope than SORA and imposes a registration requirement not only for crimes with a clear sexual component, but also various nonsexual violent crimes against minors, including criminal homicide and murder of a minor under the age of 15. The Commonwealth of Virginia did not consider defendant a sex offender. Rather, Virginia classified defendant as a perpetrator of a violent, nonsexual crime against a minor. As such, he was not required to register under SORA's foreign jurisdiction provision.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mentally Impaired Persons §§ 131, 134.
MCKINNEY'S, Correction Law § 168-a (2) (d) (ii).
NY JUR 2d Constitutional Law § 318; NY JUR 2d Penal and Correctional Institutions §§ 403, 406, 411.

ANNOTATION REFERENCE

Validity, Construction, and Application of State Statutory Requirement that Person Convicted of Sexual Offense in Other Jurisdiction Register or be Classified as Sexual Offender in Forum State. 34 ALR6th 171.

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Query: sora & "foreign jurisdiction" /s "sex offender"

POINTS OF COUNSEL

Darcel D. Clark, District Attorney, Bronx (*Paul A. Andersen, Andrew J. Zapata*, and *Nancy D. Killian* of counsel), for appellant. As applied to defendant, Correction Law § 168-a (2) (d) (ii) comports with federal and state constitutional guarantees of substantive due process. (*Affronti v Crosson*, 95 NY2d 713; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of White v County of Cortland*, 97 NY2d 336; *Matter of Doe v O'Donnell*, 86 AD3d 238, 17 NY3d 713; *People v Stevens*, 91 NY2d 270; *Doe v Pataki*, 120 F3d 1263; *People v Knox*, 12 NY3d 60; *United States v Gould*, 568 F3d 459; *Reynolds v United States*, 565 US 432.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Abigail Everett* of counsel), for respondent. I. Under a plain reading of the Correction Law, Frederick Diaz was not a "sex offender" because he was not "required to register as a sex offender in [Virginia]" and, hence, he did not have a duty to register in New York State under Correction Law §§ 168-a (2) (d) (ii) and 168-f. (*Matter of State of New York v Nelson D.*, 22 NY3d 233; *People v Felix*, 58 NY2d 156; *Matter of Peters v New York City Hous. Auth.*, 307 NY 519; *Matter of Couch v Perales*, 78 NY2d 595; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *People v Knox*, 12 NY3d 60; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *Telaro v Telaro*, 25 NY2d 433; *People ex rel. Matthews v New York State Div. of Parole*, 95 NY2d 640.) II. The Appellate Division held correctly that requiring Frederick Diaz to register as a "sex offender" based on his Virginia homicide conviction violated his right to due process of law. (*People v Knox*, 12 NY3d 60; *Paul v Davis*, 424 US 693; *People v David W.*, 95 NY2d 130; *Affronti v Crosson*, 95 NY2d 713; *Matter of*

Dewine v State of N.Y. Bd. of Examiners of Sex Offenders, 89 AD3d 88; *Shapiro v Thompson*, 394 US 618; *Saenz v Roe*, 526 US 489; *Matter of Kasckarow v Board of Examiners of Sex Offenders of State of N.Y.*, 106 AD3d 915, 25 NY3d 1039.) III. New York State's differential treatment of individuals based on their state of conviction violates Frederick Diaz's constitutional right to equal protection of the law. (*Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Plyler v Doe*, 457 US 202; *Saenz v Roe*, 526 US 489; *Doe v Pennsylvania Bd. of Probation & Parole*, 513 F3d 95; *Jackson v Commonwealth of Pa.*, 143 A3d 468; *Shapiro v Thompson*, 394 US 618; *Edelman v Jordan*, 415 US 651.)

OPINION OF THE COURT

FEINMAN, J.

New York's Correction Law provides that a person convicted of "a felony in any other jurisdiction for which the offender is required to register as a sex offender" must also register under the New York State Sex Offender Registration Act (SORA) (Correction Law § 168-a [2] [d] [ii]; *see* Correction Law § 168-k). The issue on this appeal is whether defendant's murder of his half sister, an "[o]ffense for which registration is required" under Virginia's Sex Offender and Crimes Against Minors Registry Act (Va Code Ann § 9.1-902), renders him a "sex offender" for purposes of SORA. We hold that it does not.

I.

In 1994, Congress enacted the Jacob Wetterling Crimes Against Children and Sexually Violent Offender Registration Act (JWA). The JWA conditioned federal funding on states establishing "programs that require . . . a person who is convicted of a criminal offense against a victim who is a minor or who is convicted of a sexually violent offense" to register a current address with the State (former 42 USC § 14071 [a] [1] [A], as added by Pub L 103-322, 108 US Stat 2038). Under these two broad categories of convictions, the JWA set forth a list of offenses that required registration, including commonly understood sex crimes such as "use of a minor in a sexual performance," as well as crimes such as noncustodial kidnapping and false imprisonment (former 42 USC § 14071 [a] [3] [A]). Murder without any sexual component, including of minors, has never been a registrable offense under any iteration of the federal scheme.

After several amendments to the JWA, including Megan's Law[1] as well as the Pam Lychner Act,[2] Congress added a reciprocity requirement in 1997. That provision directed states to "include in [their] registration program[s] residents who were convicted in another State" of at least the offenses enumerated in the federal scheme (former 42 USC § 14071 [b] [7], as added by Pub L 105-119, tit I, § 115, 111 US Stat 2440, 2463), while allowing states to require "coverage of any offenses beyond those [enumerated under 42 USC § 14071 (a) (3) (A)-(B)]" as a "matter of state discretion" (64 Fed Reg 572-01, 573 [1999]). The Adam Walsh Child Protection and Safety Act of 2006, which superseded the JWA, continues to place compliance requirements on states subject to guidelines issued by the Attorney General (*see* 34 USC § 20912).

The New York State Legislature responded to the mandates of the JWA by passing SORA in 1995 (*see* Correction Law § 168 *et seq.*). From its inception, the statute has undeniably targeted sex offenders by its plain terms: not only has the legislature limited registration to "[a]ny *sex* offender" reentering society (Correction Law § 168-f [1] [emphasis added]), it has been explicitly concerned with "provid[ing] law enforcement with additional information critical to preventing *sexual* victimization and to resolving incidents involving *sexual* abuse and exploitation promptly" (L 1995, ch 192, § 1 [emphasis added]). SORA defines "sex offender" as "any person who is convicted of any of the offenses set forth in [section 168-a (2) and (3)]," each of which defines "sex offenses" and "sexually violent offenses," respectively (Correction Law § 168-a [1], [2], [3]). While not all crimes requiring registration under SORA involve a sexual component, such offenses are included either as part of the statute's compliance with the federal law (for example, noncustodial kidnapping offenses), or because they are otherwise predatory in nature (*see* Correction Law § 168-a [2] [requiring registration for first-degree unlawful surveillance pursuant to Penal Law § 250.50]). Thus, SORA's overall purpose of "protect[ing] . . . the community against people

1. Megan's Law required dissemination of "relevant information" on registered sex offenders to the public by state and local law enforcement officials (codified as amended at 42 USC § 14071 [d] [2], as added by Pub L 104-145, 110 US Stat 1345).

2. The Pam Lychner Act created a federally-run database thereby strengthening the interconnectivity between the federal scheme and "minimally sufficient" state programs (codified as amended at 42 USC §§ 14072-14073, as added by Pub L 104-236, 110 US Stat 3093).

who have shown themselves capable of committing sex crimes" is furthered by the scope of its definition of a "sex offender" (*People v Knox*, 12 NY3d 60, 67 [2009]).

As relevant here, SORA also requires registration of sex offenders from other jurisdictions under section 168-a (2) (d). Originally, this "foreign jurisdiction provision" designated as sex offenders only those who committed offenses in other jurisdictions "which include[d] all of the essential elements of any such felony" enumerated under SORA (former Correction Law § 168-a [2] [b]). That test has since been codified under section 168-a (2) (d) (i); offenders entering New York can now also fall under section 168-a (2) (d) (ii), which requires registration for "a felony in any other jurisdiction for which the offender is required to *register as a sex offender* in the jurisdiction in which the conviction occurred" (Correction Law § 168-a [2] [d] [ii] [emphasis added]; *see Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745, 748-749 [2007]). This Court has since articulated the "two elements to this [latter] subsection: first, the underlying offense must be a felony; second, the offender must be required to register as a sex offender in the other jurisdiction as a result of that conviction" (*People v Kennedy*, 7 NY3d 87, 91 [2006]).

The same year SORA was enacted, Virginia passed its own registry legislation that was even broader in scope than New York's. Virginia's Sex Offender and Crimes Against Minors Registry Act is designed to "assist the efforts of law-enforcement agencies and others to protect their communities and families from repeat sex offenders and to protect children from becoming victims of criminal offenders by helping to prevent such individuals from being allowed to work directly with children" (Va Code Ann § 9.1-900). True to the statute's broader goal, section 9.1-902 of the Virginia law includes under its "[o]ffense[s] for which registration is required" not only crimes with a clear sexual component—such as rape, human trafficking, and a list of various "[s]exually violent offense[s]"—but also various nonsexual violent crimes against minors, including "[c]riminal homicide" (generally, death resulting from crimes of child abuse and neglect) and "murder" of a minor under the age of 15 (Va Code Ann § 9.1-902). Whether this latter offense falls within the scope of the foreign jurisdiction provision of SORA is the issue we consider here.

II.

In 1989, when defendant was 19 years old, he shot and killed his 13-year-old half sister in Virginia. It is undisputed that there was no sexual component to this crime. Specifically, the Virginia Department of Corrections determined that defendant "had committed the crime because [his half sister] was harassing him about dealing drugs." Defendant also claimed at that time that he was "hearing voices telling him to kill people." Upon his guilty plea, defendant was convicted in May 1990 of murder in the first degree (Va Code Ann § 18.2-32) and using a firearm in the commission of a felony (Va Code Ann § 18.2-53.1) under Virginia law. He was thereafter sentenced to an aggregate prison term of 40 years with 10 years of postrelease supervision.

Before his conditional release from prison in 2015, defendant registered with the Virginia Sex Offender and Crimes Against Minors Registry because his crime was a "violation of . . . [Virginia Code] § 18.2-32 where the victim is . . . under 15 years of age" (Va Code Ann § 9.1-902 [D] [i]). Two days after his release, defendant's postrelease supervision was approved for a transfer to New York, and he moved to Bronx County to live with family.

When defendant moved to New York, the Division of Criminal Justice Services notified the Board of Examiners of Sex Offenders (the Board), which determined that, because defendant was "required to register for [his] felony offense as an offender" under the Virginia registry program, "as a resident of New York . . . [he was] required to do so [under SORA] as well." The Board also recommended that although defendant was "assessed as a Level II (moderate risk) to reoffend" based on the guidelines and points system of SORA's risk assessment instrument, "the fact that [he] inflicted death to the victim automatically result[ed] in a presumptive risk assessment of Level III." Defendant challenged this designation and his obligation to register under SORA in trial court.

Supreme Court adopted the Board's recommendation in its final risk assessment, without addressing defendant's arguments that (1) the Virginia law's distinction between "sex offenders" and "those who commit 'crimes against minors' " means the long arm of SORA's foreign jurisdiction provision does not apply to him; and (2) the statute otherwise violates his substantive due process and equal protection rights.

The Appellate Division reversed Supreme Court, annulling defendant's adjudication as a sex offender (*People v Diaz*, 150 AD3d 60 [1st Dept 2017], *lv granted* 29 NY3d 914 [2017]). The Appellate Division based its decision on defendant's constitutional arguments without addressing the dispute over defendant's risk assessment or the applicability of SORA. We granted the People leave to appeal, and now affirm based on the statutory argument raised before Supreme Court.

III.

A.

Defendant argues that Correction Law § 168-a (2) (d) (ii) does not apply to him because he did not register "as a sex offender" under Virginia's registry statute. We must therefore determine whether Virginia considers defendant a sex offender based on the crime he committed in Virginia, consistent with SORA's use of that term in its foreign jurisdiction provision. As noted above, we explained in *Kennedy* that the foreign jurisdiction provision contains two elements: "first, the underlying offense must be a felony; second, the offender must be required to *register as a sex offender* in the other jurisdiction as a result of that conviction" (7 NY3d at 91 [emphasis added]). Implicit in that holding is an additional consideration: a reviewing court must determine whether the foreign jurisdiction considers the offender a sex offender before compelling registration under section 168-a (2) (d) (ii). Put another way, if a defendant is required to register for a felony committed in a foreign jurisdiction but is not required to do so "as a sex offender," SORA does not apply.

SORA's text and overarching purpose compel this inquiry (*see People v Golo*, 26 NY3d 358, 361 [2015], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] ["As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof"]). By its plain language, Correction Law § 168-a (2) (d) (ii) necessitates that the Board or a reviewing court first determine whether the foreign jurisdiction considers the offender a sex offender before turning to other matters such as a risk level assessment or a constitutional analysis.

Moreover, and as discussed above, the legislature was particularly concerned with the dangers posed by sex offenders and potential sex offenders when it enacted SORA. Indeed, the legislature found that "the danger of recidivism posed by *sex offenders* . . . and . . . the protection of the public from these offenders is of paramount concern or interest to government" and that a "lack of information about *sex offenders* who live within their jurisdiction" would impede law enforcement's efforts to "identify, investigate, apprehend and prosecute *sex offenders*" (L 1995, ch 192, § 1 [emphasis added]). Thus, the "as a sex offender" language underscores SORA's purpose of "protect[ing] . . . the community against people who have shown themselves capable of committing sex crimes," while excluding offenders from foreign jurisdictions who have not committed, even in a broad sense, a sex crime (*People v Knox*, 12 NY3d 60, 67 [2009]). We therefore interpret the statute's applicability to this defendant with these principles in mind.

B.

The Commonwealth of Virginia does not consider defendant a sex offender. Rather, several indicia of the Virginia General Assembly's intent lead us to conclude that Virginia classifies defendant as a perpetrator of a violent, nonsexual crime against a minor. As such, he is not required to register under SORA's foreign jurisdiction provision.

Beginning with the plain language of the Virginia statute, two significant differences from SORA stand out. First, unlike SORA, section 9.1-902 of the Virginia Code does not define either a "sex offense" or a "sex offender," but rather contains a single list of "[o]ffense[s] for which registration is required" (Va Code Ann § 9.1-902 [A]). Second, this provision encompasses such registrable offenses as "Criminal homicide" (Va Code Ann § 9.1-902 [A] [2]), and, as most relevant here, "Murder" of a minor (Va Code Ann § 9.1-902 [A] [3]; [D]), neither of which is included under SORA. That the Virginia statute's twin purposes are to (1) "protect . . . communities and families from repeat sex offenders" and (2) "protect children from becoming victims of criminal offenders" plainly demonstrates the Virginia Legislature's intent to distinguish between sex offenses and other violent, nonsexual crimes committed against minors (Va Code Ann § 9.1-900).

We therefore reject the People's argument that the Virginia statute must "create a barrier between" sex offenses and other crimes to distinguish its registrants. Although the Virginia statute does not clearly define a "sex offense" or a "sex offender," first among the list of registrable offenses in section 9.1-902 is "[a]ny offense listed in subsection B" which, in turn, contains a list of offenses that undeniably contain some sexual component (Va Code Ann § 9.1-902 [A] [1]). These offenses include "Carnal knowledge of certain minors" (Va Code Ann § 18.2-64.1); entering a dwelling with intent to commit rape (Va Code Ann § 18.2-90); engaging in prostitution or human trafficking (Va Code Ann § 18.2-355); sex trafficking (Va Code Ann § 18.2-357.1); and child pornography offenses (Va Code Ann § 18.2-374.1:1). What's more, this list is wholly separate from what the statute labels as "Murder," the crime for which defendant was required to register in Virginia. Thus, even though the Virginia law does not explicitly bifurcate its list of registrable offenses between sex offenses and other crimes, its structure nevertheless fails to raise any inference that Virginia considers defendant a sex offender.[3]

Other provisions of the statute bolster this conclusion. Section 9.1-909, for example, explicitly allows people required to "register as a *sexually violent offender or murderer*" to petition the court of conviction "for relief from the requirement to reregister every 90 days" (Va Code Ann § 9.1-909 [A] [emphasis added]). Similarly, section 9.1-909 (B) allows a "duly appointed guardian of a person convicted of an offense requiring registration or reregistration as *either a sex offender, sexually violent offender or murderer*" to petition the court for relief in the event a physical condition impedes the offender's ability to either reoffend or reregister (emphasis added). Given the lack of clear definitions for these terms elsewhere in the Virginia statute, the only reading of each is that the term "murderer" applies to an offender who commits "murder" as defined under section 9.1-902 (D), just as a "sex offender" corresponds to someone who commits to "[a]ny offense listed in [section 9.1-902 (B)]" and a "sexually violent offender" matches to someone guilty of committing a "sexually violent offense."

3. Although not before us, the dissent misreads our conclusion in this case as implying that, because " 'sexually violent offense[s]' are also registerable under a *separate* subdivision . . . and subsection . . . from the 'sex offenses' listed in Virginia Code § 9.1-902 (B)," we would also have to find that Virginia does not consider one who commits a "sexually violent offense" under Virginia Code § 9.1-902 (E) a sex offender (dissenting op at 553-554). But just as the overall structure of the Virginia statute is but one facet of our plain-language analysis in this case, our interpretation would not foreclose our reliance on other indicia within the plain language of the statute to reach a different answer to that hypothetical question.

Furthermore, there are no reported cases in Virginia that compel a different interpretation of the registry statute. Although the Supreme Court of Virginia used the phrase "register as a sex offender in Virginia" in *Shannon v Commonwealth* (289 Va 203, 205, 768 SE2d 433, 435 [2015]), the defendant in that case was charged with an overtly sexual offense—namely "abduction with intent to defile, sodomy, and attempted sodomy" (289 Va at 203, 768 SE2d at 434). Barring any other indication from Virginia's legislature or courts that a "murder" offender is also a sex offender, we base our conclusion on the statutory text.[4]

C.

We acknowledge that when the New York Legislature added the reciprocity language at issue, it was concerned with avoiding "a detailed analysis of the statutes in other jurisdictions to determine whether registration is required in New York State" (Mem in Support, 1999 NY Assembly Bill A9020). However, this concern was directed at the difficulty with applying section 168-a (2) (d) (i), which predates section 168-a (2) (d) (ii) and requires a comparison of a foreign offense's "essential elements" to SORA's registrable offenses that is more cumbersome than the minimal inquiry required under section 168-a (2) (d) (ii) (*see* Correction Law § 168-a [2] [d] [i]).[5] More importantly, any concern the legislature had with creating a bright-line rule cannot preclude a court from determining whether an offender meets a statute's basic requirements. Blind deference to another jurisdiction's registry without asking, fundamentally, whether that jurisdiction considers its own registrant a sex offender would contravene the plain and limiting language of section 168-a (2) (d) (ii) and could subject an entire class of defendants with no relation to SORA's purpose to its strict requirements.

4. Though we need not look beyond the statute's plain language in this case, our interpretation is further buttressed by external sources of the Virginia Legislature's intent. As just one example, the Virginia Criminal Sentencing Commission in its 2005 annual report explained that "[m]ost of the offenses specified in [section 9.1-902] are *felony sex offenses*, but certain *murder*, kidnapping, burglary and misdemeanor sex offenses also require registration." (Virginia Criminal Sentencing Commission, 2005 Annual Report at 57 [emphasis added].)

5. Furthermore, to the extent the legislature was concerned with the difficulties of applying this "essential elements" provision, it has not seen fit to remove it from the statute outright (*see* Correction Law § 168-a [2] [d] [i]).

Nor are we convinced that today's holding will turn this state into an "escape hatch," whereby offenders will come to New York to evade registration in the state of their original offense because New York does not require registration under SORA for offenders who might be required to register in other states. In this case, although defendant is not required to register as a sex offender in New York, his duties to notify Virginia of his future changes in residence do not cease (*see* Va Code Ann § 9.1-903 [D] [requiring any registrant under the Virginia statute to reregister with local law enforcement when changing residence, "whether within or without the Commonwealth"]). Similarly, the Virginia registry statute requires all eligible offenders coming *into* Virginia to notify the state police within three days of entry, whether such entry is permanent or temporary (*see* Va Code Ann § 9.1-905). Therefore, even if defendant never returns to Virginia, our holding today does not diminish his obligation to keep that state apprised of his whereabouts.

Our analysis in this case "adhere[s] to the well[-]established rule that a court should not address a constitutional question if the matter can be disposed of on some other basis" (*see Matter of State of New York v Nelson D.*, 22 NY3d 233, 238 [2013], citing McKinney's Cons Laws of NY, Book 1, Statutes § 150 [a], Comment). In concluding that SORA does not require defendant's registration because Virginia does not consider defendant a sex offender, we reserve weightier issues of a foreign registry's potential conflict with New York's due process guarantees or public policy for another day. Therefore, we need not address the issues raised in the Appellate Division on this appeal.

Nor do we extrapolate this rule to the various hypotheticals raised by the dissent, none of which are presented in this case. Our holding today merely requires a court or the Board to determine—not based on "intuition," but rather on the offense of conviction and its relation to the foreign registry statute—whether the out-of-state defendant is considered a sex offender before requiring registration under SORA. Because the answer to that question here is clearly "no," the dissent's concerns are inapposite.

IV.

Defendant's out-of-state felony conviction did not require him to "register as a sex offender" in Virginia under Correction

Law § 168-a (2) (d) (ii) and, thus, he should not be required to register as a sex offender in New York. Accordingly, the order of the Appellate Division should be affirmed.

FAHEY, J. (dissenting). Despite the existence of a statute governing the precise issue before us, the majority has invented its own method of deciding whether a person who was required to register on another jurisdiction's federally compliant sex offender registry must register on New York's sex offender registry. That method is inconsistent with the legislative design. Accordingly, I respectfully dissent.

Defendant was required to register with the Virginia State Police, on that state's Sex Offender and Crimes Against Minors Registry, because he was convicted in Virginia of the murder of a person under 15 years of age (*see* Va Code Ann § 9.1-902 [D] [i]). It is undisputed that the killing had no sexual aspect. After he was released from prison, defendant immediately moved to New York City. In New York, defendant registered as a sex offender, pursuant to Correction Law § 168-a (2) (d) (ii), the statute at issue in this appeal, which provides that a registerable sex offense includes "a conviction of . . . a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred."

The majority does not resolve defendant's principal contention, that Correction Law § 168-a (2) (d) (ii) violates his constitutional rights (*see* majority op at 548),[1] but is persuaded by his alternate ground for affirmance, that the provision does not apply to him at all. Defendant's theory is that, as a

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1. Given that defendant concedes that the applicable constitutional standard of review here is rational basis review, I would hold that the Appellate Division erred in concluding that the legislature had no conceivable legitimate objective for requiring those guilty of first-degree murder of a minor in Virginia to register in New York. As the People point out, the challenged statute embodies principles of comity and reciprocity among states. While the majority's "holding . . . does not diminish [defendant's] *obligation* to keep [Virginia] apprised of his whereabouts" (majority op at 548 [emphasis added]), a sex offender who is not required to register in New York may seek to avoid registration obligations in Virginia and return there unknown to the authorities. The People correctly note that the legislature may have been concerned about sex offenders making "themselves less trackable by taking advantage of the imperfections inherent in the multijurisdictional, nationwide registration system." Moreover, the legislature could have rationally concluded that the task of determining whether, on a given out-of-state record, an offender has committed what a foreign jurisdiction would consider a sex offense is likely to be "difficult, cumbersome and prone to error," such that "the administrative burden, and the risk that some dangerous sex offenders would

(n. cont'd)

murderer, he was not "required to register *as a sex offender* in the jurisdiction in which [his] conviction occurred" (Correction Law § 168-a [2] [d] [ii] [emphasis added]). This conclusion is not consistent with either the facts of this case or the plain language or legislative history of Correction Law § 168-a.

In 1994, Congress passed the Jacob Wetterling Crimes Against Children and Sexually Violent Offender Registration Act (former 42 USC § 14071 *et seq.*), which required states to adopt registration and community-notification provisions for the supervision of convicted sex offenders. The federal statute compelled registration of "a person who is convicted of a criminal offense against a victim who is a minor or who is convicted of a sexually violent offense" (former 42 USC § 14071 [a] [1] [A]; *see also* former 42 USC § 14071 [a] [3] [A] [defining a criminal offense against a minor]). Accordingly, the following year, New York enacted the Sex Offender Registration Act (SORA) (Correction Law § 168 *et seq.*), requiring that convicted sex offenders and those convicted of certain offenses against minors register with the Division of Criminal Justice Services upon their release from custody (*see* L 1995, ch 192, § 2).

SORA defines "[s]ex offender" broadly as "any person who is convicted of any of the offenses set forth in [Correction Law § 168-a (2) or (3)]" (Correction Law § 168-a [1]). Correction Law § 168-a (2) enumerates "[s]ex offense[s]" and Correction Law § 168-a (3) lists "[s]exually violent offense[s]." Among the enumerated crimes are some that have no sexual component, including unlawful imprisonment (Penal Law §§ 135.05, 135.10) and kidnapping (Penal Law §§ 135.20, 135.25), "provided the victim of such . . . offense is less than seventeen years old and the offender is not the parent of the victim" (Correction Law § 168-a [2] [a] [i]; *see People v Knox*, 12 NY3d 60, 66 [2009]).[2] A person is a "sex offender," within the meaning of SORA, if covered by the detailed definitional provisions of Correction Law § 168-a and, therefore, required to register under SORA, regardless of whether the person was convicted of a

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escape registration, justified a hard and fast rule, with no exceptions" (*People v Knox*, 12 NY3d 60, 69 [2009]).

2. The majority suggests that crimes without a sexual component were included as "sex offenses" under SORA "as part of the statute's compliance with the federal law" (majority op at 541). As this Court has explained, however, "the Jacob Wetterling Act does not require attaching the label 'sex offender' to the perpetrators of these crimes. That was the New York Legislature's choice" (*Knox*, 12 NY3d at 68).

sexual crime or instead a registerable offense against a minor that has no sexual component or aspect.

When SORA was enacted in 1995, New York required registration based on out-of-state felony convictions only for those that have the same essential elements as New York crimes requiring registration (*see* L 1995, ch 192, § 2; former Correction Law § 168-a [2] [b]). In 1997, Congress directed "each State [to] include in its registration program residents who were convicted in another State" (former 42 USC § 14071 [b] [7]) and did so without limitation to those convicted of offenses enumerated in the federal scheme. In its guidelines issued under the Jacob Wetterling Act, the Department of Justice explained that "a state must register . . . at least those persons [who commit the crimes enumerated in the statute] to comply with the Act. The coverage of any offenses beyond those offenses is a matter of state discretion" (Megan's Law; Final Guidelines for the Jacob Wetterling Crimes Against Children and Sexually Violent Offender Registration Act, as Amended, 64 Fed Reg 572-01, 573 [1999]).

In 1999, the New York Legislature exercised that discretion by requiring, for the first time, registration for out-of-state sex offender felonies that have no New York equivalent, provided that "the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred" (L 1999, ch 453, § 1). That requirement was subsequently codified as Correction Law § 168-a (2) (d) (ii) (*see* L 2002, ch 11, § 1), the provision we consider today.[3]

The Senate and Assembly memoranda in support of the 1999 bill both state that the original

> "language of the statute requires a detailed analysis of the statutes in other jurisdictions to determine whether registration is required in New York State. *The bill sets forth a clear method to determine whether registration in New York State is required: if registration is required in the jurisdiction of conviction, registration will be required in New York*" (Senate Introducer's Mem in Support, 1999 NY Senate Bill S6100, 1999 McKinney's Session

3. Virginia similarly requires registration of an offender convicted of "[a]ny offense for which registration in a sex offender and crimes against minors registry is required under the laws of the jurisdiction where the offender was convicted" (Va Code Ann § 9.1-902 [A] [6]).

> Laws of NY at 1866 [emphasis added]; Assembly Mem in Support, 1999 NY Assembly Bill A9020 [emphasis added]).

The Governor's Program Bill Memorandum states precisely the same purpose (*see* Governor's Program Bill Mem, 1999 NY Legis Ann at 266).

" 'It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature' " (*Matter of Anonymous v Molik*, 32 NY3d 30, 37 [2018], quoting *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). The legislative history unequivocally demonstrates that the legislature's purpose in enacting Correction Law § 168-a (2) (d) (ii) was to provide "a clear method" for determining whether a person convicted of a felony in another jurisdiction is required to register as a sex offender in New York. A straightforward process for deciding whether registration is required was the touchstone.

The obvious, straightforward construction of Correction Law § 168-a (2) (d) (ii), in furtherance of the legislative goal, is that the legislature, in referring to an offender who "is required to register as a sex offender in [another] jurisdiction" (Correction Law § 168-a [2] [d] [ii]), was describing an offender who is required to register on a registry *set up by the other jurisdiction pursuant to the dictates of the federal Crimes Against Children and Sexually Violent Offender Registration Act*. In other words, the legislature used the term "sex offender" in Correction Law § 168-a (2) (d) (ii) in a manner that precisely corresponds with the broad definition given to that term in Correction Law § 168-a (1). A person is a "sex offender" based on a crime committed in New York if required to register under the provisions of SORA, regardless of whether there was an "actual or potential sexual aspect" of the enumerated crime of conviction (*Knox*, 12 NY3d at 66). Similarly, a person "is required to register as a sex offender in [another] jurisdiction" within the meaning of Correction Law § 168-a (2) (d) (ii) if the individual is required to register under that jurisdiction's federally compliant registration mechanism for the perpetrators of sex offenses and crimes against children, regardless of whether the person was convicted of a sexual crime or instead a registerable offense against a minor that is not sexual in nature.

In contrast to the clear method prescribed by the legislature, the majority adopts a criterion for being "required to register as a sex offender in [another] jurisdiction" that is far from easy to apply and has no basis in the statutory text or legislative history. The majority would have "a reviewing court . . . determine whether the foreign jurisdiction considers the offender a sex offender" (majority op at 544).[4] The source of this requirement is elusive. It cannot be plain language. Neither the statute's language ("required to register as a sex offender in the jurisdiction in which the conviction occurred") nor the very similar language we used in *People v Kennedy* (7 NY3d 87, 91 [2006] ["required to register as a sex offender in the other jurisdiction as a result of that conviction"]), relied on by the majority, says anything to direct "the Board or a reviewing court [to] first determine whether the foreign jurisdiction considers the offender a sex offender" (majority op at 544). Indeed, when we summarized the 1999 amendment in *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.* (8 NY3d 745 [2007]), also cited by the majority, we simply wrote that "an offender must register in New York if that person committed a felony *subject to registration in the foreign jurisdiction*" (*North*, 8 NY3d at 749 [emphasis added]).

Once embarked on its course, the majority concedes that "the Virginia statute does not clearly define a 'sex offense' or a 'sex offender' " (majority op at 545-546) and then gives only minimal guidance about the nature of the inquiry into whether an offense is "considered" a sex offense by another jurisdiction. Rather than apply the straightforward process enacted by the legislature, the majority engages in a lengthy statutory construction exercise, interpreting numerous provisions of Virginia law. Among other things, the majority looks to the fact that the list of Virginia's registerable offenses includes a subdivision (Va Code Ann § 9.1-902 [A] [1]) and definitional subsection (Va Code Ann § 9.1-902 [B]), in which all the enumerated offenses "contain some sexual component" (majority op at 546). The majority then invites us to observe that "this list is wholly separate from what the statute labels as 'Murder' " (majority op at 546), which requires registration under Virginia Code § 9.1-902 (A) (3) and (D).

The majority does not mention, however, that, like murder, "sexually violent offense[s]" are also registerable under a *separate* subdivision (Va Code Ann § 9.1-902 [A] [4]) and subsection

4. Although the majority has declared that Virginia does not consider defendant a sex offender, the record contains evidence that Virginia authorities do consider him a sex offender. Defendant's Virginia State Police offender profile describes him as having a "Sex Offender Conviction Record."

(Va Code Ann § 9.1-902 [E]) from the "sex offenses" listed in Virginia Code § 9.1-902 (B). Presumably, Virginia "considers" sexually violent offenders to be sex offenders but, under the majority's proposed analysis of Virginia's statutes, this would *not* follow. Based on the majority's analysis, because sexually violent offenders, like child murderers, belong to a different category in the Virginia statute from sex offenders, sexually violent offenders are not "considered" to be sex offenders in Virginia and would not be required to register in New York.

The majority does not stop at analyzing other states' statutes. It would also have the trial courts conduct a comprehensive review of other states' case law to determine whether "a different interpretation of [a] registry statute" is required (majority op at 547). Somehow, this type of in-depth analysis of another state's statutes, to be followed by a survey of that state's case law, is deemed a "minimal inquiry" that is not "cumbersome" (majority op at 547).

The majority also contemplates that reviewing courts can determine, based on a know-it-when-we-see-it intuition, whether the registerable offense in the other jurisdiction possesses "some sexual component," so as to decide whether the other jurisdiction would "consider" the offense a sex offense. In this regard, the majority appears to require analysis of the facts of the underlying crime. In its discussion of defendant's crime of conviction, the majority relies on the undisputed fact that there was no sexual component to the crime. It notes the conclusion of the Virginia Department of Corrections that defendant "had committed the crime because [his half sister] was harassing him about dealing drugs" and credits defendant's claim, made in 1989 or 1990, that he was "hearing voices telling him to kill people" (majority op at 543). The ramifications of this analysis are obscure. Presumably, the defendant would be subject to registration in New York if there had been evidence in the record that his crime did have a sexual component. If so, the majority departs from its ostensible "plain language analysis" of the statutes and case law to focus on the individual facts of each case. If not, then defendant would avoid registration in New York even though he committed a sex crime that required registration in Virginia.

Whether the majority would have courts look to the elements of the crime of conviction or to the record, intuiting what another jurisdiction would "consider" a sex offense is certainly not the "clear method" the legislature had in mind. Moreover, long before a reviewing court must wrestle with such matters, the Division of Criminal Justice Services and the Board of Examiners of Sex Offenders must grapple with them under the majority decision. Presumably, the exercise will involve the authorities in New York attempting to obtain records from out-of-state courts, which may or may not still possess them. Then, in some cases, not too different from the one before us, the next step would be scouring any available records for evidence of whether the facts underlying the crime of conviction involved hints of a sexual element. Alternatively, or in addition, the agencies may find themselves focused for the most part on intricate analyses of foreign jurisdictions' statutes. In either event, the majority's interpretation of Correction Law § 168-a (2) (d) (ii) increases the risk that dangerous sex offenders will escape registration in New York. Instead of such convoluted criteria, I believe that the very significant "administrative burden[s]" faced by the agencies "justif[y] a hard and fast rule" (*Knox*, 12 NY3d at 69).

The majority supplants the legislature's straightforward method with an impractical invention that will obstruct officials every time they are faced with the question whether an offender from another state must register here. In short, the Court has defeated the purpose of the statute. I vote to reverse.

Judges Rivera, Garcia and Wilson concur; Judge Fahey dissents in an opinion in which Chief Judge DiFiore and Judge Stein concur.

Order affirmed.

[118 NE3d 847, 94 NYS3d 185]

In the Matter of New York Civil Liberties Union, Appellant, v New York City Police Department et al., Respondents.

Argued November 14, 2018; decided December 11, 2018

SUMMARY

Appeal, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 30, 2017. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Shlomo S. Hagler, J.), which had adhered to three orders of that court (Geoffrey D. Wright, J.) that, insofar as appealed from as limited by the briefs, had granted, to a limited extent, the petition brought pursuant to CPLR article 78 seeking to compel respondents to disclose certain records pursuant to the Freedom of Information Law; (2) denied the petition; and (3) dismissed the proceeding. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Matter of New York Civ. Liberties Union v New York City Police Dept., 148 AD3d 642, affirmed.

HEADNOTES

Civil Rights — Police Personnel Records — Disciplinary Records — Potential for Abuse

1. The disciplinary records requested from respondent New York City Police Department by petitioner pursuant to the Freedom of Information Law (FOIL) were "personnel records" protected from disclosure under Civil Rights Law § 50-a. The statute was designed to protect police officers from the use of their records as a means for harassment and reprisals and for purposes of cross-examination by plaintiff's counsel during litigation. The legislative objective of Civil Rights Law § 50-a extends beyond precluding disclosure on behalf of defendants in pending litigation; it seeks to prevent any abusive exploitation of personally damaging information contained in officers' personnel records. Accordingly, the decisive factor in determining whether a personnel record is exempted from FOIL disclosure under Civil Rights Law § 50-a is the potential use of the information, rather than the specific purpose of the particular individual requesting access, or whether the request was actually made in contemplation of litigation. The documents at issue were the very sort of record presenting a potential for abusive exploitation and intended to be kept confidential under Civil Rights Law § 50-a. Petitioner's FOIL request sought internal police department disciplinary records, spanning a 10-year period, that arose from civilian complaints against respondent's officers. The records were replete with factual details regarding misconduct allegations, hearing judges' impressions and findings, and any punishment imposed on

officers—material ripe for degrading, embarrassing, harassing or impeaching the integrity of an officer.

Civil Rights — Police Personnel Records — Disciplinary Records — Relevant and Material to Pending Litigation

2. The disciplinary records protected under Civil Rights Law § 50-a requested from respondent New York City Police Department by petitioner pursuant to the Freedom of Information Law were not "relevant and material" to any pending litigation (Civil Rights Law § 50-a [3]), and were therefore not disclosable. While protection of records under Civil Rights Law § 50-a extends broadly beyond the litigation setting, disclosure is strictly limited to specified contexts under the statute. The statutory language clearly provides that, before disclosure may be ordered, the court must determine that the requested records are "relevant and material in the action before [it]," and even then, it authorizes disclosure of only "those parts of the record found to be relevant and material" to the pending action (Civil Rights Law § 50-a [3]). Thus, absent officer consent, protected personnel records are shielded from disclosure except when a legitimate need for them has been demonstrated to obtain a court order based on a showing that they are actually relevant to an issue in a pending proceeding.

Records — Freedom of Information Law — Police Disciplinary Records — Redacted Disclosure

3. Redacted disclosure of the disciplinary records requested by petitioner pursuant to the Freedom of Information Law (FOIL) from respondent New York City Police Department could not be compelled, as the requested records were exempt from disclosure under Public Officers Law § 87 (2) (a), which contains no statutory authorization for redaction. FOIL's statutory scheme makes clear that redacted disclosure cannot be compelled where an agency has met its burden of demonstrating that records are exempt from disclosure under Public Officers Law § 87 (2) (a). Public Officers Law § 89 (2) supplies the statutory authority for an agency to "delete identifying details" in order "to prevent unwarranted invasions of personal privacy" (Public Officers Law § 89 [2] [a]). It further provides that "disclosure shall not be construed to constitute an unwarranted invasion of personal privacy"—such that disclosure may be compelled—where "identifying details are deleted" (Public Officers Law § 89 [2] [c] [i]). FOIL does not, however, contain a similar redaction provision applicable to Public Officers Law § 87 (2) (a). By explicitly providing for redaction only within a single specified category, the legislature demonstrated its intention to restrict the deletion device to that single category. Had the legislature sought to authorize court-ordered redaction for Public Officers Law § 87 (2) (a), it could have easily done so.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Depositions and Discovery § 275; AM JUR 2d Freedom of Information Acts §§ 69, 128, 246, 252.

CARMODY-WAIT 2d Disclosure §§ 42:157–42:158; CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:644, 145:648–145:649, 145:657, 145:661.

MCKINNEY'S, Civil Rights Law § 50-a (3); Public Officers Law §§ 87 (2) (a); 89 (2) (a), (c) (i).

NY Jur 2d Disclosure § 139; NY Jur 2d Records and Recording §§ 22, 32–33, 47, 49, 52.
Siegel, NY Prac § 348.

ANNOTATION REFERENCE

Validity, construction, and application of statutory provisions relating to public access to police records. 82 ALR3d 19.

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POINTS OF COUNSEL

New York Civil Liberties Union Foundation, New York City (*Christopher Dunn*, *Robert Hodgson* and *Arthur Eisenberg* of counsel), for appellant. I. An overview of the Freedom of Information Law (Public Officers Law § 87 *et seq.*) and Civil Rights Law § 50-a. II. Decades of rulings from this Court establish that redaction is available to balance the transparency goals of the Freedom of Information Law and the privacy interests of Civil Rights Law § 50-a. (*Matter of Gallogly v City of New York*, 51 Misc 3d 296; *Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, 73 NY2d 26; *Matter of Gannett Co. v James*, 86 AD2d 744, 56 NY2d 502; *Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Westchester Rockland Newspapers v Kimball*, 50 NY2d 575; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454.) III. This Court should order production of the New York City Police Department Trial Room decisions with identifying details of subject officers redacted. (*Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.*, 57 NY2d 399; *Matter of Karlin v McMahon*, 96 NY2d 842; *Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42; *Matter of Scott,* *Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557.)

Zachary W. Carter, Corporation Counsel, New York City (*Aaron M. Bloom* and *Richard P. Dearing* of counsel), for respondents. The adopted decisions may not be disclosed, even in redacted form. (*Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.*, 57 NY2d 399; *Matter of Karlin v McMahon*, 96 NY2d 842; *Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145; *Matter of Mazza v Village of Croton-on-Hudson*, 140 AD3d 878; *Matter of MacKenzie v Seiden*, 128 AD3d 1291; *Matter of Lesher v Hynes*, 80 AD3d 611; *Matter of Rabinowitz v Hammons*, 228 AD2d 369; *Matter of New York Comm. for Occupational Safety & Health v Bloomberg*, 72 AD3d 153; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, 73 NY2d 26.)

David A. Schulz, Media Freedom & Information Access Clinic, Abrams Institute for Freedom of Expression, Yale Law School, New Haven, Connecticut, for The New York Times Company and others, amici curiae. I. Access to the final decisions on New York City Police Department discipline is needed to report on matters of public concern. II. The unavailability of redaction for Civil Rights Law § 50-a records improperly denies access to information that news organizations need to furnish a full public account of the New York City Police Department's disciplinary process. (*Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, 73 NY2d 26; *Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145.)

Kasowitz Benson Torres LLP, New York City (*Michael J. Bowe* and *Alexander B. Simkin* of counsel), and *Michael T. Murray, Office of the General Counsel of the Patrolmen's Benevolent Association of the City of New York, Inc.*, New York City (*David W. Morris*, *Andrew J. Dempster* and *Stephanie Sado* of counsel), for Patrolmen's Benevolent Association of the City of New York, Inc., amicus curiae. I. The Court should decline respondents' request to rewrite Civil Rights Law § 50-a to allow agencies to publicize confidential records without a court order. (*Matter of*

Short v Board of Mgrs. of Nassau County Med. Ctr., 57 NY2d 399; *Matter of Karlin v McMahon*, 96 NY2d 842; *Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145; *Gannett Co. v Riley*, 161 Misc 2d 321; *Matter of Johnson v New York City Police Dept.*, 257 AD2d 343; *New York News v Grinker*, 142 Misc 2d 325; *Matter of Police Benevolent Assn. of N.Y. State, Inc. v State of New York*, 145 AD3d 1391; *Matter of Legal Aid Socy. of Northeastern N.Y. v New York State Dept. of Social Servs.*, 195 AD2d 150; *Gambale v Deutsche Bank AG*, 377 F3d 133; *Matter of Luongo v Records Access Officer, Civilian Complaint Review Bd.*, 150 AD3d 13, 30 NY3d 908.) II. The Court should decline appellant's request to rewrite Civil Rights Law § 50-a to allow publication of a police officer's confidential records without notice to the officer. (*Matter of Gallogly v City of New York*, 51 Misc 3d 296; *Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145; *Telesford v Patterson*, 27 AD3d 328; *People v Cintron*, 50 Misc 3d 650.) III. Respondents are correct that the Trial Room decisions cannot be anonymized. (*Coleman v Daines*, 19 NY3d 1087; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.)

OPINION OF THE COURT

GARCIA, J.

Civil Rights Law § 50-a requires that police officer personnel records be kept confidential, and sets out a procedure to obtain a court order of disclosure. Petitioner, the New York Civil Liberties Union (NYCLU), seeks disclosure of protected personnel records from the New York City Police Department (NYPD) pursuant to the Freedom of Information Law (FOIL), contending that compliance with Civil Rights Law § 50-a is unnecessary where an officer's identifying information is adequately redacted. We disagree, and hold that the requested personnel records are exempt from disclosure pursuant to Public Officers Law § 87 (2) (a) and Civil Rights Law § 50-a.

I.

The parties' FOIL dispute concerns documents generated in connection with NYPD disciplinary proceedings that arise out of allegations referred to the NYPD by the New York City Civilian Complaint Review Board (CCRB).

A.

The CCRB was created in 1992 as an independent City agency empowered to receive and investigate allegations of police misconduct against NYPD officers. Among other things, the CCRB investigates civilian complaints and submits its findings and recommendations to the NYPD Commissioner (*see* NY City Charter § 440 [c] [1]). If the CCRB "substantiates" a complaint against an officer, it may refer the case to the NYPD for formal disciplinary action.

If the NYPD chooses to prosecute, the subject officer is served with written "Charges and Specifications" identifying the alleged misconduct (*see* 38 RCNY 15-11). NYPD disciplinary proceedings are conducted in the NYPD's internal adjudicatory forum, and hearings are open to the public (*see* 38 RCNY 15-04 [g]).[1] Following an administrative hearing, the judge issues a "Draft Report and Recommendation," consisting of "a summary and analysis of the testimony, recommended findings of fact and conclusions of law, and recommendations for the disposition of the Charges and Specifications" (38 RCNY 15-06 [a] [2]). The draft is sent to the parties, including the subject officer and his or her counsel, for review and an opportunity to comment (38 RCNY 15-06 [b], [c]). The Deputy Commissioner of Trials (or an Assistant Deputy Commissioner) then finalizes the Report and Recommendation and forwards it to the Police Commissioner, along with the transcript of the proceedings, any exhibits, and any comments submitted by the parties (38 RCNY 15-06 [c]).

In rendering a final determination, the Police Commissioner "may approve the recommendation or modify the findings or the penalty" (38 RCNY 15-08 [a]). If the Commissioner approves the findings and penalty, the Commissioner stamps the Report and Recommendation as "Approved" and signs it, along with a "Disposition of Charges" form that identifies each charge, its disposition, and the penalty imposed.

B.

In August 2011, the NYCLU submitted a FOIL request to the NYPD seeking (1) "[c]opies of all final opinions, dated from January 1, 2001 to present, from the department trial room (Deputy Commissioner of Trials) adjudicating charges and specifications arising out of cases in which the CCRB has substantiated charges against a member of the department," and (2)

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1. Pursuant to a Memorandum of Understanding executed in 2012 by the CCRB and the NYPD, most substantiated complaints are now prosecuted by the CCRB (*see* 38 RCNY 15-12).

"[c]opies of documents identifying the formal and final discipline imposed in conjunction with each decision." The NYPD denied the request, reasoning that the requested records were exempt from disclosure under several FOIL exemptions, including Public Officers Law § 87 (2) (a), which provides an exception for records that are "specifically exempted from disclosure by state or federal statute." In particular, the NYPD asserted that the records were protected by Civil Rights Law § 50-a since they "are used to evaluate the continued employment of police officers by the NYPD."

The NYCLU administratively appealed. The NYPD granted the appeal in part, producing more than 700 pages of Disposition of Charges forms with redactions intended to conceal the identifying information of the subject officers and complainants. With respect to the "final opinions"—the approved Report and Recommendation documents—the NYPD denied the appeal, again concluding that the documents were exempt from disclosure pursuant to Public Officers Law § 87 (2) (a) and Civil Rights Law § 50-a, among other FOIL exemptions. The NYPD noted that Civil Rights Law § 50-a "defines a process which is the exclusive means for obtaining records that fall within its purview" and requires, among other things, "giving notice to the police officer who is the subject of the records, and obtaining a court order directing disclosure pursuant to the process defined in [Civil Rights Law] § 50-a (2)."

The NYCLU then commenced this CPLR article 78 proceeding, seeking disclosure of the withheld NYPD disciplinary records. Supreme Court denied the NYPD's subsequent motion to dismiss and directed the NYPD to "select five decisions at random, and redact them to remove anything to identify the subject of the complaint." Supreme Court further ordered the NYPD to notify the subject officers of the proceeding and the proposed redactions.

Pursuant to Supreme Court's order, the NYPD selected five decisions, applied redactions, and submitted the redacted documents to Supreme Court for in camera review. The NYPD also filed an answer to the NYCLU's petition, contending that disclosure of the documents, even in redacted form, was prohibited by Civil Rights Law § 50-a because the redactions could not adequately conceal the officers' identities. The five subject officers similarly objected to the disclosure of the redacted documents. Supreme Court subsequently "deem[ed] the[ ] redactions adequate" and ordered that "[a]ll future requests are to be done as the five in camera submissions." The NYPD appealed.

The Appellate Division unanimously reversed and dismissed the proceeding (148 AD3d 642 [1st Dept 2017]). Citing "controlling precedent"—namely, our decisions in *Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.* (57 NY2d 399 [1982]) and *Matter of Karlin v McMahon* (96 NY2d 842 [2001])—the Appellate Division determined that it could not "order respondents to disclose redacted versions of the disciplinary decisions" (*Matter of New York Civ. Liberties Union*, 148 AD3d at 643). The Appellate Division granted the NYCLU's motion for leave to appeal.

II.

The FOIL exemption at issue, Public Officers Law § 87 (2) (a), provides that an agency may deny access to records that "are specifically exempted from disclosure by state or federal statute." The parties agree that the disciplinary decisions requested by the NYCLU are covered by a state statute: Civil Rights Law § 50-a.

Civil Rights Law § 50-a provides that "[a]ll personnel records used to evaluate performance toward continued employment or promotion . . . shall be considered confidential and not subject to inspection or review" (Civil Rights Law § 50-a [1]). The statute contains only two exceptions to confidentiality: officer consent (Civil Rights Law § 50-a [1]), and court authorization (Civil Rights Law § 50-a [3]).[2] Subdivisions (2) and (3) of Civil Rights Law § 50-a set forth a procedure to obtain a court order of disclosure, and establish a number of procedural safeguards that must be observed before judicial authorization may be granted. Specifically, subdivision (2) provides that, "[p]rior to issuing" a court order authorizing the release of confidential personnel records, "the judge must review all such requests and give interested parties"—including the subject officer(s)—"the opportunity to be heard" (Civil Rights Law § 50-a [2]). The court may not issue an order "without a clear showing of facts sufficient to warrant the judge to request records for review" (*id.*). In addition, subdivision (3) provides that, "[i]f, after such hearing, the judge concludes there is a sufficient basis" to

2. The statute also permits disclosure to certain government agencies that require access to carry out their official functions (Civil Rights Law § 50-a [4]).

request the records for review, "he shall sign an order requiring that the personnel records in question be sealed and sent directly to him" (Civil Rights Law § 50-a [3]). The court must then "review the file and make a determination as to whether the records are relevant and material in the action before him" (*id.*). If that standard is satisfied, "the court shall make those parts of the record found to be relevant and material available to the persons so requesting" (*id.*).

A.

The disciplinary decisions requested by the NYCLU are quintessential "personnel records" protected by Civil Rights Law § 50-a. The statute was designed to protect police officers from the use of their records "as a means for harassment and reprisals and for purposes of cross-examination by plaintiff's counsel during litigation" (*Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, 73 NY2d 26, 31-32 [1988] [collecting legislative history]). To that end, Civil Rights Law § 50-a "prevent[s] release of sensitive personnel records that could be used in litigation for the purpose of harassing or embarrassing" officers (*id.* at 33). "Documents pertaining to misconduct or rules violations" by an officer are "the very sort of record which, the legislative history reveals, was intended to be kept confidential" (*id.* at 31).

Contrary to the NYCLU's claim, the protection afforded by Civil Rights Law § 50-a is not limited to the context of actual or potential litigation (*Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145, 153 [1999]; *see also Prisoners' Legal Servs.*, 73 NY2d at 32). Rather, the "legislative objective" of section 50-a extends "beyond precluding disclosure on behalf of defendants in pending [litigation]"; it seeks to prevent *any* "abusive exploitation of personally damaging information contained in officers' personnel records" (*Daily Gazette*, 93 NY2d at 154-155). Indeed, if the statute's protection were limited to the litigation context, Civil Rights Law § 50-a could easily be circumvented "by the simple expedient of making FOIL requests for the records first and bringing the lawsuit later" (*Prisoners' Legal Servs.*, 73 NY2d at 33). Accordingly, the "decisive factor" in determining whether a personnel record is exempted from FOIL disclosure under Civil Rights Law § 50-a is "the *potential use* of the information," rather than "the specific purpose of the particular individual requesting access," or "whether the request was actually made in contemplation of litigation" (*Daily Gazette*, 93 NY2d at 156-157 [emphasis added]).

For instance, in *Matter of Daily Gazette*, the petitioners, two newspapers, submitted FOIL requests seeking police department records concerning disciplinary action against 18 police officers (93 NY2d at 152). Rejecting the petitioners' "exceedingly narrow interpretation" of Civil Rights Law § 50-a, the Court determined that statutory protection over police personnel records "went beyond precluding disclosure on behalf of defendants in pending criminal cases," and applied irrespective of the "identity, status and purpose of the person requesting access" (93 NY2d at 153, 155-156). "Potential abusive exploitation," the Court noted, exists "irrespective of how, at whose behest or for what purpose the information is released into the public domain" (*id.* at 158). Because disclosure of the requested material in *Daily Gazette* presented "the risk of its use to embarrass or humiliate the officers involved," the documents remained confidential pursuant to Civil Rights Law § 50-a (*Daily Gazette*, 93 NY2d at 159).

[1] Much like the disciplinary records shielded from disclosure in *Daily Gazette*, the documents at issue here are " 'the very sort of record' " presenting a potential for abusive exploitation and intended to be kept confidential under Civil Rights Law § 50-a (*Daily Gazette*, 93 NY2d at 159, quoting *Prisoners' Legal Servs.*, 73 NY2d at 31). The NYCLU's FOIL request seeks internal police department disciplinary records, spanning a 10-year period, that arise from civilian complaints against NYPD officers. These records are replete with factual details regarding misconduct allegations, hearing judges' impressions and findings, and any punishment imposed on officers—material ripe for "degrad[ing], embarrass[ing], harass[ing] or impeach[ing] the integrity of [an] officer" (*Daily Gazette*, 93 NY2d at 158). The documents are, accordingly, protected from disclosure under Civil Rights Law § 50-a.

B.

[2] Once it is implicated, Civil Rights Law § 50-a does not merely guarantee confidentiality in the abstract. Rather, the statute establishes specific procedural rights and mechanisms designed to implement its protective goals. In particular, while protection under Civil Rights Law § 50-a extends broadly beyond the litigation setting, disclosure is "strictly limited" to specified contexts under the statute (*Daily Gazette*, 93 NY2d at

154). The statutory language clearly provides that, before disclosure may be ordered, the court must determine that the requested records are "relevant and material *in the action before [it]*," and even then, it authorizes disclosure of only "those parts of the record found to be relevant and material" to the pending action (Civil Rights Law § 50-a [3] [emphasis added]). Construing this statutory text, we have unequivocally held: "There can be no question" that Civil Rights Law § 50-a permits court-ordered disclosure "*only* in the context of an ongoing litigation" (*Prisoners' Legal Servs.*, 73 NY2d at 33). Absent officer consent, protected personnel records are shielded from disclosure "except when a legitimate need for them has been demonstrated . . . to obtain a court order" based on a "showing that they are actually relevant to an issue in a pending proceeding" (*Daily Gazette*, 93 NY2d at 155). Here, in the context of the NYCLU's FOIL request, the requested records are not "relevant and material" to any pending litigation (Civil Rights Law § 50-a [3]), and accordingly, they are not disclosable.

C.

The NYCLU and its amici advance a number of policy arguments that, in their view, counsel in favor of disclosure. Public access to NYPD disciplinary decisions, they contend, is critical to maintaining public confidence in the integrity of the police force and ensuring that NYPD disciplinary actions properly apply the relevant legal principles. And redactions, they argue, are commonly used in a variety of contexts to balance transparency goals with individual privacy interests. The NYPD similarly suggests, at least before this Court, that redacted disclosure of protected personnel records in the FOIL context obviates the need for strict compliance with Civil Rights Law § 50-a where the redactions are, in the department's view, adequate to protect officer confidentiality.

These policy arguments are not new. To the contrary, in enacting and amending Civil Rights Law § 50-a, the legislature was well aware of them. In fact, "opposition to the bill was expressed on the ground that the needs to prevent oppressive use of police personnel records 'do not offset the benefits of assuring the availability to the public of the performance evaluation of its servants' " (*Daily Gazette*, 93 NY2d at 155, quoting Mem of Special Duty Atty-Gen Joseph P. Hoey, Special Prosecutor Suffolk County, Bill Jacket, L 1976, ch 413). The legislature "recognized" that section 50-a "would have some restrictive impact on open public access" and would "have the effect of insulating" certain "disciplinary records . . . from disclosure" (*id.* at 155). Notwithstanding this resistance, the legislature made the "policy choice" to "shield the personnel records of these officers from disclosure" by extending broad statutory protection while providing only limited exceptions for their release (*id.* at 154-155). We are not at liberty to second-guess the legislature's determination, or to disregard—or rewrite—its statutory text (*see Matter of Wolpoff v Cuomo*, 80 NY2d 70, 79 [1992]).

The alternative "redacted disclosure" regime proposed by the parties would eviscerate the legislature's mandate. Civil Rights Law § 50-a sets up a "legal process whereby the confidentiality of the records may be lifted by a court, but only after an in camera inspection and affording affected parties notice and an opportunity to be heard" (*Daily Gazette*, 93 NY2d at 154). The parties' proposal would, instead, enable an agency to circumvent the host of statutory protections belonging to covered officers by simply applying redactions that the agency, in its sole discretion, deems adequate. That scheme would transform Civil Rights Law § 50-a into an optional mechanism applicable only when (and if) the agency chooses to invoke it.

Importantly, the FOIL exemption at issue, Public Officers Law § 87 (2) (a), applies not only to section 50-a personnel records, but to *all* records covered by the various "state or federal statutes" that serve to protect the confidentiality of countless categories of individuals. That exemption incorporates protective statutes that safeguard the confidentiality of, for example, sex offense victims (Civil Rights Law § 50-b), medical patients (Public Health Law § 2803-c [3] [f]), and prospective jurors (Judiciary Law § 509 [a]), to name a few. While "nothing in *FOIL*" prohibits an agency from "disclos[ing] exempt records at [its] discretion" (Rivera, J., dissenting op at 576-577 [emphasis added]), these distinct and mandatory New York statutory provisions expressly operate to guarantee confidentiality notwithstanding FOIL's permissive disclosure regime (*e.g.* Civil Rights Law § 50-a [1] [requiring that "(a)ll personnel records . . . *shall* be considered confidential and not subject to inspection or review" (emphasis added)]; Civil Rights Law § 50-b [1] [requiring that "(t)he identity of any victim of a sex offense . . . *shall* be confidential" (emphasis added)]; Public Health Law § 2803-c [3] [f] [requiring that "(e)very patient *shall* have the right to

. . . confidentiality in the treatment of personal and medical records" (emphasis added)]; Judiciary Law § 509 [a] [requiring that "(juror qualification) questionnaires and records *shall* be considered confidential and *shall* not be disclosed" (emphasis added)]). Nothing in FOIL authorizes a petitioner—or a government agency—to exercise "absolute discretion" to override these critical statutory protections or their promise of confidentiality (Rivera, J., dissenting op at 576, 587 ["embrac(ing) the reasoning of Chief Judge Cooke's dissent in *Short*," which would have ordered disclosure of redacted abortion records protected by Civil Rights Law § 50-b]). Here, too, Civil Rights Law § 50-a provides the exclusive means for disclosure of confidential personnel records. The parties cannot sidestep its mandate through the expedient of redacted FOIL disclosure.[3]

III.

[3] FOIL's statutory scheme separately makes clear that redacted disclosure cannot be compelled where, as here, an agency has met its burden of demonstrating that records are exempt from disclosure under Public Officers Law § 87 (2) (a). FOIL's exemption provisions are housed in Public Officers Law § 87 (2), which enumerates the categories of records that are excluded from mandatory disclosure. The second prescribed exemption, Public Officers Law § 87 (2) (b), applies to records that "if disclosed would constitute an unwarranted invasion of personal privacy," as defined by Public Officers Law § 89 (2). Public Officers Law § 89 (2), in turn, supplies the statutory authority for an agency to "delete identifying details" in order "to prevent unwarranted invasions of personal privacy" (Public Officers Law § 89 [2] [a]). It further provides that "disclosure

3. Section 50-a's mandatory confidentiality provision is also unaffected by the "crucial fact" that NYPD disciplinary hearings are open to the public (Wilson, J., dissenting op at 588). Even if a New York City regulation could displace a state law (it cannot), the fact that "some information" in a record has, at some time, been "publicly disclosed" does not automatically surrender its confidentiality (Wilson, J., dissenting op at 588). For instance, records containing "[t]he identity of any victim of a sex offense" must be kept "confidential" from public inspection (Civil Rights Law § 50-b [1]), even though courts are *not* required "to exclude the public from any stage of the criminal proceeding" involving a sex offense (Civil Rights Law § 50-b [4]). Nor would the dissent's proposal create sound policy. Instead, it would perversely discourage municipalities from allowing public hearings, and encourage officers to seek confidential treatment of their hearings, in order to avoid any implication that they have somehow "consented" to broader public disclosure (Wilson, J., dissenting op at 591). The result would be less disclosure, not more.

shall not be construed to constitute an unwarranted invasion of personal privacy"—such that disclosure may be compelled—where "identifying details are deleted" (Public Officers Law § 89 [2] [c] [i]). FOIL does not, however, contain a similar redaction provision applicable to Public Officers Law § 87 (2) (a).[4]

We discussed this omission in *Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.*, which involved a FOIL request for medical records relating to claims for Medicaid reimbursement for abortions performed at a medical center (57 NY2d 399 [1982]). There, the Court held that the requested records were "specifically exempted" from FOIL disclosure under Public Officers Law § 87 (2) (a) and state statutes governing patient privacy, and that redacted disclosure of the records—with all personal identifying data deleted—could not be compelled (*id.* at 402). The Court recognized that the "statutory authority" to redact under FOIL "does not extend" to records exempt from disclosure by state or federal statute under Public Officers Law § 87 (2) (a); rather, redaction authority for exempt records "extends only" to FOIL's unwarranted invasion of personal privacy exemption, Public Officers Law § 87 (2) (b) (*id.* at 401). As we explained in *Short*, by explicitly providing for redaction "only within [a] single specified category"—the "unwarranted invasion of personal privacy" category—the legislature demonstrated its "intention to restrict the deletion device to that single category" (*id.* at 404-405). In other words, had the legislature sought to authorize court-ordered redaction for the FOIL exemption at issue, Public Officers Law § 87 (2) (a), it could have easily done so (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 74; 82 CJS, Statutes § 408). Accordingly, even though the "preservation of individual confidentiality" might be "served by deletion of identifying details," the Court determined that redaction of records exempt under Public Officers Law § 87 (2) (a) could *not* be compelled (*Short*, 57 NY2d at 406).

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4. Notably, FOIL's federal counterpart contains a much broader redaction provision that allows for redacted disclosure under any of Freedom of Information Act's enumerated exemptions (*see* 5 USC § 552 [b] ["Any reasonably segregable portion of a record shall be provided to any person requesting such record after deletion of the portions which are exempt under this subsection"]). Even though a number of FOIL's provisions were "patterned after the Federal analogue" (*Matter of Lesher v Hynes*, 19 NY3d 57, 64 [2012]), the New York Legislature has never enacted similar statutory redaction language.

Short's holding was reaffirmed nearly two decades later in *Matter of Karlin v McMahon* (96 NY2d 842 [2001]). There, the New York State Police denied the petitioner's FOIL request pursuant to Civil Rights Law § 50-b, which "provides a statutory exemption from disclosure for documents that tend to identify the victim of a sex offense" (*Karlin*, 96 NY2d at 843). On appeal, the Court remitted the matter to Supreme Court to determine whether the police had met their burden of showing that Civil Rights Law § 50-b "applie[d] to all the records [the] petitioner seeks" (*id.*). The Court made clear, however, that if the statute applied, redacted disclosure could *not* be compelled: "[I]nsofar as the requested records are exempt from disclosure pursuant to State statute, the police are not obligated to provide the records even though redaction might remove all details which 'tend[ ] to identify the victim' " (*id.* [citations omitted]).

Here, as in *Short* and *Karlin*, the requested records are exempt from disclosure under Public Officers Law § 87 (2) (a), which contains no statutory authorization for redaction. As such, as in *Short* and *Karlin*, redacted disclosure cannot be compelled. The dissent's core contention—that *Short* and *Karlin* "should not be followed" (Rivera, J., dissenting op at 587), and the Court should extend the use of redaction to Public Officers Law § 87 (2) (a)—is "perhaps a predicate on which to ground an argument to the Legislature that [FOIL] should be amended" (*Short*, 57 NY2d at 406).[5] It is not grounds for judicial revision of FOIL (*id.*).

IV.

This case presents a straightforward application of Civil Rights Law § 50-a and Public Officers Law § 87 (2) (a), which mandate confidentiality and supply no authority to compel redacted disclosure. To the extent the dissent would prefer to revoke civil rights protections afforded to police officers (Civil Rights Law § 50-a), victims of sex crimes (Civil Rights Law § 50-b), medical patients (Public Health Law § 2803-c [3] [f]),

5. Contrary to the dissent's contention (Rivera, J., dissenting op at 587), the holdings of *Short* and *Karlin*—and our holding today—apply only to Public Officers Law § 87 (2) (a), the FOIL exemption at issue. To the extent another FOIL exemption might authorize redaction as a means of separating "exempt" from "non-exempt" material within a record (*see Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131, 133 [1985]), that issue is not before us.

or others, those arguments are properly directed to the legislature. The order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

STEIN, J. (concurring). Although I agree with the majority's conclusion that personnel records protected by Civil Rights Law § 50-a are exempt from disclosure under Public Officers Law § 87 (2) (a), I write separately to explain that, in my view, it is not necessary to rely on *Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.* (57 NY2d 399 [1982]) in order to reach that conclusion.

As the majority recognizes, Public Officers Law § 87 (2) (a)—by stating that an agency may deny access to records "specifically exempted from disclosure by state or federal statute"—expressly contemplates that confidentiality of records may be mandated by another provision of law. Civil Rights Law § 50-a is such a statute inasmuch as it not only establishes that certain personnel records must be kept confidential, but also furnishes a detailed legal process whereby a court may compel disclosure of such records in limited circumstances upon notice and an opportunity for interested parties to be heard (*see* Civil Rights Law § 50-a [1], [2], [3]). Section 50-a contains its own express exemption, allowing disclosure to certain public officials who require access in furtherance of their official duties (*see* Civil Rights Law § 50-a [4]). As the majority holds, these statutes—Civil Rights Law § 50-a and Public Officers Law § 87 (2) (a)—must be read together (*see Matter of Goodman [Barnard Coll.—Commissioner of Labor]*, 95 NY2d 15, 21 [2000]).

Notably, Civil Rights Law § 50-a does *not* permit the disclosure of personnel records—redacted or otherwise—outside the context of pending litigation to which the records are relevant and material (*see* Civil Rights Law § 50-a [3]; *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, 73 NY2d 26, 33 [1988]). The Freedom of Information Law (FOIL) provides no mechanism for an agency to otherwise overcome the mandate of confidentiality in section 50-a (*see Matter of Newsday, Inc. v Sise*, 71 NY2d 146, 151 [1987], *cert denied* 486 US 1056 [1988]). To allow disclosure under FOIL of records subject to section 50-a, even with redaction, would render meaningless the procedural protections provided by that section.

Thus, as the majority explains, the only reasonable way to reconcile and give effect to both the FOIL exemption contained in Public Officers Law § 87 (2) (a) and the protections embodied in Civil Rights Law § 50-a is to interpret the former as incorporating the legal standard of the latter. In other words, Public Officers Law § 87 (2) (a) recognizes that records exempt from disclosure by other statutes may also be exempt from FOIL disclosure, and section 50-a, by its own terms, forecloses any claim that redaction is permitted. It necessarily follows that section 50-a "provides the exclusive means for disclosure of confidential personnel records" (majority op at 568). Because the New York City Police Department's disciplinary determinations are undisputedly personnel records within the meaning of section 50-a, those records are subject to all of the protections of that statute.

My analysis is consistent with sections I and II of the majority opinion. However, because the question before us is readily answered by reference to the plain language of Public Officers Law § 87 (2) (a) and Civil Rights Law § 50-a, I find it unnecessary to rely on *Matter of Short* (57 NY2d at 405) or to reach the continuing viability of this Court's reasoning in that case regarding the extent to which an agency may be required under FOIL to release redacted records. Likewise, there is no need to analyze the interplay between *Matter of Short* and those cases raised by the dissent (*see e.g. Matter of Gould v New York City Police Dept.*, 89 NY2d 267, 275 [1996]; *Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42, 45 [2011]; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477, 487 [2005]; *see also Matter of Abdur-Rashid v New York City Police Dept.*, 31 NY3d 217, 237 [2018]) in order to resolve this appeal. I, therefore, join sections I and II of the majority opinion, but I decline to join section III.

RIVERA, J. (dissenting). New York State's Freedom of Information Law (FOIL) provides public access to government records unless the responsible agency exercises its discretion to withhold information that falls within a small number of statutory exemptions (*see generally* Public Officers Law § 87). To fulfill its obligations under FOIL, an agency may redact exempted information from a "mixed document," one that contains both exempted and nonconfidential material. Both petitioner New York Civil Liberties Union (NYCLU) and respondent New York City Police Department (NYPD) agree with these uncontroversial descriptions of the statutory requirements and current practice. Indeed, it is how the mandates of

FOIL are effectuated everyday by agencies and the judiciary when called upon to resolve a disputed request for government records.

Yet, the majority now asserts that agencies, the courts, and indeed, the general public have labored under a misunderstanding of FOIL's mechanics and salutary purpose. According to the majority, redaction is unavailable even where it may be the sole method to effectuate the statutory goal of promoting government transparency "to hold the governors accountable to the governed" (*NLRB v Robbins Tire & Rubber Co.*, 437 US 214, 242 [1978]). As a general proposition at odds with the statutory text and intent, this is bad decisionmaking. However, it is exponentially more troublesome because the majority relies on a constrained reading of FOIL and a decontextualized analysis of the Civil Rights Law to reach an erroneous conclusion: all employment records of police officers are concealed from public review, even if an officer's identifying information is redacted, except in the limited circumstances where the specific records are material to pending litigation. The Court has held just the opposite, concluding that when a FOIL request seeks a police officer's employment records "nondisclosure will be limited to the extent reasonably necessary to effectuate the purposes of Civil Rights Law § 50-a—to prevent the potential use of information in the records . . . to degrade, embarrass, harass or impeach the integrity of the officer" (*Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145, 157-158 [1999]). I dissent from the majority's retreat from this prior case law, and what I view as an interpretation of our statutes that cloaks government activity in secrecy and undermines our state's public policy of open government.

I. The NYCLU's FOIL Request

The NYCLU appeals the denial of its FOIL request for copies of 10 years of NYPD final disciplinary rulings in individual police officer abuse cases, substantiated and referred to the NYPD by New York City's independent Civilian Complaint Review Board. The NYPD claims it may deny disclosure of the disciplinary rulings pursuant to one of FOIL's exemptions, by which an "agency may deny access to records or portions thereof that . . . are specifically exempted from disclosure by state or federal statute" (Public Officers Law § 87 [2] [a]). It asserts that the disciplinary rulings here are "personnel records used to evaluate performance toward continued employment or promotion" of the officers and thus confidential within the meaning of Civil Rights Law § 50-a. The NYPD also claims that the disciplinary rulings are heavily fact-laden and therefore redaction would not effectively mask a police officer's identity. Additionally, it argues that, even if all identity-revealing information could be excised from the rulings, the final opinions, stripped bare of context, would be unrepresentative of the Commissioner's rationale. Such a document would ill serve FOIL's goals as it could not provide the public with insight into the underlying analysis justifying the final ruling. The NYCLU agrees with the NYPD that the requested documents are subject to redaction, but objects to the NYPD's unsubstantiated claims that redaction is categorically unavailable here, or that the documents should be denied because redaction would distort the meaning of the rulings. The NYCLU argues that redaction inherently leaves the reader with an incomplete view and, thus cannot be the basis for denial of a FOIL request.

After in camera review of a random sample of redacted disciplinary rulings, Supreme Court ordered disclosure of redacted copies of all the rulings covered by the NYCLU's FOIL request. The Appellate Division reversed, not on the specifics of FOIL request but based on a blanket exemption of all Civil Rights Law § 50-a personnel records, notwithstanding the ability of the NYPD to remove all police officer identifying information (*Matter of New York Civ. Liberties Union v New York City Police Dept.*, 148 AD3d 642, 643 [1st Dept 2017]). This was error, as the primary purposes of Civil Rights Law § 50-a and FOIL are properly achieved by disclosure of the requested police disciplinary decisions, redacted as necessary to preserve anonymity of named or implicated police officers.

II.

A. Freedom of Information Law

New York State's FOIL requires that, upon request, government agencies provide access to records within its control (Public Officers Law § 87). The legislative purpose, as explained in the legislative declaration, is to make government transparent:

> "[A] free society is maintained when government is responsive and responsible to the public, and when the public is aware of governmental actions. The more open a government is with its citizenry, the greater the understanding and participation of the public in government . . .

> "The people's right to know the process of governmental decision-making and to review the documents and statistics leading to determinations is basic to our society. Access to such information should not be thwarted by shrouding it with the cloak of secrecy or confidentiality.
>
> "The legislature therefore declares that government is the public's business and that the public, individually and collectively and represented by a free press, should have access to the records of government in accordance with the provisions of this article" (Public Officers Law § 84).

Echoing this clear statement of legislative intent, the Court has recognized that the statute "proceeds under the premise that the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government" (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). This right to know is not merely a lofty ideal without practical implications. Instead, it has frequently proved to be a "remarkably effective device in exposing waste, negligence and abuses on the part of government" and enables individuals to intelligently participate in the democratic process by ensuring the public has sufficient information about the government's actions (*id.*).

The legislature balanced this "general policy of disclosure" against the state's interest in keeping certain governmental matters confidential by adopting a short list of exemptions (*id.*; Public Officers Law § 87 [2] [a]-[i], [*o*]).[1] Specifically, FOIL provides that "[e]ach agency shall, in accordance with its

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1. The enumerated exemptions consist of records or portions thereof that

"(a) are specifically exempted from disclosure by state or federal statute;

"(b) if disclosed would constitute an unwarranted invasion of personal privacy under the provisions of subdivision two of section eighty-nine of this article;

"(c) if disclosed would impair present or imminent contract awards or collective bargaining negotiations;

"(d) are trade secrets or are submitted to an agency by a commercial enterprise or derived from information obtained from a commercial enterprise and which if disclosed would cause substantial injury to the competitive position of the subject enterprise;

"(e) are compiled for law enforcement purposes . . . ;

"(f) if disclosed could endanger the life or safety of any person;

"(g) are inter-agency or intra-agency materials . . . ;

(n. cont'd)

published rules, make available for public inspection and copying all records, except that such agency may deny access to records or portions thereof" that fall within any of these designated categories of records (Public Officers Law § 87 [2]). "All government records are thus presumptively open for public inspection and copying unless they fall within one of the enumerated exemptions" (*Matter of Gould v New York City Police Dept.*, 89 NY2d 267, 274-275 [1996]).

In accordance with the goal of government transparency, these exemptions "are to be narrowly interpreted so that the public is granted maximum access to the records of government" (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007]; *Gould*, 89 NY2d at 275; *Matter of Russo v Nassau County Community Coll.*, 81 NY2d 690, 697-698 [1993]; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]). This is so because "blanket exemptions for particular types of documents are inimical to FOIL's policy of open government" (*Gould*, 89 NY2d at 275). An agency that seeks to invoke an exemption, must therefore "articulate '[a] particularized and specific justification' for not disclosing requested documents" (*id.*, quoting *Fink*, 47 NY2d at 571).

In line with its overarching policy favoring disclosure, the legislature did not foreclose disclosure of all records that fall within an exemption. Instead, while the statute empowers an "agency to deny access to the specified records," nothing in FOIL "restricts the right of the agency if it so chooses to grant access to records within any of the statutory exceptions, with or without deletion of identifying details" (*Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.*, 57 NY2d 399, 404 [1982], citing to *Chrysler Corp. v Brown*, 441 US 281 [1979]). In other words, to maximize disclosure, "the agency does not have carte blanche to withhold any information it pleases" (*Fink*, 47 NY2d at 571), and it has absolute discretion to disclose records that may fall within an exemption.

"(h) are examination questions or answers which are requested prior to the final administration of such questions . . . [;]

"(i) if disclosed, would jeopardize the capacity of an agency or an entity that has shared information with an agency to guarantee the security of its information technology assets . . . [;]

"(*o*) are photographs, microphotographs, videotape or other recorded images prepared under authority of section eleven hundred eleven-e of the vehicle and traffic law" (Public Officers Law § 87 [2] [a]-[i], [*o*]).

In this regard, FOIL is consistent with the federal Freedom of Information Act (FOIA), which permits agencies to disclose exempt records at their discretion (*see* 5 USC § 552). "As we have observed, '[f]ederal case law and legislative history . . . are instructive' when interpreting a FOIL provision 'patterned after the Federal analogue' " (*Matter of Friedman v Rice*, 30 NY3d 461, 480 [2017], quoting *Matter of Lesher v Hynes*, 19 NY3d 57, 64 [2012]). The FOIA lists nine exemptions to disclosure, including records "related solely to the internal personnel rules and practices of an agency . . . [or] specifically exempted from disclosure by statute . . . ." (5 USC § 552 [b] [2], [3].) Like FOIL's exemptions, FOIA merely "demarcates the agency's obligation to disclose" and "does not foreclose disclosure" (*Chrysler*, 441 US at 292-293 ["Congress did not design the FOIA exemptions to be mandatory bars to disclosure"]; *Mobil Oil Corp. v United States Envtl. Protection Agency*, 879 F2d 698, 700 [9th Cir 1989] ["The exemptions are permissive, and an agency may voluntarily release information that it would be permitted to withhold under the FOIA exemptions"]).[2] Indeed, at the time of its enactment, FOIL was intended to "conform New York State's version of Freedom of Information to the Federal law" (Letter of cosponsor Senator Anderson, Bill Jacket, L 1977, ch 933), and agencies understood that when considering records within one of the enumerated exemptions "an agency may, but is under no obligation to, claim the exemption and deny access to the record" (Mem of Div of Criminal Justice Servs at 1, Bill Jacket, L 1977, ch 933).

Lastly, "if the court is unable to determine whether withheld documents fall entirely within the scope of the asserted exemption, it should conduct an in camera inspection of representative documents and order disclosure of all nonexempt, appropriately redacted material" (*Gould*, 89 NY2d at 275, citing *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131, 133 [1985]; *Matter of M. Farbman & Sons v New York City Health*

2. Other states with similar freedom of information statutes also interpret exemptions to such laws as defining an agency's obligations to disclose rather than imposing a duty to withhold (*see e.g. Data Tree, LLC v Meek*, 279 Kan 445, 455, 109 P3d 1226, 1234 [2005] ["The KORA does not prohibit disclosure of records contained within these exceptions but makes their release discretionary with the agency's official records custodian"]; *Evening Post Publ. Co. v City of North Charleston*, 363 SC 452, 457 n 5, 611 SE2d 496, 499 n 5 [2005] ["That a record is exempt does not mean that the government has a duty of non-disclosure. Rather, an exemption provides the government with discretion to either withhold the record or release it"]).

& Hosps. Corp., 62 NY2d 75, 83 [1984]). This procedure is now a well-established, common feature of judicially-reviewed FOIL requests (*Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42, 46 [2011] ["Courts deciding FOIL issues often order redaction when a record contains both exempt and nonexempt information"]; *see e.g. Data Tree*, 9 NY3d 464; *Xerox Corp.*, 65 NY2d at 133).

B. Civil Rights Law § 50-a

Civil Rights Law § 50-a (1) provides:

> "All personnel records used to evaluate performance toward continued employment or promotion, under the control of any police agency or department of the state or any political subdivision thereof . . . shall be considered confidential and not subject to inspection or review without the express written consent of such police officer . . . except as may be mandated by lawful court order."

Subdivisions (2) and (3) establish a process for a court to determine whether to disclose these personnel records. The court must first give interested parties an opportunity to be heard and determine if there is "a clear showing of facts sufficient to warrant the judge to request records for review" (Civil Rights Law § 50-a [2]). If such a showing is made, the court "shall then review the file and make a determination as to whether the records are relevant and material in the action before [it]. Upon such a finding the court shall make those parts of the record found to be relevant and material available to the persons so requesting" (Civil Rights Law § 50-a [3]).

The Court has expounded on the proper interpretation of Civil Rights Law § 50-a and its interplay with FOIL in a trio of cases. In the first, *Capital Newspapers*, a journalist investigating alleged abuses of sick leave privileges by Albany police officers requested copies of the sick time records of the police officers' union president (67 NY2d at 564-565). The Court held Civil Rights Law § 50-a does not create a blanket exemption from FOIL disclosure (*id.* at 569). Rather, given the common law's "highly qualified" privilege for withholding certain police records, and the legislative history of Civil Rights Law § 50-a, the Court concluded that the statute had a limited purpose: to curb the use of police personnel records during litigation to embarrass and harass police officers (*id.* at 568). As the Court explained, "the legislative intent underlying the enactment of

Civil Rights Law § 50-a was narrowly specific, 'to prevent time-consuming and perhaps vexatious investigation into irrelevant collateral matters in the context of a civil or criminal action' " (*id.* at 569, quoting *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 109 AD2d 92, 96 [3d Dept 1985]). In light of FOIL's interest in open government, and this legislative history, the Court reasoned that "section 50-a should not be construed to exempt [the officer's sick leave report] from disclosure by the police department in a nonlitigation context under Public Officers Law § 87 (2) (a)" (*id.*).

In the second case, *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, the Court concluded that Civil Rights Law § 50-a applies to records sought outside the context of litigation (73 NY2d 26 [1988]). Prisoners' Legal Services of New York requested inmate grievances and agency decisions pertaining to a specific correction officer at Fishkill Correctional Facility (*id.* at 29-30). The Court explained that the case did not turn on an interpretation of FOIL, but whether the requested documents were personnel records within the meaning of Civil Rights Law § 50-a (*id.* at 30-31). On that score, the Court concluded that they were and rejected the argument that Civil Rights Law § 50-a was inapplicable where records were not sought for use in a related action (*id.* at 32-33). The Court explained that the purpose of section 50-a was "to protect the officers from the use of records—including unsubstantiated and irrelevant complaints of misconduct—as a means for harassment and reprisals and for purposes of cross-examination by plaintiff's counsel during litigation" (*id.* at 31-32). However, the Court noted that nothing in the statutory language suggested that the Civil Rights Law § 50-a protection applies only upon commencement of litigation (*id.* at 32-33). Thus, the documents were covered under Civil Rights Law § 50-a (*id.* at 31-32).

In response to the dissent's textualist argument that Civil Rights Law § 50-a is inapplicable outside the litigation context, the Court acknowledged that subdivisions (2) and (3) permit "*court-ordered disclosure* of personnel records within its protection—i.e., those that have potential use in harassing and embarrassing officers in litigation—*only* in the context of an ongoing litigation" (*id.* at 33). However, it held that the protection of section 50-a was not coextensive with the court's authority to order disclosure as such a narrow view would allow parties to circumvent the law "by the simple expedient of making

FOIL requests for the records first and bringing the lawsuit later" (*id.*).

The Court also distinguished *Capital Newspapers* because the records in that case "were sought for a purpose and in a context that could have had no relation to potential litigation" (*id.*). Rather than limiting the scope of section 50-a to records pertinent to pending litigation, *Capital Newspapers* "simply recognized that the legislative intent in enacting the 1981 amendment to section 50-a was to prevent release of sensitive personnel records that could be used in litigation for the purpose of harassing or embarrassing correction officers" (*id.*). Thus, "records having remote or no such potential use . . . fall outside the scope of the statute" (*id.*).

Daily Gazette, the last of the triad, involved a FOIL request by two newspapers seeking Schenectady Police Department records of disciplinary actions against 18 police officers (93 NY2d at 152). The officers had been the subject of news reports concerning an incident where they had thrown eggs at a civilian's vehicle (*id.*). After the Police Chief confirmed that the officers had admitted their participation in the incident and had been disciplined the newspapers requested all documents related to the incident "or the identities of the sanctioned officers and the specific punishment imposed upon each" (*id.*).

In its holding, the Court reaffirmed that the statutory protections of Civil Rights Law § 50-a are not limited to those sought in the context of actual litigation. While one of the dangers addressed by the law was the possibility that a police officer testifying in a legal proceeding would be "discredited by confrontation with irrelevant 'complaints, *disciplinary proceedings* or *reprimands* filed against them *in the past*' " (*id.* at 155, quoting Mem of Div of Budget, Bill Jacket, L 1976, ch 413) the statute was also designed "to prevent abusive exploitation of personally damaging information contained in officers' personnel records" that could be used to harass officers or their families (*id.* at 154-155). Accordingly, the "decisive factor in determining whether an officer's personnel record was exempted from FOIL disclosure under Civil Rights Law § 50-a was the potential *use* of the information contained therein, not the specific purpose of the particular individual requesting access, nor whether the request was actually made in contemplation of litigation" (*id.* at 156-157). The critical question then is whether the requested documents can be used against the officers "as a device for harassing or embarrassing" them. That inquiry, by its nature, is specific to the impact on the identified individual officer.

Significantly, the Court in *Daily Gazette* analyzed the interplay between FOIL's disclosure mandate and the protections afforded an individual officer by Civil Rights Law § 50-a, declaring that the latter's "comprehensive statutory exemption must be tempered when it interacts with the competing, equally strong legislative policy of open government through broad public access to governmental agency records embodied in the FOIL legislation" (*id.* at 157). The Court concluded that when a FOIL request seeks personnel records that fall within Civil Rights Law § 50-a "nondisclosure will be limited to the extent reasonably necessary to effectuate the purposes of [the law]—to prevent the potential use of information in the records in litigation to degrade, embarrass, harass or impeach the integrity of the officer" (*id.* at 157-158).

The burden on the agency to withhold the requested information from disclosure is heavy and turns on the potential use against a known individual. "In the case of a claim that disclosure is 'specifically exempted from disclosure by state . . . statute' . . . the agency must demonstrate a substantial and realistic potential of the requested material for the abusive use against the officer" (*id.* at 159). To achieve the goals of the respective statutes, the Court sanctioned the familiar process of redaction: "disclosure for uses that would not undermine the protective legislative objectives could be attained . . . through redaction by the agency having custody of the records, tailored . . . so as to preclude use in personal attacks against an officer which Civil Rights Law § 50-a was enacted to preclude" (*id.*). In this way, a FOIL request may be granted, and the public access goals of FOIL achieved, "without sacrificing the values the Legislature embraced in enacting Civil Rights Law § 50-a" (*id.*).

As these cases illustrate, in the context of a FOIL request for personnel records covered by Civil Rights Law § 50-a, the Court has never, as the majority has here, untethered the confidentiality requirement of section 50-a from its legislative intent to protect officers from harassment based on records specific to them. The Court has consistently treated Civil Rights Law § 50-a as a statutory bulwark against disclosure of sensitive personnel records that reveal an officer's identity and disciplinary history because such disclosure has the potential to degrade or embarrass an officer. The law does not elevate confidentiality as a hollow goal unto itself. These cases demonstrate that, for more than 30 years, this Court has been mindful of the narrow purpose of Civil Rights Law § 50-a when considering whether personnel records must be disclosed under FOIL. Time and again, the Court has gone to great lengths to harmonize the public policy that animates Civil Rights Law § 50-a and FOIL, siding contrarily in favor of nondisclosure in those situations where maintaining confidentiality is "reasonably necessary to effectuate the purposes of Civil Rights Law § 50-a" (*id.* at 157).

That concern is not implicated where the subject of the records is unknown, as where all identifying information is redacted. As the Court concluded in *Daily Gazette*, in what may be considered prescient given the facts of the instant appeal,

> "it may well be possible for petitioners largely to fulfill their important function of dissemination of matters of legitimate public interest, i.e., concerning the appropriateness of the City's response to off-duty misconduct by members of its police force, without sacrificing the values the Legislature embraced in enacting Civil Rights Law § 50-a" (*id.* at 159).

III.

The Foil Request Should be Granted

Applying the relevant statutes and our prior case law to the instant appeal, the NYCLU's FOIL request for the disciplinary rulings should be granted and the records redacted of all information that could lead to the identification of individual police officers. The random sample of rulings Supreme Court reviewed in camera were redacted of names, height, weight, religion, and profession of complainants, officers, and witnesses; exact dates and locations of officer assignments; and vehicle makes and models. The same redaction process—allowing for removal as needed of additional types of identifying information—can similarly be conducted on the remaining undisclosed disciplinary rulings.

The NYPD's claim that its disciplinary rulings are ill-suited to redaction because the documents can never be completely purged of identifying information is essentially an argument for a categorial exclusion from FOIL. We have previously rejected such requests for blanket exemptions, as they are antithetical to FOIL's interest in open government (*see Gould*, 89 NY2d at 275; *see Friedman*, 30 NY3d at 477). The NYPD's position also contravenes FOIL's general policy in favor of disclosure and our instruction that all the statutory exemptions are to be narrowly interpreted to maximize public access to government records (*Fink*, 47 NY2d at 571; *Capital Newspapers*, 67 NY2d at 566). Of course, the NYPD is free, like any other agency that invokes a FOIL exemption, to articulate a particularized and specific basis for nondisclosure of any individual disciplinary ruling, including that the precise document's organizational structure and rhetorical style constrains the NYPD from effectively redacting all information that potentially identifies police officers.

The NYPD's alternative argument that it need not disclose the rulings because the necessary redaction would be so extensive as to render the documents unrepresentative of the underlying analysis is unavailing. As the NYCLU argues, redaction by definition leaves the document "incomplete" and has never been a reason to deny a FOIL request. It bears repeating that FOIL affords the public "the means to obtain information . . . to 'make intelligent, informed choices with respect to both the direction and scope of governmental activities' " (*Capital Newspapers*, 67 NY2d at 566, quoting *Fink*, 47 NY2d at 571, citing Public Officers Law § 84). It would turn FOIL on its head to apply it as a means by which government may withhold information based on some amorphous concept of what the general public understands. It is not for government to decide what the public makes of the information disclosed. Indeed, the NYPD's implicit suggestion—that the public is better served by withholding information it cannot understand—ignores the legislative declaration that "government is the public's business" (Public Officers Law § 84). In any case, the proper response in line with the public policy favoring disclosure is to provide more, not less (or no), information about the workings of government. That is particularly true with respect to the documents at issue here, which involve complaints about police abuse, a matter of long-standing public concern and public debate that implicate the integrity of our law enforcement and criminal justice systems. In the words of *Matter of Fink*, adopted and rephrased to apply to the disciplinary rulings at issue here, disclosure allows the public to understand how we "police the police" (*see Fink*, 47 NY2d at 571, quoting *Robbins Tire & Rubber Co.*, 437 US at 242).

Nevertheless, the majority concludes that Civil Rights Law § 50-a prohibits any disclosure of covered personnel records, regardless of whether the underlying statutory purpose is served (majority op at 565). Its analysis is unpersuasive because it: (1) ignores our precedent explaining the interplay between FOIL and Civil Rights Law § 50-a; (2) contravenes our rules of construction by converting a statute with a singular application into an all-encompassing confidentiality law; (3) misapplies the disclosure process of Civil Rights Law § 50-a (2) and (3); and (4) limits the common practice of redaction, sanctioned by this Court as a method specifically tailored to achieve the intended purposes of FOIL and Civil Rights Law § 50-a.

The majority's adoption of a categorical exemption from disclosure ignores that we have eschewed blanket exemptions. More significantly, it fails to recognize that Civil Rights Law § 50-a is not a general confidentiality statute, but instead a legislative response to the use of employment evaluation records to embarrass and harass officers. Contrary to our precedent, the majority has expanded the application of section 50-a by ignoring our directive that nondisclosure "be limited to the extent reasonably necessary to effectuate the purposes of Civil Rights Law § 50-a," i.e. to prevent the use of personnel records against an identified officer (*Daily Gazette*, 93 NY2d at 157). If the officer's identity is protected from disclosure, then the animating legislative concern is no longer relevant. Our case law harmonizes the statutes in just this way, for the Civil Rights Law § 50-a "statutory exemption must be tempered when it interacts with the competing, equally strong legislative policy of open government through broad public access to governmental agency records embodied in the FOIL legislation" (*id.*). Thus, personnel records with "[a] remote or no such potential use [to harass or embarrass an officer] fall outside the scope of the statute" (*Prisoners' Legal Servs.*, 73 NY2d at 33).

Here, the legislative concern that motivated enactment of Civil Rights Law § 50-a is not implicated by the NYCLU's request for disciplinary rulings stripped bare of all information that identifies particular officers. In contrast, secreting this information undermines the significant public policy of FOIL, and conceals government practices that the legislature did not intend to shield from public scrutiny and debate.

The majority rejects the NYCLU and NYPD's claim that redaction of Civil Rights Law § 50-a records is permissible, concluding that redaction "would eviscerate the legislature's mandate" because, under the majority's view, Civil Rights Law § 50-a provides the only legal process by which a court may order disclosure of personnel records (majority op at 567). The majority asserts that section 50-a and other statutes "expressly operate to guarantee confidentiality notwithstanding FOIL's permissive disclosure regime" (majority op at 567). However, section 50-a, and the other statutes cited by the majority do not expressly provide for such a mandatory exemption from FOIL. Indeed, the term "notwithstanding," which typically indicates the legislature's intent for a provision to preempt other confliction laws, is notably absent from the text of the statute (*People v Mitchell*, 15 NY3d 93, 97 [2010]; *see e.g.* CPL 410.80 [2]; Education Law § 2854 [1] [a]). On the other hand, FOIL expressly grants agencies with discretion to disclose records that fall within one of its exemptions (Public Officers Law § 87 [2] ["such agency *may* deny access to records or portions thereof that (fall within an enumerated exemption)" (emphasis added)]). To reach its dispositive conclusion, the majority essentially adds a "notwithstanding" clause into section 50-a (and the other statutes cited) and interprets the word "may" as its mandatory opposite, "shall," all in contravention of our rules of construction and well understood definitions (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 177; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 255 n 1 [2004] ["We have previously recognized that the term 'may' is permissive . . . We will not presume that the Legislature meant 'shall' when it said 'may' "]).

The majority's reliance on *Prisoners' Legal Servs.* for the proposition that personnel records may only be disclosed by court order pursuant to Civil Rights Law § 50-a (3) in the context of pending litigation (majority op at 566) is misplaced. Not only is this contradicted by the plain language of FOIL, which provides an "agency may deny access to records" that are exempted by state or federal statute, it turns on a selective, unrepresentative, reading of *Prisoners' Legal Servs*. There, the Court stated that Civil Rights Law § 50-a "permits court-ordered disclosure of personnel records within its protection—i.e., those that have potential use in harassing and embarrassing officers in litigation—only in the context of an ongoing litigation" (73 NY2d at 33 [emphasis omitted]). Accordingly, the process for court-ordered disclosure outlined in Civil Rights

Law § 50-a (3) applies only where the records have the potential to harass and embarrass officers in litigation. The provision does not limit disclosure outside the litigation context.

Simply stated, we have previously sanctioned redaction in the context of a FOIL request for Civil Rights Law § 50-a records (*Daily Gazette*, 93 NY2d at 159), and it would be anomalous to deny disclosure of these disciplinary rulings, redacted of all personal identifying information leaving only the legal analysis as applied to non-identificatory facts, when this Court has previously upheld disclosure of personnel employment records of a named police officer (*Capital Newspapers*, 67 NY2d at 569). Indeed, if the majority's interpretation were correct, our prior cases would have simply held that Civil Rights Law § 50-a is an absolute bar to FOIL disclosure, and that would have ended the matter. That did not happen. Alternatively, the legislature would surely have amended Civil Rights Law § 50-a if it deemed those prior cases to have misconstrued the statute and the legislative intent. That did not happen. The conclusion to be drawn is that both statutes can coexist and be harmonized by deletion of all information that identifies a police officer.

The majority's further reliance on *Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.* (57 NY2d 399 [1982]) and *Matter of Karlin v McMahon* (96 NY2d 842 [2001]) is similarly unpersuasive as both cases are distinguishable. First, neither required interpretation of Civil Rights Law § 50-a; both involved different statutory provisions and legislative concerns. *Short* concerned a request for copies of 29 abortion records and required interpretation of three statutes that exempted medical information from disclosure,[3] and *Karlin* considered a request for records identifying a victim of sexual assault, which are confidential under Civil Rights Law § 50-b (*see Short*, 57 NY2d 403; *Karlin*, 96 NY2d at 843). Second, the records in these cases involved countervailing interests not implicated by disclosure of Civil Rights Law § 50-a personnel records—e.g. the trauma an individual may suffer from knowing their medical records have been disclosed, even if anonymously—that should be considered when balancing the purpose of FOIL (*Short*, 57 NY2d at 406 n 3 [noting that the Court could not assume that protecting the confidentiality of the identity of

3. The three statutes at issue were Public Health Law §§ 2803-c (3) (f), 2805-g (3), and Social Services Law § 369 (3) (*Short*, 57 NY2d at 403).

patients was the exclusive motivation for the statutory exemption]). Third, to the extent that *Short*—and by extension this Court's memorandum opinion in *Karlin* that relied on *Short*—held that redaction was applicable to a single category of exempt records, those whose disclosure would amount to an unwarranted invasion of privacy, the cases should not be followed as this Court has since endorsed the use of redactions to permit disclosure of records that fall within other exemptions (*see Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477, 487 [2005] [records fell within the exemption for intra-agency materials]; *Gould*, 89 NY2d at 275 [same]).[4]

In fact, our Civil Rights Law § 50-a jurisprudence has expressly embraced the reasoning of Chief Judge Cooke's dissent in *Short*. He argued that disclosure of the 29 medical records in redacted form would protect the privacy interests of the subject individuals while furthering the purposes of FOIL: "to encourage 'the understanding and participation of the public in government', 'to extend public accountability wherever and whenever feasible', and to forestall thwarting '[t]he people's right to know the process of governmental decision-making . . . by shrouding [the underlying documents and statistics] with the cloak of secrecy or confidentiality' " (*Short*, 57 NY2d at 407, quoting Public Officers Law § 84). Furthermore, in words that resonate with equal or greater force as relates to records that illustrate the government's disposition of police abuse claims, the dissent argued that a court should be able to order disclosure of records with identifying information deleted

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4. The majority argues that the use of redactions for other exemptions is irrelevant as the holdings of *Short* and *Karlin* applied solely to Public Officers Law § 87 (2) (a). The majority's assertion fails to recognize the reasoning of *Short*, which essentially held that redactions are applicable only to statutory exemptions that expressly allow for them (*Short*, 57 NY2d at 405). The fact that this Court has since endorsed the use of redactions for other exemptions, which do not provide for redactions is thus instructive.

In addition, the majority suggests that I take issue with *Short* and *Karlin* because those cases make bad policy (majority op at 570). The same could be said of the majority's reading of *Daily Gazette*'s interplay analysis. However, my disagreement with the majority's reading of *Short* and *Karlin* is not policy based. These cases should not be followed because the reasoning in *Short* has since been undermined and both cases are inapplicable to the question of whether section 50-a records may be disclosed under Public Officers Law § 87 (2). Far from advocating for "judicial revision of FOIL," as the majority implies (majority op at 570), I maintain that we follow this Court's prior ruling that section 50-a "be tempered" when it interacts with FOIL (*Daily Gazette*, 93 NY2d at 157).

because "[t]o deny such a power to the courts in this context is tantamount to granting to the agency an unlimited power to withhold records" (*id.*).[5]

IV.

For the reasons I have discussed, Supreme Court properly ordered disclosure to the NYCLU of redacted copies of the requested disciplinary rulings. The majority's conclusion to the contrary is based on an interpretation of Civil Rights Law § 50-a that does nothing to serve the purpose of that statute and instead undermines New York State's strong public policy of open government, transparency, and public access to government records. It is now for the legislature to correct the majority's error and reaffirm its declaration "that a free society is maintained when government is responsive and responsible to the public, and when the public is aware of governmental actions. The more open a government is with its citizenry, the greater the understanding and participation of the public in government" for after all "government is the public's business" (Public Officers Law § 84).

Wilson, J. (dissenting). The majority's analysis ignores a crucial fact. New York City has determined that the Trial Room hearings are open to the public, subject to confidentiality provisions imposed by the Deputy Commissioner of Trials (*see* 38 RCNY 15-04 [g]). The Trial Room confidentiality provisions give the subject officer (and others appearing or producing documents) notice and opportunity to seek confidential treatment, whether the underlying protection was afforded by Civil Rights Law § 50-a or otherwise. Undoubtedly, some information in the documents sought by NYCLU was publicly disclosed in Trial Room hearings; there is no basis to withhold that information—already made public in the hearings—from disclosure under FOIL. I agree with both parties and with Judge Rivera that FOIL contemplates the redaction of confidential in-

5. I have no occasion to consider whether an individual officer must be provided the opportunity to respond to a FOIL request for documents that fall within Civil Rights Law § 50-a. However, *Capital Newspapers* acknowledged that "FOIL does not specifically grant a public employee the right to resist disclosure of agency records" even though the Court did not "reach the issue whether a public employee has a cause of action under FOIL to prevent disclosure" (67 NY2d at 566 n). I similarly have no occasion to consider whether, assuming an officer lacks standing to object to a FOIL request, a court may, as Supreme Court did here, permit an officer to appear and argue against disclosure.

formation,[1] and further agree with Judge Rivera that nonconfidential information subject to FOIL cannot be withheld even if the redactions might cause a reader to be misled.[2]

I.

We have repeatedly recognized FOIL's strong public policy in favor of transparency and disclosure (*see e.g. Matter of Friedman v Rice*, 30 NY3d 461, 477 [2017], quoting *Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979] [noting that FOIL "established a general policy (in favor of) disclosure"]). FOIL "provides the public with broad 'access to the records of government' " (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007], quoting Public Officers Law § 84). To that end, "[a]n agency must 'make available for public inspection and copying all records' unless it can claim a specific exemption to disclosure" (*id.*, quoting Public Officers Law §§ 87 [2]; 89 [3]). Those "exemptions are to be narrowly interpreted so that the public is granted maximum access to the records of government" (*Friedman*, 30 NY3d at 475, quoting *Matter of Data Tree*, 9 NY3d at 462).

In view of that strong policy of disclosure, the majority's decision categorically to exclude final Trial Room decisions from FOIL disclosure is unjustified. A proper resolution would recognize the three-way interplay among FOIL, Civil Rights Law § 50-a, and the City's disciplinary hearing procedures, which make the Trial Room hearings public (*see* 38 RCNY 15-04 [g]). Any information disclosed at a public disciplinary hearing is subject to FOIL disclosure and cannot be withheld, even if that information includes personnel records protected by section 50-a. However, if the Deputy Commissioner of Trials has designated certain information as confidential, both section 50-a and the City's procedures may exempt it from disclo-

1. Neither party argues that the final Trial Room decisions are exempt from FOIL. The parties agree that FOIL requires redaction; the NYPD does not argue that the documents are not disclosable under FOIL but instead maintains that disclosure is permitted "only when it is clearly possible to do so without risking disclosure of the identities of the officers at issue," in order to reconcile the competing concerns of transparency, advanced by FOIL, and privacy, advanced by Civil Rights Law § 50-a.

2. Contrary to the NYPD's argument, the sample redactions it provided are not "unintelligible," nor do they appear to "present a decontextualized, and thus misleading, representation of the decision's reasoning." I have read them in redacted and unredacted form and find nothing misleading about the redacted versions. For reasons I explain herein, these are not the correct redactions in any event.

sure—at least in this case, because the parties have stipulated that the Trial Room Decisions are "personnel records" within the meaning of section 50-a.

The Appellate Division held that, although the Trial Room proceedings are open to the public, that disclosure does not diminish an officer's interest, protected by section 50-a, in having that information kept confidential; in contrast, section 50-a and the City procedures opening the trials to the public "are distinct questions governed by distinct statutes and regulations" (148 AD3d 642, 643 [1st Dept 2017]). That analysis is incorrect. As the Appellate Division noted:

> "The question of whether respondents *may*, in their discretion, turn over redacted decisions, is not before us (*see e.g. Short*, 57 NY2d at 404 ['Nothing in the Freedom of Information Law . . . restricts the right of the agency if it so chooses to grant access to records within any of the statutory exceptions, with or without deletion of identifying details'])" (*id.* at 643 n).

By opening the Trial Room proceedings to the public, the City has chosen to disclose information relevant to that proceeding. In doing so, the City has determined that the confidentiality of an officer's identity, the nature of the charged offense, or the evidence supporting that charge—otherwise protected by section 50-a—is of insubstantial weight compared to the countervailing interest in public disclosure. Neither party here suggests that the City has acted beyond its authority in doing so, or that such disclosure violates section 50-a in the first place. Subsequent disclosure of the same information under FOIL cannot, therefore, undermine those same concerns. Having decided to make the Trial Room hearing public, the NYPD cannot reasonably claim that those portions of the final decision that reveal only what was publicly revealed in the hearing are exempt under section 50-a. None of our prior decisions relied on by the majority remotely suggests that information disclosed by a governmental entity to the public, pursuant to rules promulgated by that entity, cannot be obtained by the public through a FOIL request.

The City's procedures do permit information presented in a disciplinary hearing to be kept confidential; that allowance fulfills section 50-a's requirement that an officer have the opportunity to be heard in response to a request to disclose covered personnel information. The Rules of the City of New

York (the Rules) grant the Commissioner of Trials the power to close portions of the hearing:

> "Hearings shall be open to the public unless the Deputy Commissioner of Trials finds a legally recognizable ground for closure of all or a portion of the Hearing. The Deputy Commissioner of Trials may also exclude witnesses from the Hearing room during proceedings other than their own testimony" (38 RCNY 15-04 [g]).

Section 50-a constitutes a "legally recognizable ground" on which to keep certain information presented in a disciplinarily hearing confidential. If an officer (or other person) requests that certain information be kept confidential, the Rules empower the Deputy Commissioner of Trials to accept that request.

Such a confidentiality determination complies with section 50-a's mandate that the police officer have the opportunity to be heard on any disclosure requests. Section 50-a contains two exceptions to its general confidentiality requirement: personnel records may be disclosed if the officer consents to disclosure (*see* Civil Rights Law § 50-a [1]), or if a court authorizes disclosure (*see* Civil Rights Law § 50-a [3]). The law establishes a procedure to obtain a court order, aimed to protect the interests of an officer whose records are the subject of a disclosure request: in order to authorize the release of personnel records protected by section 50-a, "the judge must review all such requests and give interested parties the opportunity to be heard" (Civil Rights Law § 50-a [2]). In a disciplinary hearing, the subject officer is represented by counsel and has the opportunity to ask that any information be kept confidential; by failing to request confidentiality for certain information at a public hearing, an officer has consented—or at least has waived the right to consent—to public disclosure. If the officer does request confidentiality, the Deputy Commissioner's determination to deny that request and disclose the information publicly is, in effect, a court order. In either case, the officer has had an opportunity to be heard.

Accordingly, I disagree with the majority's conclusion that final Trial Room decisions are categorically exempt from FOIL. Because the City has made a decision to reveal some information to the public as part of those proceedings, in cannot withhold that same information when another party seeks to obtain it under FOIL. Consistent with my analysis, however, I also do not agree with Judge Rivera's approach that redaction of all personally identifying information is required, though it might be within the NYPD's authority to do so in some cases.

The proper way to consider what the NYPD must produce is to compare each Trial Room decision with the confidentiality determinations, if any, made by the Deputy Commissioner of Trials during that proceeding. If, for example, the Deputy Commissioner did not close the proceeding when the name of the officer was discussed, that information could not be redacted in responding to a FOIL request, and any other information that the NYPD sought to withhold based on the fact that it might disclose the officer's name could also not be withheld. On the other hand, if the Deputy Commissioner closed the hearing for discussion of an officer's alcoholism and treatment, the NYPD should redact that information from any documents sought in a FOIL request.

My approach fully addresses the majority's concern that too broad an interpretation of FOIL's policy for transparency would allow third parties to use FOIL to override statutory protections for other types of information, such as police records on victims of sex offenses, medical records, prospective jurors or attorney work product. I agree that "[n]othing in FOIL authorizes a petitioner—or a government agency—to exercise 'absolute discretion' to override these critical statutory protections or their promise of confidentiality" (majority op at 568).[3] Allowing FOIL disclosure of information previously disclosed to the public at a disciplinary hearing, while allowing redaction of information kept confidential at the hearing, allows no such

3. The majority's footnote 3 misunderstands the function of Civil Rights Law § 50-b (4) (*see* majority op at 568 n 3). Section 50-b (1) protects certain information from disclosure. Although section 50-b (4) specifies that courts are not *required* "to exclude the public from any stage of the criminal proceeding" involving a sex offense, that subdivision does not authorize the disclosure of information protected by section 50-b (1) in a proceeding in open court. Instead, it simply provides that a court need not remove spectators from a proceeding as its sole method for complying with section 50-b (1). A court has myriad other methods at its disposal to keep confidential information protected by section 50-b (1); for instance, it could instruct counsel to refrain from raising that information in its examination of a witness; it could enter into the record sealed stipulations of those facts, or it could accept into evidence documents establishing the facts, which could then be sealed, with redacted versions on the public record.

override.[4] My interpretation hinges on the City's public trial procedures and, therefore, cabins the disclosure to the context of confidential police records and public police disciplinary hearings in New York City—the issue presented in this case.

Accordingly, I would reverse and remit for redactions made to excise only such information as was deemed confidential by the Deputy Commissioner of Trials in each of the subject Trial Room hearings.

Chief Judge DIFIORE and Judges FAHEY and FEINMAN concur; Judge STEIN concurs in result in an opinion; Judge RIVERA dissents in an opinion; Judge WILSON dissents in a separate dissenting opinion.

Order affirmed, with costs, and certified question not answered as unnecessary.

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4. Nor does allowing such disclosure "discourage municipalities from allowing public hearings" (majority op at 568 n 3); hearings like the Trial Room would remain public, save for select portions that would disclose information protected by section 50-a.

[118 NE3d 873, 94 NYS3d 211]

In the Matter of T-Mobile Northeast, LLC, Appellant, v Anthony V. DeBellis, as Commissioner of Assessment of the City of Mount Vernon, et al., Respondents, et al., Respondents/Defendants.

Argued November 15, 2018; decided December 13, 2018

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 26, 2016. The Appellate Division affirmed, insofar as appealed from, an order and judgment (one paper) of the Supreme Court, Westchester County (Susan Cacace, J.; op 2013 NY Slip Op 34102[U] [2013]), entered in a hybrid declaratory judgment action and proceeding pursuant to CPLR article 78, which had denied the petition and dismissed the proceeding in the nature of mandamus to compel Anthony V. DeBellis, the Commissioner of Assessment of the City of Mount Vernon, to determine and approve petitioner/plaintiff's applications for a refund of real property taxes and to correct the tax roll for tax years 2009, 2010, and 2011, and to review a determination of respondent/defendant Board of Education for the Mount Vernon City School District denying petitioner/plaintiff's separate applications for a refund of real property taxes and to correct the tax roll for tax years 2009, 2010, and 2011.

Matter of T-Mobile Northeast, LLC v DeBellis, 143 AD3d 992, affirmed.

HEADNOTE

Taxation — Real Property Tax — Cellular Telephone Equipment Mounted to Building Exterior

Respondents/defendants properly assessed real property taxes on large cellular data transmission equipment owned by petitioner/plaintiff mounted to the exterior of buildings, as the equipment constituted "lines, wires, poles, supports and inclosures for electrical conductors" used for transmission of electromagnetic data and therefore taxable real property under RPTL 102 (12) (i). Because the primary function of the equipment installations was to transmit cellular data, the components were "used in connection with the transmission or switching of electromagnetic voice, video and data signals between different entities separated by air, street or other public domain," as required by RPTL 102 (12) (i). Thus, the plain text of the statute unambiguously indicated that petitioner/plaintiff's equipment installations were taxable real property. The phrase "for electrical conductors" modifies only "inclosures"—the last noun in the list of equipment in section 102 (12) (i), and the provision therefore encompasses (when not owned by a local utility) lines, wires, poles, and supports, regardless of whether they are related to the conduction of electricity, as well as "inclosures for electrical conductors," when those items are used in the transmission of data signals across public domain. Thus, petitioner/plaintiff's fiber-optic cables were taxable as "lines" under the statute despite the fact that they did not conduct electricity. Moreover, neither the 1987 phaseouts from taxation relating to "central office equipment" and "telecommunications equipment," nor the RPTL 102 (12) (i) exception for "station connections" encompassed petitioner/plaintiff's equipment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d State and Local Taxation §§ 128, 130.
MCKINNEY'S, RPTL 102 (12) (i).
NY JUR 2d Taxation and Assessment § 100.

ANNOTATION REFERENCE

See ALR Index under Taxes; Telecommunications.

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Query: taxable /3 property & telecomm! /2 equipment

POINTS OF COUNSEL

Ingram Yuzek Gainen Carroll & Bertolotti, LLP, New York City (*John G. Nicolich* and *Roger Cukras* of counsel), for appellant. I. Rules of statutory interpretation and relevant legislative history establish that all components of T-Mobile Northeast, LLC's equipment are not taxable real property. (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of Shannon*, 25 NY3d 345; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *Matter of Travis v Board of Assessment Review of City of Binghamton*, 183 Misc 2d 699; *Artibee v Home Place Corp.*, 28 NY3d 739; *Matter of Sedacca v Mangano*, 18 NY3d 609; *Long v State of New York*, 7 NY3d 269; *Rangolan v County of Nassau*, 96 NY2d 42; *Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657; *Matter of Crossman Cadillac v Board of Assessors of County of Nassau*, 44 NY2d 963.) II. The Court should award T-Mobile Northeast, LLC judgment against respondents. (*Matter of Level 3 Communications, LLC v DeBellis*, 72 AD3d 164; *Lanza v Wagner*, 11 NY2d 317.)

Hodgson Russ LLP, Buffalo (*Michael B. Risman, Joel J. Terragnoli* and *Joseph S. Brown* of counsel), and *Lawrence A. Porcari, Corporation Counsel*, Mount Vernon (*Brian Johnson* of counsel), for Anthony V. DeBellis and others, respondents. I. The facilities are taxable under RPTL 102 (12) (i). (*Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.*, 83 NY2d 240; *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Matter of Rochester Community Sav. Bank v Board of Assessors of City of Rochester*, 248 AD2d 949; *Matter of Nextel of N.Y., Inc. v Assessor for Vil. of Spring Val.*, 4 Misc 3d 233; *Matter of Voicestream Wireless Corp. v Assessor of City of Troy*, 2 Misc 3d 723; *Riley v County of Broome*, 95 NY2d 455; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *People v White*, 73 NY2d 468; *Matter of River Brand Rice Mills, Inc. v Latrobe Brewing Co.*, 305 NY 36.) II. The facilities are taxable under RPTL 102 (12) (b). (*Matter of Metromedia, Inc. [Foster & Kleiser Div.] v Tax Commn. of City of N.Y.*, 60 NY2d 85; *Matter of City of New York [Kaiser Woodcraft Corp.]*, 11 NY3d 353; *Matter of Nextel of N.Y., Inc. v Assessor for Vil. of Spring Val.*, 4 Misc 3d 233; *Matter of RCN Telecom Servs. of N.Y., LP v Frankel*, 100 AD3d 538; *Matter of Ames #82 v Board of Review of Vil. of Tupper Lake*, 173 AD2d 943; *Matter of 100 Park Ave. v Boyland*, 284 App Div 1033, 309 NY 685.) III. Petitioner's remaining arguments are meritless. (*Matter of Gerry Homes v Town of Ellicott*, 145 AD3d 1652; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578; *Matter of City of Lackawanna v State Bd. of Equilization & Assessment of the State of N.Y.*, 16 NY2d 222; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574; *Dunlea v Anderson*, 66 NY2d 265; *Matter of RCN N.Y. Communications, LLC v Tax Commn. of the City of N.Y.*, 95 AD3d 456; *Matter of RCN Telecom Servs. of N.Y., LP v Frankel*, 100 AD3d 538; *Matter of Level 3 Communications, LLC v DeBellis*, 72 AD3d 164.) IV. The petition is procedurally defective and should be dismissed on this additional basis. (*Kahal Bnei Emunim & Talmud Torah Bnei Simon Israel v Town of Fallsburg*, 78 NY2d 194; *Matter of ViaHealth of Wayne v VanPatten*, 90 AD3d 1700; *Matter of Baldwin Commons, LLC v Board of Assessors*, 128 AD3d 1062; *Matter of Rozz v Nassau County Dept. of Assessment*, 96 AD3d 952; *Matter of Sunnycrest Apts. v Srogi*, 100 AD2d 730.)

Ingerman Smith L.L.P., Harrison (*Thomas Scapoli* of counsel), for The Board of Education for the Mount Vernon City School District and another, respondents. I. The legislature intended that there be a tax on certain telecommunication equipment. (*People v Owens*, 101 Misc 2d 891; *Matter of Voicestream Wireless Corp. v Assessor of City of Troy*, 2 Misc 3d 723; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *We're Assoc. Co. v Cohen, Stracher & Bloom*, 65 NY2d 148; *Tompkins v Hunter*, 149 NY 117; *Matter of Travis v Board of Assessment Review of City of Binghamton*, 183 Misc 2d 699; *Matter of RCN N.Y. Communications, LLC v Tax Commn. of the City of N.Y.*, 95 AD3d 456; *Matter of Nextel of N.Y., Inc. v Assessor for Vil. of Spring Val.*, 4 Misc 3d 233.) II. Appellant's telecommunications facility is the property that the legislature intended to tax. (*Matter of Voicestream Wireless Corp. v Assessor of City of Troy*, 2 Misc 3d 723; *Matter of Nextel of N.Y., Inc. v Assessor for Vil. of Spring Val.*, 4 Misc 3d 233; *AT&T Info. Sys. v City of New York*, 137 AD2d 7; *Frontier Tel. of Rochester v City of Rochester Assessor*, 16 Misc 3d 471.) III. The property is affixed to the buildings and is therefore taxable under RPTL 102 (12) (b). (*Matter of Metromedia, Inc. [Foster & Kleiser Div.] v Tax Commn. of City of New York*, 60 NY2d 85; *McRea v Central Natl. Bank of Troy*, 66 NY 489; *South Seas Yacht Club v Board of Assessors & Bd. of Assessment Review of County of Nassau*, 136 AD2d 537; *Matter of Nextel of N.Y., Inc. v Assessor for Vil. of Spring Val.*, 4 Misc 3d 233.)

New York State Conference of Mayors and Municipal Officials, Albany (*Rebecca J. L. Ruscito* of counsel), and *Association of Towns of the State of New York*, Albany (*Sarah Brancatella* of counsel), for New York State Conference of Mayors and Municipal Officials and another, amici curiae. I. It is against public policy to erode municipalities' real property tax base and subsidize a multibillion dollar industry. II. The current action is only one of many attempts by the telecommunications industry to usurp the authority of local governments.

DLA Piper LLP (US), New York City (*Naftali Z. Dembitzer* of counsel), for CTIA-The Wireless Association, amicus curiae. I. The Second Department's holding reverses the long-standing legislative purpose of not subjecting to real property taxation fiber optic cables used to provide telecommunication. (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151.) II. The Second Department's erroneous statutory interpretation results in RPTL 102 (12) (i) (D) violating petitioner's right to equal protection under the Fourteenth Amendment and the New York State Constitution services to the public regardless of the status of the owner of such fiber optic cables. (*Matter of Long Is. Light. Co. v Assessor of Town of Brookhaven*, 154 AD2d 188; *Lehnhausen v Lake Shore Auto Parts Co.*, 410 US 356; *Allied Stores of Ohio, Inc. v Bowers*, 358 US 522; *Elmwood-Utica Houses v Buffalo Sewer Auth.*, 96 AD2d 174; *Lighthouse Shores v Town of Islip*, 41 NY2d 7; *Schoenefeld v State of New York*, 25 NY3d 22; *Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586; *LaValle v Hayden*, 98 NY2d 155; *Matter of Slewett & Farber v Board of Assessors of County of Nassau*, 80 AD2d 186; *Vance v Bradley*, 440 US 93.) III. The Court should take judicial notice of legislative materials and government documents outside the record as an aid for interpreting the meaning of, and divining the public purpose furthered by, RPTL 102 (12) (d) and (i). (*DeMatteo v DeMatteo*, 194 Misc 2d 640; *Matter of Hartman v Joy*, 47 AD2d 624; *Rex Paving Corp. v White*, 139 AD2d 176; *Crawford v Merrill Lynch, Pierce, Fenner & Smith*, 35 NY2d 291.)

Eversheds Sutherland (US) LLP, New York City (*Elizabeth S. Cha* and *Eric S. Tresh* of counsel), for Broadband Tax Institute, amicus curiae. I. The Appellate Division's order should be reversed because it misapplies the longstanding rule for fixtures. (*Matter of Metromedia, Inc. [Foster & Kleiser Div.] v Tax Commn. of City of N.Y.*, 60 NY2d 85; *Voorhees v McGinnis*, 48 NY 278.) II. The Appellate Division's order should be reversed because it encourages local governments to take property tax assessment positions that will likely hinder broadband deployment initiatives and progress.

OPINION OF THE COURT

Chief Judge DiFiore.

This dispute over whether certain telecommunications equipment is taxable property comes to us in the wake of historic and fundamental changes in the telecommunications industry during the last century prompting a legislative overhaul of the Real Property Tax Law, including the enactment of RPTL 102 (12) (i). Under that statute, certain "lines, wires, poles, supports and inclosures for electrical conductors" used for transmission of electromagnetic data qualify as taxable real property. We are asked to decide whether certain large cellular data transmission equipment owned by petitioner T-Mobile Northeast, LLC and mounted to the exterior of buildings throughout its service area in Mount Vernon constitutes taxable real property under the RPTL. Because we agree with respondent tax authorities and the Appellate Division that the equipment is taxable pursuant to RPTL 102 (12) (i), we affirm the Appellate Division order.

I.

To provide necessary context for the discrete statutory interpretation issue at the heart of this appeal, we review the evolution of the statutory scheme and the events that have driven it. The telecommunications industry operated as a regulated monopoly until the divestment of American Telephone & Telegraph Company (AT&T) in 1982. Prior to that critical shift, AT&T dominated the market, supplying almost all telephone service nationwide. Long-distance service was provided through its Long Lines department and local exchange service through the Bell System—a network of subsidiary operating companies, each serving a different geographic region.

During this period, the network of equipment constituting the telephone system was generally taxable under the RPTL. Former RPTL 102 (12) (d) defined as taxable real property "[t]elephone and telegraph lines, wires, poles and appurtenances; supports and inclosures for electrical conductors and other appurtenances, upon, above and under ground." Prior to 1975, the term "appurtenances" was broadly interpreted to encompass essentially all equipment involving use of telephone lines, whether located on telephone company property or customer premises, even when it was detachable and otherwise would have been treated as personalty (*see* State Board of Equalization and Assessment, Report to Governor Mario M. Cuomo on the Taxation of Telecommunications Property at 6 [Jan. 1985], available at https://www.tax.ny.gov/pdf/publications/orpts/taxation_telecommunications_prop.pdf, cached at http://www.nycourts.gov/reporter/webdocs/TelecomReport.pdf [hereinafter 1985 SBEA Report]; *see also Matter of Crystal v City of Syracuse, Dept. of Assessment*, 47 AD2d 29, 31 [4th Dept 1975], *affd* 38 NY2d 883 [1976], citing *Matter of New York Tel. Co. v Ferris*, 257 App Div 415, 416 [4th Dept 1939], *affd* 282 NY 667 [1940], and *Matter of New York Tel. Co. [Canough]*, 290 NY 537 [1943]). Until 1969, these taxable "appurtenances" were typically owned by the telephone utility because the Federal Communications Commission (FCC) required that a telephone company furnish all equipment connected to its service (*see* FCC Tariff No. 132). Thus, telephones, private branch exchanges, and associated wiring on customer property—referred to in the industry as "customer premises equipment" (CPE)—were owned by the telephone utility that owned the lines supplying service and whatever equipment it connected to the service on its own property.

However, beginning in the 1960s, a series of regulatory and legal changes resulted in greater competition in the telecommunications markets, leading to significant restructuring of the industry. This, in turn, raised questions about the taxability of certain equipment. First, the FCC invalidated the requirement that telephone customers use only utility-issued equipment, allowing customers to connect privately-purchased or leased telephones at their premises (*see In the Matter of Use of the Carterfone Device in Message Toll Tel. Serv.*, 13 FCC2d 420, 425 [1968]). Then, in 1976, in *Matter of Crystal v City of Syracuse, Dept. of Assessment* (38 NY2d 883, 885 [1976]), we affirmed an Appellate Division order holding that customer-owned telephones were not taxable under RPTL 102 (12) (d), at least where not "incorporated as part of the real estate." As the Appellate Division explained in *Crystal*, when it enacted RPTL 102 (12) (d), the legislature intended to expand the definition of real property when owned by a utility (*Matter of Crossman Cadillac v Board of Assessors of County of Nassau*, 44 NY2d 963, 964 [1978], citing *Crystal*, 47 AD2d at 31). Thus, under this interpretation of section 102 (12) (d), equipment that would not be taxable if owned by the customer or leased to the customer by a non-utility was taxable when owned by a telephone utility.

After *Crystal*, the scope of RPTL 102 (12) (d) was narrowed even further by judicial decisions holding that it did not encompass a removeable system of privately-owned telephone equipment on customer premises (*Crossman Cadillac*, 44 NY2d at 964-965) or cable television equipment owned by a television company (*Matter of Manhattan Cable TV Servs., Div. of Sterling Info. Servs. v Freyberg*, 49 NY2d 868 [1980]; *see also Matter of Cablevision Sys. Dev. Co. v Board of Assessors of County of Nassau*, 98 AD2d 818 [2d Dept 1983]; *Matter of American Cablevision of Rochester v Jacobs*, 101 AD2d 65 [4th Dept 1984]). Thus, by 1984, only utility-owned equipment was taxable under RPTL 102 (12) (d). Additionally, technological advancements and deregulation in the CPE and telephone service markets resulted in a more diverse range of property owners in the industry, which—because the taxable status of certain equipment turned on its ownership by traditional utilities—further threatened the tax base and created a system of unequal taxation.

Throughout this period, AT&T was the target of antitrust litigation resulting in a settlement under which AT&T would divest itself of its Bell System local-service operating companies (*United States v American Tel. & Tel. Co.*, 552 F Supp 131, 140-141 [D DC 1982]). Thereafter, AT&T provided only long-distance service and the Bell System operating companies reorganized as independent regional companies providing local service. In addition to accelerating the growth of competition spawned by deregulation, the divesture further complicated taxation of CPE. The FCC permitted AT&T to participate in the deregulated, competitive CPE market only through a fully separated subsidiary—AT&T Information Systems (ATTIS) (*see Matter of Procedures for Implementing the Detariffing of Customer Premises Equip. & Enhanced Servs. [Second Computer Inquiry]*, 95 FCC2d 1276 [1983]). The CPE owned and leased to customers by ATTIS was not taxable under New York law because the subsidiary was not a utility—but CPE leased by telephone utilities not required to use a subsidiary was taxable (1985 SBEA Report at 9).

Because the transfer of CPE to ATTIS threatened to significantly impact state tax revenue, the legislature enacted a temporary measure in 1984 providing that any CPE and central office equipment taxable in 1983 that was transferred to another owner engaged in the sale or lease of such equipment (such as ATTIS) would be taxable "notwithstanding whether such transferee is considered a utility" (L 1984, ch 895). That same year, ATTIS brought an equal protection challenge asserting that the statute was discriminatory because it treated ATTIS differently from other CPE owners and suppliers—a challenge that was ultimately sustained (*AT&T Info. Sys. v City of New York*, 137 AD2d 7 [1st Dept 1988], *affd AT&T Info. Sys. v City of New York*, 73 NY2d 842 [1988]).

II.

Thus, throughout the 1970s and early 1980s, the propriety of the RPTL's treatment of telecommunications equipment had increasingly come under scrutiny and the scheme's apparently unequal treatment of different types of owners was called into doubt. The State sought to clarify the taxability of such property and to develop a comprehensive legislative solution. At the direction of the Governor, after meeting with industry representatives, academics, and government officials, the State Board of Equalization and Assessment (SBEA) issued a 1985 report with recommendations to address the problem (1985 SBEA Report at 1). The SBEA Report acknowledged that the definition of real property as to telecommunications equipment "ha[d] become confused over the years," concluding that "the trend of judicial construction of section 102(12)(d) of the [RPTL] ha[d] sorely undermined the in rem concept of real property taxation in New York State" (1985 SBEA Report at 2). The SBEA specifically criticized the distinction the courts had drawn between utility-owned and non-utility-owned equipment, characterizing it as "artificial" (1985 SBEA Report at 7). Thus, the SBEA proposed a "[l]egislative restoration of common law notions of real property" (1985 SBEA Report at 2).

To that end, the SBEA recommended a change in the State's governing philosophy relating to the taxation of telecommunications equipment, shifting from a system of taxation based on the identity of the owner (i.e., property is taxed when owned by telephone utilities) to a system based on "type and use of property," resulting in greater uniformity of taxation (1985 SBEA Report at 2). The Report suggested that a distinction be drawn between (i) the telephone lines and related equipment, installed outside, and (ii) the equipment in telephone company offices and on customer property that is connected by the outdoor telephone lines. The proposal was that the first category—consisting of "[l]ines, wires, cables, poles and other such property which is not located on a customer's premises, known in the industry as 'outside plant' " and is used to "transmit[ ] the signals from sender to receiver"—should be treated as taxable real property regardless of what type of entity owned the property (1985 SBEA Report at 3, 15-16). Explaining that outside plant has "historically been taxed as realty," the SBEA lamented that recent court decisions treated cable owned by television companies as non-taxable, despite the fact that it "seem[ed] to satisfy the traditional definition of taxable real property" (1985 SBEA Report at 15-16).

The SBEA also recommended that certain property previously taxed as "appurtenant" to the telephone system under

RPTL 102 (12) (d)—even though it more resembled personalty than realty—be treated as non-taxable: CPE and central office equipment (1985 SBEA Report at 14-15).[1] The Report explained that CPE was furnished by a range of suppliers, including non-utilities, but only taxed as realty when owned by a utility company (1985 SBEA Report at 15). Because the SBEA believed that ownership by a particular type of entity was no longer a proper basis for taxation, it recommended ending taxation of CPE altogether. With respect to central office equipment, defined as "switchgear located in the central office buildings of the companies providing telecommunications services" used to take subscribers' calls or route them to the intended recipient (1985 SBEA Report at 14), the Report explained that this category of equipment, while previously owned almost entirely by telephone companies, was now held by a range of owners (1985 SBEA Report at 14). Based on this development and technological advancements in the equipment, the SBEA opined that taxation of this category would no longer "comport with the common law notions of real property, i.e., land and structures affixed to the land" (1985 SBEA Report at 14-15). In keeping with its stated goals, the Report generally recommended (i) preserving or restoring the taxable status of "outside plant," which aligned with the traditional notion of real property as structures, and (ii) excluding from taxation equipment analogous to personal property traditionally not subject to real property taxes, which was increasingly owned by non-utilities.

In the wake of the SBEA report, the legislature enacted temporary measures in 1985 largely consistent with the SBEA's recommendations. The statutes, in part, provided for taxation of non-utilities' outside plant under a predecessor version of paragraph (i) and generally repealed taxes on CPE (Budget Rep on Bills at 2, Bill Jacket, L 1987, ch 416, citing L 1985, chs 71, 72, 463). However, central office equipment owned by local exchange telephone companies continued to be taxable (*id.*). Additionally, the 1985 version of paragraph (i) defined as taxable real property a particular category of non-utility-owned CPE that served a function similar to central office equipment—termed "telecommunications equipment" (1987 Temporary State Commission on Real Property Tax Report [hereinafter, 1987 Commission Report] at 19-20). Specifically,

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1. The SBEA and legislative materials also refer to CPE as "station equipment" (*see* 1985 SBEA Report at 2).

former RPTL 102 (12) (i) provided for taxation of "[t]elecommunications equipment, which shall mean and include equipment used to provide transmission or switching of electromagnetic voice, video and data signals between different entities separated by air, street or other public domain, and related equipment necessary to the operation of such equipment or the modification of such signals required by such equipment," in addition to outside plant—identified as "lines, wires, poles, supports and inclosures for electrical conductors . . . used in connection therewith." Thus, former paragraph (i) taxed non-utility-owned "telecommunications equipment" on customer premises that was independently capable of transmitting and switching signals, like the utility-owned switchgear described as central office equipment also taxed under the 1985 legislation (1987 Commission Report at 19-20).

The 1985 statutes were set to expire at the end of 1986 and directed that a Temporary State Commission on the Real Property Tax (Commission) make further recommendations (Budget Rep on Bills at 2, Bill Jacket, L 1987, ch 416). In 1987, the Commission concluded—consistent with the SBEA's report—that central office equipment and similar switching and transmission equipment on customer premises (the "telecommunications equipment" taxable under the 1985 legislation) was characteristic of personal property and, thus, taxation of these categories of property should be phased out (1987 Commission Report at iii). Further legislation was passed in 1987 effectuating these recommendations.

The 1987 legislation included the current version of RPTL 102 (12) (i), which—like its predecessor—addresses property not owned by a utility. In keeping with the Commission's recommendation, the current version of paragraph (i) omitted the category of "telecommunications equipment" that consisted of transmission and switching equipment on customer premises. The 1987 legislation also repealed the prior version of RPTL 102 (12) (d) and replaced it with a provision that encompasses utility-owned outside plant (as the former version did) but excludes utilities' "appurtenances"—CPE and central office equipment. Although the current version of paragraph (i) omits "telecommunications equipment," it still identifies as taxable "lines, wires, poles, supports and inclosures for electrical conductors"—i.e., outside plant (RPTL 102 [12] [i]; *see* L 1987, ch 416). Because outside plant owned by utilities is taxable under RPTL 102 (12) (d), and outside plant owned by non-utilities is taxable under RPTL 102 (12) (i), the 1987 legislation ensures equal taxation of outside plant regardless of what type of entity owns the equipment. Further, rather than subjecting local governments to a sharp decrease in revenue based on the exclusions for central office equipment and "telecommunications equipment," the legislature phased out taxation of that equipment over five years.

The legislative materials accompanying the bill indicate that it was intended to remedy confusion in the RPTL as to taxation of equipment used for telecommunications by adopting clear distinctions based not on characteristics of the owner but on type and use. The intent was that equipment of a type that comported with traditional conceptions of real property be taxable, but not equipment that would be considered personalty under the common law (*see* Div of Equalization and Assessment Mem in Support at 2, Bill Jacket, L 1987, ch 416; *see also* Budget Rep on Bills at 4, Bill Jacket, L 1987, ch 416). Although the 1987 legislation was intended to clarify the scope of taxation of property used for telecommunications, some controversy has persisted as reflected in the instant litigation.

III.

T-Mobile owns large cellular data transmission equipment that it has installed on the exterior of buildings in Mount Vernon. The installations—which are large enough to require the use of "stealth walls" that shield them from view—consist of multiple pieces of interconnected equipment, including base transceiver stations (essentially cabinets housing wiring and providing battery power); antennas that transmit and receive the signals; and coaxial, T-1, and fiber-optic cables running amongst the other components. T-Mobile enters multi-year leases with the owners of the buildings to enable it to occupy the exterior space on the buildings for installation of the equipment. Respondents/defendants are Anthony V. DeBellis, as Commissioner of Assessment of the City of Mount Vernon, the Mount Vernon City Council, and the City of Mount Vernon (collectively the City), and the Board of Education for the Mount Vernon City School District and the Mount Vernon City School District (collectively the School District). After the City and School District separately assessed real property taxes on this equipment, T-Mobile filed applications to correct the tax rolls and to receive refunds of taxes paid, asserting that the equipment is not taxable real property and that the taxes, therefore, were illegal. The School District denied the applications on the merits, determining that the property is taxable. The City did not respond.

T-Mobile brought this hybrid declaratory judgment action and CPLR article 78 proceeding seeking a declaration that the property is not taxable and a judgment annulling the School District's contrary determination. T-Mobile argued that its property is not taxable under either paragraph (i) or RPTL 102 (12) (b)—which addresses taxation of "fixtures." Rather, T-Mobile claimed its installations fall within categories of property phased out from taxation in 1987 or constitute "station connections" excepted from taxation in paragraph (i). The School District answered, arguing, as relevant to this appeal, that the property is encompassed by paragraph (i) based on the plain text of that provision and its legislative history and, alternatively, that certain components of the equipment are fixtures and thus taxable under RPTL 102 (12) (b). The City moved to dismiss, raising untimeliness and other procedural objections, echoing the School District's argument that the equipment is taxable under paragraph (i). Supreme Court, among other things, denied the petition and dismissed the proceeding, holding that the property in question is taxable under the RPTL (2013 NY Slip Op 34102[U] [Sup Ct, Westchester County, Nov. 15, 2013]). Supreme Court concluded that the legislative history cited above indicates that T-Mobile's equipment is taxable under paragraph (i).

The Appellate Division affirmed, insofar as appealed from, reasoning that under the plain text of the statute each component of T-Mobile's equipment is taxable under RPTL 102 (12) (i) (143 AD3d 992 [2d Dept 2016]), although recognizing that this conclusion conflicted with *Matter of RCN N.Y. Communications, LLC v Tax Commn. of the City of N.Y.* (95 AD3d 456, 457 [1st Dept 2012]). The Appellate Division further noted that even if RPTL 102 (12) (i) did not apply here, the antennas that are part of the equipment installations at issue are structures that are "affixed" to real estate under the common-law definition of "fixtures," and thus are taxable real property under RPTL 102 (12) (b) (143 AD3d at 995-996). We granted T-Mobile leave to appeal (30 NY3d 906 [2017]).

In this Court, T-Mobile re-asserts its argument that the equipment does not qualify as taxable real property under either RPTL 102 (12) (i) or (b), relying on the 1987 phaseouts and the exception in paragraph (i) for "station connections."

T-Mobile contends that the Appellate Division erred in declining to resolve ambiguities in the statute in favor of the taxpayer. Respondents contend that the courts below properly held that the property is taxable under both RPTL 102 (12) (i) and (b) and that the phaseouts and exceptions cited by T-Mobile do not apply.

IV.

It is clear from the plain language and legislative history of paragraph (i) that T-Mobile's arguments lack merit. We begin with the plain language of the statute, which is the clearest indicator of legislative intent (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Under the RPTL, all "real property within the state" is subject to real property taxation unless otherwise exempt by law (*see* RPTL 300). "Real property" is defined under subdivision (12) of RPTL 102. Under RPTL 102 (12) (i), that term includes:

> "When owned by other than a telephone company as such term is defined in paragraph (d) hereof, all lines, wires, poles, supports and inclosures for electrical conductors upon, above and underground used in connection with the transmission or switching of electromagnetic voice, video and data signals between different entities separated by air, street or other public domain."

The statute also contains four exceptions excluding certain types of property from taxation, including "station connections."[2] The parties agree that T-Mobile is not a "telephone company"—which refers to certain companies providing noncellular local exchange service—and thus its equipment is taxable under paragraph (i) to the extent it qualifies under the language of that provision.

The plain language of paragraph (i) encompasses each component of T-Mobile's data transmission equipment, which consists of base transceiver stations; antennas; and coaxial, T-1, and fiber-optic cables. The base transceiver stations are essentially cabinets that house cables and other electrical

2. The statute provides: "except that such property shall not include: (A) station connections; (B) fire and surveillance alarm system property; (C) such property used in the transmission of news wire services; and (D) such property used in the transmission of news or entertainment radio, television or cable television signals for immediate, delayed or ultimate exhibition to the public, whether or not a fee is charged therefor" (RPTL 102 [12] [i]).

components and provide battery power, so they qualify as "inclosures for electrical conductors." The large rectangular antennas are part of the base transceiver stations and, thus, also "inclosures for electrical conductors." The various cables in the installations are "lines" and/or "wires" under the plain text of the statute. Because the primary function of the equipment installations is to transmit cellular data, the components are "used in connection with the transmission or switching of electromagnetic voice, video and data signals between different entities separated by air, street or other public domain," as required by the statute. Thus, although ambiguities in tax statutes are generally resolved in favor of the taxpayer (*Freyberg*, 49 NY2d at 869), that doctrine is not implicated here because the plain text of RPTL 102 (12) (i) unambiguously indicates that T-Mobile's equipment installations are taxable real property.

T-Mobile argues that the phrase "for electrical conductors" modifies all of the types of equipment listed as taxable in paragraph (i), relying on *Matter of RCN N.Y. Communications, LLC* (95 AD3d at 457). But we agree with the Appellate Division that the last antecedent rule of statutory construction applies here. Under that rule, "[r]elative and qualifying words or clauses in a statute are to be applied to the words or phrases immediately preceding, and are not to be construed as extending to others more remote" (*Dunlea v Anderson*, 66 NY2d 265, 269 [1985] [citation and internal quotation marks omitted]; *cf. A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574, 581 [1996]). Therefore, the phrase "for electrical conductors" modifies only "inclosures"—the last noun in the list of equipment in section 102 (12) (i), and the provision encompasses (when not owned by a local utility) lines, wires, poles, and supports, regardless of whether they are related to the conduction of electricity, as well as "inclosures for electrical conductors," when those items are used in the transmission of data signals across public domain. Thus, T-Mobile's fiber-optic cables are taxable as "lines" under the statute despite the fact that they do not conduct electricity.

Moreover, contrary to T-Mobile's assertion, the 1987 phaseouts from taxation do not apply. The phaseouts were intended to soften the effect of the legislature's exclusion of central office equipment and "telecommunications equipment" from taxation (Budget Rep on Bills at 3, 5, Bill Jacket, L 1987, ch 416). The central office equipment phaseout related to property located in the "central office" of a telephone company, which plainly does not encompass the large equipment installations at issue here, which are mounted to the outside of buildings dispersed throughout T-Mobile's Mount Vernon service area. Although "telecommunications equipment" is a broad term on its face, it has a specific meaning in the context of the 1987 legislation—transmission and switching equipment similar to central office equipment on customer premises, which had been taxable under the 1985 legislation (1987 Commission Report at 18-20). It is clear from the relevant legislative materials that the property rendered non-taxable was not outside plant like T-Mobile's equipment but property covered by the term "appurtenances" that had traditionally been expansively defined to include "personalty installed upon a customer's premises or that of the service provider" (Div of Equalization and Assessment Mem in Support at 2, Bill Jacket, L 1987, ch 416). Although T-Mobile contends that the 1987 legislation ended taxation on all "telecommunications equipment" as that term is commonly understood, such a conclusion would conflict with the plain text of section 102 (12) (i)—which clearly taxes certain types of property used for telecommunications.

T-Mobile's argument that its equipment falls under the paragraph (i) exception for "station connections" also lacks merit. The term "station connections" is not defined in the statute. But it is clear from the pertinent SBEA memoranda that "station connections" is a term of art referring to "inside wires" and "the wire 'connecting items of station apparatus' " like "desk sets, hand sets and wall sets ('plain old telephone'), amplifying equipment, mobile telephone equipment, small private branch exchanges and teletypewriter equipment" (SBEA Explanation of Terminology at 3-4, Bill Jacket, L 1987, ch 416), including "drop wires from the telephone pole to the block and wires from the block to the house wire" (Feb. 1, 1984 SBEA Mem attached to 1985 SBEA Report at 2). Thus, this exception relates to wiring physically connecting customer telephones to telephone poles and does not encompass the equipment at issue here—large outdoor installations including fiber optic cables and antennas.

Indeed, it appears that T-Mobile's equipment is precisely the type of property the legislature intended to cover when it substantially revised the RPTL in 1987. At that time, the legislature sought to adopt a consistent scheme of taxation that did away with the artificial distinctions that pervaded the former statutory scheme, as it had been interpreted by the courts. To that end, instead of basing taxation on the characteristics of the owner (utility versus non-utility), the legislature focused on the nature and function of the property. It ended taxation of CPE and central office equipment that—although akin to personal property—had been taxable under the RPTL when owned by a utility but not taxable if owned by a customer or non-utility. At the same time, it ensured taxation of outside plant, which it viewed as real property in the traditional in rem sense, but which courts had deemed not taxable unless owned by a utility. While office switchgear used to send and receive signals and small, moveable equipment like telephones were excluded, lines and other outdoor equipment that transmit signals between those end points were deemed taxable. Because the property at issue here consists of lines that transmit signals between users across public domain, taxation of this property comports with the plain text of paragraph (i) and the legislative intent underlying the adoption of the post-1987 statutory scheme.

Because we conclude that T-Mobile's equipment is taxable under RPTL 102 (12) (i), we need not address whether it is taxable under RPTL 102 (12) (b). T-Mobile's constitutional challenge is not preserved for review. In light of our disposition on the merits, we do not reach the City's proffered alternative ground for affirmance.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

Order affirmed, with costs.

[118 NE3d 897, 94 NYS3d 235]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DORAN ALLEN, Respondent.

Argued November 14, 2018; decided December 13, 2018

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 6, 2017. The Appellate Division order (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (Peter J. Benitez, J., and Efrain L. Alvarado, J., at grand jury-related applications; Ralph A. Fabrizio, J., at trial and sentencing), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree; and (2) remanded the matter for a new trial.

People v Allen, 152 AD3d 401, reversed.

HEADNOTES

Grand Jury — Resubmission of Charges — Grand Jury Deadlocked on Murder Count in Multiple Count Indictment — Failure to Obtain Court Authorization

1. In the prosecution of defendant, who acted as the getaway driver during a shooting that resulted in the death of one victim and injury to others, Supreme Court erred in denying defendant's pretrial motion to dismiss the murder count against him in a second indictment that the People, without seeking permission from the court pursuant to CPL 190.75 (3), had resubmitted to a second grand jury after the first grand jury had deadlocked on that count in the first indictment. Under CPL 190.75 (3), if a grand jury has dismissed a charge presented to it, that charge may not be resubmitted to a grand jury "unless the court in its discretion authorizes or directs the people to resubmit such charge to the same or another grand jury." Here, the first grand jury deadlocked on a charge of murder in the second degree as against defendant, and the People took no official action. Thereafter, without obtaining court permission, the People filed a second indictment containing charges against defendant and a third codefendant, which included a second-degree murder charge against defendant. Notwithstanding the failure of the grand jury's vote to dispose of the case in a manner permitted by CPL 190.60, a prosecutor's unilateral withdrawal of a case from a grand jury or a grand jury's inconclusive vote after presentation of the evidence is tantamount to a dismissal, requiring the prosecutor to seek court permission under CPL 190.75 (3) to submit the case to a new grand jury. Here, there was no dispute that the first grand jury had fully considered all the evidence against defendant relevant to the murder count before it deadlocked on that charge. Because the first grand jury may have ultimately dismissed the murder count against defendant, and leave to submit may not have been granted, there was at least a mere possibility of prejudice to defendant from the People's failure to comply with CPL 190.75 (3).

Grand Jury — Resubmission of Charges — Grand Jury Deadlocked on Murder Count in Multiple Count Indictment — Failure to Obtain Court Authorization

2. Defendant, who acted as the getaway driver during a shooting that resulted in the death of one victim and injury to others, was not entitled to a new trial on the charge of manslaughter for which he was convicted, notwithstanding that the People had violated CPL 190.75 (3) by resubmitting a murder count against defendant to a second grand jury, without seeking permission from the court, after the first grand jury had deadlocked on that count in the first indictment. Spillover analysis is appropriate for assessing whether an error in the proceedings relating to one count requires reversal of convictions on other jointly tried counts. Under that analysis, reversal is required if there is a reasonable possibility that the jury's decision to convict on the tainted counts influenced its guilty verdict on the remaining counts in a meaningful way. Here, the jury acquitted defendant of the "tainted" count of murder in the second degree. All of the evidence admitted to prove defendant's guilt of murder in the second degree was also admissible to prove his guilt of manslaughter in the first degree. Thus, the presence of the tainted murder count did not result in the admission of any prejudicial evidence that the jury would have been unable to consider if the murder count had been dismissed. Moreover, defendant's trial counsel's strategy would not have been affected due to the presence of the manslaughter and attempted murder charges, which were in the valid first indictment. Finally, the jury's acquittal of defendant on the lesser offenses contained within the first indictment suggested that the jury was able to independently evaluate each count before it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Indictments and Informations §§ 35, 62–63.
CARMODY-WAIT 2d Commencing the Prosecution; Grand Jury §§ 178:268–178:270.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 15.2.
MCKINNEY'S, CPL 190.60, 190.75 (3).
NY JUR 2d Criminal Law: Procedure §§ 1270, 1272.

ANNOTATION REFERENCE

See ALR Index under Conviction; Counts; Criminal Law; Dismissal, Discontinuance, and Nonsuit; Grand Jury; Indictments and Informations; New Trials.

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POINTS OF COUNSEL

Darcel D. Clark, District Attorney, Bronx (*Justin J. Braun, Nancy D. Killian* and *Rafael Curbelo* of counsel), for appellant.

I. The Appellate Division holding that the re-presentation "lacked jurisdictional legitimacy" was erroneous. (*People v Wilkins*, 68 NY2d 269; *People v Credle*, 17 NY3d 556; *People v McCoy*, 91 AD3d 537; *People v Smith*, 103 AD3d 430; *Mountain View Coach Lines v Storms*, 102 AD2d 663; *People v Hansen*, 95 NY2d 227; *People v Jackson*, 87 NY2d 782; *People v Batista*, 299 AD2d 270, 99 NY2d 626; *People v Brown*, 81 NY2d 798; *People v Pryor*, 5 AD3d 222.) II. Under well-established law, defendant, acquitted of second-degree murder, suffered no spillover prejudice from the presence of the murder charge, and the Appellate Division majority's decision to the contrary must be reversed. (*People v Mayo*, 48 NY2d 245; *People v Lugo*, 218 AD2d 711; *People v Baghai-Kermani*, 84 NY2d 525; *People v Doshi*, 93 NY2d 499; *People v Morales*, 20 NY3d 240; *People v Williams*, 292 AD2d 474; *United States v Hamilton*, 334 F3d 170; *Lindstadt v Keane*, 239 F3d 191; *United States v Bruno*, 383 F3d 65; *People v Bulgin*, 105 AD3d 551.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Brittany Francis* of counsel), for respondent. Defendant was prejudiced by being forced to defend himself against a jurisdictionally defective murder charge and is entitled to a new trial. (*People v Credle*, 17 NY3d 556; *People v Mayo*, 48 NY2d 245; *People v Robinson*, 36 NY2d 224; *People v Monroe*, 40 NY2d 1096; *People v Prado*, 4 NY3d 725; *People v Feingold*, 7 NY3d 288; *People v Wilkins*, 68 NY2d 269; *People v McCoy*, 109 AD3d 708; *People v Smith*, 103 AD3d 430; *Vasquez v Hillery*, 474 US 254.)

OPINION OF THE COURT

Fahey, J.

Criminal Procedure Law § 190.75 (3) provides that if a grand jury has dismissed a charge presented to it, that charge

> "may not again be submitted to a grand jury unless the court in its discretion authorizes or directs the people to resubmit such charge to the same or another grand jury. If in such case the charge is again dismissed, it may not again be submitted to a grand jury."

At common law, it was permissible for a prosecutor to resubmit the same charges against a defendant to successive grand juries (*see People v Credle*, 17 NY3d 556, 559 [2011]; *People v Wilkins*, 68 NY2d 269, 273 [1986]). By enacting Code of Criminal Procedure § 270, the predecessor statute to CPL 190.75, the legislature intended to restrict that practice (*see Wilkins*, 68 NY2d at 273, citing *People ex rel. Flinn v Barr*, 259 NY 104, 107-108 [1932]).

The People's failure to obtain court permission to resubmit a murder count to a new grand jury after the first grand jury deadlocked on that charge violated Criminal Procedure Law § 190.75 (3), and Supreme Court erred in denying defendant's pretrial motion to dismiss the murder count in the second indictment on that ground. Under the circumstances of this case, however, that error does not require reversal of defendant's conviction on a jointly tried count that was contained in the separate, valid first indictment.

I.

In 2008, defendant acted as the getaway driver during a shooting that resulted in the death of one of the victims. Two other victims survived. Shortly thereafter, defendant and two codefendants were indicted. In this first indictment, defendant was charged under an acting in concert theory with, among other crimes, manslaughter in the first degree with respect to the victim who died and two counts of attempted murder as to the two surviving victims. The first grand jury deadlocked, however, on a charge of murder in the second degree as against defendant. There is no dispute on this appeal about the validity of the charges against defendant contained within this first indictment, including the attempted murder counts.

The People took no official action with respect to the first grand jury's deadlock on the murder count against defendant. In 2011, however, the People filed a second indictment containing charges against defendant and a third codefendant, Bevon Burgan. This second indictment contained a count of murder in the second degree against defendant. Although the People obtained permission to resubmit the matter to a new grand jury with respect to codefendant Burgan (albeit belatedly), they concede that they failed to obtain such permission with respect to defendant as required by Criminal Procedure Law § 190.75 (3).

Defendant moved to dismiss the murder count contained in the second indictment as obtained in violation of CPL 190.75 (3). Supreme Court denied that motion. The court held that, although the People were required to obtain permission to resubmit the murder count to a new grand jury and they failed to do so, the error was not "fatal" and did not require dismissal of the murder count. The court also noted that there was no evidence that the People had acted in bad faith.

Defendant proceeded to trial on both indictments, and he was tried jointly with Burgan and another codefendant. After trial, the jury acquitted defendant of the murder count contained in the second indictment, convicted defendant of the manslaughter count contained in the first indictment, and acquitted defendant of all other charges contained in the first indictment.

On appeal, the Appellate Division reversed the judgment and granted defendant a new trial on the manslaughter count. Relying primarily on our decision in *People v Mayo* (48 NY2d 245 [1979]), the Appellate Division concluded that the improper presence of the murder charge "loomed over the trial, and in some way influenced the verdict" (152 AD3d 401, 403 [1st Dept 2017]). One Justice dissented, concluding that spillover analysis rather than *Mayo* applied, and that under a spillover analysis, defendant was not entitled to a new trial on the manslaughter count.[1]

The dissenting Justice granted the People leave to appeal to this Court (2017 NY Slip Op 96789[U] [2017]). We now reverse.

II.

In *People v Wilkins* (68 NY2d 269, 271-272, 276-277 [1986]), we held that a prosecutor's unilateral withdrawal of a case from a grand jury after presentation of the evidence was tantamount to a dismissal, and that the prosecutor must seek court permission pursuant to CPL 190.75 (3) to submit the case to a new grand jury. In *People v Credle* (17 NY3d 556, 560-562 [2011]), we applied that holding to a circumstance where the grand jury rendered an inconclusive vote. We held that if a grand jury deadlocks on a case submitted to it after presentation of the evidence and consideration of the charges, the prosecutor may not resubmit the case to a different grand jury without first obtaining the court permission mandated by CPL 190.75 (3). Notwithstanding the failure of the grand jury's

1. The Appellate Division considered codefendant Bevon Burgan's appeal together with defendant's appeal. The Court affirmed the judgment convicting Burgan of manslaughter in the first degree, distinguishing Burgan's case on the ground that the People had obtained court permission to resubmit the charges against Burgan "at a time when the safeguards of CPL 190.75 (3) could still be implemented" (152 AD3d at 402).

vote to dispose of the case in a manner permitted by CPL 190.60, the termination by the prosecutor of the grand jury deliberations on the charges was effectively a dismissal (*see id.*).

On this appeal, the People first contend that Supreme Court did not err in denying defendant's motion to dismiss the murder count in the second indictment because, among other reasons, defendant was not prejudiced by the People's failure to comply with CPL 190.75 (3).[2] In other words, the People assert that their failure to comply with the statute does not require dismissal of the count of the indictment obtained after the statutory violation. This contention is irreconcilable with our decisions in *Credle* and *Wilkins*, which warrant dismissal of the murder count procured here after the People failed to adhere to CPL 190.75 (3).

In *Credle*, we reiterated that the good faith of the prosecutor is not dispositive (*see id.* at 559-560, citing *Wilkins*, 68 NY2d at 273). "Rather, the critical question in deciding whether a dismissal had been effected by a prosecutor's termination of grand jury deliberations before the grand jury had itself disposed of the matter in one of the five ways permitted by CPL 190.60, was 'the extent to which the Grand Jury considered the evidence and the charge' " (*id.* at 560, quoting *Wilkins*, 68 NY2d at 274). The *Credle* Court further observed that "by voting inconclusively," the grand jury "ha[d] evinced reluctance to indict," and that it was possible that the grand jury's "less than compliant response to the prosecutor's presentation motivated the prosecutor's decision to take the case back" (*Credle*, 17 NY3d at 560-561). In short, "[t]his was quintessentially a situation in which the court, and not the prosecutor, should have decided whether re-presentation to a second grand jury was appropriate" (*id.* at 561-562).

The *Credle* Court dismissed the indictment due to the People's failure to comply with CPL 190.75 (3). This is consistent with our analysis in *Wilkins*, where we concluded that prejudice to the defendant may have resulted within the meaning of CPL 210.35 (5)[3] because, based on certain deficiencies in the evidence presented, the first grand jury might have

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2. The People's alternative argument that defendant waived any objection to the second grand jury proceeding is without merit.

3. CPL 210.35 (5) provides that "[a] grand jury proceeding is defective within the meaning of [CPL 210.20 (1) (c)] when . . . [t]he proceeding otherwise fails to conform to the requirements of [CPL article 190] to such

(n. cont'd)

dismissed the charges if given the opportunity, and because "had leave been sought to resubmit the charges, it may have been denied" (*Wilkins*, 68 NY2d at 276-277). The Court held that it was "an abuse of discretion as a matter of law" to deny the defendant's motion to dismiss the indictment, "notwithstanding the permissive language in CPL 210.20 (1) (c)" (*id.* at 277).[4]

[1] Similarly, here there is no dispute that the first grand jury had fully considered all the evidence against defendant relevant to the murder count before it deadlocked on that charge (*cf. People v Davis*, 17 NY3d 633, 638-639 [2011]). The People properly concede that, pursuant to our holding in *Credle*, they were required to obtain court permission to resubmit the murder charge to a second grand jury but failed to do so. As in *Wilkins*, the first grand jury here may have ultimately dismissed the murder count against defendant, and leave to resubmit may not have been granted (*see Wilkins*, 68 NY2d at 276-277). Consequently, there was at least a "mere possibility of prejudice" to defendant from the People's failure to comply with CPL 190.75 (3) (*Wilkins*, 68 NY2d at 277 n 7, citing CPL 210.35 [5]). The court therefore erred in denying defendant's motion to dismiss the murder count against defendant from the second indictment.

Wilkins and *Credle* do not entirely resolve this appeal. In those cases, all counts of the indictment were obtained in violation of CPL 190.75 (3) (*see Credle*, 17 NY3d at 558; *Wilkins*, 68 NY2d at 271-272). For that reason, this Court dismissed the entire indictment against each defendant. Here, by contrast, only the murder count in the second indictment was obtained after a CPL 190.75 (3) violation. All the counts charged against defendant in the first indictment, including the count of manslaughter in the first degree, undisputedly suffered from no such infirmity.

The remaining question is whether, although defendant was acquitted of murder, the improper presence of the murder count during trial requires that defendant receive a new trial on the manslaughter count of which he was convicted. The Appellate

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degree that the integrity thereof is impaired and prejudice to the defendant may result."

4. CPL 210.20 (1) (c) states that "[a]fter arraignment upon an indictment, the superior court may, upon motion of the defendant, dismiss such indictment or any count thereof upon the ground that . . . [t]he grand jury proceeding was defective, within the meaning of section 210.35."

Division applied our decision in *Mayo* to analyze that issue, but we conclude that the principles articulated in that decision are inapplicable in this context.[5]

III.

In *Mayo*, the defendant was charged in a single-count indictment with the crime of robbery in the first degree. During the first trial, the court concluded at the close of the evidence that the People had failed to prove the defendant's guilt of robbery in the first degree by legally sufficient evidence (*see Mayo*, 48 NY2d at 248). The court allowed the jury to consider the lesser included offenses of robbery in the second and third degrees, but the jury deadlocked on those offenses (*see id.*). The court failed to dismiss the indictment, and instead of obtaining a new indictment charging the defendant with those lesser included offenses, the People brought the defendant to trial a second time under the original indictment containing the count of robbery in the first degree (*see id.*). The second jury found the defendant guilty of the lesser included offense of robbery in the second degree, and the Appellate Division applied a harmless error analysis to uphold the defendant's conviction of that offense (*see id.* at 248-249).

We held that the defendant's constitutional double jeopardy rights had been violated by the retrial on the original indictment (*see id.* at 249-250). The Court further concluded that harmless error analysis was "wholly inappropriate in this context" (*id.* at 249). Stating that "the evil to which the double jeopardy clause is addressed occurs when a defendant is brought into court to defend against a criminal charge for the second time and is again subjected to the attendant expense, personal anxiety and social opprobrium," we determined that "[t]he effect of such a burden simply cannot be rectified by the defendant's subsequent exoneration" (*id.* at 250). The Court explained:

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5. The Appellate Division also concluded that the People's failure to obtain the permission required by CPL 190.75 (3) violated defendant's "constitutional right to be tried for a felony only upon a valid indictment" (152 AD3d at 402). Defendant, however, did not make any constitutional claim before the motion court. His motion to dismiss the murder count in the second indictment was based solely on statutory grounds. To the extent defendant contends on this appeal that the CPL 190.75 (3) violation implicated his constitutional rights, we do not consider that argument.

> "[W]e eschew the 'harmless error' approach adopted by the Appellate Division and instead base our holding on the fundamental principles inherent in the double jeopardy clause itself. It has been observed that '[t]he guarantee against double jeopardy is significantly different from [other] procedural guarantees . . . While this guarantee, like the others, is a constitutional right of the criminal defendant, its practical result is to prevent a trial from taking place at all, rather than to prescribe procedural rules that govern the conduct of the trial' . . . . When a defendant is brought to trial in violation of his [or her] rights under the double jeopardy clause of the Fifth Amendment, the very power of the court to try [the defendant] is implicated . . . . Thus, while a double jeopardy claim may be waivable under certain limited circumstances . . . , it cannot be gainsaid that, absent such a waiver, a trial held in violation of the double jeopardy clause must be deemed to be a nullity having no legal effect . . . . Any less exacting standard would contravene the clear purpose of the double jeopardy clause, to deprive the State of the power to subject a citizen to the risk of trial after [the citizen] has been exonerated of the charges" (*Mayo*, 48 NY2d at 252-253).

The analysis of the *Mayo* Court was based "on the fundamental principles inherent in the double jeopardy clause itself" (*id.* at 252). There, the second trial was a "nullity" that should have never occurred because bringing the defendant to trial a second time on an indictment that should have been dismissed violated constitutional double jeopardy protections (*id.* at 252-253). In *Mayo*, there was no existing valid indictment upon which the defendant's second trial could have lawfully occurred, inasmuch as the dismissal of the single count for double jeopardy reasons left "nothing remaining to support further criminal prosecution . . . under that accusatory instrument" (*People v Gonzalez*, 61 NY2d 633, 635 [1983]). Harmless error analysis was inappropriate because the second trial should never have proceeded on that indictment, and the conviction obtained at the second trial was not based upon a valid indictment.

Here, by contrast, the first indictment was a valid accusatory instrument. For that reason, defendant's entire trial was not a "nullity having no legal effect" (*Mayo*, 48 NY2d at 252-253). All of the charges against defendant contained within the first indictment, on which he was also tried, were valid and were not obtained in violation of CPL 190.75 (3). We have already concluded that the murder count in the second indictment should have been dismissed before trial, but the trial was a valid proceeding with respect to all counts contained in the first indictment. By contrast, the *Mayo* Court concluded that the entire second trial was a nullity from its inception based on constitutional double jeopardy principles that are inapplicable here and because the conviction was based upon a defective indictment that should have been dismissed. Consequently, *Mayo* does not provide an apt framework to consider whether defendant should receive a new trial on his conviction of manslaughter in the first degree.

Instead, the Appellate Division should have applied spillover analysis, as the dissenting Justice concluded. Spillover analysis is appropriate for assessing " '[w]hether an error in the proceedings relating to one count requires reversal of convictions on other jointly tried counts' " (*People v Morales*, 20 NY3d 240, 250 [2012], quoting *People v Baghai-Kermani*, 84 NY2d 525, 532 [1994]).

IV.

[2] Spillover analysis is highly case-specific (*see Morales*, 20 NY3d at 250; *Baghai-Kermani*, 84 NY2d at 532; *see also People v Daly*, 14 NY3d 848, 849 [2010]; *People v Doshi*, 93 NY2d 499, 504-505 [1999]). It requires the Court to "evaluate the individual facts of the case, the nature of the error and its potential for prejudicial impact on the over-all outcome" (*Morales*, 20 NY3d at 250 [internal quotation marks omitted]). "Reversal is required if 'there is a reasonable possibility that the jury's decision to convict on the tainted counts influenced its guilty verdict on the remaining counts in a meaningful way' " (*id.*, quoting *Doshi*, 93 NY2d at 505). Here, the jury acquitted defendant of the "tainted" count of murder in the second degree. Spillover analysis is nevertheless fitting for determining whether the presence of the murder count during trial requires that defendant receive a new trial on the "non-tainted" manslaughter count.

Where the error in question has been a *Brady* or *Rosario* violation, we have observed that when the witness testimony in question pertained to only certain factually distinct counts, and the witness presented no testimony with respect to the remaining counts, the defendant is not entitled to a new trial on the remaining counts that were not impacted by the violation (*see Daly*, 14 NY3d at 849-850; *Baghai-Kermani*, 84 NY2d at 532-533; *see also Doshi*, 93 NY2d at 505-506 [concluding that there was no spillover prejudice where an erroneous jury charge on "tainted" counts did not impact other, "readily distinguishable" counts]). By contrast, the presence of a count during trial that should have been dismissed may lead to the presentation of evidence on the tainted count that was inadmissible with respect to the non-tainted counts (*see Morales*, 20 NY3d at 250 [concluding that the presence of a terrorism count allowed the People to introduce otherwise inadmissible and prejudicial evidence and granting a new trial on the non-tainted underlying offenses]).

Under the particular circumstances of this case, we conclude that defendant is not entitled to a new trial on the manslaughter count. The People assert that all of the evidence admitted to prove defendant's guilt of murder in the second degree was also admissible to prove his guilt of manslaughter in the first degree, and defendant does not contend otherwise. Unlike *Morales*, the presence of the tainted murder count here did not result in the admission of any prejudicial evidence that the jury would have been unable to consider if the murder count had been dismissed (*cf. Morales*, 20 NY3d at 250).

Defendant argues that his counsel was required to alter his trial strategy significantly due to the presence of the murder count, but this contention is not supported by a reasonable view of the record. Defense counsel's primary strategy during trial was to argue that even if there was an agreement among the codefendants to harm the victim who died, there was no evidence that defendant was aware of any such agreement, or that defendant himself had any intent to harm that victim. This strategy was equally applicable to the manslaughter count. Furthermore, any argument by counsel that the codefendants intended to harm, but not kill, and that defendant therefore could not be an accomplice to any crime that required intent to kill, was also a defense against the two attempted murder counts charged in the first indictment with respect to the two shooting victims who survived. Inasmuch as these attempted murder counts were contained within the first indictment, defense counsel would have had to address them during the trial even if the murder count in the second indictment had been dismissed.

Defendant's alternative contention that the jury may have reached a compromise verdict is based on speculation, and the jury's acquittal of defendant on the other, lesser offenses contained within the first indictment suggests that the jury was able to independently evaluate each count before it (*see Doshi*, 93 NY2d at 506). In addition, the trial court instructed the jurors to consider the evidence as it applied to each defendant and each count separately.

For these reasons, we conclude that in this case there is no reasonable possibility that the presence of the murder count during trial influenced the jury's decision to convict defendant on the manslaughter count in any meaningful way (*see Morales*, 20 NY3d at 250). Defendant is not entitled to a new trial on the manslaughter count (*see generally People v Brown*, 83 NY2d 791, 793-794 [1994]).

Accordingly, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for determination of the facts and issues raised but not determined on the appeal to that Court (CPL 470.25 [2] [d]; 470.40 [2] [b]).

RIVERA, J. (concurring). I agree with the majority's result because there is no reasonable possibility that the jury's verdict on the remaining charges was influenced in a meaningful way by the submission to the jury of the tainted murder count (majority op at 621-622; *People v Morales*, 20 NY3d 240, 250 [2012]; *People v Doshi*, 93 NY2d 499, 504-505 [1999]; *People v Baghai-Kermani*, 84 NY2d 525, 532 [1994]). I part with the majority's analysis only to the extent it applies a prejudice analysis to the erroneously obtained murder count indictment. Instead, the People's failure to obtain the court's permission for resubmission of the dismissed murder charge to the grand jury, in accordance with Criminal Procedure Law § 190.75 (3), rendered the indictment on that charge jurisdictionally defective and subject to dismissal (CPL 210.35, 210.20 [1]; *People v Wilkins*, 68 NY2d 269, 276-277 [1986]).

"The grand jury [is], after all, an institution intended to check the accusatory power of the prosecutor's office," and it is "incompatible with and erosive of the grand jury's essential role" to allow the People's "unlimited and unsupervised re-presentation of matters" dismissed by the grand jury or withdrawn by the prosecutor (*People v Credle*, 17 NY3d 556, 559 [2011]). An indictment obtained without a court order in violation of CPL 190.75 (3) must be dismissed, as this constitutes "a failure to conform to the requirements of article 190 'to such degree that the integrity thereof is impaired' " (*Wilkins*, 68 NY2d at 276). Contrary to the majority's assertion (majority op at 617), dismissal of such indictment is not subject to a prejudice analysis because "the sole reason for invoking CPL 210.35 (5) . . . is the failure of the District Attorney to seek leave of the court for resubmission—an act which is required by article 190" (*Wilkins*, 68 NY2d at 278-279 [Hancock, Jr., J., dissenting]). When the People fail to comply with the requirements of CPL 190.75 (3) "the relevant question . . . is not whether re-presentation should in the end be allowed but who should decide the issue—whether it should be the prosecutor or the court that judges if re-presentation of a fully submitted but undisposed of count is appropriate" (*Credle*, 17 NY3d at 561 [dismissing the indictment, without a prejudice analysis, upon the People's failure to secure a court order for re-submission of charges as required by CPL 190.75 (3)]).

Chief Judge DIFIORE and Judges STEIN, GARCIA, WILSON and FEINMAN concur; Judge RIVERA concurs in result in an opinion.

Order reversed and case remitted to the Appellate Division, First Department, for determination of the facts and issues raised but not determined on the appeal to that Court (CPL 470.25 [2] [d]; 470.40 [2] [b]).

[118 NE3d 883, 94 NYS3d 221]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v BRIAN HAKES, Respondent.

Argued November 15, 2018; decided December 13, 2018

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 20, 2016. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, a judgment of the Sullivan County Court (Michael F. McGuire, J.), which had (a) revoked defendant's probation, upon a finding, after a hearing, that defendant violated the terms of his probation; and (b) imposed a prison sentence upon his conviction, after a plea of guilty, of driving while intoxicated; and (2) remitted the matter to Sullivan County Court for further proceedings not inconsistent with the Appellate Division's decision.

People v Hakes, 143 AD3d 1054, reversed.

HEADNOTES

Crimes — Sentence — Probation — Secure Continuous Remote Alcohol Monitoring

1. Sentencing courts can require defendants to wear and pay for a secure continuous remote alcohol monitoring (SCRAM) bracelet that measures their alcohol intake as a condition of probation. The decision to sentence a defendant to probation as an alternative to jail or prison reflects a determination by the sentencing court that both society and the defendant would be better served by the individual's closely supervised release into the community, provided that certain reasonable conditions are met. Since its enactment, Penal Law § 65.10 has authorized a variety of conditions of probation that concomitantly require defendants to pay certain costs or recurring fees (*see* Penal Law § 65.10 [2]). The costs attached to any one of these conditions were never overtly stated by the legislature, but rather understood as implicitly necessary to satisfy the condition itself. The fundamental rehabilitative goals of these conditions, as authorized by the legislature, outweigh any incidental punitive and deterrent effects. Payment is part and parcel of the requirement that defendant wear and maintain a functioning SCRAM bracelet. To the extent the costs associated with electronic monitoring could be considered to have a punitive or deterrent effect, that effect is dwarfed by the explicit goals of subdivision (4)—to protect the public from alcohol-related offenses while assisting a defendant's rehabilitation during their probationary term (*see* Penal Law § 65.10 [4]).

Crimes — Sentence — Probation — Secure Continuous Remote Alcohol Monitoring — Financial Obligation

2. Although sentencing courts can require defendants to wear and pay for a secure continuous remote alcohol monitoring bracelet that measures their

alcohol intake as a condition of probation, requiring a defendant to wear and pay for an electronic monitoring device may not always be reasonable. Courts cannot impose a condition of probation that includes costs a particular defendant cannot feasibly meet. Nor can courts incarcerate a defendant who has initially agreed to meet a condition requiring a payment, but who subsequently becomes unable to do so. Thus, if a defendant asserts that they are unable to meet the financial obligations attendant to a certain condition of probation at the imposition of the sentence or during the course of probation, the sentencing court must hold a hearing on the matter. The defendant must be given the opportunity to be heard in person, present witnesses, and offer documentary evidence establishing that they made sufficient bona fide efforts to pay (*see* CPL 410.70 [3]). If, after such inquiry, the sentencing court determines that the defendant has adequately demonstrated an inability to pay the costs associated with a particular condition despite bona fide efforts to do so, the court must attempt to fashion a reasonable alternative to incarceration. Conversely, if the sentencing court determines, by a preponderance of the evidence, that a probationer has willfully refused to pay when that defendant can pay, the court is justified in revoking probation and using imprisonment as an appropriate penalty for the offense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 819, 823.

CARMODY-WAIT 2d Sentencing Procedures §§ 203:56, 203:57; CARMODY-WAIT 2d Revocation of Probation or Parole §§ 204:14, 204:31.

MCKINNEY'S, CPL 410.70 (3); Penal Law §§ 60.01 (2) (b); 65.10 (2), (4).

NY JUR 2d Criminal Law: Procedure §§ 3074, 3163, 3193.

ANNOTATION REFERENCE

See ALR Index under Intoxicating Liquors; Parole, Probation, and Pardon.

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POINTS OF COUNSEL

James R. Farrell, District Attorney, Monticello (*Meagan K. Galligan* of counsel), for appellant. A defendant may properly be required to pay costs associated with alcohol monitoring devices as a condition of probation supervision. (*People v Bennor*, 228 AD2d 745; *People v McNair*, 87 NY2d 772; *People v Purcell*, 161 AD2d 812; *People v Palmeri*, 186 AD2d 1075; *People v*

Raines, 157 AD2d 874; *People v Hale*, 93 NY2d 454; *People v Gipson*, 256 AD2d 718.)

The Sage Law Firm Group PLLC, Buffalo (*Kathryn Friedman* of counsel), for respondent. The Appellate Division, Third Department properly held that County Court exceeded its authority in ordering respondent to pay costs and fees associated with the secure continuous remote alcohol monitoring bracelet because this was not a "reasonable condition" that was "necessary or appropriate to ameliorate" defendant's conduct. (*People v Letterlough*, 86 NY2d 259; *People v McNair*, 87 NY2d 772; *People v Pabon*, 28 NY3d 147; *People v Bennor*, 228 AD2d 745; *People v Purcell*, 161 AD2d 812; *People v Raines*, 157 AD2d 874; *People v Palmeri*, 186 AD2d 1075; *Bearden v Georgia*, 461 US 660; *Williams v Illinois*, 399 US 235.)

New York State Defenders Association, Albany (*Alfred O'Connor* of counsel), for New York State Defenders Association, amicus curiae. The Appellate Division correctly held courts lack statutory authority to order defendants to pay the costs of electronic monitoring as a term and condition of probation. (*People v King*, 151 AD3d 1651; *People v Donaldson*, 110 AD3d 1120; *People v Hannah*, 65 AD3d 1378; *People v Swenson*, 12 AD3d 948; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *People v McNair*, 87 NY2d 772.)

New York Civil Liberties Union Foundation, New York City (*Philip Desgranges, Christopher Dunn* and *Arthur Eisenberg*, of counsel), for New York Civil Liberties Union, amicus curiae. I. Courts must make an adequate inquiry into a probationer's ability to pay a court-ordered fee before incarcerating the probationer for their failure to pay. (*Bearden v Georgia*, 461 US 660; *People v Amorosi*, 96 NY2d 180; *People v Souffrance*, 94 AD3d 1024; *People v Brandon F.*, 299 AD2d 962; *People v Songa*, 132 AD3d 1071; *People v Posner*, 100 AD3d 805.) II. The County Court conducted an inadequate inquiry into the defendant's ability to pay by failing to exclude from the defendant's available resources the costs of basic life necessities. (*Bearden v Georgia*, 461 US 660.)

OPINION OF THE COURT

FEINMAN, J.

The principal question presented in this case is whether, as a condition of probation, sentencing courts can require defendants to wear and pay for a secure continuous remote alcohol monitoring (SCRAM) bracelet that measures their alcohol intake. We hold that they can.

In enacting Penal Law § 65.10 (4), the legislature specifically authorized sentencing courts to require defendants to wear an electronic monitoring device. Similar to other statutorily-authorized conditions of probation that implicitly require defendants to pay certain costs (*see* Penal Law § 65.10 [2]), the costs associated with wearing a functioning SCRAM bracelet are part and parcel of satisfaction of the condition itself. However, if a defendant demonstrates—either at the time the sentence is imposed or during the probationary period—that they are unable to afford the costs attached to a condition despite bona fide efforts to do so, the sentencing court must attempt to fashion a reasonable alternative to incarceration. Conversely, if a defendant willfully refuses to pay the costs associated with a condition when able to do so, a sentencing court is justified in revoking the defendant's probationary sentence and imposing a sentence of incarceration.

In December 2012, defendant Brian Hakes pleaded guilty to felony driving while intoxicated and aggravated unlicensed operation of a motor vehicle, an unclassified misdemeanor. County Court sentenced defendant to a term of six months' incarceration, concurrent with five years' probation. As a condition of his probation, the court required defendant to wear and pay for a SCRAM bracelet[1] upon his release from jail. Defendant made several payments for the SCRAM bracelet, but then stopped, resulting in the bracelet's removal by the monitoring company. Defendant claimed that an injury interfered with his ability to work and earn the income necessary to pay the monitoring fee. After a hearing on the matter, County Court revoked defendant's probation upon its determination that defendant had violated a condition of his probation because he was no longer wearing the SCRAM bracelet and imposed an indeterminate state prison term of 1 to 3 years. The Appellate Division, among other things, reversed the judgment of County Court on the basis that the sentence imposed was illegal because sentencing courts cannot require a defendant to pay for the cost of electronic monitoring (*People v Hakes*, 143 AD3d

1. A SCRAM bracelet is an electronic monitoring device that continuously measures an individual's blood alcohol level through the perspiration in their skin. The device gathers information every 30 minutes and informs the monitoring company if any alcohol has been ingested. The monitoring company charges a fee for the daily monitoring of the device.

1054, 1056 [3d Dept 2016]). Thereafter, a Judge of this Court granted leave to appeal (29 NY3d 997 [2017]). We now reverse.[2]

"To a greater or lesser degree, it is always true of probationers . . . that they do not enjoy 'the absolute liberty to which every citizen is entitled, but only . . . conditional liberty properly dependent on observance of special [probation] restrictions' " (*Griffin v Wisconsin*, 483 US 868, 874 [1987], quoting *Morrissey v Brewer*, 408 US 471, 480 [1972]; *see People v Hale*, 93 NY2d 454, 461 [1999] ["In New York, as in other jurisdictions, a sentence of probation is an option among various sentencing alternatives short of confinement (and) . . . (t)he probationer, although not physically confined, remains in the legal custody of the court for the probationary period" (internal quotation marks omitted)]). Keeping in mind that probation is the product of statute, "our inquiry must focus solely on whether, having determined that probation was the appropriate criminal sanction for defendant, County Court acted within the parameters of the probationary sentencing structure authorized by Penal Law § 65.10" (*People v Letterlough*, 86 NY2d 259, 265-266 [1995]).[3]

In 1965, section 65.10 was added to the Penal Law, providing, "[i]n general" that "[t]he conditions of probation and of conditional discharge shall be such as the court, in its discretion, deems reasonably necessary to insure that the defendant will lead a law-abiding life or to assist him to do so" (Penal Law § 65.10 [1], as added by L 1965, ch 1030). Subdivision (2) of section 65.10 went on to enumerate conditions of probation that a court could impose on a defendant, including, among other things, that a defendant shall

> "[r]efrain from frequenting unlawful or disreputable places[,] . . .
>
> "[w]ork faithfully at a suitable employment or . . . pursue a course of study or of vocational training[,] . . .

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2. The People do not dispute that the Appellate Division properly held that the sentencing court erred in imposing certain conditions on any post-release supervision at the time of sentencing.

3. Defendant's failure to object at County Court to the sentencing court's authority to require that he wear and pay for a SCRAM bracelet under Penal Law § 65.10 does not impede our review of that issue because "it involves the essential nature of the right to be sentenced as provided by law" (*Letterlough*, 86 NY2d at 263 n 1 [citation and internal quotation marks omitted], citing *People v Fuller*, 57 NY2d 152, 156 [1982]).

> "[u]ndergo available medical or psychiatric treatment[,] . . .
>
> "[s]upport [their] dependents[,] . . .
>
> "[m]ake restitution . . . or make reparation, in an amount [they] can afford to pay . . . [and]
>
> "[p]ost a bond or other security for the performance of any and all conditions" (Penal Law § 65.10 [2] [b]-[d], [f], [g], [j] [formerly paras [b]-[f], [h], as added by L 1965, ch 1030]).

Subdivision (2) also provided a catchall provision which allowed sentencing courts to set "any other conditions reasonably related to [a probationer's] rehabilitation" (Penal Law § 65.10 [2] [*l*] [formerly para (i), as added by L 1965, ch 1030]). While additional conditions were subsequently added to subdivision (2), the legislature did not substantially change section 65.10 until 1996, following two decisions of this Court regarding a sentencing court's ability to impose specific conditions of probation.

In *People v Letterlough*, the first of these decisions, this Court reviewed a sentencing court's authority to require, as a condition of probation, that a defendant "affix to the license plate of any vehicle he drives a fluorescent sign stating 'CONVICTED DWI' " (86 NY2d at 261). The Court held that the imposition of this condition was beyond the authority of the sentencing court because "Penal Law § 65.10 quite clearly restricts probation conditions to those reasonably related to a defendant's rehabilitation" (*id.* at 265, citing Penal Law § 65.10 [2] [*l*] [the "catchall" provision]). Thus, the legislature plainly intended to authorize conditions that are "rehabilitative in nature," even though "many—such as those requiring a probationer to make restitution, refrain from frequenting 'disreputable places' or to participate in an alcohol or substance abuse program . . . may have incidental punitive and deterrent effects" (*Letterlough*, 86 NY2d at 264-265; *see* Penal Law § 65.10 [2] [a]-[k]). "Despite the inherent overlap and the difficulty in drawing lines between rehabilitative and punitive or deterrent sanctions, the Legislature did not mention punishment or deterrence as goals to be obtained through the imposition of probationary conditions pursuant to Penal Law § 65.10" (86 NY2d at 265).

A year later, in *People v McNair*, this Court again examined the authority of a sentencing court to set a condition of probation—this time the requirement that a defendant, who had pleaded guilty to felony driving while intoxicated, wear an electronic monitoring device for a year (87 NY2d 772, 774 [1996]). The Court held that the condition was once more beyond the authority of the sentencing court, stating that the case was "remarkably similar to *Letterlough* in that the sentencing court's 'true design was not to advance defendant's rehabilitation, but rather to warn the public of,' or in this case protect the public from, 'the threat presented by [defendant's] presence behind the wheel' " (*id.* at 775 [some internal quotation marks omitted], quoting *Letterlough*, 86 NY2d at 266). "Because the sentencing court's true aims in this case were public safety and surveillance, not rehabilitation, *Letterlough* requires that the condition of electronic monitoring be invalidated" (*McNair*, 87 NY2d at 775). The Court opined that the use of electronic monitoring was "the province of the Legislature, not the Judiciary" (*id*. at 776).

In 1996, in direct response to *Letterlough* and *McNair* (*see* Governor's Approval Mem, Bill Jacket, L 1996, ch 653 at 7, 1996 NY Legis Ann at 484-485), the legislature added subdivision (4) to Penal Law § 65.10, authorizing a sentencing court to require "the defendant to submit to the use of an electronic monitoring device . . . where the court, in its discretion, determines that . . . such condition will advance public safety, probationer control or probationer surveillance" (Penal Law § 65.10 [4], as added by L 1996, ch 653). The Governor commented that contrary to this Court's holding in *McNair*, "[a] rational criminal justice system should insist that judges . . . be scrupulously concerned about public safety in making sentencing decisions[,] . . . particularly . . . with respect to drunken driving, given its high recidivism rate and the awful carnage it causes" (Governor's Approval Mem, Bill Jacket, L 1996, ch 653 at 7, 1996 NY Legis Ann at 484). The Governor noted that when sentencing courts are "making the often difficult choice between imposing a sentence of probation or jail, the availability of electronic monitoring may be decisive" (Governor's Approval Mem, Bill Jacket, L 1996, ch 653 at 7, 1996 NY Legis Ann at 484).

The decision to sentence a defendant to probation as an alternative to jail or prison reflects a determination by the sentencing court that both society and the defendant would be better served by the individual's closely supervised release into the community, provided that certain reasonable conditions are met. "Utilized in conjunction with these conditions, . . .

electronic monitoring was designed to allow defendant[s] to remain in the privacy of [their] own home with [their] family—instead of in prison—while learning to control [themselves] in the presence of alcohol" (*McNair*, 87 NY2d at 779 [Kaye, Ch. J., dissenting], citing Burns, *Electronic Home Detention: New Sentencing Alternative Demands Uniform Standards*, 18 J Contemp L 75, 89-90 [1992]). Defendant contends that while the condition requiring a probationer to submit to electronic monitoring may be permissible, the additional requirement of payment is a punitive measure that serves no public safety or deterrent goal. If defendant were correct, the legislature, in enacting subdivision (4), only meant to authorize electronic monitoring if the costs were borne by the State. There is nothing in the legislative history of Penal Law § 65.10 to support this assumption.

Rather, since its enactment in 1965, Penal Law § 65.10 has authorized a variety of conditions of probation—such as pursuing a course of study, obtaining psychiatric treatment, participating in a substance abuse program or motor vehicle accident prevention course—that concomitantly require defendants to pay certain costs or recurring fees (*see* Penal Law § 65.10 [2]). The costs attached to any one of these conditions were never overtly stated by the legislature, but rather understood as implicitly necessary to satisfy the condition itself. As the Court recognized in *Letterlough*, the fundamental rehabilitative goals of these conditions, as authorized by the legislature, outweigh any incidental punitive and deterrent effects (*see* 86 NY2d at 264-266; *see also McNair*, 87 NY2d at 778-779 [Kaye, Ch. J., dissenting] ["(t)he general rule to be drawn from *Letterlough* is that a court may not create its own probationary condition which is predominantly punitive in the sense that its punitive elements overshadow its rehabilitative components"]).

[1] The condition here is no different—payment is part and parcel of the requirement that defendant wear and maintain a functioning SCRAM bracelet. To the extent the costs associated with electronic monitoring could be considered to have a punitive or deterrent effect, that effect is dwarfed by the explicit goals of subdivision (4)—to protect the public from alcohol-related offenses while assisting a defendant's rehabilitation during their probationary term (*see* Penal Law § 65.10 [4]; legislative history of subd [4], *supra* at 630; *see also* Mem of Div of Probation and Corr Alternatives at 2, Bill Jacket, L 1996, ch 653 at 21 ["(R)ehabilitation of a probationer recognizes that public safety, offender accountability, and other deterrent conditions are reasonable and legitimate conditions and can mutually co-exist as part of any probation sentence"]). Were we to hold that any monetary component of a condition that must be borne by a defendant *per se* invalidated said condition, sentencing courts would be divested of their broad authority to impose a myriad of probationary requirements, and consequently, would, in many instances, no longer view release into the community as a viable alternative to incarceration. In light of this, the requirement that defendant wear and pay for a SCRAM bracelet was well within County Court's statutory authority under Penal Law § 65.10 (4).

This is not to say that requiring a defendant to wear and pay for an electronic monitoring device will always be reasonable. Courts cannot impose a condition of probation that includes costs a particular defendant cannot feasibly meet. Nor can courts incarcerate a defendant who has initially agreed to meet a condition requiring a payment, but who subsequently becomes unable to do so. "Indeed, depriving probationers of conditional freedom based simply on their indigence would be an invidious denial to one class of defendants of a substantial benefit available to another" (*People v Amorosi*, 96 NY2d 180, 184 [2001]). Accordingly, a probationary sentence is a tentative one that by its nature may be altered or revoked pursuant to the discretion of the court during the probationary term (*see* Penal Law § 60.01 [2] [b]). "At any time after [a] sentence is pronounced, the court may adjust the conditions to suit the current circumstances by eliminating conditions imposed at [the] sentence or adding new ones as the court considers necessary and appropriate" (*People v Rodney E.*, 77 NY2d 672, 675-676 [1991]; *see* CPL 410.20 [1]; Penal Law § 65.00 [2]).

[2] Therefore, if, at the imposition of the sentence or during the course of probation, a defendant asserts that they are unable to meet the financial obligations attendant to a certain condition, the sentencing court must hold a hearing on the matter (*see Black v Romano*, 471 US 606, 610-611 [1985]; *Amorosi*, 96 NY2d at 184; *People v Hall-Wilson*, 69 NY2d 154, 156-157 [1987]; *see generally* CPL 420.10 [5]). The defendant must be given the opportunity to be heard in person, present witnesses, and offer documentary evidence establishing that they made sufficient bona fide efforts to pay (*see* CPL 410.70 [3]; *Romano*, 471 US at 610-612; *Amorosi*, 96 NY2d at 184). If, after such inquiry, the sentencing court determines that the defendant has adequately demonstrated an inability to pay the costs associated with a particular condition despite bona fide efforts to do so, the court must attempt to fashion a reasonable alternative to incarceration (*see Amorosi*, 96 NY2d at 184; *see also Bearden*, 461 US at 668-669). Conversely, if the sentencing court determines, by a preponderance of the evidence (*see* CPL 410.70 [3]), that "a probationer has willfully refused to pay . . . when [that defendant] can pay, the [court] is justified in revoking probation and using imprisonment as an appropriate penalty for the offense" (*Amorosi*, 96 NY2d at 184, citing *Bearden* at 668; *see* CPL 410.70 [1], [5]; Penal Law § 65.00 [2]; *see also Rodney E.*, 77 NY2d at 676).

Here, the Appellate Division never reviewed defendant's challenges to County Court's finding that he was in willful violation of a condition of his probation. Accordingly, the order of the Appellate Division insofar as appealed from should be reversed, and the case remitted to the Appellate Division for determination of the facts and issues raised, but not determined on appeal to that Court (*see* CPL 470.25 [2] [d]; 470.40 [2] [b]).

RIVERA, J. (dissenting). The majority holds that a court may require a defendant to pay the daily expense for an electronic monitoring device that the court has ordered a defendant wear as a condition of probation. The plain language of the Penal Law § 65.10 does not authorize judicial imposition of such costs, and the history of the relevant provisions does not demonstrate a legislative intent to empower courts to condition a defendant's probation on payment for an electronic monitoring device, without guidance on how to exercise such discretion. Nor may we infer such authority given the existing statutory structure. The legislature has crafted a detailed scheme for the imposition of costs, fines, and fees, demonstrating that when it intends to impose a financial burden on a defendant it does so explicitly, and in accordance with its legislative design. Here, the legislature has not so acted, and it is not the role of this Court to substitute its judgment and judicially-created payment-for-probation rule in place of the legislature's silence. Therefore, I dissent.

I.

Defendant Brian Hakes pleaded guilty to driving while intoxicated, for which the court imposed a split sentence of five years of probation, the first six months to be served in jail. His probation included several conditions, one of which was to wear an alcohol monitoring device that, through contact with the skin, continuously monitors alcohol intake levels. The device at issue here is a "SCRAM bracelet," named after the company that developed it. The court required defendant to wear the device as long as the Probation Department deemed necessary. The court additionally imposed a separate condition that defendant pay for the cost of the SCRAM device. At the time the court imposed this condition, there was no discussion of the actual cost and whether defendant had to pay a lump sum or make periodic payments. Nor could the court provide defendant with an estimate of the total cost to be borne by him because the duration of the SCRAM device condition was subject to review by Probation.

Upon his release from jail, defendant went to have the SCRAM device installed by Rocky Mountain Offender Management Services (RMOMS), the private company contracted by Sullivan County to install and maintain SCRAM devices. As part of its contract with the County, RMOMS apparently reports the results of the monitoring to Probation.[1] At this first meeting, the RMOMS representative informed defendant that the SCRAM device carried an $11 per day cost but failed to advise him that RMOMS could reduce the daily charge to $4 if defendant had difficulty paying. Given these numbers, if Probation had required defendant to wear the SCRAM device for his entire period of probation, he would have owed RMOMS approximately $18,000. Even if RMOMS had reduced the fee to $4 per day (as it later told defendant it could), defendant would owe approximately $6,500 if required to wear the device for the full term. It could not have escaped the representative's attention that payment was a concern for defendant as his mother, who accompanied him to have the device installed, asked whether Medicaid covered the costs. The SCRAM is not a Medicaid-covered device and even though the court-imposed payment condition was solely the responsibility of defendant, his mother made an initial payment of $160 on his behalf at this first meeting.

Defendant wore the SCRAM device for almost four months without incident. During that time, defendant lived on a subsistence level by working odd jobs and living rent-free in his

1. The record is unclear as to how or when the SCRAM device provides readings to RMOMS, or what, if any, protocol RMOMS follows to alert Probation.

aunt's home with his mother. Defendant's mother had recently lost her job and she used her Social Security benefits of $652 per month to buy groceries and other necessities for the two of them. They also received meal assistance from their church food pantry. Still, defendant gave his meager earnings to his mother to help pay for the SCRAM device, which she used, along with what remained of her own money, to make a second payment of $300 to RMOMS. At some point, defendant broke his wrist while working and it became even more difficult to pay for the SCRAM device, and so his debt mounted.

Soon after this second payment, a RMOMS representative told defendant he owed $717 in arrears. When defendant replied he could not pay, the representative finally informed him of the $4 reduced payment option, which was the best she could do for him because, as she explained, RMOMS would not provide the device free of charge. Defendant said he was unable to pay any amount. The RMOMS representative, after speaking with defendant's probation officer, then removed the device.

Probation filed a petition for violation of probation against defendant. Up until the time of the alleged violation, defendant had fully complied with all other conditions of probation. In fact, defendant's counselor recommended to the court that it was no longer necessary for defendant to wear the device.

The evidence at a hearing on the violation petition established defendant had no income. Nevertheless, the trial court held that defendant had willfully failed to comply with the condition that he pay for the SCRAM device, and thus revoked his probation and sentenced him to 1 to 3 years in prison. The court explained that its decision was "not premised upon finding that Mr. Hakes is indigent." "Sentencing today deals with accountability. When an agreement is made and accommodations are given, they're given with an expectation of living up to his end of the bargain."

The Appellate Division, reversed, holding that, while County Court could require defendant to wear an electronic monitoring device, it did not have statutory authority to require him to pay for the cost of the monitoring program (*People v Hakes*, 143 AD3d 1054, 1056 [3d Dept 2016]). On appeal before us, the People argue that the court has the authority under Penal Law § 65.10 (5) because requiring payment was a "reasonable condition" that the court determined was "necessary or appropriate to ameliorate the conduct which gave rise to the offense or to prevent the incarceration of the defendant." Defendant argues that the condition of payment does not meet that standard and therefore is not authorized. The Appellate Division and defendant are correct that the statute does not authorize the court-imposed cost on defendant.

II.

The legislature has authorized courts to impose conditions on probation, "as the court, in its discretion, deems reasonably necessary to insure that the defendant will lead a law-abiding life or to assist him to do so" (Penal Law § 65.10 [1]). The legislature has set forth a list of conditions intended as rehabilitative (Penal Law § 65.10 [2]). It has also provided for certain conditions that are not primarily related to rehabilitation. Thus, subdivision (4) permits the court, as part of a sentence of probation, to "require the defendant to submit to the use of an electronic monitoring device and/or to follow a schedule that governs the defendant's daily movement" when the court determines that the condition "will advance public safety, probationer control or probationer surveillance" (Penal Law § 65.10 [4]). Further, subdivision (5), titled "Other conditions," permits the court "in addition to any conditions imposed pursuant to subdivisions two, three and four of this section, require that the defendant comply with any other reasonable condition as the court shall determine to be necessary or appropriate to ameliorate the conduct which gave rise to the offense or to prevent the incarceration of the defendant" (Penal Law § 65.10 [5]).

Subdivisions (4) and (5) were added in response to this Court's holdings in *People v Letterlough* (86 NY2d 259 [1995]) and *People v McNair* (87 NY2d 772 [1996]). In *Letterlough*, this Court recognized that the overriding purpose of imposing a sentence of probation under Penal Law § 65.10 is to rehabilitate the offender. Although there is overlap "between rehabilitative and punitive or deterrent sanctions, the Legislature did not mention punishment or deterrence as goals to be obtained through the imposition of probationary conditions pursuant to Penal Law § 65.10. Rather, Penal Law § 65.10 quite clearly restricts probation conditions to those reasonably related to a defendant's rehabilitation" (86 NY2d at 265). Thus, the Court held that the legislature had authorized only those conditions of probation that are fundamentally rehabilitative and could not impose a punitive or public safety condition under the "catch all" provision of Penal Law § 65.10 (2) (*l*), under which the court could impose "any other conditions reasonably related to [defendant's] rehabilitation" (*id.* at 266-267). Shortly thereafter, in *People v McNair*, the Court held, in accordance with *Letterlough*, that the sentencing court was not legally authorized to require the defendant to wear a global positioning system (GPS) monitoring device as a condition of probation under Penal Law § 65.10 (2) (*l*), because the sentencing court's "true aims . . . were public safety and surveillance, not rehabilitation" (87 NY2d at 775).

It is clear from the legislative history that subdivisions (4) and (5) are intended to allow a court to authorize conditions of probation for public safety purposes, so that the condition imposed under these sections does not need to have a "fundamentally rehabilitative purpose." At the same time, the legislature maintained that these amendments would not change the "fundamental nature of the probation sentence" (*see* Letter from Joseph R. Lentol, Chairman, Assembly Comm on Codes, to Governor George E. Pataki, July 23, 1996 at 2, Bill Jacket, L 1996, ch 653 at 6; Governor's Approval Mem, Bill Jacket, L 1996, ch 653, 1996 NY Legis Ann at 484; Mem of Div of Probation and Corr Alternatives, Bill Jacket, L 1996, ch 653). The text and legislative history of subdivision (4) strongly suggest the legislature intended to authorize GPS surveillance, not SCRAM device-type monitoring. Notably, the legislature has not amended subdivision (4), even as courts have imposed non-GPS monitoring conditions. In any case, the scope of subdivision (4) is not at issue on this appeal as defendant does not challenge whether a SCRAM device falls within the broad statutory language.

The legislature took the language of subdivision (5) directly from section 353.2 (h) of the Family Court Act (Governor's Approval Mem, Bill Jacket, L 1996, ch 653, 1996 NY Legis Ann at 485). As the sponsor's letter explains, adoption of this language was intended "not [to] change the fundamental nature of the probation sentence, but [to] help ensure that it can be used effectively" (Letter from Joseph R. Lentol, Chairman, Assembly Comm on Codes, to Governor George E. Pataki, July 23, 1996 at 2, Bill Jacket, L 1996, ch 653 at 6). In other words, "subdivision 5 . . . afford[s] sentencing judges with greater flexibility in imposing other conditions of probation, for it effectively overrules the McNair Court's conclusion that a condition of probation must have a 'fundamentally rehabilitative purpose' " (Governor's Approval Mem, Bill Jacket, L 1996, ch 653 at 8, 1996 NY Legis Ann at 485). Likewise, the budget report recognized the bill's overall purpose as authorizing "courts to impose electronic monitoring and other conditions of probation in the interest of public safety" (Budget Rep, Bill Jacket, L 1996, ch 653 at 9). A memorandum of the Division of Probation and Correctional Alternatives in support of the bill stressed this very purpose, and further explained its belief that "public safety, offender accountability, and other deterrent conditions are reasonable and legitimate conditions and can mutually co-exist as part of any probation sentence" (Mem of Div of Probation and Corr Alternatives at 2, Bill Jacket, L 1996, ch 653 at 21). As the bill jacket materials make clear, the legislature's intent was to allow greater flexibility for courts to impose conditions that promote public safety specifically.

The People do not argue that subdivision (4) authorizes imposition of costs for the SCRAM device, but rather, that under the catch-all provision of subdivision (5), a court may impose the cost of a SCRAM device as a "reasonable condition" (Penal Law § 65.10 [5]). Thus, contrary to the majority's view, the People decouple the condition of wearing the device from the condition of paying for the device. Rightly so. However, the People ignore the express terms of subdivision (5) which contains two prongs: the condition must be reasonable *and* must be "necessary or appropriate to ameliorate the conduct which gave rise to the offense or to prevent the incarceration of the defendant" (*id.*). The payment condition imposed on defendant does not meet this second prong. Defendant's conduct which gave rise to the underlying offense was driving while intoxicated. Requiring defendant to pay for the device itself is not necessary or appropriate to ameliorate his alcohol intake, because what matters is that he wear the device, not who pays for it. It is the wearing of the device that has the potential ameliorative effect. Nor is requiring a defendant to pay for electronic monitoring necessary to prevent the incarceration of the defendant; that can only be prevented by defendant not driving while intoxicated. Indeed, at best, the device monitors alcohol intake but does not, like the ignition interlock device—which may be imposed under Penal Law § 65.10 (2) (k-1)—immediately prevent defendant from getting behind the wheel and driving if his alcohol intake exceeds whatever limit set by the court.[2]

The majority concludes that the SCRAM device-payment condition is just like other "statutorily-authorized conditions of probation that implicitly require defendants to pay certain costs" (majority op at 627). Therefore, the argument goes, the court is authorized to require defendant to pay for the device as a condition of his probation and as a condition of his liberty (*id.* at 631). Essentially the majority's argument is that conditions of probation inherently cost *something* and, despite the lack of express statutory language to that effect, that something must be borne by defendant. There is no textual support for this interpretation of the statute.

First, the majority is incorrect that if there are costs incidental to the conditions that may be imposed by a court under Penal Law § 65.10 (2), then the legislature, sub silentio, has shifted payment of those costs to defendants. That is not how the legislature has written the statute. When the legislature intended to shift costs to a defendant, it did so explicitly, and also made provision for a defendant who is unable to pay, as in the case of Penal Law § 65.10 (2) (k-1). That section requires defendant to install an ignition interlock device and cross-references the Vehicle and Traffic Law. The Vehicle and Traffic Law, in turn, explicitly requires defendant to bear the cost of the device, stating that the cost shall be considered a "fine," and cross-references other provisions that specify exactly how the court may waive or reduce the fee and craft a payment plan (Vehicle and Traffic Law § 1198 [5]; CPL 420.10 [5]). If, as the majority opines, the court is inherently authorized to require a defendant, as a condition of probation, to pay any and all costs associated with a condition under Penal Law § 65.10 (2), then the legislature would have no occasion to extensively cross-reference provisions that lay out a detailed scheme for how, and under what circumstances, the court imposes costs for installation of an ignition interlock device.

Given the legislative structure, the majority's interpretation violates well-established canons of statutory construction that "the failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended" (McKinney's Cons Laws of NY, Book 1,

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2. Ignition interlock devices are calibrated depending on the condition of permissible alcohol intake set by the court (Vehicle and Traffic Law § 1198).

Statutes § 74), and "[a] court cannot by implication supply in a statute a provision which it is reasonable to suppose the Legislature intended intentionally to omit" (McKinney's Cons Laws of NY, Book 1, Statutes § 74). The judiciary's "duty is to construe rather than rewrite legislation" (*Steelworkers v Weber*, 443 US 193, 221 [1979, Rehnquist, J., dissenting]). "It is not the role of this, or indeed any, court to second-guess the determinations of the Legislature, the elective representatives of the people, in this regard" (*Matter of Wolpoff v Cuomo*, 80 NY2d 70, 79 [1992]). We are not at liberty to supply terms the legislature has chosen to omit.

Second, on its own terms the majority's interpretation is not necessary to achieve the legislature's overarching goal of rehabilitation. For any conditions listed in subdivision (2) (c)-(k-1) that have some "associated costs," the desired rehabilitative effects can be obtained regardless of who pays. To the extent the majority is concerned that the state will bear the costs unless a defendant pays (majority op at 631), in fact, defendants have access to various forms of assistance available to the general public, including government subsidies, that would cover the costs. In any case, how government allocates its resources is a policy matter for the legislature not this Court (*see Jiggetts v Grinker*, 75 NY2d 411, 415 [1990] ["Broad policy choices, which involve the ordering of priorities and the allocation of finite resources, are matters for the executive and legislative branches of government and the place to question their wisdom lies not in the courts but elsewhere"]). While the majority's interpretation does not serve the statute's rehabilitative goals, it potentially undermines them by reading the statute to automatically shift any costs to defendants. Placing costs of a condition of probation on a defendant carries the potential for imposing crushing debt that can only undermine rehabilitation and reintegration into society. Indeed, the New York City Bar has recently recommended that the State re-examine statutorily authorized fees "as they are a revenue-generating mechanism that has been disproportionately imposed upon those least able to pay" (Report by the Committee on Criminal Justice Operations, Committee on Corrections and Community Reentry, Committee on Criminal Courts and Task Force on Mass Incarceration, New York Should Re-Examine Mandatory Court Fees, Nov. 26, 2018, available at https://www.nycbar.org/member-and-career-services/committees/reports-listing/reports/detail/new-york-should-re-examine-mandatory-court-fees [last visited Dec. 4, 2018]). Creating circumstances that would render a defendant a pauper does not teach individual accountability.

III.

To the extent the majority concludes that paying the costs are merely "part and parcel" of the condition that the defendant wear the device (majority op at 627, 631), that view does not square with the legislature's customary manner for imposing a financial obligation on a defendant. A review of the legislature's detailed statutory scheme for imposing costs, fees, and fines belies the majority's interpretation of Penal Law § 65.10.

A.

Legislation governs a defendant's obligation to pay costs associated with a criminal conviction. Penal Law § 60.27 authorizes the court to impose restitution or reparation as part of a defendant's sentence, in accordance with various and extensive sections of the Criminal Procedure Law which dictate how restitution or reparation is collected and remitted. For example, CPL 420.10 (1) (a) (i)-(iii) authorize the court to require the defendant to pay fines, restitution, or reparation at the time of sentencing, at a later date, or pursuant to a payment plan. Criminal Procedure Law § 420.10 (1) (b) further establishes that payment of restitution or reparation takes priority over any fines. CPL 420.10 (1) (c) specifically authorizes a court that it can require payment of a fine, restitution, or reparation as a *condition* of probation. When the defendant fails to pay, CPL 420.10 (3) details the exact requirements for what a court must do in order to impose a sentence on a defendant if the defendant fails to pay fines, restitution, or reparation and CPL 420.10 (4) specifies the exact periods of imprisonment the court is authorized to impose for such failures to pay. If the defendant is unable to pay, CPL 420.10 (5) specifies that a defendant may apply for resentencing at any time and the statute requires the court to adjust the terms of payment, lower the amount, or revoke the portion of the sentence imposing the fine or restitution.

Other statutory provisions set forth additional types of payments. Penal Law § 60.35 requires the court to levy at sentencing a mandatory surcharge, a sex offender registration fee, a DNA databank fee, a supplemental sex offender victim fee, and a crime victim assistance fee, as applicable to the case, and details the exact dollar amounts of these fees. Subdivision (6) of Penal Law § 60.35 expressly provides that where a person has made restitution or reparation that person shall *not* be required to pay a mandatory surcharge or a crime victim assistance fee. Similarly, Vehicle and Traffic Law § 1809 details a different amount of payment for mandatory surcharge and crime victim assistance fee in certain cases under the Vehicle and Traffic Law.

There is also legislation imposing the cost of a "probation administrative fee" on defendants under probation for DUI infractions. Executive Law § 257-c permits every county to adopt a local law requiring individuals serving probation for DUI offenses

> "to pay to the local probation department with the responsibility of supervising the probationer an administrative fee of thirty dollars per month. The department shall waive all or part of such fee where, because of the indigence of the offender, the payment of such surcharge would work an unreasonable hardship on the person convicted, his or her immediate family, or any other person who is dependent on such person for financial support" (Executive Law § 257-c [1]).

It mandates that CPL 420.10 governs for collection of the administrative fee and expressly states that "[t]he probation administrative fee authorized by this section *shall not* constitute nor be imposed as a condition or probation" (Executive Law § 257-c [3] [emphasis added]). The requirement that the probation fee not be imposed as a condition of probation clearly suggests that the legislature did not want the availability of probation to be contingent upon the defendant's ability to pay for their own probation monitoring.[3]

As these examples illustrate, when the legislature intends either to impose costs on a defendant or to authorize the court to do so, it says so expressly, in painstaking detail, and with a consideration of a defendant's ability to pay. The majority ignores this extensive body of legislatively crafted cost-shifting, and, turning the argument on its head, finds the costs are authorized because the defendant is unable to show that the legislature expressly intended for the *State* to bear the cost

3. In accordance with this provision, Sullivan County has a local law imposing this administrative fee on every person it places on probation (Sullivan County Code § 117-2).

(majority op at 631). As I have discussed, that approach is counter to our statutory rules and the legislative structure.

Moreover, the majority mistakenly relies on *People v Amorosi* (96 NY2d 180 [2001]) to craft its own judicially-created rule for how a court should proceed when a defendant is unable to pay for the costs of the monitoring device (majority op at 632). *Amorosi* merely stands for the proposition that a court is empowered to revoke a defendant's probation and impose imprisonment when restitution was a condition of probation and the defendant willfully failed to pay (96 NY2d at 184-185). Such conclusion is hardly surprising given that the legislature has *expressly* provided that restitution can be made a condition of probation (Penal Law § 65.10 [2] [g]; CPL 420.10 [1] [c]). *Amorosi* stands for nothing more than the recognition that the court has that statutory authority. No such authority exists here.

IV.

It may well be that the legislature would add a requirement that a defendant, when able, shall bear all or part of the costs for an electronic monitoring device condition pursuant to subdivision (4). Alternatively, the legislature might decide that the savings of keeping defendants out of prison offsets or exceeds the costs of a monitoring device and that it is better to expand the usage of the device than to shift costs to individual defendants, some of whom may not be able to pay in a given case. Such a conclusion would not be at all be surprising since, in years past, the average cost of imprisoning a defendant in New York was around $60,000 per year compared to an average cost of $2,400 per probationer.[4] The legislature might decide that costs for monitoring devices are more than paid for by the saving of over $57,000 gained by keeping a defendant out of prison. The legislature was well aware of these costs savings as it cited them in support of its enactment of subdivisions (4) and (5).[5] We do not know because the legislative text is silent about

4. Vera Institute of Justice, *The Price of Prisons: What Incarceration Costs Taxpayers* (Jan. 2012), available at https://www.vera.org/publications/price-of-prisons-what-incarceration-costs-taxpayers (last visited Nov. 30, 2018); Council of State Governments Justice Center, NY State Probation Incarceration Study, available at https://csgjusticecenter.org/corrections/projects/ny-state-probation-incarceration-study/ (last visited Nov. 30, 2018).

5. Governor's Approval Mem, Bill Jacket, L 1996, ch 653 at 7, 1996 NY Legis Ann at 485 ("[A]lthough such a probationary sentence would have

(n. cont'd)

these possible policy considerations and how the legislature may or would weigh them.

Finally, the majority's concern that courts would not provide for probation unless a defendant bore the costs assumes the State is unwilling or unable to pay (majority op at 632). As I have discussed, a defendant may be eligible like anyone else for government assistance with the costs of employment or education, just to name two types of conditions (Penal Law § 65.10 [2] [c]). Moreover, apart from assistance available for individuals, there is significant funding distributed to county probation services through a block grant program operated by the state (Executive Law § 246; 9 NYCRR part 345).

For the reasons I have discussed, the statute does not authorize judicial imposition of costs for an electronic monitoring device. Whether such authorization is a good idea requires balancing various social and economic policies and concerns—a task solely for the legislature. I dissent.

Chief Judge DIFIORE and Judges STEIN, FAHEY, GARCIA and WILSON concur; Judge RIVERA dissents in an opinion.

Order, insofar as appealed from, reversed and case remitted to the Appellate Division, Third Department, for determination of the facts and issues raised but not determined on the appeal to that Court (CPL 470.25 [2] [d]; 470.40 [2] [b]).

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been the most appropriate sentence, some defendants have received prison sentences—at a greater cost to government"); Budget Rep, Bill Jacket, L 1996, ch 653 at 9-10 ("Without the option of electronic monitoring, some defendants may be sentenced to incarceration at a far greater cost"; "This bill may reduce the use of incarceration for offenders more appropriate for lower cost, community-based sanctions"; "Electronic monitoring has proven to be a cost effective alternative to incarceration for appropriate offenders"); Mem of Div of Probation and Corr Alternatives, Bill Jacket, L 1996, ch 653 at 21 ("The fact that over thirty local jurisdictions were using electronic monitoring in some form as part of probation supervision clearly attests to widespread recognition of its merit and in achieving jail and prison cost-savings"); Letter from Christopher A. Cernik, Counsel, New York State STOP-DWI Coordinators Assn, July 26, 1996, Bill Jacket 1996, ch 653 at 23 ("Furthermore, electronic monitoring often serves as an effective alternative to incarceration—fulfilling all of the previously stated objections while avoiding the costly imprisonment alternative").

[119 NE3d 768, 95 NYS3d 128]

ARROWHEAD CAPITAL FINANCE, LTD., Appellant, v CHEYNE SPECIALTY FINANCE FUND L.P. et al., Respondents.

Argued January 9, 2019; decided February 14, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 17, 2017. The Appellate Division order, insofar as appealed from, affirmed so much of a judgment of the Supreme Court, New York County (Shirley Werner Kornreich, J.; *see* 2016 NY Slip Op 31407[U] [2016]), as had dismissed the complaint without prejudice as against defendant Cheyne Specialty Finance Fund L.P.

Arrowhead Capital Fin., Ltd. v Cheyne Specialty Fin. Fund L.P., 154 AD3d 523, reversed.

HEADNOTES

Attorney and Client — Unauthorized Practice of Law — New York Office Required for Practice of Law by Nonresidents

1. Failure by plaintiff's counsel, a nonresident attorney admitted in New York, to maintain a physical office in the State as required by Judiciary Law § 470 at the time the complaint was filed did not render that filing a nullity and dismissal of the action on that basis was not warranted. A violation of Judiciary Law § 470 does not render the actions taken by the attorney involved a nullity. Instead, the party may cure the section 470 violation with the appearance of compliant counsel or an application for admission pro hac vice by appropriate counsel. Where further relief is warranted, the trial court has discretion to consider any resulting prejudice and fashion an appropriate remedy and the individual attorney may face disciplinary action for failure to comply with the statute. This approach ensures that violations are appropriately addressed without disproportionately punishing an unwitting client for an attorney's failure to comply with section 470.

Appeal — Court of Appeals — Appeal by Permission — Matters Reviewable — Application for Leave Which Limits Issues Sought to be Reviewed

2. Plaintiff, having limited the issue to be raised in its notice of motion for leave to appeal to the Court of Appeals to the dismissal of its complaint as against one defendant as a nullity for the purported failure of plaintiff's attorney to satisfy the office requirement of Judiciary Law § 470, could not challenge the dismissal of the complaint as against another defendant on other grounds. Ordinarily when the Court grants a motion for leave to appeal all issues of which the Court may take cognizance may be addressed by the parties. However, where the party seeking leave specifically limits the issues to be raised, it is bound thereby and may not thereafter raise other questions because to permit otherwise necessarily disadvantages the opposing parties, who might have joined issue or even cross-moved for leave to appeal as to additional issues had adequate notice been given.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Appellate Review §§ 533, 574; Am Jur 2d Attorneys at Law § 119.

Carmody-Wait 2d Officers of Court § 3:209; Carmody-Wait 2d Appeals to the Court of Appeals §§ 71:46, 71:93, 71:99.

McKinney's, Judiciary Law § 470.

NY Jur 2d Appellate Review §§ 97, 543; NY Jur 2d Attorneys at Law § 43.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys.

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POINTS OF COUNSEL

Barry L. Goldin, New York City, and Allentown, Pennsylvania, and *Wollmuth Maher & Deutsch LLP*, New York City, for appellant. I. The First Department erred in affirming dismissal of plaintiff's complaint as a "nullity" for, and refusing to permit cure of, Judiciary Law § 470 in-state "office" compliance. (*Dunn v Eickhoff*, 35 NY2d 698; *Elm Mgt. Corp. v Sprung*, 33 AD3d 753; *Sovereign Bank v Calderone*, 84 AD3d 778, *lv dismissed* 17 NY3d 849; *Stegemann v Rensselaer County Sheriff's Off.*, 153 AD3d 1053.) II. The First Department erred in affirming "with prejudice" dismissal of the partnership's codefendant general partner. (*Great N. Tel Co. [Ltd.] v Yokohama Specie Bank, Ltd.*, 297 NY 135; *Stell Mfg. Corp. v Century Indus.*, 15 AD2d 87; *Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Siegmund Strauss, Inc. v East 149th Realty Corp.*, 20 NY3d 37; *Karlin v IVF Am.*, 93 NY2d 282; *De Long Corp. v Morrison-Knudson Co., Inc.*, 14 NY2d 346; *Commercial Bank v Sherwood*, 162 NY 310; *Pedersen v Manitowoc Co., Inc.*, 25 NY2d 412; *Lewis v Rosenfeld*, 138 F Supp 2d 466; *Credit Lyonnais v Getty Sq. Assoc.*, 876 F Supp 517.)

Willkie Farr & Gallagher LLP, New York City (*Shaimaa Hussein, Tariq Mundiya* and *Jeffrey B. Korn* of counsel), for respondents. I. Where an action is commenced in violation of Judiciary Law § 470, it is a nullity and dismissal without prejudice is the proper remedy. (*Schoenefeld v State of New York*, 25 NY3d 22; *Kinder Morgan Energy Partners, LP v Ace Am. Ins. Co.*, 51 AD3d 580; *Neal v Energy Transp. Group*, 296 AD2d 339; *Matter of Haas*, 237 AD2d 729; *White Riv. Paper Co. v Ashmont Tissue*, 110 Misc 2d 373; *Schoenefeld v Schneiderman*, 821 F3d 273; *Webb v Greater N.Y. Auto. Dealers Assn., Inc.*, 93 AD3d 561; *Empire HealthChoice Assur., Inc. v Lester*, 81 AD3d 570; *Lichtenstein v Emerson*, 251 AD2d 64; *Elm Mgt. Corp. v Sprung*, 33 AD3d 753.) II. All claims against Cheyne Specialty Finance General Partner, Inc. were properly dismissed with prejudice. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Pedersen v Manitowoc Co.*, 25 NY2d 412; *Lewis v Rosenfeld*, 138 F Supp 2d 466; *Credit Lyonnais v Getty Sq. Assoc.*, 876 F Supp 517; *Kittredge v Grannis*, 244 NY 182; *Propoco, Inc. v Birnbaum*, 157 AD2d 774; *Vets N. v Libutti*, 278 AD2d 406; *Tally v 885 Real Estate Assoc.*, 11 AD3d 242; *Helmsley v Cohen*, 56 AD2d 519; *Fantazia Intl. Corp. v CPL Furs N.Y., Inc.*, 67 AD3d 511.)

OPINION OF THE COURT

GARCIA, J.

Nonresident attorneys admitted in New York must maintain a physical office in the State in order to practice law in New York (*see* Judiciary Law § 470; *Schoenefeld v State of New York*, 25 NY3d 22, 25 [2015]). However, failure by a nonresident attorney to comply with this requirement at the time a complaint is filed does not render that filing a nullity and, therefore, dismissal of the action is not required. Accordingly, we reverse.

In 2006, the predecessor in interest of plaintiff Arrowhead Capital Finance, Ltd. (Arrowhead) and defendant Cheyne Specialty Finance Fund L.P. (Cheyne LP) entered into a financing agreement with a group of borrowers. Pursuant to this agreement, Cheyne LP, as senior lender, held a secured term loan note and Arrowhead held a subordinated note, with both notes secured by certain collateral to be held in trust by Cheyne LP. The borrowers defaulted on the subordinated note and Arrowhead sued, eventually obtaining a judgment against the borrowers for approximately $2.5 million (*see Arrowhead Capital Fin., Ltd. v Seven Arts Pictures PLC*, 36 Misc 3d 1205[A], 2012 NY Slip Op 51195[U] [Sup Ct, NY County 2012], *affd* 110 AD3d 514 [1st Dept 2013]).

Unable to recover on its judgment, Arrowhead brought this action against Cheyne LP and its general partner, defendant

Cheyne Specialty Finance General Partner, Inc. (Cheyne GP), based on allegations that defendants failed to protect the collateral securing Arrowhead's subordinated note, thus depriving Arrowhead of its security for repayment. The complaint was signed and filed by Arrowhead's counsel, an attorney admitted in New York, and listed business addresses in both Pennsylvania and Manhattan. Defendants moved to dismiss the complaint for, among other reasons, failure to state a claim. Supreme Court granted defendants' motion in part, dismissing all claims against Cheyne GP and certain claims against Cheyne LP.

While this motion was pending, defendants informed Supreme Court that it appeared plaintiff's counsel did not maintain a physical office in New York in violation of Judiciary Law § 470. Supreme Court permitted defendants to file a second motion to dismiss based on the alleged section 470 violation. That same day, separate New York counsel entered a notice of appearance on Arrowhead's behalf.

Supreme Court granted the second motion and dismissed the remaining claims against Cheyne LP without prejudice, finding that plaintiff's counsel resided in Pennsylvania and there was "no evidence that [he] maintained an office or a phone in New York when [the] action was filed"* (2016 NY Slip Op 31407[U], *5 [Sup Ct, NY County 2016]). On appeal, the Appellate Division unanimously affirmed, holding that "the commencement of the action in violation of Judiciary Law § 470 was a nullity" and that "subsequent retention of cocounsel with an in-state office did not cure the violation" (154 AD3d 523, 523 [1st Dept 2017]). The Appellate Division also affirmed the dismissal of the complaint, with prejudice, as against Cheyne GP.

Arrowhead then sought "permission to appeal . . . *to the extent that* the Appellate Division failed to reverse and remand the Order and Judgment of the Supreme Court dismissing [its] Complaint as a 'nullity' for [the] purported failure of plaintiff's attorney to satisfy the 'office' requirement of Judiciary Law § 470 and rejecting cure thereof" (emphasis added). This Court granted leave to appeal (30 NY3d 909 [2018]). Despite the purported limitation in its motion papers, on appeal, Arrowhead also challenges the dismissal of the complaint as against Cheyne GP. Defendants filed a motion to strike that

* The factual determination made by Supreme Court is not at issue on appeal.

portion of Arrowhead's brief, asserting that plaintiff only sought permission to appeal the section 470 issue.

An attorney who is "regularly admitted to practice as an attorney and counsellor, in the courts of record of this state, whose office for the transaction of law business is within the state, may practice as such attorney or counsellor, although . . . resid[ing] in an adjoining state" (Judiciary Law § 470). This statute, first enacted in 1862, requires that nonresident attorneys maintain a physical office in New York in order to practice law here (*Schoenefeld*, 25 NY3d at 25, 27). Whether an action, such as filing a complaint, taken by a lawyer duly admitted to the bar of this State but without the required New York office, is a "nullity" is an issue of first impression for this Court. Arrowhead contends that this Court's holding in *Dunn v Eickhoff*, that "[t]he disbarment of a lawyer creates no 'nullities', the person involved simply loses all license to practice law," is dispositive (35 NY2d 698, 699 [1974]). If an action of a disbarred lawyer is not a nullity, Arrowhead argues, neither is an action taken by a duly admitted attorney who fails to maintain a physical office in New York. This is essentially the approach taken by the Second and Third Departments, which have expressly rejected the nullity rule (*see Elm Mgt. Corp. v Sprung*, 33 AD3d 753, 754 [2d Dept 2006]; *Stegemann v Rensselaer County Sheriff's Off.*, 153 AD3d 1053, 1055 [3d Dept 2017]). These Courts, relying on our holding in *Dunn*, have extrapolated "a general rule," namely, given that representation of a party "by a person who was not authorized or admitted to practice law under the Judiciary Law—whether a disbarred attorney or a person practicing law without a license—does not create a 'nullity' or render all prior proceedings void per se," then "[t]he same principle should apply when a party is represented by an attorney who, although a member in good standing of the bar of State of New York, has failed to demonstrate compliance with Judiciary Law § 470" (*Elm Mgt. Corp.*, 33 AD3d at 754). Instead, these Courts have held that a party may cure a section 470 violation with the appearance of compliant counsel or an application for admission pro hac vice by appropriate counsel (*see Stegemann*, 153 AD3d at 1055).

Defendants counter that *Dunn* involved plaintiffs' affirmative use of the disbarment of their own attorney for strategic reasons and should therefore not control the present case. Instead, defendants urge us to adopt the First Department's approach, which requires that a court dismiss the complaint without prejudice after finding a section 470 violation (*see Webb v Greater N.Y. Auto. Dealers Assn., Inc.*, 93 AD3d 561, 561 [1st Dept 2012]; *Neal v Energy Transp. Group*, 296 AD2d 339, 339 [1st Dept 2002]; *Lichtenstein v Emerson*, 251 AD2d 64, 64 [1st Dept 1998]). Without such a deterrent, defendants argue, Judiciary Law § 470 would itself be a nullity.

[1] We agree with the Second and Third Departments that, given our holding in *Dunn*, it would be incongruous to conclude that, unlike the acts of a disbarred attorney, actions taken by an attorney duly admitted to the New York bar who has not satisfied Judiciary Law § 470's office requirement are a nullity. We therefore hold that a violation of Judiciary Law § 470 does not render the actions taken by the attorney involved a nullity. Instead, the party may cure the section 470 violation with the appearance of compliant counsel or an application for admission pro hac vice by appropriate counsel (*see Stegemann*, 153 AD3d at 1055). Where further relief is warranted, the trial court has discretion to consider any resulting prejudice and fashion an appropriate remedy (*see Dunn*, 35 NY2d at 699 [noting that plaintiffs did not assert any prejudice as a result of their attorney's disbarment]; *cf.* CPLR 321 [c] [detailing procedure for cure when attorney is disbarred or otherwise disabled any time before judgment]) and the individual attorney may face disciplinary action for failure to comply with the statute (*see e.g. Matter of Marin*, 250 AD2d 997, 998 [3d Dept 1998]; *Matter of Larsen*, 182 AD2d 149, 155 [2d Dept 1992]; 22 NYCRR 130-1.1 [a], [c] [3] [permitting the court to impose sanctions if it finds counsel made a false material statement]). This approach ensures that violations are appropriately addressed without disproportionately punishing an unwitting client for an attorney's failure to comply with section 470.

Arrowhead's remaining challenge to the dismissal of the claims against Cheyne GP is beyond the scope of this appeal. In the notice of motion, Arrowhead sought "permission to appeal . . . *to the extent that* the Appellate Division failed to reverse and remand the Order and Judgment of the Supreme Court dismissing [its] Complaint as a 'nullity' for [the] purported failure of plaintiff's attorney to satisfy the 'office' requirement of Judiciary Law § 470 and rejecting cure thereof" (emphasis added). The issue was similarly limited in the papers accompanying its motion for leave to appeal.

[2] "Ordinarily when the court grants a motion for leave to appeal all issues of which the court may take cognizance may be addressed by the parties" (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376, 380 [1987]). However, where "the party seeking leave specifically limits the issues to be raised, it is bound thereby and may not thereafter raise other questions" because "[t]o permit otherwise necessarily disadvantages the opposing parties, who might have joined issue or even cross-moved for leave to appeal as to additional issues had adequate notice been given" (*id.*). Having limited the issue to be raised in its notice of motion for leave to appeal, Arrowhead may not now challenge the dismissal of claims as against Cheyne GP. Accordingly, this Court has granted the motion to strike that portion of Arrowhead's brief (32 NY3d 1182 [2019] [decided today]).

Accordingly, the order, insofar as appealed from, should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, WILSON and FEINMAN concur.

Order, insofar as appealed from, reversed, with costs, and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[119 NE3d 1225, 95 NYS3d 544]

In the Matter of MENTAL HYGIENE LEGAL SERVICE et al., Appellants, v ANNE MARIE T. SULLIVAN, as Commissioner of Mental Health, et al., Respondents.

Argued January 8, 2019; decided February 14, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 13, 2017. The Appellate Division, with two Justices dissenting, affirmed a judgment (denominated decision and order) of the Supreme Court, St. Lawrence County (Mary M. Farley, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed a petition to review respondents' determination that petitioner Mental Hygiene Legal Service was not statutorily entitled to be present at petitioner D.J.'s treatment planning meetings.

Matter of Mental Hygiene Legal Serv. v Sullivan, 153 AD3d 114, affirmed.

HEADNOTE

Mental Health — Patient in Custody of Commissioner of Mental Health — Sex Offenders — Individuals Entitled to Participate in Treatment Planning

Mental Hygiene Legal Service (MHLS) counsel assigned to represent an individual found to be a dangerous sex offender requiring confinement in a secure facility is not entitled under Mental Hygiene Law articles 10, 29 and 47 to be given an interview and an opportunity to participate in treatment planning simply by virtue of the attorney-client relationship. MHLS is charged with providing legal assistance to facility patients or residents and their families related to admission, retention, and care and treatment (Mental Hygiene Law §§ 47.01 [a]; 47.03 [c]). Article 47, however, does not address whether the legislature intended that MHLS counsel be entitled, upon an article 10 respondent's request, to a role in treatment planning, an undisputedly clinical activity. Mental Hygiene Law § 29.13 (b) identifies two categories of individuals entitled to actively participate in treatment planning, "an authorized representative of the patient" and "a significant individual to the patient including any relative, close friend or individual otherwise concerned with the welfare of the patient, other than an employee of the facility." While article 10, which sets forth the legal services to which dangerous sex offenders are entitled, specifically mentions section 29.13 in section 10.10 (b), the fact that it does not reference MHLS by name provides a strong indication that the legislature did not intend MHLS counsel to be automatically entitled to a role in treatment planning. Moreover, section 29.15 (f), which covers discharge plans and also uses the terms "authorized representative" and "significant individual," distinguishes MHLS from both of those categories of individuals. Finally, the legislative history makes clear that "significant individual" refers to family, friends, significant others and similar individuals who have a personal relationship with a patient that would enable them to act as advocates during the clinical activity of treatment planning, rather than counsel providing legal advocacy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mentally Impaired Persons §§ 33, 125, 130, 148.

MCKINNEY'S, Mental Hygiene Law §§ 10.10 (b); 29.13 (b); 29.15 (f); 47.01 (a); 47.03.

NY JUR 2d Infants and Other Persons Under Legal Disability § 57; NY JUR 2d Penal and Correctional Institutions §§ 45, 48–51.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Incompetent or Insane Persons.

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POINTS OF COUNSEL

Sheila E. Shea, *Mental Hygiene Legal Service*, *Third Judicial Department*, Albany (*Shannon Stockwell* of counsel), for appellants. Mental Hygiene Legal Service is legally authorized to attend and participate in treatment planning meetings at mental hygiene facilities. (*Hirschfeld v Teller*, 14 NY3d 344; *Matter of Mental Hygiene Legal Serv. v Maul*, 36 AD3d 1133, 8 NY3d 812; *Graven v Children's Home R.T.F., Inc.*, 152 AD3d 1152; *Mental Hygiene Legal Serv. v Cuomo*, 195 AD2d 189; *Woe v Mathews*, 408 F Supp 419; *Rennelli v State Commr. of Mental Hygiene*, 73 Misc 2d 261; *Besunder v Coughlin*, 102 Misc 2d 41; *Rivers v Katz*, 67 NY2d 485.)

Letitia James, *Attorney General*, Albany (*Kathleen M. Treasure*, *Barbara D. Underwood* and *Andrea Oser* of counsel), for respondents. I. Mental Hygiene Law § 29.13 controls and is properly read to exclude Mental Hygiene Legal Service from those entitled to participate in treatment-planning meetings. (*Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36; *Matter of Corbin v Hillery*, 74 NY2d 279; *Matter of Albany Law School v New York State Off. of*

Mental Retardation & Dev. Disabilities, 19 NY3d 106; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Corrigan v New York State Off. of Children & Family Servs.*, 28 NY3d 636; *Matter of Kese Indus. v Roslyn Torah Found.*, 15 NY3d 485; *Matter of Storar*, 52 NY2d 363; *Anderson v United States Dept. of Labor*, 422 F3d 1155; *Colson Servs. Corp. v Insurance Co. of N. Am.*, 874 F Supp 65; *Stop & Shop Cos., Inc. v Federal Ins. Co.*, 136 F3d 71.) II. Mental Hygiene Legal Service's (MHLS) enabling legislation does not in any event authorize—let alone entitle—MHLS to participate in the treatment planning of Mental Hygiene Law article 10 respondents. (*Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 87 NY2d 199; *People v Bolden*, 81 NY2d 146; *Project Release v Prevost*, 722 F2d 960; *Project Release v Prevost*, 551 F Supp 1298; *Matter of Peters v Sullivan*, 157 AD3d 1142; *Matter of Walker v Sullivan*, 148 AD3d 1379; *Matter of Pratt v Hogan*, 79 AD3d 1669; *Matter of Pratt v New York State Off. of Mental Health*, 153 AD3d 1065.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to determine whether Mental Hygiene Law articles 10, 29, and 47 mandate, upon a respondent's request, the presence of assigned Mental Hygiene Legal Service (MHLS) counsel at treatment planning meetings for article 10 respondents placed in a Sex Offender Treatment Program at a secure treatment facility. We hold that MHLS counsel is not entitled to be given an interview and an opportunity to participate in treatment planning simply by virtue of an attorney-client relationship with an article 10 respondent.

I.

A Mental Hygiene Law article 10 respondent who has been found "to be a dangerous sex offender requiring confinement" must "be committed to a secure treatment facility for care, treatment, and control until such time as [the respondent] no longer requires confinement" (Mental Hygiene Law § 10.07 [f]).[1] The Commissioner of Mental Health is required, among other things, to "develop and implement a treatment plan in accordance with the provisions of section 29.13 of [the Mental

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" '[d]angerous sex offender requiring confinement' means a person who is a detained sex offender suffering from a mental

(n. cont'd)

Hygiene Law]" for persons so committed (*id.* § 10.10 [b]). The treatment plan must include "a statement of treatment goals; appropriate programs, treatment or therapies to be undertaken to meet such goals; and a specific timetable for assessment of patient programs as well as for periodic mental and physical reexaminations" (*id.* § 29.13 [b]). When a treatment plan is prepared or revised, the patient and individuals falling within two specified categories "shall be interviewed and provided an opportunity to actively participate in such preparation or revision"—namely, "an authorized representative of the patient, to include the parent or parents if the patient is a minor" and, "upon the request of the patient [16] years of age or older, a significant individual to the patient including any relative, close friend or individual otherwise concerned with the welfare of the patient, other than an employee of the facility" (*id.*).

Petitioners D.J.—who was committed to a secure treatment facility pursuant to Mental Hygiene Law § 10.07 (f)—and his assigned MHLS counsel separately requested that counsel be permitted to attend D.J.'s periodic treatment planning meetings as either an "authorized representative" or a "significant individual" under Mental Hygiene Law § 29.13 (b). The Chief of Service for the Sex Offender Treatment Program denied the requests on the ground that, because treatment planning is a clinical activity at which residents have no right to legal representation, the Office of Mental Health does not permit an MHLS attorney to participate unless the attorney is able to demonstrate a personal interest in the resident that extends beyond the role of legal advocate, and recuses from legally representing a resident.

Petitioners then commenced this CPLR article 78 proceeding against respondents Commissioner of Mental Health and the

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abnormality involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility" (Mental Hygiene Law § 10.03 [e]).

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" '[s]ecure treatment facility' means a facility . . . [,] includ[ing] a facility located on the grounds of a correctional facility, that is staffed with personnel from the office of mental health or the office for people with developmental disabilities for the purposes of providing care and treatment to persons confined under" Mental Hygiene Law article 10 (*id.* § 10.03 [*o*]).

Executive Director of the St. Lawrence Psychiatric Center (hereinafter collectively referred to as OMH), challenging the denial of their requests as arbitrary and capricious, and seeking an order requiring that counsel be permitted to participate in treatment planning meetings. Petitioners conceded that the constitutional right to counsel does not attach at treatment planning meetings, but argued that OMH is required by statute to permit MHLS counsel to attend those meetings, and that OMH's refusal to do so violated D.J.'s statutory right to receive MHLS's "assistance . . . related to [his] care and treatment" (Mental Hygiene Law § 47.03 [c]). Supreme Court dismissed the petition, holding that the "Mental Hygiene Law does not grant MHLS staff or its attorneys the right to attend and participate in [section] 29.13(b) treatment meetings" (emphasis omitted).

The Appellate Division affirmed (153 AD3d 114 [3d Dept 2017]). The Court concluded that "counsel for D.J. is [not] an 'authorized representative' or a 'significant individual' within the meaning of Mental Hygiene Law § 29.13 (b)" (153 AD3d at 117). In reaching that conclusion, the Court reasoned "that an 'authorized representative' is one 'authorized' to make treatment decisions on the patient's behalf," and that the phrase "significant individual" means "someone interested in the patient's welfare and knowledgeable about his or her personal situation rather than someone tasked with providing legal counsel" (*id.* at 117-119). While the majority held that, in an individual case, an MHLS attorney may "have developed the type of personal relationship with his or her client so as to be a 'significant individual' within the meaning of" the statute, petitioners offered no proof demonstrating the existence of such a relationship here (*id.* at 120). Two dissenting Justices would have held that MHLS counsel is an "authorized representative" within the meaning of the statute because "a representative is . . . '[s]omeone who stands for or acts on behalf of another,' " in the same way that MHLS counsel serves patients (*id.* at 122, quoting Black's Law Dictionary [10th ed 2014], representative). The dissenters further opined that the term "significant individual" is neither limited to relatives and close friends nor requires a showing of a personal relationship with a patient because the term also includes any "individual otherwise concerned with the welfare of the patient" (*id.* at 122 [emphasis omitted], quoting Mental Hygiene Law § 29.13 [b]). Thus, the dissenters would have held that all MHLS attorneys are "statutorily entitled to attend . . . resident[s'] treatment planning meeting[s]" (*id.* at 121).

Petitioners appealed as of right pursuant to CPLR 5601 (a).

II.

MHLS is a "creature of statute [that] lacks powers not granted to it by express or necessarily implicated legislative delegation" (*Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 87 NY2d 199, 202 [1995]). Thus, absent a clear intent in Mental Hygiene Law articles 10, 29, and 47 that MHLS counsel must always be given a role in treatment planning, such a mandate should not be judicially supplied.[2] Contrary to petitioners' primary argument on this appeal, the provisions of Mental Hygiene Law article 47—which establishes MHLS and sets forth its powers—do not definitively answer the question before us. Mental Hygiene Law § 47.01 (a) charges MHLS with "provid[ing] legal assistance to patients or residents of a facility[,] to persons alleged to be in need of care and treatment in such facilities . . . , and to persons entitled to such legal assistance as provided by [Mental Hygiene Law] article ten." The functions, powers and duties of MHLS are more specifically set forth in section 47.03. Petitioners focus on subdivision (c) of section 47.03, which requires MHLS

> "[t]o provide legal services and assistance to patients or residents and their families related to the admission, retention, and care and treatment of such persons, . . . and to inform patients or residents, their families and, in proper cases, others interested in the patients' or residents' welfare of the availability of other legal resources which may be of assistance in [other] matters."

While the language of Mental Hygiene Law article 47 supports petitioners' argument that MHLS has broad legal duties, nothing in that article directly addresses the question of whether the legislature intended that MHLS counsel would be entitled,

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2. Our decision should not be read to foreclose the possibility that MHLS counsel could participate in treatment planning, either upon a respondent's request if counsel meets the requirements of the Mental Hygiene Law outlined herein, or in a facility's discretion if the patient lacks the capacity to identify a significant individual. Rather, our decision is limited to answering the question presented here, which is whether MHLS counsel must always be given an interview and an opportunity to participate in treatment planning meetings if a patient so requests.

upon a respondent's request, to a role in treatment planning, which is undisputedly a clinical activity.

Turning to Mental Hygiene Law articles 10 and 29, we note that, "[u]nder principles of statutory construction, whenever there is a general and a specific provision in the same statute, the general applies only where the particular enactment is inapplicable" (*Matter of Perlbinder Holdings, LLC v Srinivasan*, 27 NY3d 1, 9 [2016], citing McKinney's Cons Laws of NY, Book 1, Statutes § 238). The specific provision applicable here is Mental Hygiene Law § 29.13 (b) inasmuch as it expressly addresses who must be allowed to participate in treatment planning. We are asked to consider whether MHLS counsel falls within the scope of individuals who must, upon the request of the respondent, be "interviewed and provided an opportunity to actively participate" under that provision as it applies to Mental Hygiene Law article 10 respondents, in particular.

Mental Hygiene Law article 10 sets forth the legal services and assistance to which respondents such as D.J. are entitled. It directly references MHLS when the legislature envisioned a role for that agency in representing indigent respondents in particular proceedings (*see* Mental Hygiene Law §§ 10.06 [c] [counsel is appointed upon the filing of a civil management petition where the respondent is indigent, and the court is expressly directed to appoint MHLS "if possible"]; 10.11 [d] [3] [MHLS is required to represent indigent respondents in strict and intensive supervision and treatment revocation proceedings]; 10.13 [c] [the court must appoint MHLS, if possible, "(i)n connection with any appeal" taken under article 10]). Section 10.10 (b), which is the only provision in article 10 that references section 29.13, does not provide that MHLS is to have any role in connection with the development of a treatment plan, or mention any role for counsel at all. As relevant here, that section requires only that the Commissioner of Mental Health "develop and implement a treatment plan in accordance with the provisions of section 29.13" (Mental Hygiene Law § 10.10 [b]). Of course, "the text of a provision is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning" (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012] [internal quotation marks and citation omitted]). Given the legislature's practice of referencing MHLS by name when it intends the agency to play a role in a particular activity, that section 10.10 (b) does not mention MHLS is, in itself, a strong indication that the legislature did not intend MHLS counsel to be automatically entitled to a role in the clinical activity of treatment planning (*see Matter of Corrigan v New York State Off. of Children & Family Servs.*, 28 NY3d 636, 642 [2017] ["the failure of the Legislature to include a substantive, significant prescription in a statute is a strong indication that its exclusion was intended" (internal quotation marks and citations omitted)]).

That intent is confirmed when Mental Hygiene Law article 10 is read in conjunction with article 29. Section 29.13 (b) provides that

> "[i]n causing . . . a [written treatment] plan to be prepared or when such a plan is to be revised, the following persons shall be interviewed and provided an opportunity to actively participate in such preparation or revision: the patient; an authorized representative of the patient, to include the parent or parents if the patient is a minor [;] . . . [and,] upon the request of the patient [16] years of age or older, a significant individual to the patient including any relative, close friend or individual otherwise concerned with the welfare of the patient, other than an employee of the facility."

The statute requires that, apart from the patient, only two other categories of individuals *must* be given an interview and opportunity to participate in treatment planning—"an authorized representative of the patient" and, upon the patient's request, "a significant individual to the patient." The question before us is whether MHLS counsel falls within the meaning of the terms "authorized representative" and "significant individual." In that regard, we note that, although section 29.13 (b) neither mentions any role for MHLS nor mandates that MHLS counsel be given an opportunity to participate in treatment planning for article 10 respondents, the legislature took care to mention other individuals or categories of persons, specifically naming employees of the facility.

"[I]t is well settled that a statute must be construed as a whole and that its various sections must be considered with reference to one another" (*Matter of Albany Law School*, 19 NY3d at 120). Indeed, it is a bedrock rule of statutory construction that, "where the same word or phrase is used in different parts of a statute[,] it will be presumed to be used in the same sense throughout," absent any indication of a contrary intent

(*Catlin v Sobol*, 77 NY2d 552, 559 [1991]; *see* McKinney's Cons Laws of NY, Book 1, Statutes § 236 at 401-402). Therefore, we must read the language of section 29.13 (b) together with the relevant language of subdivision (f) of section 29.15, which is the very next section in the Mental Hygiene Law and also uses the terms at issue in this case: "authorized representative" and "significant individual." Section 29.15 (f) relates to the discharge and conditional release of patients. It distinguishes MHLS from both "authorized representatives" and "significant individuals," providing that

> "[i]n causing [a discharge] plan to be prepared, the director of the facility shall take steps to assure that the following persons are interviewed, provided an opportunity to actively participate in the development of such plan and advised of whatever services might be available to the patient through [MHLS]: the patient to be discharged or conditionally released; an authorized representative of the patient, to include the parent or parents if the patient is a minor . . . ; and upon the request of the patient [16] years of age or older, a significant individual to the patient including any relative, close friend or individual otherwise concerned with the welfare of the patient, other than an employee of the facility."

If the terms "authorized representative" or "significant individual" were intended to require inclusion of MHLS counsel, there would be no need to impose on facilities the duty of advising those individuals of the services that MHLS provides. Reading section 29.13 (b) together with section 29.15 (f), as we must, leads us to conclude that MHLS counsel is not one of the categories of individuals automatically entitled to be given an interview and opportunity to participate in treatment planning, even upon request of an article 10 respondent.

The legislative history of section 29.13 (b) further supports our conclusion that the terms "authorized representative" and "significant individual" cannot be read as an "express or necessarily implicated . . . delegation" to MHLS counsel of authority to participate in treatment planning in every case in which an article 10 respondent asks them to do so (*Flynn*, 87 NY2d at 202). Part of the rationale for adding language to the statute in 1993 to allow "significant individuals," in addition to "authorized representatives," to participate was that "[m]any individuals [did] not have an authorized representative" to assist them in the treatment "planning process" (Letter of Assistant Counsel, St Commn on Quality of Care for the Mentally Disabled, Bill Jacket, L 1993, ch 135 at 13). However, if MHLS counsel was considered an authorized representative for purposes of treatment planning simply by virtue of the attorney-client relationship, the amendment would have been unnecessary because every patient would already have had an authorized representative available.

Petitioners argue, and the dissent agrees, that MHLS counsel comes within the meaning of the statutory phrase "significant individual to the patient[,] including any . . . individual otherwise concerned with the welfare of the patient" (Mental Hygiene Law § 29.13 [b]), because the purpose of the 1993 amendment was to "allow a patient in a facility to have a friend *or advocate* of his or her choice to be present at the meeting when facility staff develop the treatment or discharge plan" (Sponsor's Mem, Bill Jacket, L 1993, ch 135 at 6 [emphasis added]), and MHLS provides "advocacy" services. However, the language on which petitioners rely is cherry-picked from the Sponsor's Memorandum in support of the bill, which also states that the amendment arose out of a study "suggest[ing] that there is a need for facility staff to be attentive in nurturing and developing informal supports for individuals while they are hospitalized in order to promote the delay or avoidance of the need for rehospitalization" (*id.*). The Sponsor's Memorandum explains that, "[o]ften, individuals receiving services do not have an available family member who can participate," and that "[t]his bill will promote the inclusion of *significant others* in the planning process" (*id.* [emphasis added]). The legislative history makes clear that the term "significant individual" refers to family, friends, significant others and similar individuals who have a personal relationship with a patient that would enable such individuals to act as a patient advocate during the clinical activity of treatment planning, rather than counsel providing legal advocacy as part of a traditional attorney-client relationship.[3]

In short, the statutory language of Mental Hygiene Law §§ 10.10 (b) and 29.13 (b), as well as the relevant legislative

3. That section 29.13 (b) limits the term "significant individual" by providing that a facility must deny a resident's request for the presence of an "employee of the facility," but not MHLS, does not mean that MHLS counsel must be allowed to attend. Rather, that language, by its terms, simply renders employees ineligible to attend treatment planning meetings even if

(n. cont'd)

history, supports the conclusion that MHLS counsel was not intended to be included, as a matter of law, within the terms "authorized representative" or "significant individual." Thus, OMH is not *required*, upon the respondent's request, to provide an interview and an opportunity to participate in treatment planning to MHLS counsel who has only a professional, attorney-client relationship with an article 10 respondent. However, as OMH concedes, a facility has the discretion to permit MHLS counsel to participate in treatment planning and, in a particular case, it is possible that counsel could develop and demonstrate a sufficient personal relationship with a patient such that counsel would qualify as a "significant individual . . . otherwise concerned with the welfare of the patient," *entitled* to participate therein. Contrary to the conclusion of the dissent, no such showing was even attempted in this case. Rather, petitioners asserted only that D.J. designated his MHLS attorney as a significant individual and that should be sufficient. Therefore, we need not decide the circumstances under which it would be arbitrary and capricious for a facility to determine that an individual MHLS attorney is not a "significant individual . . . concerned with the welfare of the patient" (Mental Hygiene Law § 29.13 [b]) or whether such a person would then be required to recuse from acting in the role of legal representative for an article 10 respondent.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

WILSON, J. (dissenting). I agree with the majority that "MHLS counsel [does] not . . . simply by virtue of an attorney-client relationship with an article 10 respondent" qualify as an individual required "to be given an interview and an opportunity to participate in treatment planning" (majority op at 654). Although the majority acknowledges that "D.J.—who was committed to a secure treatment facility . . .—and his assigned MHLS counsel separately requested that counsel be permitted to attend D.J.'s periodic treatment planning meetings as either an 'authorized representative' or a 'significant individual' " (majority op at 655) the majority disregards Mental Hygiene Law § 29.13 (b)'s clearly granted right to confined sex offenders: they may designate, as a "significant individual," anyone

they would otherwise qualify as "significant individuals." We do not address whether an MHLS employee who is not a lawyer and otherwise qualifies under the statute would fall within the section in an appropriate case.

other than an employee of the secure treatment facility. The majority voids D.J.'s designation simply because Mr. Bliss is his MHLS attorney. There is no basis in the statute or record for that result. D.J.'s designation, and the legislature's command, should be honored.

I.

The legislature could not have more clearly stated the right of a sex offender committed to a secure treatment facility to designate a person of his or her choosing as the patient's "significant individual." Mental Hygiene Law § 29.13 (b) provides:

> "In causing such a [written treatment] plan to be prepared or when such a plan is to be revised, the following persons *shall be interviewed and provided an opportunity to actively participate* in such preparation or revision: the patient; an authorized representative of the patient, to include the parent or parents if the patient is a minor, unless such minor sixteen years of age or older objects to the participation of the parent or parents and there has been a clinical determination by a physician indicating that the involvement of the parent or parents is not clinically appropriate and such determination is documented in the record; *upon the request of the patient sixteen years of age or older, a significant individual to the patient including any relative, close friend or individual otherwise concerned with the welfare of the patient, other than an employee of the facility*" (emphasis added).

D.J. is over 16; he requested that Matthew Bliss be designated his "significant individual"; Mr. Bliss has stated his willingness to serve in that role; there is no evidence that Mr. Bliss is cavalier about D.J.'s welfare; and Mr. Bliss is not an employee of the facility. The statutory command that Mr. Bliss "shall be interviewed and provided an opportunity to actively participate" is patent. The majority's repeated statements that it will not "judicially suppl[y]" a "mandate" that "MHLS counsel must always be given a role in treatment planning" (majority op at 657); that "section 29.13 (b) neither mentions any role for MHLS nor mandates that MHLS counsel be given an opportunity to participate in treatment planning" (majority op at 659); or that the statute does not "require inclusion of MHLS counsel" (majority op at 660) are all off point. MHLS has no statutory right to participate in patient treatment planning. Patients, however, have a right to designate any significant individual who is not employed by the treatment facility.

The text of Mental Hygiene Law § 29.13 (b) could not be clearer. The straightforward reading of a statute governs its construction unless the result would be absurd or irreconcilable with another statutory provision. Yet the majority abjures the legislature's plain command, as well as our own bedrock rule of statutory construction (*see Matter of Lisa T. v King E.T.*, 30 NY3d 548, 552 [2017] ["It is fundamental that, because the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (citations and internal quotation marks omitted)]; *see also Matter of T-Mobile Northeast, LLC v DeBellis*, 32 NY3d 594, 607 [2018] ["We begin with the plain language of the statute, which is the clearest indicator of legislative intent"]; *People v Pabon*, 28 NY3d 147, 152 [2016] ["(w)hen the statutory language is clear and unambiguous, it should be construed so as to give effect to the plain meaning of the words used"]; *Makinen v City of New York*, 30 NY3d 81, 85 [2017] ["Inasmuch as (t)he text of a statute is the clearest indicator of such legislative intent, where the disputed language is unambiguous, we are bound to give effect to its plain meaning. Moreover, (w)here(, as here,) the legislative language is clear, (we have) no occasion (to) examin(e) . . . extrinsic evidence to discover legislative intent" (citations and internal quotation marks omitted)]; *Matter of New York Civ. Liberties Union v New York City Police Dept.*, 32 NY3d 556, 567 [2018] ["We are not at liberty to second-guess the legislature's determination, or to disregard—or rewrite—its statutory text"]; *Matter of Brookford, LLC v New York State Div. of Hous. & Community Renewal*, 31 NY3d 679, 690 [2018] ["We start with the text because it is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning" (internal quotation marks and citation omitted)]).

The question, then, is whether some other portion of the statute's text limits the patient's discretion to designate an MHLS attorney as a "significant individual." None does. As examples of a "significant individual" the statute lists "any relative, close friend or individual otherwise concerned with the welfare of the patient." The statute presents these as a nonexclusive list, but even if we pretend the list is exhaustive, the words are capacious. "Any relative" would extend to third cousins once removed and beyond. Who is to determine who is a "close friend" of the patient, other than the patient? Finally, "other individual concerned with the welfare of the patient" must be read to exclude all relatives and close friends, else that phrase would be meaningless. Who would ever have any interest in participating in a dangerous sex offender's treatment planning meetings without also having concern for that offender's general welfare? Even the broad title of "significant individual" itself suggests the statute is meant to include people who are significant *to the patient*. The statutory language makes the patient's request paramount.

Were there any doubt about the language's meaning, it should be quieted by the legislative precision in crafting section 29.13 (b). The legislature set out detailed specifications for when a parent must be included, an age threshold after which a minor could exclude parents, provided that specific medical findings had been made and were placed on the record. As to who may be a "significant individual," the legislature expressly included an exception to the patient's designation right: an "employee of the facility" may not be chosen as a significant individual. "Where the legislature has addressed a subject and provided specific exceptions to a general rule—as it has done here—the maxim *expressio unius est exclusio alterius* applies" (*Kimmel v State of New York*, 29 NY3d 386, 394 [2017]). That glaring deficiency in the majority's interpretation is relegated to a footnote whose conclusion is to reject, once again, the argument that "MHLS counsel must be allowed to attend." The legislature commanded that patients could not designate a facility employee as a "significant individual." It made no such judgment as to MHLS lawyers, whose existence and functions were indisputably known to the legislature.

Likewise, the majority's citations to other portions of the Mental Hygiene Law address the question of whether MHLS attorneys would have a right to attend treatment planning meetings when no patient has designated an MHLS attorney as a "significant individual," but have no bearing on the effect of that designation when made. Thus, as the majority writes, other parts of the Mental Hygiene Law do specifically refer to MHLS (majority op at 658-659). But the only negative inference that can be drawn from the inclusion of MHLS in section 29.15 and not in section 29.13 is that the legislature did not envision that MHLS attorneys would always and automatically be included in treatment planning meetings. I agree, but that provides no evidence that the legislature meant to bar patients from choosing an MHLS attorney as the patient's "significant individual."

II.

The statutory language is so plain that I am loathe even to mention the legislative history. That history, though, adds an exclamation point to the majority's error. The bill jacket contains a letter from the Commission on Quality of Care to the Governor's Counsel, Elizabeth Moore. That letter explains "[t]his proposal was based on a 1993 report of the Commission" which found that many mental health providers did not afford patients a "meaningful role in the development of their treatment plans" or include families in discharge planning (Letter from Paul F. Stavis, Bill Jacket, L 1993, ch 135 at 17). As authors of the report that led to the bill, the Commission's views furnish a strong source of the bill's purposes. The bill jacket contains a memorandum prepared by the Commission that explains the language regarding a "significant individual" was written to extend beyond family members because "[o]ften, individuals receiving services do not have an available family member who can participate" (Commn on Quality of Care Mem, Bill Jacket, L 1993, ch 135 at 6).

The same memorandum provides useful context in understanding the legislature's expectation for the role of a significant individual in the planning process. The memorandum explains, in summarizing the law's purpose:

> "The inclusion of a family member or other significant individual *or advocate* concerned with the welfare of the patient in the planning process for the individual will provide important information and assistance to the facility in regards to the needs of the patient and the existence, if any, of informal caregivers who may collaborate with the facility and support the individual in appropriate treatment and discharge planning" (Commn on Quality of Care Mem, Bill Jacket, L 1993, ch 135 at 6 [emphasis added]).

The word "advocate" appears repeatedly in the submissions from the Commission. In a letter to Assemblywoman Destito, the Commission explained the purpose of the bill was to "authorize the patient to designate a significant individual to assist *and advocate* on his or her behalf in the planning process" (Letter to Assemblywoman Destito, Bill Jacket, L 1993, ch 135 at 13 [emphasis added]). The language is picked up elsewhere by the deputy counsel for the New York State Office of Mental Retardation and Developmental Disabilities, who writes that the agency made no recommendation "in relation to the inclusion of a friend *or advocate* in treatment and discharge planning activities" (Letter from Alan Adler, Bill Jacket, L 1993, ch 135 at 11 [emphasis added]).

This vision of how a "significant individual" would take part in the process must counsel strongly against the view expressed by the majority, that MHLS attorneys' "traditional attorney-client relationship" precludes their participation in treatment planning (majority op at 661). Indeed, there are few words as closely tied to lawyers as the word "advocate." In fact, the Latin word for lawyer is advocatus; in French, "avocat"; in Italian, "avvocato"; in Spanish, "abogado"; Czech, "advokat"; Dutch, "advocaat"; Norwegian, "advokat"; Russian, "advokat"; and so forth. But even a parochial, monolingual New York lawyer would be familiar with the Rules of Professional Conduct, the New York State Bar Association's preamble to which explains in its second sentence: "As a representative of clients, a lawyer assumes many roles, including advisor, *advocate*, negotiator, and evaluator" (NY Rules of Professional Conduct with Commentary Preamble [1] [NY St Bar Assn rev June 2018], available at http://www.nysba.org/WorkArea/DownloadAsset.aspx?id=50671, cached at http://www.nycourts.gov/reporter/webdocs/NYRulesofProfConductwCommentary.pdf [emphasis added]).

The majority's decision to dishonor D.J.'s designation of Mr. Bliss as his "significant individual"—purportedly because a "traditional attorney-client" relationship is anathema to the treatment planning process—rests on a cartoonish version of what lawyers do. Even trial attorneys perform all kinds of tasks that never touch a courtroom. They conduct negotiations; counsel clients in areas that intertwine legal concerns with a variety of others; pass on information at their client's request; collect information and relay it to their clients; serve as an interface between the client and the client's family, friends and potential witnesses; and often provide business advice, marital advice, family advice, and advice and support in myriad other areas. Understanding and accepting what lawyers do in real life is particularly important as it relates to treatment planning for institutionalized sex offenders, whose relatives may want nothing to do with them or may not have the means to travel to or otherwise participate in planning sessions, whose friends may likewise be unwilling or unable to do so, and whose only support in the world, other than employees of the treatment facility, may be an MHLS lawyer.

"Cherry-picked" is the adjective the majority uses to describe the bushel of references to the word "advocate" in the legislative history (majority op at 661), contending that other portions of the legislative history suggest the legislature intended to limit "significant individual" to family, friends, and significant others. But only an untenably narrow view of lawyering would suggest that a list of "family, friends, significant others and similar individuals who have a personal relationship with a patient" (*id.*) presumptively does not include attorneys, even when a patient has chosen an MHLS lawyer in preference to, or because of the absence of, all other candidates.

More broadly, the legislative history evinces a clear desire to expand the options of patients who want someone to accompany them during the treatment planning process. If a patient designates someone as a "significant individual," the straightforward reading of the legislature's intent is that such person would presumptively be included. If there were evidence suggesting a person the patient has requested is "unconcerned" with the patient's "general welfare," the Office of Mental Health (OMH) could deny the request.* Here, however, there is neither evidence nor assertion that Mr. Bliss lacks concern for D.J.'s welfare.

In the face of that total lack of evidence, the majority imposes a statutorily-absent and standardless burden on D.J. to prove that Mr. Bliss is "significant" to him and then complains that no showing of a significant relationship "was even attempted in this case" (majority op at 662). That is not true. The only evidence in the record as to the genuineness of the relationship is D.J.'s sworn statement that he "designate[s] Mr. Bliss as a significant individual to me who is concerned with my welfare." No one has contradicted that assertion, and it is not at all

* Unquestionably, some institutionalized sex offenders may have such severe mental health issues that they might designate someone wholly foreign to them as their "significant individual." Were, for example, a patient to designate the President of the United States, OMH surely would be able to deny the request on the ground that he was not "concerned with the welfare of the patient."

clear how D.J. would go about satisfactorily proving the relationship's significance. Even worse, OMH imposed a further statutorily-absent requirement that Mr. Bliss recuse himself from representing D.J. should he ever prove to be a "significant individual" (a question the majority has explicitly left undecided). The only fair reading of the evidence in the record is that Mr. Bliss cares about D.J.'s welfare, that D.J. believes Mr. Bliss cares about his welfare, and that OMH's requirements impose a new burden on petitioners with no basis in law.

III.

The final point worth emphasizing is how the majority's decision undermines the goals of the legislature. Patients in cases like these are dangerous sex offenders who have committed extremely serious crimes. The natural consequence of such crimes is that, even were they not isolated and friendless before conviction, they are likely to be so afterwards. MHLS attorneys are well-versed in serving such clients. "Other than hospital personnel, the MHLS staff person is often the only outside individual to have close interaction and an open channel of communication with MHLS's clients" (Hon. Gail Prudenti, *Giving Voice to the Vulnerable*, NYLJ, Jan. 24, 2011).

Although OMH grumbles that the inclusion of MHLS attorneys in the treatment planning would produce some vaguely-defined adversarial atmosphere and thereby undermine the process, those warnings are speculative at best and such a risk would exist with anyone. Family members and friends can be adversarial as well—they might even be lawyers! But as with those groups, it is also quite possible that the inclusion of attorneys with whom patients have a strong relationship will produce benefits to the patients. Other secure treatment facilities apparently recognize such benefits. The record contains affirmations from MHLS attorneys who work with facilities subject to section 29.13. Those attorneys note that in facilities run by the Office for People with Developmental Disabilities and in the St. Lawrence Psychiatric Center (which is operated by OMH), attorneys have been included in treatment planning without objection. Although different treatment facilities have reached inconsistent results on this issue, the legislature was quite clear: it wanted to promote the inclusion of significant individuals to advocate for the patient, at the patient's election.

The need is particularly acute for isolated MHLS clients who have cognitive disabilities or other psychiatric limitations with which their attorneys become well-acquainted. Such a situation would make the inclusion of a trusted companion in the process particularly beneficial. OMH avers in its arguments that patients in such a position may "avail themselves of Disability Rights of New York [DRNY], an independent private agency designated by the Governor to conduct and coordinate protection and advocacy and client assistance programs for individuals with disabilities." However, MHLS has asserted, without contradiction, that they can find no instances of DRNY intervening on behalf of a resident of a secured treatment facility, and that the DRNY mandate suggests DRNY would defer to MHLS should their advocacy ever overlap. In any event, the legislature granted neither DRNY nor MHLS the right to determine whom the patient would choose as a "significant individual"; that right resides in the patient.

The majority's decision deprives individuals in secure treatment facilities of one of the few, and perhaps only, external sources of support in the treatment planning process. D.J. has cognitive disabilities and is on a specialized treatment track. D.J. requested his MHLS attorney be involved in treatment planning to accompany him and advocate for him. D.J.'s request is both reasonable and understandable given what we know of life for those committed to secure treatment facilities. It is also completely in line with the vision the legislature had for "significant individuals" who could participate and "advocate" for patients in treatment planning. The Court's decision ignores the legislature's clear command and further isolates D.J. One can only hope OMH appreciates the legislature's decision and exercises its new Court-created discretion liberally to allow MHLS attorney participation when requested by a patient.

For the reasons above, I dissent.

Chief Judge DIFIORE and Judges RIVERA, FAHEY, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion.

Order affirmed, without costs.

[120 NE3d 358, 96 NYS3d 159]

In the Matter of James Q., Appellant. Suffolk County District Attorney, Respondent, et al., Petitioner.

Argued January 8, 2019; decided February 19, 2019

SUMMARY

Appeal from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 17, 2017. The Appellate Division order, with two Justices dissenting, insofar as appealed from, affirmed an order of the Supreme Court, Franklin County (S. Peter Feldstein, J.), entered in a CPL 330.20 retention proceeding, which had denied defendant's motion to seal the records.

Matter of James Q., 154 AD3d 58, affirmed.

HEADNOTE

Mental Health — Person Acquitted of Crime by Reason of Insanity — Sealing of Record in Rentention Proceeding

Mental Hygiene Law § 33.13, which protects the confidentiality of the clinical records of patients and clients as maintained by facilities licensed or operated by the Office of Mental Health or the Office for People with Developmental Disabilities, does not require automatic sealing of the entire court record of all proceedings involving insanity acquitees who have dangerous mental disorders within the meaning of CPL 330.20. Mental Hygiene Law articles 9 and 15 apply to acquitees who are mentally ill but not dangerous (CPL 330.20 [7]) and contain express statutory directives that the papers in proceedings under those articles filed with the county clerk shall be sealed. In contrast, the legislature provided no automatic sealing requirement of an entire court record in either CPL 330.20 or the Mental Hygiene Law for an acquitee who has been found to have a dangerous mental disorder (CPL 330.20 [1] [c]). Instead, Mental Hygiene Law § 33.13 creates a confidentiality provision as to the public disclosure of clinical records of patients or clients of a state agency by the agency itself absent a court order. While a clinical record includes information about a defendant's legal status, the clinical record created separately by the facility in accordance with Mental Hygiene Law § 33.13 cannot encapsulate the discrete record of a defendant's court retention proceedings, created independently by the court pursuant to CPL 330.20, simply because information of defendant's legal status, essentially derived from the court record, is repeated in the clinical record. Further, interpreting Mental Hygiene Law § 33.13, despite the absence of any supporting statutory language, to provide a blanket sealing requirement of an entire court record that is automatically conferred disregards the tradition of open judicial proceedings.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Criminal Law § 72; Am Jur 2d Mentally Impaired Persons § 78.

CARMODY-WAIT 2d Verdict and Postverdict Proceedings §§ 202:69, 202:72–202:74.

MCKINNEY'S, CPL 330.20 (1) (c); (6), (7); Mental Hygiene Law § 33.13 (a).

NY JUR 2d Criminal Law: Procedure §§ 2952, 2953; NY JUR 2d Infants and Other Persons Under Legal Disability § 85.

ANNOTATION REFERENCE

See ALR Index under Court Records; Incompetent or Insane Persons.

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POINTS OF COUNSEL

Sheila E. Shea, *Mental Hygiene Legal Service*, *Third Judicial Department*, Albany (*Brent R. Stack* and *Shannon Stockwell* of counsel), for appellant. I. The record of respondent's CPL 330.20 retention proceeding should be sealed in the entirety. (*Matter of Ashford v Brunswick Psychiatric Ctr.*, 90 AD2d 848; *Wheeler v Commissioner of Social Servs. of City of N.Y.*, 233 AD2d 4; *People v Sinski*, 88 NY2d 487; *Matter of New York News [Ventura]*, 67 NY2d 472; *Matter of Dorothy D.*, 49 NY2d 212.) II. The Appellate Division's attempt to fashion a remedy that balances respondent's and the public's respective interests is both unnecessary and unworkable. (*Matter of Norman D.*, 3 NY3d 150; *Matter of Jill ZZ.*, 83 NY2d 133.)

Timothy D. Sini, *District Attorney*, Riverhead (*Guy Arcidiacono* of counsel), for respondent. Mental Hygiene Law § 33.13 does not require sealing of the entire record of defendant's CPL 330.20 retention proceedings. (*Matter of John Z. [Commissioner of N.Y. State Off. of Mental Health]*, 128 AD3d 1249; *Matter of Jamie R. v Consilvio*, 6 NY3d 138; *People v Kahan*, 115 Misc 2d 725; *Matter of Norman D.*, 3 NY3d 150; *Matter of Oswald N.*, 87 NY2d 98; *Matter of New York News [Ventura]*, 67 NY2d 472; *Jones v United States*, 463 US 354; *People ex rel. Thorpe v Von Holden*, 63 NY2d 546; *People ex rel. Henig v Commissioner of Mental Hygiene*, 43 NY2d 334; *People ex rel. Abraham J. v Sarkis*, 175 Misc 2d 433.)

OPINION OF THE COURT

Chief Judge DiFiore.

Mental Hygiene Law § 33.13 protects the confidentiality of the clinical records of patients and clients as maintained by facilities licensed or operated by the Office of Mental Health or the Office for People with Developmental Disabilities. The issue raised in this appeal is whether that confidentiality provision requires automatic sealing of the entire court record of all proceedings involving insanity acquittees who have dangerous mental disorders within the meaning of section 330.20 of the Criminal Procedure Law. We hold that it does not.

I.

In July 2009, defendant—then 27 years old—violently assaulted his 16-year-old girlfriend after she attempted to end their sexually intimate relationship. Defendant placed the victim in a choke hold, threw her to the floor, repeatedly punched her in the face, kicked her in the stomach, and threatened to harm her with a steak knife. Eventually, the victim escaped and called the police. By superior court information, defendant was charged with rape in the third degree, criminal possession of a weapon in the third degree, assault in the third degree, and related offenses. Defendant entered a plea of not responsible by reason of mental disease or defect as charged.

After a mandatory psychiatric examination (CPL 330.20 [2]) and an initial hearing (CPL 330.20 [6]), the court found defendant to have a dangerous mental disorder as defined by CPL 330.20 (1) (c)[1] and issued a six-month commitment order, committing defendant to the custody of the Commissioner of the Office for People with Developmental Disabilities (the Commissioner) for confinement in a secure facility for care and treatment. Subsequently, in March 2011, upon the application of the Commissioner, the court issued a first retention order (CPL 330.20 [8]), finding that defendant continued to suffer from a dangerous mental disorder. This was followed by a second retention order for continued confinement in March 2012, and subsequent retention orders, each with a duration of

1. " 'Dangerous mental disorder' means: (i) that a defendant currently suffers from a 'mental illness' as that term is defined in subdivision twenty of section 1.03 of the mental hygiene law, and (ii) that because of such condition [defendant] currently constitutes a physical danger to [defendant] or others" (CPL 330.20 [1] [c]).

18 months, in September 2013 and January 2015 (CPL 330.20 [9]). None of the foregoing court proceedings were sealed.

In July 2015, the Commissioner again petitioned the court to renew her retention of the custody of defendant. Accompanying the application, as mandated by CPL 330.20 (20), was an affidavit from a psychiatric examiner supportive of the relief requested in the application, opining that defendant had a " 'dangerous mental disorder' as that term is defined" by CPL 330.20 (1) (c). The "Affidavit of Psychiatric Examiner" incorporated the examiner's six-page "Report of Examination," attached to the affidavit, setting forth "the defendant's clinical diagnosis, a detailed analysis of his or her mental condition which caused the psychiatric examiner to formulate an opinion, and the opinion of the psychiatric examiner with respect to the defendant" (CPL 330.20 [20]). Upon stipulation of the parties—defendant, the Suffolk County District Attorney, and the Commissioner—that defendant has a dangerous mental disorder, the court issued an 18-month subsequent retention order. The parties all agreed that the psychiatric examiner's annexed report of examination, wherein the actual clinical diagnoses and care and treatment of defendant was set out, should be sealed. However, defendant, seeking additional relief, made a motion to seal the entire court record, and specifically, the Commissioner's petition for a subsequent retention order, the supporting affidavit of the psychiatric examiner, and the court's subsequent retention order itself. The three documents all track the statutory language, stating that defendant suffers from "a dangerous mental disorder" as that legal term is defined in CPL 330.20 (1) (c), thereby presenting the necessary predicate for an issuance of a retention order (22 NYCRR 110.7). Supreme Court denied defendant's motion, finding that the documents "clearly related to the legal proceedings" rather than defendant's treatment. With two Justices dissenting, the Appellate Division modified (154 AD3d 58 [3d Dept 2017]).[2] De-

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2. Despite the ruling of the Supreme Court, upon the concession of the parties that the annexed report of examination would be sealed, the Appellate Division modified, "on the law," the lower court order "to the extent of directing that any information included in the court record of [defendant's] retention proceeding with respect to his diagnoses and care and treatment be redacted" (154 AD3d at 64, 66). The People did not take an appeal and so we take no position on the propriety or scope of the redaction ordered by the Appellate Division. Nor is the question of whether redaction is permissible as a matter of the court's discretion properly before us. As explained herein, we

(n. cont'd)

fendant appealed as of right (CPLR 5601 [a]) and we now affirm, insofar as appealed from.

II.

Enacted as part of the Insanity Defense Reform Act of 1980, "CPL 330.20 governs the procedure to be followed after a criminal court has entered a judgment that defendant is not responsible by reason of mental disease or defect" (*Matter of Jamie R. v Consilvio*, 6 NY3d 138, 141 [2006]; *see People v Stone*, 73 NY2d 296, 302-303 [1989]). Recognizing that insanity acquittees "constitute a special class" who are treated differently from other candidates for commitment (*Jones v United States*, 463 US 354, 370 [1983]; *see Matter of Oswald N.*, 87 NY2d 98, 105 [1995]), the legislature "sought to ensure the protection of the public from future dangerous acts of defendants found not responsible while safeguarding the rights of such defendants" (*People ex rel. Thorpe v Von Holden*, 63 NY2d 546, 553-554 [1984] [internal quotation marks and citations omitted]; *see Matter of Norman D.*, 3 NY3d 150, 154 [2004]). The statute's detailed scheme, while mirroring the Mental Hygiene Law when appropriate, created new procedures for the supervision of acquittees and was intended to increase the court's involvement in that supervision (*see Matter of Norman D.*, 3 NY3d at 154).

"The postadjudication statutory scheme set forth in CPL 330.20 provides three alternative tracks, with different treatment progressions and procedural consequences, based upon the hearing court's postacquittal determination" of a defendant's mental condition (*Stone*, 73 NY2d at 300). CPL 330.20 specifically distinguishes defendants found to have a dangerous mental disorder as that term is defined in CPL 330.20 (1) (c)—classified as track one acquittees—from those who are mentally ill but not dangerous—track two acquittees—and those who are neither dangerous nor mentally ill—track three acquittees (CPL 330.20 [6], [7]). Proceedings for track one acquittees, like defendant in this case, fall "under the exclusive umbrella of CPL 330.20" (*see Consilvio*, 6 NY3d at 143). In contrast, upon the court's determination that a defendant is a track two acquittee, who may be subject to involuntary civil commitment, the statute plainly states that the provisions of

decide only that there is no basis to seal the entire record of the retention proceedings as a matter of law.

articles 9 or 15 of the Mental Hygiene Law apply at that stage of the proceeding and all subsequent proceedings (CPL 330.20 [7]). Significantly, articles 9 and 15 both contain express statutory directives that the papers in proceedings under those articles filed with the county clerk shall be sealed (Mental Hygiene Law §§ 9.31 [f]; 15.31 [f]).[3] Track three acquittees, neither dangerous nor mentally ill, must be released (*Matter of Jill ZZ.*, 83 NY2d 133, 137 [1994]).

CPL 330.20 provides that "a defendant committed to the custody of the commissioner pursuant to this section shall have the rights granted to patients under the mental hygiene law" (CPL 330.20 [17]). One such right, as set forth in Mental Hygiene Law § 33.13, is a right to the confidentiality of a patient's "clinical record." The statute defines a "clinical record" as one that shall be maintained by facilities for each patient and that "shall contain information on all matters relating to the admission, legal status, care, and treatment of the patient" (Mental Hygiene Law § 33.13 [a]). Subject to a long list of enumerated exceptions, the release of certain patient information "reported to the [mental health] offices . . . shall not be a public record" (Mental Hygiene Law § 33.13 [c]). On this appeal, defendant primarily argues that because CPL 330.20 references the application of rights under the Mental Hygiene Law, and because Mental Hygiene Law § 33.13 protects the confidentiality of clinical records containing information on patients' "legal status," any records of CPL 330.20 court proceedings involving such documents must be sealed in their entirety. We reject that argument.

III.

To begin, "[t]he sittings of every court within this state shall be public, and every citizen may freely attend the same" (Judiciary Law § 4). Underpinning this statute's mandate is our State's long-standing, sound public policy "that all judicial proceedings, both civil and criminal, are presumptively open to the public" (*see Matter of Hearst Corp. v Clyne*, 50 NY2d 707,

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3. There are statutory exceptions to the sealing requirement for records and proceedings under the umbrella of the Mental Hygiene Law relating to the mentally ill. For example, the Mental Hygiene Law creates carveouts requiring facilities to transmit information in the clinical record to the New York State Division of Criminal Justice Services and to the Criminal Justice Information Services Division of the FBI, particularly when the subject of the records attempts to purchase or take possession of firearms (Mental Hygiene Law § 33.13 [c] [13], [14], [15]).

715 [1980]; *see also Shiles v News Syndicate Co.*, 27 NY2d 9, 14 [1970]). Of course, that policy, shared by the nation as a whole and which can have constitutional dimensions (*see Matter of Capital Newspapers Div. of Hearst Corp. v Moynihan*, 71 NY2d 263, 272 [1988]), extends not only to the criminal and civil proceedings, but also to the records of such proceedings (*see New York Civ. Liberties Union v New York City Tr. Auth.*, 684 F3d 286, 298 [2d Cir 2012]).

Against that backdrop, the legislature employed no language in Mental Hygiene Law § 33.13 requiring the sealing of any court proceedings but, rather, created a confidentiality provision as to the public disclosure of clinical records of patients or clients of a state agency by the agency itself absent court order. As the legislative history makes clear, the provision was intended "[t]o protect the confidentiality of records at all facilities where services to the mentally ill . . . are provided . . . and to place in one section of law definitive provisions governing the necessary release of patient records" (*see* Mem in Support, Bill Jacket, L 1984, ch 912 at 7, 1984 McKinney's Session Laws of NY at 3476). "We have firmly held that the failure of the Legislature to include a substantive, significant prescription in a statute is a strong indication that its exclusion was intended" (*People v Finnegan*, 85 NY2d 53, 58 [1995]; *see Pajak v Pajak*, 56 NY2d 394, 397 [1982]; McKinney's Cons Laws of NY, Book 1, Statutes § 74). Nor is there any indication in Mental Hygiene Law § 33.13 that the legislature intended to implicitly provide for an automatic sealing of presumptively public court proceedings and records. In contrast, both sections 9.31 and 15.31, specifically made applicable by CPL 330.20 to the proceedings to be followed upon a determination that a defendant is a track two acquittee, mandate that "[t]he papers in any proceeding under this article which are filed with the county clerk shall be sealed" (Mental Hygiene Law §§ 9.31 [f]; 15.31 [f]). These latter provisions demonstrate that where the legislature intends to impose a sealing requirement, it does so expressly. If the legislature had intended a blanket sealing provision to apply to insanity acquittees, "it easily could have and surely would have written the statute to say so" (*Matter of Theroux v Reilly*, 1 NY3d 232, 240 [2003]).

The plain text of Mental Hygiene Law § 33.13 also cuts against defendant's interpretation that the term "clinical record" includes the entire record of court proceedings or dictates to a court how to manage its own records. "As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). As noted above, defendant broadly interprets Mental Hygiene Law § 33.13's definition of "clinical record" to encompass the court record of a CPL 330.20 retention proceeding for a track one acquittee because the Mental Hygiene Law requires that information as to defendant's "legal status" be included in the clinical record. But the term "legal status" cannot be read in isolation. Rather, the term must be understood in context and with reference to the words and phrases adjacent to it (*see Matter of Kese Indus. v Roslyn Torah Found.*, 15 NY3d 485, 491 [2010]). Clearly, the term is one part of a specified list of information—along with information on a defendant's "care," "admission," and "treatment"—to be included within a facility's clinical records and does not define the parameters of court documents to be included in the clinical record or address the court's management of those documents. Stated otherwise, the clinical record created separately by the facility in accordance with Mental Hygiene Law § 33.13 cannot encapsulate the discrete record of a defendant's court retention proceedings, created independently by the court pursuant to CPL 330.20, simply because information of defendant's legal status, essentially derived from the court record, is repeated in the clinical record.

That interpretation also comports with the overall legislative scheme in CPL 330.20 (*see Matter of Long v Adirondack Park Agency*, 76 NY2d 416, 420 [1990]). In enacting CPL 330.20, the legislature intended to strike a balance between the privacy rights of a defendant and the right of the public to know how dangerous mentally ill acquittees are being managed by the court (*see* Governor's Approval Mem at 2, Bill Jacket, L 1980, ch 548, 1980 McKinney's Session Laws of NY at 1880). "As we have already demonstrated, recommitment of an insanity acquittee upon a finding of a dangerous mental disorder has a direct and substantial relationship with the State's legitimate concern for the potentiality of the deterioration of the acquittee's mental condition and relapse into dangerous behavior" (*Matter of Francis S.*, 87 NY2d 554, 564 [1995]). This fits squarely with the traditional understanding that the openness of judicial proceedings, although not absolute, has always been regarded as essential for effective judicial administration (*see Sheppard v Maxwell*, 384 US 333, 349-350 [1966]; *Globe*

Newspaper Co. v Superior Court, County of Norfolk, 457 US 596, 606 [1982]). In this sense, even a defendant's "hypothetical risk of prejudice or taint cannot justify categorical denial of public access" (*Matter of Associated Press v Bell*, 70 NY2d 32, 38 [1987]). In short, the legislature provided no automatic sealing requirement of an entire court record in either CPL 330.20 or the Mental Hygiene Law for a track one insanity acquittee and defendant cites no authority for such an obligation.

"Where the Legislature has chosen to temper or abrogate the presumption of openness, it has done so in specific language, and these exceptions have been strictly construed by the courts" (*Matter of Herald Co. v Weisenberg*, 59 NY2d 378, 381-382 [1983] [citations omitted], citing *People v Jelke*, 308 NY 56, 65 [1954]). In this regard, as previously noted, the sealing provisions for court records of proceedings conducted under articles 9 and 15 are expressly stated (Mental Hygiene Law §§ 9.31 [f]; 15.31 [f]; *see also* Family Ct Act § 166). By analogy, CPL provisions mandating the sealing of records generated by court proceedings conducted pursuant to the CPL are equally unequivocal. For example, upon a youthful offender adjudication, all official records and papers must be sealed (CPL 720.35 [2]; *Capital Newspapers*, 71 NY2d at 268). Another, CPL 160.50, bestows a general record sealing requirement for designated proceedings under the CPL upon the "termination of a criminal action or proceeding . . . in [a defendant's] favor" (CPL 160.50 [1]). These designated proceedings include a verdict of complete acquittal (CPL 160.50 [3] [c], citing CPL 330.10), an order setting aside a verdict (*id.* subd [3] [e], citing CPL 330.30), and an order vacating a judgment (*id.* subd [3] [f], citing CPL 440.10) but excludes a verdict or plea of not guilty by reason of mental disease or defect.

Throughout our history, "the institutional value" of open judicial proceedings has fostered "an appearance of fairness" (*see Globe Newspaper Co.*, 457 US at 606) and ensured "the public interest in having proceedings of courts of justice public, not secret, for the greater security thus given for the proper administration of justice" (*Lee v Brooklyn Union Publ. Co.*, 209 NY 245, 248 [1913]). Interpreting Mental Hygiene Law § 33.13, despite the absence of any supporting statutory language, to provide a blanket sealing requirement of an entire court record that is automatically conferred disregards that tradition. In balancing the privacy rights of a defendant with the public's right to know how dangerous mentally ill acquittees are managed by the courts, the legislature eschewed an automatic sealing requirement of the court record. We refuse to disturb that balance today. Here, defendant demanded an automatic seal in stark contrast to a case specific analysis that demands a court to find good cause sufficient to rebut the legislative presumption of public access for any sealing, in part or whole, upon due consideration of the competing and compelling interests of the public and the parties (*see Capital Newspapers*, 71 NY2d at 270-271; 22 NYCRR 216.1).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, without costs.

Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

Order, insofar as appealed from, affirmed, without costs.

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